



B Lab Standards

Body of Knowledge (BoK)



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Introduction

As the climate crisis intensifies and societal inequality grows, the need to bring about systemic change is clear. That's why B Lab has strengthened its standards for business impact, equipping companies to drive meaningful, sustainable change.

B Lab has continuously evolved its certification standards to raise the bar for responsible business. The latest updates provide greater clarity and consistency, ensuring companies focus on the most impactful business actions. These standards establish a stronger, more transparent foundation for all businesses committed to building an inclusive, equitable, and regenerative global economy.

Join us in embracing the B Lab Standards and unlock your company's true potential as a catalyst for systemic change!

Overview of the B Lab Standards

Under the B Lab Standards, your company needs to meet:

- [Foundation Requirements](#) which make sure your company is eligible to pursue certification and includes a risk assessment.
- [Impact Topic Requirements](#) which cover social, environmental, and governance impact in seven areas. They're tailored to your company's [size, sector, industry](#).

Foundation Requirements

In a company's certification journey, its first step is meeting the Foundation Requirements. This sequencing ensures companies are meeting fundamental eligibility requirements and engage in a risk assessment before they progress to the Impact Topic requirements.

The Foundation Requirements require a company to:

- **Eligibility Requirements:** be legally incorporated, comply with local and national laws, and not be materially involved in industries that undermine B Lab's Theory of Change.
- **Stakeholder Governance:** adopt the B Corp Legal Requirement, which ensures accountability to all stakeholders, and sign the B Corp Declaration of Interdependence.



- Risk Assessment: create a risk profile using B Lab's risk profile tool (for company [sizes](#) small and above). This process determines the number of potential additional due-diligence sub-requirements that the company must meet for B Corp certification.

Impact Topic Requirements

Next, the company is required to meet and continuously improve upon performance requirements that focus on its operations, value chain, and stakeholders across seven environmental, social, and governance impact areas.

The Impact Requirements require a company to:

- [Purpose and Stakeholder Governance](#): act in accordance with a defined purpose and embed stakeholder governance in decision making. By doing so, they contribute to an inclusive, equitable, and regenerative economic system for all people and the planet.
- [Fair Work](#): provide good quality jobs and have positive workplace cultures.
- [Justice, Equity, Diversity, & Inclusion \(JEDI\)](#): have inclusive and diverse workplaces and contribute to just and equitable communities.
- [Human Rights](#): treat people with dignity and respect their human rights.
- [Climate Action](#): take action to combat the climate crisis and its impacts.
- [Environmental Stewardship and Circularity](#): demonstrate environmental stewardship and contribute to the circular economy in their operations and value chain. They both minimize negative impacts, to help stay within ecological thresholds, and pursue positive impacts.
- [Government Affairs and Collective Action](#): play a leadership role in fostering shared understanding and implementing solutions toward an equitable, inclusive, and regenerative economy. This role includes a fair and responsible contribution to their operating countries' economies and infrastructure.



Phased Approach

The Impact Topic requirements are designed in a [phased approach](#) that guides companies on a journey of continuous improvement that unfolds over the years. Each successive phase builds on the previous one, leading toward complete adherence to the B Lab Standards. To achieve initial certification, companies must comply with the Year 0 sub-requirements. Subsequently, they will progressively adopt and comply with the Year 3 and Year 5 sub-requirements.

To maintain B Corp certification, companies must continually comply with all applicable sub-requirements from the time they become effective.

Tailored Strategies

To ensure the standards remain relevant and actionable for businesses across industries and regions, B Lab has designed a range of [tailoring strategies](#) to support a company's implementation of the Impact Topic requirements:

- Differentiated sub-requirements based on company size and sector
- Sub-requirements that provide different options or are inherently context-based
- Equity mechanism for countries/territories, ensuring fair and equitable implementation worldwide

Understanding the B Lab Standards structure

The Foundation and Impact Topic Requirements have the same content categories and follow the same structure. The content structure details the importance of the requirements, what is required to meet and be evaluated against the requirements, and includes supporting implementation guidance and resources.

You'll see each sub-requirement come with [a set of headings](#).

Your company must meet the Compliance Criteria. To do this, review the following:

- Clarifying the Compliance Criteria
- Terms & Definitions
- For subsidiary companies, Applying the Criteria for Independently Certifying Subsidiaries

For supplementary information, review:



- Intent, Outcome and Scope
- Further Guidance
- Recommendations
- Interoperability

To learn more about each of the standard requirement's content categories and structure, see this [link](#).

The official version of the B Lab Standards is in English. While B Lab Global offers translations into five additional languages, translation accuracy will continue to be improved over time. The English version of the standard is the basis for all certification decisions so in case of inconsistency between versions, reference defaults to the official language version.

Change history

Version number	Publication Date	Description of amendments
V2.2	2026-02-20	Updates to the Foundation Requirements. Further details on all changes are available in this detailed Change Log .
V2.1	2025-08-12	Corrections, clarifications, and other updates on the Foundation Requirements and Impact Topic requirements. Further details on all changes are available in this detailed Change Log .
V2.0	2025-04-08	B Lab Standards released

Further standards amendments

Learnings from company self-assessments, verification processes, and the implementation of the B Lab Standards may lead to further improvements to the standards. We'll make sure to let you know in advance whenever a major update is coming and will provide an overview of how those updates relate to the latest version of the B Lab standards.

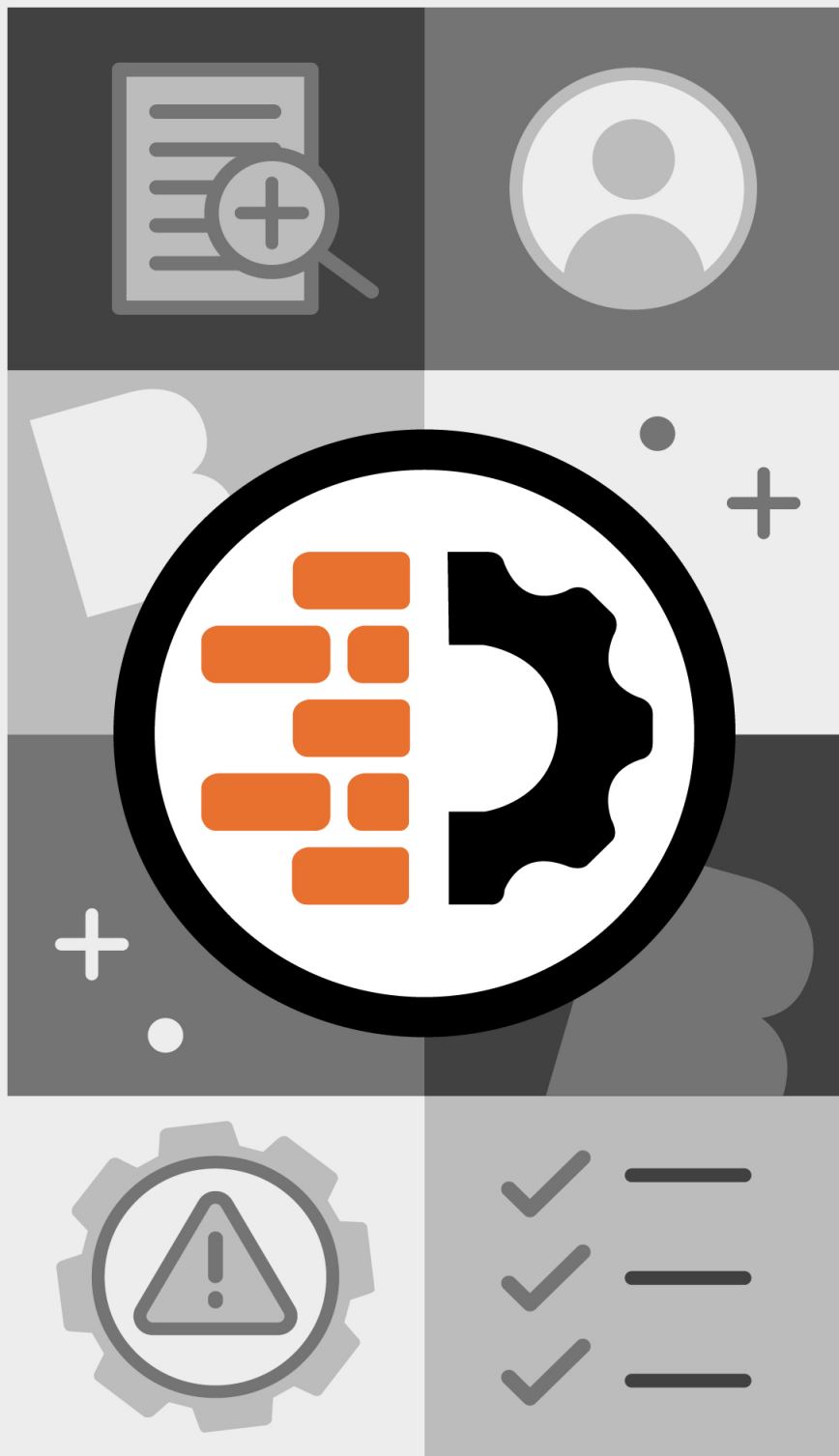
Feedback and FAQs



All stakeholders are encouraged to share their feedback and comments on the standards through the Feedback function available with each Compliance Criterion in the B Impact Platform.

Have questions about the standards? Please review these [Frequently Asked Questions](#).

For other general feedback on the standards or questions, please [submit a ticket](#) to the B Lab Standards team.



Foundation Requirements (FR)

Body of Knowledge (BoK) for the FR
Impact Topic



Intent

The Foundation Requirements set initial B Corp eligibility criteria before a company is evaluated against the Performance Requirements. These criteria include, for example, that the company:

- has been operating for at least 12 months
- operates in an industry aligned with the B Lab Theory of Change
- operates in accordance with relevant laws
- agrees to be transparent about its performance once certified as a B Corp.

To meet these eligibility criteria, companies also need to adopt the B Corp legal requirement and commit to the B Corp community's collective purpose — to create an equitable, inclusive, and regenerative economy for all.

Outcome

Companies demonstrate eligibility to become B Corps and adopt the B Corp legal requirement.

Requirements Summary

FR1 The company meets the eligibility requirements for B Corp Certification.

FR2 The company adopts the B Corp legal requirement and commits to supporting the B Corp community's collective purpose.

FR3 The company creates a risk profile and meets any additional sub-requirements.

Scope

The company entity(s) pursuing B Corp Certification

Terms and Definitions

Advocacy

The same as lobbying, which includes the following, by or on behalf of an organized group:

- Communicating directly or indirectly with public officials, political decision-makers, or representatives to influence public decision-making.
- Attempting directly or indirectly to influence public opinion (beyond normal advertising and marketing) with the aim of impacting public decision-making.

(Adapted from [Corporate Political Engagement Index](#), 2018, Transparency International)

Agriculture

A company that either:

- earns over 10% of its revenue from products grown on its farm or agro-processing facility, from managing land to grow and harvest crops, or from raising and managing livestock
- sources the majority of its raw materials directly from growers or livestock producers.

Companies in the agriculture sector include, for example:

- vegetable farms
- coffee plantations or roasters
- tree planting companies
- livestock farms or ranches.

Applicable law



The legal requirements that apply to the company, as either a business enterprise or legal person. "Applicable law" includes any combination of:

- statutory law (Parliamentary-approved) and case law (court interpretations)
- subsidiary regulations
- associated administrative procedures
- the national constitution (if one exists) which take precedence over all other legal instruments
- internationally recognized standards and conventions.

B Corp Legal requirement

A component of the B Corp Foundation Requirements, requiring companies to:

- adopt a broad purpose to create a material positive impact on society or the environment
- modify director's obligations in governing documents to enable stakeholder governance.

The legal requirement includes a purpose and a director's clause. To see the language for various jurisdictions, check the Legal Requirement Tool [\[EN\]](#).

B Impact Assessment (BIA)

The B Impact Assessment is a digital tool that hosts the B Lab Standard and helps organizations measure, manage, and improve their impact performance.

B Lab's Theory of Change

The idea underlying the mission of the B Lab global network and movement — to create a world where business is a force for good, and companies lead efforts to transform the global economy into a more inclusive, equitable, and regenerative system.

Visit the [webpage](#) for more details.



Collective Action

A collaborative, sustained process of cooperation between stakeholders to bring about systemic change. Collective action increases the impact and credibility of individual actions. Examples include multi-stakeholder collaboration, public policy advocacy, mentoring, and thought leadership. Mentoring and thought leadership contribute to systemic change by enhancing the skills, knowledge, or capacity of other stakeholders.

Company

A legal entity (or group of related legal entities) formed to engage in and operate a business (meaning a commercial or industrial enterprise). A company may be organized in various ways depending on the corporate law in its jurisdiction.

Company without workers

A company owned and run by one person. A company without workers may also be known as a sole proprietor, sole trader, individual entrepreneur, or individual proprietor.

Declaration of Interdependence

We envision a global economy that uses business as a force for good. This economy is comprised of a new type of corporation – the B Corporation – which is purpose-driven and creates benefit for all stakeholders, not just shareholders. As Certified B Corporations and leaders of this emerging economy, we believe: That we must be the change we seek in the world. That all business ought to be conducted as if people and place mattered. That, through their products, practices, and profits, businesses should aspire to do no harm and benefit all. To do so requires that we act with the understanding that we are each dependent upon another and thus responsible for each other and future generations. ([B Lab](#))

Ecosystem conversion

Includes both of the following, caused by severe degradation or management practices (such as deforestation).

- Loss of a natural ecosystem to another land use

- Profound change in a natural ecosystem's species, composition, structure, or function

Any change to natural ecosystems that meets this definition is considered to be conversion, whether or not it is legal.

(Adapted from [Accountability Framework initiative](#))

Equity investors

Companies that buy, manage, and sell a portfolio of companies. Equity investment is also called "private equity."

Generally, equity investors are companies who:

- buy a majority stake in a company
- manage and operate the company
- increase the profitability of the company
- sell the company after 3–7 years.

Executive team

People with delegated authority from the highest governing body to implement strategies and policies that fulfill the company's purpose.

(Adapted from PAS 808 — [Purpose-driven organizations](#), British Standards Institution)

Fossil fuel producers

Companies with any level of direct involvement in exploring, extracting, mining, or producing:

- oil
- natural gas
- coal



- other fossil fuels.

(Adapted from [SBTi](#))

Hazardous chemicals

Any substance or mixture that poses a physical, health, or environmental hazard.

(Adapted from [UNECE](#) and [EC No 1272/2008](#)).

Highest governing body

The person or group of people who have ultimate accountability for the whole company. Every organizational entity has one highest governing body, even if it is not explicitly established.

A highest governing body can be explicitly established in a number of formats, such as:

- a board of directors
- a supervisory board
- a sole director
- joint and several directors
- trustees.

For larger companies, a board subcommittee may be considered the highest governing body — as long as the full board is regularly updated on progress and performance.

(Adapted from [Governance of organizations](#) — Guidance, ISO Standard)

Impact

An effect the company has, or could have, on:

- the economy
- the environment
- people, including on their human rights.

Impacts can be actual or potential, negative or positive.

(Adapted from [GRI 3](#), 2021, Global Reporting Initiative)

Independent contractor

A person who is self-employed, or works freelance. They are a “worker” if they work more than 20 hours per week indefinitely or for more than six months. This may include the following examples.

- A self-employed construction worker who works full-time for the company on a construction project for one year.
- A freelance physiotherapist who works 25 hours per week at a clinic for two years.

Indigenous Peoples

Groups of people who meet one of the following definitions.

- Tribal peoples in independent countries whose social, cultural, and economic conditions are different from other sections of the national community. Their tribal status is regulated wholly or partially by either their own customs or traditions, or special laws or regulations.
- Peoples in independent countries who descend from the people who lived in the country, or a region of it, during its conquest or colonization, or the establishment of modern state boundaries. Regardless of their legal status, they retain some or all of their own social, economic, cultural, and political institutions.

(Adapted from [Indigenous and Tribal Peoples Convention](#), 1989, International Labour Organization)

Investment



Any of four types of investment.

- Equity investments
- Debt investments
- Project finance
- Managed investments and client services

This definition applies for investors (i.e. companies who aim to profit from their investment) and companies that provide financial services.

(Adapted from [GHG Protocol](#))

Investment advisors

Companies that buy and sell investments, including equity, debt, and real assets. Investment advisors are also called "asset management".

Investment advisors include:

- fund managers
- fund of funds
- hedge funds
- wealth management.

Lobbying

See advocacy

Manufacturing

A company that earns over 10% of its revenue from products it makes, either for direct sale or for sale by another company or brand.

Manufacturing involves transforming input materials into a new product. The manufactured product may not be the final product.



Companies in the manufacturing sector include, for example:

- food and beverage producers
- assembly lines
- apparel manufacturers.

Real estate, design & building

Companies that provide products or services related to designing, building, buying, or selling real estate.

Products or services include:

- architecture design and planning
- civil engineering
- contracting and building
- design and building
- property leasing
- real estate development.

Real estate includes:

- land
- residential buildings
- commercial buildings.

Services with minor footprint

A company that earns 90% or more of its revenue from services that do not involve selling physical products or require a physical location for their delivery.



Services with minor footprints include, for example:

- law firms
- marketing and communications agencies
- software companies.

This was previously named "Services with Minor Environmental footprint". The definition and its application remain the same.

Services with significant footprint

A company that earns 90% or more of its revenue from services that involve significant machinery or equipment, or require a specific operational location (often key to delivering the service).

Services with significant footprint include, for example:

- hotels
- restaurants
- landscaping companies
- universities.

This was previously named "Services with Significant Environmental footprint". The definition and its application remain the same.

Single-use products and packaging

Products and packaging that are used once, or only for a short period, before being thrown away.

Single-use products and packaging can have drastic, global impacts on the environment and human health, and are more likely to end up in the sea than reusable options.

(Adapted from [Single-use plastics](#), European Commission)



Stakeholder

A person, group, or entity who may, positively or negatively:

- affect the company
- be affected by the company's activities
- have an interest that is affected by the company's activities.

Relevant stakeholders may include, for example:

- business partners
- civil society organizations
- consumers
- customers
- employees and other workers
- governments
- local communities
- non-governmental organizations
- shareholders and other investors
- suppliers
- trade unions
- vulnerable groups (including future generations)
- the environment (including species).

(Adapted from [GRI 3: Material Topics](#), 2021.)



Stakeholder governance

A kind of corporate governance that ensures the company is required to consider the interests of all its stakeholders in decision-making (e.g. customers, workers, suppliers, communities, investors, and the environment).

Stakeholder governance contrasts with traditional shareholder governance, which prioritizes the interests of shareholders above all other stakeholders. ([B Lab](#))

Supply chain

The range of activities by companies and organizations "upstream" from the company, which provide products, raw materials, and services that the company uses in its own products or services.

([GRI 3](#), 2021, Global Reporting Initiative)

Wholesale/Retail

A company that earns over 10% of its revenue from selling physical products, but does not own or operate the manufacturing processes or facilities that produce them. This includes companies that design products but outsource their production.

Wholesale/retail companies include, for example:

- grocery stores
- consumer goods companies that do not manufacture their own products
- wholesalers of physical goods.

Worker

A person who works for the company as any of the following.

- An employee
- An independent contractor, if they work more than 20 hours per week indefinitely or for more than six months.



- An agency worker, if they work more than 20 hours per week indefinitely or for more than six months.

Interns and apprentices, as defined in the B Lab Standard, do not count as workers.

Notes

- The Purpose and Stakeholder Governance (PSG) Impact Topic is inextricably linked to supporting and demonstrating the implementation of a company's adoption of the B Corp legal requirement and its stakeholder governance.
- Companies that meet the Foundation Requirements may continue their certification journey with the understanding that they are required to sign the agreement for B Corp Certification to be a certified B Corp. If the company does not sign the agreement for B Corp Certification, then they are ineligible for B Corp Certification.



FR1 The company meets the eligibility requirements for B Corp Certification.

FR1.1 The company meets the entity qualifications to become a B Corp.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR1.1	From Year 0	None	The company meets the entity qualifications to become a B Corp.



Compliance Criteria:

1.1.1 The company is confirmed to be:

- a) an incorporated business entity
- b) in operation for at least 12 months
- c) generating a majority of revenue from a competitive market.

1.1.2 The company does not fall into any of the following categories.

- a) Business divisions, brands, or units, or businesses that are not complete and distinct from their parent or group of affiliates
- b) Franchisors who do not own a majority of global franchisee locations, or franchisors without geographic distinction from independent franchisees
- c) Non-profits or Civil Society Organizations (CSOs), foundations, or charitable entities, unless otherwise approved by B Lab
- d) Governments, government agencies, government ministries, or state-owned enterprises, unless otherwise approved by B Lab
- e) Company legally registered in regions not covered operationally by B Lab and not part of a larger group registered in a region covered by B Lab

Intent:

To ensure B Corp Certification is only available to companies. This aligns with B Lab's mission to support and inspire companies to have positive social and environmental impacts.



Clarifying the Compliance Criteria:

[1.1.1] The following companies are eligible for B Corp Certification.

- Single business entities (i.e. the company has no parent company or subsidiaries)
- Parent companies with wholly-owned or majority-owned subsidiaries
- Subsidiaries operating as complete and distinct businesses of their parent or sibling that do not share the same name or logo, or — if they do share the same name — they must have a distinct geographic or industry qualifier
- Franchisors (owners of a brand) and majority-owned franchisees, depending on the scope and geography of branded locations

[1.1.2a, 1.1.2b] In some cases, B Corp Certification has additional requirements for related entities — such as franchisees, parent companies, or other subsidiaries in the group.

[1.1.2a, 1.1.2b] In some cases, B Corp Certification has additional requirements for related entities — such as franchisees, parent companies, or other subsidiaries in the group.

[1.2.e] For a list of regions not covered by B Lab, visit B Lab's website [\[EN\]](#).

Applying the Criteria to Independently Certifying Subsidiaries:

Company refers to the certifying company and entities within scope of the certification.

Implementation Resources:

Resources on B Lab entity qualifications

- B Lab Assessment Submission: Operational Date Explained [\[EN\]](#)
- B Lab Knowledge Base [\[EN\]](#)



FR1.2 The company is not significantly involved in industries that undermine the B Lab Theory of Change.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR1.2	From Year 0	None	The company is not significantly involved in industries that undermine the B Lab Theory of Change.



Compliance Criteria:

1.2.1 The company generates less than 1% of annual revenue from direct involvement in the listed industries.

- a) Fossil fuel producers
- b) Gambling
- c) Pornography
- d) Prisons and detention centers (including prison or detention center labor)
- e) Tobacco
- f) Weapons

1.2.2 The company generates less than 1% of annual revenue from selling the following products or services to organizational clients in the listed industries (see Compliance Criterion 1.2.1).

- a) Lobbying or public relations services
- b) Marketing, advertising, or branding services
- c) Physical products tailored for a client in a listed industry

1.2.3 The company generates less than 1% of annual revenue from direct growth financing in the listed industries (see Compliance Criterion 1.2.1) through the following activities.

- a) Direct equity investments
- b) Private equity, venture capital, or growth capital, including debt financing

1.2.4 For electric utilities and power generation companies, less than 50% of their product portfolio or energy mix is from fossil fuels.

1.2.5 B Corps certified against V1.6 of the standards must meet FR1.2 by Year 3 (not Year 0).

Intent:



-
- To ensure that certified B Corps do not undermine the B Lab Theory of Change, which is the idea underlying the mission of the B Lab movement — to create a world where business is a force for good, and companies lead efforts to transform the global economy into a more inclusive, equitable, and regenerative system [\[EN\]](#).
 - To exclude industries with systemic negative social or environmental impacts. The industries identified as undermining the Theory of Change overlap with the World Bank International Finance Corporation's exclusion list [\[EN\]](#) or the European Investment Bank exclusion list [\[EN\]](#). Individual companies cannot remediate the systemic negative impacts of these industries.



Clarifying the Compliance Criteria:

[1.2.1, 1.2.2, 1.2.3] The listed industries are defined below. For examples from the North American Industry Classification System (NAICS) [\[EN\]](#), see Further Guidance.

- Fossil fuel producers — companies with any level (>0%) of direct involvement in exploration, extraction, mining and/or production of oil, natural gas, coal, or other fossil fuels (SBTi Corporate Net-Zero Standard [\[EN\]](#)).
- Gambling — companies that generate revenue from games of chance, in-person and online.
- Pornography — companies that generate revenue from the production, aggregation, or distribution of photorealistic media (including images, video, and computer-generated content) explicitly depicting unsimulated sexual acts.
- Prisons and detention centers (including labor) — companies that generate revenue from incarcerating people or that use people who are incarcerated in their workforce.
- Tobacco — companies that generate revenue from nicotine products, like cigarettes, e-cigarettes, vaping devices, and heat-not-burn technologies.
- Weapons — companies involved in the manufacturing, wholesaling, or retailing of weapons and munitions, including firearms, small arms, grenades, machine guns, and missiles.

[1.2.1, 1.2.2, 1.2.3] For B Corp eligibility, the percentage of annual revenue refers to the company's revenue in the last fiscal year. The company also commits to meeting the revenue criteria in each fiscal year after certification.

[1.2.1] Direct involvement is when the company manufactures, grows, designs, develops, leases, wholesales, or retails the industry's products or services.

[1.2.1, 1.2.2, 1.2.3] The listed industries are defined below. For examples from the North American Industry Classification System (NAICS) [\[EN\]](#), see Further Guidance.

- Fossil fuel producers — companies with any level (>0%) of direct involvement in exploration, extraction, mining and/or production of oil, natural gas, coal, or other fossil fuels (SBTi Corporate Net-Zero Standard [\[EN\]](#)).
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- Tobacco — companies that generate revenue from nicotine products, like cigarettes, e-cigarettes, vaping devices, and heat-not-burn technologies.
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[1.2.1, 1.2.2, 1.2.3] For B Corp eligibility, the percentage of annual revenue refers to the company's revenue in the last fiscal year. The company also commits to meeting the revenue criteria in each fiscal year after certification.

[1.2.2] A company may have a client in a listed industry that is also involved in a non-listed industry. If so, then for FR1.2, the company's applicable revenue is limited to the revenue generated from serving the client's involvement in the listed industry. For example, a fossil fuels client may also be involved in renewable energy. If so, then for FR1.2, a company's applicable revenue is limited to the revenue generated from serving the client's fossil fuels involvement (and not the client's renewable energy involvement).

[1.2.2] Physical products tailored for a client in a listed industry are products tailored for the manufacturing, sale, or use of the client's product.

[1.2.2] If a company sells products or services to clients in the listed industries, but the nature of the company's products or services is not described in Compliance Criterion 1.2.2, then the company meets FR1.2.

[1.2.1, 1.2.2, 1.2.3] The listed industries are defined below. For examples from the North American Industry Classification System (NAICS) [\[EN\]](#), see Further Guidance.

- Fossil fuel producers — companies with any level (>0%) of direct involvement in exploration, extraction, mining and/or production of oil, natural gas, coal, or other fossil fuels (SBTi Corporate Net-Zero Standard [\[EN\]](#)).
- Gambling — companies that generate revenue from games of chance, in-person and online.
- Pornography — companies that generate revenue from the production, aggregation, or distribution of photorealistic media (including images, video, and computer-generated content) explicitly depicting unsimulated sexual acts.
- Prisons and detention centers (including labor) — companies that generate revenue from incarcerating people or that use people who are incarcerated in their workforce.
- Tobacco — companies that generate revenue from nicotine products, like cigarettes, e-cigarettes, vaping devices, and heat-not-burn technologies.



- Weapons — companies involved in the manufacturing, wholesaling, or retailing of weapons and munitions, including firearms, small arms, grenades, machine guns, and missiles.

[1.2.1, 1.2.2, 1.2.3] For B Corp eligibility, the percentage of annual revenue refers to the company's revenue in the last fiscal year. The company also commits to meeting the revenue criteria in each fiscal year after certification.

[1.2.3] The company's applicable revenue is limited to the revenue generated from investments in which the company has discretionary control over investment decisions.

[1.2.3] The company's applicable revenue is limited to the revenue generated from direct exposure to the listed industry. For example, this excludes exchange-traded funds with exposure to multiple industries.

[1.2.3] A company may have a client in a listed industry that is also involved in a non-listed industry. If so, then for FR1.2, the company's applicable revenue is limited to the revenue generated from direct investments in the listed industry. For example, a fossil fuels client may also be involved in renewable energy. If so, then for FR1.2, a company's applicable revenue is limited to the revenue from investing in the client's fossil fuels work, and not in the client's renewable energy portfolio.

[1.2.4] Electric utilities and power generation — companies that produce or distribute electricity, including companies that generate power for self-consumption (SBTi Power Sector [\[EN\]](#)).

Applying the Criteria to Independently Certifying Subsidiaries:

Company refers to the certifying company and entities within scope of the certification.

Further Guidance:

For the listed industries, (non-exhaustive) examples include the below.

- Gambling:
 - Casinos (NAICS 713210 [\[EN\]](#))
 - Other Gambling Industries (NAICS 713290 [\[EN\]](#)).
- Prisons and detention centers:
 - Correctional Institutions (NAICS 922140 [\[EN\]](#)).
- Tobacco:



- o Tobacco Farming (NAICS 111910 [\[EN\]](#))
- o Tobacco Manufacturing (NAICS 312230 [\[EN\]](#))
- o Tobacco Product and Electronic Cigarette Merchant Wholesalers (NAICS 424940 [\[EN\]](#))
- o Tobacco Stores (NAICS 453991 [\[EN\]](#))
- o Tobacco, Electronic Cigarette, and Other Smoking Supplies Retailers (NAICS 459991 [\[EN\]](#)).
- Weapons:
 - o Small Arms Ammunition Manufacturing (NAICS 332992 [\[EN\]](#))
 - o Ammunition (except Small Arms) Manufacturing (NAICS 332993 [\[EN\]](#))
 - o Small Arms, Ordinance, and Accessories Manufacturing (NAICS 332994 [\[EN\]](#))
 - o Military Armored Vehicle, Tank, and Tank Component Manufacturing (NAICS 336992 [\[EN\]](#)).

Implementation Resources:

Resources on industry definitions

- North American Industry Classification System (NAICS) Codes [\[EN\]](#)
- Science-Based Targets Initiative Corporate Net Zero Standard [\[EN\]](#)
- Science-Based Targets Initiative Oil & Gas Sector [\[EN\]](#)

Resources on a company's connection to social or environmental impacts

- Doing Business with Respect for Human Rights, 2016 (UN Global Compact, Shift and Oxfam) [\[EN\]](#) [\[ES\]](#)



FR1.3 The company complies with local and national laws and regulations.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR1.3	From Year 0	None	The company complies with local and national laws and regulations.



Compliance Criteria:

1.3.1 The company complies with all applicable local and national laws and regulations.

1.3.2 The company signs an Agreement committing to the B Corp Certification process.

Intent:

To ensure B Corps comply with applicable laws and regulations. Companies violating laws and regulations are not eligible for B Corp Certification.



Clarifying the Compliance Criteria:

[1.3.1] “Applicable laws” include all social, environmental, and governance regulations relevant to the parts of the company within scope for B Corp Certification.

[1.3.1] If national laws conflict with internationally recognized standards and conventions (including the “fundamental” International Labour Organization (ILO) Conventions [\[EN\]](#)) or with the B Lab Standard, the more restrictive criteria prevail, including if national legislation sets higher standards. This includes compliance with internationally recognized standards and conventions that have been adopted into national laws.

[1.3.1] Each company is responsible for its own compliance with the law. The B Lab Standard does not refer to any specific laws or regulations, because B Corps operate in many different jurisdictions, and legal requirements are always changing.

[1.3.1] The company is not eligible for certification if any evidence exists of it violating applicable laws with “severe” environmental, social, or governance impacts. “Severe” environmental, social, or governance impacts have a large scale, large scope, or low ease of remedy (see U.N. Guiding Principles [\[EN\]](#)). The company may become eligible once B Lab verifies that the violation is resolved.

[1.3.2] A representative appointed by the company’s highest governing body signs an Agreement committing to the B Corp Certification process.

Applying the Criteria to Independently Certifying Subsidiaries:

- Company refers to the certifying company and entities within scope of the certification.
- References to the highest governing body mean those within the company’s scope of certification. This means that a commitment to follow local and national laws and regulations by a representative from an out-of-scope parent body does not meet the sub-requirement, unless another representative at the highest governing body or executive team of the company makes an additional commitment.

Further Guidance:

- “Severe” environmental, social, or governance impacts have a large scale, large scope, or a low ease of remedy.
 - Scale — how serious would the impact be? A larger scale is more severe. A violation has a large scale when it causes major social, environmental, financial, or reputational harm. Examples include:
 - violating the fundamental ILO conventions [\[EN\]](#)
 - violating the UN Declaration on the Rights of Indigenous Peoples [\[EN\]](#)



- creating emissions that impact the air quality or health of local communities
- polluting a water source used by local communities.
- Scope — how many people would be impacted? A larger scope is more severe. A violation has a large scope when it impacts many people. Examples include a class action lawsuit that affects over 5% of customers, or where the financial value of litigation and penalties in relation to the same topic is more than 5% of company revenue.
- Ease of remedy — how easy would it be to correct the potential negative impact? A lower ease of remedy is more severe. A violation has a low ease of remedy when it is very difficult to restore rights to stakeholders or restore the environment to its prior state. Examples include:
 - causing loss of life
 - causing long-term health effects or birth defects
 - doing irreversible damage to ecosystems.
- Violations are unresolved when they are ongoing, or when two or more violations related to the same topic have arisen in the last year.

Recommendations:

Contact B Lab Global if any B Lab Standard is thought to be in conflict with the law. If an existing law contradicts the B Lab Standard or B Lab Theory of Change, consider lobbying or engaging in collective action to seek reform.

Interoperability:

Conceptual Alignment Data Point:

- Fairtrade Trader Standard 1.1.10, 2025 [\[EN\]](#)
- Forest Stewardship Council Principle #1, 2023 [\[EN\]](#)
- GRI 2: General Disclosures 2021 [\[EN\]](#)



FR1.4 The company shares accurate and complete information with B Lab.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR1.4	From Year 0	None	The company shares accurate and complete information with B Lab.



Compliance Criteria:

1.4.1 The company shares accurate and complete information by:

- a) using credible evidence and data source
- b) having a clear understanding of B Lab's resources.

1.4.2 The company shares accurate and complete information at all times:

- a) in its B Impact Assessment
- b) in providing information to assurance providers authorized by B Lab
- c) in all communications with B Lab personnel.

1.4.3 The company signs an Agreement committing to the B Corp Certification process.

Intent:

To ensure companies receive B Corp Certification based on complete and accurate information.



Clarifying the Compliance Criteria:

[1.4.1] The company is ineligible for certification if any evidence exists of it intentionally sharing inaccurate or incomplete information. The company may become eligible again once B Lab verifies the company has addressed the issue.

[1.4.1] “Complete information” includes information required for all relevant entities or owners in the company.

[1.4.1.a] “Credible evidence and data sources” means the company:

- identifies individuals responsible for providing evidence to sub-requirements
- formally documents certain practices, such as processes and policies
- uses reliable data sources to produce calculations and analyses
- shares evidence based on current and past performance (when applicable), not on future intentions
- does not exaggerate its performance

[1.4.1.b] The company reads the B Lab Standard and any related guidance (e.g. B Lab Knowledge Base Articles) to ensure it understands each requirement

[1.4.2] Other information B Lab may require includes company information or evidence related to a formal complaint.

[1.4.3] A representative appointed by the company’s highest governing body signs an Agreement committing to the B Corp Certification process.

Applying the Criteria to Independently Certifying Subsidiaries:

- Company refers to the certifying company and entities within scope of the certification.
- References to the highest governing body mean those within the company’s scope of certification. This means that a commitment to provide accurate and complete information by a representative from an out-of-scope parent body does not meet the sub-requirement, unless another representative at the highest governing body or executive team of the company makes an additional commitment.

Recommendations:



- Establish a system for maintaining all relevant documentation and data the company uses to comply with the B Lab Standard. This system should set out procedures and roles to enable an annual measurement of the company's impact.
- Update the company's assessment annually to track its impact performance progress.
- Consider conducting annual audits of the company's measurement and documentation processes, and implementing corrective actions, as needed.



FR1.5 The company is transparent about its performance against the B Lab Standard.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR1.5	From Year 0	None	The company is transparent about its performance against the B Lab Standard.



Compliance Criteria:

1.5.1 The company shares basic details for its B Corp public profile through the B Impact Assessment platform.

1.5.2 The company agrees to publicly share information as required by the B Lab Standard.

1.5.3 If the company is a wholly-owned or majority-owned subsidiary, or a large public company, it makes its entire B Impact Assessment report public and identifies any majority owners.

1.5.4 The company agrees that B Lab can make its B Impact Report and basic profile information available on the B Lab Global website and other B Lab and Sistema B Global Partner websites while the company is a certified B Corp.

1.5.5 The company signs an Agreement committing to the B Corp Certification process.

Intent:

To encourage companies to embrace public accountability by being transparent about their performance against the B Lab Standard.



Clarifying the Compliance Criteria:

[1.5.1] The company enters its profile details using the B Impact Assessment platform. These are not made public until the company is granted B Corp Certification. The basic details required for the company's B Corp public profile are:

- where the company is headquartered
- the month and year the company became a certified B Corp
- the industry, sector, and geographic locations the company operates in
- a short description of the company
- the company's brand or logo image
- a link to the company's webpage.

[1.5.2] Public information required by the B Lab Standard may be published on the company's B Corp public profile.

[1.5.3] If the company is a certain type or size, it makes answers from its B Impact Assessment public on the B Lab Global website, including the identity of any majority owners.

- This requirement applies if the company is:
 - a wholly-owned subsidiary
 - a majority-owned subsidiary with a parent company that earns over US\$1 billion in annual revenue
 - a public company with over US\$100 million market capitalization.
- The company submits a request to B Lab if it needs to keep any information from being made public, and demonstrates that sharing the information:
 - would significantly benefit the company's competitors
 - would prejudice litigation
 - is inappropriate to make public, because of the work required to share information that would not normally be made public in the company's legal or regulatory environment.



- B Lab has discretion to omit information that the company reasonably asks not to share from its B Impact Assessment. B Lab will not unreasonably withhold consent to omit information, while aiming to preserve the public transparency central to B Corp Certification.

[1.5.5] A representative appointed by the company's highest governing body signs an Agreement committing to the B Corp Certification process.

Applying the Criteria to Independently Certifying Subsidiaries:

- Company refers to the certifying company and entities within scope of the certification.
- References to the highest governing body mean those within the company's scope of certification. This means that a commitment to make information public by a representative from an out-of-scope parent body does not meet the sub-requirement, unless another representative at the highest governing body or executive team of the company makes an additional commitment.

Recommendations:

- Make the company's full B Impact Assessment report publicly available on the B Lab Global website.
- Visit the B Corp directory to see examples of existing B Corp profiles [\[EN\]](#).



FR2 The company adopts the B Corp legal requirement and commits to supporting the B Corp community's collective purpose.

FR2.1 The company adopts the B Corp legal requirement in its corporate structure or governing documents.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR2.1	From Year 0	None	The company adopts the B Corp legal requirement in its corporate structure or governing documents.



Compliance Criteria:

2.1.1 The company adopts an entity type or an amendment to its governing documents to require stakeholder governance (meaning it considers stakeholders in its decision-making). The company adopts stakeholder governance in accordance with the B Corp legal requirement, and as applicable to its legal form and jurisdiction.

2.1.2 If the company cannot adopt a stakeholder governance legal form because of local laws, it signs the B Corp Agreement and commits to:

- a) working with B Lab to determine the appropriate legal pathway
- b) advocating for benefit corporation legislation in its jurisdiction
- c) amending its formation documents or adopting a new legal form if one is enacted through local lawmaking.

2.1.3 The company signs an Agreement committing to the B Corp Certification process.

Intent:

- To ensure the company adopts the B Corp legal framework where possible, or helps determine or establish an appropriate legal pathway in the jurisdictions where it is not possible.
- The B Corp legal requirement:
 - o ensures that B Corps remain legally accountable to all of their stakeholders — including workers, communities, customers, suppliers, and the environment — not just their shareholders
 - o allows companies to protect their mission and ensures that they continue to practice stakeholder governance even after increasing capital and changing leadership.



Clarifying the Compliance Criteria:

[2.1.1] Having a clear purpose is an important way for the company to complement its adoption of stakeholder governance. To fulfill the B Corp legal requirement, the company also needs to clarify its purpose — to create a meaningful positive impact on society or the environment, or both — and show how it is engaging and accountable to its stakeholders.

[2.1.1] If the company generates less than US\$10 million in annual revenue or employs fewer than 50 full-time employees, it needs to meet the B Corp legal requirement to become a certified B Corp.

[2.1.1] If the company generates more than US\$10 million in annual revenue or employs over 50 full-time employees, the following timelines apply for adopting the B Corp legal requirement.

- If a benefit corporation or social purpose corporation status is available and required by B Lab in the jurisdiction where the company's legal form is organized, the company needs to adopt the B Lab legal requirement within two years of its initial B Corp Certification date.
- If neither benefit corporation nor social purpose corporation are available or required, or the company is not a corporation, and legal amendment language is available for its jurisdiction and entity form, the company needs to adopt the required amendment language either:
 - within one year from its initial B Corp Certification date, if the entity form is a limited company, company limited by shares, corporation, or equivalent
 - within 90 days from its initial B Corp certification date, if the entity form is a limited liability company (LLC) or another company governed by contract.

[2.1.1] If the company changes its legal form or structure, it may need to meet the below steps. Changes in legal form or structure include, but are not limited to, adopting a different legal entity type (e.g. LLC to a Corporation), acquiring a majority-owned subsidiary, or restructuring.

- Notify B Lab before the change, or immediately after if advance notice is not possible.
- Adopt the legal pathway appropriate for the new legal form (if available and applicable) and send B Lab a copy of the company's amended or new governing documents according to timelines set forth by B Lab.

[2.1.1] In limited cases, a B Corp legal requirement for a legal form or jurisdiction may significantly change. If this change happens after the company meets the legal requirement, then in future certifications, B Lab may require the company to amend their governing documents.

[2.1.1] If the company does not meet the B Corp legal requirement conditions, B Lab may revoke the company's certification or decline to recertify it.



[2.1.2] In some jurisdictions, the law does not yet allow companies to voluntarily adopt stakeholder governance. In these places, a change in law will need to be pursued. Until the law has been amended, certified B Corps and B Corp applicants in these jurisdictions sign the Agreement for B Corp Certification in which they commit to either:

- amending their formation documents
- adopting a new legal form if one is enacted through local lawmaking.

[2.1.2] If B Lab has determined the law does not yet allow companies to voluntarily adopt stakeholder governance, and the company is a public company, the company commits to adopting the legal pathway and makes its intention to adopt the legal requirement public on its website.

[2.1.2] If adopting the legal requirement is against current law in the company's jurisdiction, the company works with B Lab to help determine the appropriate legal pathway. Any changes to the company's formation documents are reviewed by B Lab in advance to avoid delays in the certification process.

[2.1.3] A representative appointed by the company's highest governing body signs an Agreement committing to the B Corp Certification process.

Applying the Criteria to Independently Certifying Subsidiaries:

- Company refers to the certifying company and entities within scope of the certification.
- References to the highest governing body mean those within the company's scope of certification. This means that a commitment to adopt the B Corp legal requirement by a representative from an out-of-scope parent body does not meet the sub-requirement, unless another representative at the highest governing body or executive team of the company makes an additional commitment.

Further Guidance:

Recommendations:

- Check the Legal Requirement Tool for the latest version of the legal requirement and, as feasible, amend governing documents.
- If the company has a complex legal structure with related entities, it works with B Lab Global and the relevant regional B Lab or Sistema B partner to determine which legal entity or entities need to fulfill the B Corp legal requirement for certification or in cases of changes to its legal form or structure.



- The company checks the Legal Requirement Tool [\[EN\]](#) to determine if a B Corporation legal pathway is available for the company's entity type and jurisdiction, and what the legal requirement entails.
 - If the company's form is not covered in the standard B Corp legal requirement, it reaches out to B Lab before making changes to the company's governing documents. The legal requirement and tools [\[EN\]](#) may not address all entity types or challenges in every jurisdiction today — though they are expanding each year.
- Once the company understands the most appropriate path to adopting a stakeholder governance structure, the company:
 - seeks legal counsel familiar with these types of structures (e.g. benefit corporations)
 - gets approval from decision-makers and make them aware of their rights
 - reviews the company's constitutional documents and capital structure (i.e. who owns the company and what rights they have) and relevant laws
 - files the required formal documents with the appropriate authorities (note, an attorney, if used, will normally draft and file amendments with the appropriate authorities).

Implementation Resources:

Resources on the B Corp legal requirement

- The B Lab Legal Requirement Tool [\[EN\]](#) or consulting the company's local B Lab or Sistema B team [\[EN\]](#) could be done to determine if there are legal structures available in the jurisdiction where the company's legal entity is organized.
- B Lab's Knowledge Base for additional guidance and answers to frequently asked questions [\[EN\]](#)



FR2.2 The company signs the Declaration of Interdependence and commits to the shared collective purpose of the B Corp community.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR2.2	From Year 0	None	The company signs the Declaration of Interdependence and commits to the shared collective purpose of the B Corp community.



Compliance Criteria:

2.2.1 The company commits to the shared collective purpose of the B Corp community, as set out in the Declaration of Interdependence:

We envision a global economy that uses business as a force for good. This economy is comprised of a new type of corporation — the B Corporation — which is purpose-driven and creates benefit for all stakeholders, not just shareholders.

As Certified B Corporations and leaders of this emerging economy, we believe:

That we must be the change we seek in the world.

That all business ought to be conducted as if people and place mattered.

That, through their products, practices, and profits, businesses should aspire to do no harm and benefit all.

To do so requires that we act with the understanding that we are each dependent upon another and thus responsible for each other and future generations.

2.2.2 The company signs an Agreement committing to the B Corp Certification process.

Intent:

To ensure certified B Corps are committed to the shared collective purpose of the B Corp movement.

Clarifying the Compliance Criteria:

[2.2.2] A representative appointed by the company's highest governing body signs an Agreement committing to the B Corp Certification process.

Applying the Criteria to Independently Certifying Subsidiaries:

- Company refers to the certifying company and entities within scope of the certification.
- References to the highest governing body mean those within the company's scope of certification. This means that a commitment by a representative from an out-of-scope parent body does not meet the sub-requirement, unless another representative at the highest governing body or executive team of the company makes an additional commitment.

FR3 The company creates a risk profile and meets any additional sub-requirements.

FR3.1 The company creates a risk profile and meets any additional sub-requirements.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR3.1	From Year 0	None	The company creates a risk profile and meets any additional sub-requirements.



Compliance Criteria:

- 3.1.1 The company creates a risk profile using B Lab's Risk Tool by answering the 14 questions in FR3.1.a to FR3.1.n.
- 3.1.2 The company meets any additional Impact Topic sub-requirements that the Risk Tool activates.
- 3.1.3 The company agrees to a summary of the risk profile being displayed on its B Corp public profile.

Intent:

- To align the number of due-diligence sub-requirements to the company's risk profile. Due diligence is a company's risk management process to identify, prevent, and mitigate its negative human rights and environmental impacts.
- To give stakeholders access to the company's public risk profile and therefore increase public accountability.



Clarifying the Compliance Criteria:

[3.1.1] Companies meet FR3.1 via the Risk Tool. The tool consists of 14 questions representing priority risky practices that are not specifically addressed elsewhere in the standards. Depending on a company's responses, specific sub-requirements will be added to their assessment.

[3.1.1] The company is also expected to consider the risk when meeting those additional due diligence requirements (e.g. considering the risk in a materiality assessment).

[3.1.1] Companies without workers and micro-sized companies are exempt from FR3.1, recognizing their inherently lower risk profiles.

[3.1.1] There are 14 questions in total. Each question corresponds to a risky practice and is answered with a "yes" or "no". The tool provides guidance and definitions.

[3.1.2] The activated requirements are tailored to company size and sector.

[3.1.2] In most cases, answering "yes" adds one or more requirements. In some cases, the added requirement replaces another. For example, the company may have to meet PSG3.4 instead of PSG3.2 that applied before, meaning the company reports on grievances in addition to tracking and assigning accountability for resolving them.

[3.1.2] It may happen that the activated requirement is already required, in which case it is not added. So larger companies will likely see fewer requirements being added as those activated requirements are already required.

[3.1.2] Answering "no" results in no action.

[3.1.3] The answers to the 14 questions are displayed on the B Corp public profile.

Applying the Criteria to Independently Certifying Subsidiaries:

Company refers to the certifying company and entities within scope of the certification.

Further Guidance:

- FR3.1 is one of several ways our new standards tackle a company's potential negative impacts (i.e. risks).
- These additional requirements represent due diligence practices—the steps companies take to identify, prevent, and mitigate their negative impacts— ensuring that risky practices are met with more due diligence.



- The additional requirements that can be activated come from the three Impact Topics that represent the core of our due diligence expectations: Purpose & Stakeholder Governance, Environmental Stewardship & Circularity, and Human Rights.

Example of how the Risk Tool works

- A small company generates 50% of revenue from selling alcohol, which has known negative health impacts on consumers. It answers “yes” to the question about selling harmful products. As a result, it completes a human rights saliency assessment that would otherwise not be required. In that assessment, it considers if health impacts on consumers is a salient (i.e. most relevant) human rights issue. It also creates a human rights strategy and evaluates its effectiveness over time.
- An XXL company generates 15% of revenue from selling hazardous chemicals. It answers “yes” to the question about selling chemicals. All due diligence requirements already apply given their size, so there are no requirements to add. However, it must consider the environmental risks of hazardous chemicals in the environmental impact assessment that was already required. If material, the risk is further addressed through other due diligence requirements in ESC.

User experience

- The Risk Tool is being integrated into B Impact as an automated, interactive feature. In the meantime, to give companies more time to prepare, we created FR3.1.a to FR3.1n to temporarily share the 14 questions and resulting requirements from answering “yes”. This is a temporary layout using the existing sub-requirement structure.



FR3.1.a [Your employees] In the past fiscal year, did the company contract more independent contractors than it has employees?

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR3.1.a	From Year 0	None	[Your employees] In the past fiscal year, did the company contract more independent contractors than it has employees?



Compliance Criteria:

3.1.a.1 [Small companies in all sectors] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.1, 2.3, and 2.4.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.a.2 [Medium, Large and X Large companies in Manufacturing, Agriculture, Wholesale/Retail, and Service with significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.5.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.a.3 [Medium companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.1, 2.3, and 2.4.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.a.4 [Large and X Large companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.3, 2.4, and 2.5.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.a.5 [XX Large companies in all sectors] If Yes, the company considers the potential impact (see Intent) in their Human Rights Saliency Assessment (HR2.1).

Intent:

Potential Impact: Insecure work from being hired as an independent contractor instead of an employee

Clarifying the Compliance Criteria:

- The scope is the company's own operations
- The company only counts the number of independent contractors working more than 20 hours per week indefinitely or for more than six months. The company may average working hours across the period of work. If the company doesn't track the number of hours or months then it includes the independent contractor in this calculation.
- The company may count the number of independent contractors and employees based on headcount or full-time equivalent (FTE), as long as they are consistent.
- "Considers" means to understand how the Potential Impact relates to the company and decide whether it is prioritized for further action. If not prioritized, the company justifies the decision.
- The scope is the company's own operations
- The company only counts the number of independent contractors working more than 20 hours per week indefinitely or for more than six months. The company may average working hours across the period of work. If the company doesn't track the number of hours or months then it includes the independent contractor in this calculation.
- The company may count the number of independent contractors and employees based on headcount or full-time equivalent (FTE), as long as they are consistent.
- "Considers" means to understand how the Potential Impact relates to the company and decide whether it is prioritized for further action. If not prioritized, the company justifies the decision.
- The scope is the company's own operations
- The company only counts the number of independent contractors working more than 20 hours per week indefinitely or for more than six months. The company may average working hours across the period of work. If the company doesn't track the number of hours or months then it includes the independent contractor in this calculation.
- The company may count the number of independent contractors and employees based on headcount or full-time equivalent (FTE), as long as they are consistent.
- "Considers" means to understand how the Potential Impact relates to the company and decide whether it is prioritized for further action. If not prioritized, the company justifies the decision.



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- The scope is the company's own operations
 - The company only counts the number of independent contractors working more than 20 hours per week indefinitely or for more than six months. The company may average working hours across the period of work. If the company doesn't track the number of hours or months then it includes the independent contractor in this calculation.
 - The company may count the number of independent contractors and employees based on headcount or full-time equivalent (FTE), as long as they are consistent.
 - "Considers" means to understand how the Potential Impact relates to the company and decide whether it is prioritized for further action. If not prioritized, the company justifies the decision.
-
- The scope is the company's own operations
 - The company only counts the number of independent contractors working more than 20 hours per week indefinitely or for more than six months. The company may average working hours across the period of work. If the company doesn't track the number of hours or months then it includes the independent contractor in this calculation.
 - The company may count the number of independent contractors and employees based on headcount or full-time equivalent (FTE), as long as they are consistent.
 - "Considers" means to understand how the Potential Impact relates to the company and decide whether it is prioritized for further action. If not prioritized, the company justifies the decision.



FR3.1.b [Your products] In the past fiscal year, did the company generate at least 10% of its revenue from a consumer product that causes negative health impacts acknowledged by a national government or intergovernmental body?

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR3.1.b	From Year 0	None	[Your products] In the past fiscal year, did the company generate at least 10% of its revenue from a consumer product that causes negative health impacts acknowledged by a national government or intergovernmental body?



Compliance Criteria:

3.1.b.1 [Small companies in all sectors] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.1, 2.3, and 2.4.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.b.2 [Medium, Large and X Large companies in Manufacturing, Agriculture, Wholesale/Retail, and Service with significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.5.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.b.3 [Medium companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.1, 2.3, and 2.4.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.b.4 [Large and X Large companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.3, 2.4, and 2.5.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.b.5 [XX Large companies in all sectors] If Yes, the company considers the potential impact (see Intent) in their Human Rights Saliency Assessment (HR2.1).

Intent:

- Potential Impact: Negative impacts on a consumer's health from consuming or using the product



Clarifying the Compliance Criteria:

- The scope is the company's own operations
- Examples of products include:
 - alcohol (unless low alcohol content); low alcohol content: as per local regulations or 1.2% ABV or less
 - high free sugar content; free sugar: added sugar in any form; high sugar content: as per local regulations or when free sugars represent at least 22.5% of the product weight
 - processed red meat; red meat: all mammalian muscle meat, including beef, veal, pork, lamb, mutton, horse, and goat (WHO); processed: salting, curing, fermentation, smoking, or other processes to enhance flavour or improve preservation (WHO)
 - lead-based paint
 - social media.
- Excludes: medicine.
- "Sell" refers to selling the finished product by the manufacturer, wholesaler, or retailer.
- "Consumer product" means for use by an individual consumer and not a business.
- "Health risks" includes both physical and mental health risks.
- "National government" refers to any government body where the company is based or where the product is consumed.
- Example of intergovernmental body: World Health Organization
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.

- The scope is the company's own operations
- Examples of products include:
 - alcohol (unless low alcohol content); low alcohol content: as per local regulations or 1.2% ABV or less

- o high free sugar content; free sugar: added sugar in any form; high sugar content: as per local regulations or when free sugars represent at least 22.5% of the product weight
- o processed red meat; red meat: all mammalian muscle meat, including beef, veal, pork, lamb, mutton, horse, and goat (WHO); processed: salting, curing, fermentation, smoking, or other processes to enhance flavour or improve preservation (WHO)
- o lead-based paint
- o social media.
- Excludes: medicine.
- "Sell" refers to selling the finished product by the manufacturer, wholesaler, or retailer.
- "Consumer product" means for use by an individual consumer and not a business.
- "Health risks" includes both physical and mental health risks.
- "National government" refers to any government body where the company is based or where the product is consumed.
- Example of intergovernmental body: World Health Organization
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations
- Examples of products include:
 - o alcohol (unless low alcohol content); low alcohol content: as per local regulations or 1.2% ABV or less
 - o high free sugar content; free sugar: added sugar in any form; high sugar content: as per local regulations or when free sugars represent at least 22.5% of the product weight
 - o processed red meat; red meat: all mammalian muscle meat, including beef, veal, pork, lamb, mutton, horse, and goat (WHO); processed: salting, curing, fermentation, smoking, or other processes to enhance flavour or improve preservation (WHO)
 - o lead-based paint
 - o social media.
- Excludes: medicine.

- "Sell" refers to selling the finished product by the manufacturer, wholesaler, or retailer.
- "Consumer product" means for use by an individual consumer and not a business.
- "Health risks" includes both physical and mental health risks.
- "National government" refers to any government body where the company is based or where the product is consumed.
- Example of intergovernmental body: World Health Organization
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.

- The scope is the company's own operations
- Examples of products include:
 - alcohol (unless low alcohol content); low alcohol content: as per local regulations or 1.2% ABV or less
 - high free sugar content; free sugar: added sugar in any form; high sugar content: as per local regulations or when free sugars represent at least 22.5% of the product weight
 - processed red meat; red meat: all mammalian muscle meat, including beef, veal, pork, lamb, mutton, horse, and goat (WHO); processed: salting, curing, fermentation, smoking, or other processes to enhance flavour or improve preservation (WHO)
 - lead-based paint
 - social media.
- Excludes: medicine.
- "Sell" refers to selling the finished product by the manufacturer, wholesaler, or retailer.
- "Consumer product" means for use by an individual consumer and not a business.
- "Health risks" includes both physical and mental health risks.
- "National government" refers to any government body where the company is based or where the product is consumed.
- Example of intergovernmental body: World Health Organization
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.



-
- The scope is the company's own operations
 - Examples of products include:
 - alcohol (unless low alcohol content); low alcohol content: as per local regulations or 1.2% ABV or less
 - high free sugar content; free sugar: added sugar in any form; high sugar content: as per local regulations or when free sugars represent at least 22.5% of the product weight
 - processed red meat; red meat: all mammalian muscle meat, including beef, veal, pork, lamb, mutton, horse, and goat (WHO); processed: salting, curing, fermentation, smoking, or other processes to enhance flavour or improve preservation (WHO)
 - lead-based paint
 - social media.
 - Excludes: medicine.
 - "Sell" refers to selling the finished product by the manufacturer, wholesaler, or retailer.
 - "Consumer product" means for use by an individual consumer and not a business.
 - "Health risks" includes both physical and mental health risks.
 - "National government" refers to any government body where the company is based or where the product is consumed.
 - Example of intergovernmental body: World Health Organization
 - "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.



FR3.1.c [Your products] In the past fiscal year, did the company distribute a digital product that uses artificial intelligence?

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR3.1.c	From Year 0	None	[Your products] In the past fiscal year, did the company distribute a digital product that uses artificial intelligence?



Compliance Criteria:

3.1.c.1 [Small companies in all sectors] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.1, 2.3, and 2.4.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.c.2 [Medium, Large and X Large companies in Manufacturing, Agriculture, Wholesale/Retail, and Service with significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.5.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.c.3 [Medium companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.1, 2.3, and 2.4.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.c.4 [Large and X Large companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.3, 2.4, and 2.5.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.c.5 [XX Large companies in all sectors] If Yes, the company considers the potential impact (see Intent) in their Human Rights Saliency Assessment (HR2.1).

Intent:

- Potential Impact: Known and unknown negative impacts to users of the digital products and society more broadly

Clarifying the Compliance Criteria:

- The scope is the company's own operations
- Artificial intelligence: An AI system is a machine-based system that infers, from the input it receives, how to generate outputs such as predictions, content, recommendations, or decisions that can influence physical or virtual environments. Different AI systems vary in their levels of autonomy and adaptiveness after deployment. (Adapted from OECD)
- "Distributes" refers to selling, licensing, monetizing, or otherwise providing to external users.
- "Digital product" includes both consumer products and products sold to other businesses.
- Examples of digital products that may use artificial intelligence include:
 - o digital platforms and SaaS
 - o consumer apps and media
 - o industrial and enterprise systems
 - o healthcare and biotech tools
 - o creative and mixed-reality experiences.
- Excludes: physical products, including physical products that use artificial intelligence.
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations
- Artificial intelligence: An AI system is a machine-based system that infers, from the input it receives, how to generate outputs such as predictions, content, recommendations, or decisions that can influence physical or virtual environments. Different AI systems vary in their levels of autonomy and adaptiveness after deployment. (Adapted from OECD)
- "Distributes" refers to selling, licensing, monetizing, or otherwise providing to external users.
- "Digital product" includes both consumer products and products sold to other businesses.
- Examples of digital products that may use artificial intelligence include:

-
- o digital platforms and SaaS
 - o consumer apps and media
 - o industrial and enterprise systems
 - o healthcare and biotech tools
 - o creative and mixed-reality experiences.
 - Excludes: physical products, including physical products that use artificial intelligence.
 - "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
 - The scope is the company's own operations
 - Artificial intelligence: An AI system is a machine-based system that infers, from the input it receives, how to generate outputs such as predictions, content, recommendations, or decisions that can influence physical or virtual environments. Different AI systems vary in their levels of autonomy and adaptiveness after deployment. (Adapted from OECD)
 - "Distributes" refers to selling, licensing, monetizing, or otherwise providing to external users.
 - "Digital product" includes both consumer products and products sold to other businesses.
 - Examples of digital products that may use artificial intelligence include:
 - o digital platforms and SaaS
 - o consumer apps and media
 - o industrial and enterprise systems
 - o healthcare and biotech tools
 - o creative and mixed-reality experiences.
 - Excludes: physical products, including physical products that use artificial intelligence.
 - "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
 - The scope is the company's own operations

- Artificial intelligence: An AI system is a machine-based system that infers, from the input it receives, how to generate outputs such as predictions, content, recommendations, or decisions that can influence physical or virtual environments. Different AI systems vary in their levels of autonomy and adaptiveness after deployment. (Adapted from OECD)
- "Distributes" refers to selling, licensing, monetizing, or otherwise providing to external users.
- "Digital product" includes both consumer products and products sold to other businesses.
- Examples of digital products that may use artificial intelligence include:
 - o digital platforms and SaaS
 - o consumer apps and media
 - o industrial and enterprise systems
 - o healthcare and biotech tools
 - o creative and mixed-reality experiences.
- Excludes: physical products, including physical products that use artificial intelligence.
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.

- The scope is the company's own operations
- Artificial intelligence: An AI system is a machine-based system that infers, from the input it receives, how to generate outputs such as predictions, content, recommendations, or decisions that can influence physical or virtual environments. Different AI systems vary in their levels of autonomy and adaptiveness after deployment. (Adapted from OECD)
- "Distributes" refers to selling, licensing, monetizing, or otherwise providing to external users.
- "Digital product" includes both consumer products and products sold to other businesses.
- Examples of digital products that may use artificial intelligence include:
 - o digital platforms and SaaS
 - o consumer apps and media



- o industrial and enterprise systems
- o healthcare and biotech tools
- o creative and mixed-reality experiences.
- Excludes: physical products, including physical products that use artificial intelligence.
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.



FR3.1.d [Your products] In the past fiscal year, did the company generate at least 10% of its revenue from selling hazardous chemicals?

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR3.1.d	From Year 0	None	[Your products] In the past fiscal year, did the company generate at least 10% of its revenue from selling hazardous chemicals?



Compliance Criteria:

3.1.d.1 [Small companies in Manufacturing, Agriculture, Wholesale/Retail, and Service with significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.7, ESC2.1 and ESC4.2.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).
- c) The company selects “not applicable” for ESC4.1 because ESC4.2 replaces it.

3.1.d.2 [Small companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.7, ESC2.1 and ESC4.2.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.d.3 [Medium, Large, X Large, and XX Large companies in Manufacturing, Agriculture, Wholesale/Retail, and Service with significant footprint] If Yes, the company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.d.4 [Medium companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.7, ESC2.1 and ESC4.2.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.d.5 [Large, X Large, and XX Large companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.7, ESC2.1 and ESC4.2.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).
- c) The company selects “not applicable” for ESC4.1 because ESC4.2 replaces it.

Intent:

- Potential Impact: Negative environmental impacts related to hazardous chemicals



Clarifying the Compliance Criteria:

- The scope is the company's own operations
- Hazardous chemical: any substance or mixture that poses a physical, health, or environmental hazard (adapted from [UNECE](#) and [EC No 1272/2008](#)).
- Types of hazards:
 - physical hazards: flammable, explosive, corrosive to metals
 - health hazards: carcinogenic, mutagenic, toxic to reproduction (CMRs), respiratory sensitizers
 - environmental hazards: harmful to aquatic life, ozone-depleting.
- Hazardous chemicals can be subdivided into toxicity classes according to 'Risk Phrases' assigned to individual substances. The five toxicity classes, beginning with the most dangerous one, are:
 - carcinogenic, mutagenic and reprotoxic chemicals
 - chronic toxic chemicals
 - very toxic chemicals
 - toxic chemicals
 - chemicals classified as harmful ([Glossary](#), Eurostat).
- Examples of chemically-intensive industries that may deal with hazardous chemicals: Dyes/Inks, Polymers/Plastics, Chemical Industry Reagents, Biocide/Insecticide/Fungicide, Coatings & Paints, Pharmaceuticals & Healthcare, Solvents, Electronic Materials, Adhesives, Cosmetics, Flame Retardants & Explosives, Detergents & Surfactives, Other Agrochem Products, Pulp, Wood & Paper, Household Products, Aerospace, Glass/Ceramics, Construction, Automotive, Biotech, Water Tech, Food Processing, Petrochemical ([RiskMetrics, 2009](#)).
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations
- Hazardous chemical: any substance or mixture that poses a physical, health, or environmental hazard (adapted from [UNECE](#) and [EC No 1272/2008](#)).

- Types of hazards:
 - physical hazards: flammable, explosive, corrosive to metals
 - health hazards: carcinogenic, mutagenic, toxic to reproduction (CMRs), respiratory sensitizers
 - environmental hazards: harmful to aquatic life, ozone-depleting.
- Hazardous chemicals can be subdivided into toxicity classes according to 'Risk Phrases' assigned to individual substances. The five toxicity classes, beginning with the most dangerous one, are:
 - carcinogenic, mutagenic and reprotoxic chemicals
 - chronic toxic chemicals
 - very toxic chemicals
 - toxic chemicals
 - chemicals classified as harmful ([Glossary](#), Eurostat).
- Examples of chemically-intensive industries that may deal with hazardous chemicals: Dyes/Inks, Polymers/Plastics, Chemical Industry Reagents, Biocide/Insecticide/Fungicide, Coatings & Paints, Pharmaceuticals & Healthcare, Solvents, Electronic Materials, Adhesives, Cosmetics, Flame Retardants & Explosives, Detergents & Surfactives, Other Agrochem Products, Pulp, Wood & Paper, Household Products, Aerospace, Glass/Ceramics, Construction, Automotive, Biotech, Water Tech, Food Processing, Petrochemical ([RiskMetrics, 2009](#)).
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations
- Hazardous chemical: any substance or mixture that poses a physical, health, or environmental hazard (adapted from [UNECE](#) and [EC No 1272/2008](#)).
- Types of hazards:
 - physical hazards: flammable, explosive, corrosive to metals
 - health hazards: carcinogenic, mutagenic, toxic to reproduction (CMRs), respiratory sensitizers
 - environmental hazards: harmful to aquatic life, ozone-depleting.

- Hazardous chemicals can be subdivided into toxicity classes according to 'Risk Phrases' assigned to individual substances. The five toxicity classes, beginning with the most dangerous one, are:
 - o carcinogenic, mutagenic and reprotoxic chemicals
 - o chronic toxic chemicals
 - o very toxic chemicals
 - o toxic chemicals
 - o chemicals classified as harmful ([Glossary](#), Eurostat).
- Examples of chemically-intensive industries that may deal with hazardous chemicals: Dyes/Inks, Polymers/Plastics, Chemical Industry Reagents, Biocide/Insecticide/Fungicide, Coatings & Paints, Pharmaceuticals & Healthcare, Solvents, Electronic Materials, Adhesives, Cosmetics, Flame Retardants & Explosives, Detergents & Surfactives, Other Agrochem Products, Pulp, Wood & Paper, Household Products, Aerospace, Glass/Ceramics, Construction, Automotive, Biotech, Water Tech, Food Processing, Petrochemical ([RiskMetrics, 2009](#)).
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations
- Hazardous chemical: any substance or mixture that poses a physical, health, or environmental hazard (adapted from [UNECE](#) and [EC No 1272/2008](#)).
- Types of hazards:
 - o physical hazards: flammable, explosive, corrosive to metals
 - o health hazards: carcinogenic, mutagenic, toxic to reproduction (CMRs), respiratory sensitizers
 - o environmental hazards: harmful to aquatic life, ozone-depleting.
- Hazardous chemicals can be subdivided into toxicity classes according to 'Risk Phrases' assigned to individual substances. The five toxicity classes, beginning with the most dangerous one, are:
 - o carcinogenic, mutagenic and reprotoxic chemicals
 - o chronic toxic chemicals
 - o very toxic chemicals

- o toxic chemicals
- o chemicals classified as harmful ([Glossary](#), Eurostat).
- Examples of chemically-intensive industries that may deal with hazardous chemicals: Dyes/Inks, Polymers/Plastics, Chemical Industry Reagents, Biocide/Insecticide/Fungicide, Coatings & Paints, Pharmaceuticals & Healthcare, Solvents, Electronic Materials, Adhesives, Cosmetics, Flame Retardants & Explosives, Detergents & Surfactives, Other Agrochem Products, Pulp, Wood & Paper, Household Products, Aerospace, Glass/Ceramics, Construction, Automotive, Biotech, Water Tech, Food Processing, Petrochemical ([RiskMetrics, 2009](#)).
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.

- The scope is the company's own operations
- Hazardous chemical: any substance or mixture that poses a physical, health, or environmental hazard (adapted from [UNECE](#) and [EC No 1272/2008](#)).
- Types of hazards:
 - o physical hazards: flammable, explosive, corrosive to metals
 - o health hazards: carcinogenic, mutagenic, toxic to reproduction (CMRs), respiratory sensitizers
 - o environmental hazards: harmful to aquatic life, ozone-depleting.
- Hazardous chemicals can be subdivided into toxicity classes according to 'Risk Phrases' assigned to individual substances. The five toxicity classes, beginning with the most dangerous one, are:
 - o carcinogenic, mutagenic and reprotoxic chemicals
 - o chronic toxic chemicals
 - o very toxic chemicals
 - o toxic chemicals
 - o chemicals classified as harmful ([Glossary](#), Eurostat).



- Examples of chemically-intensive industries that may deal with hazardous chemicals: Dyes/Inks, Polymers/Plastics, Chemical Industry Reagents, Biocide/Insecticide/Fungicide, Coatings & Paints, Pharmaceuticals & Healthcare, Solvents, Electronic Materials, Adhesives, Cosmetics, Flame Retardants & Explosives, Detergents & Surfactives, Other Agrochem Products, Pulp, Wood & Paper, Household Products, Aerospace, Glass/Ceramics, Construction, Automotive, Biotech, Water Tech, Food Processing, Petrochemical ([RiskMetrics, 2009](#)).
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.



FR3.1.e [Your products] In the past fiscal year, did the company generate at least 10% of its revenue from any of these activities? (i) Selling single-use plastic products from virgin, non-renewable materials, manufactured either by the company or for the company. (ii) Selling single-use plastic packaging from virgin, non-renewable materials, manufactured either by the company or for the company. (iii) Selling products manufactured either by the company or for the company that were packaged in single-use plastic packaging from virgin, non-renewable materials.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR3.1.e	From Year 0	None	[Your products] In the past fiscal year, did the company generate at least 10% of its revenue from any of these activities? (i) Selling single-use plastic products from virgin, non-renewable materials, manufactured either by the company or for the company. (ii) Selling single-use plastic packaging from virgin, non-renewable materials, manufactured either by the company or for the company. (iii) Selling products manufactured either by the company or for the company that were packaged in single-use plastic packaging from virgin, non-renewable materials.



Compliance Criteria:

3.1.e.1 [Small companies in Manufacturing, Agriculture, Wholesale/Retail, and Service with significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC3.1 and ESC3.2.

3.1.e.2 [Small and Medium companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC3.1 and ESC3.2.

3.1.e.3 [Medium companies in Manufacturing, Agriculture, Wholesale/Retail, and Service with significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC3.1 and ESC3.2.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.e.4 [Large companies in Manufacturing, Agriculture, Wholesale/Retail, and Service with significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC3.4 and ESC3.5.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.e.5 [X Large and XX Large companies in Manufacturing, Agriculture, Wholesale/Retail, and Service with significant footprint] If Yes, the company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.e.6 [Large, X Large and XX Large companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC3.1, ESC3.2, ESC3.4, and ESC3.5.



Intent:

- Potential Impact: Negative environmental impacts related to single-use plastics

Clarifying the Compliance Criteria:

- The scope is the company's own operations and the production it has outsourced. The scope of packaging is primary and secondary packaging.
- "Sell" refers to selling of the finished product by the manufacturer, wholesaler, or retailer.
- "Virgin non-renewable" materials are finite materials that have not yet been used in the economy, and do not renew in short time periods (adapted from [Ellen McArthur Foundation](#) and [European Sustainability Reporting Standards](#), 2023). Examples include iron ore mined from the ground, and plastics made without recycled content.
- The company answers this question based on its primary and secondary packaging. Tertiary packaging may be excluded.
- Primary packaging materials include: The materials that physically contain, envelop, or hold the certified product, and typically come into direct contact with the product.
- Secondary packaging materials include: Any other packaging materials contained in one sales unit as it is offered to the end user or consumer at the point of purchase and not added exclusively for shipping (e.g., a toothpaste box, outer box containing individually wrapped product units).
- Tertiary packaging materials include: Materials used exclusively for shipping the product, such as a box, pallet, or shrink or plastic wrap. (adapted from Cradle to Cradle Certified® Product Standard, Version 4.1 [\[EN\]](#)).
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations and the production it has outsourced. The scope of packaging is primary and secondary packaging
- "Sell" refers to selling of the finished product by the manufacturer, wholesaler, or retailer.
- "Virgin non-renewable" materials are finite materials that have not yet been used in the economy, and do not renew in short time periods (adapted from [Ellen McArthur Foundation](#) and [European Sustainability Reporting Standards](#), 2023). Examples include iron ore mined from the ground, and plastics made without recycled content.
- The company answers this question based on its primary and secondary packaging. Tertiary packaging may be excluded.
- Primary packaging materials include: The materials that physically contain, envelop, or hold the certified product, and typically come into direct contact with the product.

- Secondary packaging materials include: Any other packaging materials contained in one sales unit as it is offered to the end user or consumer at the point of purchase and not added exclusively for shipping (e.g., a toothpaste box, outer box containing individually wrapped product units)
- Tertiary packaging materials include: Materials used exclusively for shipping the product, such as a box, pallet, or shrink or plastic wrap. (adapted from Cradle to Cradle Certified® Product Standard, Version 4.1 [\[EN\]](#))
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations and the production it has outsourced. The scope of packaging is primary and secondary packaging
- "Sell" refers to selling of the finished product by the manufacturer, wholesaler, or retailer.
- "Virgin non-renewable" materials are finite materials that have not yet been used in the economy, and do not renew in short time periods (adapted from [Ellen McArthur Foundation](#) and [European Sustainability Reporting Standards](#), 2023). Examples include iron ore mined from the ground, and plastics made without recycled content.
- The company answers this question based on its primary and secondary packaging. Tertiary packaging may be excluded.
- Primary packaging materials include: The materials that physically contain, envelop, or hold the certified product, and typically come into direct contact with the product.
- Secondary packaging materials include: Any other packaging materials contained in one sales unit as it is offered to the end user or consumer at the point of purchase and not added exclusively for shipping (e.g., a toothpaste box, outer box containing individually wrapped product units)
- Tertiary packaging materials include: Materials used exclusively for shipping the product, such as a box, pallet, or shrink or plastic wrap. (adapted from Cradle to Cradle Certified® Product Standard, Version 4.1 [\[EN\]](#))
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations and the production it has outsourced. The scope of packaging is primary and secondary packaging
- "Sell" refers to selling of the finished product by the manufacturer, wholesaler, or retailer.

- “Virgin non-renewable” materials are finite materials that have not yet been used in the economy, and do not renew in short time periods (adapted from [Ellen McArthur Foundation](#) and [European Sustainability Reporting Standards](#), 2023). Examples include iron ore mined from the ground, and plastics made without recycled content.
- The company answers this question based on its primary and secondary packaging. Tertiary packaging may be excluded.
- Primary packaging materials include: The materials that physically contain, envelop, or hold the certified product, and typically come into direct contact with the product.
- Secondary packaging materials include: Any other packaging materials contained in one sales unit as it is offered to the end user or consumer at the point of purchase and not added exclusively for shipping (e.g., a toothpaste box, outer box containing individually wrapped product units)
- Tertiary packaging materials include: Materials used exclusively for shipping the product, such as a box, pallet, or shrink or plastic wrap. (adapted from Cradle to Cradle Certified® Product Standard, Version 4.1 [\[EN\]](#))
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations and the production it has outsourced. The scope of packaging is primary and secondary packaging
- "Sell" refers to selling of the finished product by the manufacturer, wholesaler, or retailer.
- “Virgin non-renewable” materials are finite materials that have not yet been used in the economy, and do not renew in short time periods (adapted from [Ellen McArthur Foundation](#) and [European Sustainability Reporting Standards](#), 2023). Examples include iron ore mined from the ground, and plastics made without recycled content.
- The company answers this question based on its primary and secondary packaging. Tertiary packaging may be excluded.
- Primary packaging materials include: The materials that physically contain, envelop, or hold the certified product, and typically come into direct contact with the product.
- Secondary packaging materials include: Any other packaging materials contained in one sales unit as it is offered to the end user or consumer at the point of purchase and not added exclusively for shipping (e.g., a toothpaste box, outer box containing individually wrapped product units)
- Tertiary packaging materials include: Materials used exclusively for shipping the product, such as a box, pallet, or shrink or plastic wrap. (adapted from Cradle to Cradle Certified® Product Standard, Version 4.1 [\[EN\]](#))

- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations and the production it has outsourced. The scope of packaging is primary and secondary packaging
- "Sell" refers to selling of the finished product by the manufacturer, wholesaler, or retailer.
- "Virgin non-renewable" materials are finite materials that have not yet been used in the economy, and do not renew in short time periods (adapted from [Ellen McArthur Foundation](#) and [European Sustainability Reporting Standards](#), 2023). Examples include iron ore mined from the ground, and plastics made without recycled content.
- The company answers this question based on its primary and secondary packaging. Tertiary packaging may be excluded.
- Primary packaging materials include: The materials that physically contain, envelop, or hold the certified product, and typically come into direct contact with the product.
- Secondary packaging materials include: Any other packaging materials contained in one sales unit as it is offered to the end user or consumer at the point of purchase and not added exclusively for shipping (e.g., a toothpaste box, outer box containing individually wrapped product units)
- Tertiary packaging materials include: Materials used exclusively for shipping the product, such as a box, pallet, or shrink or plastic wrap. (adapted from Cradle to Cradle Certified® Product Standard, Version 4.1 [\[EN\]](#))
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.



FR3.1.f [Your products] In the past fiscal year, did the company generate at least 10% of its revenue from selling agricultural chemicals, excluding naturally derived pesticides and fertilizers?

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR3.1.f	From Year 0	None	[Your products] In the past fiscal year, did the company generate at least 10% of its revenue from selling agricultural chemicals, excluding naturally derived pesticides and fertilizers?

Compliance Criteria:

3.1.f.1 [Small companies in Manufacturing, Agriculture, Wholesale/Retail, and Service with significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.7, ESC2.1 and ESC4.2.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).
- c) The company selects “not applicable” for ESC4.1 because ESC4.2 replaces it.

3.1.f.2 [Small companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.7, ESC2.1 and ESC4.2.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.f.3 [Medium and Large companies in Manufacturing (except Mining), Retail/Wholesale, or Service with a significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC2.2 and ESC4.3.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.f.4 [Medium, Large, X Large, and XX Large companies in Agriculture, Mining (an industry listed under Manufacturing)] If Yes, the company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.f.5 [Medium, Large, X Large and XX Large companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.7, ESC2.2 and ESC4.3.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.f.6 [X Large and XX Large companies in Manufacturing (except Mining), Retail/Wholesale, or Service with a significant footprint] If Yes, the company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

Intent:



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- Potential Impact: Negative environmental impacts related to agricultural chemicals like fertilizers and pesticides



Clarifying the Compliance Criteria:

- The scope is the company's own operations
- Agricultural chemicals include the manufacturing of nitrogenous or phosphatic fertilizers, pesticides, or other agricultural chemicals and household pest control chemicals, including insecticides, fungicides, and herbicides. (adapted from [SIC code 287](#))
- Naturally derived pesticides and fertilizers come from sources such as plants, animals, microorganisms, or minerals, and not chemically processed.
- Examples of pesticides:
 - herbicides
 - fungicides
 - insecticides.
- Examples of naturally derived pesticides and fertilizers:
 - neem oil
 - citronella
 - essential oil-based repellents
- "Sell" refers to selling of the finished product by the manufacturer, wholesaler, or retailer.
- If the company answers yes to this question it also needs to answer yes to the following question: In the past fiscal year, did the company generate at least 10% of its revenue from selling hazardous chemicals?
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations
- Agricultural chemicals include the manufacturing of nitrogenous or phosphatic fertilizers, pesticides, or other agricultural chemicals and household pest control chemicals, including insecticides, fungicides, and herbicides. (adapted from [SIC code 287](#))
- Naturally derived pesticides and fertilizers come from sources such as plants, animals, microorganisms, or minerals, and not chemically processed.



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- Examples of pesticides:
 - herbicides
 - fungicides
 - insecticides.
 - Examples of naturally derived pesticides and fertilizers:
 - neem oil
 - citronella
 - essential oil-based repellents
 - "Sell" refers to selling of the finished product by the manufacturer, wholesaler, or retailer.
 - If the company answers yes to this question it also needs to answer yes to the following question: In the past fiscal year, did the company generate at least 10% of its revenue from selling hazardous chemicals?
 - "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
 - The scope is the company's own operations
 - Agricultural chemicals include the manufacturing of nitrogenous or phosphatic fertilizers, pesticides, or other agricultural chemicals and household pest control chemicals, including insecticides, fungicides, and herbicides. (adapted from [SIC code 287](#))
 - Naturally derived pesticides and fertilizers come from sources such as plants, animals, microorganisms, or minerals, and not chemically processed.
 - Examples of pesticides:
 - herbicides
 - fungicides
 - insecticides.
 - Examples of naturally derived pesticides and fertilizers:



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- o neem oil
 - o citronella
 - o essential oil-based repellents
 - "Sell" refers to selling of the finished product by the manufacturer, wholesaler, or retailer.
 - If the company answers yes to this question it also needs to answer yes to the following question: In the past fiscal year, did the company generate at least 10% of its revenue from selling hazardous chemicals?
 - "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
 - The scope is the company's own operations
 - Agricultural chemicals include the manufacturing of nitrogenous or phosphatic fertilizers, pesticides, or other agricultural chemicals and household pest control chemicals, including insecticides, fungicides, and herbicides. (adapted from [SIC code 287](#))
 - Naturally derived pesticides and fertilizers come from sources such as plants, animals, microorganisms, or minerals, and not chemically processed.
 - Examples of pesticides:
 - o herbicides
 - o fungicides
 - o insecticides.
 - Examples of naturally derived pesticides and fertilizers:
 - o neem oil
 - o citronella
 - o essential oil-based repellents
 - "Sell" refers to selling of the finished product by the manufacturer, wholesaler, or retailer.
 - If the company answers yes to this question it also needs to answer yes to the following question: In the past fiscal year, did the company generate at least 10% of its revenue from selling hazardous chemicals?



- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations
- Agricultural chemicals include the manufacturing of nitrogenous or phosphatic fertilizers, pesticides, or other agricultural chemicals and household pest control chemicals, including insecticides, fungicides, and herbicides. (adapted from [SIC code 287](#))
- Naturally derived pesticides and fertilizers come from sources such as plants, animals, microorganisms, or minerals, and not chemically processed.
- Examples of pesticides:
 - o herbicides
 - o fungicides
 - o insecticides.
- Examples of naturally derived pesticides and fertilizers:
 - o neem oil
 - o citronella
 - o essential oil-based repellents
- "Sell" refers to selling of the finished product by the manufacturer, wholesaler, or retailer.
- If the company answers yes to this question it also needs to answer yes to the following question: In the past fiscal year, did the company generate at least 10% of its revenue from selling hazardous chemicals?
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations
- Agricultural chemicals include the manufacturing of nitrogenous or phosphatic fertilizers, pesticides, or other agricultural chemicals and household pest control chemicals, including insecticides, fungicides, and herbicides. (adapted from [SIC code 287](#))
- Naturally derived pesticides and fertilizers come from sources such as plants, animals, microorganisms, or minerals, and not chemically processed.



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- Examples of pesticides:
 - herbicides
 - fungicides
 - insecticides.
 - Examples of naturally derived pesticides and fertilizers:
 - neem oil
 - citronella
 - essential oil-based repellents
 - "Sell" refers to selling of the finished product by the manufacturer, wholesaler, or retailer.
 - If the company answers yes to this question it also needs to answer yes to the following question: In the past fiscal year, did the company generate at least 10% of its revenue from selling hazardous chemicals?
 - "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.



FR3.1.g [Your operations] In the past fiscal year, did the company's own operations have potential negative impacts on the rights or lands of Indigenous Peoples?

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR3.1.g	From Year 0	None	[Your operations] In the past fiscal year, did the company's own operations have potential negative impacts on the rights or lands of Indigenous Peoples?



Compliance Criteria:

3.1.g.1 [Small companies in all sectors] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.1, 2.3, and 2.4.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.g.2 [Medium, Large and X Large companies in Manufacturing, Agriculture, Wholesale/Retail, and Service with significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.5.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.g.3 [Medium companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.1, 2.3, and 2.4.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.g.4 [Large and X Large companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.3, 2.4, and 2.5.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.g.5 [XX Large companies in all sectors] If Yes, the company considers the potential impact (see Intent) in their Human Rights Saliency Assessment (HR2.1).

Intent:

- Potential Impact: Violation of the rights of Indigenous Peoples



Clarifying the Compliance Criteria:

- The scope is the company's own operations
 - Examples include:
 - mining
 - construction
 - industrial agriculture.
 - Excludes: company practices aimed at directly protecting or promoting the rights of Indigenous Peoples.
 - "Lands of Indigenous Peoples" are lands that Indigenous Peoples have legal or customary ownership of, or lands where they have usage rights. This includes lands recognized by the government and by Indigenous Peoples that may be disputed.
 - "Rights of Indigenous Peoples" are the rights stated in the United Nations Declaration on the Rights of Indigenous Peoples and in local law.
 - "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
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- The scope is the company's own operations
 - Examples include:
 - mining
 - construction
 - industrial agriculture.
 - Excludes: company practices aimed at directly protecting or promoting the rights of Indigenous Peoples.
 - "Lands of Indigenous Peoples" are lands that Indigenous Peoples have legal or customary ownership of, or lands where they have usage rights. This includes lands recognized by the government and by Indigenous Peoples that may be disputed.
 - "Rights of Indigenous Peoples" are the rights stated in the United Nations Declaration on the Rights of Indigenous Peoples and in local law.
 - "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.

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- The scope is the company's own operations
 - Examples include:
 - mining
 - construction
 - industrial agriculture.
 - Excludes: company practices aimed at directly protecting or promoting the rights of Indigenous Peoples.
 - "Lands of Indigenous Peoples" are lands that Indigenous Peoples have legal or customary ownership of, or lands where they have usage rights. This includes lands recognized by the government and by Indigenous Peoples that may be disputed.
 - "Rights of Indigenous Peoples" are the rights stated in the United Nations Declaration on the Rights of Indigenous Peoples and in local law.
 - "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
 - The scope is the company's own operations
 - Examples include:
 - mining
 - construction
 - industrial agriculture.
 - Excludes: company practices aimed at directly protecting or promoting the rights of Indigenous Peoples.
 - "Lands of Indigenous Peoples" are lands that Indigenous Peoples have legal or customary ownership of, or lands where they have usage rights. This includes lands recognized by the government and by Indigenous Peoples that may be disputed.
 - "Rights of Indigenous Peoples" are the rights stated in the United Nations Declaration on the Rights of Indigenous Peoples and in local law.
 - "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
 - The scope is the company's own operations



- Examples include:
 - mining
 - construction
 - industrial agriculture.
- Excludes: company practices aimed at directly protecting or promoting the rights of Indigenous Peoples.
- "Lands of Indigenous Peoples" are lands that Indigenous Peoples have legal or customary ownership of, or lands where they have usage rights. This includes lands recognized by the government and by Indigenous Peoples that may be disputed.
- "Rights of Indigenous Peoples" are the rights stated in the United Nations Declaration on the Rights of Indigenous Peoples and in local law.
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.



FR3.1.h [Your operations] In the past three years, has the company experienced any fatality or health and safety penalty?

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR3.1.h	From Year 0	None	[Your operations] In the past three years, has the company experienced any fatality or health and safety penalty?



Compliance Criteria:

3.1.h.1 [Small companies in all sectors] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.1, 2.3, and 2.4.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.h.2 [Medium, Large and X Large companies in Manufacturing, Agriculture, Wholesale/Retail, and Service with significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.5.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.h.3 [Medium companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.1, 2.3, and 2.4.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.h.4 [Large and X Large companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.3, 2.4, and 2.5.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.h.5 [XX Large companies in all sectors] If Yes, the company considers the potential impact (see Intent) in their Human Rights Saliency Assessment (HR2.1).

Intent:

- Potential Impact: Dangerous work, or poor health and safety practices



Clarifying the Compliance Criteria:

- The scope is the company's own operations
- Question applies to any worker that is or would have been within the scope of certification.
- Fatality: Death resulting from a work-related incident or exposure; in general, from an injury or an illness caused by or related to a workplace hazard. (OSHA)
- Penalties: A sanction imposed as a consequence of violating laws, regulations, or contractual obligations. It can be financial (such as fines), operational (such as restrictions or suspensions), or other forms of punishment designed to deter non-compliance and enforce rules.
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations
- Question applies to any worker that is or would have been within the scope of certification.
- Fatality: Death resulting from a work-related incident or exposure; in general, from an injury or an illness caused by or related to a workplace hazard. (OSHA)
- Penalties: A sanction imposed as a consequence of violating laws, regulations, or contractual obligations. It can be financial (such as fines), operational (such as restrictions or suspensions), or other forms of punishment designed to deter non-compliance and enforce rules.
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations
- Question applies to any worker that is or would have been within the scope of certification.
- Fatality: Death resulting from a work-related incident or exposure; in general, from an injury or an illness caused by or related to a workplace hazard. (OSHA)
- Penalties: A sanction imposed as a consequence of violating laws, regulations, or contractual obligations. It can be financial (such as fines), operational (such as restrictions or suspensions), or other forms of punishment designed to deter non-compliance and enforce rules.
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.



- The scope is the company's own operations
 - Question applies to any worker that is or would have been within the scope of certification.
 - Fatality: Death resulting from a work-related incident or exposure; in general, from an injury or an illness caused by or related to a workplace hazard. (OSHA)
 - Penalties: A sanction imposed as a consequence of violating laws, regulations, or contractual obligations. It can be financial (such as fines), operational (such as restrictions or suspensions), or other forms of punishment designed to deter non-compliance and enforce rules.
 - "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
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- The scope is the company's own operations
 - Question applies to any worker that is or would have been within the scope of certification.
 - Fatality: Death resulting from a work-related incident or exposure; in general, from an injury or an illness caused by or related to a workplace hazard. (OSHA)
 - Penalties: A sanction imposed as a consequence of violating laws, regulations, or contractual obligations. It can be financial (such as fines), operational (such as restrictions or suspensions), or other forms of punishment designed to deter non-compliance and enforce rules.
 - "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.



FR3.1.i [Your operations] In the past fiscal year, did the company manufacture or outsource the manufacturing of products made primarily from materials from extractive industries?

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR3.1.i	From Year 0	None	[Your operations] In the past fiscal year, did the company manufacture or outsource the manufacturing of products made primarily from materials from extractive industries?

Compliance Criteria:

3.1.i.1 [Small companies in Manufacturing, Agriculture, Wholesale/Retail, and Service with significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC3.1 and ESC3.2.

3.1.i.2 [Medium companies in Manufacturing, Agriculture, Wholesale/Retail, and Service with significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC3.1 and ESC3.2.
- b) considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.i.3 [Large, X Large, and XX Large companies in Manufacturing, Agriculture, Wholesale/Retail, and Service with significant footprint] If Yes, the company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.i.4 [Small, Medium, Large, X Large, and XX Large companies in Service with a minor footprint] In addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC3.1 and ESC3.2.

Intent:

- Potential Impact: Negative environmental impacts related to non-renewable resources

Clarifying the Compliance Criteria:

- The scope is the company's own operations and the production it has outsourced
- Extractive industries: An extractive industry can be defined as a process that involves different activities that lead to the extraction of raw materials from the earth (such as oil, metals, minerals, and aggregates), processing and utilization by consumers. ([UNCTAD](#))
- Examples of products where extractive materials are among the primary components:
 - products made primarily of metal or plastic
 - electronics, vehicles, or batteries
 - products dependent on mined minerals or fossil fuel derivatives, like plastics or synthetic materials.
- The company may evaluate the primary component of its product based on function, volume, or value. For example:
 - functionally essential to the product's performance or intended use (e.g., lithium in batteries)
 - used in large physical quantities, even if they are not highly valuable (e.g., sand in construction materials)
 - represent a significant portion of the product's financial value, even if used in small amounts (e.g., gold in electronics).
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations and the production it has outsourced
- Extractive industries: An extractive industry can be defined as a process that involves different activities that lead to the extraction of raw materials from the earth (such as oil, metals, minerals, and aggregates), processing and utilization by consumers. ([UNCTAD](#))
- Examples of products where extractive materials are among the primary components:
 - products made primarily of metal or plastic
 - electronics, vehicles, or batteries
 - products dependent on mined minerals or fossil fuel derivatives, like plastics or synthetic materials.
- The company may evaluate the primary component of its product based on function, volume, or value. For example:
 - functionally essential to the product's performance or intended use (e.g., lithium in batteries)

- o used in large physical quantities, even if they are not highly valuable (e.g., sand in construction materials)
- o represent a significant portion of the product's financial value, even if used in small amounts (e.g., gold in electronics).
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations and the production it has outsourced
- Extractive industries: An extractive industry can be defined as a process that involves different activities that lead to the extraction of raw materials from the earth (such as oil, metals, minerals, and aggregates), processing and utilization by consumers. ([UNCTAD](#))
- Examples of products where extractive materials are among the primary components:
 - o products made primarily of metal or plastic
 - o electronics, vehicles, or batteries
 - o products dependent on mined minerals or fossil fuel derivatives, like plastics or synthetic materials.
- The company may evaluate the primary component of its product based on function, volume, or value. For example:
 - o functionally essential to the product's performance or intended use (e.g., lithium in batteries)
 - o used in large physical quantities, even if they are not highly valuable (e.g., sand in construction materials)
 - o represent a significant portion of the product's financial value, even if used in small amounts (e.g., gold in electronics).
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further
- The scope is the company's own operations and the production it has outsourced
- Extractive industries: An extractive industry can be defined as a process that involves different activities that lead to the extraction of raw materials from the earth (such as oil, metals, minerals, and aggregates), processing and utilization by consumers. ([UNCTAD](#))
- Examples of products where extractive materials are among the primary components:
 - o products made primarily of metal or plastics
 - o electronics, vehicles, or batteries
 - o products dependent on mined minerals or fossil fuel derivatives, like plastics or synthetic materials.



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- The company may evaluate the primary component of its product based on function, volume, or value. For example:
 - functionally essential to the product's performance or intended use (e.g., lithium in batteries)
 - used in large physical quantities, even if they are not highly valuable (e.g., sand in construction materials)
 - represent a significant portion of the product's financial value, even if used in small amounts (e.g., gold in electronics).
 - "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.



FR3.1.j [Your operations] In the past three years, did the company's own operations directly involve ecosystem conversion that could contribute to habitat loss, soil erosion, or loss of biodiversity?

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR3.1.j	From Year 0	None	[Your operations] In the past three years, did the company's own operations directly involve ecosystem conversion that could contribute to habitat loss, soil erosion, or loss of biodiversity?

Compliance Criteria:

3.1.j.1 [Small companies in Manufacturing (except Mining), Retail/Wholesale, or Service with a significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.7, ESC2.1 and ESC4.2.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).
- c) The company selects “not applicable” for ESC4.1 because ESC4.2 replaces it.

3.1.j.2 [Small companies in Agriculture, Mining (an industry listed under Manufacturing)] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.7, ESC2.1 and ESC4.2.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).
- c) The company selects “not applicable” for ESC4.1 because ESC4.2 replaces it.

3.1.j.3 [Small companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.7, ESC2.1 and ESC4.2.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.j.4 [Medium and Large companies in Manufacturing (except Mining), Retail/Wholesale, or Service with a significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC2.2 and ESC4.3.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.j.5 [X Large and XX Large companies in Manufacturing (except Mining), Retail/Wholesale, or Service with a significant footprint] If Yes, the company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.j.6 [Medium, Large, X Large and XX Large companies in Agriculture, Mining (an industry listed under Manufacturing)] If Yes, the company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).



3.1.j.7 [Medium, Large, X Large and XX Large companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.7, ESC2.2 and ESC4.3.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

Intent:

- Potential Impact: Negative environmental impacts related to ecosystem conversion

Clarifying the Compliance Criteria:

- The scope is the company's own operations
- Examples of ecosystem conversion include:
 - o Agriculture & agribusiness
 - Example: A palm oil company clearing tropical rainforest to expand plantations.
 - Impact: Direct deforestation leading to habitat loss and decreased biodiversity.
 - o Mining
 - Example: An open-pit copper mine established in a previously forested area.
 - Impact: Large-scale land clearing, removal of vegetation, and alteration of natural landforms.
 - o Construction & real estate
 - Example: A developer converting coastal wetlands into residential or commercial properties.
 - Impact: Permanent loss of wetlands, which serve as critical habitats and natural flood controls.
 - o Forestry & timber
 - Example: Clear-cutting old-growth forest to supply timber and pulp.
 - Impact: Elimination of complex ecosystems that are slow or unable to regenerate.
 - o Industrial manufacturing
 - Example: Establishing large manufacturing zones on previously undeveloped land.
 - Impact: Replacement of natural ecosystems (e.g., grasslands, forests) with impervious surfaces.
- Examples that typically do not qualify as conversion:
 - o Use of previously cleared or degraded land: If a company builds facilities or grows crops on land that was converted years ago (before a certain cut-off date), and no new natural ecosystems are cleared.

- Activities on already-developed or urban land:
 - Expanding operations in an industrial park or urban setting does not involve ecosystem conversion.
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations
- Examples of ecosystem conversion include:
 - Agriculture & agribusiness
 - Example: A palm oil company clearing tropical rainforest to expand plantations.
 - Impact: Direct deforestation leading to habitat loss and decreased biodiversity.
 - Mining
 - Example: An open-pit copper mine established in a previously forested area.
 - Impact: Large-scale land clearing, removal of vegetation, and alteration of natural landforms.
 - Construction & real estate
 - Example: A developer converting coastal wetlands into residential or commercial properties.
 - Impact: Permanent loss of wetlands, which serve as critical habitats and natural flood controls.
 - Forestry & timber
 - Example: Clear-cutting old-growth forest to supply timber and pulp.
 - Impact: Elimination of complex ecosystems that are slow or unable to regenerate.
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- Impact: Elimination of complex ecosystems that are slow or unable to regenerate.
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 - Example: Establishing large manufacturing zones on previously undeveloped land.
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 - o Activities on already-developed or urban land:
Expanding operations in an industrial park or urban setting does not involve ecosystem conversion.
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.



FR3.1.k [Your operations] In the past fiscal year, did the company use hazardous chemicals in its core production processes?

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR3.1.k	From Year 0	None	[Your operations] In the past fiscal year, did the company use hazardous chemicals in its core production processes?



Compliance Criteria:

3.1.k.1 [Small companies in Manufacturing, Agriculture, Retail/Wholesale, or Service with a significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.7, ESC2.1 and ESC4.2.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).
- c) The company selects “not applicable” for ESC4.1 because ESC4.2 replaces it.

3.1.k.2 [Small and Medium companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.7, ESC2.1 and ESC4.2.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.k.3 [Medium, Large, X Large, and XX Large companies in Manufacturing, Agriculture, Retail/Wholesale, or Service with a significant footprint] If Yes, the company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.k.4 [Large, X Large, and XX Large companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.7, ESC2.1 and ESC4.2.
- b) considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).
- c) The company selects “not applicable” for ESC4.1 because ESC4.2 replaces it.

Intent:

- Potential Impact: Negative environmental impacts related to hazardous chemicals

Clarifying the Compliance Criteria:

- The scope is the company's own operations
- Hazardous chemical: Any substance or mixture that poses a physical, health, or environmental hazard, as classified under the EU CLP Regulation ([EC No 1272/2008](#)).
- Types of hazards:
 - physical hazards: Flammable, explosive, corrosive to metals
 - health hazards: Carcinogenic, mutagenic, toxic to reproduction (CMRs), respiratory sensitizers
 - environmental hazards: Harmful to aquatic life, ozone-depleting.
- Hazardous chemicals can be subdivided into toxicity classes according to 'Risk Phrases' assigned to individual substances. The five toxicity classes, beginning with the most dangerous one, are:
 - carcinogenic, mutagenic and reprotoxic chemicals
 - chronic toxic chemicals
 - very toxic chemicals
 - toxic chemicals
 - chemicals classified as harmful. ([Glossary, Eurostat](#))
- Examples of chemically-intensive industries that may deal with hazardous chemicals: Dyes/Inks, Polymers/Plastics, Chemical Industry Reagents, Biocide/Insecticide/Fungicide, Coatings & Paints, Pharmaceuticals & Healthcare, Solvents, Electronic Materials, Adhesives, Cosmetics, Flame Retardants & Explosives, Detergents & Surfactives, Other Agrochem Products, Pulp, Wood & Paper, Household Products, Aerospace, Glass/Ceramics, Construction, Automotive, Biotech, Water Tech, Food Processing, Petrochemical ([RiskMetrics, 2009](#)).
- Examples of core production processes include, but are not limited to, manufacturing, cleaning related to manufacturing, agriculture, processing, assembly, or other activities central to the creation or delivery of the company's primary products or services.
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations

- Hazardous chemical: Any substance or mixture that poses a physical, health, or environmental hazard, as classified under the EU CLP Regulation ([EC No 1272/2008](#)).
- Types of hazards:
 - physical hazards: Flammable, explosive, corrosive to metals
 - health hazards: Carcinogenic, mutagenic, toxic to reproduction (CMRs), respiratory sensitizers
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 - carcinogenic, mutagenic and reprotoxic chemicals
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 - very toxic chemicals
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 - chemicals classified as harmful. ([Glossary, Eurostat](#))
- Examples of chemically-intensive industries that may deal with hazardous chemicals: Dyes/Inks, Polymers/Plastics, Chemical Industry Reagents, Biocide/Insecticide/Fungicide, Coatings & Paints, Pharmaceuticals & Healthcare, Solvents, Electronic Materials, Adhesives, Cosmetics, Flame Retardants & Explosives, Detergents & Surfactives, Other Agrochem Products, Pulp, Wood & Paper, Household Products, Aerospace, Glass/Ceramics, Construction, Automotive, Biotech, Water Tech, Food Processing, Petrochemical ([RiskMetrics, 2009](#)).
- Examples of core production processes include, but are not limited to, manufacturing, cleaning related to manufacturing, agriculture, processing, assembly, or other activities central to the creation or delivery of the company's primary products or services.
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations
- Hazardous chemical: Any substance or mixture that poses a physical, health, or environmental hazard, as classified under the EU CLP Regulation ([EC No 1272/2008](#)).
- Types of hazards:

- o physical hazards: Flammable, explosive, corrosive to metals
- o health hazards: Carcinogenic, mutagenic, toxic to reproduction (CMRs), respiratory sensitizers
- o environmental hazards: Harmful to aquatic life, ozone-depleting.
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 - o carcinogenic, mutagenic and reprotoxic chemicals
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- Examples of chemically-intensive industries that may deal with hazardous chemicals: Dyes/Inks, Polymers/Plastics, Chemical Industry Reagents, Biocide/Insecticide/Fungicide, Coatings & Paints, Pharmaceuticals & Healthcare, Solvents, Electronic Materials, Adhesives, Cosmetics, Flame Retardants & Explosives, Detergents & Surfactives, Other Agrochem Products, Pulp, Wood & Paper, Household Products, Aerospace, Glass/Ceramics, Construction, Automotive, Biotech, Water Tech, Food Processing, Petrochemical ([RiskMetrics, 2009](#)).
- Examples of core production processes include, but are not limited to, manufacturing, cleaning related to manufacturing, agriculture, processing, assembly, or other activities central to the creation or delivery of the company's primary products or services.
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations
- Hazardous chemical: Any substance or mixture that poses a physical, health, or environmental hazard, as classified under the EU CLP Regulation ([EC No 1272/2008](#)).
- Types of hazards:
 - o physical hazards: Flammable, explosive, corrosive to metals
 - o health hazards: Carcinogenic, mutagenic, toxic to reproduction (CMRs), respiratory sensitizers
 - o environmental hazards: Harmful to aquatic life, ozone-depleting.

-
- Hazardous chemicals can be subdivided into toxicity classes according to 'Risk Phrases' assigned to individual substances. The five toxicity classes, beginning with the most dangerous one, are:
 - carcinogenic, mutagenic and reprotoxic chemicals
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 - Examples of chemically-intensive industries that may deal with hazardous chemicals: Dyes/Inks, Polymers/Plastics, Chemical Industry Reagents, Biocide/Insecticide/Fungicide, Coatings & Paints, Pharmaceuticals & Healthcare, Solvents, Electronic Materials, Adhesives, Cosmetics, Flame Retardants & Explosives, Detergents & Surfactives, Other Agrochem Products, Pulp, Wood & Paper, Household Products, Aerospace, Glass/Ceramics, Construction, Automotive, Biotech, Water Tech, Food Processing, Petrochemical ([RiskMetrics, 2009](#)).
 - Examples of core production processes include, but are not limited to, manufacturing, cleaning related to manufacturing, agriculture, processing, assembly, or other activities central to the creation or delivery of the company's primary products or services.
 - "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.



FR3.1.I [Your operations] In the past fiscal year, did the company operate a water-intensive production in an area with water risk?

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR3.1.I	From Year 0	None	[Your operations] In the past fiscal year, did the company operate a water-intensive production in an area with water risk?



Compliance Criteria:

3.1.I.1 [Small companies in Manufacturing, Agriculture, Retail/Wholesale, or Service with a significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.7, ESC2.1 and ESC4.2.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).
- c) The company selects “not applicable” for ESC4.1 because ESC4.2 replaces it.

3.1.I.2 [Small companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.7, ESC2.1 and ESC4.2.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.I.3 [Medium, Large, X Large, and XX Large companies in Manufacturing, Agriculture, Retail/Wholesale, or Service with a significant footprint] If Yes, the company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.I.4 [Medium companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.4, ESC1.7, ESC2.1 and ESC4.2.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).

3.1.I.5 [Large, X Large, and XX Large companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets ESC1.4, ESC1.7, ESC2.1 and ESC4.2.
- b) The company considers the potential impact (see Intent) in their assessment of actual and potential environmental impacts (ESC1.7).
- c) The company selects “not applicable” for ESC4.1 because ESC4.2 replaces it.

Intent:

- Potential Impact: Negative environmental impacts related to water-intensive production in areas with water risk



Clarifying the Compliance Criteria:

- The scope is the company's own operations
- Area with water risk: Covers several physical aspects related to water, including water availability; quality; quantity (including areas at high water-stress); accessibility of water; regulatory or reputational issues (including the shared use of water with communities and affordability of water) for its facilities and for the facilities of key suppliers. ([European Sustainability Reporting Standards E2](#), 2023)
- Physical water risks may include, for example:
 - physical quantity risk, related to too little or too much water (e.g. drought risk, water stress, water depletion, flood)
 - physical quality risk, related to water that is unfit for use (e.g. water contamination, untreated connected wastewater)
 - water accessibility (i.e. whether people are able to use physically available water supplies).
- Water intensive production processes require large volumes of water relative to other processes or industries. Water-intensive production is linked among others to industries such as agriculture; thermoelectric power; apparel; beverages; biotechnology/pharmaceuticals; electric power; forest products; high-tech (including semiconductor manufacturing, data centers); and metal/mining.
- In order to determine if a company operates a water intensive production it may, for instance:
 - rely on industry benchmark
 - conduct a water footprint or life cycle analysis
 - engage its stakeholders
 - assess water use relative to output
 - evaluate if it depends heavily on consistent water availability and is located in water-stressed regions.
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations
- Area with water risk: Covers several physical aspects related to water, including water availability; quality; quantity (including areas at high water-stress); accessibility of water; regulatory or reputational issues (including the shared use of water with communities and affordability of water) for its facilities and for the facilities of key suppliers. ([European Sustainability Reporting Standards E2](#), 2023)

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- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations
- Area with water risk: Covers several physical aspects related to water, including water availability; quality; quantity (including areas at high water-stress); accessibility of water; regulatory or reputational issues (including the shared use of water with communities and affordability of water) for its facilities and for the facilities of key suppliers. ([European Sustainability Reporting Standards E2](#), 2023)
- Physical water risks may include, for example:
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- The scope is the company's own operations
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- Physical water risks may include, for example:
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 - rely on industry benchmark
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- o evaluate if it depends heavily on consistent water availability and is located in water-stressed regions.
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.
- The scope is the company's own operations
- Area with water risk: Covers several physical aspects related to water, including water availability; quality; quantity (including areas at high water-stress); accessibility of water; regulatory or reputational issues (including the shared use of water with communities and affordability of water) for its facilities and for the facilities of key suppliers. ([European Sustainability Reporting Standards E2](#), 2023)
- Physical water risks may include, for example:
 - o physical quantity risk, related to too little or too much water (e.g. drought risk, water stress, water depletion, flood)
 - o physical quality risk, related to water that is unfit for use (e.g. water contamination, untreated connected wastewater)
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- Water intensive production processes require large volumes of water relative to other processes or industries. Water-intensive production is linked among others to industries such as agriculture; thermoelectric power; apparel; beverages; biotechnology/pharmaceuticals; electric power; forest products; high-tech (including semiconductor manufacturing, data centers); and metal/mining.
- In order to determine if a company operates a water intensive production it may, for instance:
 - o rely on industry benchmark
 - o conduct a water footprint or life cycle analysis
 - o engage its stakeholders
 - o assess water use relative to output
 - o evaluate if it depends heavily on consistent water availability and is located in water-stressed regions.
- "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.



FR3.1.m [Your reputation] In the past three years, has the company experienced litigations, penalties, or public allegations of forced labor in its supply chain?

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR3.1.m	From Year 0	None	[Your reputation] In the past three years, has the company experienced litigations, penalties, or public allegations of forced labor in its supply chain?



Compliance Criteria:

3.1.m.1 [Small companies in all sectors] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.1, 2.3, and 2.4.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.m.2 [Medium, Large and X Large companies in Manufacturing, Agriculture, Wholesale/Retail, and Service with significant footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.5
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.m.3 [Medium companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.1, 2.3, and 2.4.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.m.4 [Large and X Large companies in Service with a minor footprint] If Yes, in addition to the sub-requirements that already apply, the company meets the following criteria.

- a) The company meets HR2.3, 2.4, and 2.5.
- b) The company considers the potential impact (see Intent) in the human rights saliency assessment (HR2.1).

3.1.m.5 [XX Large companies in all sectors] If Yes, the company considers the potential impact (see Intent) in their Human Rights Saliency Assessment (HR2.1).

Intent:

- Potential Impact: Contributing to forced labor

Clarifying the Compliance Criteria:

- The scope is the company's supply chain
- Litigation: The process of resolving disputes through the court system. It involves the filing of a lawsuit, legal proceedings, and judicial decisions.
- Penalties: A sanction imposed as a consequence of violating laws, regulations, or contractual obligations. It can be financial (such as fines), operational (such as restrictions or suspensions), or other forms of punishment designed to deter non-compliance and enforce rules.
- Public allegation: A material and credible statement that an individual or organization has engaged in illegal or unethical activities.
- In FR3, the scope of "material and credible statement" is limited to statements from:
 - o news organizations
 - o civil society organizations
 - o governments
 - o open letters or petitions with five or more named signatures.
- The scope does not include standalone social media posts. Social media posts are in scope if they are referenced in statements from news organizations; civil society organizations; governments; or open letters or petitions with five or more named signatures.
- "Forced labor" and "modern slavery" are synonymous in this context. "Forced labor" includes child labor.
- For service companies, the "supply chain" refers to suppliers of services.
- The scope is the company's supply chain
- Litigation: The process of resolving disputes through the court system. It involves the filing of a lawsuit, legal proceedings, and judicial decisions.
- Penalties: A sanction imposed as a consequence of violating laws, regulations, or contractual obligations. It can be financial (such as fines), operational (such as restrictions or suspensions), or other forms of punishment designed to deter non-compliance and enforce rules.
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FR3.1.n [Your reputation] In the past three years, has the company experienced litigations, penalties, or public allegations of misleading marketing or greenwashing?

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FR3.1.n	From Year 0	None	[Your reputation] In the past three years, has the company experienced litigations, penalties, or public allegations of misleading marketing or greenwashing?



Compliance Criteria:

3.1.n.1 [Small companies in all sectors] If Yes, in addition to the sub-requirements that already apply,

- a) The company meets PSG4.2.
- b) The company selects “not applicable” for PSG4.1 because PSG4.2 replaces it.

3.1.n.2 [Medium companies in all sectors] If Yes, in addition to the sub-requirements that already apply,

- a) The company meets PSG3.3 and PSG3.4.
- b) The company selects “not applicable” for PSG3.1 because PSG3.3 replaces it.
- c) The company selects “not applicable” for PSG3.2 because PSG3.4 replaces it.

3.1.n.3 [Large, X Large, and XX Large companies in all sectors] If Yes, no change to the sub-requirement that applies. The most demanding sub-requirement under PSG3 already applies.

Intent:

- Potential Impact: Misleading marketing and greenwashing

Clarifying the Compliance Criteria:

- The scope is the company's own operations
- Litigation: The process of resolving disputes through the court system. It involves the filing of a lawsuit, legal proceedings, and judicial decisions.
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- Misleading marketing: False or deceptive information, or important information is left out. It covers claims made to consumers by manufacturers, distributors or retailers. It can include content in packaging, ads, catalogues, websites, social media, etc.
- Greenwashing: The practice of making environmental claims about a product, service, or organization that are misleading, unsubstantiated, vague, or disproportionate to the actual environmental impact or benefits, especially when these claims are not backed by scientific evidence and independent verification, or when they obscure trade-offs and negative impacts.
- Key elements of greenwashing include the below.
 - lack of verification: Claims are not independently verified by an accredited third party.
 - no scientific basis: Claims are not based on recognized scientific evidence or technical standards.
 - disproportionate or selective: A claim focuses on a small green aspect while ignoring larger negative environmental impacts (e.g. claiming "sustainable packaging" while the product itself is highly polluting).

- vague or generic: Terms like “eco-friendly” or “green” are used without clear definitions or substantiation.
- omission of trade-offs: The claim hides significant negative environmental impacts elsewhere in the product's lifecycle.
- non-comparability: Claims cannot be fairly compared to similar products or services. (adapted from [EU Green Claims Directive](#))
- Examples of misleading marketing or greenwashing include:
 - a false claim or impression about the details of a good or service (e.g. overstating the performance or qualities of the product, or highlighting one positive aspect, like plastic-free packaging, while omitting others, like water pollution or poor working conditions)
 - misrepresenting the price (e.g. advertising a product at sale price when it is not on sale)
 - misrepresenting consumer rights (e.g. saying consumer rights do not apply during a sale). (adapted from [Competition and Consumer Protection Commission - Ireland](#))
- The scope is the company's own operations
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An abstract graphic on the left side of the slide. It features a central target with an orange arrow hitting the bullseye. The background is composed of various geometric shapes and patterns in shades of orange and brown, including a mountain peak, a flag, and a gear.

Purpose & Stakeholder Governance (PSG)

Body of Knowledge (BoK) for the PSG
Impact Topic



Intent

The B Corp legal requirement is a core aspect of B Corp Certification and the B Lab's Theory of Change. To meet the requirement, companies update their legal governance structure to require consideration of stakeholders in decision-making.

However, that legal change is not available to B Corps in all jurisdictions. That is why this Impact Topic asks each company — whether it is available or not. To achieve this, companies are required to have a clearly defined public purpose to create a meaningful positive impact on society or the environment, or both, and to create governance structures to consider impacts on stakeholders.

These requirements commit each company to:

- establish and advance the company purpose through the company strategy
- create governance structures to monitor social and environmental performance
- consider its impacts on stakeholders in decision making
- establish responsible and transparent communications on its progress.

Outcome

Companies act in accordance with a defined purpose and embed stakeholder governance in decision making. By doing so, they contribute to an inclusive, equitable, and regenerative economic system for all people and the planet.

Requirements Summary

PSG1 The company establishes a public purpose to make a meaningful positive impact.

PSG2 The company considers its impacts on stakeholders in decision-making.

PSG3 The company has adequate procedures to address stakeholder grievances.

PSG4 The company engages in responsible marketing and public relations.

PSG5 The company's social and environmental impact and stakeholder considerations are monitored by the highest governing body and integrated throughout the company.

PSG6 The company is transparent about its social and environmental performance.

Scope

Individuals, communities, organisms, and aspects of the environment affected by the company's own operations and value chain.



Terms and Definitions

Agriculture

A company that either:

- earns over 10% of its revenue from products grown on its farm or agro-processing facility, from managing land to grow and harvest crops, or from raising and managing livestock
- sources the majority of its raw materials directly from growers or livestock producers.

Companies in the agriculture sector include, for example:

- vegetable farms
- coffee plantations or roasters
- tree planting companies
- livestock farms or ranches.

Arbiter

A party with no conflicts of interest responsible for overseeing and deciding formal grievance resolution processes and outcomes.

B Corp Legal requirement

A component of the B Corp Foundation Requirements, requiring companies to:

- adopt a broad purpose to create a material positive impact on society or the environment
- modify director's obligations in governing documents to enable stakeholder governance.

The legal requirement includes a purpose and a director's clause. To see the language for various jurisdictions, check the Legal Requirement Tool [\[EN\]](#).

Civil Society Organization (CSO)

Non-State, not-for-profit, voluntary entities formed by people in the social sphere that are separate from the State and the market. CSOs represent a wide range of interests and ties. They can include community-based organizations as well as non-governmental organizations (NGOs).

([UNGP Reporting Framework](#))

Company without workers

A company owned and run by one person. A company without workers may also be known as a sole proprietor, sole trader, individual entrepreneur, or individual proprietor.

Company

A legal entity (or group of related legal entities) formed to engage in and operate a business (meaning a commercial or industrial enterprise). A company may be organized in various ways depending on the corporate law in its jurisdiction.

Conflict of interest

A situation where a party involved in a grievance case has a professional, financial, or personal relationship that could bias, prejudice, or otherwise affect their judgment (i.e. they have a relationship with the grievance parties, or their subsidiaries or personnel).

Double materiality

An approach to identifying material impacts that considers both:

- impact materiality (company's impacts on the environment)
- financial materiality (impacts on the company's finances).

A sustainability issue has double materiality if it is material from either perspective or both.

(Adapted from [European Sustainability Reporting Standards](#), 2023)

Employee

Person who has a direct employment relationship with the company. This includes permanent, temporary, full-time, part-time, seasonal, and casual employees. This includes when, for administrative reasons, there is a different employer on record, but practically the person works as an employee and the company is responsible for their recruitment, performance evaluation, and disciplinary management.

Working owners may also count as employees, depending on certain conditions (see working owner).

Executive team

People with delegated authority from the highest governing body to implement strategies and policies that fulfill the company's purpose.

(Adapted from PAS 808 — [Purpose-driven organizations](#), British Standards Institution)

External supplier

A supplier from outside the company's corporate group.

Financial materiality

A financial perspective on the importance of sustainability matters. A sustainability matter is financially material if it causes actual or potential material financial effects on the company.

(Adapted from [European Sustainability Reporting Standards](#), 2023)

Grievance procedure

A process the company makes available for stakeholders negatively affected by its business activities to raise concerns. The company uses the grievance procedure to manage and resolve such formal complaints in a fair, independent, and transparent way.

Grievance procedures are sometimes called "grievance mechanisms", or "redress" or "accountability mechanisms".



Grievance raiser

A stakeholder who files a grievance against the company.

Grievance defendant

The individual, department, or the company itself against whom a stakeholder has filed a grievance.

Grievance

A concern or complaint about the company's (actual or potential) social, environmental, or governance issues that a stakeholder raises to the company. A grievance is often submitted through the company's grievance procedure.

Hierarchical Structure

An arrangement where workers in the company are ranked according to their authority or significance, with the highest level of power at the top.

Hierarchical structures are common in businesses, where the structure often consists, in order, of:

- the CEO
- other executives
- middle management
- employees.

(Adapted from [Boardmix](#))

Highest governing body

The person or group of people who have ultimate accountability for the whole company. Every organizational entity has one highest governing body, even if it is not explicitly established.

A highest governing body can be explicitly established in a number of formats, such as:

- a board of directors
- a supervisory board
- a sole director
- joint and several directors
- trustees.

For larger companies, a board subcommittee may be considered the highest governing body — as long as the full board is regularly updated on progress and performance.

(Adapted from [Governance of organizations](#) — Guidance, ISO Standard)

Impact report

A document detailing the company's effects and influences on the economy, environment, and people (see impact materiality).

An "integrated report" combines financial data with sustainability information to create a comprehensive view of the company's overall performance. An impact report may be part of an integrated report, if it includes detailed information about the company's sustainability impacts alongside its financial performance.

Impact materiality

The company's most significant effects on the economy, environment, and people (including their human rights).

Impact materiality encompasses impacts directly linked to the company's operations, products, services, and value chain, whether they:

- are actual or potential
- are positive or negative
- take place over the short-, medium-, or long-term.

Impact

An effect the company has, or could have, on:

- the economy
- the environment
- people, including on their human rights.

Impacts can be actual or potential, negative or positive.

(Adapted from [GRI 3](#), 2021, Global Reporting Initiative)

Independent contractor

A person who is self-employed, or works freelance. They are a “worker” if they work more than 20 hours per week indefinitely or for more than six months. This may include the following examples.

- A self-employed construction worker who works full-time for the company on a construction project for one year.
- A freelance physiotherapist who works 25 hours per week at a clinic for two years.

Indigenous Peoples

Groups of people who meet one of the following definitions.

- Tribal peoples in independent countries whose social, cultural, and economic conditions are different from other sections of the national community. Their tribal status is regulated wholly or partially by either their own customs or traditions, or special laws or regulations.
- Peoples in independent countries who descend from the people who lived in the country, or a region of it, during its conquest or colonization, or the establishment of modern state boundaries. Regardless of their legal status, they retain some or all of their own social, economic, cultural, and political institutions.

(Adapted from [Indigenous and Tribal Peoples Convention](#), 1989, International Labour Organization)



Manager

An individual at the company who is responsible for the performance of others or operational processes.

Manufacturing

A company that earns over 10% of its revenue from products it makes, either for direct sale or for sale by another company or brand.

Manufacturing involves transforming input materials into a new product. The manufactured product may not be the final product.

Companies in the manufacturing sector include, for example:

- food and beverage producers
- assembly lines
- apparel manufacturers.

Materiality assessment

An assessment that helps identify the company's material economic, social, and environmental topics. A materiality assessment uses a cross-functional process and involves stakeholders and their representatives.

Under the B Lab Standard, a materiality assessment includes (but is not limited to) the process the company uses to identify its material Human Rights and environmental issues [[link to HR2.1, ESC1.7](#)].

See also impact materiality. Impact materiality is one half of "double materiality", alongside "financial materiality".

Material

See material topic.

Material topic



The organization's most significant impacts on the economy, environment, and people, including impacts on their human rights. ([GRI 3: Material Topics](#) 2021)

See also impact materiality. Impact materiality is one half of "double materiality", alongside "financial materiality".

Output

The direct result of an activity. Outputs may include, for example:

- training materials
- policies
- reports
- impact-related programs or projects.

Outcome

A change resulting from the company's activities and outputs. An outcome has a direct link between the activities and outputs, and their impact on people and the environment.

People in vulnerable situations

Specific groups with conditions or characteristics (e.g. economic, physical, political, social) who may experience more severe negative impacts from the company's activities than the general population.

People in vulnerable situations can include, for example:

- children and youth
- elderly people
- ex-combatants
- HIV/AIDS-affected households

- human rights defenders
- Indigenous Peoples
- internally displaced persons
- migrant workers and their families
- national, ethnic, religious, or linguistic minorities
- LGBTQ+ people
- people with disabilities
- refugees or returning refugees
- women.

(Adapted from [GRI 3](#), 2021, Global Reporting Initiative)

Purpose

The company's reason to exist that makes an optimal, strategic contribution to the long-term well-being of all people and the environment.

(Adapted from [PAS 808](#), British Standards Institution)

Remediation

Any effort to counteract or undo a negative impact.

Remediation refers to both:

- the process of providing the remedy
- the major outcomes that counteract or undo the negative impact.

Outcomes may take the form, for example, of:

- apologies
- restitution
- rehabilitation
- compensation (financial or non-financial)
- punishments (criminal or administrative, such as fines).

Outcomes can also include preventing harm through, for example, injunctions or guarantees that a negative impact will not happen again.

(Adapted from [UNGP Reporting Framework](#))

Resolution

The final step in the company's grievance procedure, in which the grievance parties reach a mutually agreed solution that resolves the grievance. The solution may include remediation or restoration activities (or both).

Responsible marketing and public relations

Actions that promote transparency, honesty, and fairness in communications and advertising.

Responsible marketing and public relations includes:

- providing accurate and clear information about products and services, so consumers can make informed choices
- respecting consumer rights, avoiding misleading claims, and considering the impact of marketing and public relations on vulnerable groups and society
- ensuring that promotional activities contribute positively to social well-being.

(Adapted from [Guidance on social responsibility](#), ISO Standard)

Services with significant footprint



A company that earns 90% or more of its revenue from services that involve significant machinery or equipment, or require a specific operational location (often key to delivering the service).

Services with significant footprint include, for example:

- hotels
- restaurants
- landscaping companies
- universities.

This was previously named "Services with Significant Environmental footprint". The definition and its application remain the same.

Services with minor footprint

A company that earns 90% or more of its revenue from services that do not involve selling physical products or require a physical location for their delivery.

Services with minor footprints include, for example:

- law firms
- marketing and communications agencies
- software companies.

This was previously named "Services with Minor Environmental footprint". The definition and its application remain the same.

SMART

An acronym used to help set clear and reachable goals.

SMART goals are:

- Specific (simple, sensible, significant)

- Measurable (meaningful, motivating)
- Achievable (agreed, attainable)
- Relevant (reasonable, realistic, resourced, results-based)
- Time-bound (time-based, time limited, time/cost limited, timely, time-sensitive).

(Adapted from [Mind Tools](#))

Stakeholder

A person, group, or entity who may, positively or negatively:

- affect the company
- be affected by the company's activities
- have an interest that is affected by the company's activities.

Relevant stakeholders may include, for example:

- business partners
- civil society organizations
- consumers
- customers
- employees and other workers
- governments
- local communities
- non-governmental organizations
- shareholders and other investors
- suppliers



- trade unions
- vulnerable groups (including future generations)
- the environment (including species).

(Adapted from [GRI 3: Material Topics](#), 2021.)

Stakeholder governance

A kind of corporate governance that ensures the company is required to consider the interests of all its stakeholders in decision-making (e.g. customers, workers, suppliers, communities, investors, and the environment).

Stakeholder governance contrasts with traditional shareholder governance, which prioritizes the interests of shareholders above all other stakeholders. ([B Lab](#))

Strategic decision

A decision that will influence the company's long-term mission, goals, and strategies.

Strategy

A kind of plan that outlines the specific ways in which the company will position itself, and the actions it will take to achieve its short- and long-term goals. A strategy draws on other important business resources, such as the company's purpose, mission, vision, and values to set a direction and deliver on objectives.

Under the B Lab Standard, the company uses specific strategies to plan measurable actions over a period of time, related to specific social, environmental, or governance targets.

(Adapted from University of York)

Supplier



An entity upstream from the company (i.e. in the company's supply chain), which provides a product or service the company uses to develop its own products or services (GRI 3: Material Topics 2021).

Supply chain

The range of activities by companies and organizations "upstream" from the company, which provide products, raw materials, and services that the company uses in its own products or services.

([GRI 3](#), 2021, Global Reporting Initiative)

Target

The company's intended business performance results.

Targets can be either:

- qualitative (e.g. implementing a management system by a certain date)
- quantitative (e.g. reducing greenhouse gas emissions by a certain percentage by a certain date).

(Adapted from [GRI 3](#), 2021, Global Reporting Initiative)

Tier one supplier

External suppliers that the company (or its subsidiaries) directly purchase products or services from.

Tier one suppliers contrast to tier two suppliers, who supply products or services to the company's tier one suppliers.

Union

An organization of workers formed to collectively advance its members' interests in relation to:

- wages
- benefits
- working conditions.



A union may also be called a "trade union", "labor union", or "workers' union".

Unions are regulated by national legislation and therefore have legal authority — for example, to undertake collective bargaining and worker representation.

Value chain

The full range of activities by the company, and by upstream and downstream entities, to bring its products or services from conception to end use. The value chain includes the company's supply chain.

Entities upstream from the company (e.g. suppliers) provide products or services used to develop the company's own products or services.

Entities downstream from the company (e.g. distributors and customers) receive products or services from the company.

(Adapted from [G1 Foundation](#), 2021, Global Reporting Initiative)

Wholesale/Retail

A company that earns over 10% of its revenue from selling physical products, but does not own or operate the manufacturing processes or facilities that produce them. This includes companies that design products but outsource their production.

Wholesale/retail companies include, for example:

- grocery stores
- consumer goods companies that do not manufacture their own products
- wholesalers of physical goods.

Worker

A person who works for the company as any of the following.

- An employee
- An independent contractor, if they work more than 20 hours per week indefinitely or for more than six months.



- An agency worker, if they work more than 20 hours per week indefinitely or for more than six months.

Interns and apprentices, as defined in the B Lab Standard, do not count as workers.

Worker committee

An organized group of workers at the company level, regulated by company policy as opposed to national regulation.

A worker committee usually has less authority than a union.

Employee representation mechanism

An employee organization that serves to protect and represent workers' interests within the company.

Formal representation mechanisms may include, for example:

- unions
- works councils
- worker committees.

Works council

An organized group of workers at the company level, usually regulated by a combination of company policy and national legislation.

Works councils usually have more authority than worker committees, but less than unions. While unions often have industry-, national-, and international-level affiliations, works councils usually do not.



PSG1 The company establishes a public purpose to make a meaningful positive impact.

PSG1.1 The company establishes a public purpose to make a meaningful positive impact.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG1.1	From Year 0	Company without workers / Micro / Small / Medium / Large / X Large / XX Large	The company establishes a public purpose to make a meaningful positive impact.



Compliance Criteria:

1.1.1 The company establishes a purpose statement which:

- a) sets out the specific positive and meaningful impact the company intends to make on society or the environment, or both
- b) has business relevance and is integrated into its strategy
- c) is publicly available on the company's webpage
- d) is approved by the company's highest governing body.

Intent:

To ensure the company has a publicly accessible purpose statement that:

- aligns with the purpose clause of the B Corp legal requirement
- clearly communicates the company's purpose to its stakeholders.

Clarifying the Compliance Criteria:

[1.1.1.a] A company's purpose statement articulates the company's intent to create a meaningful positive impact while directly supporting its strategic targets and long-term success relevant to their business.

[1.1.1.a] The company can choose to address both environmental and social impacts in its purpose, or either, as relevant to its business context.

[1.1.1.b] Where a company's purpose statement does not specifically detail the business relevance and how it is integrated into the company strategy, the company has a supporting statement that details:

- the business relevance of the purpose statement
- how the purpose is integrated into the company strategy
- examples of policies, practices, communications to key stakeholders, KPIs, goals, or other metrics.

Applying the Criteria to Independently Certifying Subsidiaries:

- The purpose is embedded, at minimum, at the highest level within the company. If the company references a purpose belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the purpose.
- References to the highest governing body mean those within the company's scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body within its scope of certification.

Further Guidance:

- A company's purpose can address specific social or environmental issues that threaten or enhance wellbeing for people and the planet. It can also focus on areas of wellbeing that are underserved — particularly in populations lacking adequate support.
 - Example of an acceptable public purpose statement: *'We exist to empower urban communities with data platform solutions that enhance collaboration between cities and mobility operators for more liveable and sustainable neighborhoods.'* In this example, the company is providing a positive social and environmental impact to its stakeholders — mobility operators (their customers) and people in city neighborhoods.



- Example of an acceptable public purpose statement: *‘To restore and protect the planet's natural ecosystems, ensuring a healthy and sustainable environment for all living beings.’* In this example, the company is communicating their commitment to the long term health of the planet, by emphasizing both restoration and protection of the environment.
- Example of an unacceptable public purpose statement: *‘Our purpose is to deliver a superior experience to our clients.’* This example is unacceptable because it does not describe how “delivering a superior experience” provides a meaningful impact to society or the environment.

Recommendations:

- Consider the following suggestions to draft or update the company’s purpose statement or supporting-statement.
 - Tie the purpose to the legacy story of the company.
 - Think beyond customers to how the company can positively impact society.
 - Make the purpose bold enough to make a significant difference but still realistic for the company to implement.
- A purpose statement is generally different from a mission statement. While a mission statement outlines what the company does (and for whom), a purpose statement explains why the company exists. However, a mission (or vision) statement can serve as a purpose statement if it specifically conveys the company's reason for being.
- Align purpose with company impact by setting purpose-related performance goals that are integrated into the company strategy and embedding purpose in the culture, values, policies and daily operations.

Implementation Resources:

Resource to implement the B Corp Legal Requirement

- B Corp Legal Requirement [\[EN\]](#)

Examples of resources on embedding purpose into the company’s strategy and values

- PAS 808:2022: Purpose-driven organizations – Worldviews, principles and behaviours for delivering sustainability – Guide (BSI) [\[EN\]](#)
- Social purpose strategy: Bring your corporate purpose to life, 2024 (Canadian Purpose Economy Project) [\[EN\]](#)
- Purpose Governance Guidelines for Boards, 2024 (Canadian Purpose Economy Project) [\[EN\]](#)



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- What is a social purpose business?, 2020 (United Way BC Social Purpose Institute) [\[EN\]](#)
 - Finding purpose: A guide for companies to drive value, improve lives, and restore nature, 2024 (Junxion) [\[EN\]](#)
 - Enacting Purpose, 2020 (Said Business School) [\[EN\]](#)
 - Future-Fit Business Benchmark: Positive Pursuits [\[EN\]](#)

Interoperability:

Conceptual Alignment Data Point:

- GRI 2: General Disclosures 2021- 2-12 Role of the highest governance body in overseeing the management of impacts (a)
- GRI 2: General Disclosures 2021- 2-22 Statement on sustainable development strategy

PSG2 The company considers its impacts on stakeholders in decision-making.

PSG2.1 The company has a mechanism to consider or involve its stakeholders and represent their interests in decision-making.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG2.1	From Year 0	None	The company has a mechanism to consider or involve its stakeholders and represent their interests in decision-making.



Compliance Criteria:

2.1.1 The company identifies and prioritizes its stakeholders and maps its stakeholders listed in 2.1.3. .

2.1.2 The company engages with its stakeholders and considers their interests in decision-making.

2.1.3 The following stakeholders are represented with one or more engagement mechanisms.

- a) Workers of the company or its subsidiaries
- b) Suppliers
- c) Customers
- d) Investors
- e) The community where offices or facilities of the company, its subsidiaries, its suppliers, or its investments are located
- f) The local or global environment

Intent:

To ensure the company considers the impact of its decision-making on its stakeholders. By doing so, the company puts the B Corp legal requirement into practice.

Clarifying the Compliance Criteria:

[2.1.1] The company's identification and prioritization of stakeholders includes a comprehensive map of its stakeholders.

[2.1.2] The company describes the process it used to gather and understand stakeholders' views and interests.

[2.1.3] The company may use direct or indirect engagement mechanisms to consider stakeholders and their interests in its decision-making.

- Direct involvement means engaging stakeholders and considering their interests within the company's decision-making processes (e.g. making a stakeholder representative a member of the company's highest governing body).
- Indirect involvement means using various mechanisms to engage stakeholders and consider their interests as input into their decisions.

[2.1.3] The company can use different stakeholder engagement mechanisms flexibly as long as all the stakeholders in the Compliance Criteria are covered.

[2.1.3a] Companies without workers are not expected to consider workers in a stakeholder mechanism.

Applying the Criteria to Independently Certifying Subsidiaries:

- References to the highest governing body mean those within the company's scope of certification. This means that oversight by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional oversight at the highest governing body within its scope of certification.
- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- The company may wish to engage other expert stakeholders, such as:
 - Local and Indigenous Peoples' knowledge or traditional knowledge
 - Civil society organizations (CSOs)
 - Non-governmental organizations (NGOs)

- As the environment is a silent stakeholder, the company may rely on the following to consider its impacts on the environment:
 - Reliable or scientific environmental data
 - Expert advice
- The company can choose how to consider stakeholders in decision-making. This can involve gathering diverse perspectives and concerns through:
 - direct engagement methods, such as community town halls
 - indirect approaches, such as consultations with experts and non-profit organizations.
- Consider the following examples of stakeholder consideration for a small company in the service sector (e.g. a consultancy).
 - The company evaluates whether a new project or client aligns with its social and environmental targets [Link to ESC2.6, HR3.4].
 - The company involves workers in the decision-making that impacts them [Link to FW3.2].
- The company may, at times, need to balance one stakeholder's interest against the other. For example, building a new factory may impact an ecosystem, while it also provides local employment.
- Possible mechanisms for engaging stakeholders include the following.
 - Running regular formal discussions with representatives of stakeholders (e.g. a worker representation mechanism, stakeholder forums, focus groups, surveys, or community meetings). The highest governing body oversees these dialogues. The company uses these inputs to inform its strategies and goals.
 - Establishing a multi-stakeholder task force or another form of ongoing collaboration to co-develop and further the company's purpose or social or environmental solutions.
 - Creating an External Advisory Board (including stakeholders or experts) that advises the highest governing body.
 - Forming a sustainability committee or stakeholder committee (with company purpose or social or environmental expertise) that includes a member of the highest governing body or reports to the highest governing body.
 - Appointing a dedicated person to stakeholder interests (e.g. as Chief Stakeholder Governance). The appointed person is in the highest governing body or reports to the highest governing body.
 - Having a member of the highest governing body who has purpose, social, or environmental expertise (at least five years of educational and professional experience).

- Involving a stakeholder in the highest governing body — ideally with a rotating seat to enable different stakeholders to be represented over time.
- Appointing an independent director to represent stakeholders on the highest governing body.
- Switching to a steward-ownership model that focuses on the inclusion of all stakeholder voices (see under Implementation Resources).
- Covering stakeholders with different engagement mechanisms means, for example, that the company may have a worker representation mechanism to consider the interests of its workers and an External Advisory Board to represent its customers.

Recommendations:

- Consider having a stakeholder representative on the highest governing body (e.g. having a seat for nature).
- Go beyond considering stakeholder interests to actively collaborate with stakeholders on identifying and prioritising material topics.
- Consider prioritizing stakeholders who may have the least power and voice, or who are least visible to decision-makers, such as:
 - workers and farmers in the supply chain
 - workers of contractors
 - communities impacted by environmental damage
 - indigenous communities
 - youth or people in vulnerable situations.
- Involve stakeholders in defining relevant impact topics (material topics) for the company to address.
- When engaging with stakeholders, acknowledge and consider the role of equity by:
 - offering compensation
 - respecting stakeholder's time
 - seeking stakeholder input on the positive outcomes that the company ought to achieve

Implementation Resources:

Examples of resources on stakeholder governance and stakeholder engagement

- PAS 808:2022: Purpose-driven organizations – Worldviews, principles and behaviours for delivering sustainability – Guide (BSI) [\[EN\]](#)
- AA1000 Stakeholder Engagement Standard, 2015 (AccountAbility) [\[EN\]](#)
- Five-Step Approach to Stakeholder Engagement toolkit, 2019 (Business for Social Responsibility) [\[EN\]](#)
- Stakeholder Mapping: A Guide for Purpose-Driven Organizations, 2024 (Myghtybytes) [\[EN\]](#)
- Stakeholder Governance resources (Interdependence Coalition) [\[EN\]](#)
- Purpose and Stakeholder Governance Playbook: Your Guide to Enhancing Your Board’s Oversight of Purpose and Stakeholders, 2023 (Coro Strandberg) [\[EN\]](#)
- Steward Ownership (Purpose Economy) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#)
- Future-Fit Business Benchmark: Positive Pursuits [\[EN\]](#)
- Onboarding Nature (B Lab Benelux) [\[EN\]](#)

Examples of resources on defining material topics

- Materiality Assessment Implementation Guidance - 23 August 2023 (EFRAG) [\[EN\]](#)
- G3 (2021) Material Topics (GRI) [\[AR\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[IT\]](#) [\[PT\]](#) [traditional [ZH](#)] [simplified [ZH](#)]
- United Nations Sustainable Development Goals [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)
- Concept of the Doughnut Economics (Doughnut Economics Action Lab) [\[EN\]](#)
- The nine planetary boundaries (Stockholm Resilience Centre) [\[EN\]](#)
- Doughnut Design for Business (Doughnut Economics Action Lab) [\[EN\]](#)

Interoperability:

Conceptual Alignment Data Point:

- European Sustainability Reporting Standards 2 - 2023 - Disclosure Requirement SBM-2 – Interests and views of stakeholders 43, 45

- European Sustainability Reporting Standards 2 - 2023 - Disclosure Requirement GOV-2 – Information provided to and sustainability matters addressed by the undertaking’s administrative, management and supervisory bodies 24, 26
- GRI 2: General Disclosures 2021 - 2-29 Approach to stakeholder engagement (a)
- GRI 3: Material Topics 2021 - 3-3 Management of material topics (f)



PSG2.2 The company has a stakeholder governance policy.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG2.2	From Year 0	Large / X Large / XX Large	The company has a stakeholder governance policy.



Compliance Criteria:

2.2.1 The company's stakeholder governance policy describes:

- a) what it means to be a company with a stakeholder governance model
- b) the criteria for identifying and prioritizing stakeholders, including a comprehensive map of the company's stakeholders
- c) how decision-makers across the company consider stakeholders in decision-making related to (potential) positive and negative impacts
- d) how the company delivers value to stakeholders through considering their interests
- e) the mechanisms to encourage regular stakeholder engagement.

2.2.2. The following stakeholders are represented with one or more engagement mechanisms.

- a) Workers of the company or its subsidiaries
- b) Suppliers
- c) Customers
- d) Investors
- e) The community where offices or facilities of the company, its subsidiaries, its suppliers, or its investments are located
- f) The local or global environment

2.2.3 The policy is approved by the highest governing body.

2.2.4 The policy is communicated to company workers and available for them to access.

Intent:

To ensure the company considers the impact of its decision-making on its stakeholders. By doing so, the company puts the B Corp legal requirement into practice.



Clarifying the Compliance Criteria:

[2.2.1.b] The criteria for identifying and prioritizing stakeholders includes a comprehensive map of the company's stakeholders.

[2.2.2] The company can use different stakeholder engagement mechanisms flexibly, as long as all the stakeholders in the Compliance Criteria are covered.

[2.2.3] The company may cover elements of the policy in different policies and procedures for decision-makers (i.e. not in a single stakeholder governance document) — as long as they are approved by the highest governing body.

[2.2.4] The company explains how it communicates the stakeholder governance policy to its workers (e.g. with training).

Applying the Criteria to Independently Certifying Subsidiaries:

- References to the highest governing body mean those within the company's scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body within its scope of certification.
- The policy is embedded, at minimum, at the highest governance level within the company. If the company references a policy belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the policy.

Further Guidance:

- The policy may cover the following aspects, among others:
 - what stakeholder governance means, in a definition aligned with the B Corp legal requirement
 - what it means to have a stakeholder governance model or be a B Corp (with an overview of the B Lab Standard).
 - guidance for engaging and collaborating with stakeholders, such as:
 - supporting stakeholder accessibility (e.g. making engagement materials available in relevant languages)
 - ensuring stakeholder inclusiveness (e.g. hosting workshops for potentially illiterate stakeholders)
 - collaborating with stakeholders on the company's purpose, or on social and environmental targets
 - how the company's social and environmental goals create value or positive impact for stakeholders

- how the company aims to balance stakeholder interests in strategic decision-making
- how the company will encourage regular engagement with stakeholders
- a reference or link to the company's grievance procedure(s).
- The company may wish to engage other expert stakeholders, such as:
 - Local and Indigenous Peoples' knowledge or traditional knowledge
 - Civil society organizations (CSOs)
 - Non-governmental organizations (NGOs)
- As the environment is a silent stakeholder, the company may rely on the following to consider its impacts on the environment:
 - Reliable or scientific environmental data
 - Expert advice
- Possible mechanisms for involving stakeholders include the following.
 - Running regular formal discussions with representatives of stakeholders (e.g. a worker representation mechanism, stakeholder forums, focus groups, surveys, or community meetings). The highest governing body oversees these dialogues. The company uses these inputs to inform its strategies and goals.
 - Establishing a multi-stakeholder task force or another form of ongoing collaboration to co-develop and further the company's purpose or social or environmental solutions.
 - Creating an External Advisory Board (including stakeholders or experts) that advises the highest governing body.
 - Forming a sustainability committee or stakeholder committee (with company purpose or social or environmental expertise) that includes a member of the highest governing body or reports to the highest governing body.
 - Appointing a dedicated person to stakeholder interests (e.g. as Chief Stakeholder Governance). The appointed person is in the highest governing body or reports to the highest governing body.
 - Having a member of the highest governing body who has purpose, social, or environmental expertise (at least five years of educational and professional experience).

- Involving a stakeholder in the highest governing body — ideally with a rotating seat to enable different stakeholders to be represented over time.
- Appointing an independent director to represent stakeholders on the highest governing body.
- Switching to a steward-ownership model that focuses on the inclusion of all stakeholder voices (see under Implementation Resources).
- Covering stakeholders with different engagement mechanisms means, for example, that the company may have a worker representation mechanism to consider the interests of its workers and an External Advisory Board to represent its customers.

Recommendations:

- Make the stakeholder governance policy publicly available to all stakeholders on the company webpage.
- Consider having a stakeholder representative on the highest governing body (e.g. having a seat for nature).
- Go beyond considering stakeholder interests to actively collaborate with stakeholders on identifying and prioritising material topics.
- Consider prioritizing stakeholders who may have the least power and voice, or who are least visible to decision-makers, such as:
 - workers and farmers in the supply chain
 - workers of contractors
 - communities impacted by environmental damage
 - indigenous communities
 - youth or people in vulnerable situations.
- Involve stakeholders in defining relevant impact topics (material topics) for the company to address.
- When engaging with stakeholders, acknowledge and consider the role of equity by:
 - offering compensation
 - respecting stakeholder's time
 - seeking stakeholder input on the positive outcomes that the company ought to achieve as well as any risk mitigation.



Implementation Resources:

Examples of resources on stakeholder governance

- Stakeholder Governance resources (Interdependence Coalition) [\[EN\]](#)
- Purpose and Stakeholder Governance Playbook: Your Guide to Enhancing Your Board's Oversight of Purpose and Stakeholders, 2023 (Coro Strandberg) [\[EN\]](#)

Interoperability:

Conceptual Alignment Data Point:

- GRI 2: General Disclosures 2021 - 2-29 Approach to stakeholder engagement (a)



PSG2.3 The company conducts regular materiality assessment to assess and identify material topics.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG2.3	From Year 0	None	The company conducts regular materiality assessment to assess and identify material topics.

Compliance Criteria:

2.3.1 The company engages the following stakeholders or their representatives in a materiality assessment.

- a) Workers of the company or its subsidiaries
- b) Suppliers
- c) Customers
- d) Investors
- e) The community where offices or facilities of the company, its subsidiaries, its suppliers, or its investments are located
- f) The local or global environment

2.3.2. The materiality assessment:

- a) covers the salient human rights issues and material environmental issues addressed in the B Lab Standard
- b) covers topics relevant to the company and its stakeholders, but not addressed in the B Lab Standard
- c) uses a double materiality or impact materiality approach. It cannot only assess financial materiality.

2.3.3 The company assesses topics based on their significance and sets a threshold to determine its material topics.

2.3.4 The company conducts a full materiality assessment at least every 36 months. Between full assessments, it also undertakes one interim review of materiality with a selection of its stakeholders, to update its material topics.

2.3.5 The highest governing body has oversight of the materiality assessment process and reviews the results.

2.3.6 The final outcome and the methodology the company used in its assessment are publicly available in the annual impact report or on the company's webpage. The outcome may take the form of a materiality matrix or a list of identified material topics, plus a summary of stakeholder engagement processes.

Intent:

- To ensure the company practices stakeholder governance when identifying its material topics. It achieves this by engaging stakeholders to understand their interests and the company's potential impacts on them.



- To ensure the company identifies all material topics — even those that may not be directly covered by the B Lab Standards (e.g. health or nutrition).

Clarifying the Compliance Criteria:

[2.3.1, 2.3.2] The following actions do not meet the sub-requirement.

- A stakeholder engagement process that fails to engage key external stakeholders or to meaningfully consider their feedback
- A materiality assessment focusing only on topics related to the company's operation and financial performance (e.g. efficiency, worker productivity, or customer satisfaction)
- A materiality assessment process that fails to identify key social or environmental issues that are material to the company's stakeholders (for example, a financial service company not identifying the social and environmental impact of its investments)

[2.3.1, 2.3.2] The following actions do not meet the sub-requirement.

- A stakeholder engagement process that fails to engage key external stakeholders or to meaningfully consider their feedback
- A materiality assessment focusing only on topics related to the company's operation and financial performance (e.g. efficiency, worker productivity, or customer satisfaction)
- A materiality assessment process that fails to identify key social or environmental issues that are material to the company's stakeholders (for example, a financial service company not identifying the social and environmental impact of its investments)

[2.3.2] The company may meet this sub-requirement by conducting one assessment that also fulfills ESC1.7 and HR2.1. In this case, the assessment is generally carried out at a higher level to identify relevant material topics beyond the scope of environment or human rights.

[2.3.2a] If the company carries out separate assessments, the material topics it identifies under this sub-requirement are aligned with those identified under ESC1.7 and HR2.1.

[2.3.2b] To ensure a comprehensive assessment the company identifies all issues relevant for the company, which may go beyond the impact topics covered in the B Lab Standard. Any material topic that goes beyond the impact topics covered in the B Lab Standard is addressed under PSG2.4.

[2.3.3] The company assesses the significance of its impacts based on severity and likelihood. Severity should outweigh likelihood, so that highly-severe impacts — even if they are unlikely — are still prioritized.

- Likelihood considers how likely the impact is, and how frequently it might occur.

[2.3.3] To determine its material topics, the company prioritizes its impacts based on their significance. The company defines a cut-off point or threshold to determine which topics are material. The company prioritizes negative impacts separately from positive impacts.

[2.3.4] As well as conducting a full materiality assessment at least every 36 months, the company demonstrates an interim or ongoing review of materiality by engaging with stakeholders to update its material topics. Examples of interim or ongoing materiality assessment include, among others:

- running annual stakeholder surveys (e.g. of suppliers, customers or employees)
- scanning social media
- reviewing trends from grievance procedures.

Applying the Criteria to Independently Certifying Subsidiaries:

- The assessment covers the company. If the company references an out-of-scope corporate assessment, it demonstrates:
 - how the assessment considered its stakeholders and operational impacts
 - how the assessment outcome is relevant to its context.
- References to the highest governing body mean those within the company's scope of certification. This means that oversight by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional oversight at the highest governing body within its scope of certification.

Further Guidance:

- The company may wish to engage other expert stakeholders, such as:
 - Local and Indigenous Peoples' knowledge or traditional knowledge
 - Civil society organizations (CSOs)
 - Non-governmental organizations (NGOs)
 - Underrepresented groups (e.g. people in vulnerable situations).
- As the environment is a silent stakeholder, the company may rely on the following to consider its impacts on the environment:
 - Reliable or scientific environmental data

- Expert advice
- Impact materiality assesses the company's impacts on stakeholders (its impacts from 'inside-out'), rather than how social and environmental issues may affect the company's financial position (impacts from the 'outside-in').
- Steps of a materiality assessment may include:
 - understanding the company's context (e.g. its business activities, sector, products or services) and mapping stakeholders across its activities
 - identifying its actual and potential impacts.
- Sources for a materiality assessment may include, among others:
 - third-party assessments
 - financial audits
 - impact accounting
 - occupational health and safety inspections
 - information from grievance procedures
 - information from external sources, such as scientific research or news organizations
 - direct engagement with stakeholders.
- Severity refers to one or more of the following:
 - Scale — how serious would the impact be? A bigger scale is more severe.
 - Scope — how many people would be impacted? A bigger scope is more severe.
 - Ease of remedy — how easy would it be to correct the potential negative impact? A higher difficulty of remedy is more severe. For example, it is easier to correct underpaid wages than someone contracting an incurable disease due to poor health and safety conditions at work (however, this does not mean less severe human rights impacts can be overlooked).
- Likelihood can be assessed using the following categories, as an example.
 - High — the impact is expected to occur continuously.
 - Medium — the impact is expected to occur regularly (i.e. from several times per year to several times per month).

- Low — the impact is expected to occur only occasionally (i.e. only during a specific phase of a project).

Recommendations:

- Consider prioritizing and engaging stakeholders who may have the least power and voice, or who are least visible to decision-makers, such as:
 - workers and farmers in the supply chain
 - workers of contractors
 - communities impacted by environmental damage
 - indigenous communities
 - youth or people in vulnerable situations.
- The company makes a transparent grievance procedure available to stakeholders as part of its stakeholder engagement process. Such a procedure provides a way to remedy situations where a company may have caused or contributed to a negative impact. It can also act as an early warning system for the company, and inform their broader economic, environmental, and social actions [Link to PSG3.3 and PSG3.4].
- Use a reputable third party to support or verify the materiality assessment, to ensure independence in the analysis.
- Implement the GRI 3: Material Topics 2021 [\[EN\]](#) approach to defining material topics, which prioritizes issues explicitly by their importance to stakeholders and the company's impact on them (rather than the impact those topics have on the company).
- Take an objective approach by using credibly validated data, supported by stakeholder engagement and expert judgment.
- Go beyond gathering stakeholders' views to actively collaborate with them on identified material topics.
- Provide training to highest governing bodies on materiality assessments. Ensure their members have a complete understanding of key company stakeholders, engagement methods, and associated processes.
- Consider having a stakeholder representative on the highest governing body (e.g. having a seat for nature).
- When engaging with stakeholders, acknowledge and consider the role of equity by:
 - offering compensation
 - respecting stakeholder's time



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- seeking stakeholder input on the positive outcomes that the company ought to achieve as well as any risk mitigation.

Implementation Resources:

Examples of resources on stakeholder governance and stakeholder engagement

- PAS 808:2022: Purpose-driven organizations – Worldviews, principles and behaviours for delivering sustainability – Guide (BSI) [\[EN\]](#)
- AA1000 Stakeholder Engagement Standard, 2015 (AccountAbility) [\[EN\]](#)
- Five-Step Approach to Stakeholder Engagement toolkit, 2019 (Business for Social Responsibility) [\[EN\]](#)
- Stakeholder Mapping: A Guide for Purpose-Driven Organizations, 2024 (Myghtybites) [\[EN\]](#)
- Stakeholder Governance resources (Interdependence Coalition) [\[EN\]](#)
- Purpose and Stakeholder Governance Playbook: Your Guide to Enhancing Your Board's Oversight of Purpose and Stakeholders, 2023 (Coro Strandberg) [\[EN\]](#)
- Steward Ownership (Purpose Economy) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#)
- Future-Fit Business Benchmark: Positive Pursuits [\[EN\]](#)
- Onboarding Nature (B Lab Benelux) [\[EN\]](#)

Examples of resources on defining material topics

- Materiality Assessment Implementation Guidance - 23 August 2023 (EFRAG) [\[EN\]](#)
- G3 (2021) Material Topics (GRI) [\[AR\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[IT\]](#) [\[PT\]](#) [\[traditional ZH\]](#) [\[simplified ZH\]](#)
- United Nations Sustainable Development Goals [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)
- Concept of the Doughnut Economics (Doughnut Economics Action Lab) [\[EN\]](#)
- The nine planetary boundaries (Stockholm Resilience Centre) [\[EN\]](#)
- Doughnut Design for Business (Doughnut Economics Action Lab) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point:

- GRI 3: Material Topics 2021 - 3-1 Process to determine material topics
- GRI 3: Material Topics 2021 - Disclosure 3-2 List of material topics
- European Sustainability Reporting Standards - G1 2023 - Disclosure Requirement related to ESRS 2 IRO-1 – Description of the processes to identify and assess material impacts, risks and opportunities
- European Sustainability Reporting Standards 2 - 2023 - Disclosure Requirement GOV-1 – The role of the administrative, management and supervisory bodies 20 b
- European Sustainability Reporting Standards 2 - 2023 - Disclosure Requirement SBM-2 – Interests and views of stakeholders 43, 45
- European Sustainability Reporting Standards 2 - 2023 - Disclosure Requirement SBM-3 - Material impacts, risks and opportunities and their interaction with strategy and business model 46, 48 a, c
- European Sustainability Reporting Standards 2 -2023 - Disclosure Requirement IRO-1 - Description of the process to identify and assess material impacts, risks and opportunities 51, 53
- GRI 2: General Disclosures 2021- 2-12 Role of the highest governance body in overseeing the management of impacts (a)
- GRI 2: General Disclosures 2021 - 2-29 Approach to stakeholder engagement (a)



PSG2.4 The company identifies material topics not addressed in the B Lab Standard, sets targets, and reports progress annually.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG2.4	From Year 0	None	The company identifies material topics not addressed in the B Lab Standard, sets targets, and reports progress annually.

Compliance Criteria:

2.4.1 The company identifies any material topics from its materiality assessment that are not addressed in the B Lab Standard.

2.4.2 The company sets at least one target per material topic it identifies.

2.4.3 The targets are:

- a) specific, measurable, achievable, relevant, and time-bound (SMART)
- b) integrated into the company strategy
- c) available to the public
- d) approved by the highest governing body

2.4.4 The company assigns responsibility for achieving each target.

2.4.5 In the years after setting its targets, the company publicly reports its progress in its impact report or website.

2.4.6 Once the company has achieved a target for a material topic, it sets a new target that meets these Compliance Criteria.

Intent:

To ensure the company:

- acts on material topics that may not be addressed in the B Lab Standard.
- is accountable to its commitments and stakeholders, through:
 - transparency (i.e. sharing targets and progress publicly)
 - highest governing body oversight.



Clarifying the Compliance Criteria:

[2.4.1] The company identifies its material topics under PSG2.3.

[2.4.1]. The company uses a gap analysis to identify material topics not addressed in the B Lab Standard. This involves the company comparing the material topics it prioritized in its assessment (PSG2.3) with the B Lab Standard. This sub-requirement applies for all material topics the company has identified that are not addressed in the B Lab Standard.

[2.4.1] If all of the company's material topics are addressed in the B Lab Impact Topics requirements, the company meets this sub-requirement by setting at least one target related to a material topic that goes beyond the actions required in the B Lab Standard. The target meets all Compliance Criteria in this sub-requirement.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.
- References to the highest governing body mean those within the company's scope of certification. This means that oversight by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional oversight at the highest governing body within its scope of certification.

Further Guidance:

- The company's targets and progress toward them will be disclosed in its B Corp public profile once it has successfully completed B Corp Certification.
- In its materiality assessment, the company considers both:
 - positive and negative impact
 - actual and potential impact.
- Potential material topics not addressed in the B Lab Standard include, for example:



- responsible use of artificial intelligence
- profit redistribution
- consumer protection
- data privacy
- sustainable consumption
- local community engagement and investments
- access, pricing, and quality of essential products and services (e.g. water, food, housing, healthcare, education, and sanitation).
- Examples of SMART targets for addressing material topics outside the B Lab Standard include the following.
 - By the end of 2026, increase the frequency of internal ethics audits from bi-annual to quarterly, ensuring compliance with company standards in at least 95% of departments.
 - Double the company's charitable donations to local community projects by the end of 2026 (compared to 2024).
 - Shift 80% of our real estate portfolio to housing projects for underserved communities over the next three years, ensuring affordability and accessibility while maintaining quality standards. We will achieve this transition by the end of 2029.
 - Achieve 100% worker ownership by 2026. We will do this by implementing a structured employee stock ownership plan, supported by quarterly financial education workshops for all workers.
 - Launch a mental health support initiative by Q2 2026, with all-hours access to counseling services for all workers. By the end of 2026, achieve uptake of the service by 30% of workers.
 - By December 2026, develop and launch a customer education program to promote sustainable product choices that reaches 80% of our customer base.
 - Over the next two years, transition 70% of our supplier base to local suppliers, achieving this by the end of 2028. By collaborating closely with regional producers, we will enhance local economic impacts and reduce carbon emissions in our supply chain.
 - Structure a comprehensive career development program by December 2026, providing each employee with a personalized development plan. This will include US\$800 for external professional development for each employee. We aim to increase employee participation in training workshops by 80% (compared to 2023).
- The “company strategy” may be:

- the company's environmental strategy
- the company's human rights strategy
- another related strategy that covers the company's environmental and social impact management plans.

Recommendations:

- Strike a balance between the ambition of the company's targets and the context it operates in. Ensure that targets are both aspirational and achievable within the set timeframe.
- Consider the following guidance when setting targets.
 - Create industry-leading targets, meaning they substantially exceed typical industry performance on the material topic.
 - Align targets with planetary boundaries and international social conventions, such as:
 - Sustainable Development Goals (SDGs)
 - The Paris Agreement
 - The United Nations Guiding Principles for Business & Human Rights.
 - Link the targets to the company purpose.
- Start with a clear understanding of the company's current baseline performance to set realistic and informed targets.
- Implement clear data collection and analysis processes to monitor progress against targets.
- Set and report progress on additional targets publicly to demonstrate the breadth and ambition of the company's impact management strategy.

Implementation Resources:

Examples of resources on setting ambitious social and environmental targets:

- Science Based Targets Network [\[EN\]](#)
- Future-Fit Business Benchmark: Break-Even Goals [\[EN\]](#)



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- SDG Action Manager [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[PT\]](#)



PSG2.5 The company considers its stakeholders when making decisions about dividends and stock buybacks.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	None	None
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG2.5	From Year 3	None	The company considers its stakeholders when making decisions about dividends and stock buybacks.



Compliance Criteria:

2.5.1 The company documents decisions by the highest governing body that relate to dividends and stock buyback and which demonstrate how the company:

- a) considered the interests of its stakeholders (not just shareholders)
- b) evaluated stakeholder interests or balanced conflicting stakeholder interests.

2.5.2 The company considers impacts to the following stakeholders in relation to dividend and stock buyback decisions.

- a) Workers of the company or its subsidiaries
- b) Suppliers
- c) Customers
- d) Investors
- e) The community where offices or facilities of the company, its subsidiaries, its suppliers, or its investments are located
- f) The local or global environment

2.5.3 The company is publicly transparent on how decisions on dividends and stock buybacks are balanced with reinvestments in the company's social and environmental performance.

Intent:

To ensure the company puts the B Corp legal requirement for stakeholder governance into practice by:

- considering the impact of its decisions about dividends and stock buybacks on all stakeholders
- avoiding practices that disproportionately benefit certain parties at the expense of others.

Clarifying the Compliance Criteria:

[2.5.1, 2.5.2, 2.5.3] “Dividend” is the distribution of a company's earnings to its shareholders and is typically determined by the company's board of directors. Dividends may be paid out as cash or in the form of reinvestment in additional stock. (Investopedia [\[EN\]](#))

[2.5.1, 2.5.2, 2.5.3] “Stock buyback” is also known as share repurchase; when a company repurchases its own stock, reducing the total number of shares outstanding. (Bankrate [\[EN\]](#))

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[2.5.1, 2.5.2, 2.5.3] “Stock buyback” is also known as share repurchase; when a company repurchases its own stock, reducing the total number of shares outstanding. (Bankrate [\[EN\]](#))

Applying the Criteria to Independently Certifying Subsidiaries:

- This sub-requirement only applies to companies who have ultimate control over the payout of dividends and decisions regarding stock buybacks.
- References to the highest governing body mean those within the company's scope of certification.

Further Guidance:

Balancing stakeholder interests may involve:

- weighing the long-term impacts of buybacks on the company's ability to manage its material social and environmental issues
- prioritizing ethical and moral considerations that go beyond shareholder value.

Recommendations:

- The company may demonstrate public transparency:
 - on the company webpage
 - in formal public company documents such as the company annual report or stakeholder proxy statements
- Gather feedback from different stakeholders before making decisions about dividends and stock buyback. This may involve running:
 - surveys
 - meetings
 - advisory panels representing different interests.
- Clearly communicate the reasoning behind dividend and buyback decisions to stakeholders. Show how these decisions align with the company's organizational strategy and benefit all its stakeholders.

Implementation Resources:

- The Role of Share Repurchases for Firms' Social and Environmental Sustainability 2022. (Maurio Vaupel, David Bendig, Denise Fischer-Kreer & Malte Brettel) [\[EN\]](#)

Interoperability:

- European Sustainability Reporting Standards 2 - Disclosure Requirement SBM-2 – Interests and views of stakeholders 43, 45.



PSG3 The company has adequate procedures to address stakeholder grievances.

PSG3.1 The company has a publicly accessible grievance procedure allowing stakeholders to safely raise grievances and seek resolutions.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG3.1	From Year 0	None	The company has a publicly accessible grievance procedure allowing stakeholders to safely raise grievances and seek resolutions.



Compliance Criteria:

3.1.1 The company publishes a grievance form on its webpage or has another easily accessible way for stakeholders to raise a grievance.

3.1.2 The grievance procedure explains:

- a) grounds for accepting a grievance
- b) grievance process steps and targeted deadlines for managing a grievance
- c) how a resolution is facilitated

3.1.3 The company describes the processes and controls in place to protect stakeholders who raise grievances from any form of retaliation.

3.1.4 The company responds to stakeholder grievances by either:

- a) regularly communicating each step in the resolution process and its outcome to the complainant, and confirming when the grievance has been resolved
- b) explaining why it did not accept the issue as a grievance.

Intent:

To ensure stakeholders have a clear and accessible way to raise concerns and seek resolution about the company's social, environmental, or governance issues. By enabling this, the company puts the B Corp legal requirement for stakeholder governance into practice.

Clarifying the Compliance Criteria:

[3.1.1] The company's membership in an industry or sector that provides a grievance procedure to its members may qualify, as long as the procedure still meets the compliance criteria.

[3.1.1] If the company does not publish a grievance form and procedure on its website, it makes other methods for raising a grievance transparent, easily accessible and ongoing. These may include:

- a general email address for all queries
- a whistleblower or ethics hotline
- business-to-business contract clauses with dispute resolution provisions
- “Open-door” or “speak up” policies for workers
- suggestion or feedback boxes, or other worker voice tools
- direct stakeholder engagement
- worker committees
- a customer services department
- trade unions and industrial relations processes
- consumer complaints mechanisms
- Code of Conduct requirements for supplier mechanisms
- community outreach and engagement.

[3.1.3] Protecting stakeholders from any form of retaliation means implementing measures to enforce confidentiality and assess potential risks to stakeholders. This may include:

- allowing the grievance raiser or other affected stakeholders to request their identities remain confidential if they anticipate retaliation due to the grievance
- clearly informing those raising grievances about who will need to be involved or informed at the outset

- seeking consent before sharing information with additional parties
- maintaining confidentiality regarding the outcome of the process
- enhanced training for those handling the grievance procedure
- enforcing disciplinary action in cases of confidentiality breaches
- collaborating with independent third parties to assess risks for vulnerable stakeholders.

[3.1.4] “Regularly communicating” about a grievance means updating the stakeholder as needed about the process. This may include providing information about:

- the decision-making process
- the timelines for reviewing the grievance
- the scope of grievances the company has accepted
- the company’s resolution management approach
- the grievance being closed
- any other information useful for the stakeholder.

Applying the Criteria to Independently Certifying Subsidiaries:

The grievance procedure is embedded, at minimum, at the highest level within the company. If the company references a grievance procedure belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the grievance procedure.

Further Guidance:

Grievance procedures offer ways for stakeholders who may be negatively impacted by a company’s activities to raise concerns or provide feedback. They extend beyond customer service issues (like order refunds or shipping delays) to address broader concerns, including ethical, environmental, and social impacts. Doing this proactively enables the company to resolve issues earlier and more directly.

Recommendations:

- Use the effectiveness criteria of the UN Guiding Principles on Business and Human Rights to develop and manage the company's grievance procedure (see implementation resources).
- Create a map of main stakeholders with the corresponding grievance procedure for each group.
- Specify what evidence the company requires to support a grievance's eligibility. This may include, for example, requiring:
 - a clear and concise summary of the key facts
 - an outline of events linked to the grievance.
- Create a grievance submission form covering, for example:
 - the name and contact details of the stakeholder submitting the grievance, and, if they are acting on behalf of another stakeholder, evidence of their authority to do so
 - a way for the stakeholder to request confidentiality
 - the details of who the grievance is being raised against
 - information about whether the issues have already been raised with the company and in what form, and what response the company provided
 - the resolution sought.
- Create a flowchart outlining the steps of the grievance procedure or procedures.
- Hire an independent facilitator to manage the process, or appoint a dedicated manager to resolve grievances through direct discussion with affected stakeholders.
- Be aware that not receiving any grievances does not necessarily mean that none exist — it may be a sign that the grievance procedure is hard to use, or the affected stakeholders do not trust the grievance process.
- Build trust in the process by having a policy of no retaliation or a whistleblower protection policy.

Implementation Resources:

Examples of resources on grievance procedure and due diligence

- People and planet in business: A simple guide to how small and micro companies can start or strengthen their due diligence, 2023 (Fairtrade International, B Lab) [\[EN\]](#)

- Remediation and Grievance Mechanisms (Business for Human Rights) [\[EN\]](#)
- [UN Guiding Principles on Business and Human Rights](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)[\[JP\]](#) [\[PL\]](#)
- OHCHR Accountability and Remedy Project: Meeting the UNGP's Effectiveness Criteria, 2021 [\[EN\]](#)
- Web Content Accessibility Guidelines Checklist (A11Y Project) [\[EN\]](#)
- Open-Door Policy in the Workplace: The Ultimate Implementation Guide, 2024 (Shiftbase) [\[EN\]](#)

Interoperability:

Conceptual match:

- DIRECTIVE OF THE EUROPEAN PARLIAMENT AND OF THE COUNCIL on Corporate Sustainability Due Diligence and amending Directive (EU) 2019/1937 (proposal) - Article 9
- GRI 2: General Disclosures 2021 - 2-29 Approach to stakeholder engagement (a) (iii)
- GRI 2: General Disclosures 2021 - 2-25 Processes to remediate negative impacts (d) (e)
- GRI 2: General Disclosures 2021 - 2-26 Mechanisms for seeking advice and raising concerns (a) (ii)
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S1-3 – Processes to remediate negative impacts and channels for own workforce to raise concerns 30, 32
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S1-4 – Taking action on material impacts on own workforce, and approaches to managing material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions 35
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S2-3 – Processes to remediate negative impacts and channels for value chain workers to raise concerns 25, 27
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S2-4 – Taking action on material impacts on value chain workers, and approaches to managing material risks and pursuing material opportunities related to value chain workers, and effectiveness of those actions 30
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S3-3 – Processes to remediate negative impacts and channels for affected communities to raise concerns 25, 27



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- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S3-4 – Taking action on material impacts on affected communities, and approaches to managing material risks and pursuing material opportunities related to affected communities, and effectiveness of those actions 30
 - Fairtrade Trader Standard v2.2, 2024 (Fairtrade International) 3.2.2, 3.2.3



PSG3.2 The company tracks grievances and assigns accountability for resolving them.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG3.2	From Year 0	None	The company tracks grievances and assigns accountability for resolving them.



Compliance Criteria:

3.2.1 The company monitors and tracks grievances and prepares annual summaries of the status and subject of any grievances.

3.2.2 The company has an employee with well-defined responsibilities for managing grievances.

3.2.3 The company demonstrates the effectiveness of the grievance procedure by either:

a) recording evidence that a grievance has been resolved and closed

b) demonstrating that they have the appropriate grievance procedure in place (inclusive of tracking), where a company has had no grievances filed.

Intent:

To ensure the company is accountable to grievances raised by stakeholders about the company's social, environmental, or governance issues. By enabling this, the company puts the B Corp legal requirement for stakeholder governance into practice.

Clarifying the Compliance Criteria:

[3.2.1] The company's summary of grievances includes:

- status (under review, active, or closed)
- grievance case reference
- the date the grievance was filed
- who raised the grievance (unless they have requested confidentiality)
- the defendant
- the location of the grievance (if it is not sensitive)
- the nature of the grievance.

[3.2.2] The responsibility for managing grievances may be part of one employee's wider role, or shared across various roles — as long as the company is accountable to its grievance procedure overall.

Applying the Criteria to Independently Certifying Subsidiaries:

- The grievance procedure is embedded, at minimum, at the highest level within the company. If the company references a grievance procedure belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the grievance procedure.
- References to roles and responsibilities mean those within the company's scope of certification. This means that roles and responsibilities of an out-of-scope parent body do not meet the sub-requirement, unless the company has additional roles and responsibilities within its scope of certification.

Recommendations:

- Use the effectiveness criteria of the UN Guiding Principles on Business and Human Rights to develop and manage the company's grievance procedure (see implementation resources).
- Identify ongoing or trending grievances to:

- better consider and address stakeholder's concerns
- identify patterns and issues
- improve policies and practices
- enhance communication
- build trust and accountability.
- Be aware that not receiving any grievances does not necessarily mean that none exist — it may be a sign that the grievance procedure is hard to use, or the affected stakeholders do not trust the grievance process.
- Build trust in the process by having a policy of no retaliation or a whistleblower protection policy.

Implementation Resources:

Examples of resources on grievance procedure and due diligence

- People and planet in business: A simple guide to how small and micro companies can start or strengthen their due diligence, 2023 (Fairtrade International, B Lab) [\[EN\]](#)
- Remediation and Grievance Mechanisms (Business for Human Rights) [\[EN\]](#)
- UN Guiding Principles on Business and Human Rights [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)[\[JP\]](#) [\[PL\]](#)
- OHCHR Accountability and Remedy Project: Meeting the UNGP's Effectiveness Criteria, 2021 [\[EN\]](#)
- Web Content Accessibility Guidelines Checklist (A11Y Project) [\[EN\]](#)
- Open-Door Policy in the Workplace: The Ultimate Implementation Guide, 2024 (Shiftbase) [\[EN\]](#)

Interoperability:

Conceptual match:

- DIRECTIVE OF THE EUROPEAN PARLIAMENT AND OF THE COUNCIL on Corporate Sustainability Due Diligence and amending Directive (EU) 2019/1937 (proposal) - Article 9

- GRI 2: General Disclosures 2021 - 2-29 Approach to stakeholder engagement (a) (iii)
- GRI 2: General Disclosures 2021 - 2-25 Processes to remediate negative impacts (d) (e)
- GRI 2: General Disclosures 2021 - 2-26 Mechanisms for seeking advice and raising concerns (a) (ii)
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S1-3 – Processes to remediate negative impacts and channels for own workforce to raise concerns 30, 32
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S1-4 – Taking action on material impacts on own workforce, and approaches to managing material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions 35
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S2-3 – Processes to remediate negative impacts and channels for value chain workers to raise concerns 25, 27
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S2-4 – Taking action on material impacts on value chain workers, and approaches to managing material risks and pursuing material opportunities related to value chain workers, and effectiveness of those actions 30
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S3-3 – Processes to remediate negative impacts and channels for affected communities to raise concerns 25, 27
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S3-4 – Taking action on material impacts on affected communities, and approaches to managing material risks and pursuing material opportunities related to affected communities, and effectiveness of those actions 30



PSG3.3 The company has a publicly accessible grievance procedure allowing stakeholders to safely raise grievances and seek resolutions.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG3.3	From Year 0	None	The company has a publicly accessible grievance procedure allowing stakeholders to safely raise grievances and seek resolutions.



Compliance Criteria:

3.3.1 The company's grievance procedure is available on its webpage in relevant languages or forms to ensure stakeholders can access it.

3.3.2 The grievance procedure explains:

- a) grounds for accepting a grievance
- b) grievance process steps and targeted deadlines for managing a grievance
- c) how a resolution is facilitated

3.3.3 The grievance procedure states the processes and controls in place to protect stakeholders who raise grievances from any form of retaliation.

3.3.4 The company responds to stakeholder grievances by either:

- a) regularly communicating each step in the resolution process and its outcome, and confirming when the grievance has been resolved
- b) explaining why it did not accept the issue as a grievance.

3.3.5 The company notifies each of its main stakeholders the relevant grievance procedures.

3.3.6 The grievance procedure clearly explains how the decision-making process will avoid conflicts of interest.

Intent:

- To ensure stakeholders have a clear and accessible way to raise concerns and seek resolution about the company's social, environmental, or governance issues. By enabling this, the company puts the B Corp legal requirement for stakeholder governance into practice.
- To ensure the company has a robust and transparent process for handling grievances.

Clarifying the Compliance Criteria:

[3.3.1] As well as having a public grievance procedure on its webpage, the company may need to create alternative procedures to ensure all stakeholders can raise grievances.

[3.3.3] “Protecting stakeholders from any form of retaliation” means implementing measures to enforce confidentiality and assess potential risks to stakeholders. This may include:

- allowing the grievance raiser or other affected stakeholders to request their identities remain confidential if they anticipate retaliation due to the grievance
- clearly informing those raising grievances about who will need to be involved or informed at the outset
- seeking consent before sharing information with additional parties
- maintaining confidentiality regarding the outcome of the process
- enhanced training for those handling the grievance procedure
- enforcing disciplinary action in cases of confidentiality breaches
- collaborating with independent third parties to assess risks for vulnerable stakeholders.

Applying the Criteria to Independently Certifying Subsidiaries:

The grievance procedure is embedded, at minimum, at the highest level within the company. If the company references a grievance procedure belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the grievance procedure.

Further Guidance:

- Grievance procedures offer ways for stakeholders who may be negatively impacted by a company’s activities to raise concerns or provide feedback. They extend beyond customer service issues (like order refunds or shipping delays) to address broader concerns, including ethical, environmental, and social impacts. Doing this proactively enables the company to resolve issues earlier and more directly.
- The company may link the map of its main stakeholders from its stakeholder engagement mechanism.

- The company may use the following methods to notify stakeholders of its grievance procedures, for example.
 - Onboarding materials
 - Updates on webpages or blogs
 - Company documents
 - Direct stakeholder engagement
 - Posters in workplaces
 - Workshops or training
- The company may take the following steps to ensure that decision-making processes avoid conflicts of interest.
 - Address how its grievance procedures avoid conflicts of interest in a formal company document.
 - Engage independent arbiters (who are not employees or affiliated with the company's value chain) to review grievances and provide recommendations to resolve them. If a company cannot recruit arbiters from outside its employees, it should ensure any employee who administers a grievance procedure is from a department that has no conflict of interest with the grievance case.
 - Engage independent third parties, such as complaints or regulatory bodies who can handle grievances on behalf of the company.
- “Regularly communicating” about a grievance means updating the stakeholder as needed about the process. This may include providing information about:
 - the decision-making process
 - the timelines for reviewing the grievance
 - the scope of grievances the company has accepted
 - the company's resolution management approach
 - the grievance being closed
 - any other information useful for the stakeholder.
- To ensure that decision-making processes are proportionate to the type and severity of grievances, the company may use a tiered approach to resolution. For example, it may use the following three tiers, from least to most severe.



- Internal resolution
- Resolution with mediation
- Resolution with independent arbitration

Recommendations:

- Use the effectiveness criteria of the UN Guiding Principles on Business and Human Rights to develop and manage the company's grievance procedure (see implementation resources).
- Create a flowchart outlining the steps of each grievance procedure.
- Specify what evidence the company requires to support a grievance's eligibility. This may include, for example, requiring:
 - a clear and concise summary of the key facts
 - an outline of events linked to the grievance.
- Create a grievance submission form covering, for example:
 - the name and contact details of the stakeholder submitting the grievance, and, if they are acting on behalf of another stakeholder, evidence of their authority to do so
 - a way for the stakeholder to request confidentiality
 - the details of who the grievance is being raised against
 - information about whether the issues have already been raised with the company and in what form, and what response the company provided
 - the resolution sought.
- Select arbiters as required for specific grievances, or appoint them in a fixed role. Arbiters may use, for example, a signed declaration to confirm they have no conflicts of interest connected to the grievance.
- Recruit and appoint arbiters with relevant expertise or experience, and set clear terms of reference for their involvement. Consider having a pool of potential arbiters available to engage in a grievance procedure. Consider compensating arbiters for their time with a predefined stipend.
- Establish ongoing discussions through an Open-door policy with stakeholders as a way to prevent grievances from arising.

- Be aware that not receiving any grievances does not necessarily mean that none exist — it may be a sign that the grievance procedure is hard to use, or the affected stakeholders do not trust the grievance process.
- Commit to a policy of no retaliation for stakeholders who raise grievances. This protects stakeholders who submit a grievance from any form of direct or indirect retaliation or adverse consequences. This commitment may be a standalone policy, part of the formal grievance procedure, or in other company documents (e.g. employee handbook, Code of Ethics, Code of Conduct, company webpage).

Implementation Resources:

Examples of resources on grievance procedure and due diligence

- People and planet in business: A simple guide to how small and micro companies can start or strengthen their due diligence, 2023 (Fairtrade International, B Lab) [\[EN\]](#)
- Remediation and Grievance Mechanisms (Business for Human Rights) [\[EN\]](#)
- UN Guiding Principles on Business and Human Rights [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[PL\]](#)
- OHCHR Accountability and Remedy Project: Meeting the UNGP's Effectiveness Criteria, 2021 [\[EN\]](#)
- Web Content Accessibility Guidelines Checklist (A11Y Project) [\[EN\]](#)
- Open-Door Policy in the Workplace: The Ultimate Implementation Guide, 2024 (Shiftbase) [\[EN\]](#)

Interoperability:

Conceptual match:

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- GRI 2: General Disclosures 2021 - 2-29 Approach to stakeholder engagement (a) (iii)
- GRI 2: General Disclosures 2021 - 2-25 Processes to remediate negative impacts (d) (e)
- GRI 2: General Disclosures 2021 - 2-26 Mechanisms for seeking advice and raising concerns (a) (ii)



- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S1-3 – Processes to remediate negative impacts and channels for own workforce to raise concerns 30, 32
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S1-4 – Taking action on material impacts on own workforce, and approaches to managing material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions 35
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S2-3 – Processes to remediate negative impacts and channels for value chain workers to raise concerns 25, 27
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S2-4 – Taking action on material impacts on value chain workers, and approaches to managing material risks and pursuing material opportunities related to value chain workers, and effectiveness of those actions 30
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S3-3 – Processes to remediate negative impacts and channels for affected communities to raise concerns 25, 27
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S3-4 – Taking action on material impacts on affected communities, and approaches to managing material risks and pursuing material opportunities related to affected communities, and effectiveness of those actions 30
- Fairtrade Trader Standard v2.2, 2024 (Fairtrade International) 3.2.2, 3.2.3, 3.2.4

PSG3.4 The company tracks grievances, assigns accountability for resolving them and reports internally to the highest governing body and publicly to stakeholders.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG3.4	From Year 0	None	The company tracks grievances, assigns accountability for resolving them and reports internally to the highest governing body and publicly to stakeholders.



Compliance Criteria:

3.4.1 The company conducts an annual analysis of grievances and creates an internal report. The report:

- a) has details on grievances raised and accepted
- b) evaluates the effectiveness of the company's procedures
- c) identifies trends and hotspots
- d) recommends improvements to address these areas.

3.4.2 The company has a management or executive role responsible for overseeing the grievance procedure. The manager presents the annual internal summary report on the grievance procedure to the highest governing body.

3.4.3 The company demonstrates the effectiveness of the grievance procedure by either:

- a) recording evidence that a grievance has been resolved and closed
- b) demonstrating that they have the appropriate grievance procedure in place (inclusive of tracking), where a company has had no grievances filed.

3.4.4. The company publicly reports on grievance decision outcomes in accordance with the following data from the UNGP Effectiveness Criteria:

- a) The number, types, and nature of grievances received
- b) The number of requests rejected and on what grounds
- c) The number of completed cases, the outcomes, any follow-up activities, and the average duration of the process
- d) Stakeholder satisfaction levels
- e) Any other data that will help the public understand the procedure's performance

Intent:

- To ensure the company is accountable to grievances raised by stakeholders about the company's social, environmental, or governance issues. By enabling this, the company puts the B Corp legal requirement for stakeholder governance into practice.
- To ensure the company has a robust and transparent process for handling grievances.



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- To ensure the company addresses stakeholders' concerns where justified, and shares its responses to stakeholders transparently.

Clarifying the Compliance Criteria:

[3.4.1.a] The company's internal report summarizing grievances includes the following details for each grievance raised and accepted:

- status (under review, active, or closed)
- grievance case reference
- the date the grievance was filed
- who raised the grievance (unless they have requested confidentiality)
- the defendant
- the location of the grievance (if it is not sensitive)
- the nature of the grievance.

[3.4.1.d] The company shows how it is addressing stakeholder concerns with recommendations to improve grievance procedures and address hotspot areas.

[3.4.2] The management role can be part of a wider role, as long as the employee is responsible for:

- overseeing the grievance procedure
- reporting to the highest governing body.

[3.4.2] The manager's updates to the highest governing body cover:

- the public reporting of grievance outcomes
- any trending grievance subject matter or hotspot grievances where grievances are occurring in the same subject area/department/geographical local at a high frequency
- recommendations to improve grievance procedures and address hotspot areas.

[3.4.4] The public report is accessible to all stakeholders (e.g. on the company's webpage, or in its annual report or impact report).

Applying the Criteria to Independently Certifying Subsidiaries:

- References to roles and responsibilities mean those within the company's scope of certification. This means that roles and responsibilities of an out-of-scope parent body do not meet the sub-requirement, unless the company has additional roles and responsibilities within its scope of certification.
- References to the highest governing body mean those within the company's scope of certification. This means that oversight by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional oversight at the highest governing body or executive team within its scope of certification.
- The reporting scope covers the company. If the company references a corporate group report that includes out-of-scope entities, either:
 - the performance of the company is clearly identifiable within the group report
 - the company publicly shares its own report on its webpage.

Further Guidance:

- Hotspot grievances are when multiple grievance raisers (e.g. three or more) have similar grievances. Similar grievances may relate to similar subjects, departments, or geographic locations.
- Actions to reduce the risk around trending or hotspot grievances may include:
 - refining policies and practices
 - investing in training
 - fostering a culture of accountability
 - implementing preventative measures
 - enhancing communication
 - building trust.
- Data in the public report can be aggregated and should not report any personal information without the individual's consent.

Recommendations:

- Use the effectiveness criteria of the UN Guiding Principles on Business and Human Rights to develop and manage the company's grievance procedure (see implementation resources).
- Establish ongoing discussions with stakeholders as a way to prevent grievances from arising. For example, by implementing an Open-door policy.
- Be aware that not receiving any grievances does not necessarily mean that none exist — it may be a sign that the grievance procedure is hard to use, or the affected stakeholders do not trust the grievance process.
- Identify ongoing or trending grievances to:
 - better consider and address stakeholder's concerns
 - identify patterns and issues
 - improve policies and practices
 - enhance communication
 - build trust and accountability.
- Use stakeholder surveys to evaluate how trusted and effective the company's grievance procedures are, and use the results to improve the process.
- Embed stakeholder governance by ensuring the highest governing body is aware of ongoing grievance issues. Incorporate ongoing grievance issues as a material topic in the company's materiality assessment [Link to PSG2.3].
- Go beyond aggregate reporting to publicly share specific grievance cases, resolutions, and learnings (while respecting confidentiality and consent).

Implementation Resources:

Examples of resources on grievance procedure and human rights

- UN Guiding Principles on Business and Human Rights [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[PL\]](#)
- OHCHR Accountability and remedy Project: Meeting the UNGP's Effectiveness Criteria [\[EN\]](#)
- Doing Business with Respect for Human Rights: A guidance tool for companies, 2016 (SHIFT, Oxfam, Global Compact Network Netherlands) [\[EN\]](#)

- Open-Door Policy in the Workplace: The Ultimate Implementation Guide (Shiftbase) [\[EN\]](#)

Interoperability:

Conceptual Alignment Data Point:

- DIRECTIVE OF THE EUROPEAN PARLIAMENT AND OF THE COUNCIL on Corporate Sustainability Due Diligence and amending Directive (EU) 2019/1937 (proposal) - Article 9
- GRI 2: General Disclosures 2021 - 2-29 Approach to stakeholder engagement (a) (iii)
- GRI 2: General Disclosures 2021 - 2-25 Processes to remediate negative impacts (d) (e)
- GRI 2: General Disclosures 2021 - 2-26 Mechanisms for seeking advice and raising concerns (a) (ii)
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S1-3 – Processes to remediate negative impacts and channels for own workforce to raise concerns 30, 32
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S1-4 – Taking action on material impacts on own workforce, and approaches to managing material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions 35
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S2-3 – Processes to remediate negative impacts and channels for value chain workers to raise concerns 25, 27
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S2-4 – Taking action on material impacts on value chain workers, and approaches to managing material risks and pursuing material opportunities related to value chain workers, and effectiveness of those actions 30
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S3-3 – Processes to remediate negative impacts and channels for affected communities to raise concerns 25, 27
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S3-4 – Taking action on material impacts on affected communities, and approaches to managing material risks and pursuing material opportunities related to affected communities, and effectiveness of those actions 30

PSG4 The company engages in responsible marketing and public relations.

PSG4.1 The company has principles for responsible marketing and public relations practices.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	None	None
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG4.1	From Year 0	Micro / Small	The company has principles for responsible marketing and public relations practices.



Compliance Criteria:

4.1.1 The company documents the following principles governing its marketing and public relations practices related to environmental and social claims.

- a) The company makes precise, verifiable, and substantiated claims based on reliable or scientific data.
- b) The company is truthful, transparent, and accountable about the social and environmental impacts of the company's operations, both positive and negative.
- c) The company follows ethical guidelines when using sensitive marketing and public relations channels and practices.

4.1.2 The principles are communicated to company workers and available for them to access.

Intent:

To ensure the company:

- conducts its marketing and public relations practices responsibly
- considers the impact of its marketing and public relations' practices on society and the environment.

Clarifying the Compliance Criteria:

[4.1.1.a] “Reliable data” means data that is evidence-based and replicable, and includes insights from independent market research.

[4.1.1.a] “Scientific data” means data based on research by scientists which has been published in a reputable peer-reviewed journal.

[4.1.2] The company explains the processes it uses to communicate the responsible marketing and public relations policy (e.g. through onboarding, training, internal guidance, and compliance checks).

Applying the Criteria to Independently Certifying Subsidiaries:

The commitment is embedded, at minimum, at the highest level within the company. If the company references a commitment belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the commitment.

Further Guidance:

- The principles may be included as part of another document —they do not need to exist as a standalone text. For example, it may be added to a Code of Conduct, as long as the commitment meets the Compliance Criteria.
- The scope of the principles may encompass, among other activities:
 - claims about the company’s social and environmental performance.
 - marketing and public relations’ claims about the company’s products and services
 - branding and taglines
 - declarations about the company’s purpose.
- The company’s claims are precise, verifiable, and substantiated using reliable or scientific data. Fulfilling this criteria may involve, for example:
 - providing data sources along with claims
 - avoiding overstating claims about unproven technology
 - using consistent calculation methods and data sources when comparing two or more products or services
 - being realistic about claims that depend on specific conditions — meaning the company evaluates the likelihood of certain conditions and makes a claim only if the conditions are widely met.

- The company is truthful, transparent, and accountable about the social and environmental impacts of its operations, both positive and negative. Fulfilling this sub-requirement may involve, for example:
 - ensuring claims about the company's social and environmental impacts are relevant
 - being truthful and transparent about the company's progress on its social and environmental strategies
 - communicating clearly about the social and environmental impacts of the company's products and services (e.g. high carbon-emitting sectors acknowledging the less climate-positive aspects of their activities in advertisements).
- The company has ethical guidelines governing its use of sensitive marketing and public relations' channels and practices. Sensitive marketing channels are those that require careful consideration due to the potential impact on vulnerable audiences or the risk of ethical dilemmas. Fulfilling this sub-requirement may involve, for example:
 - addressing the risks and impacts associated with overconsuming the company's products or services and driving sustainable consumer engagement with those products or services
 - identifying and reducing the risks that marketing and public relations practices may pose to vulnerable stakeholders (e.g. children or teenagers)
 - incorporating accessibility features (e.g. making the company's webpage accessible)
 - developing and implementing a guide for creating inclusive communications and ethical content in internal or external communications
 - assessing the potential negative social and environmental impacts of working with potential clients or projects
 - safeguarding consumer data (e.g. respecting consumer consent and practicing secure data collection, third-party handling, and data retention)
 - ruling out a list of manipulative marketing and public relations behaviours that are deceptive or misleading (e.g. undisclosed paid messages or promotion by influencers, use of fake accounts or bot-driven amplification)
 - establishing a code of conduct for third-party advertisers.
- The company can fulfill this sub-requirement if it follows an industry marketing and public relations code that meets the compliance criteria — as long as the company demonstrates effective implementation and rollout.
- The company can address breaches of its principles through its grievance procedure. This may include implementing learnings or taking actions required by third-party bodies to ensure the company's marketing and public relations practices comply.

Recommendations:

- Make the responsible marketing and public relations principles public.
- The company may use the stakeholder engagement process in PSG2.1 to gather inputs or feedback when making its responsible marketing and public relations principles.

Implementation Resources:

Examples of resources on responsible marketing and communication

- 2022 Strengthened Code of Practice on Disinformation (European Commission) [\[EN\]](#)
- The environment: misleading claims and social responsibility in advertising: Advertising Guidance (non-broadcast and broadcast), 2023 (Committee of Advertising Practice) [\[EN\]](#)
- Advertised Emissions Temperature Check 2022 (Purpose Disruptors) [\[EN\]](#)
- Advertising Standards (Responsible Advertising and Children) [\[EN\]](#)
- Responsible Advertising Survey (Responsible 100) [\[EN\]](#)
- The 7 CAN Manifestos (Conscious Advertising Network) [\[EN\]](#)
- The Good Life 2030 Report (Good Life 2030) [\[EN\]](#)
- ICC Framework for Responsible Food and Beverage Marketing Communications, 2019 (International Chamber of Commerce) [\[EN\]](#)

Examples of resources on purpose-aligned communication

- Social Purpose External Communications, 2023 (United Way BC Social Purpose Institute) [\[EN\]](#)
- Social Purpose Customer Lifecycle, 2023 (United Way BC Social Purpose Institute) [\[EN\]](#)

Interoperability:

Conceptual Alignment Data Point:



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- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S4 - Consumers and end users 9, 30, 32.
 - ICC Framework for Responsible Food and Beverage Marketing Communications (International Chamber of Commerce) [\[EN\]](#)
 - UK Code of Broadcast Advertising (BCAP Code) (ASA) 03, 05, 06, 09. [\[EN\]](#)
 - Self Regulatory Guidelines for Children's Advertising (Better Business Bureau) 4a, 4b, 4c, 4j [\[EN\]](#)



PSG4.2 The company has a responsible marketing and public relations policy overseen by the executive team or highest governing body.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG4.2	From Year 0	Medium / Large / X Large / XX Large	The company has a responsible marketing and public relations policy overseen by the executive team or highest governing body.

Compliance Criteria:

4.2.1 The company develops a responsible marketing and public relations policy. The policy:

- a) describes its scope
- b) applies to all audiences
- c) outlines requirements for anyone preparing marketing and public relations activities for the company
- d) is approved by the executive team or highest governing body.

4.2.2 The requirements in the policy include the following criteria for the company's social and environmental claims at minimum.

- a) Claims are precise, verifiable, and substantiated using reliable or scientific data.
- b) Claims are proportional to the company's actions.
- c) Claims accurately reflect their applicable scope and are relevant to the company's impact.
- d) Communications are truthful, transparent, and accountable about the social and environmental impacts of the company's operations, both positive and negative.
- e) Ethical guidelines govern the company's use of sensitive marketing and public relations' channels and practices.
- f) Language is understandable and clear, matches the general knowledge level of consumers, and available in prevalent languages or forms relevant to stakeholders where the company operates.

4.2.3. The company assigns accountability at the level of the executive team or highest governing body for ensuring all marketing and public relations practices comply with the responsible marketing and public relations policy.

4.2.4 The policy is communicated to company workers and available for them to access.

Intent:

To ensure the company:

- conducts its marketing and public relations practices responsibly
- reflects its overall social and environmental impact accurately



-
- considers the broader effects of its marketing and public relations practices on society and the environment.

Clarifying the Compliance Criteria:

[4.2.1.b] The policy applies for any audience. The company's "audience" means the specific group of people it aims to reach with its messaging products or services.

[4.2.2.a] "Reliable data" means data that is evidence-based and replicable, and includes insights from independent market research.

[4.2.2.a] "Scientific data" means data based on research by scientists which has been published in a reputable peer-reviewed journal.

[4.2.3] Accountability means someone in the executive team or highest governing body oversees responsible marketing and public relations within the company. This role is not necessarily held by someone who carries out day-to-day marketing and public relations activities. The company may assign this responsibility to someone who is not in the highest governing body if they have a relevant dedicated role.

[4.2.4] The company explains the processes it uses to communicate the responsible marketing and public relations policy (e.g. through onboarding, training, internal guidance, and compliance checks).

Applying the Criteria to Independently Certifying Subsidiaries:

- The policy is embedded, at minimum, at the highest governance level within the company. If the company references a policy belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the policy.
- References to the highest governing body or executive team mean those within the company's scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body or executive team within its scope of certification.

Further Guidance:

- The scope of the policy encompasses the following activities, among others, across various media types.
 - Claims about public communications about the company and its products and services
 - Branding and taglines
 - Declarations about the company's purpose

- The policy may be included as part of another company document or policy — it does not need to exist as a standalone text. For example, it may be added to a Code of Responsible Business Conduct or a Code of Ethics.
- The policy includes the following criteria at minimum.
 - Claims are precise, verifiable, and substantiated using reliable or scientific data. Fulfilling this sub-requirement may involve, for example:
 - providing data sources along with claims
 - avoiding overstating claims about unproven technology
 - using consistent calculation methods and data sources when comparing two or more products or services
 - being realistic about claims that depend on specific conditions meaning the company evaluates the likelihood of certain conditions and makes a claim only if the conditions are widely met.
 - Claims are proportional to the company's actions. Fulfilling this sub-requirement may involve, for example:
 - making claims that are proportional to the company's total expenditure (e.g. the percentage of the company's advertisements containing green claims reflect the percentage of its investment in green projects).
 - Claims accurately reflect their applicable scope and are relevant to the company's impact. Fulfilling this sub-requirement may involve, for example:
 - acknowledging whether a claim applies to specific products, certain components, an entire portfolio, etc.
 - adopting a lifecycle approach for environmental claims, considering the entire lifecycle of the advertised product, while clearly outlining any limitations of the life cycle assessment (see Implementation Resources).
 - Communications are truthful, transparent, and accountable about the social and environmental impacts of the company's operations, both positive and negative. Fulfilling this sub-requirement may involve, for example:
 - ensuring claims about the company's social and environmental impact are relevant and rooted in the materiality assessment [Link to PSG2.3, ESC1.7, HR2.1]
 - being truthful and transparent about the company's progress on its social and environmental strategies [Link to HR2.5, JEDI2, ESC4.7, CA2.1, CA2.3, CA3.3, CA4.4, PSG3.4, PSG6.1, PSG6.2]
 - communicating clearly about the social and environmental impacts of the company's products and services (e.g. high carbon-emitting sectors acknowledging the less climate-positive aspects of their activities in advertisements).

- The company has ethical guidelines governing its use of sensitive marketing and public relations' channels and practices. Sensitive marketing channels are those that require careful consideration due to the potential impact on vulnerable audiences or the risk of ethical dilemmas. Fulfilling this sub-requirement may involve, for example:
 - addressing the risks and impacts associated with overconsuming the company's products or services and driving sustainable consumer behaviours
 - identifying and mitigating risks to vulnerable stakeholders (e.g. children or teenagers)
 - incorporating accessibility features (e.g. making the company's website accessible [Link to JEDI2.m])
 - developing and implementing a guide for creating inclusive communications and ethical content in internal or external communications [Link to JEDI2.i JEDI2.p].
 - assessing the potential negative social and environmental impacts of working with potential clients or projects [Link to HR3.4 and ESC2.6]
 - safeguarding consumer data (e.g. respecting consumer consent and practicing secure data collection, third-party handling, and data retention)
 - ruling out a list of manipulative marketing behaviours that are deceptive or misleading (e.g. undisclosed paid messages or promotion by influencers, use of fake accounts bot-driven amplification)
 - establishing a code of conduct for third-party advertisers.
- The company can fulfill this sub-requirement if it follows an industry marketing and public relations code that meets the compliance criteria — as long as the company can demonstrate effective implementation and rollout.
- The company can address breaches of its policy through its grievance procedure. This may include implementing learnings or taking actions required by third-party bodies to ensure the company's marketing and public relations practices comply [Link to PSG3.1].

Recommendations:

- Make the responsible marketing and public relations policy public.
- Commit to continuously update practices as the company and industry evolves.
- Engage and collaborate with stakeholders to create and update the policy [Link to PSG2.2].

- Connect company purpose to the policy by ensuring the company's marketing and public relations practices embody its public purpose [Link to PSG1.1].
- Conduct regular internal audits to ensure that established processes and policies are being followed.
- Embrace external audits from independent third parties (e.g. consumer advertising bodies or external auditors) as a useful tool for learning, and share the results internally with the highest governing body.

Implementation Resources:

Examples of resources on responsible marketing and communication

- 2022 Strengthened Code of Practice on Disinformation (European Commission) [\[EN\]](#)
- The environment: misleading claims and social responsibility in advertising: Advertising Guidance (non-broadcast and broadcast), 2023 (Committee of Advertising Practice) [\[EN\]](#)
- Advertised Emissions Temperature Check 2022 (Purpose Disruptors) [\[EN\]](#)
- Advertising Standards (Responsible Advertising and Children) [\[EN\]](#)
- Responsible Advertising Survey (Responsible 100) [\[EN\]](#)
- The 7 CAN Manifestos (Conscious Advertising Network) [\[EN\]](#)
- The Good Life 2030 Report (Good Life 2030) [\[EN\]](#)
- ICC Framework for Responsible Food and Beverage Marketing Communications, 2019 (International Chamber of Commerce) [\[EN\]](#)

Examples of resources on purpose-aligned communication

- Social Purpose External Communications, 2023 (United Way BC Social Purpose Institute) [\[EN\]](#)
- Social Purpose Customer Lifecycle, 2023 (United Way BC Social Purpose Institute) [\[EN\]](#)

Interoperability:

Conceptual Alignment Data Point:

- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S4 - Consumers and end users 9, 30, 32.
- ICC Framework for Responsible Food and Beverage Marketing Communications (International Chamber of Commerce) [\[EN\]](#)
- UK Code of Broadcast Advertising (BCAP Code) (ASA) 03, 05, 06, 09. [\[EN\]](#)
- Self Regulatory Guidelines for Children's Advertising (Better Business Bureau) 4a, 4b, 4c, 4j [\[EN\]](#)

PSG5 The company's social and environmental impact and stakeholder considerations are monitored by the highest governing body and integrated throughout the company.

PSG5.1 The highest governing body monitors the company's purpose, social and environmental impact, and stakeholder considerations.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG5.1	From Year 0	None	The highest governing body monitors the company's purpose, social and environmental impact, and stakeholder considerations.



Compliance Criteria:

5.1.1. At least once every 12 months, the highest governing body reviews the company's:

- a) progress on advancing its public purpose as defined under PSG1.1
- b) social and environmental performance
- c) stakeholder governance implementation.

Intent:

To ensure the highest governing body is accountable for advancing the company purpose, improving its social and environmental performance, and overseeing the implementation of stakeholder governance. By creating this accountability, the company puts the B Corp legal requirement for stakeholder governance into practice.

Clarifying the Compliance Criteria:

[5.1.1] The company can use stakeholder interests or its materiality assessments to identify the social and environmental topics that require oversight from the highest governing body.

[5.1.1] The following sub-requirements of the B Lab Standard require, at minimum, annual updates or monitoring by the highest governing body.

- Public reporting of lobbying activity
- Considering stakeholders
- Grievance procedure reporting
- Long-term social or environmental goal
- Impact reporting

Applying the Criteria to Independently Certifying Subsidiaries:

- References to the highest governing body mean those within the company's scope of certification. This means that oversight by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional oversight at the highest governing body within its scope of certification.

Further Guidance:

- Depending on the company's structure, the highest governing body may take a bigger-picture view of overarching objectives and performance, while management focuses on more detailed operations. In this case, the highest governing body ensures it has an appropriate mechanism for monitoring performance.
- The highest governing body may use regular review meetings or other mechanisms to monitor the company's progress. It receives updates annually on at least the following areas:
 - The company's public-facing purpose statement, which may cover:
 - how the purpose has been integrated into company strategy
 - what purpose-related goals have been achieved



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- how purpose is being embedded in company culture
 - how stakeholders are engaged in advancing the company's purpose.
 - Social and environmental performance, which may cover:
 - updates on goals, targets and strategies included in the other parts of the B Lab Standard (see Related Sub-requirements)
 - annual impact reporting
 - relevant policies and action plan.
 - Implementation of stakeholder governance, which may cover:
 - updates on how stakeholder interests are considered in decision-making
 - the value created for stakeholders
 - the results of stakeholder social and environmental collaborations
 - stakeholder input on dividends or buybacks
 - outcomes from grievance procedures.

Recommendations:

- Train members of the highest governing body on key social and environmental issues to ensure informed decision-making and improve their overall oversight of the company's performance.
- Create a subcommittee dedicated to ESG (environmental, social, and governance) or sustainability within the highest governing body.
- Establish internal processes to ensure the accuracy of information reported to the highest governing body. Consider involving experts from within or outside the company and using scientific evidence to support accuracy.
- Provide the highest governing body direct interaction with stakeholders and firsthand experience of relevant issues. To do this, consider:
 - engaging external expert stakeholders to lead interactive workshops on key social and environmental issues
 - organizing in-person governing body meetings and site visits at stakeholder locations, such as key supplier sites.

Implementation Resources:

Examples of resources on embedding purpose into governance

- PAS 808:2022: Purpose-driven organizations – Worldviews, principles and behaviours for delivering sustainability – Guide (BSI) [\[EN\]](#)
- Purpose Governance Guidelines for Boards, 2024 (Canadian Purpose Economy Project) [\[EN\]](#)
- Social purpose strategy: Bring your corporate purpose to life, 2024 (Canadian Purpose Economy Project) [\[EN\]](#)
- Purpose and Stakeholder Governance Playbook: Your Guide to Enhancing Your Board's Oversight of Purpose and Stakeholders, 2023 (Coro Strandberg) [\[EN\]](#)
- Social Purpose Assessment tool, 2025 (United Way BC) [\[EN\]](#)

Examples of resources to guide Boards on Environmental, Social and Governance issues

- Running the Risk: How Corporate Boards Can Oversee Environmental, Social and Governance (ESG) Issues (CERES) [\[EN\]](#)
- A Board's Guide to ESG and Incentives: Effectively Identifying Top ESG Priorities (Semler Insight) [\[EN\]](#)
- A practical guide for boards and leadership teams on sustainability, 2021 (ECODA) [\[EN\]](#)

Interoperability:

Conceptual Alignment Data Point:

- IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information 2023 - Governance 27 a iii., v.
- European Sustainability Reporting Standards 2 - 2023 - Disclosure Requirement GOV-1 – The role of the administrative, management and supervisory bodies 20 b
- European Sustainability Reporting Standards 2 - 2023 - Disclosure Requirement GOV-1 – The role of the administrative, management and supervisory bodies 22 a, c, d
- European Sustainability Reporting Standards 2 - 2023 - Disclosure Requirement GOV-2 – Information provided to and sustainability matters addressed by the undertaking's administrative, management and supervisory bodies 24, 26
- GRI 2: General Disclosures 2021- 2-12 Role of the highest governance body in overseeing the management of impacts (b) (i)

-
- The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - A. Governance - A03 Accountability for sustainability performance - a
 - Recommendations of the Taskforce on Nature-related Financial Disclosures, 2023 - Governance - A. Describe the board's oversight of nature-related dependencies, impacts, risks and opportunities
 - CDP 2024 Questionnaire - 4.1.1

PSG5.2 Requirements to monitor the company's purpose, social and environmental impact, and stakeholder considerations are enshrined in the highest governing body's terms of reference.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG5.2	From Year 0	Large / X Large / XX Large	Requirements to monitor the company's purpose, social and environmental impact, and stakeholder considerations are enshrined in the highest governing body's terms of reference.



Compliance Criteria:

5.2.1. The highest governing body's written terms of reference explicitly specify that the highest governing body is responsible for overseeing:

- a) the company's public purpose as defined under PSG1.1
- b) the company's social and environmental impact
- c) the company's consideration of its impact on stakeholders.

Intent:

To ensure the highest governing body is accountable for advancing the company purpose, improving its social and environmental performance, and overseeing the implementation of stakeholder governance. By enabling highest governing body oversight of these areas, the company puts the B Corp legal requirement into practice.

Clarifying the Compliance Criteria:

[5.2.1] “Terms of reference” means a document that establishes the purpose of a highest governing body or committee and details the roles and specific authority that the highest governing body or committee has to oversee a delegated area of responsibility. (adapted from Financial Reporting Council [\[EN\]](#))

Applying the Criteria to Independently Certifying Subsidiaries:

- The terms of references are embedded, at minimum, at the highest level within the company. This means that the company may refer to terms of reference belonging to an out-of-scope parent or create its own terms of reference, as long as they apply to the highest governing body within the scope of certification.

Further Guidance:

- The terms of reference may include oversight of the company's purpose by describing how the highest governing body, for example:
 - assumes ultimate responsibility for overseeing and advancing the company's purpose
 - adopts a long-term perspective on the company's efforts to achieve its purpose
 - approves the company strategy that advances its purpose
 - monitors company collaboration with stakeholders on its purpose
 - clearly defines and promotes a company culture and values that align with the company's purpose.
- The terms of reference may include oversight of the company's social and environmental impact by describing how the highest governing body, for example:
 - approves and oversees the company's social and environmental performance on material topics, including KPIs (key performance indicators) and short-, medium-, and long-term goals
 - oversees the company's impact reporting
 - reviews the company's governance structure for overseeing and managing social and environmental performance
 - reviews and approves the company's impact management or sustainability strategy



- evaluates and approves any performance-related incentive schemes tied to social and environmental performance
- oversees the company's tax and lobbying practices.
- The terms of reference may include oversight of the company's impact on stakeholders by describing how the highest governing body, for example:
 - oversees the results of stakeholder engagement processes, such as the company's materiality assessment and updates on material topics
 - manages stakeholder relationships, drives value creation, and fosters collaboration among stakeholders.
 - reviews potential hotspot issues related to negative social and environmental impacts identified in grievance procedures, as well as external sources like audits or independent assessments.

Recommendations:

Add the Impact Topic areas of the B Lab Standard to the highest governing body's terms of reference.

Implementation Resources:

Examples of resources on embedding purpose into governance

- Purpose Governance Guidelines for Boards, 2024 (Canadian Purpose Economy Project) [\[EN\]](#)
- Disclosing with Purpose: Guidance for preparers and users of purpose disclosures, 2024 (Canadian Purpose Economy Project [\[EN\]](#)
- Purpose and Stakeholder Governance Playbook: Your Guide to Enhancing Your Board's Oversight of Purpose and Stakeholders, 2023 (Coro Strandberg) [\[EN\]](#)
- A practical guide for boards and leadership teams on sustainability, 2021 (ECODA) [\[EN\]](#)

Interoperability:

Conceptual Alignment Data Point:

- IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information 2023 - Governance 27 a i.



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- European Sustainability Reporting Standards 2 - 2023 - Disclosure Requirement GOV-1 – The role of the administrative, management and supervisory bodies 22 b
 - GRI 2: General Disclosures 2021- 2-12 Role of the highest governance body in overseeing the management of impacts (b)



PSG5.3 All members of the executive team have at least one annual target tied to the company's social or environmental performance.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG5.3	From Year 3	None	All members of the executive team have at least one annual target tied to the company's social or environmental performance.



Compliance Criteria:

5.3.1 All members of the company's executive team have at least one annual target tied to the company's social or environmental performance.

5.3.2 The targets are SMART (specific, measurable, achievable, relevant, and time-bound).

Intent:

To establish accountability among company leadership for enhancing the company's social and environmental performance. By doing so, the company puts the B Corp legal requirement into practice.



Clarifying the Compliance Criteria:

[5.3.1] In some companies, the executive team is the highest governing body; in others, the executive team implements the strategy set by the highest governing body. The two groups may or may not overlap. This sub-requirement applies to the executive team, if the company does not have a separate highest governing body.

[5.3.2] The targets are SMART to ensure they can be audited. They are linked to the company's strategy and material topics, based on its materiality assessment or the B Corp Standard, or both. The company reviews the targets as needed to ensure they remain relevant and effective.

Applying the Criteria to Independently Certifying Subsidiaries:

- References to the executive team are within the scope of certification of the company. This means that the company may refer to an out-of-scope parent executive team targets or create their own targets as long as it also applies to the executive team within the scope of certification.

Further Guidance:

- The members of the executive team may have different targets, depending on their area of responsibility. For example, one person might have a target related to the company's social performance (e.g. Human Rights) while another's relates to environmental performance (e.g. Climate Action).
- If the company does not have a traditional hierarchical structure, the sub-requirement applies to the highest governing body or another leadership body accountable for the company's social and environmental performance. In these cases, the company must provide a qualifying explanation of its organizational structure to justify this exception.

Recommendations:

- Include advancing the company's purpose in the executive team's annual targets, aligning them with the company's overall strategy and goals.
- Integrate the targets at every level of the company to implement them in daily operations and create accountability at all levels for social and environmental performance.
- Get management buy-in by validating and communicating social and environmental targets before they are implemented.
- When developing targets, seek guidance from steering committees involved in the company's strategy, who can advise how to measure and report on social and environmental performance.

- Consider stakeholder interests by setting annual targets that can have the biggest impact.

Implementation Resources:

Examples of resources on sustainability goals and targets

- Future-Fit Business Benchmark: Break-Even Goals [\[EN\]](#)
- Future-Fit Business Benchmark: Positive Pursuits [\[EN\]](#)
- World Benchmarking Alliance - Several benchmarks [\[EN\]](#)
- SDG AM [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[PT\]](#)
- United Nations Global Compact SDG Ambition Accelerator [\[Various languages\]](#), including AR, EN, ES, FR, IT, PT, RU, ZH]

Examples of resources on embedding purpose into governance

- PAS 808:2022: Purpose-driven organizations – Worldviews, principles and behaviours for delivering sustainability – Guide (BSI) [\[EN\]](#)
- Purpose Governance Guidelines for Boards, 2024 (Canadian Purpose Economy Project) [\[EN\]](#)
- Social purpose strategy: Bring your corporate purpose to life, 2024 (Canadian Purpose Economy Project [\[EN\]](#)
- Purpose and Stakeholder Governance Playbook: Your Guide to Enhancing Your Board's Oversight of Purpose and Stakeholders, 2023 (Coro Strandberg) [\[EN\]](#)
- Social Purpose Assessment tool, 2025 (United Way BC) [\[EN\]](#)

Examples of resources to guide Boards on Environmental, Social and Governance issues

- Running the Risk: How Corporate Boards Can Oversee Environmental, Social and Governance (ESG) Issues (CERES) [\[EN\]](#)
- A Board's Guide to ESG and Incentives: Effectively Identifying Top ESG Priorities (Semler Insight) [\[EN\]](#)
- A practical guide for boards and leadership teams on sustainability, 2021 (ECODA) [\[EN\]](#)

Interoperability:



Conceptual Alignment Data Point:

- European Sustainability Reporting Standards 2 - 2023 - Disclosure Requirement GOV-1 – The role of the administrative, management and supervisory bodies 20 b
- CDP 2024 Questionnaire - 4.5

PSG5.4 If the company has an existing incentive remuneration scheme for the executive team, it integrates social and environmental performance targets.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG5.4	From Year 3	Large / X Large / XX Large	If the company has an existing incentive remuneration scheme for the executive team, it integrates social and environmental performance targets.

Compliance Criteria:

5.4.1 The incentive scheme is determined either by an annual performance evaluation or during the company's annual fiscal review.

5.4.2 The company records annual data on the value of monetary rewards tied to achieving social and environmental performance targets as a percentage of each executive's salary.

5.4.3 The targets linked to the incentive scheme are SMART (specific, measurable, achievable, relevant, and time-bound).

Intent:

- To ensure that executives adopt social and environmental targets throughout the company.
- To signal that the company is prioritising its social and environmental performance and defining how each function contributes to these areas.

Clarifying the Compliance Criteria:

[5.4.1] In some companies, the executive team is the highest governing body; in others, the executive team implements the strategy set by the highest governing body. The two groups may or may not overlap. This sub-requirement applies to the executive team if the company does not have a separate highest governing body.

[5.4.1] Either of the following incentive schemes is acceptable:

- a scheme that rewards different members of the executive team for achieving individual targets
- a group or company objective with one scheme applied to all executives.

[5.4.1] An incentive remuneration scheme is considered to exist when executive management compensation includes variable components tied to performance. For example, if a company distributes executive compensation based solely on a fixed percentage of profit, without tying it to individual performance goals, it is not considered a formal incentive scheme.

[5.4.3] The targets linked to the incentive scheme are SMART to ensure they can be audited. They are linked to the company's strategy and material topics, based on its materiality assessment or the B Lab Standard, or both. The company reviews the targets as needed to ensure they remain relevant and effective.

Applying the Criteria to Independently Certifying Subsidiaries:

- References to the executive team are within the scope of certification of the company. This means the company may refer to an incentive scheme belonging to an out-of-scope parent or create its own incentive scheme, as long as it applies to the executive team within the scope of certification.

Further Guidance:

- Social and environmental performance may be integrated in the incentive remuneration scheme as a standalone metric or part of a broader business strategy scorecard, or included in individual performance assessments — depending on the context and company objectives. It may be measured using qualitative or quantitative assessment, or a combination of both.
 - Qualitative assessments use information like internal surveys, peer reviews, and third-party evaluations.
 - Quantitative assessments use objective measures and metrics.

- This sub-requirement can link to targets or deliverables outlined in PSG5.3. The members of the executive team may have different targets, depending on their area of responsibility. For example, one person might have an objective related to the company's social performance (e.g. Human Rights) while another's relates to environmental performance (e.g. Climate Action).
- If the company does not have a traditional hierarchical structure, the sub-requirement applies to the highest governing body or another leadership body accountable for the company's social and environmental performance. In these cases, the company has a qualifying explanation of its organizational structure to justify this exception.
- Incentives are monetary. Examples of monetary incentives include:
 - short- or long-term bonus (as a set figure or percentage of salary)
 - promotion
 - salary increase
 - shares
 - profit sharing
 - retirement plan.

Recommendations:

- Include advancing the company's purpose in the executive team's incentive scheme, aligning them with the company's overall strategy and goals.
- Incorporate social and environmental performance into professional development and promotion practices to prioritize these areas throughout the company.
- Get management buy-in by validating and communicating the links between social and environmental performance and incentive schemes before they are implemented.
- When developing targets, seek guidance from steering committees involved in the company's strategy, who can advise how to measure and report on social and environmental performance.
- Consider stakeholder interests by linking incentives to the social and environmental targets that can have the biggest impact.

Implementation Resources:

Examples of resources on ESG incentives for Boards

- A Board's Guide to ESG and Incentives: Effectively Identifying Top ESG Priorities (Semler Insight) [\[EN\]](#)
- Linking Executive Compensation to ESG Performance (The Conference Board) [\[EN\]](#)

Examples of resources on sustainability goals and targets

- Future-Fit Business Benchmark: Break-Even Goals [\[EN\]](#)
- Future-Fit Business Benchmark: Positive Pursuits [\[EN\]](#)
- World Benchmarking Alliance - Several benchmarks [\[EN\]](#)
- SDG AM [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[PT\]](#)
- United Nations Global Compact SDG Ambition Accelerator [\[Various languages\]](#), including AR, EN, ES FR, IT, PT, RU, ZH]

Examples of resources on embedding purpose into governance

- PAS 808:2022: Purpose-driven organizations – Worldviews, principles and behaviours for delivering sustainability – Guide (BSI) [\[EN\]](#)

- Purpose Governance Guidelines for Boards, 2024 (Canadian Purpose Economy Project) [\[EN\]](#)
- Social purpose strategy: Bring your corporate purpose to life, 2024 (Canadian Purpose Economy Project [\[EN\]](#)
- Purpose and Stakeholder Governance Playbook: Your Guide to Enhancing Your Board's Oversight of Purpose and Stakeholders, 2023 (Coro Strandberg) [\[EN\]](#)
- Social Purpose Assessment tool, Governance and Leadership, 7. (United Way BC) [\[EN\]](#)

Interoperability:

Conceptual Alignment Data Point:

- European Sustainability Reporting Standards 2 - 2023 - Disclosure Requirement GOV-3 – Integration of sustainability-related performance in incentive schemes 27, 29
- European Sustainability Reporting Standards E1 2023 - Disclosure requirement related to ESRS 2 GOV-3 Integration of sustainability-related performance in incentive schemes 13.
- IFRS S2 Climate-related disclosures 2023 - Climate-related metrics 29 g
- GRI 2: General Disclosures 2021- 2-19 Remuneration policies (b)
- The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - A. Governance - A03 Accountability for sustainability performance - c
- CDP 2024 Questionnaire - 4.5.1

PSG5.5 The company includes social or environmental performance targets in performance reviews for managers.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	None	None
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG5.5	From Year 3	XX Large	The company includes social or environmental performance targets in performance reviews for managers.

Compliance Criteria:

5.5.1 All managers have at least one performance review target tied to the company's social or environmental performance, or both.

5.5.2 All social and environmental targets for managers are documented.

5.5.3 The targets are SMART (specific, measurable, achievable, relevant, and time-bound).

Intent:

- To ensure that managers adopt the social and environmental strategic goals set at the executive level and integrate them across the company.
- To define how each function contributes to the company's social and environmental performance, emphasizing the collective effort needed from all employees to achieve these goals.

Clarifying the Compliance Criteria:

[5.5.1] In this sub-requirement, “managers” includes all positions that either:

- are responsible for people or budgets
- have decision-making authority.

[5.5.1] Managers can be excluded from this sub-requirement if they hold roles that do not or cannot contribute to the company’s social and environmental performance. In these cases, the company has a qualifying explanation with its reasoning for excluding the manager.

[5.4.3] The targets linked to the incentive scheme are SMART to ensure they can be audited. They are linked to the company’s strategy and material topics, based on its materiality assessment or the B Lab Standard, or both. The company reviews the targets as needed to ensure they remain relevant and effective.

Applying the Criteria to Independently Certifying Subsidiaries:

The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:

- roll out, enforcement, and accountability mechanisms
- how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Social and environmental performance may be integrated into performance reviews as a standalone metric or part of a broader business strategy scorecard, or included in individual performance assessments — depending on the context and company goals. It may be measured using qualitative or quantitative assessments, or a combination of both.
 - Qualitative assessments use information like internal surveys, peer reviews, and third-party evaluations.
 - Quantitative assessments use objective measures and metrics.
- Different managers may have different targets, depending on their area of responsibility. For example, one person might have an objective related to the company's social performance (e.g. Human Rights) while another's relates to performance (e.g. Climate Action). Targets may be part of company-wide objectives, or specific to an individual manager.

Recommendations:

- Include advancing the company's purpose in the managers' performance review targets, aligning them with the company's overall strategy and goals.
- Take steps to prevent different parts of the company competing for resources to achieve the same targets. For example:
 - assign responsibility for implementation to specific teams and individuals
 - clarify how employees can impact social and environmental performance
 - foster interdepartmental collaboration.
- Incorporate social and environmental performance into professional development and promotion practices to prioritize these areas throughout the company.
- Get manager buy-in by validating and communicating the links between social and environmental targets and performance reviews before they are implemented.
- When developing targets, seek guidance from steering committees involved in the company's strategy, who can advise how to measure and report on social and environmental performance.
- Consider stakeholder interests by linking targets to the company's social or environmental performance objectives that can have the biggest impact.

Implementation Resources:

Examples of resources on sustainability goals and targets

- Future-Fit Business Benchmark: Break-Even Goals [\[EN\]](#)
- Future-Fit Business Benchmark: Positive Pursuits [\[EN\]](#)
- World Benchmarking Alliance - Several benchmarks [\[EN\]](#)
- SDG AM [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[PT\]](#)
- United Nations Global Compact SDG Ambition Accelerator [\[Various languages\]](#), including AR, EN, ES, FR, IT, PT, RU, ZH]

Examples of resources on embedding purpose into governance

- PAS 808:2022: Purpose-driven organizations – Worldviews, principles and behaviours for delivering sustainability – Guide (BSI) [\[EN\]](#)
- Purpose Governance Guidelines for Boards, 2024 (Canadian Purpose Economy Project) [\[EN\]](#)
- Social purpose strategy: Bring your corporate purpose to life, 2024 (Canadian Purpose Economy Project [\[EN\]](#)
- Purpose and Stakeholder Governance Playbook: Your Guide to Enhancing Your Board’s Oversight of Purpose and Stakeholders, 2023 (Coro Strandberg) [\[EN\]](#)
- Social Purpose Assessment tool, Governance and Leadership, 7. (United Way BC) [\[EN\]](#)

Interoperability:

Conceptual Alignment Data Point:

- European Sustainability Reporting Standards 2 - 2023 - Disclosure Requirement GOV-3 – Integration of sustainability-related performance in incentive schemes 27, 29
- European Sustainability Reporting Standards E1 2023 - Disclosure requirement related to ESRS 2 GOV-3 Integration of sustainability-related performance in incentive schemes 13.
- IFRS S2 Climate-related disclosures 2023 - Climate-related metrics 29 g
- GRI 2: General Disclosures 2021- 2-19 Remuneration policies (b)



PSG6 The company is transparent about its social and environmental performance.

PSG6.1 The company reports its social and environmental performance annually and publicly, with approval from the highest governing body.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG6.1	From Year 3	Large / X Large	The company reports its social and environmental performance annually and publicly, with approval from the highest governing body.

Compliance Criteria:

6.1.1 The company's social and environmental impact report:

- a) includes progress against all relevant measures of the company's social and environmental performance and a summary of stakeholder engagement processes
- b) is approved by the highest governing body
- c) is published on the company's webpage and made accessible to all stakeholders.

6.1.2. If the company does not produce annual reports, it can issue a comprehensive report at minimum every second year, while providing lighter interim updates on its webpage or through topic-specific reports.

Intent:

To transparently communicate the company's social and environmental performance. By doing so, the company:

- demonstrates accountability
- shares progress toward its goals
- upholds its commitment to stakeholders
- provides insight into its impact and strategies for improvement.

Clarifying the Compliance Criteria:

[6.1.1.a] The report is comprehensive. It addresses the company's:

- key social and environmental issues, and the actions it has taken
- social and environmental performance metrics
- progress toward targets
- consideration of stakeholder interests.

[6.1.1.a] “Stakeholder engagement” in this sub-requirement refers to gathering input from stakeholders to help define material topics [Link to PSG2.3].

[6.1.1.a] Participating in a third-party reporting initiative, such as the CDP or the Dow Jones Sustainability Index (DJSI), does not meet this sub-requirement. While these initiatives are valuable, they are not focused on broad-based public transparency for all stakeholders.

[6.1.1.c] “Accessible to all stakeholders” means stakeholders can easily navigate to the report from the company's homepage.

Applying the Criteria to Independently Certifying Subsidiaries:

- The reporting scope covers the company. If the company references a corporate group impact report that includes out-of-scope entities, either:
 - the performance of the company is clearly identifiable within the group impact report
 - the company publicly shares its own impact report on its webpage.
- References to the highest governing body mean those within the company's scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body or executive team within its scope of certification.

Further Guidance:



- The company may use the B Impact Assessment as a reporting framework, as long as it is comprehensive (meaning the report covers all facets of the company's social and environmental performance, including the transparency requirements of the B Lab Standard). If the company uses the B Impact Assessment, it updates its report at least every other year. The company is transparent with stakeholders regarding reports, clearly distinguishing between information from the B Impact Assessment that has been independently verified and that which has not.
- The social and environmental impact reports can take a variety of formats, such as:
 - an integrated report
 - a standalone sustainability report
 - a standalone impact report.

Recommendations:

- Follow third-party reporting standards like the Global Reporting Initiative (GRI), while integrating the B Corp Standard requirements. Using a third-party standard enhances credibility and ensures consistent, transparent engagement with stakeholders.
- Provide an update on the company's progress toward advancing its purpose in the annual impact report.

Implementation Resources:

Examples of resources on public reporting of sustainability matters

- GRI Reporting Standards (GRI) [\[EN\]](#)
- United Nations Guiding Principles Reporting Framework - Assurance Guidance - guidance on Human Rights reporting, 2017 (Shift, Mazars) [\[EN\]](#)
- PAS 808:2022: Purpose-driven organizations – Worldviews, principles and behaviours for delivering sustainability – Guide, 7.1.2.2.7 Assess, measure and report against the purpose (BSI) [\[EN\]](#)
- Disclosing with Purpose: Guidance for preparers and users of purpose disclosures, 2024 (Canadian Purpose Economy Project [\[EN\]](#))

Interoperability:

Conceptual Alignment Data Point:

- European Sustainability Reporting Standards 2 - 2023 - Minimum Disclosure Requirement – Actions MDR-A – Actions and resources in relation to material sustainability matters 66, 68
- European Sustainability Reporting Standards 2 - 2023 - Minimum disclosure requirement – Metrics MDR-M – Metrics in relation to material sustainability matters
- European Sustainability Reporting Standards 2 - 2023 - Minimum Disclosure Requirement – Targets MDR-T – Tracking effectiveness of policies and actions through targets
- DIRECTIVE OF THE EUROPEAN PARLIAMENT AND OF THE COUNCIL on Corporate Sustainability Due Diligence and amending Directive (EU) 2019/1937 (proposal) - Article 11



PSG6.2 The company reports its social and environmental performance annually and publicly using a third-party standard.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	None	None
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG6.2	From Year 3	None	The company reports its social and environmental performance annually and publicly using a third-party standard.

Compliance Criteria:

6.2.1 The company's social and environmental impact reports

- a) uses a third-party standard
- b) is approved by the highest governing body
- c) is published on the company's webpage and made accessible to all stakeholders
- d) is prepared and published at least annually
- e) follows a consistent structure to show progress over the years.

6.2.2 The company's social and environmental impact report includes:

- a) progress against all relevant measures of the company's social and environmental performance and a summary of stakeholder engagement processes
- b) what concrete actions the company has taken
- c) the management strategies the company is using to achieve its social and environmental goals and its progress towards them.

Intent:

To transparently communicate the company's social and environmental performance. By doing so, the company:

- demonstrates accountability
- shares progress toward its goals
- upholds its commitment to stakeholders
- provides insights into its impact and strategies for improvement.

Clarifying the Compliance Criteria:

[6.2.1.a] The Global Reporting Initiative (GRI) is the most widely used standard for impact reporting. Using GRI is not mandatory — however, if the company uses another third-party standard, it needs to be reviewed by B Lab’s Standards Management team. Their review will ensure the third-party standard:

- is credible
- is consistent
- provides comprehensive coverage.

[6.2.1.a] An impact report following the European Sustainability Reporting Standards (ESRS) would also meet this criteria.

[6.2.1.a] The following actions do not meet the sub-requirement.

- Producing a non-financial report with sustainability metrics the company has created, or using a third-party (such as an accounting firm) to audit information would not meet the third-party standard requirement. While this type of audit confirms the accuracy of information, it cannot determine whether that information adheres to comparable standards like GRI.
- Participating in a third-party reporting initiative, such as the CDP or the Dow Jones Sustainability Index, does not meet this sub-requirement. While these initiatives are valuable, they are not focused on broad-based public transparency for all stakeholders.

[6.2.1.c] “Accessible to all stakeholders” means stakeholders can easily navigate to the report from the company’s homepage.

[6.2.2.a] The report is comprehensive. It addresses the company’s

- key social and environmental issues, and the actions it has taken
- social and environmental performance metrics
- progress toward targets
- consideration of stakeholder interests.

[6.2.2.a] “Stakeholder engagement” in this sub-requirement refers to gathering input from stakeholders to help define material topics [Link to PSG2.3].



Applying the Criteria to Independently Certifying Subsidiaries:

- The reporting scope covers the company. If the company references a corporate group impact report that includes out-of-scope entities, either:
 - the performance of the company is clearly identifiable within the group impact report
 - the company publicly shares its own impact report on its webpage.
- References to the highest governing body mean those within the company's scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body or executive team within its scope of certification.

Further Guidance:

- The goals in this sub-requirement refer to PSG2.4 and any other goals that the company has set.
- The company may use the B Impact Assessment as a reporting framework, as long as it is comprehensive (meaning the report covers all facets of the company's social and environmental performance, including the transparency requirements of the B Lab Standard. If the company uses the B Impact Assessment, it updates its report at least every other year. The company is transparent with stakeholders regarding reports, clearly distinguishing between information from the B Impact Assessment that has been independently verified and that which has not.
- The social and environmental impact reports can take a variety of formats, such as:
 - an integrated annual report
 - a standalone sustainability report
 - a standalone impact report.

Recommendations:

Provide an update on the company's progress toward advancing its purpose in the annual impact report.

Implementation Resources:

Examples of resources on public reporting of sustainability matters

- GRI Reporting Standards (GRI) [\[EN\]](#)
- United Nations Guiding Principles Reporting Framework - Assurance Guidance - guidance on Human Rights reporting, 2017 (Shift, Mazars) [\[EN\]](#)
- PAS 808:2022: Purpose-driven organizations – Worldviews, principles and behaviours for delivering sustainability – Guide, 7.1.2.2.7 Assess, measure and report against the purpose (BSI) [\[EN\]](#)
- Disclosing with Purpose: Guidance for preparers and users of purpose disclosures, 2024 (Canadian Purpose Economy Project [\[EN\]](#))

Interoperability:

Conceptual Alignment Data Point:

- European Sustainability Reporting Standards 2 - 2023 - Minimum Disclosure Requirement – Actions MDR-A – Actions and resources in relation to material sustainability matters 66, 68
- European Sustainability Reporting Standards 2 - 2023 - Minimum disclosure requirement – Metrics MDR-M – Metrics in relation to material sustainability matters
- European Sustainability Reporting Standards 2 - 2023- Minimum Disclosure Requirement – Targets MDR-T – Tracking effectiveness of policies and actions through targets
- DIRECTIVE OF THE EUROPEAN PARLIAMENT AND OF THE COUNCIL on Corporate Sustainability Due Diligence and amending Directive (EU) 2019/1937 (proposal) - Article 11



PSG6.3 The company assesses workers' capability to enact its social and environmental strategy.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
PSG6.3	From Year 3	Large / X Large / XX Large	The company assesses workers' capability to enact its social and environmental strategy.



Compliance Criteria:

6.3.1 The assessment covers the following themes.

- a) Workers' understanding of the company's social and environmental impact and strategy
- b) Workers' readiness to enact the company's social and environmental strategy
- c) Workers' perception of how the company has implemented its social and environmental strategy

6.3.2 The company collects this information at least every 24 months.

6.3.3 The company makes it clear to workers that participating is optional.

6.3.4 The company records an analysis of the feedback and an overview of actions it has taken.

Intent:

- To gauge workers' capability to enact the company's social and environmental strategy.
- To use their feedback to identify strengths and challenges.

Clarifying the Compliance Criteria:

[6.3.1] The company may fulfill this sub-requirement at the same time it meets FW4.1 by combining the two workers' measures.

[6.3.4] The company may collect both quantitative and qualitative information. In its analysis and overview, the company records:

- a summary of key findings
- any action plans as a result of findings
- related next steps.

Applying the Criteria to Independently Certifying Subsidiaries:

The assessment covers the company. If the company references an out-of-scope corporate assessment, it demonstrates:

- how the assessment considered its stakeholders and operational impacts
- how the assessment outcome is relevant to its context.

Further Guidance:

- Measuring workers' "understanding of the company's social and environmental impact and strategy" may involve gauging whether they:
 - can translate social and environmental objectives into their daily work
 - have clear and measurable targets
- Measuring workers' "readiness to enact the company's social and environmental strategy" means ensuring that they have the necessary skills, knowledge, and guidance to understand:
 - the strategy's relevance to their roles
 - the resources available to them
 - how they can contribute effectively.



- Measuring workers’ “perception of how the company has implemented its social and environmental strategy” may involve gathering feedback on:
 - transparency and communication from leadership
 - workers’ belief and trust in the company’s purpose
 - the clarity of social and environmental impact reports.
- The company may collect quantitative information using, for example:
 - surveys and questionnaires with numerical scales
 - polls
 - engagement metrics.
- The company may collect qualitative information using, for example:
 - focus groups, workshops, and group discussions
 - organizational events and town halls
 - worker interviews and performance reviews
 - feedback and grievance procedures
 - worker advocacy programs
 - text fields in surveys
 - message boards and internal communication channels.

Recommendations:

- Extend the measurement to include workers’ perceptions of the company’s purpose and the actions it has taken to advance it.
- Include the assessment as part of the company’s annual worker engagement survey.
- Gather feedback after training, onboarding, or workshops to gauge how effective they were.

- Consider using industry benchmarking to:
 - compare workers' feedback
 - identify areas for improvement
 - ensure alignment with best practice.

Implementation Resources:

Examples of resources on employee perception of purpose

- Purpose Perception - survey, 2023 (Canadian Purpose Economy Project) [\[EN\]](#)
- Workplace ESF: How Environmental, Social and Governance Factors Impact Employee Experience, 2023 (Great Place to work) [\[EN\]](#)

Interoperability:

Conceptual Alignment Data Point:

- GRI 2: General Disclosures 2021 - 2-29 Approach to stakeholder engagement (a) (iii)
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement S1-5 Taking action on material impacts on own workforce and effectiveness of those actions 78, 80.



Fair Work (FW)

Body of Knowledge (BoK) for the FW
Impact Topic



Intent

The Fair Work Impact Topic requires companies to offer good quality jobs and create positive workplace cultures. To do this, companies will:

- set clear expectations of workers
- implement fair wage practices
- incorporate worker feedback in decision-making
- monitor and improve the culture in their workplaces.

All workers deserve to be treated fairly and with dignity. While workers' priorities and issues vary by industry and location, fair pay and reasonable, clearly-defined expectations are universal concerns. Formal mechanisms for workplace dialogue, and to measure workplace culture, are also important — these create avenues to address those priorities and issues that are unique to each workplace.

Good quality jobs, free and open dialogue, workplace culture, and shared purpose are all intertwined under the umbrella of Fair Work. Exchanging information and feedback helps to create a positive workplace culture and direct companies' efforts to continuously improve. Companies that achieve open dialogue and positive culture realize a vision for stakeholder governance in the workplace, and create a shared sense of purpose. These are vital preconditions for the success of purpose-driven companies, like B Corps.

Outcome

Companies provide good quality jobs and have positive workplace cultures.



Requirements Summary

FW1 The company sets clear expectations of employees.

FW2 The company implements fair wage practices.

FW3 The company considers feedback from workers on decisions that affect them.

FW4 The company measures workplace culture and takes action to improve it.

Scope

The company's own operations.

Terms and Definitions

Agriculture

A company that either:

- earns over 10% of its revenue from products grown on its farm or agro-processing facility, from managing land to grow and harvest crops, or from raising and managing livestock
- sources the majority of its raw materials directly from growers or livestock producers.

Companies in the agriculture sector include, for example:

- vegetable farms
- coffee plantations or roasters
- tree planting companies
- livestock farms or ranches.

Allowance

A type of extra wage component, usually paid for a specific purpose (e.g. to cover travel or food costs).

Apprentice

Someone working for the company whose placement is temporary and whose primary purpose is to learn and gain experience. Apprentices and interns are distinct from employees.

Apprenticeships may be governed by national regulation (e.g. they receive a mandatory apprentice wage), while internships are governed by the company. An apprenticeship, unlike an internship, may lead to a formal qualification.



In the B Lab Standard, an apprentice is someone who works during, or as part of, either a formal education program or a program that meets national regulatory requirements. If not, they are an “employee”.

Base wage

An employee's wage, before adding any extra wage components (e.g. allowances).

Collective bargaining

The mechanism companies and trade unions use to:

- negotiate terms and conditions of work (including pay and working time)
- regulate relations between employers and workers.

Collective bargaining agreement

A written legal agreement that results from negotiations between the company and the body representing its employees (e.g. a trade union). The collective bargaining agreement sets out the terms and conditions of employment.

Collectively-bargained wage

See collective bargaining

Company

A legal entity (or group of related legal entities) formed to engage in and operate a business (meaning a commercial or industrial enterprise). A company may be organized in various ways depending on the corporate law in its jurisdiction.

Company without workers

A company owned and run by one person. A company without workers may also be known as a sole proprietor, sole trader, individual entrepreneur, or individual proprietor.



Employee

Person who has a direct employment relationship with the company. This includes permanent, temporary, full-time, part-time, seasonal, and casual employees. This includes when, for administrative reasons, there is a different employer on record, but practically the person works as an employee and the company is responsible for their recruitment, performance evaluation, and disciplinary management.

Working owners may also count as employees, depending on certain conditions (see working owner).

External supplier

A supplier from outside the company's corporate group.

Extra wage component

Wage components added to an employee's base wage. These may include, for example:

- allowances
- in-kind benefits
- bonuses
- overtime pay.

Gender identity

A person's internal, deeply-held knowledge of their own gender. Everyone has a gender identity ([GLAAD](#)).

Different countries, cultures, and languages have different gender categories, and they change over time. In many English-speaking countries, the categories are: man, woman, and non-binary or non-conforming.

Impact

An effect the company has, or could have, on:

- the economy
- the environment
- people, including on their human rights.

Impacts can be actual or potential, negative or positive.

(Adapted from [GRI 3](#), 2021, Global Reporting Initiative)

In-kind benefit

A type of non-monetary benefit employees receive from the company (e.g. workplace lunches, or a mobile phone).

Independent contractor

A person who is self-employed, or works freelance. They are a “worker” if they work more than 20 hours per week indefinitely or for more than six months. This may include the following examples.

- A self-employed construction worker who works full-time for the company on a construction project for one year.
- A freelance physiotherapist who works 25 hours per week at a clinic for two years.

Intern

Someone working for the company whose placement is temporary, and whose primary purpose is to learn and gain experience. Apprentices and interns are distinct from employees.

Apprenticeships may be governed by national regulation (e.g. they receive a mandatory apprentice wage), while internships are governed by the company. An apprenticeship, unlike an internship, may lead to a formal qualification.

In the B Lab Standard, an intern is someone who works during, or as part of, a formal education program. If not, they are an “employee”.

Living income



The equivalent of a living wage for self-employed persons, such as smallholder farmers or artisanal miners

Living wage

Sufficient pay for a person to afford a decent standard of living for them and their family, assuming a standard workweek. The living wage amount changes by location and over time.

A "decent standard of living" covers:

- food
- water
- housing
- education
- health care
- transport
- clothing
- other essential needs, including providing for unexpected events.

(Adapted from [Global Living Wage Coalition](#))

Manufacturing

A company that earns over 10% of its revenue from products it makes, either for direct sale or for sale by another company or brand.

Manufacturing involves transforming input materials into a new product. The manufactured product may not be the final product.

Companies in the manufacturing sector include, for example:

- food and beverage producers
- assembly lines



- apparel manufacturers.

Minimum wage

The legally applicable minimum wage in the company's location.

Non-binary

People who experience their gender identity or gender expression (or both) as falling outside the gender binary of "man" and "woman".

(Adapted from [GLAAD](#))

Outcome

A change resulting from the company's activities and outputs. An outcome has a direct link between the activities and outputs, and their impact on people and the environment.

Output

The direct result of an activity. Outputs may include, for example:

- training materials
- policies
- reports
- impact-related programs or projects.

Services with minor footprint

A company that earns 90% or more of its revenue from services that do not involve selling physical products or require a physical location for their delivery.



Services with minor footprints include, for example:

- law firms
- marketing and communications agencies
- software companies.

This was previously named "Services with Minor Environmental footprint". The definition and its application remain the same.

Services with significant footprint

A company that earns 90% or more of its revenue from services that involve significant machinery or equipment, or require a specific operational location (often key to delivering the service).

Services with significant footprint include, for example:

- hotels
- restaurants
- landscaping companies
- universities.

This was previously named "Services with Significant Environmental footprint". The definition and its application remain the same.

Social identity

A person's own sense of who they are, based on the social group or groups they belong to. Social identity terms vary by country, culture, and language.

Examples of social identities include:

- race
- ethnicity



-
- gender identity
 - religion
 - caste
 - sexual orientation.

Stakeholder

A person, group, or entity who may, positively or negatively:

- affect the company
- be affected by the company's activities
- have an interest that is affected by the company's activities.

Relevant stakeholders may include, for example:

- business partners
- civil society organizations
- consumers
- customers
- employees and other workers
- governments
- local communities
- non-governmental organizations
- shareholders and other investors
- suppliers
- trade unions



- vulnerable groups (including future generations)
- the environment (including species).

(Adapted from [GRI 3: Material Topics](#), 2021.)

Supply chain

The range of activities by companies and organizations "upstream" from the company, which provide products, raw materials, and services that the company uses in its own products or services.

([GRI 3](#), 2021, Global Reporting Initiative)

Tier one supplier

External suppliers that the company (or its subsidiaries) directly purchase products or services from.

Tier one suppliers contrast to tier two suppliers, who supply products or services to the company's tier one suppliers.

Total wage

The complete wage employees actually receive from the company. The total wage is the sum of the base wage and relevant extra wage components.

Transgender

People whose gender identity is different from their sex at birth.

(Adapted from [GLAAD](#))

Union



An organization of workers formed to collectively advance its members' interests in relation to:

- wages
- benefits
- working conditions.

A union may also be called a "trade union", "labor union", or "workers' union".

Unions are regulated by national legislation and therefore have legal authority — for example, to undertake collective bargaining and worker representation.

Wage scale

A range for the wage assigned to a specific role in the company. Wage scales are also known as "salary scales", "pay scales", or "salary ranges".

Wage equity

A just and fair arrangement of wages.

Wholesale/Retail

A company that earns over 10% of its revenue from selling physical products, but does not own or operate the manufacturing processes or facilities that produce them. This includes companies that design products but outsource their production.

Wholesale/retail companies include, for example:

- grocery stores
- consumer goods companies that do not manufacture their own products
- wholesalers of physical goods.

Worker

A person who works for the company as any of the following.



- An employee
- An independent contractor, if they work more than 20 hours per week indefinitely or for more than six months.
- An agency worker, if they work more than 20 hours per week indefinitely or for more than six months.

Interns and apprentices, as defined in the B Lab Standard, do not count as workers.

Working owner

Founders or partners who work at the company and have at least 10% ownership in the business. If a company's workers consist only of founders or partners with at least 10% ownership, they are considered a "company without workers".

If a working owner is payrolled and they have additional non-working owner employees, then the working owner is considered an "employee".

Notes

- Respecting human rights in the supply chain is covered under the Human Rights topic.
- Other aspects of equity, beyond wage equity, are covered by the JEDI impact topic.
- Grievance and remediation procedures are covered in the Purpose & Stakeholder Governance topic (PSG3).
- Companies without workers are exempt from the requirements in this topic.

FW1 The company sets clear expectations of employees.

FW1.1 The company provides all employees a signed employment contract or offer letter.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW1.1	From Year 0	None	The company provides all employees a signed employment contract or offer letter.

Compliance Criteria:

1.1.1 All employees have an employment contract or offer letter meeting the following criteria.

- a) It is written in a language the employee understands.
- b) It is signed by a company representative and the employee.
- c) It includes:
 - i) the name of the company
 - ii) the names of both signing parties
 - iii) the nature and place of the work
 - iv) working hours
 - v) the base wage
 - vi) any extra wage components
 - vii) the work start date
 - viii) the duration of the work
 - ix) conditions for termination.

1.1.2 If an employee is already working without a written contract or offer letter, the company provides a letter that meets the criteria above.

1.2.3 All employees receive a copy of their employment contract or offer letter from the company.

Intent:

To empower employees with information about their jobs and what is expected of them.



Clarifying the Compliance Criteria:

[1.1.1] The company complies with national legislation — including any relevant collective bargaining agreement — if the legislation contradicts any of the Compliance Criteria.

[1.1.1] Where the company cannot meet the Compliance Criteria through changes to its contracts, it may instead use letters.

[1.1.1] If the company is required to use an employment contract template, it provides an additional document, such as a letter, to meet the Compliance Criteria. For example, the law may require the company to create an employment contract in a language that an employee does not understand. In this case, the company provides a letter to the employee with the content of the contract in a language they understand.

[1.1.1] The contract or letter may be in a non-written format if needed for people with disabilities (e.g. an audio or video recording).

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Recommendations:

- Write the contract or letter in plain language. Avoid language that is too technical or legal.
- Before the employee signs the contract or letter:
 - explain its contents to the employee verbally
 - offer them the opportunity to ask questions and give feedback
 - discuss their need for reasonable accommodations, and update the contract or letter. “Reasonable accommodations” are changes made to remove or reduce a disadvantage related to an employee's disability (also known as “reasonable adjustments”).

Implementation Resources:

Resources to write documents in plain language:



- PCO Plain Language Standard (Parliamentary Counsel Office, New Zealand Aotearoa) [\[EN\]](#)
- Checklist for plain language — a quick reference guide (Ministry of Social Development, New Zealand Aotearoa) [\[EN\]](#)

Resources to identify “reasonable accommodations”:

- A to Z of Disabilities and Accommodations [\[EN\]](#) [\[ES\]](#)
- Situations and Solutions Finder (Job Accommodation Network) [\[EN\]](#) [\[ES\]](#)



FW1.2 The company has equal cancellation periods when using variable schedules.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW1.2	From Year 0	Small / Medium / Large / X Large / XX Large	The company has equal cancellation periods when using variable schedules.



Compliance Criteria:

1.2.1 If the company uses variable schedules, it has a policy that states the following.

- a) The specific cancellation deadline that applies equally to both the company and employee.
- b) That the company will pay the employee in full when cancelling their work after the deadline for reasons within the company's control.
- c) Whether the company will pay the employee, and how much, when canceling their work after the deadline for reasons outside the company's control.

1.2.2 The company makes the policy available to all employees that work variable schedules.

Intent:

To ensure equal and fair cancellation periods for employers and employees using variable schedules.

Clarifying the Compliance Criteria:

[1.2.1] The company complies with national legislation — including any relevant collective bargaining agreement — if it contradicts any of the Compliance Criteria.

[1.2.1] “Variable scheduling” is a working arrangement where an employee’s number of working hours, or when they work, varies and is determined by the company (e.g. shift work and zero-hour work). In these situations, the employee does not know how many hours or which hours they will work until the company tells them.

[1.2.1] The following working arrangements are not considered variable.

- A shift schedule that changes according to a permanent pattern (e.g. alternating between day shifts and night shifts, or changing by season)
- Working hours that are fixed in an employment contract or collective bargaining agreement

[1.2.1] This sub-requirement does not stop companies from using variable schedules or making last-minute changes to schedules.

[1.2.1] “Canceling work” includes changing the location of the work.

[1.2.1] The company and the employee may have different cancellation deadlines only if the employee has the more favorable deadline.

[1.2.1] The company may also update an existing policy or other relevant document, such as an employee handbook or collective bargaining agreement. It does not have to create a standalone policy.

Applying the Criteria to Independently Certifying Subsidiaries:

- The policy is embedded, at minimum, at the highest governance level within the company. If the company references a policy belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the policy.

Further Guidance:

- The intent is that neither the company nor its employees face negative consequences if work is canceled before the set cancellation deadline. The following examples illustrate this idea.
 - A clothing shop shares shift schedules with employees two weeks in advance. Its policy states a cancellation deadline of one week in advance. The company asks to cancel an employee’s shift two days in advance. If the employee does not agree, then they are not punished and still receive full payment.

- A security guard is given their schedule every three months, and the agreed cancellation deadline is one month. One day, the security guard does not show up for work. The company follows its standard procedure for someone not working when they should, which may include disciplinary measures.
- A fruit picker on a zero-hour contract is given their schedule on the 25th of each month for the month ahead. The cancellation deadline for both the company and employee is the 27th. The employee cancels next month's work on the 26th. The company does not punish the employee, because they canceled before the deadline.

Recommendations:

- Guarantee a minimum number of hours per week (greater than zero) for employees on variable work schedules.
- Widen the scope of the policy to apply to other types of workers.

Interoperability:

- Conceptual Alignment Data Point
 - Living Hours (UK Living Wage Foundation) [\[EN\]](#)
- Equivalency Data Point
 - [None]

FW2 The company implements fair wage practices.

FW2.1 The company has a policy of not requesting wage histories from job applicants.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW2.1	From Year 0	Small / Medium / Large / X Large / XX Large	The company has a policy of not requesting wage histories from job applicants.



Compliance Criteria:

2.1.1 The company has a policy or procedure that states it does not ask job applicants to provide:

- a) their wage histories
- b) their preferred wage (unless the company first shares a wage scale).

Intent:

To prevent the company from basing new wages on past wages, which can perpetuate wage inequalities.

Clarifying the Compliance Criteria:

[2.1.1] The company may also update an existing policy or other relevant document, such as an employee handbook. The commitment does not have to be made in a standalone policy or procedure.

[2.1.1 a] “Wage histories” are people’s past wages.

[2.1.1 b] A “preferred wage” is also known as an “asking wage”. It refers to a situation where the company asks the applicant during recruitment or contract negotiation to share the wage they want to be paid.

Applying the Criteria to Independently Certifying Subsidiaries:

- The policy is embedded, at minimum, at the highest governance level within the company. If the company references a policy belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the policy.

Recommendations:

- Include the applicable wage scale in all job advertisements.

Implementation Resources:

Resources to learn about how wage histories can perpetuate wage inequalities:

- Empowering Women at Work: Company Policies and Practices for Gender Equality, see section 2.1 (International Labour Organization, European Union and UN Women) [\[EN\]](#) [\[FR\]](#)
- Closing Gender Pay Gaps to Achieve Gender Equality at Work (UN Women), see What can companies do? [\[EN\]](#) [\[FR\]](#) [\[JP\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - EU Pay Transparency Directive (PE-CONS 81/22) (33)
- Equivalency Data Point



☐ [None]



FW2.2 The company tells workers how it sets their wage and what benefits they are entitled to.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW2.2	From Year 0	Micro / Small / Medium	The company tells workers how it sets their wage and what benefits they are entitled to.



Compliance Criteria:

2.2.1 The company tells workers about:

- a) all wage components relevant to them
- b) all benefits they are entitled to
- c) the mechanisms it uses for setting and reviewing wages and benefits.

2.2.2 All employees regularly receive payslips or equivalent containing clear information about, at minimum, their:

- a) base wage
- b) extra wage components
- c) deductions.

2.2.3 Payslips are written in a language the employee understands.

Intent:

To provide workers with information about their wages and entitlements.

Clarifying the Compliance Criteria:

[2.2.1 a] Relevant “compensation components” include:

- base wages or compensation
- bonuses
- allowances
- in-kind benefits.

[2.2.1 b] “Benefits” cover both:

- benefits the company is legally required to provide (e.g. related to pensions)
- voluntary additional benefits the company provides (e.g. parental leave above legal minimums).

[2.2.1 c] The company’s “mechanisms” for setting and reviewing compensation and benefits are the processes and criteria it uses for:

- initial compensation negotiations
- performance reviews
- promotions.

[2.2.2] Employees receive payslips “regularly” if they receive them on a predictable frequency (e.g. weekly or monthly).

[2.2.2] Payslips containing “clear information” means, at minimum, they:

- define or write out abbreviations
- use terms and definitions consistent with other internal documents (e.g. employment contracts, employee handbooks, or company policies).

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:



- roll out, enforcement, and accountability mechanisms
- how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Interoperability:

- Conceptual Alignment Data Point
 - EU Pay Transparency Directive (PE-CONS 81/22) (32) (35)
 - Base Code 2016 (Ethical Trading Initiative) 5.2 [\[EN\]](#)
- Equivalency Data Point
 - [None]



FW2.3 The company has wage scales.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW2.3	From Year 3	Large / X Large / XX Large	The company has wage scales.



Compliance Criteria:

2.3.1 The company has wage scales.

2.3.2 Employees can freely access the wage scales.

Intent:

To increase internal transparency around wages and accountability for how they are set.

Clarifying the Compliance Criteria:

[2.3.1] The wage scales cover all levels in the company, including its highest-level employees. They do not need to include board members, founders, or owners — unless they are also employees.

[2.3.1] Wage scales exclude extra wage components.

Applying the Criteria to Independently Certifying Subsidiaries:

- The policy or procedure is embedded, at minimum, at the highest level within the company. If the company references a policy belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the policy.

Further Guidance:

- Wage scales are based on job classes (also known as “job ranks”, “grades”, or “levels”).
- Example of a wage scale:
 - Entry-level base wage is between EUR A and B per month.
 - Manager-level base wage is between EUR C and D per month.
 - Senior-level base wage is between EUR E and F per month.
- Making the wage scale available does not mean the company shares information about individual employees’ wages.

Recommendations:

- Include the applicable wage scale in all job advertisements.
- Tell employees about any extra wage components attached to the scales.

Interoperability:

- Conceptual Alignment Data Point



-
- EU Pay Transparency Directive (PE-CONS 81/22) (26)
 - Equivalency Data Point
 - [None]



FW2.4 The company calculates its gender wage gap.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW2.4	From Year 0	Large / X Large / XX Large	The company calculates its gender wage gap.



Compliance Criteria:

2.4.1 The company has calculated its gender wage gap for each country with at least 250 employees (based on headcount).

2.4.2 The company has calculated one of the following in the last fiscal year.

- a) average unadjusted gender wage gap at the company level.
- b) average unadjusted gender wage gap at the occupational level.
- c) adjusted gender wage gap, with support from a specialist third party.

2.4.3 Wage gap calculations include, at minimum:

- a) the base wage
- b) any allowances
- c) any bonuses.

2.4.4 Wage gap calculations exclude any:

- a) overtime pay
- b) expense reimbursement
- c) non-cash benefits
- d) deferred bonuses

2.4.5 Wage gap calculations use gross figures (before tax is applied).

Intent:

To identify any disparities in how much the company pays men and women.

Clarifying the Compliance Criteria:

[2.4.1] This sub-requirement only applies if the company has 250 or more employees in at least one country (based on headcount). If the company has fewer employees, it is exempt. “Headcount” means that each person counts as one whole number. This is different to counting “full-time equivalents”.

[2.4.2; 2.4.3; 2.4.4] The company may use the same “total wage” information from the living wage (FW2.8.a, FW2.8.c) or high-to-low wage ratio (FW2.8.c.4 b) calculations to calculate the gender wage gap.

[2.4.2] Gender wage gap calculations can be “adjusted” or “unadjusted”. The two types of unadjusted gender wage gaps (also known as “uncontrolled” or “raw”) are below.

- Average gender wage gap at the company level — calculates the wage for men and women, averaged across the entire company. This method uses the formula: $\text{Gender wage gap} = \text{average women's wage} / \text{average men's wage}$.
- Average gender wage gap at the occupational level — calculates the wage for men and women, averaged per job, occupation level, or category (as chosen by the company). This method uses the same formula as above, but within each job, occupational level, or category.

[2.4.2] The company is not required to calculate the gender wage gap for its non-binary employees as a third group, alongside men and women. This group is not typically large enough to enable a calculation with statistical significance (see Further Guidance).

[2.4.2] The company includes transgender employees according to the gender they identify as, rather than adding them as a third group.

[2.4.2 c] The “adjusted” wage gap is calculated by, or with support from, a specialist third party. This calculation (also known as the “controlled” or “unexplained” wage gap) removes the effect of factors that may legitimately differentiate wages between employees, like role, experience, and qualifications. The adjustment explains and removes part of the gap, creating an “adjusted” or “unexplained” gap — a likely sign of unequal pay. Calculating the “adjusted” wage gap is complex, and no universal calculation exists.

[2.4.2; 2.4.3; 2.4.4] The company may use the same “total wage” information from the living wage (FW2.8.a, FW2.8.c) or high-to-low wage ratio (FW2.8.c.4 b) calculations to calculate the gender wage gap.

Applying the Criteria to Independently Certifying Subsidiaries:

- The measurement covers the company. If the company references an out-of-scope measurement, it:
 - records the data and mechanism for measuring its own operations



- o describes how data is consolidated in the out-of-scope parent's reporting.

Further Guidance:

- A gender wage gap is also known as a “gender pay gap”.
- The process to calculate the “adjusted” wage gap has some things in common with the process to calculate “equal pay for work of equal value”. However, they produce different results. The “adjusted” wage gap is between men and women, while the “equal pay for work of equal value” assessment reveals gaps between any two groups of people. “Equal pay for work of equal value” is covered in sub-requirement FW2.7 (not applicable to all companies).
- Including smaller groups, such as non-binary employees, within gender wage gap calculations can be a challenge, because the groups are often too small to provide statistically significant data. A minimum of 50 to 125 people per group is typically needed to calculate a gender wage gap accurately.

Recommendations:

- Calculate the gap at the occupational level if the company has more than 1,000 employees. This method is usually more insightful, as it shows gaps by level within the company.

Implementation Resources:

Resources to calculate the unadjusted gender wage gap:

- SDPI II.B.6 Gender pay gap: Equality of remuneration, see pages 78-79 (United Nations Research Institute for Social Development) [\[EN\]](#)
- Achieving Pay Equity: How analytics has evolved to support true progress (Mercer) [\[EN\]](#)

Resources to calculate the adjusted gender wage gap:

- Empowering Women at Work: Company Policies and Practices for Gender Equality, see section 2.1 (International Labour Organization, European Union and UN Women) [\[EN\]](#) [\[FR\]](#)

Resources to learn about including non-binary people:

- How to calculate a gender pay gap (WGEA), see What about non-binary employees? [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.B.6 Gender pay gap: Equality of remuneration
 - Communication on Progress Questionnaire 2023 (UN Global Compact) HR6, L8
 - Workforce Disclosure Initiative 2024 (ShareAction) 5.2
- Equivalency Data Point
 - GRI 405: Diversity and Equal Opportunity 2016 - Disclosure 405-2 Ratio of basic salary and remuneration of women to men (a)
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement S1-16 – Remuneration metrics (pay gap and total remuneration) (97.a)
 - Any gender wage gap disclosure to meet national regulation



FW2.5 The company publicly shares its gender wage gap or gaps.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW2.5	From Year 0	X Large / XX Large	The company publicly shares its gender wage gap or gaps.



Compliance Criteria:

2.5.1 The company publicly shares:

- a) its annual gender wage gap
- b) the gap for each country with at least 250 employees (based on headcount).
- c) the methodology it used to calculate its gender wage gap.

Intent:

To increase public accountability for paying men and women equally.



Clarifying the Compliance Criteria:

[2.5.1] This sub-requirement aligns with FW2.4 and only applies if the company has 250 or more employees in at least one country (based on headcount).

Applying the Criteria to Independently Certifying Subsidiaries:

- The reporting scope covers the company. If the company references a corporate group impact report that includes out-of-scope entities, either:
 - the performance of the company is clearly identifiable within the group report
 - the company publicly shares its own impact report on its webpage.

Implementation Resources:

Resources to calculate the unadjusted gender wage gap:

- SDPI II.B.6 Gender pay gap: Equality of remuneration, see pages 78-79 (United Nations Research Institute for Social Development) [\[EN\]](#)
- Achieving Pay Equity: How analytics has evolved to support true progress (Mercer) [\[EN\]](#)

Resources to calculate the adjusted gender wage gap:

- Empowering Women at Work: Company Policies and Practices for Gender Equality, see section 2.1 (International Labour Organization, European Union and UN Women) [\[EN\]](#) [\[FR\]](#)

Resources to learn about including non-binary people:

- How to calculate a gender pay gap (WGEA), see What about non-binary employees? [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.B.6 Gender pay gap: Equality of remuneration



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- Communication on Progress Questionnaire 2023 (UN Global Compact) HR6, L8
 - Workforce Disclosure Initiative 2024 (ShareAction) 5.2
 - Equivalency Data Point
 - GRI 405: Diversity and Equal Opportunity 2016 - Disclosure 405-2 Ratio of basic salary and remuneration of women to men (a)
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement S1-16 – Remuneration metrics (pay gap and total remuneration) (97.a)
 - Any gender wage gap disclosure to meet national regulation



FW2.6 The company maintains a closed gender wage gap, reduces the gap, or justifies why the gap is not sufficiently closed.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW2.6	From Year 3	Large / X Large / XX Large	The company maintains a closed gender wage gap, reduces the gap, or justifies why the gap is not sufficiently closed.



Compliance Criteria:

2.6.1 The company either:

- a) has reduced the gap by at least 50%
- b) can justify why it did not reduce the gap by 50%.

2.6.2 The company records what actions it took to reduce the wage gap.

2.6.3 If it had no gender wage gap, the company maintains a closed gap.

Intent:

To eliminate any wage disparity between men and women in the company.

Clarifying the Compliance Criteria:

- [2.6.1] This sub-requirement aligns with FW2.4 and only applies if the company has 250 or more employees in at least one country (based on headcount).
- [2.6.1 a; 2.6.3] The gender wage gap is considered closed if it is within a margin of 5%. In other words, the gap is closed if the average pay for women in the company is at least 95% of the average pay for men.
- [2.6.1 a; 2.6.3] The gender wage gap is considered closed if the company has a “negative gap”, meaning women are paid more than men on average.
- [2.6.1 a] Reducing the gap by at least 50% means to at least halve the gap. For Year 3, this means halving the gap since Year 0. For Year 5, this means halving the gap since Year 3.
- [2.6.1 b] The company’s justification, if it has not met the target, demonstrates factors beyond its control.
- [2.6.1 a; 2.6.3] The gender wage gap is considered closed if it is within a margin of 5%. In other words, the gap is closed if the average pay for women in the company is at least 95% of the average pay for men.
- [2.6.1 a; 2.6.3] The gender wage gap is considered closed if the company has a “negative gap”, meaning women are paid more than men on average.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- The company’s justification, if it has not met the target, demonstrates factors beyond its control. Acceptable justifications are likely related to changes in the company’s workforce composition, or the broader effects of gender inequality in society, for example:
 - the company operates in an industry dominated by one gender identity
 - employee roles are dominated by one gender identity



- a recent merger or acquisition caused major changes to the company's workforce.

Recommendations:

- Address any “negative gap”, where women are paid more than men on average.

Implementation Resources:

Resources to close the gender wage gap:

- Closing Gender Pay Gaps to Achieve Gender Equality at Work (Women's Empowerment Principles) [\[EN\]](#) [\[FR\]](#) [\[JP\]](#)
- Closing the Gender Pay Gaps: making the case at company level (Empowering Women at Work) [\[EN\]](#) [\[FR\]](#) [\[JP\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - Workforce Disclosure Initiative 2024 (ShareAction) 5.4
- Equivalency Data Point
 - [None]



FW2.7 The company evaluates equal pay for work of equal value.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW2.7	From Year 5	X Large / XX Large	The company evaluates equal pay for work of equal value.



Compliance Criteria:

2.7.1 The company carries out a gender-neutral job evaluation for each country with at least 150 workers (based on headcount).

2.7.2 The company carries out a gender-neutral job evaluation that:

- a) covers all worker categories
- b) covers at least 80% of workers
- c) is based on the analytical, or “point”, method
- d) is carried out by a mixed-gender team
- e) is based on feedback from workers.

2.7.3 Using the job evaluation and its wage scales (FW2.3), including any extra wage components, the company evaluates whether it offers equal pay for work of equal value.

2.7.4 The evaluation results in a document that includes a written summary of the evaluation methodology.

2.7.5 The evaluation was completed or updated in the last five years.

2.7.6 The company tells its workers about the results.

2.7.7 The company creates a plan to address any wage gaps it identifies.

Intent:

To identify any disparities in how much the company pays groups of people doing similar jobs.

Clarifying the Compliance Criteria:

[2.7.1] “Based on headcount” means that each person counts as one whole number. This is different to counting “full-time equivalents”.

[2.7.2 c] The analytical, or “point”, method evaluates jobs or roles based on four basic factors. This determines the value of each job or role. The company compares the value score and wage for each job or role. If two roles have a similar value score, but different wages, then this likely indicates unequal pay for work of equal value.

[2.7.2 c] The four basic factors, with sub-factor examples, are:

- qualifications (e.g. academic, training, work experience, volunteer work)
- effort (e.g. emotional, mental, physical effort)
- responsibility (e.g. for people, confidential information, material resources, financial responsibility)
- working conditions (e.g. physical environment, psychological climate).

[2.7.2 c] The company assigns weighting to the four basic factors or sub-factors to match the company’s priorities. For example: 20% qualifications, 30% effort, 40% responsibility, and 10% working conditions.

Applying the Criteria to Independently Certifying Subsidiaries:

- The assessment covers the company. If the company references an out-of-scope corporate assessment, it records evidence of:
 - how the assessment considered its stakeholders and operational impacts
 - how the assessment outcome is relevant to its context.

Further Guidance:

- In this sub-requirement, “pay” has the same meaning as “wage”.
- “Equal pay for work of equal value” is different from “equal pay for equal work”.
 - “Equal pay for equal work” is about ensuring that two people doing the same job are in the same wage scale.

- “Equal pay for work of equal value” means that people receive the same wage, or are in the same wage scale, when their jobs bring similar or identical value to the company. For example, bartenders and cleaners at a hotel have different jobs, but their working conditions and demands are similar enough that their work may be considered of equal value — and therefore fall in the same wage scale.
- Other jobs or roles that are often compared to one another include the following examples, with the former representing jobs or roles held predominantly by women and valued relatively less (adapted from Equal Pay: An Introductory Guide [\[EN\]](#), International Labour Organization, pg. 32).
 - Wardens in care for the elderly compared to security guards
 - Caterers or cleaners compared to gardeners or drivers
 - School meal supervisors compared to park supervisors
- Equal pay for work of equal value is usually discussed in the context of gender equity. However, an evaluation of equal pay for work of equal value looks at roles — not social identities. This benefits any social identity group that holds an undervalued role, or has experienced wage discrimination. For example, migrant workers and People of Color are other social identity groups that may benefit from this kind of assessment.
- Several countries — and most countries in the Organisation for Economic Co-operation and Development (OECD) — cover at least some aspect of equal pay for work of equal value in their legal systems. This may mean the company faces legal consequences if it identifies any unequal pay.
- This sub-requirement is part of the B Lab Standard because many countries with equal pay for equal work laws have no legal requirements or incentives to carry out evaluations. This can mean that wage gaps remain hidden and unchallenged. For more information specific to OECD countries, see Pay Transparency Tools to Close the Gender Wage Gap, OECD [\[EN\]](#).

Recommendations:

- Set up a Wage/Pay Equity Committee (see chapter 2 of Gender-neutral Job Evaluation for Equal Pay: A step-by-step guide, International Labour Organization) [\[EN\]](#).
- Account for various social identities, beyond gender identity, when selecting the evaluation team.

Implementation Resources:

Resources to learn about equal pay for work of equal value:

- Empowering Women at Work: Company Policies and Practices for Gender Equality, see section 2.1 (International Labour Organization, European Union and UN Women) [\[EN\]](#) [\[FR\]](#)
- Equal Pay: An Introductory Guide (International Labour Organization) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[JP\]](#) [\[RU\]](#)
- Women's Empowerment Principles - Principle 2. Treat all Women and Men Fairly at Work without Discrimination [\[Various languages\]](#), including AR, EN, ES, IT, FR, PT, RU, Simplified ZH]
- ILO Equal Remuneration Convention, 1951 (No. 100) (Article 2.1) [\[AR\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[NL\]](#) [\[PT\]](#) [\[RU\]](#) [\[Simplified ZH\]](#) [\[VN\]](#)
- International Covenant on Economic, Social and Cultural Rights (Article 7.a.i) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- Universal Declaration of Human Rights (Article 23.2) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- Gender Equality Forward Faster Target 2 (UN Global Compact) [\[Various languages\]](#), including AR, EN, ES, IT, FR, PT, RU, Simplified ZH]

Resources to evaluate equal pay for work of equal value:

- Gender-neutral Job Evaluation for Equal Pay: A step-by-step guide (International Labour Organization) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[PT\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- Diagnosis for Equal Remuneration (UN Women) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- Pay Transparency Tools to Close the Gender Wage Gap (Organisation for Economic Co-operation and Development) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - EU Pay Transparency Directive (PE-CONS 81/22) (21) (22) (26)
- Equivalency Data Point
 - [None]



FW2.8 The company implements fair wage practices for its lowest-paid employees.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW2.8	From Year 3	None	The company implements fair wage practices for its lowest-paid employees.



Compliance Criteria:

2.8.1 The company chooses and implements one of the following:

- a) FW2.8.a The company pays employees a living wage
- b) FW2.8.b The company pays employees a collectively-bargained wage
- c) FW2.8.c The company calculates its living wage gap, creates a closure plan, and meets two additional criteria.

Intent:

To ensure all companies take action on wages for their lowest-paid employees.

Clarifying the Compliance Criteria:

[2.8.1] The company implements this sub-requirement as required in the locations of its employees. This may mean the company implements different options for different locations. For example, the company may have employees in two countries — one with national collective bargaining and another without.

[2.8.1] The company chooses option FW2.8.b if employees are paid a collectively-bargained wage, even if it meets or exceeds a living wage.

[2.8.1] If the minimum wage is the same or higher than the living wage estimate, then the company meets this sub-requirement by paying the minimum wage.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.



FW2.8.a The company pays employees a living wage.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW2.8.a	From Year 3	None	The company pays employees a living wage.



Compliance Criteria:

2.8.a.1 The company pays employees who are 18 years or older a living wage.

2.8.a.2 The company uses a living wage estimate approved by B Lab.

2.8.a.3 The company meets the criteria for calculating the total wage.

Intent:

To ensure the company pays its employees enough to afford a decent standard of living for them and their families.

Clarifying the Compliance Criteria:

[2.8.a.1] If there is no free living wage estimate for an employee's location then they may be excluded from this sub-requirement. For example, if there is a free estimate for location A but not for location B, then the company can meet the sub-requirement by paying a living wage to employees in location A.

[2.8.a.2] The company uses the following steps to find the right living wage estimate.

- Use a living wage estimate from Table 1, which lists the living wage estimates approved by B Lab. They are split into primary and secondary. Primary estimates are free, whereas secondary estimates are not free. Use a primary estimate, unless the company has employees in multiple countries, in which case they may use a secondary estimate to ensure consistency across countries.
- Use the most recent data available at the time of setting wages. If no year-average living wage estimate is available, use the most recent quarter.
- Pick the location of the living wage estimate that is as near and specific as possible to the location of employees.
- If needed, apply an estimate from an urban location for a rural location. This is acceptable, as urban estimates are higher. For example, the company may use the estimate for Buenos Aires or urban Argentina for rural parts of Argentina.
- For employees working remotely, use the living wage estimate for the location where the employee is registered for tax purposes.

[2.8.a.2] Only living wage estimates listed in Table 1 are accepted.

[2.8.a.2] Living wage estimates calculated by the company are not accepted, unless they are based on accepted estimates and higher than them.

Living wage estimates approved by B Lab

- Locations not listed below
 - Primary: [Global Living Wage Coalition](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Aotearoa New Zealand



- Primary: [Living Wage Movement Aotearoa New Zealand](#)
- Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Africa — various locations
 - Primary
 - [Global Living Wage Coalition](#)
 - [NewForesight](#) - Use the “gross living wage” figure based on a “typical family” and assuming multiple wage earners.
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Alberta
 - Primary: [Alberta Living Wage Network](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — British Columbia
 - Primary: [Living Wage for Families BC](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.

- Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Ontario
 - Primary: [Ontario Living Wage Network](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Manitoba
 - Primary: [Canadian Centre for Policy Alternatives](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Newfoundland and Labrador
 - Primary: [Canadian Centre for Policy Alternatives](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Nova Scotia
 - Primary: [Canadian Centre for Policy Alternatives](#)
 - Secondary

- [WageIndicator](#) - Use “typical family” and “lower bound”.
- Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — New Brunswick
 - Primary: [Human Development Council](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Quebec
 - Primary: [Institut de recherche et d'informations socio-économiques \(IRIS\)](#) - Use “ménage composé de deux adultes et de deux enfants”
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Hong Kong
 - Primary: [Oxfam Hong Kong](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Ireland
 - Primary: [Living Wage Ireland](#) - Use two, three or four children, and two adults.

- Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Latin America — various locations
 - Primary
 - [Global Living Wage Coalition](#)
 - [NewForesight](#) - Use the “gross living wage” figure based on a “typical family” and assuming multiple wage earners.
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Spain — Barcelona Metropolitan Area
 - Primary: [Àrea Metropolitana de Barcelona \(AMB\)](#) - Use “Parella amb 2 o més fills/es”
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Singapore
 - Primary: [MIS Singapore](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.

- Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- South Korea — Gyeonggi
 - Primary: [Gyeonggi Provincial Government](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- South Korea — Seoul
 - Primary: [Seoul Metropolitan Council](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- United Kingdom
 - Primary: [Living Wage Foundation](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- United States
 - Primary
 - [Living Wage for US](#) - Use “Monthly Living Wage (lowest cost County in commuting zone for tier II certification)”



- [MIT Living Wage Calculator](#) - Use two or three children, and use “two adults (both working)” or “two adults (one working)”
- Secondary: Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Locations not listed above
 - Primary: [Global Living Wage Coalition](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).

[2.8.a.3] The company calculates employees’ total wage:

- using the same rate as the living wage estimate (e.g. by hour, week, month, or year)
- assuming full-time work, meaning the total wage for part-time employees is converted to full-time
- using gross figures, meaning before applying tax.

[2.8.a.3] The company includes extra wage components in the total wage that meet the following principles.

- Relevant — they affect life essentials for the employee and their family, such as housing, food, or education. Any work-related costs are excluded (e.g. if the company pays for personal protective equipment). Only include costs that are part of a cost category in the living wage estimate (e.g. if the estimate does not account for childcare, then do not include childcare vouchers).
- Predictable — the employee knows what to expect and when, so they can organize and plan their finances (e.g. a fixed monthly allowance, or bonuses determined by policy, rather than management discretion).
- Usable — the employee can use the extra component easily (e.g. it is paid in cash, rather than gift vouchers for specific shops).
- Accessible — the employee receives the extra component within a year, so that it can contribute to their weekly or monthly costs.
- Earned in standard hours — employees do not rely on overtime work to receive the extra component.

[2.8.a.3] The company excludes the following extra wage components in the total wage.

- Pension contributions (unless included as a cost category in the living wage estimate)
- Profit-sharing bonuses based on the company's performance
- Overtime pay (as it is earned outside standard working hours)
- Leave indemnity or termination pay
- Life insurance
- Disability and accident insurance
- Sick leave pay
- Training and professional development costs
- Costs of equipment needed for work (e.g. personal protective equipment).

[2.8.a.3] No single extra wage component may account for more than 20% of the total wage (except for tips). For example, if a housing allowance makes up 30% of the total wage, the company caps the extra wage component at 20% of the total wage.

[2.8.a.3] When calculating the value of in-kind benefits, the company includes only its contribution and not their retail value. For example, the company includes the cost to produce cafeteria lunch, not the retail price of the food.

[2.8.a.3] If the company is in the US, it calculates its contribution to employee healthcare using the formula below. The calculation assumes the company provides a family health insurance plan. It does not apply if the company provides an individual health insurance plan.

(i) Cost of health insurance premium from living wage estimate

- (ii) Cost of health insurance premium to the employee

= (iii) Cost saving to include in the total wage calculation

To identify each part of the calculation:

(i) Cost of health insurance premiums from living wage estimate

- Use the cost from Living Wage For US listed under “Health Insurance Premiums” for the relevant location [\[EN\]](#).

(ii) Cost of health insurance premium to the employee

- Use the cost for a family plan covering four people, even if employees can choose different plans (as the cost assumes a family of four as well).
- Use the most advantageous plan for employees at the entry level.
- Use the cost for a silver plan or better.
- Use the same cost for all employees (i.e. there is no need to identify the specific cost per employee).

(iii) Cost saving to include in the total wage calculation

- If the result is negative, count it as zero.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

Calculating the total wage

- Extra wage components may include, for example:
 - fixed end-of-year bonuses, such as a “13th month” bonus
 - supermarket vouchers
 - accommodation the company provides (including only the cost to the company, not the retail value)
 - housing allowances
 - crèche or nursery care, if the cost of child care is included in the chosen living wage estimate (including only the cost to the company, not the retail value)

- healthcare insurance, if the cost of healthcare is included in the chosen living wage estimate (including only the cost to the company, not the retail value)
- cafeteria lunches (including only the cost to the company, not the retail value)
- transport allowances (if they cover the employee's daily commute — but not for work travel)
- mobile phone allowances (if they cover the employee's personal use — but not if they cover work use)
- performance bonuses, if they are:
 - based on personal performance, not company performance
 - formalized in a company policy
 - earned during standard working hours
- tips (only if the company has a policy to guarantee employees a living wage — meaning that if the total wage including tips falls below a living wage, the company covers the difference).

Recommendations:

- Combine implementing a living wage with collective bargaining. For example, share living wage resources with unions for feedback and to support their negotiating power.
- Pay a living wage to independent contractors.

Implementation Resources:

Resources to define a living wage:

- Global Living Wage Coalition [\[EN\]](#)
- Anker Methodology (see chapter 2, section 1) [\[EN\]](#)
- WageIndicator's visual explanation [\[EN\]](#)
- Universal Declaration of Human Rights (Article 23.2, 25.1) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

- International Covenant on Economic, Social and Cultural Rights (Article 7.a.ii) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- Report of the Meeting of Experts on wage policies, including living wages (International Labour Organization) Conclusion 5 [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Resources to calculate total wages:

- Anker methodology (see chapter 15) [\[EN\]](#)
- Salary Matrix (IDH) [\[EN\]](#)

Resources to implement living wage for employees:

- Living Wage Benchmark Reference Sheet Achieving the Living Wage Ambition: Reference Sheet and Implementation Guidance (UN Global Compact) [\[EN\]](#) [\[ES\]](#)
- Living Wage Analysis Tool (UN Global Compact) [\[EN\]](#)

Global membership initiatives working on living wage:

- ACT [\[EN\]](#)
- AIM-Progress [\[EN\]](#)
- Fair Labor Association [\[EN\]](#)
- IDH [\[EN\]](#)
- Global Living Wage Coalition [\[EN\]](#)
- UN Global Compact [\[EN\]](#)
- Wage Map [\[EN\]](#)

Other resources:

- Living Wage Playbook (AIM-Progress) [\[EN\]](#)
- WageIndicator's FAQ [\[EN\]](#)
- The International Labour Organization and the Living Wage: A Historical Perspective (ILO) [\[EN\]](#)



- The Case for Living Wages (Business Fights Poverty) [[EN](#)]
- Living Wage Forward Faster Target 1 (UN Global Compact) [[Various languages](#), including AR, EN, ES, IT, FR, PT, RU, Simplified ZH]

Interoperability:

- Conceptual Alignment Data Point
 - Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.B.4 Living wage gap
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement S1-10 – Adequate wages (67)
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) F01
 - Workforce Disclosure Initiative 2024 (ShareAction) 5.7
- Equivalency Data Point
 - Canada (Alberta): Alberta Living Wage Network
 - Canada (British Columbia): Living Wage for Families BC
 - Canada (Ontario): Ontario Living Wage Network
 - New Zealand: Living Wage Movement Aotearoa New Zealand
 - UK: Living Wage Foundation
 - USA: Living Wage for US Tier II
 - Various locations: Fair Wage Network accreditation
 - Various locations: SA8000



FW2.8.b The company pays employees a collectively-bargained wage.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW2.8.b	From Year 3	None	The company pays employees a collectively-bargained wage.



Compliance Criteria:

2.8.b.1 The company pays employees a collectively-bargained wage.

2.8.b.2 The collectively-bargained wage is part of a collective bargaining agreement. The agreement:

- a) is recognized by national legislation
- b) is active
- c) goes above simply referring to legal minimums
- d) is as advantageous as legal entitlements.

Intent:

To ensure employees can negotiate for better working conditions and wages.

Clarifying the Compliance Criteria:

[2.8.b.2] National-, industry-, and company-level collective bargaining agreements all meet this sub-requirement.

[2.8.b.2] If a company-level collective bargaining agreement provides less favorable conditions than a higher-level agreement (at an industry or national level), then the company uses the more favorable agreement. Using a lower-level agreement to provide less favorable conditions, known as derogation, does not meet this sub-requirement.

[2.8.b.2 a] A collective bargaining agreement is “active” if it has not expired and is not under active negotiation (as confirmed by the union).

[2.8.b.2 c] The agreement does not meet the sub-requirement if it simply "refers to legal minimums", because this goes against the intent of a collective bargaining agreement.

[2.8.b.2 d] The agreement is "as advantageous as legal entitlements" if it provides the same or greater entitlement than the legal default (e.g. it increases the wage above the minimum wage).

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Recommendations:

- Combine implementing a living wage with collective bargaining. For example, share living wage resources with unions for feedback and to support their negotiating power.
- Pay a living wage to independent contractors.

Implementation Resources:

Resources to learn about collective bargaining:

- Achieving Decent Work and Inclusive Growth: The Business Case for Social Dialogue (UN Global Compact) [\[EN\]](#)

- Questions to address freedom of association and social dialogue in the agrifood sector: A guide for traders, buyers, CSR managers, brand or retail representatives (CNV Internationaal and Fairtrade International) [\[EN\]](#)
- Right to Organise and Collective Bargaining Convention, 1949 (No. 98) [\[AR\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[NL\]](#) [\[PT\]](#) [\[RU\]](#) [\[Simplified ZH\]](#) [\[VN\]](#)
- Universal Declaration of Human Rights (Articles 23.4) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- International Covenant on Economic, Social and Cultural Rights (Article 8.1) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Resources to ask questions about collective bargaining:

- Helpdesk for Business on International Labour Standards (International Labour Organization) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[Simplified ZH\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 2: General Disclosures 2021 - Disclosure 2-30 Collective bargaining agreements
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement S1-8 – Collective bargaining coverage and social dialogue (58)
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) F07
 - Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.B.15 Union density and collective bargaining coverage
 - Communication on Progress Questionnaire 2023 (UN Global Compact) HR6, L6
 - Workforce Disclosure Initiative 2024 (ShareAction) 9.2, 9.4
- Equivalency Data Point
 - [None]



FW2.8.c The company calculates its living wage gap, creates a closure plan, and meets two additional criteria.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW2.8.c	From Year 3	None	The company calculates its living wage gap, creates a closure plan, and meets two additional criteria.



Compliance Criteria:

2.8.c.1 The company calculates its living wage gap.

2.8.c.2 The company calculates the number and percentage of employees whose total wage is below the living wage.

2.8.c.3 The company creates an internal plan to close its living wage gap.

2.8.c.4 The company meets two of the following criteria at minimum.

- a) It pays employees at least 75% of a living wage.
- b) It has a high-to-low wage ratio of 10:1 or less.
- c) It increases base wages annually to match inflation.
- d) It leads one collective action at minimum to increase wages or benefits.
- e) It shares publicly:
 - i) how it determines wages for its lowest- and highest-paid employees
 - ii) the lowest wage and highest wage in the company, or its high-to-low wage ratio.
- f) It gets a third party to confirm its lowest wages are in the top quartile for its local sector or industry.
- g) It pays employees a bonus equivalent to one month of their base wage.
- h) It provides free childcare to employees.
- i) It provides a pension contribution of at least 7% to employees.



Intent:

To ensure companies not meeting one of the other options (FW2.8.a or FW2.8.b) still:

- take action on wages for their lowest-paid employees
- lay the foundations to implement a living wage.



Clarifying the Compliance Criteria:

[2.8.c.1; 2.8.c.2] The company calculates the gap by employee, role, or wage scale.

[2.8.c.1] The “living wage gap” is the difference between the living wage estimate and an employee’s total wage.

[2.8.c.1] The company calculates living wage gaps for employees who are:

- located in places with free and approved living wage estimates
- not subject to a collective bargaining agreement.

[2.8.c.1] If there is no free living wage estimate for an employee’s location then they may be excluded from this sub-requirement. For example, if there is a free estimate for location A but not for location B, then the company can meet the sub-requirement by paying a living wage to employees in location A.

[2.8.c.1] The company uses the following steps to find the right living wage estimate.

- Use a living wage estimate from Table 1, which lists the living wage estimates approved by B Lab. They are split into primary and secondary. Primary estimates are free, whereas secondary estimates are not free. Use a primary estimate, unless the company has employees in multiple countries, in which case they may use a secondary estimate to ensure consistency across countries.
- Use the most recent data available at the time of setting wages. If no year-average living wage estimate is available, use the most recent quarter.
- Pick the location of the living wage estimate that is as near and specific as possible to the location of employees.
- If needed, apply an estimate from an urban location for a rural location. This is acceptable, as urban estimates are higher. For example, the company may use the estimate for Buenos Aires or urban Argentina for rural parts of Argentina.
- For employees working remotely, use the living wage estimate for the location where the employee is registered for tax purposes.

[2.8.c.1] Only living wage estimates listed in Table 1 are accepted.

[2.8.c.1] Living wage estimates calculated by the company are not accepted, unless they are based on accepted estimates and higher than them.

Living wage estimates approved by B Lab

- Locations not listed below
 - Primary: [Global Living Wage Coalition](#)

- Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Aotearoa New Zealand
 - Primary: [Living Wage Movement Aotearoa New Zealand](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Africa — various locations
 - Primary
 - [Global Living Wage Coalition](#)
 - [NewForesight](#) - Use the “gross living wage” figure based on a “typical family” and assuming multiple wage earners.
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Alberta
 - Primary: [Alberta Living Wage Network](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.

- Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — British Columbia
 - Primary: [Living Wage for Families BC](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Ontario
 - Primary: [Ontario Living Wage Network](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Manitoba
 - Primary: [Canadian Centre for Policy Alternatives](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Newfoundland and Labrador
 - Primary: [Canadian Centre for Policy Alternatives](#)
 - Secondary

- [WageIndicator](#) - Use “typical family” and “lower bound”.
- Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Nova Scotia
 - Primary: [Canadian Centre for Policy Alternatives](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — New Brunswick
 - Primary: [Human Development Council](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Quebec
 - Primary: [Institut de recherche et d'informations socio-économiques \(IRIS\)](#) - Use “ménage composé de deux adultes et de deux enfants”
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Hong Kong
 - Primary: [Oxfam Hong Kong](#)

- Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Ireland
 - Primary: [Living Wage Ireland](#) - Use two, three or four children, and two adults.
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Latin America — various locations
 - Primary
 - [Global Living Wage Coalition](#)
 - [NewForesight](#) - Use the “gross living wage” figure based on a “typical family” and assuming multiple wage earners.
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Spain — Barcelona Metropolitan Area
 - Primary: [Àrea Metropolitana de Barcelona \(AMB\)](#) - Use “Parella amb 2 o més fills/es”
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.

- Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Singapore
 - Primary: [MIS Singapore](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- South Korea — Gyeonggi
 - Primary: [Gyeonggi Provincial Government](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- South Korea — Seoul
 - Primary: [Seoul Metropolitan Council](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- United Kingdom
 - Primary: [Living Wage Foundation](#)
 - Secondary



- [WageIndicator](#) - Use “typical family” and “lower bound”.
- Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- United States
 - Primary
 - [Living Wage for US](#) - Use “Monthly Living Wage (lowest cost County in commuting zone for tier II certification)”
 - [MIT Living Wage Calculator](#) - Use two or three children, and use “two adults (both working)” or “two adults (one working)”
 - Secondary: Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Locations not listed above
 - Primary: [Global Living Wage Coalition](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.

Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).

[2.8.c.1] The company calculates employees’ total wage:

- using the same rate as the living wage estimate (e.g. by hour, week, month, or year)
- assuming full-time work, meaning the total wage for part-time employees is converted to full-time
- using gross figures, meaning before applying tax.

[2.8.c.1] The company includes extra wage components in the total wage that meet the following principles.

- Relevant — they affect life essentials for the employee and their family, such as housing, food, or education. Any work-related costs are excluded (e.g. if the company pays for personal protective equipment). Only include costs that are part of a cost category in the living wage estimate (e.g. if the estimate does not account for childcare, then do not include childcare vouchers).

- Predictable — the employee knows what to expect and when, so they can organize and plan their finances (e.g. a fixed monthly allowance, or bonuses determined by policy, rather than management discretion).
- Usable — the employee can use the extra component easily (e.g. it is paid in cash, rather than gift vouchers for specific shops).
- Accessible — the employee receives the extra component within a year, so that it can contribute to their weekly or monthly costs.
- Earned in standard hours — employees do not rely on overtime work to receive the extra component.

[2.8.c.1] The company excludes the following extra wage components in the total wage.

- Pension contributions (unless included as a cost category in the living wage estimate)
- Profit-sharing bonuses based on the company's performance
- Overtime pay (as it is earned outside standard working hours)
- Leave indemnity or termination pay
- Life insurance
- Disability and accident insurance
- Sick leave pay
- Training and professional development costs
- Costs of equipment needed for work (e.g. personal protective equipment).

[2.8.c.1] No single extra wage component may account for more than 20% of the total wage (except for tips). For example, if a housing allowance makes up 30% of the total wage, the company caps the extra wage component at 20% of the total wage.

[2.8.c.1] When calculating the value of in-kind benefits, the company includes only its contribution and not their retail value. For example, the company includes the cost to produce cafeteria lunch, not the retail price of the food.

[2.8.c.1] If the company is in the US, it calculates its contribution to employee healthcare using the formula below. The calculation assumes the company provides a family health insurance plan. It does not apply if the company provides an individual health insurance plan.

(i) Cost of health insurance premium from living wage estimate

- (ii) Cost of health insurance premium to the employee

= (iii) *Cost saving to include in the total wage calculation*

To identify each part of the calculation:

(i) Cost of health insurance premiums from living wage estimate

- Use the cost from Living Wage For US listed under “Health Insurance Premiums” for the relevant location [\[EN\]](#).

(ii) Cost of health insurance premium to the employee

- Use the cost for a family plan covering four people, even if employees can choose different plans (as the cost assumes a family of four as well).
- Use the most advantageous plan for employees at the entry level.
- Use the cost for a silver plan or better.
- Use the same cost for all employees (i.e. there is no need to identify the specific cost per employee).

(iii) Cost saving to include in the total wage calculation

- If the result is negative, count it as zero.

[2.8.c.1; 2.8.c.2] The company calculates the gap by employee, role, or wage scale.

[2.8.c.3] The company does not need to share its plan to close its living wage gap externally.

[2.8.c.3] The company does not need to implement the plan to meet this sub-requirement.

[2.8.c.3] The company does not create a plan if it cannot calculate any living wage gaps (e.g. if it operates in a location where no free and approved living wage estimates are available).

[2.8.c.4 a] The company cannot choose this option if 75% of a living wage is below the minimum wage.

[2.8.c.4 a] The company may also pay a living wage estimate for an individual if this data is available.

[2.8.c.4 b] The “high-to-low wage ratio” is the ratio between the highest wage and the lowest wage in the company. For example, if the highest wage the company pays is \$300,000 and the lowest is \$30,000, it would have a high-to-low wage ratio of 10:1.



[2.8.c.4 b] The company calculates the ratio using gross total wages plus bonuses not captured in the total wage. The calculation excludes shareholder equity. The company may use the same “total wage” information from the living wage (FW2.8.a, FW2.8.c.1) or gender wage gap (FW2.4) calculations to calculate the high-to-low wage ratio.

[2.8.c.4 b] If the company has employees in multiple countries, it calculates the ratio for each one. To fulfill this option, the company meets the 10:1 ratio (as a maximum) in all countries.

[2.8.c.4 c] When setting wages, the company uses inflation data that:

- is the most recent data at the time of setting wages
- comes from an official national source.

[2.8.c.4 d] “Leading at least one collective action” means the company leads or co-leads an initiative to improve wages or benefits for six months at minimum.

[2.8.c.4 d] The action focuses on wages for the lowest paid.

[2.8.c.4 d] Actions that do not require the company to take a leadership role or require ongoing involvement do not meet this option, such as:

- signing a petition
- publishing sporadic social media posts (that are not part of an organized public campaign)
- writing a single letter to a government official.

[2.8.c.4 e] The company publicly shares:

- how it determines wages for its lowest- and highest-paid employees
- why it does not pay either a living wage or collectively-bargained wage
- its intentions and targets related to wages for the lowest-paid employees.

[2.8.c.4 e] The company publicly shares one of the following.

- The lowest wage and highest wage in the company
- Its high-to-low wage ratio

[2.8.c.4 e] All information from the criteria above is shared in the same place.

[2.8.c.4 f] The company has a report from a third party confirming that the wages it pays its lowest-paid employees are in the top quartile when compared to at least four similar companies.

[2.8.c.4 f] “Top quartile” means the company pays a higher lowest wage than three-quarters, or 75%, of the sample.

[2.8.c.4 f] “Similar companies” are those that:

- operate in the same sector or industry
- operate in the same location (e.g. city, province, or county)
- are a similar size.

[2.8.c.4 f] The third party confirms in the report that they chose:

- the companies in the sample
- the locations in the sample, if the company has employees in multiple locations.

[2.8.c.4 g] If the company chooses both the option to pay employees at least 75% of a living wage, and the option to pay employees a bonus worth one month of their base wage, it avoids double counting any bonuses. The company excludes any bonus included to calculate the total wage, such as a fixed end-of-year bonus or any legally-mandated bonus (e.g. “13th month” bonus).

[2.8.c.4 h] The company ensures employees have access to childcare facilities by providing one of the following.

- Childcare facilities
- Access to third-party childcare facilities
- A childcare voucher or allowance that covers at least 80% of childcare costs

[2.8.c.4 h] The company cannot choose this option if:

- the government covers access to childcare
- the company chooses the option to pay employees at least 75% of a living wage, and includes childcare in its living wage calculation (not all living wage estimates include the cost of childcare, and it is therefore sometimes excluded from total wage calculations).

[2.8.c.4 i] The company contributes 7% of the employee's monthly base wage to their pension.

[2.8.c.4 i] The company's contribution is separate from any employee contribution that the company processes.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- In relation to collective action [FW2.8.c.4 d]:
 - "Leading or co-leading an initiative to improve wages or benefits" may include, for example:
 - commissioning or funding research on wages or benefits, and sharing the results publicly
 - leading a multi-stakeholder initiative that enables learning or action
 - leading an industry, sector, or professional association that enables learning or action
 - implementing a local or national campaign
 - campaigning on public policy improvements
 - lobbying the government on public policy improvements.
 - The action focuses on wages for the lowest paid. It may address, for example:
 - the minimum wage
 - a living wage
 - collective bargaining
 - public services or benefits

- profit sharing or redistribution.

Recommendations:

- Calculate the living wage gap for the company's independent contractors.
- Share the plan to close the company's living wage gap with employees.
- Commit publicly to closing the living wage gap.

Implementation Resources:

Resources on living wage:

- Global Living Wage Coalition [\[EN\]](#)
- Anker Methodology (see chapter 2, section 1) [\[EN\]](#)
- WageIndicator's visual explanation [\[EN\]](#)
- Universal Declaration of Human Rights (Article 23.2, 25.1) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- International Covenant on Economic, Social and Cultural Rights (Article 7.a.ii) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- Report of the Meeting of Experts on wage policies, including living wages (International Labour Organization) Conclusion 5 [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Resources on childcare:

- Tackling Childcare: A guide for employer-supported childcare (International Finance Corporation) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 2: General Disclosures 2021 - Disclosure 2-21 Annual total compensation ratio (a)
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement S1-10 – Adequate wages (97.b)



- Desafío 10X
- Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.B.3 CEO-to-worker pay ratio
- Workforce Disclosure Initiative 2024 (ShareAction) 5.1
- Living Pensions (UK Living Wage Foundation)
- Equivalency Data Point
 - [None]

FW3 The company considers feedback from workers on decisions that affect them.

FW3.1 The company has an employee representation mechanism.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW3.1	From Year 3	None	The company has an employee representation mechanism.



Compliance Criteria:

3.1.1 The company has an employee representation mechanism.

3.1.2 Representatives meet and record meeting notes.

3.1.3 The company supports its employees to fulfill their employee representative roles during regular working hours.

3.1.4 The employee representatives and the company's executive team or highest governing body communicate at least twice a year.

3.1.5 The company publicly shares if its employees do not want an employee representation mechanism, and explains how it determined this.

Intent:

To ensure the company provides formal opportunities for employees to share feedback.

Clarifying the Compliance Criteria:

[3.1.1] If the company is in a country with government-controlled unions, or where unions are illegal, it can have a different employee representation mechanism.

[3.1.1] Employee resource and affinity groups are not accepted as employee representation mechanisms for this sub-requirement. This is because, by default, employee resource and affinity groups should provide safe spaces for discussion, without the expectation of formally representing employees.

[3.1.1] An employee representation mechanism does not meet the sub-requirement if it only focuses on one topic or theme (e.g. a health and safety committee).

[3.1.1] The company complies with national legislation on workers' right to freedom of association and collective bargaining.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.
- References to the highest governing body or executive team mean those within the company's scope of certification. This means that communication with the worker bodies by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional communication at the highest governing body or executive team within its scope of certification.

Further Guidance:

- Formal employee representation mechanisms include, for example:
 - unions
 - works councils
 - worker committees.
- The company “captures the formal nature of the mechanism in a document”, such as a:

-
- policy
 - procedure
 - terms of reference document
 - charter
 - memorandum of understanding
 - union agreement.
 - If employees do not want an employee representation mechanism then the company should not force one on them. This would be against their right to freedom of association.

Recommendations:

- Provide training for employee representatives to fulfill their role, unless another body is responsible for providing training (e.g. a union).
- Prioritize employee representation mechanisms in the following order, recognising they are not all considered equal in terms of effectiveness and alignment with international labor standards.
 - Union
 - Works council
 - Worker committee
- Expand the scope of the employee representation mechanism to include independent contractors.

Implementation Resources:

Resources to learn about freedom of association and worker representation:

- Achieving Decent Work and Inclusive Growth: The Business Case for Social Dialogue (UN Global Compact) [\[EN\]](#)
- Guides on trade union and employee representation (Acas) [\[EN\]](#) (Note, these guides were designed for the United Kingdom, however the principles in the guides remain relevant globally)



Resources to ask question about freedom of association and worker representation:

- Helpdesk for Business on International Labour Standards (International Labour Organization) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[Simplified ZH\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - Workforce Disclosure Initiative 2024 (ShareAction) 9.7
- Equivalency Data Point
 - [None]



FW3.2 The company considers feedback from workers on decisions that affect them.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW3.2	From Year 0	None	The company considers feedback from workers on decisions that affect them.



Compliance Criteria:

3.2.1 The company seeks, considers, and addresses worker feedback on decisions that affect them.

3.2.2 The company seeks feedback from the workers affected by a decision, or their representative.

3.2.3 The company communicates its decision and how it considered feedback back to the relevant workers, or their representative.

Intent:

To ensure the company has a meaningful and proactive approach to understanding workers' perspectives and considering them when making decisions. The intent is not that the company has to agree with workers' feedback.

Clarifying the Compliance Criteria:

[3.2.1; 3.2.2] The company may seek feedback from a sample of workers, or from representatives of formal employee representation mechanisms (rather than consulting all workers).

[3.2.1; 3.2.2] The company may seek feedback from employee resource or affinity groups (JEDI2.f), with their consent. However, these groups do not serve as formal representatives by default.

[3.2.1; 3.2.2] The company may seek feedback from a sample of workers, or from representatives of formal employee representation mechanisms (rather than consulting all workers).

[3.2.1; 3.2.2] The company may seek feedback from employee resource or affinity groups (JEDI2.f), with their consent. However, these groups do not serve as formal representatives by default.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- The company may seek feedback from a sample of workers, or from representatives of formal employee representation mechanisms (rather than consulting all workers). These mechanisms include, for example:
 - unions
 - works councils
 - worker committees.
- Moments for the company to seek feedback may include, for example:
 - Reviewing worker wages or benefits

- Renovating a workplace
- Choosing a new internal communications tool
- Deciding to take on a new or controversial client
- Merger or acquisition.
- Further ways for the company to seek feedback may include, for example:
 - meetings
 - focus group discussions
 - surveys, polls, or votes
 - third-party social assessments.

Recommendations:

- When communicating decision outcomes, explain where the company agreed or disagreed with the feedback, and how the feedback influenced a decision.
- Prioritize employee representation mechanisms in the following order, recognising they are not all considered equal in terms of effectiveness and alignment with international labor standards.
 - Unions
 - Works councils
 - Worker committees

Interoperability:

- Conceptual Alignment Data Point
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement S1-2 – Processes for engaging with own workforce and workers' representatives about impacts (25)



-
- Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.B.16 Worker participation
 - Workforce Disclosure Initiative 2024 (ShareAction) 9.1, 9.9
 - Equivalency Data Point
 - [None]

FW4 The company measures workplace culture and takes action to improve it.

FW4.1 The company measures workplace culture regularly.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW4.1	From Year 0	None	The company measures workplace culture regularly.

Compliance Criteria:

4.1.1 The measurement focuses on outcomes for workers.

4.1.2 The measurement includes at least two of the following themes.

- a) Satisfaction
- b) Wellbeing
- c) Belonging
- d) Feeling engaged
- e) Being engaged
- f) Psychological safety

4.1.3 The company states in its communications about the measurement that participation is optional.

4.1.4 The company completes the measurement:

- a) in the twelve months before Year 0
- b) in each subsequent year.

4.1.5 The measurement is done annually.

4.1.6 If the company has 50 workers or more (based on headcount) then:

- a) The measurement is both qualitative and quantitative.
- b) The measurement is anonymous by default. Where anonymity cannot be ensured, the company informs workers.

Intent:

To ensure the company assesses its workplace culture and understands workers' experiences and perceptions of the company and workplace.

Clarifying the Compliance Criteria:

[4.1.1; 4.1.2; 4.1.6a] The measurement may be qualitative or quantitative, or a combination. If the company has 50 workers or more (based on headcount), then the measurement is both qualitative and quantitative.

[4.1.1; 4.1.6] “Headcount” means that each person counts as one whole number. This is different to counting “full-time equivalents”.

[4.1.1; 4.1.2] The company records notes if it organizes workshops or group discussions. Wherever possible, the company anonymizes information and avoids attributing specific feedback to individual workers (unless they consent).

[4.1.1; 4.1.2] The company may use one combined worker measurement to fulfill this sub-requirement and PSG6.3, if it applies. (PSG6.3 is about workers’ perception of how the company has implemented its social and environmental strategy.)

[4.1.1] “Measuring outcomes” means the company evaluates workers’ personal experiences or perceptions. Measurement can include outputs as well as outcomes (e.g. training attendance), but only measuring outputs does not meet the sub-requirement. If training attendance was the output, the company would also need to track, for example, workers’ perceptions of the training, or whether the training had the intended effects (e.g. an increase in productivity).

[4.1.1; 4.1.2; 4.1.6a] The measurement may be qualitative or quantitative, or a combination. If the company has 50 workers or more (based on headcount), then the measurement is both qualitative and quantitative.

[4.1.1; 4.1.2] The company records notes if it organizes workshops or group discussions. Wherever possible, the company anonymizes information and avoids attributing specific feedback to individual workers (unless they consent).

[4.1.1; 4.1.2] The company may use one combined worker measurement to fulfill this sub-requirement and PSG6.3, if it applies. (PSG6.3 is about workers’ perception of how the company has implemented its social and environmental strategy.)

[4.1.1; 4.1.6] “Headcount” means that each person counts as one whole number. This is different to counting “full-time equivalents”.

[4.1.1; 4.1.2; 4.1.6 a] The measurement may be qualitative or quantitative, or a combination. If the company has 50 workers or more (based on headcount), then the measurement is both qualitative and quantitative.

[4.1.6 b] The measurement is “anonymous by default”, meaning workers are not required to share their name or identifiable information. Workers can choose to share identifiable information if they want to.



[4.1.6 b] The company tells workers what measures it is taking to anonymize their feedback before they participate. The company may not be able to guarantee anonymity if some information is easily identifiable (e.g. if only one person works in a particular location, or has a unique role). Maintaining anonymity can be harder for companies with smaller workforces in particular.

Applying the Criteria to Independently Certifying Subsidiaries:

- The measurement covers the company. If the company references an out-of-scope measurement, it:
 - records the data and mechanism for measuring its own operations
 - describes how data is consolidated in the out-of-scope parent's reporting.

Further Guidance:

- The company may collect qualitative information using, for example:
 - workshops
 - group discussions
 - company events
 - surveys with text fields
 - message boards.
- The company may collect quantitative information using, for example, surveys with numerical scales and polls.
- Sub-themes to the themes in the Compliance Criteria are listed below. The company may use these examples to formulate questions or statements for measuring workplace culture (noting they inherently overlap in places).
 - Satisfaction
 - Feeling content with management or the company
 - Recommending the job or company to friends or family
 - Not thinking about leaving the company, or not looking for a job elsewhere
 - Wellbeing



-
- Balance between work and personal life
 - Positive and negative stress levels
 - Workload management
 - Use of or effectiveness of leave policies
 - Use of or effectiveness of wellbeing programs or benefits
 - Access to nutrition in company eating facilities
 - Belonging
 - Ability to be one's self at work
 - Feeling respected at work
 - Relationships with management and peers
 - Worker diversity at the company
 - Acknowledgement of good work
 - Feeling engaged
 - Feeling proud to work for the company
 - Feeling motivated to work for the company
 - Feeling the company is doing something important
 - Being engaged
 - Feeling heard
 - Ability to ask questions or raise concerns
 - Feeling included in decision making
 - Psychological safety
 - Ability to ask questions or raise concerns



- Ability to disagree without fear of negative consequences
- Relationships with managers
- Ability to make mistakes

Recommendations:

- Measure as many of the workplace culture themes as possible.
- If the company has 1–9 workers, do not promise anonymity and avoid data disaggregation. This is because maintaining worker anonymity is harder for small groups of workers.
- If the company has more than 25 workers, use both qualitative and quantitative measurements.
- Combine full and partial measurements over the course of a year. Full measurements happen annually, and partial measurements every quarter. Partial measurements are sometimes called “pulse checks” or “pulse surveys”.

Implementation Resources:

Resources to measure workplace culture:

- Employee Engagement (Chartered Institute of Personnel and Development) [\[EN\]](#)
- OECD Guidelines on Measuring Subjective Well-being (Organisation for Economic Co-operation and Development) [\[EN\]](#)
- OECD Guidelines on Measuring Trust (Organisation for Economic Co-operation and Development) [\[EN\]](#)
- OECD Guidelines on Measuring the Quality of the Working Environment (Organisation for Economic Co-operation and Development) [\[EN\]](#)
- An OECD survey of employee well-being: An instrument to measure employee well-being inside companies, Working Paper No.24 (Organisation for Economic Co-operation and Development) [\[EN\]](#)
- A Guide to Defining & Measuring Values (Junxion) [\[EN\]](#)
- Enquêtes auprès des salariés - Pratiques d'entreprises (ORSE) [\[FR\]](#)
- Enquêtes auprès des salariés - Grille de questionnements (ORSE) [\[FR\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - Workforce Disclosure Initiative 2024 (ShareAction) 8.8, 9.8
- Equivalency Data Point
 - [None]



FW4.2 The company has a plan to continuously improve its workplace culture.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW4.2	From Year 3	Small / Medium / Large / X Large / XX Large	The company has a plan to continuously improve its workplace culture.

Compliance Criteria:

4.2.1 The company develops and implements a plan to improve its workplace culture.

4.2.2 The plan is approved by the executive team or highest governing body.

4.2.3 The plan is updated annually to show progress on each action and shared with workers.

4.2.4 If fewer than 50% of workers participate in the workplace culture measurement, the company includes actions in the plan to increase participation.

Intent:

To ensure the company:

- responds to its workplace culture measurements
- seeks to continuously improve the culture in its workplace.

Applying the Criteria to Independently Certifying Subsidiaries:

- The plan is embedded, at minimum, at the highest level within the company. If the company references a plan belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the plan.
- References to the executive team or highest governing body mean those within the company's scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the executive team or highest governing body within its scope of certification.

Further Guidance:

- Actions the company may take to improve workplace culture include, for example:
 - publicly sharing its workplace culture measurement results and improvement actions
 - communicating the company's purpose and values clearly, and ensuring leaders demonstrate those values (e.g. about work-life balance)
 - recognizing achievements and good work

- improving worker benefits (based on workers' priorities).
- Actions the company may take to improve participation in workplace culture measurements include, for example:
 - telling workers the purpose and importance of the measurement, how their responses will be used, and how they can participate
 - improving the data collection process to make it easier and more engaging
 - asking workers for feedback on how to improve the measurement process.

Implementation Resources:

Resources to improve workplace culture:

- Employee Engagement (Chartered Institute of Personnel and Development) [\[EN\]](#)
- 6 ways to foster belonging in the workplace (Culture Amp) [\[EN\]](#)



FW4.3 The company disaggregates its workplace culture measurements by gender identity or sex at birth.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW4.3	From Year 3	Medium / Large / X Large / XX Large	The company disaggregates its workplace culture measurements by gender identity or sex at birth.



Compliance Criteria:

- 4.3.1 If the company has 250 or more workers (based on headcount), it disaggregates its workplace culture measurements by gender identity or sex at birth.
- 4.3.2 Workers provide their gender identity or sex at birth voluntarily, and can choose to remain anonymous
- 4.3.3 The company has a process to protect workers' identities.

Intent:

To better understand how perceptions of workplace culture differ by gender identity or sex at birth.

Clarifying the Compliance Criteria:

[4.3.1] This sub-requirement applies if the company has 250 or more workers (based on headcount). If the company has fewer workers, it is exempt. “Headcount” means that each person counts as one whole number. This is different to counting “full-time equivalents”.

[4.3.1] The company is not expected to hold information on gender or social identity as part of employment or personnel records (see Recommendations for more information).

[4.3.2; 4.3.3] The company ensures that disaggregating results does not compromise workers’ anonymity. This may be a risk in cases with easily identifiable information, or where a group is small (e.g. if there is only one woman worker).

[4.3.2; 4.3.3] The company ensures that disaggregating results does not compromise workers’ anonymity. This may be a risk in cases with easily identifiable information, or where a group is small (e.g. if there is only one woman worker).

Applying the Criteria to Independently Certifying Subsidiaries:

- The measurement covers the company. If the company references an out-of-scope measurement, it:
 - records the data and mechanism for measuring its own operations
 - describes how data is consolidated in the out-of-scope parent’s reporting.

Further Guidance:

- The company takes alternative measures if asking about gender identity is not permitted by law in its location, or may put workers at risk of harm. For example:
 - asking about sex at birth only (e.g. male / female)
 - adding an “other” category without naming it (e.g. man / woman / other)
 - adding a “prefer not to say” answer option (e.g. man / woman / prefer not to say)
 - providing the option to skip the question.

Recommendations:



- Choose to collect information on gender identity over sex at birth, if the company has the option. This acknowledges that every person has a gender identity that may not be the same as their sex at birth.
- Stay up to date with the suitability of social identity terms in the company's context, and, where possible, get advice from civil society organizations. These terms vary by country, culture, and language, and may shift over time.
- Where possible, avoid storing gender identity data or linking it to individuals. Gender identity data may be considered sensitive personal data in some jurisdictions, and collecting it may require the company to take extra data privacy measures. For example, to collect information on workers' experiences with promotions, use a one-time survey in which workers share their experiences and provide one or more social identities anonymously. This avoids the company keeping such information in employment or personnel records, for example, which would require additional data privacy measures in many jurisdictions.

Implementation Resources:

Resources to identify and use inclusive language:

- Inclusive Language Guide (Oxfam) [\[EN\]](#)
- Guia de Comunicação Inclusiva (safespace) [\[PT\]](#)
- Comunicar sin discriminar (United Nations Development Programme) [\[ES\]](#)
- Guía de Comunicación Inclusiva (ACCION Empresas) [\[ES\]](#)

Resources to collect disaggregated data:

- Data collection and publication guidance: Sex, Gender Identity, Trans Status (Scottish Government) [\[EN\]](#)



FW4.4 The company disaggregates its workplace culture measurements by one additional social identity.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
FW4.4	From Year 3	Large / X Large / XX Large	The company disaggregates its workplace culture measurements by one additional social identity.



Compliance Criteria:

- 4.4.1 If the company has 250 or more workers (based on headcount), it disaggregates its workplace culture measurements by one additional social identity (other than gender identity or sex at birth).
- 4.4.2 The company uses stakeholder feedback to choose the additional social identity.
- 4.4.3 Workers provide their social identity information voluntarily, and can choose to remain anonymous.
- 4.4.4 The company has a process to protect workers' identities.

Intent:

To better understand how perceptions of workplace culture differ by social identity.

Clarifying the Compliance Criteria:

[4.4.1; 4.4.2] The company can meet this sub-requirement by collecting data about multiple social identities. The most effective approach may differ depending on the context. For example, the company disaggregates its workplace culture data by ethnicity in one country, and by differing abilities in another.

[4.4.1] This sub-requirement applies if the company has 250 or more workers (based on headcount). If the company has fewer workers, it is exempt. “Headcount” means that each person counts as one whole number. This is different to counting “full-time equivalents”.

[4.4.1] The company is not expected to hold information on gender or social identity as part of employment or personnel records (see Recommendations for more information).

[4.4.1; 4.4.2] The company can meet this sub-requirement by collecting data about multiple social identities. The most effective approach may differ depending on the context. For example, the company disaggregates its workplace culture data by ethnicity in one country, and by differing abilities in another.

[4.4.2] The company chooses the additional social identity to analyze based on worker feedback, and its workforce, community, and country contexts.

[4.4.2] The company chooses the additional social identity (other than gender identity or sex at birth) based on its workforce, community, and country. The company may avoid assessing certain social identities if there are legal limitations or strong cultural barriers.

[4.4.3; 4.4.4] The company ensures that disaggregating results does not compromise workers’ anonymity. This may be a risk in cases with easily identifiable information, or where a group is small (e.g. if there is only one woman worker).

[4.4.3; 4.4.4] The company ensures that disaggregating results does not compromise workers’ anonymity. This may be a risk in cases with easily identifiable information, or where a group is small (e.g. if there is only one woman worker).

Applying the Criteria to Independently Certifying Subsidiaries:

- The measurement covers the company. If the company references an out-of-scope measurement, it:
 - records the data and mechanism for measuring its own operations
 - describes how data is consolidated in the out-of-scope parent’s reporting.



Further Guidance:

- The company chooses the additional social identity to analyze based on worker feedback, and its workforce, community, and country contexts, as in the following examples.
 - The company chooses LGBTQIA+ as a social identity because formal complaints from the past year show an increasing amount of anti-trans and homophobic behaviors.
 - The company chooses ethnicity as a social identity because its workforce does not have the same ethnic diversity as its country, according to the most recent census.
 - The company chooses race as a social identity because the country it is based in has a history of colonialism or slavery.
- The company takes precautions if asking about certain social identities is not permitted by law in its location, or may put workers at risk of harm. The company is expected to understand its local context and anticipate how asking about social identities can put workers at risk (e.g. not asking about LGBTQIA+ identification if same-sex relationships are illegal). In situations that are less clear, the company takes alternative measures, designed and implemented using worker feedback. These may include:
 - adding a “prefer not to say” answer option
 - providing the option to skip the question.

Recommendations:

- Understand the legal limitations in the company’s context, and investigate how to obtain meaningful information while respecting people’s privacy and dignity. Note, while some countries have certain legal limitations, no country completely prohibits collecting all types of gender or social identity information.
- Where possible, avoid storing social identity data or linking it to individuals. Social identity data may be considered sensitive personal data in some jurisdictions, and collecting it may require the company to take extra data privacy measures. For example, to collect information on workers’ experiences with promotions, use a one-time survey in which workers share their experiences and provide one or more social identities anonymously. This avoids the company keeping such information in employment or personnel records, for example, which would require additional data privacy measures in many jurisdictions.

Implementation Resources:



Resources to identify and use inclusive language:

- Inclusive Language Guide (Oxfam) [\[EN\]](#)
- Guia de Comunicação Inclusiva (safespace) [\[PT\]](#)
- Comunicar sin discriminar (United Nations Development Programme) [\[ES\]](#)
- Guía de Comunicación Inclusiva (ACCION Empresas) [\[ES\]](#)

Resources to prioritize additional social identities to focus on:

- DEI Map (Aperian) [\[EN\]](#)
- The 203 Worst (& Safest) Countries for LGBTQ+ Travel in 2023 (Asher & Lyric) [\[EN\]](#)

Justice, Equity, Diversity & Inclusion (JEDI)

Body of Knowledge (BoK) for the JEDI
Impact Topic



Intent

Under the Justice, Equity, Diversity & Inclusion — or JEDI — Impact Topic, companies will:

- measure differences between groups and gather feedback from stakeholders
- take action to create diverse and inclusive workplaces.

Systems of inequality, both historic and ongoing, sustain and worsen disadvantages faced by certain groups today. To combat this, companies need to create specific and intentional plans to adopt principles of justice, equity, diversity, and inclusion within their own workplaces and their value chains. The JEDI Impact Topic ensures that B Corps channel their energy toward positive impacts for all — and particularly for systematically disadvantaged people.

Taking continuous action to advance JEDI principles is the foundation of a safe and equitable workplace that fosters belonging. JEDI principles also reflect labor and human rights, such as freedom from discrimination and the right to decent work.

Outcome

B Corps have inclusive and diverse workplaces and contribute to just and equitable communities.

Requirements Summary

JEDI1 The company collects data to inform its JEDI actions.

JEDI2 The company chooses and implements JEDI actions.

Scope

All individuals and communities affected by the company's own operations and value chain.

Terms and Definitions

Affinity group

A voluntary group of employees linked by a social identity (e.g. a group for employees who identify as having a disability or as Indigenous).

Agriculture

A company that either:

- earns over 10% of its revenue from products grown on its farm or agro-processing facility, from managing land to grow and harvest crops, or from raising and managing livestock
- sources the majority of its raw materials directly from growers or livestock producers.

Companies in the agriculture sector include, for example:

- vegetable farms
- coffee plantations or roasters
- tree planting companies
- livestock farms or ranches.

Apprentice

Someone working for the company whose placement is temporary and whose primary purpose is to learn and gain experience. Apprentices and interns are distinct from employees.

Apprenticeships may be governed by national regulation (e.g. they receive a mandatory apprentice wage), while internships are governed by the company. An apprenticeship, unlike an internship, may lead to a formal qualification.



In the B Lab Standard, an apprentice is someone who works during, or as part of, either a formal education program or a program that meets national regulatory requirements. If not, they are an “employee”.

Bisexual

Someone who has the potential to be physically, romantically, or emotionally attracted to people of more than one gender (not necessarily at the same time, in the same way, or to the same degree).

(Adapted from [GLAAD](#))

Civil Society Organization (CSO)

Non-State, not-for-profit, voluntary entities formed by people in the social sphere that are separate from the State and the market. CSOs represent a wide range of interests and ties. They can include community-based organizations as well as non-governmental organizations (NGOs).

([UNGP Reporting Framework](#))

Company

A legal entity (or group of related legal entities) formed to engage in and operate a business (meaning a commercial or industrial enterprise). A company may be organized in various ways depending on the corporate law in its jurisdiction.

Company without workers

A company owned and run by one person. A company without workers may also be known as a sole proprietor, sole trader, individual entrepreneur, or individual proprietor.

Disaggregated data

Data that has been broken down into detailed sub-categories for analysis (e.g. by social identity).

Disaggregated data can reveal inequalities that may not be obvious in aggregated data.



Diverse

See diversity.

Diversity

All the ways in which people are different. Diversity encompasses all the characteristics that make one individual or group different from another. It is all-inclusive and recognizes every identity and every group as part of the human diversity that should be valued.

Diversity includes not only race, ethnicity, and gender, but also:

- age
- national origin
- religion
- disability
- sexual orientation
- socioeconomic status
- education
- marital status
- language
- physical appearance
- ideas, perspectives, and values.

(Adapted from [IRIS+](#))

Employee

Person who has a direct employment relationship with the company. This includes permanent, temporary, full-time, part-time, seasonal, and casual employees. This includes when, for administrative reasons, there is a different employer on record, but practically the person works as



an employee and the company is responsible for their recruitment, performance evaluation, and disciplinary management.

Working owners may also count as employees, depending on certain conditions (see working owner).

Employee resource group (ERG)

A type of employee-led affinity group that aims to provide:

- personal support
- career development advice
- space for employees to participate in cultural exchange.

Equity (in the context of JEDI)

The just and fair inclusion of all people in the workplace or society. Equity enables all to participate and prosper, recognizing that some people face additional disadvantages and need unique support.

Equity audit

An assessment of how the company directly and indirectly impacts people relative to their social identities.

Equitable

See equity.

Executive team

People with delegated authority from the highest governing body to implement strategies and policies that fulfill the company's purpose.

(Adapted from PAS 808 — [Purpose-driven organizations](#), British Standards Institution)

Gay



Someone whose enduring physical, romantic, or emotional attractions are to people of the same sex.

(Adapted from [GLAAD](#))

Gender affirmation leave

Time that an employee takes off to pursue gender affirming processes, such as:

- medical, psychological, or hormone-related appointments (including surgery)
- administrative and legal appointments (e.g. updating documents).

Gender identity

A person's internal, deeply-held knowledge of their own gender. Everyone has a gender identity ([GLAAD](#)).

Different countries, cultures, and languages have different gender categories, and they change over time. In many English-speaking countries, the categories are: man, woman, and non-binary or non-conforming.

Highest governing body

The person or group of people who have ultimate accountability for the whole company. Every organizational entity has one highest governing body, even if it is not explicitly established.

A highest governing body can be explicitly established in a number of formats, such as:

- a board of directors
- a supervisory board
- a sole director
- joint and several directors

- trustees.

For larger companies, a board subcommittee may be considered the highest governing body — as long as the full board is regularly updated on progress and performance.

(Adapted from [Governance of organizations](#) — Guidance, ISO Standard)

Human rights

Basic international standards aimed at securing dignity and equality for all, without discrimination.

Human rights include the rights contained in the International Bill of Human Rights:

- The Universal Declaration of Human Rights
- The International Covenant on Civil and Political Rights
- The International Covenant on Economic, Social and Cultural Rights

They also include the principles concerning fundamental rights set out in the International Labour Organization's Declaration on Fundamental Principles and Rights at Work.

(Adapted from [UNGP Reporting Framework](#))

Impact

An effect the company has, or could have, on:

- the economy
- the environment



- people, including on their human rights.

Impacts can be actual or potential, negative or positive.

(Adapted from [GRI 3](#), 2021, Global Reporting Initiative)

Inclusion (in the context of JEDI)

Acts and behaviors that bring in people who are traditionally excluded to participate in activities and decision-making. Inclusion involves both identifying and removing barriers that stop people from participating and contributing.

While a truly inclusive group is necessarily diverse, a diverse group may or may not be inclusive.

Inclusive (in the context of JEDI)

See inclusion

Inclusive design

Design that considers the full range of human diversity with respect to:

- ability
- language
- culture
- gender
- age
- other forms of human difference.

(Adapted from [Inclusive Design Research Centre](#))



Independent contractor

A person who is self-employed, or works freelance. They are a “worker” if they work more than 20 hours per week indefinitely or for more than six months. This may include the following examples.

- A self-employed construction worker who works full-time for the company on a construction project for one year.
- A freelance physiotherapist who works 25 hours per week at a clinic for two years.

Intern

Someone working for the company whose placement is temporary, and whose primary purpose is to learn and gain experience. Apprentices and interns are distinct from employees.

Apprenticeships may be governed by national regulation (e.g. they receive a mandatory apprentice wage), while internships are governed by the company. An apprenticeship, unlike an internship, may lead to a formal qualification.

In the B Lab Standard, an intern is someone who works during, or as part of, a formal education program. If not, they are an “employee”.

JEDI

Justice, Equity, Diversity and Inclusion

Justice (in the context of JEDI)

In the context of Justice, Equity, Diversity, and Inclusion: the process of dismantling barriers to resources and opportunities in society, so that all individuals and communities can live full and dignified lives.

Lesbian

A woman whose enduring physical, romantic, or emotional attraction is to other women.

Some lesbians may prefer to identify as gay, or as gay women.



(Adapted from [GLAAD](#))

LGBTQIA+

An umbrella term for a range of different gender and sexual identities.

LGBTQI+ stands for:

- Lesbian
- Gay
- Bisexual
- Transgender
- Queer
- Intersex
- Asexual.

The "+" recognizes all non-straight, non-cisgender identities.

(Adapted from [GLAAD](#))

Manager

An individual at the company who is responsible for the performance of others or operational processes.

Manufacturing

A company that earns over 10% of its revenue from products it makes, either for direct sale or for sale by another company or brand.

Manufacturing involves transforming input materials into a new product. The manufactured product may not be the final product.



Companies in the manufacturing sector include, for example:

- food and beverage producers
- assembly lines
- apparel manufacturers.

Non-binary

People who experience their gender identity or gender expression (or both) as falling outside the gender binary of "man" and "woman".

(Adapted from [GLAAD](#))

Non-conforming

People whose gender expression is different from conventional expectations of masculinity and femininity.

(Adapted from [GLAAD](#))

Outcome

A change resulting from the company's activities and outputs. An outcome has a direct link between the activities and outputs, and their impact on people and the environment.

Output

The direct result of an activity. Outputs may include, for example:

- training materials
- policies
- reports



- impact-related programs or projects.

Queer

Someone whose sexual orientation is not exclusively heterosexual.

Queer is used by some people as a self-descriptive adjective (e.g. "queer person" or "queer woman").

(Adapted from [GLAAD](#))

Services with minor footprint

A company that earns 90% or more of its revenue from services that do not involve selling physical products or require a physical location for their delivery.

Services with minor footprints include, for example:

- law firms
- marketing and communications agencies
- software companies.

This was previously named "Services with Minor Environmental footprint". The definition and its application remain the same.

Services with significant footprint

A company that earns 90% or more of its revenue from services that involve significant machinery or equipment, or require a specific operational location (often key to delivering the service).

Services with significant footprint include, for example:

- hotels
- restaurants



- landscaping companies
- universities.

This was previously named "Services with Significant Environmental footprint". The definition and its application remain the same.

Sex at birth

The sex assigned to a person when they were born based on their external anatomy (either "male" or "female").

Sex at birth does not reflect the complex development of the human body. Sex is not solely determined by anatomy, nor is it strictly binary (male or female). People can also change their body through medical transition in ways that fundamentally alter the sex they were assigned at birth.

(Adapted from [GLAAD](#))

Sexual Orientation

A person's enduring physical, romantic, or emotional attraction to another person (e.g. straight, gay, or bisexual, among others). "Sexual orientation" is the scientifically accurate term, rather than "sexual preference". (Adapted from [GLAAD](#))

Social identity

A person's own sense of who they are, based on the social group or groups they belong to. Social identity terms vary by country, culture, and language.

Examples of social identities include:

- race
- ethnicity
- gender identity
- religion
- caste



- sexual orientation.

Stakeholder

A person, group, or entity who may, positively or negatively:

- affect the company
- be affected by the company's activities
- have an interest that is affected by the company's activities.

Relevant stakeholders may include, for example:

- business partners
- civil society organizations
- consumers
- customers
- employees and other workers
- governments
- local communities
- non-governmental organizations
- shareholders and other investors
- suppliers
- trade unions
- vulnerable groups (including future generations)



- the environment (including species).

(Adapted from [GRI 3: Material Topics](#), 2021.)

Transgender

People whose gender identity is different from their sex at birth.

(Adapted from [GLAAD](#))

Underrepresented group

Groups who have not traditionally had equal access to economic opportunities, because of discrimination or other societal barriers. These vary by context and by geography.

Wholesale/Retail

A company that earns over 10% of its revenue from selling physical products, but does not own or operate the manufacturing processes or facilities that produce them. This includes companies that design products but outsource their production.

Wholesale/retail companies include, for example:

- grocery stores
- consumer goods companies that do not manufacture their own products
- wholesalers of physical goods.

Worker

A person who works for the company as any of the following.

- An employee



- An independent contractor, if they work more than 20 hours per week indefinitely or for more than six months.
- An agency worker, if they work more than 20 hours per week indefinitely or for more than six months.

Interns and apprentices, as defined in the B Lab Standard, do not count as workers.

Working owner

Founders or partners who work at the company and have at least 10% ownership in the business. If a company's workers consist only of founders or partners with at least 10% ownership, they are considered a "company without workers".

If a working owner is payrolled and they have additional non-working owner employees, then the working owner is considered an "employee".

Notes

- This topic is inherently linked to all other topics as all requirements are designed to be implemented using JEDI principles.
- JEDI and human rights have deep conceptual links with one another. Their intentions and eventual goals are the same - that all people are treated with respect and live with dignity. They remain distinct topics in these standards because at the moment they inhabit distinct spaces in sustainability and organizational change discourses. For example, frameworks, standards, tools and guidance often only concern one of the two. Human rights in the context of business ('Business & Human Rights') is usually framed in terms of human rights due diligence, focusing primarily on preventing harm to people. This stems from the UN Guiding Principles on Business & Human Rights. JEDI on the other hand, is not explicitly rooted in any such framework and (more explicitly) refers to both the prevention of harm and pursuit of positive impacts. Over time, they are likely to converge. Within these standards, they exist as distinct topics despite their deep conceptual links to recognize that currently they do inhabit distinct spaces.
- Effective JEDI work incorporates diverse perspectives that represent the company's context. The following categories of social identity are material in most contexts and serve as an initial list for consideration: sex, gender identity, race, ethnicity, age, citizenship, sexual orientation, and differing abilities. Social identities related to Indigenous Peoples, immigration status, caste, religion, or tribe may also be material depending on the context. These lists are non-exhaustive, meaning there may be other identities to consider based on the company's context.
- Grievance and remediation procedures are covered under PSG3.



JEDI1 The company collects data to inform its JEDI actions.

JEDI1.1 The company collects data to inform its JEDI actions.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI1.1	From Year 0	Small / Medium / Large / X Large / XX Large	The company collects data to inform its JEDI actions.



Compliance Criteria:

1.1.1 If the company has more than 10 and fewer than 50 workers (based on headcount), it has facilitated at least one discussion or survey about JEDI principles in the workplace:

- a) in the twelve months before Year 0
- b) in each subsequent year.

1.1.2 If the company chooses to facilitate a discussion:

- a) it is at least one hour long
- b) the company records notes.

1.1.3 If the company has 50 workers or more (based on headcount) it:

- a) collects data on gender identity or sex at birth for at least five worker-related measurements.
- b) disaggregates data to report internally on its chosen worker-related measurements.

1.1.4 Workers provide their data and participate voluntarily, and can choose to remain anonymous.

Intent:

For the company to gather data and feedback on diversity and inclusion that it can use to select its JEDI actions (JEDI2).



Clarifying the Compliance Criteria:

[1.1.1] “Headcount” means that each person counts as one whole number. This is different to counting “full-time equivalents”.

[1.1.1] “JEDI principles” refers to:

- justice
- equity
- diversity
- inclusion
- related principles, such as access, belonging, equality, or fairness.

[1.1.3] The company is not expected to hold information on gender or social identity as part of employment or personnel records (see Recommendations for more information).

[1.1.3] Collection of disaggregated data under other parts of the B Lab Standard count toward this sub-requirement (e.g. FW2 and FW3).

[1.1.3 a] The company meets this sub-requirement if it collects information on either (or both) gender identity or sex at birth, acknowledging that gender identity remains a challenging subject in many parts of the world.

[1.1.4] The company takes care not to accidentally de-anonymize worker feedback. This may be a risk in cases with easily identifiable information, or where a group is small (e.g. if there is only one woman worker).

Applying the Criteria to Independently Certifying Subsidiaries:

- The measurement covers the company. If the company references an out-of-scope measurement, it:
 - records the data and mechanism for measuring its own operations
 - describes how data is consolidated in the out-of-scope parent’s reporting.

Further Guidance:

- This sub-requirement gives companies the option to run a discussion, instead of a survey, because preserving worker anonymity in a survey may be impossible for smaller companies. In these cases, an open discussion may be more appropriate.
- In a discussion, the company aims to hear directly from workers about diversity and inclusion in their work. Workers are encouraged to share their own personal perspectives and experiences. The discussion may focus on what happens within the workplace, or the company's relationship with these principles beyond the workplace (e.g. through advertising or public statements).
- If the company chooses to run a survey, it may use the same survey it runs for FW4.
- Questions to facilitate discussion or ask in a survey may include the following examples.
 - Do you feel that you are paid and treated fairly for the work you do?
 - Do you feel that you have the same opportunities as other workers?
 - Do you feel that you are thriving at work?
 - Do you feel comfortable to offer ideas and give constructive feedback?
 - Do you feel that you are listened to?
 - Do you feel like the company is fair to everyone?
 - How do biases impact us at work?
 - What can leadership do to make everyone feel included
- Disaggregated data collection means the company can calculate results for each sex or gender group separately. For example, the company surveys workers asking if they attended any training in the past year. Workers respond anonymously and can specify which sex or gender they identify as. The company then knows how many from each group attended training, which may give insight into their opportunities and experiences.
- Worker-related measurements may include, for example:
 - employment categories (also known as job classifications, employment status, or contract types)
 - representation in the highest governing body and executive team
 - retention, attrition, or turnover rates
 - recruitment

- promotion
- training opportunities or participation
- perceptions of working conditions
- working hours
- complaints or grievances [link to PSG3]
- wages [link to FW2]
- perceptions of workplace culture [link to FW4].
- Gender identity information is different from information about sex at birth, or as stated on legal documents. Collecting information on gender identity involves asking people what gender they identify as, which may be different from the sex they were assigned at birth. Gender identity categories can vary depending on the country, culture, and language, and change over time. Three common gender identities in English-speaking countries are:
 - man
 - woman
 - non-binary or non-conforming.
- The company takes alternative measures if asking about gender identity is not permitted by law in its location, or may put workers at risk of harm. For example, it:
 - asks about sex at birth only (e.g. male / female)
 - adds an 'other' category without naming it (e.g. man / woman / other)
 - adds a 'prefer not to say' answer option (e.g. man / woman / prefer not to say)
 - allows workers to skip the question.

Recommendations:

- Get an expert or experienced person to lead any discussion about JEDI principles. This may require the company to hire an external expert. If someone from within the company leads the discussion, improve their JEDI knowledge and capacity first [link to JEDI2.b].



- Use terms to represent gender identity or sex at birth that are suitable for the context and respect people's dignity.
- Understand the legal limitations in the company's context, and investigate how to obtain meaningful information while respecting people's privacy and dignity. Note, while some countries have certain legal limitations, no country completely prohibits collecting all types of gender or social identity information.
- Where possible, avoid storing gender identity data or linking it to individuals. Gender identity data may be considered sensitive personal data in some jurisdictions, and collecting it may require the company to take extra data privacy measures. For example, to collect information on workers' experiences with promotions, use a one-time survey in which workers share their experiences and provide one or more social identities anonymously. This avoids the company keeping such information in employment or personnel records, for example, which would require additional data privacy measures in many jurisdictions.
- Stay up to date with the suitability of social identity terms in the company's context, and, where possible, get advice from civil society organizations. These terms vary by country, culture, and language, and may shift over time.
- Choose to collect information on gender identity over sex at birth, if the company has the option. This acknowledges that every person has a gender identity that may not be the same as their sex at birth.

Implementation Resources:

Facilitating discussions:

- How to talk about race at work (Chartered Institute of Personnel and Development) [\[EN\]](#)
- Let's Talk About Race (Business in the Community) [\[EN\]](#)
- DEI Map (Aperian) [\[EN\]](#)
- Guide: Starting the company's JEDI journey, see Step 3: Establish a shared understanding of JEDI (JEDI Collaborative) [\[EN\]](#)
- Guia ADIM LGBTI: Inclusão da diversidade sexual e identidade de gênero em empresas e organizações (ADIM) [\[PT\]](#)
- Guia prático para construção de uma estratégia de Diversidade e Inclusão (gupy) [\[PT\]](#)
- Guia de Diversidade (Legisla Brasil) [\[PT\]](#)
- Guia GPTW: O que as Melhores Empresas para Trabalhar têm feito para tornar seus ambientes mais inclusivos? (Great Place to Work) [\[PT\]](#)
- Justiça Social Com A Rede B Brasil (Sistema B) [\[PT\]](#)

- Fresque de la diversité (ESSEC Business School and Belugames) [\[FR\]](#)
- Fresque de l'équité (The Wonders) [\[FR\]](#)
- 3 actions à mettre en place sur les sujets de Diversité & Inclusion (Makesense) [\[FR\]](#)

Surveys, questions and measuring:

- An OECD survey of employee well-being: An instrument to measure employee well-being inside companies, Working Paper No.24 (Organisation for Economic Co-operation and Development) [\[EN\]](#)
- 9 metrics to help you understand (and prioritize) DEI (Culture Amp) [\[EN\]](#)
- Data collection and publication guidance: Sex, Gender Identity, Trans Status (Scottish Government) [\[EN\]](#)
- Employee Lifecycle (Project Inclusion) [\[EN\]](#)
- To Make Your Organization More Inclusive, Start With Data: How Surveying Our Staff Transformed B Lab's Approach to Equity (B Lab) [\[EN\]](#)
- Measuring progress (Project Include) [\[EN\]](#)
- Guia prático para construção de uma estratégia de Diversidade e Inclusão (gupy), passo 1. Invista em um censo [\[PT\]](#)
- Mesurer pour progresser vers l'égalité des chances (CNIL) [\[FR\]](#)
- Outil Diag Egapro-Index pour réaliser son diagnostic égalité professionnelle (ANACT) [\[FR\]](#)
- Measuring for Impact: Handout for measuring the effectiveness of diversity and inclusion policies (Utrecht University and Foundation InclusieNL) [\[EN\]](#)
- Meten is Weten: Zicht op effecten van diversiteits- en inclusiebeleid (SER) [\[NL\]](#)

Resources on inclusive communication:

- Inclusive Language Guide (Oxfam) [\[EN\]](#)
- Guia de Comunicação Inclusiva (safespace) [\[PT\]](#)
- Comunicar sin discriminar (United Nations Development Programme) [\[ES\]](#)
- Guía de Comunicación Inclusiva (ACCION Empresas) [\[ES\]](#)

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- Guide de communication inclusive (Equal Brussels) [\[FR\]](#)
 - Guide pour une communication publique sans stéréotypes de sexe (Haut Conseil à l'Egalité entre les Femmes et les Hommes) [\[FR\]](#)

Other:

- Transforming enterprises through diversity and inclusion (International Labour Organization) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- AFDM Association Française des Managers de la Diversité [\[FR\]](#)
- Women's Empowerment Principles - Principle 7. Measurement and Reporting [\[Various languages\]](#), including AR, EN, ES, IT, FR, PT, RU, Simplified ZH]



JEDI1.2 The company collects data on one additional social identity for worker-related measurements.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI1.2	From Year 3	Large / X Large / XX Large	The company collects data on one additional social identity for worker-related measurements.



Compliance Criteria:

- 1.2.1 The company collects data on one additional social identity (other than gender identity) for at least five worker-related measurements.
- 1.2.2 The company uses stakeholder feedback to choose the additional social identity.
- 1.2.3 Workers provide their social identity voluntarily, and can choose to remain anonymous.
- 1.2.4 The company disaggregates data to report internally on its chosen worker-related measurements.

Intent:

To better understand how impacts and opportunities vary for different groups of people. This information helps the company choose which actions to take under JEDI2.



Clarifying the Compliance Criteria:

[1.2.1; 1.2.2] The company chooses the additional social identity to analyze based on worker feedback, and its workforce, community, and country contexts.

[1.2.1; 1.2.4] The company takes precautions if asking about certain social identities is not permitted by law in its location, or may put workers at risk of harm. The company is expected to understand its local context and anticipate how asking about social identities can put workers at risk (e.g. not asking about LGBTQIA+ identification if same-sex relationships are illegal). In situations that are less clear, the company takes alternative measures, designed and implemented using worker feedback. These may include:

- adding a 'prefer not to say' answer option
- allows workers to skip the question.

[1.2.1; 1.2.4] The company may avoid collecting data on certain social identities if doing so would be culturally inappropriate or illegal. One workaround may be to differentiate groups without using specific labels (e.g. by asking whether workers identify as 'from this country' or 'not from this country').

[1.2.1] The company can meet this sub-requirement by collecting data about multiple social identities. The most effective approach may differ depending on the measurement being analyzed, or depending on the company's country. For example, the company disaggregates its workplace culture data by ethnicity, and its training opportunity data by differing abilities. This would help inform actions to make its workplace culture more ethnically inclusive, and ensure training is equally accessible to workers of all abilities.

[1.2.1] Collection of disaggregated data under other parts of the B Lab Standard count toward this sub-requirement (e.g. FW2 and FW3).

[1.2.1] The company is not expected to hold information on gender or social identity as part of employment or personnel records (see Recommendations for more information).

[1.2.1; 1.2.2] The company chooses the additional social identity to analyze based on worker feedback, and its workforce, community, and country contexts.

[1.2.3] The company takes care not to accidentally de-anonymize worker feedback. This may be a risk in cases with easily-identifiable information, or where a social identity group is particularly small (e.g. if there is only one Indigenous worker).

[1.2.1; 1.2.4] The company takes precautions if asking about certain social identities is not permitted by law in its location, or may put workers at risk of harm. The company is expected to understand its local context and anticipate how asking about social identities can put workers

at risk (e.g. not asking about LGBTQIA+ identification if same-sex relationships are illegal). In situations that are less clear, the company takes alternative measures, designed and implemented using worker feedback. These may include:

- adding a 'prefer not to say' answer option
- allows workers to skip the question.

[1.2.1; 1.2.4] The company may avoid collecting data on certain social identities if doing so would be culturally inappropriate or illegal. One workaround may be to differentiate groups without using specific labels (e.g. by asking whether workers identify as 'from this country' or 'not from this country').

Applying the Criteria to Independently Certifying Subsidiaries:

- The measurement covers the company. If the company references an out-of-scope measurement, it:
 - records the data and mechanism for measuring its own operations
 - describes how data is consolidated in the out-of-scope parent's reporting.

Further Guidance:

- Worker-related measurements may include, for example:
 - employment categories (also known as job classifications, employment status, or contract types)
 - representation in the highest governing body and executive team
 - retention, attrition, or turnover rates
 - recruitment
 - promotion
 - training opportunities or participation
 - perceptions of working conditions
 - working hours
 - complaints or grievances [\[link to PSG3\]](#)

- wages [link to FW2]
- perceptions of workplace culture [link to FW4].
- These lists of social identities are non-exhaustive, meaning the company may need to consider other identities, depending on its context.
 - Social identities that are material in most contexts include:
 - sex
 - gender identity
 - race
 - ethnicity
 - age
 - citizenship
 - sexual orientation
 - differing abilities.
 - Social identities that may be material, depending on context, include:
 - relation to Indigenous Peoples
 - immigration status
 - caste
 - religion
 - Tribe.
- The company chooses the additional social identity to analyze based on worker feedback, and its workforce, community, and country contexts, as in the following examples.
 - The company chooses LGBTQIA+ as a social identity because formal complaints from the past year show an increasing amount of anti-trans and homophobic behaviors.



- The company chooses ethnicity as a social identity because its workforce does not have the same ethnic diversity as its country, according to the most recent census.
- The company chooses race as a social identity because the country it is based in has a history of colonialism or slavery.

Recommendations:

- Understand the legal limitations in the company's context, and investigate how to obtain meaningful information while respecting people's privacy and dignity. Note, while some countries have certain legal limitations, no country completely prohibits collecting all types of gender or social identity information.
- Where possible, avoid storing gender identity data or linking it to individuals. Gender identity data may be considered sensitive personal data in some jurisdictions, and collecting it may require the company to take extra data privacy measures. For example, to collect information on workers' experiences with promotions, use a one-time survey in which workers share their experiences and provide one or more social identities anonymously. This avoids the company keeping such information in employment or personnel records, for example, which would require additional data privacy measures in many jurisdictions.
- Use terms to represent the chosen social identities that are suitable for the context and respect people's dignity.

Implementation Resources:

Surveys, questions and measuring:

- An OECD survey of employee well-being: An instrument to measure employee well-being inside companies, Working Paper No.24 (Organisation for Economic Co-operation and Development) [\[EN\]](#)
- 9 metrics to help you understand (and prioritize) DEI (Culture Amp) [\[EN\]](#)
- Data collection and publication guidance: Sex, Gender Identity, Trans Status (Scottish Government) [\[EN\]](#)
- Employee Lifecycle (Project Inclusion) [\[EN\]](#)
- To Make Your Organization More Inclusive, Start With Data: How Surveying Our Staff Transformed B Lab's Approach to Equity (B Lab) [\[EN\]](#)
- Measuring progress (Project Include) [\[EN\]](#)
- Guia prático para construção de uma estratégia de Diversidade e Inclusão (gupy), passo 1. Investa em um censo [\[PT\]](#)

- Mesurer pour progresser vers l'égalité des chances (CNIL) [\[FR\]](#)
- Outil Diag Egapro-Index pour réaliser son diagnostic égalité professionnelle (ANACT) [\[FR\]](#)
- Index Moreno (Ministère chargé de l'égalité entre les femmes et les hommes et de la lutte contre les discriminations) [\[FR\]](#)

Resources on inclusive communication:

- Inclusive Language Guide (Oxfam) [\[EN\]](#)
- Guia de Comunicação Inclusiva (safespace) [\[PT\]](#)
- Comunicar sin discriminar (United Nations Development Programme) [\[ES\]](#)
- Guía de Comunicación Inclusiva (ACCION Empresas) [\[ES\]](#)
- Guide de communication inclusive (Equal Brussels) [\[FR\]](#)

Other:

- Transforming enterprises through diversity and inclusion (International Labour Organization) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- The 203 Worst (& Safest) Countries for LGBTQ+ Travel in 2023 (Asher & Lyric) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - Workforce Disclosure Initiative 2024 (ShareAction) 4.12
- Equivalency Data Point
 - [None]



JEDI2 The company chooses and implements JEDI actions.

JEDI2.1 The company chooses and implements one JEDI action.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.1	From Year 0	None	The company chooses and implements one JEDI action.

Compliance Criteria:

2.1.1 The company chooses and implements at minimum one option from the following two sets.

- a) Foundation (JEDI2.a-e)
- b) Beyond the Workplace (JEDI2.m-s)

Intent:

To ensure all companies implement JEDI actions relevant to their context.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Implementation Resources:

- Inclusive Language Guide (Oxfam) [\[EN\]](#)
- Guia de Comunicação Inclusiva (safespace) [\[PT\]](#)
- Comunicar sin discriminar (United Nations Development Programme) [\[ES\]](#)
- Guía de Comunicación Inclusiva (ACCION Empresas) [\[ES\]](#)
- DEI Map (Aperian) [\[EN\]](#)



JEDI2.2 The company chooses its JEDI actions and implements them.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	None	None
Small	None	None
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.2	From Year 0	None	The company chooses its JEDI actions and implements them.



Compliance Criteria:

2.2.1 The company chooses and implements:

- a) two JEDI actions before Year 0
- b) three JEDI actions for Years 3 and 5 each.

2.2.2 The company chooses and implements at minimum one option from each set across Years 0, 3, and 5.

- a) Foundation (JEDI2.a-e)
- b) Within the Workplace (JEDI2.f-l)
- c) Beyond the Workplace (JEDI2.m-s)

Intent:

To ensure all companies implement JEDI actions relevant to their context.

Clarifying the Compliance Criteria:

[2.2.2] The company has implemented at minimum one action from each set when looking at all the actions implemented for Years 0, 3, and 5. The company does not need to implement an action from each set per Year.

[2.2.2] The company may choose the same option multiple times across Years 0, 3, and 5. For example, the company may continuously commit to JEDI principles and therefore meet JEDI2.a in Years 0, 3, and 5.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Implementation Resources:

- Inclusive Language Guide (Oxfam) [\[EN\]](#)
- Guia de Comunicação Inclusiva (safespace) [\[PT\]](#)
- Comunicar sin discriminar (United Nations Development Programme) [\[ES\]](#)
- Guía de Comunicación Inclusiva (ACCION Empresas) [\[ES\]](#)
- DEI Map (Aperian) [\[EN\]](#)



JEDI2.3 The company chooses its JEDI actions using data and stakeholder feedback, records them in a plan, and implements them.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	None	None
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.3	From Year 0	None	The company chooses its JEDI actions using data and stakeholder feedback, records them in a plan, and implements them.



Compliance Criteria:

2.3.1 The company chooses and implements:

- a) two JEDI actions before Year 0
- b) four JEDI actions for Years 3 and 5 each.

2.3.2 The company chooses at minimum one option from each set across Years 0, 3, and 5.

- a) Foundation (JEDI2.a-e)
- b) Within the Workplace (JEDI2.f-l)
- c) Beyond the Workplace (JEDI2.m-s)

2.3.3 The company considers stakeholder feedback and data (from JEDI1) when choosing its actions.

2.3.4 The company records its actions and status updates in a plan.

2.3.5 The plan was updated and shared with relevant stakeholders in the last twelve months.

2.3.6 The company's plan:

- a) contains deadlines
- b) allocates resources
- c) assigns responsibilities to specific roles.

2.3.7 The plan, including status updates, is available for workers to review at any time

Intent:

To ensure all companies implement JEDI actions relevant to their context.



Clarifying the Compliance Criteria:

[2.3.2] The company has implemented at minimum one action from each set when looking at all the actions implemented for Years 0, 3, and 5. The company does not need to implement an action from each set per Year.

[2.3.2] The company may choose the same option multiple times across Years 0, 3, and 5. For example, the company may continuously commit to JEDI principles and therefore meet JEDI2.a in Years 0, 3, and 5.

[2.3.3] The company's "relevant stakeholders" are those whose feedback the company considered when choosing its actions. Workers are always considered relevant stakeholders.

[2.3.3] The company may obtain "stakeholder feedback" through primary or secondary sources.

- "Primary sources" refers to feedback directly from stakeholders.
- "Secondary sources" include, for example, reports and news articles.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Recommendations:

- Reflect critically on which stakeholder feedback and sources the company includes, and which it excludes. When gathering stakeholder feedback, use a broad perspective to challenge potential biases. This involves evaluating the diversity of stakeholders and sources, and being open to new stakeholders or information sources. For example, the company may:
 - ask workers proactively for suggestions or feedback
 - ask stakeholders to recommend other stakeholders to engage.

Implementation Resources:



- Inclusive Language Guide (Oxfam) [\[EN\]](#)
- Guia de Comunicação Inclusiva (safespace) [\[PT\]](#)
- Comunicar sin discriminar (United Nations Development Programme) [\[ES\]](#)
- Guía de Comunicación Inclusiva (ACCION Empresas) [\[ES\]](#)
- DEI Map (Aperian) [\[EN\]](#)



JEDI2.4 The company chooses its JEDI actions using data and stakeholder feedback, records them in a plan, and implements them.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	All	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.4	From Year 0	None	The company chooses its JEDI actions using data and stakeholder feedback, records them in a plan, and implements them.



Compliance Criteria:

2.4.1 The company chooses and implements:

- a) two JEDI actions before Year 0
- b) five JEDI actions for Years 3 and 5 each.

2.4.2 The company chooses at minimum one option from each set across Years 0, 3, and 5.

- a) Foundation (JEDI2.a-e)
- b) Within the Workplace (JEDI2.f-l)
- c) Beyond the Workplace (JEDI2.m-s)

2.4.3 The company considers stakeholder feedback and data (from JEDI1) when choosing its actions.

2.4.4 The company records its actions and status updates in a plan.

2.4.5 The plan was updated and shared with relevant stakeholders in the last twelve months

2.4.6 The company's plan:

- a) contains deadlines
- b) allocates resources
- c) assigns responsibilities to specific roles.

2.4.7 The plan, including status updates, is available for workers to review at any time.

Intent:

To ensure all companies implement JEDI actions relevant to their context.



Clarifying the Compliance Criteria:

[2.4.2] The company has implemented at minimum one action from each set when looking at all the actions implemented for Years 0, 3, and 5. The company does not need to implement an action from each set per Year.

[2.4.2] The company may choose the same option multiple times across Years 0, 3, and 5. For example, the company may continuously commit to JEDI principles and therefore meet JEDI2.a in Years 0, 3, and 5.

[2.4.3] The company's "relevant stakeholders" are those whose feedback the company considered when choosing its actions. Workers are always considered relevant stakeholders.

[2.4.3] The company may obtain "stakeholder feedback" through primary or secondary sources.

- "Primary sources" refers to feedback directly from stakeholders.
- "Secondary sources" include, for example, reports and news articles.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Recommendations:

- Reflect critically on which stakeholder feedback and sources the company includes, and which it excludes. When gathering stakeholder feedback, use a broad perspective to challenge potential biases. This involves evaluating the diversity of stakeholders and sources, and being open to new stakeholders or information sources. For example, the company may:
 - ask workers proactively for suggestions or feedback
 - ask stakeholders to recommend other stakeholders to engage.

Implementation Resources:



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- Inclusive Language Guide (Oxfam) [\[EN\]](#)
 - Guia de Comunicação Inclusiva (safespace) [\[PT\]](#)
 - Comunicar sin discriminar (United Nations Development Programme) [\[ES\]](#)
 - Guía de Comunicación Inclusiva (ACCION Empresas) [\[ES\]](#)
 - DEI Map (Aperian) [\[EN\]](#)



JEDI2.5 The company chooses its JEDI actions using data and stakeholder feedback, records them in a plan, and implements them.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.5	From Year 0	None	The company chooses its JEDI actions using data and stakeholder feedback, records them in a plan, and implements them.



Compliance Criteria:

2.5.1 The company chooses and implements:

- a) two JEDI actions before Year 0
- b) six JEDI actions for Years 3 and 5 each.

2.5.2 The company chooses at minimum one option from each set across Years 0, 3, and 5.

- a) Foundation (JEDI2.a-e)
- b) Within the Workplace (JEDI2.f-l)
- c) Beyond the Workplace (JEDI2.m-s)

2.5.3 The company considers stakeholder feedback and data (from JEDI1) when choosing its actions.

2.5.4 The company records its actions and status updates in a plan.

2.5.5 The plan was updated and shared with relevant stakeholders in the last twelve months.

2.5.6 The company's plan:

- a) contains deadlines
- b) allocates resources
- c) assigns responsibilities to specific roles.

2.5.7 The plan, including status updates, is available for workers to review at any time.

Intent:

To ensure all companies implement JEDI actions relevant to their context.



Clarifying the Compliance Criteria:

[2.5.2] The company has implemented at minimum one action from each set when looking at all the actions implemented for Years 0, 3, and 5. The company does not need to implement an action from each set per Year.

[2.5.2] The company may choose the same option multiple times across Years 0, 3, and 5. For example, the company may continuously commit to JEDI principles and therefore meet JEDI2.a in Years 0, 3, and 5.

[2.5.3] The company's "relevant stakeholders" are those whose feedback the company considered when choosing its actions. Workers are always considered relevant stakeholders.

[2.5.3] The company may obtain "stakeholder feedback" through primary or secondary sources.

- "Primary sources" refers to feedback directly from stakeholders.
- "Secondary sources" include, for example, reports and news articles.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Recommendations:

- Reflect critically on which stakeholder feedback and sources the company includes, and which it excludes. When gathering stakeholder feedback, use a broad perspective to challenge potential biases. This involves evaluating the diversity of stakeholders and sources, and being open to new stakeholders or information sources. For example, the company may:
 - ask workers proactively for suggestions or feedback
 - ask stakeholders to recommend other stakeholders to engage.

Implementation Resources:



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- Inclusive Language Guide (Oxfam) [\[EN\]](#)
 - Guia de Comunicação Inclusiva (safespace) [\[PT\]](#)
 - Comunicar sin discriminar (United Nations Development Programme) [\[ES\]](#)
 - Guía de Comunicación Inclusiva (ACCION Empresas) [\[ES\]](#)
 - DEI Map (Aperian) [\[EN\]](#)



JEDI2.6 The company chooses its JEDI actions using data and stakeholder feedback, records them in a plan, and implements them.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.6	From Year 0	None	The company chooses its JEDI actions using data and stakeholder feedback, records them in a plan, and implements them.



Compliance Criteria:

2.6.1 The company chooses and implements:

- a) two JEDI actions before Year 0
- b) seven JEDI actions for Years 3 and 5 each.

2.6.2 The company chooses at minimum one option from each set across Years 0, 3, and 5.

- a) Foundation (JEDI2.a-e)
- b) Within the Workplace (JEDI2.f-l)
- c) Beyond the Workplace (JEDI2.m-s)

2.6.3 The company considers stakeholder feedback and data (from JEDI1) when choosing its actions.

2.6.4 The company records its actions and status updates in a plan.

2.6.5 The plan was updated and shared with relevant stakeholders in the last twelve months.

2.6.6 The company's plan:

- a) contains deadlines
- b) allocates resources
- c) assigns responsibilities to specific roles.

2.6.7 The plan, including status updates, is available for workers to review at any time.

Intent:

To ensure all companies implement JEDI actions relevant to their context.



Clarifying the Compliance Criteria:

[2.6.2] The company has implemented at minimum one action from each set when looking at all the actions implemented for Years 0, 3, and 5. The company does not need to implement an action from each set per Year.

[2.6.2] The company may choose the same option multiple times across Years 0, 3, and 5. For example, the company may continuously commit to JEDI principles and therefore meet JEDI2.a in Years 0, 3, and 5.

[2.6.3] The company's "relevant stakeholders" are those whose feedback the company considered when choosing its actions. Workers are always considered relevant stakeholders.

[2.6.3] The company may obtain "stakeholder feedback" through primary or secondary sources.

- "Primary sources" refers to feedback directly from stakeholders.
- "Secondary sources" include, for example, reports and news articles.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Recommendations:

- Reflect critically on which stakeholder feedback and sources the company includes, and which it excludes. When gathering stakeholder feedback, use a broad perspective to challenge potential biases. This involves evaluating the diversity of stakeholders and sources, and being open to new stakeholders or information sources. For example, the company may:
 - ask workers proactively for suggestions or feedback
 - ask stakeholders to recommend other stakeholders to engage.

Implementation Resources:



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- Inclusive Language Guide (Oxfam) [\[EN\]](#)
 - Guia de Comunicação Inclusiva (safespace) [\[PT\]](#)
 - Comunicar sin discriminar (United Nations Development Programme) [\[ES\]](#)
 - Guía de Comunicación Inclusiva (ACCION Empresas) [\[ES\]](#)
 - DEI Map (Aperian) [\[EN\]](#)



JEDI2.a The company commits publicly to JEDI principles. [Foundation]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.a	From Year 0	N/A	The company commits publicly to JEDI principles. [Foundation]



Compliance Criteria:

2.a.1 The company develops a JEDI commitment statement that:

- a) is public
- b) is approved by the executive team or highest governing body
- c) applies to the company's policies and practices across operations, customers, and community.

2.a.2 The company assigns accountability for the JEDI commitment to the executive team or highest governing body.

Intent:

To increase internal and public accountability for JEDI commitments.

Clarifying the Compliance Criteria:

[2.a.1] The company is not required to use the term “JEDI”.

[2.a.1] Human rights or human resources policies do not meet this sub-requirement, unless they explicitly incorporate JEDI principles. For example, a human rights policy that describes the importance of JEDI principles and how they relate to the rights of all people would be acceptable.

Applying the Criteria to Independently Certifying Subsidiaries:

- The commitment is embedded, at minimum, at the highest level within the company. If the company references a commitment belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the commitment.
- References to the highest governing body or executive team mean those within the company’s scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body or executive team within its scope of certification.

Further Guidance:

- This option is recommended for any company with 50 workers or more.
- Other terms the company uses may include, for example:
 - Access
 - Belonging
 - Diversity
 - Equality
 - Equity
 - Fairness
 - Inclusion
 - Justice.



- “Equality” and “equity” can have slightly different meanings, while being aligned in their outcomes. Equality means treating people equally; equity recognises that some people may have different needs because of systemic disadvantages. The two terms have the same intended outcome when equality is used to mean equal opportunities, fulfillment of human rights, and legal protections. However, when equality is used to mean treating each person exactly the same, this interpretation does not align with equity.

Implementation Resources:

- DEI Commitment Statement Guide (Harvard Office for Diversity, Inclusion & Belonging) [\[EN\]](#)
- B Lab’s JEDI Strategy and commitment statement on justice and anti-racism (B Lab) [\[EN\]](#)
- Guide: Starting the company’s JEDI journey, see Step 4: Craft your JEDI statement (JEDI Collaborative) [\[EN\]](#)
- Guia prático para construção de uma estratégia de Diversidade e Inclusão (gupy) [\[PT\]](#)



JEDI2.b The company improves JEDI knowledge and capacity among leaders. [Foundation]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.b	From Year 0	N/A	The company improves JEDI knowledge and capacity among leaders. [Foundation]



Compliance Criteria:

2.b.1 The company carries out training or a workshop on JEDI-related topics. At minimum, the training or workshop amounts to one full day per participant within a one-year period.

2.b.2 The company improves the JEDI knowledge or capacity of at least two of the following groups.

- a) The highest governing body
- b) The executive team
- c) Human resources
- d) Training & development
- e) Managers

Intent:

To better equip leaders to implement JEDI actions.



Clarifying the Compliance Criteria:

[2.b.1] Training and workshops may be carried out by an internal or external facilitator.

[2.b.1] Facilitating discussions on JEDI principles as part of JEDI1.1 does not count toward this sub-requirement.

[2.b.1] The company is not required to use the term JEDI.

[2.b.2] The company “improves knowledge” by carrying out training or workshops.

[2.b.2] The company “improves capacity” by recruiting people with expertise in JEDI.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Other terms the company uses may include, for example:
 - Access
 - Belonging
 - Diversity
 - Equality
 - Equity
 - Fairness
 - Inclusion

- Justice.
- “Equality” and “equity” can have slightly different meanings, while being aligned in their outcomes. Equality means treating people equally; equity recognises that some people may have different needs because of systemic disadvantages. The two terms have the same intended outcome when equality is used to mean equal opportunities, fulfillment of human rights, and legal protections. However, when equality is used to mean treating each person exactly the same, this interpretation does not align with equity.

Recommendations:

- Ensure someone with JEDI expertise leads any training or workshops. This involves bringing in external expertise if it does not exist within the company.
- Implement training and workshops as part of a longer-term capacity-building approach. This approach may include:
 - regular practical implementation
 - follow-up discussions or reflections
 - refresher training or workshops.

Implementation Resources:

- Equality, diversity and inclusion roles (Chartered Institute of Personnel and Development) [\[EN\]](#)
- Implementing Inclusive Cultures (Project Inclusion) [\[EN\]](#)
- Training Managers (Project Inclusion) [\[EN\]](#)
- How to Improve — and Assess — DEI Training Impact: An 8-Step Guide (Training Industry) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 2: General Disclosures 2021 - Disclosure 2-9 Governance structure and composition (c) vii
 - GRI 2: General Disclosures 2021 - Disclosure 2-10 Nomination and selection of the highest governance body (b) iv



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- GRI 2: General Disclosures 2021 - Disclosure 2-17 Collective knowledge of the highest governance body
 - Equivalency Data Point
 - [None]



JEDI2.c The company reviews and updates existing policies using JEDI principles. [Foundation]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.c	From Year 0	N/A	The company reviews and updates existing policies using JEDI principles. [Foundation]



Compliance Criteria:

2.c.1 The company reviews at least five policies that affect people using:

- a) data from JEDI1
- b) stakeholder feedback
- c) its JEDI commitment statement, if applicable (JEDI2.a)
- d) its improved in-house knowledge or capacity, if applicable (JEDI2.b).

2.c.2 The review looks at:

- a) terminology used in the policies
- b) impacts the policies have on people
- c) relationships to JEDI principles.

2.c.3 Following its review, the company updates the policies if needed.

Intent:

To ensure existing policies reflect the company's new or improved knowledge of JEDI principles.

Clarifying the Compliance Criteria:

[2.c.1; 2.c.2] The company is not required to use the term JEDI.

[2.c.1] “Policies that affect people” are policies that have an intentional or unintentional impact on people.

[2.c.1; 2.c.2] The company is not required to use the term JEDI.

[2.c.2 b] Reviewing the "impacts the policies have on people" involves assessing how policies may affect some groups differently (e.g. a policy limiting remote working may affect workers with dependents more than those without).

[2.c.2 c] “JEDI principles” refers to:

- justice
- equity
- diversity
- inclusion
- related principles, such as access, belonging, equality, or fairness.

[2.c.3] The company only updates its policies if its review finds that updates are necessary.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- This option is recommended for any company with 50 workers or more.



- The company may benefit from developing an inclusive language guide (JEDI2.i) before completing this option.
- Other terms the company uses may include, for example:
 - Access
 - Belonging
 - Diversity
 - Equality
 - Equity
 - Fairness
 - Inclusion
 - Justice.
- “Equality” and “equity” can have slightly different meanings, while being aligned in their outcomes. Equality means treating people equally; equity recognises that some people may have different needs because of systemic disadvantages. The two terms have the same intended outcome when equality is used to mean equal opportunities, fulfillment of human rights, and legal protections. However, when equality is used to mean treating each person exactly the same, this interpretation does not align with equity.
- “Policies that affect people” may include, for example:
 - performance evaluation and management
 - promotions
 - recruitment
 - wages and benefits
 - data privacy
 - procurement
 - customer service.



Implementation Resources:

- Empowering Women at Work: Company Policies and Practices for Gender Equality (International Labour Organization, European Union and UN Women) [\[EN\]](#) [\[FR\]](#)
- Implementing Inclusive Cultures, see Base your culture on true inclusion and not on avoiding legal risk (Project Inclusion) [\[EN\]](#)

Resources on inclusive communication:

- Inclusive Language Guide (Oxfam) [\[EN\]](#)
- Guia de Comunicação Inclusiva (safespace) [\[PT\]](#)
- Comunicar sin discriminar (United Nations Development Programme) [\[ES\]](#)
- Guía de Comunicación Inclusiva (ACCION Empresas) [\[ES\]](#)



JEDI2.d The company's highest governing body and executive team reflect the diversity of its community. [Foundation]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.d	From Year 0	N/A	The company's highest governing body and executive team reflect the diversity of its community. [Foundation]



Compliance Criteria:

2.d.1 The company chooses three social identities using stakeholder feedback and the demographics of its community.

2.d.2 The company's highest governing body and executive team reflect the diversity of its community across its three chosen social identities.

2.d.3 The company calculates the ratios at any point in the last twelve months.

Intent:

To reflect the diversity of the company's community in its leadership.

Clarifying the Compliance Criteria:

[2.d.1; 2.d.2] The company cannot choose this option if it has five or fewer people in its highest governing body and executive team.

[2.d.1; 2.d.2] The demographics of the company's communities may refer to demographics in the company's workforce, immediate surroundings (e.g. province or state), or country.

[2.d.1; 2.d.2] The company cannot choose this option if it has five or fewer people in its highest governing body and executive team.

[2.d.1; 2.d.2] The demographics of the company's communities may refer to demographics in the company's workforce, immediate surroundings (e.g. province or state), or country.

[2.d.2; 2.d.3] Matching the ratios of all three chosen social identities exactly is likely impossible, particularly as the highest governing body and executive team can be relatively small. The company can therefore meet this sub-requirement by being within ten percentage points of the target. For example, to reflect a national estimate that 20% of people have a disability, the company may choose to have either one or two people with a disability out of nine in its highest governing body and executive team.

[2.d.2] The highest governing body and the executive team may or may not overlap. This sub-requirement applies to any members of either or both groups.

[2.d.2; 2.d.3] Matching the ratios of all three chosen social identities exactly is likely impossible, particularly as the highest governing body and executive team can be relatively small. The company can therefore meet this sub-requirement by being within ten percentage points of the target. For example, to reflect a national estimate that 20% of people have a disability, the company may choose to have either one or two people with a disability out of nine in its highest governing body and executive team.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.
- References to the highest governing body or executive team are within the scope of certification of the company.

Further Guidance:

- These lists of social identities are non-exhaustive, meaning the company may need to consider other identities, depending on its context.
 - Social identities that are material in most contexts include:
 - sex
 - gender identity
 - race
 - ethnicity
 - age
 - citizenship
 - sexual orientation
 - differing abilities.
 - Social identities that may be material, depending on context, include:
 - relation to Indigenous Peoples
 - immigration status
 - caste
 - religion
 - tribe.
- The demographics of the company's communities may refer to demographics in the company's workforce, immediate surroundings (e.g. province or state), or country. For example, the company ensures its highest governing body and executive team each:
 - have 30% foreign and 70% local workers, reflecting the same distribution among the workforce
 - have 50% men and 50% women, reflecting the same distribution in its country
 - include one person with a disability, reflecting national estimates of the proportion of people with a disability.



Implementation Resources:

- Building Inclusive Boards to Achieve Gender Equality: Guidance Note Principle 1 (UN Women) [\[EN\]](#) [\[FR\]](#)
- How to prioritize (and maintain) diversity in leadership (Culture Amp) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 2: General Disclosures 2021 - Disclosure 2-9 Governance structure and composition (c) v, vi
 - GRI 405: Diversity and Equal Opportunity 2016 - Disclosure 405-1 Diversity of governance bodies and employees
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement S1-9 – Diversity metrics (64)
 - Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.B.9
 - Communication on Progress Questionnaire 2023 (UN Global Compact) G11, L7
 - Workforce Disclosure Initiative 2024 (ShareAction) 4.5, 4.6, 4.7, 4.8
- Equivalency Data Point
 - [None]



JEDI2.e The company carries out an equity audit. [Foundation]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.e	From Year 0	N/A	The company carries out an equity audit. [Foundation]



Compliance Criteria:

2.e.1 The company gets a third party with relevant expertise to carry out an equity audit.

2.e.2 The audit produces a report with a written summary of the audit methodology.

2.e.3 The equity audit includes feedback from relevant social identity groups.

2.e.4 The scope of the equity audit includes, at minimum, the company's:

- a) workers
- b) internal and external communication
- c) products and services.

2.e.5 The company publicly shares a summary of the audit results.

2.e.6 Audit participants can choose to remain anonymous.

Intent:

To expertly assess how the company contributes to equity for its stakeholders.



Clarifying the Compliance Criteria:

[2.e.1; 2.e.3] The equity audit may focus on one or multiple social identities.

[2.e.1; 2.e.5] The company is not required to use the terms “equity” or “JEDI”.

[2.e.1] An equity audit assesses the company’s direct and indirect impacts on people, relative to one or more social identities. An equity audit may go beyond the scope in the Compliance Criteria and include, for example, supply chain practices and political activity.

[2.e.1] “Relevant expertise” means the third party has:

- previous experience carrying out equity audits
- expertise in the relevant geographical and cultural context
- the ability to interview workers in their preferred languages, or the company’s working language
- expertise or backgrounds related to workers’ social identities (e.g. if the company’s workforce is racially diverse, the audit team is racially diverse or has expertise in racial equity).

[2.e.1; 2.e.3] The equity audit may focus on one or multiple social identities.

[2.e.3] The company and third party take care not to accidentally de-anonymize feedback from audit participants. This may be a risk in cases with easily identifiable information, or where a group is small (e.g. if there is only one woman worker).

[2.e.1; 2.e.5] The company is not required to use the terms “equity” or “JEDI”.

Applying the Criteria to Independently Certifying Subsidiaries:

- The equity audit covers the company. If the company references an out-of-scope corporate equity audit, it records evidence of:
 - how the equity audit considered its stakeholders and operational impacts
 - how the equity audit outcome is relevant to its context.

Further Guidance:



- This option is recommended for any company with 250 workers or more.
- These types of audits can have various names, depending on the social identity they focus on, as in the following examples.
 - An equity audit focusing on gender is also known as a “gender audit”.
 - An equity audit focusing on people with disabilities is also known as an “accessibility audit”.
 - An equity audit focusing on race is also known as a “racial equity audit”.
 - In the US, the term “civil rights audit” is commonly used for an audit focusing on various social identities.

Implementation Resources:

- The Rationale for and Key Elements of a Business Civil Rights Audit (The Leadership Conference on Civil and Human Rights) [\[EN\]](#)



JEDI2.f The company supports at least two employee resource or affinity groups. [Within the Workplace]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.f	From Year 0	N/A	The company supports at least two employee resource or affinity groups. [Within the Workplace]



Compliance Criteria:

2.f.1 The company supports at least two employee resource or affinity groups. Each group is associated with a different social identity.

2.f.2 The company chooses the social identities using worker feedback.

2.f.3 Participation in the groups is optional for workers.

2.f.4 The company supports the groups.

Intent:

To create space for workers with common identities, interests, and challenges to discuss and share.



Clarifying the Compliance Criteria:

[2.f.1, 2.f.4] Both types of groups are worker-led, meaning they are empowered to decide how and how often they meet, and whether or not to take notes.

[2.f.1] Employee resource groups and affinity groups are associated with a particular social identity.

[2.f.1, 2.f.4] Both types of groups are worker-led, meaning they are empowered to decide how and how often they meet, and whether or not to take notes.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- This option is recommended for any company with 250 workers or more.
- Employee resource groups and affinity groups are associated with a particular social identity, for example:
 - people who identify as having a disability
 - people who identify as Indigenous
 - people who identify as LGBTQIA+.
- Support the company can provide to the groups may include, for example:
 - space to meet
 - communication channels for promotion
 - snacks and drinks



- guidance on how to run the groups effectively.

Recommendations:

- Use employee resource and affinity groups to support inclusive hiring actions, equity audits [link to JEDI2.e], and stakeholder engagement [link to JEDI2]. For example, these groups can support inclusive hiring practices by helping to find new and more effective ways of reaching job applicants from underrepresented groups.

Implementation Resources:

- How to set up an ERG for black and ethnic minority employees (Chartered Institute of Personnel and Development) [\[EN\]](#)
- How to start an employee resource group at the company (Culture Amp) [\[EN\]](#)
- Implementing Inclusive Cultures, see Encourage and support employee resource groups (Project Inclusion) [\[EN\]](#)
- DEI Map (Aperian) [\[EN\]](#)



JEDI2.g The company implements inclusive hiring practices. [Within the Workplace]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.g	From Year 0	N/A	The company implements inclusive hiring practices. [Within the Workplace]



Compliance Criteria:

2.g.1 The company implements all of the following inclusive hiring practices.

- a) It includes a JEDI commitment statement in all job postings, aligned with the statement from JEDI2.a (if completed).
- b) It establishes a policy of not asking for credit checks or criminal records during the application process — unless required by law, or an industry association or regulator.
- c) It takes measures to reduce biases or their impacts in hiring processes.
- d) It analyzes its job description language and requirements to ensure they are inclusive and equitable.

Intent:

To make the company's hiring practices more inclusive.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Inclusive practices enable individuals and groups who have traditionally been excluded to join in processes, activities, and decision-making. Inclusion requires identifying and removing barriers that prevent people from participating and contributing. While a truly inclusive group is necessarily diverse, a diverse group may or may not be inclusive.
- Measures to reduce biases or their impacts in hiring practices include, for example:
 - having multiple reviewers or decision-makers at each stage of the hiring process
 - ensuring diversity among reviewers and decision-makers
 - using a structured assessment or interview format based on predetermined criteria and questions



- o assessing the fairness of any hiring tools or software that use artificial intelligence
- o conducting anonymous or “blind” reviews of applications — without names, photos, or identifiable characteristics.

Recommendations:

- Seek support from an expert third party to assess and minimize bias in hiring tools that use artificial intelligence if the company has limited expertise of its own.
- Use employee resource and affinity groups to support inclusive hiring actions, equity audits [link to JEDI2.e], and stakeholder engagement [link to JEDI2]. For example, these groups can support inclusive hiring practices by helping to find new and more effective ways of reaching job applicants from underrepresented groups.

Implementation Resources:

- Inclusive recruitment: Guide for employers (Chartered Institute of Personnel and Development) [\[EN\]](#)
- Back to Business: How hiring formerly incarcerated job seekers benefits the company (American Civil Liberties Union) [\[EN\]](#)
- Hiring (Project Inclusion) [\[EN\]](#)
- Artificial intelligence and labour market matching (Organisation for Economic Co-operation and Development) [\[EN\]](#)
- Inclusive Language Guide (Oxfam) [\[EN\]](#)
- Guia de Comunicação Inclusiva (safespace) [\[PT\]](#)
- Comunicar sin discriminar (United Nations Development Programme) [\[ES\]](#)
- Guía de Comunicación Inclusiva (ACCION Empresas) [\[ES\]](#)



JEDI2.h The company provides sponsorship and mentorship opportunities to employees. [Within the Workplace]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.h	From Year 0	N/A	The company provides sponsorship and mentorship opportunities to employees. [Within the Workplace]



Compliance Criteria:

- 2.h.1 The company provides sponsorship or mentorship opportunities to all employees.
- 2.h.2 The company records the formal nature of the sponsorship or mentorship program in a procedure or policy document.
- 2.h.3 The sponsorships or mentorships:
 - a) are free for participants
 - b) last six months at minimum.
- 2.h.4 The company gives participants time during standard working hours to participate.
- 2.h.5 The company tracks participation of two underrepresented groups.
- 2.h.6 The company achieves representative participation of at least two underrepresented groups.

Intent:

To provide tailored support and guidance to advance employees' personal and professional development.

Clarifying the Compliance Criteria:

[2.h.5; 2.h.6] The company identifies “underrepresented groups” by comparing the proportion of a group in a sample with a population. For example, the company may compare its proportion of:

- women employees with women in the country
- women managers with women employees.

[2.h.5; 2.h.6] “Achieving representative participation” involves matching or exceeding the target proportion. For example, if 20% of the workforce identifies as having a disability, then 20% of participants in the sponsorship or mentorship program identify as having a disability.

[2.h.5] “Tracking participation of two underrepresented groups” means the company:

- chooses two underrepresented groups to track (e.g. women and persons with disabilities)
- records how many people from those groups are participating in the sponsorship and mentorship opportunities.

[2.h.5; 2.h.6] The company identifies “underrepresented groups” by comparing the proportion of a group in a sample with a population. For example, the company may compare its proportion of:

- women employees with women in the country
- women managers with women employees.

[2.h.5; 2.h.6] “Achieving representative participation” involves matching or exceeding the target proportion. For example, if 20% of the workforce identifies as having a disability, then 20% of participants in the sponsorship or mentorship program identify as having a disability.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Sponsorship and mentorship are related, but not the same. Sponsorship goes a step further.
 - A mentor uses their skills, knowledge, and experience to give a person feedback and advice. This relationship is usually private, and the mentor may be internal or external to the company.
 - A sponsor uses their position and influence within a company — as well as their skills, knowledge and experience — to support a person in their personal and professional development. As influence is key to their role, the sponsor is part of the same company or network as the person they are sponsoring. This relationship is usually not private, as the sponsor will publicly advocate for and support the person they are sponsoring.
 - In both cases, more experienced professionals tend to sponsor or mentor less experienced professionals.
- These lists of social identities are non-exhaustive, meaning the company may need to consider other identities, depending on its context.
 - Social identities that are material in most contexts include:
 - sex
 - gender identity
 - race
 - ethnicity
 - age
 - citizenship
 - sexual orientation
 - differing abilities.
 - Social identities that may be material, depending on context, include:
 - relation to Indigenous Peoples
 - immigration status
 - caste
 - religion

- tribe.

Recommendations:

- Encourage leaders to be effective sponsors, as well as mentors, as sponsorship can be more impactful than mentoring. Mentoring is equally acceptable under this sub-requirement because sponsors tend to be leaders within a company, and there may be limits to how much sponsorship a company can offer.
- If the company has more than 250 employees, ensure the sponsorship or mentorship programs benefit people from three or more underrepresented groups (e.g. create one program for women and one for young people).

Implementation Resources:

- Mentoring in the Workplace: Guidance Note Principle 4 (UN Women) [\[EN\]](#)
- Invest in sponsors to invest in your employees' careers (Project Inclusion) [\[EN\]](#)
- Mécénat de compétences : un guide pratique pour redonner du sens au travail (Ministère de l'économie des finances et de la souveraineté industrielle et numérique) [\[FR\]](#)
- Guide pratique du mécénat de compétences (Wenabi) [\[FR\]](#)



JEDI2.i The company develops and implements an inclusive language guide for internal communications. [Within the Workplace]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.i	From Year 0	N/A	The company develops and implements an inclusive language guide for internal communications. [Within the Workplace]



Compliance Criteria:

- 2.i.1 The company develops an inclusive language guide for internal communications.
- 2.i.2 The guide lists terms that should and should not be used.
- 2.i.3 One guide exists for each internal communication language.
- 2.i.4 The company shares the guide with all workers who produce internal communications.

Intent:

To ensure the company has guidance on inclusive communication for internal communications.



Clarifying the Compliance Criteria:

[2.i.1] The company may adopt a guide made by another organization instead of developing its own.

[2.i.1] The company may use one document as both its:

- internal inclusive language guide (JEDI2.i)
- external inclusive language and ethical content guide (JEDI2.p).

[2.i.1] The company is not required to use the term “inclusive” or “JEDI”.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Inclusive communication, which includes inclusive language, is about using respectful terminology and imagery for all people and communities, without assuming a universal default experience or perspective. Guidance on inclusive communication helps workers to recognize the language and imagery people use to describe their identities and experiences.
- Relevant “internal communications” may include, for example:
 - policies
 - procedures
 - processes
 - employment contracts
 - announcements

- o internal training.

Recommendations:

- Share drafts of the guides with relevant stakeholders for feedback.

Implementation Resources:

- Inclusive Language Guide (Oxfam) [\[EN\]](#)
- Guia de Comunicação Inclusiva (safespace) [\[PT\]](#)
- Comunicar sin discriminar (United Nations Development Programme) [\[ES\]](#)
- Guía de Comunicación Inclusiva (ACCION Empresas) [\[ES\]](#)
- Inclusive Communication Guidelines (European Parliament) [\[EN\]](#)
- Disability Inclusive Language Guide (Accessible Employers) [\[EN\]](#)
- Guide de communication inclusive (Equal Brussels) [\[FR\]](#)



JEDI2.j The company increases its proportion of workers from underrepresented groups to reflect the diversity of its community. [Within the Workplace]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.j	From Year 0	N/A	The company increases its proportion of workers from underrepresented groups to reflect the diversity of its community. [Within the Workplace]



Compliance Criteria:

2.j.1 The company increases the proportion of workers from at least two underrepresented groups to reflect the diversity of its community.

2.j.2 The company calculates the ratios at any point in the last twelve months.

Intent:

To reflect the diversity of the company's community in its workforce.

Clarifying the Compliance Criteria:

[2.j.1; 2.j.2] Matching the ratios of all three chosen social identities exactly is likely impossible, particularly if the workforce is small. The company can therefore meet this sub-requirement by being within five percentage points of the target.

[2.j.1] The demographics of the company's communities may refer to demographics in the company's immediate surroundings (e.g. province or state) or country.

[2.j.1; 2.j.2] Matching the ratios of all three chosen social identities exactly is likely impossible, particularly if the workforce is small. The company can therefore meet this sub-requirement by being within five percentage points of the target.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- This option is recommended for any company with 50 workers or more.
- These lists of social identities are non-exhaustive, meaning the company may need to consider other identities, depending on its context.
 - Social identities that are material in most contexts include:
 - sex
 - gender identity
 - race
 - ethnicity
 - age
 - citizenship



- sexual orientation
- differing abilities.
- Social identities that may be material, depending on context, include:
 - relation to Indigenous Peoples
 - immigration status
 - caste
 - religion
 - tribe.
- The demographics of the company's communities may refer to demographics in the company's immediate surroundings (e.g. province or state) or country. For example, the company ensures its workforce:
 - has 50% men and 50% women, reflecting the same distribution in the country
 - includes five workers with a disability, reflecting national estimates of the proportion of people with a disability.

Implementation Resources:

- Disability in the workplace: Barriers to employment & retention (Culture Amp) [\[EN\]](#)
- Inclusive recruitment: Guide for employers (Chartered Institute of Personnel and Development) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 405: Diversity and Equal Opportunity 2016 - Disclosure 405-1 Diversity of governance bodies and employees
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement S1-9 – Diversity Metrics (64)
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement S1-12– Persons with disabilities (77)



- Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.B.7 Gender diversity: Hiring at different occupational levels
- Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.B.18 Hiring of vulnerable groups
- Workforce Disclosure Initiative 2024 (ShareAction) 3.4, 3.6, 4.2, 4.3
- Equivalency Data Point
 - [None]



JEDI2.k The company provides additional types of paid leave beyond legal minimums. [Within the Workplace]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.k	From Year 0	N/A	The company provides additional types of paid leave beyond legal minimums. [Within the Workplace]



Compliance Criteria:

2.k.1 The company provides employees at least three of the following types of paid leave.

- a) Unlimited short-term sick leave
- b) Gender affirmation leave
- c) Personal leave
- d) Religious or cultural leave chosen by workers individually
- e) Parental leave (at least 18 weeks)
- f) Adoption leave

2.k.2 All leave types are fully paid.

2.k.3 All employees are entitled to the additional types of leave.

2.k.4 The company uses employee feedback to determine the number of days for each leave type.

2.k.5 The company records the chosen types of leave in a policy document or documents that are:

- a) shared with all employees
- b) available to read at all times.

Intent:

For the company to improve paid leave benefits for employees.

Clarifying the Compliance Criteria:

[2.k.1] Providing leave required by national law does not count toward this sub-requirement. The only exception is for parental leave, if the legal requirement is to provide fewer than 18 weeks. In this case, providing additional parental leave above 18 weeks counts toward this sub-requirement.

[2.k.1] The company meets this sub-requirement if it offers unlimited paid time off for all types of leave, and it provides the types of leave listed in the Compliance Criteria as examples to employees (e.g. in a policy document, employment contract, or employee handbook).

[2.k.1 a] For the purpose of this sub-requirement, “short-term sick leave” refers to an absence of five working days or less. It is distinct from long-term sick leave. The company is not expected to provide unlimited long-term sick leave.

[2.k.1 c] “Personal leave” is intended to give employees leave they can use for a variety of personal reasons.

[2.k.1 d] “Religious or cultural leave” meets this sub-requirement only if employees can choose when to take it. Leave for a religious or cultural event the company chooses does not count.

[2.k.1 e] “Parental leave” refers to leave taken to care for a new baby — commonly called “paternity leave” or “maternity leave”, or a combination of the two. The 18 week minimum is based on a recommendation by the International Labor Organization.

[2.k.4] Except for parental leave, the company may choose how many days to provide for each leave type, based on employee feedback.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- “Personal leave” is intended to give employees leave they can use for a variety of personal reasons, such as:
 - attending a funeral (also known as “bereavement leave”)
 - recovering from a miscarriage (if not considered “sick leave”)

- taking a pet to the vet
- taking a mental health day
- moving into a new home.

Recommendations:

- Consider providing unlimited sick leave or unlimited personal leave instead of menstrual and menopause leave. While these leave types have positive intentions, they may further stigmatize the experience and consequences of menstruation and menopause. Sick or personal leave can be used for these reasons without being labeled.

Implementation Resources:

- Global Care Policy portal (International Labour Organization) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Extended Maternity Leave: An Opportunity for Mothers and Companies (UN Women) - case study from Malaysia [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 401: Employment 2016 - Disclosure 401-3 Parental leave (a)
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement S1-15 – Work-life balance metrics (91)
 - Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.B.10 Caregiving support programmes
- Equivalency Data Point
 - [None]



JEDI2.I The company's internal communication tools meet accessibility standards. [Within the Workplace]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.I	From Year 0	N/A	The company's internal communication tools meet accessibility standards. [Within the Workplace]



Compliance Criteria:

2.I.1 The company assesses the accessibility of its digital internal communication tools.

2.I.2 The assessment:

- a) confirms the tools meet the AA or AAA criteria of the Web Content Accessibility Guidelines (WCAG)
- b) is carried out by an internal or external specialist
- c) includes manual testing
- d) includes feedback from people with disabilities.

Intent:

To ensure the company's internal communication tools are accessible to people with disabilities.

Clarifying the Compliance Criteria:

[2.1.2 a] The company uses the latest version of WCAG available in its preferred language. The company does not need to comply with draft versions of WCAG, however it can meet the sub-requirement by using draft versions.

[2.1.2 c] “Manual testing” means testing or assessing done by a person — not an automated testing tool. An assessment based on automatic testing alone does not meet this sub-requirement.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- This sub-requirement applies to the company’s digital internal communication tools (e.g. its intranet, email tool, and messaging platform). The following external communication tools are covered separately.
 - Applications for consumers, such as mobile phone applications, are covered under JEDI2.q and JEDI2.r.
 - Public-facing websites or webpages, such as web-shops and corporate websites, are covered under JEDI2.m.
- An “assessment” in this sub-requirement can also be referred to as an “accessibility conformance report”.
- Access needs relevant to the assessment include, for example:
 - vision, such as blindness, low vision or color blindness, where people may use tools such as screen readers or screen magnifiers
 - hearing, such as Deafness, deafness, or hard of hearing
 - mobility, such as limited mobility or motor function, where people may use input devices such as keyboard-only or voice control
 - cognitive, such as difficulty with attention, language, learning, or memory.

Recommendations:

- Ensure the internal communication tools meet the AAA criteria of WCAG.

Implementation Resources:

- Resources (Web Accessibility Initiative) [[Various languages](#), including AR, DE, EN, ES, IT, FR, KR, PT, JP]
- Introduction to Web Accessibility (Web Accessibility Initiative) [[EN](#)] [[ES](#)] [[FR](#)]
- Evaluating Web Accessibility Overview (Web Accessibility Initiative) [[EN](#)] [[ES](#)] [[FR](#)]
- WCAG-EM Overview: Website Accessibility Conformance Evaluation Methodology [[EN](#)]
- Web Content Accessibility Guidelines (Web Accessibility Initiative) [[Various languages](#), including AR, DE, EN, ES, IT, FR, KR, PT, JP]



JEDI2.m The company's website meets accessibility standards. [Beyond the Workplace]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.m	From Year 0	N/A	The company's website meets accessibility standards. [Beyond the Workplace]



Compliance Criteria:

2.m.1 The company assesses the accessibility of its public-facing website.

2.m.2 The assessment:

- a) confirms the website meets the AA or AAA criteria of the Web Content Accessibility Guidelines (WCAG)
- b) is carried out by an internal or external specialist
- c) includes manual testing
- d) includes feedback from people with disabilities.

Intent:

To ensure the company's website is accessible to people with disabilities.



Clarifying the Compliance Criteria:

[2.m.1] The company uses the latest version of WCAG available in its preferred language. The company does not need to comply with draft versions of WCAG, however it can meet the sub-requirement by using draft versions.

[2.m.2 c] “Manual testing” means testing or assessing done by a person — not an automated testing tool. An assessment based on automatic testing alone does not meet this sub-requirement.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- This sub-requirement applies to the company’s public-facing websites or webpages, such as web-shops and corporate websites. The following communication tools are covered separately.
 - Applications for consumers, such as mobile phone applications, are covered under JEDI2.q and JEDI2.r.
 - Digital internal communication tools, such as an intranet, email tool, and messaging platform, are covered under JEDI2.l.
- An “assessment” in this sub-requirement can also be referred to as an “accessibility conformance report”.
- Access needs relevant to the assessment include, for example:
 - vision, such as blindness, low vision or color blindness, where people may use tools such as screen readers or screen magnifiers
 - hearing, such as Deafness, deafness, or hard of hearing
 - mobility, such as limited mobility or motor function, where people may use input devices such as keyboard-only or voice control
 - cognitive, such as difficulty with attention, language, learning, or memory.

Recommendations:

- Ensure the website meets the AAA criteria of WCAG.

Implementation Resources:

- Resources (Web Accessibility Initiative) [[Various languages](#), including AR, DE, EN, ES, IT, FR, KR, PT, JP]
- Introduction to Web Accessibility (Web Accessibility Initiative) [[EN](#)] [[ES](#)] [[FR](#)]
- Evaluating Web Accessibility Overview (Web Accessibility Initiative) [[EN](#)] [[ES](#)] [[FR](#)]
- WCAG-EM Overview: Website Accessibility Conformance Evaluation Methodology [[EN](#)]
- Web Content Accessibility Guidelines (Web Accessibility Initiative) [[Various languages](#), including AR, DE, EN, ES, IT, FR, KR, PT, JP]
- Website Accessibility 101: What, Where, Why (Accessible Employers) [[EN](#)]



JEDI2.n The company communicates its JEDI action plan and progress publicly. [Beyond the Workplace]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.n	From Year 0	N/A	The company communicates its JEDI action plan and progress publicly. [Beyond the Workplace]



Compliance Criteria:

2.n.1 The company communicates its JEDI action plan and progress publicly, once per year at minimum.

Intent:

To increase internal and public accountability for JEDI actions.



Clarifying the Compliance Criteria:

[2.n.1] The company's "JEDI action plan" is the action plan resulting from these requirement options in the B Lab Standard (JEDI2.3-2.6), which apply to Small companies and larger. The company may add other actions not required by the Standard.

[2.n.1] The company shares both its forward progress and its lack of progress — where it has encountered challenges or failed to meet commitments.

[2.n.1] The company is not required to use the term "JEDI".

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Other terms the company uses may include, for example:
 - Access
 - Belonging
 - Diversity
 - Equality
 - Equity
 - Fairness
 - Inclusion
 - Justice.



- “Equality” and “equity” can have slightly different meanings, while being aligned in their outcomes. Equality means treating people equally; equity recognises that some people may have different needs because of systemic disadvantages. The two terms have the same intended outcome when equality is used to mean equal opportunities, fulfillment of human rights, and legal protections. However, when equality is used to mean treating each person exactly the same, this interpretation does not align with equity.

Recommendations:

- Share information resulting from the company’s data collection and analysis (JEDI1).

Interoperability:

- Conceptual Alignment Data Point
 - GRI 405: Diversity and Equal Opportunity 2016 - Topic management disclosures - Reporting requirement 1.1
- Equivalency Data Point
 - [None]



JEDI2.o The company promotes diversity among its local suppliers. [Beyond the Workplace]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.o	From Year 0	N/A	The company promotes diversity among its local suppliers. [Beyond the Workplace]



Compliance Criteria:

2.o.1 The company implements all of the following actions.

- a) It tracks diversity of ownership among its local suppliers.
- b) It establishes a policy to give preferences to local suppliers owned by persons from underrepresented groups.
- c) It sets targets to purchase a percentage of goods and services from local suppliers owned by persons from underrepresented groups.

Intent:

To improve opportunities for underrepresented groups in the company's supply chain.

Clarifying the Compliance Criteria:

[2.o.1] “Local suppliers” means suppliers owned and operated within the same community of the company or relevant facilities in which the company operates. This excludes local branches of suppliers headquartered elsewhere. The size and distance of the company’s community may vary by context, but should generally be based on a small-scale, economically- and culturally-connected area — like a metropolitan area, or a county in rural settings — and its vicinity (usually within 75 kilometers, or 50 miles).

[2.o.1 a] To “track diversity of ownership”, the company maintains a list of local supplier ownership and whether they identify as part of an underrepresented group. The company is not expected to have this information for all local suppliers, as some may not feel comfortable sharing it.

[2.o.1 b] The company defines the underrepresented groups, as they are context-dependent.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- These lists of social identities are non-exhaustive, meaning the company may need to consider other identities, depending on its context.
 - Social identities that are material in most contexts include:
 - sex
 - gender identity
 - race
 - ethnicity
 - age
 - citizenship

- sexual orientation
- differing abilities.
- Social identities that may be material, depending on context, include:
 - relation to Indigenous Peoples
 - immigration status
 - caste
 - religion
 - tribe.

Recommendations:

- Understand the legal limitations in the company's context, and investigate how to obtain meaningful information while respecting people's privacy and dignity. Note, while some countries have certain legal limitations, no country completely prohibits collecting all types of gender or social identity information.
- Where possible, avoid storing gender identity data or linking it to individuals. Gender identity data may be considered sensitive personal data in some jurisdictions, and collecting it may require the company to take extra data privacy measures. For example, to collect information on workers' experiences with promotions, use a one-time survey in which workers share their experiences and provide one or more social identities anonymously. This avoids the company keeping such information in employment or personnel records, for example, which would require additional data privacy measures in many jurisdictions.

Implementation Resources:

- Supplier Gender Toolkit (Oxfam and Tesco) [\[EN\]](#)
- Supplier Diversity Handbook (Canadian Chamber of Commerce) [\[EN\]](#)
- How to achieve supplier diversity: 4 experts explain (World Economic Forum) [\[EN\]](#)
- Supplier Diversity: A guide for purchasing organisations (Commission for Racial Equality) [\[EN\]](#)



JEDI2.p The company develops and implements an inclusive communications and ethical content guide for external communications. [Beyond the Workplace]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.p	From Year 0	N/A	The company develops and implements an inclusive communications and ethical content guide for external communications. [Beyond the Workplace]



Compliance Criteria:

2.p.1 The company develops a communications and ethical content guide that:

- a) lists terms that should and should not be used for each external communication language
- b) describes how to gather, manage, and use content ethically
- c) sets expectations for representing social identities
- d) is shared with all workers who produce external communications.

2.p.2 If the company uses artificial intelligence for creative content generation, it includes its use in the guide.

Intent:

To ensure the company has guidance on inclusive communication and ethical content management for external communications.



Clarifying the Compliance Criteria:

[2.p.1] “Content” includes images, videos, and people’s stories.

[2.p.1] The company may adopt a guide made by another organization instead of developing its own.

[2.p.1] The company is not required to use the terms “inclusive” or “JEDI”.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Inclusive communication, which includes inclusive language, is about using respectful terminology and imagery for all people and communities, without assuming a universal default experience or perspective. Guidance on inclusive communication helps workers to recognize the language and imagery people use to describe their identities and experiences.
- Ethical content management (using the definition from Oxfam) is about ensuring that content is gathered, managed and used ethically, in ways that uphold contributors’ rights to:
 - participate and be heard
 - experience respect and dignity
 - make free and informed decisions
 - be protected from risk and harm.
- Relevant types of external communication include, for example:
 - advertising and marketing
 - public advocacy



- product packaging
- public website or webpage content.
- Non-written forms of communication relevant to the guide include, for example:
 - imagery (i.e. photos and videos)
 - people's stories
 - infographics
 - graphics or icons
 - Illustrations
 - sounds.
- Using artificial intelligence for creative content generation may include, for example:
 - writing or editing text used for external communication with large language models
 - creating or editing non-written forms of communications with text-to-image models and similar tools.
- This sub-requirement focuses on all forms of external communications, while JEDI2.i focuses on inclusive language for internal communications. The inclusive language part of this guide (JEDI2.p) may be the same document or content as the internal guide (JEDI2.i).

Recommendations:

- Share drafts of the guides with relevant stakeholders for feedback.
- When using artificial intelligence to create content for external communications, ensure a person reviews the content before it is shared externally.

Implementation Resources:

Inclusive language:

- Inclusive Language Guide (Oxfam) [\[EN\]](#)

- Guia de Comunicação Inclusiva (safespace) [\[PT\]](#)
- Comunicar sin discriminar (United Nations Development Programme) [\[ES\]](#)
- Guía de Comunicación Inclusiva (ACCION Empresas) [\[ES\]](#)
- Inclusive communication Guidelines (European Parliament) [\[EN\]](#)
- Disability-Inclusive Communications Guidelines (United Nations) [\[EN\]](#)
- Inclusive communication in the GSC (Council of the European Union) [\[BG\]](#) [\[DA\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[NL\]](#) [\[PL\]](#) [\[PT\]](#) [\[RO\]](#) [\[SV\]](#) [additional European Union languages available]
- Disability Inclusive Language Guide (Accessible Employers) [\[EN\]](#)
- Guide pour une communication publique sans stéréotypes de sexe (Haut Conseil à l’Egalité entre les Femmes et les Hommes) [\[FR\]](#)
- Guide de communication inclusive (Equal Brussels) [\[FR\]](#)

Ethical content:

- Ethical Content Guidelines (Oxfam) [\[EN\]](#)
- Putting the people in the pictures first (Bond) [\[EN\]](#)



JEDI2.q The company assesses how inclusive a product or service is. [Beyond the Workplace]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.q	From Year 0	N/A	The company assesses how inclusive a product or service is. [Beyond the Workplace]



Compliance Criteria:

2.q.1 The company uses stakeholder feedback to assess a product or service for inclusivity.

2.q.2 The assessment highlights:

- a) which specific social identity groups may experience barriers when accessing the product or service
- b) what those barriers are.

Intent:

To increase the company's understanding of the barriers to accessing one of its products or services.

Clarifying the Compliance Criteria:

[2.q.1] A “product” is one of the company’s finished goods. How inclusive the product is depends on the end consumers’ experience. This may mean this sub-requirement is not applicable if the company produces raw materials or semi-finished goods (e.g. fruit or steel), as it has less control over the end-consumer’s experience.

[2.q.1] A “service” may be any of the company’s services. How inclusive the service is depends on the experience of the user (e.g. the client).

Applying the Criteria to Independently Certifying Subsidiaries:

- The assessment covers the company. If the company references an out-of-scope corporate assessment, it records evidence of:
 - how the assessment considered its stakeholders and operational impacts
 - how the assessment outcome is relevant to its context.

Further Guidance:

- Considering the inclusivity of services may involve, for example:
 - making written reports more accessible (in terms of font size, color use, and compatibility with screen reader software)
 - ensuring building and office infrastructure is accessible for wheelchair users, if the service is provided at a physical location
 - adjusting fees to make services more affordable
 - offering services in additional languages.

Implementation Resources:

- Inclusive Design Toolkit (University of Cambridge) [\[EN\]](#)
- The Inclusive Design Guide (Inclusive Design Research Centre) [\[EN\]](#) [\[FR\]](#)
- Convention on the Rights of Persons with Disabilities - Article 4 - General obligations (f) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)



JEDI2.r The company redesigns a product or service to be more inclusive. [Beyond the Workplace]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.r	From Year 0	N/A	The company redesigns a product or service to be more inclusive. [Beyond the Workplace]



Compliance Criteria:

2.r.1 The company uses stakeholder feedback to redesign one of its products or services to be more inclusive.

2.r.2 The company redesigns the original product or service, rather than designing a segregation solution.

2.r.3 The company offers the redesigned product or service to customers or announces it publicly.

Intent:

To eliminate barriers to accessing a product or service.

Clarifying the Compliance Criteria:

[2.r.1] A “product” is one of the company’s finished goods. How inclusive the product is depends on the end consumers’ experience. This may mean this sub-requirement is not applicable if the company produces raw materials or semi-finished goods (e.g. fruit or steel), as it has less control over the end-consumer’s experience.

[2.r.1] A “service” may be any of the company’s services. How inclusive the service is depends on the experience of the user (e.g. the client).

[2.r.2] A “segregation solution” means developing a separate, specialized, or segregated version for people who cannot access the original product or service (Inclusive Design Research Centre). For example, if a camera sensor is more effective at detecting lighter skin tones than darker ones, creating a second sensor — specifically for darker skin tones — would be a segregation solution. Instead, under this sub-requirement, the company redesigns the original sensor to work for all skin tones. Redesigning for inclusivity, rather than segregation, is generally preferred. Some exceptions may apply — for example, if a product cannot work for multiple groups (e.g. contraception solutions may only work for one sex).

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Recommendations:

None

Implementation Resources:

- Inclusive Design Toolkit (University of Cambridge) [\[EN\]](#)
- The Inclusive Design Guide (Inclusive Design Research Centre) [\[EN\]](#) [\[FR\]](#)
- Convention on the Rights of Persons with Disabilities - Article 4 - General obligations (f) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)

Interoperability:

None



JEDI2.s The company takes part in at least one collective action to advance JEDI principles. [Beyond the Workplace]

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
JEDI2.s	From Year 0	N/A	The company takes part in at least one collective action to advance JEDI principles. [Beyond the Workplace]



Compliance Criteria:

2.s.1 The company engages in at least one collective action initiative at the policy, industry, or business community level to advance JEDI principles.

2.s.2 The initiative has a clear, shared purpose and goal, to:

- a) achieve systems change or transformation
- b) collaboratively deliver specific, measurable impacts.

2.s.3 The company makes a clear contribution to delivering the initiative.

Intent:

To encourage companies to advance JEDI principles collectively.



Clarifying the Compliance Criteria:

[2.s.1] “Engaging in collective action” means the company takes an active and ongoing leadership (or co-leadership) role in facilitating, coordinating, or implementing an initiative to advance JEDI principles. Although the company’s involvement may not necessarily lead to a positive outcome, it has multiple clear outputs.

[2.s.1] Actions that do not meet this sub-requirement include, for example:

- signing a petition
- becoming a member of a company or multi-stakeholder initiative
- publishing social media posts
- writing letters to a government official.

[2.s.1] Any collective action the company uses to meet GACA2.1 does not count toward this sub-requirement.

[2.s.1] The company is not required to use the term “JEDI”.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Engaging in collective action may include, for example:
 - convening and facilitating learning or action from a leadership position in multi-stakeholder initiatives, or in an industry, sector, or professional association
 - campaigning publicly for public policy improvements.
- Other terms the company uses may include, for example:



-
- Access
 - Belonging
 - Diversity
 - Equality
 - Equity
 - Fairness
 - Inclusion
 - Justice.
- “Equality” and “equity” can have slightly different meanings, while being aligned in their outcomes. Equality means treating people equally; equity recognises that some people may have different needs because of systemic disadvantages. The two terms have the same intended outcome when equality is used to mean equal opportunities, fulfillment of human rights, and legal protections. However, when equality is used to mean treating each person exactly the same, this interpretation does not align with equity.

Implementation Resources:

Examples of collective action by companies on JEDI:

- We the Change [\[EN\]](#)
- Desafío 10X [\[ES\]](#)
- Business in the Community (UK) [\[EN\]](#)
- Target Gender Equality (UN Global Compact) [\[EN\]](#) [\[ES\]](#)
- Let’s Play Equal (Various B Corps & B Lab) [\[EN\]](#)

Other:

- Women’s Empowerment Principles - Principle 6. Community initiatives and advocacy [\[Various languages\]](#), including AR, EN, ES, IT, FR, PT, RU, Simplified ZH]

Human Rights (HR)

Body of Knowledge (BoK) for the HR
Impact Topic

Intent

The objective of the Human Rights Impact Topic is to improve outcomes for people suffering or at risk of harm from human rights violations in connection with a company's operations, products, or services. Companies are responsible for respecting human rights. They do this by:

- practicing human rights due diligence
- remediating negative human rights impacts.

This starts with embedding a sense of 'responsibility to respect' within the company's culture and ways of working. The company should strengthen this responsibility over time as it implements and learns. Eventually, practicing human rights due diligence should become second nature — the same way food safety or financial due diligence are common practice.

To conduct effective due diligence, companies need to know where to focus their efforts. This means first understanding how their operations and value chain may involve negative human rights impacts. Then companies can take action to prevent and mitigate negative impacts, starting with the most severe. Where they cause or contribute to negative impacts, companies either directly remediate them or contribute to their remediation.

In the B Lab Standard, companies are expected to pursue positive impacts on people — going beyond only 'doing no harm'. These requirements are captured under other Impact Topics.

Outcome

Companies treat people with dignity and respect their human rights.



Requirements Summary

HR1 The company commits publicly to respecting human rights.

HR2 The company knows its salient human rights issues and has a strategy to address them.

HR3 The company prevents, mitigates, and remediates actual and potential negative human rights impacts.

HR4 The company works with suppliers to achieve its human rights objectives.

Scope

All individuals and communities affected by the company's own operations and value chain.

Terms and Definitions

Advertising & market research

Companies that provide advertising, marketing, or public relations services.

These services include:

- digital advertising
- marketing consulting
- market research
- reward program management.

(Adapted from [GICS](#))

Affected stakeholder

Someone whose human rights have been or may be affected by a company's operations, products, or services. "Affected stakeholders" is a more specific category within "stakeholders".

Agriculture

A company that either:

- earns over 10% of its revenue from products grown on its farm or agro-processing facility, from managing land to grow and harvest crops, or from raising and managing livestock
- sources the majority of its raw materials directly from growers or livestock producers.

Companies in the agriculture sector include, for example:



- vegetable farms
- coffee plantations or roasters
- tree planting companies
- livestock farms or ranches.

Apprentice

Someone working for the company whose placement is temporary and whose primary purpose is to learn and gain experience. Apprentices and interns are distinct from employees.

Apprenticeships may be governed by national regulation (e.g. they receive a mandatory apprentice wage), while internships are governed by the company. An apprenticeship, unlike an internship, may lead to a formal qualification.

In the B Lab Standard, an apprentice is someone who works during, or as part of, either a formal education program or a program that meets national regulatory requirements. If not, they are an “employee”.

Book publishing

Companies that provide services related to producing or distributing books in print or electronic formats.

These services include:

- design
- editing
- marketing.

(Adapted from [NAICS](#))

Civil Society Organization (CSO)



Non-State, not-for-profit, voluntary entities formed by people in the social sphere that are separate from the State and the market. CSOs represent a wide range of interests and ties. They can include community-based organizations as well as non-governmental organizations (NGOs).

([UNGP Reporting Framework](#))

Company without workers

A company owned and run by one person. A company without workers may also be known as a sole proprietor, sole trader, individual entrepreneur, or individual proprietor.

Company

A legal entity (or group of related legal entities) formed to engage in and operate a business (meaning a commercial or industrial enterprise). A company may be organized in various ways depending on the corporate law in its jurisdiction.

Double materiality

An approach to identifying material impacts that considers both:

- impact materiality (company's impacts on the environment)
- financial materiality (impacts on the company's finances).

A sustainability issue has double materiality if it is material from either perspective or both.

(Adapted from [European Sustainability Reporting Standards](#), 2023)

Employee

Person who has a direct employment relationship with the company. This includes permanent, temporary, full-time, part-time, seasonal, and casual employees. This includes when, for administrative reasons, there is a different employer on record, but practically the person works as an employee and the company is responsible for their recruitment, performance evaluation, and disciplinary management.

Working owners may also count as employees, depending on certain conditions (see working owner).



Engineering

Companies that provide engineering services to help design, develop, or use:

- machines
- materials
- instruments
- structures
- processes.

These services include:

- providing advice
- running feasibility studies
- creating preliminary and final plans and designs
- providing technical services during construction or installation
- inspecting and evaluating engineering projects.

(Adapted from [NAICS](#))

Environmental consulting

Companies that provide consulting services to businesses or other organizations to measure and manage their environmental impact.

Equity investors

Companies that buy, manage, and sell a portfolio of companies. Equity investment is also called "private equity."

Generally, equity investors are companies who:



-
- buy a majority stake in a company
 - manage and operate the company
 - increase the profitability of the company
 - sell the company after 3–7 years.

External supplier

A supplier from outside the company's corporate group.

Film, TV & music production

Companies that produce or sell entertainment products and services.

This includes:

- producing, distributing, and screening movies and television shows
- producing and distributing music.

(Adapted from [GICS](#))

Highest governing body

The person or group of people who have ultimate accountability for the whole company. Every organizational entity has one highest governing body, even if it is not explicitly established.

A highest governing body can be explicitly established in a number of formats, such as:

- a board of directors
- a supervisory board
- a sole director

- joint and several directors
- trustees.

For larger companies, a board subcommittee may be considered the highest governing body — as long as the full board is regularly updated on progress and performance.

(Adapted from [Governance of organizations](#) — Guidance, ISO Standard)

Human rights

Basic international standards aimed at securing dignity and equality for all, without discrimination.

Human rights include the rights contained in the International Bill of Human Rights:

- The Universal Declaration of Human Rights
- The International Covenant on Civil and Political Rights
- The International Covenant on Economic, Social and Cultural Rights

They also include the principles concerning fundamental rights set out in the International Labour Organization's Declaration on Fundamental Principles and Rights at Work.

(Adapted from [UNGP Reporting Framework](#))

Human rights due diligence

The ongoing management process that the company uses to:

- identify, prevent, and mitigate its negative human rights impacts
- account for how it addresses its negative human rights impacts.

(Adapted from [UNGP Reporting Framework](#))

Human rights impact assessment (HRIA)

An in-depth process to assess the human rights impacts of a business project or relationship.

Human rights risk

See potential negative human rights impact.

Potential human rights impact has the same meaning as "human rights risk". However, "risk" can be confused with other types of risk — such as financial risk — so is generally not used in the B Lab Standard.

Impact

An effect the company has, or could have, on:

- the economy
- the environment
- people, including on their human rights.

Impacts can be actual or potential, negative or positive.

(Adapted from [GRI 3](#), 2021, Global Reporting Initiative)

Independent contractor

A person who is self-employed, or works freelance. They are a “worker” if they work more than 20 hours per week indefinitely or for more than six months. This may include the following examples.

- A self-employed construction worker who works full-time for the company on a construction project for one year.
- A freelance physiotherapist who works 25 hours per week at a clinic for two years.

Indicator

In the context of Human Rights, Climate Action, and Environmental Stewardship and Circularity: measurable aspects of the company's progress and results. Indicators identify what to measure to create a clear picture of the company's current status.

Indicators can be qualitative or quantitative. Quantitative indicators can be precise, and enable comparison between measures. Qualitative information is often needed to:

- put quantitative information in context
- enable it to be interpreted and understood
- determine which comparisons and conclusions are most valid.

Information, communication & technology

All companies in the Information Technology and Communications sectors.

The Information Technology sector includes

- companies that offer software and information technology services,
- companies that manufacture and distribute technology hardware and equipment.

Technology hardware and equipment includes, for example:

- communications equipment
- cellular phones
- computers and peripherals
- electronic equipment and related instruments
- semiconductors and related equipment and materials.

The Communication Services sector includes companies that enable communication and offer content and information through various mediums.



It also includes telecom and media & entertainment companies, which covers:

- producers of interactive gaming products
- companies that create or distribute content and information through proprietary platforms.

(Adapted from [GICS](#))

Intern

Someone working for the company whose placement is temporary, and whose primary purpose is to learn and gain experience. Apprentices and interns are distinct from employees.

Apprenticeships may be governed by national regulation (e.g. they receive a mandatory apprentice wage), while internships are governed by the company. An apprenticeship, unlike an internship, may lead to a formal qualification.

In the B Lab Standard, an intern is someone who works during, or as part of, a formal education program. If not, they are an “employee”.

Investment

Any of four types of investment.

- Equity investments
- Debt investments
- Project finance
- Managed investments and client services

This definition applies for investors (i.e. companies who aim to profit from their investment) and companies that provide financial services.

(Adapted from [GHG Protocol](#))



Investment advisors

Companies that buy and sell investments, including equity, debt, and real assets. Investment advisors are also called "asset management".

Investment advisors include:

- fund managers
- fund of funds
- hedge funds
- wealth management.

JEDI

Justice, Equity, Diversity and Inclusion

Landscape services

Companies that provide landscape or maintenance services.

These services include:

- installing trees, shrubs, plants, lawns, or gardens
- designing landscape plans
- installing walkways, retaining walls, decks, fences, ponds, or similar structures.

(Adapted from [NAICS](#))

Legal activities

Companies that provide legal counsel or legal services.

(Adapted from [NAICS](#))

LGBTQIA+

An umbrella term for a range of different gender and sexual identities.

LGBTQI+ stands for:

- Lesbian
- Gay
- Bisexual
- Transgender
- Queer
- Intersex
- Asexual.

The "+" recognizes all non-straight, non-cisgender identities.

(Adapted from [GLAAD](#))

Management consultant

Companies that provide one or more management consulting services to businesses or other organizations.

These services include:

- financial planning and budgeting
- records management
- office planning
- strategic and organizational planning

- site selection
- business process improvement.

(Adapted from [NAICS](#))

Manufacturing

A company that earns over 10% of its revenue from products it makes, either for direct sale or for sale by another company or brand.

Manufacturing involves transforming input materials into a new product. The manufactured product may not be the final product.

Companies in the manufacturing sector include, for example:

- food and beverage producers
- assembly lines
- apparel manufacturers.

Material topic

The organization's most significant impacts on the economy, environment, and people, including impacts on their human rights. ([GRI 3: Material Topics](#) 2021)

See also impact materiality. Impact materiality is one half of "double materiality", alongside "financial materiality".

Material

See material topic.

Negative human rights impact



The effect of an action or inaction that removes or reduces an individual's ability to enjoy their human rights.

(Adapted from [UNGP Reporting Framework](#))

Outcome

A change resulting from the company's activities and outputs. An outcome has a direct link between the activities and outputs, and their impact on people and the environment.

Output

The direct result of an activity. Outputs may include, for example:

- training materials
- policies
- reports
- impact-related programs or projects.

Potential negative human rights impact

An impact that has not yet happened, but may happen if the cause is not addressed.

Potential human rights impact has the same meaning as "human rights risk". However, "risk" can be confused with other types of risk — such as financial risk — so is generally not used in the B Lab Standard.

Prevent

Action associated with prevention (see prevention)

Prevention

Action taken to stop a negative impact from happening.

Programming & broadcasting

Companies that own or operate television or radio broadcasting systems, including programming.

This includes:

- radio and television broadcasting
- radio networks
- radio stations.

(Adapted from [GICS](#))

Publishing - newspapers & magazines

Companies that provide services related to producing or distributing newspapers or magazines in print or electronic formats.

These services include:

- design
- editing
- marketing.

(Adapted from [NAICS](#))

Qualitative

Non-numerical information — such as text — as distinct from quantitative information. Qualitative information may be collected using, for example:

- interviews
- case studies



- open-ended surveys and questionnaires.

Quantitative

Numerical information — such as numbers — as distinct from qualitative information. Quantitative methods may be collected using, for example:

- numerical measurements
- scored surveys and questionnaires.

Raw material

A material or resource used to create a product.

Real estate, design & building

Companies that provide products or services related to designing, building, buying, or selling real estate.

Products or services include:

- architecture design and planning
- civil engineering
- contracting and building
- design and building
- property leasing
- real estate development.

Real estate includes:

- land
- residential buildings

- commercial buildings.

Remediation

Any effort to counteract or undo a negative impact.

Remediation refers to both:

- the process of providing the remedy
- the major outcomes that counteract or undo the negative impact.

Outcomes may take the form, for example, of:

- apologies
- restitution
- rehabilitation
- compensation (financial or non-financial)
- punishments (criminal or administrative, such as fines).

Outcomes can also include preventing harm through, for example, injunctions or guarantees that a negative impact will not happen again.

(Adapted from [UNGP Reporting Framework](#))

Salient human rights issue

The human rights that are at risk of the most severe negative impacts caused by the company's activities or business relationships.

(Adapted from [UNGP Reporting Framework](#))

Scientific R&D



Companies that provide research and development services related to, among others:

- physical sciences
- engineering sciences
- life sciences.

(Adapted from [NAICS](#))

Services with significant footprint

A company that earns 90% or more of its revenue from services that involve significant machinery or equipment, or require a specific operational location (often key to delivering the service).

Services with significant footprint include, for example:

- hotels
- restaurants
- landscaping companies
- universities.

This was previously named "Services with Significant Environmental footprint". The definition and its application remain the same.

Services with minor footprint

A company that earns 90% or more of its revenue from services that do not involve selling physical products or require a physical location for their delivery.

Services with minor footprints include, for example:

- law firms
- marketing and communications agencies



- software companies.

This was previously named "Services with Minor Environmental footprint". The definition and its application remain the same.

Social compliance audit

An assessment of a company's compliance with labor standards at a particular moment in time, carried out by a third-party and often for-profit audit company. A social compliance audit focuses on compliance rather than risk or impact, and is commonly used to measure supplier compliance with a labor standard.

Stakeholder

A person, group, or entity who may, positively or negatively:

- affect the company
- be affected by the company's activities
- have an interest that is affected by the company's activities.

Relevant stakeholders may include, for example:

- business partners
- civil society organizations
- consumers
- customers
- employees and other workers
- governments
- local communities
- non-governmental organizations
- shareholders and other investors



- suppliers
- trade unions
- vulnerable groups (including future generations)
- the environment (including species).

(Adapted from [GRI 3: Material Topics](#), 2021.)

Strategy

A kind of plan that outlines the specific ways in which the company will position itself, and the actions it will take to achieve its short- and long-term goals. A strategy draws on other important business resources, such as the company's purpose, mission, vision, and values to set a direction and deliver on objectives.

Under the B Lab Standard, the company uses specific strategies to plan measurable actions over a period of time, related to specific social, environmental, or governance targets.

(Adapted from University of York)

Supplier code of conduct

A document that sets expectations for suppliers to meet the company's standards, such as on sustainability.

Supply chain

The range of activities by companies and organizations "upstream" from the company, which provide products, raw materials, and services that the company uses in its own products or services.

([GRI 3](#), 2021, Global Reporting Initiative)

Tier one supplier



External suppliers that the company (or its subsidiaries) directly purchase products or services from.

Tier one suppliers contrast to tier two suppliers, who supply products or services to the company's tier one suppliers.

Union

An organization of workers formed to collectively advance its members' interests in relation to:

- wages
- benefits
- working conditions.

A union may also be called a "trade union", "labor union", or "workers' union".

Unions are regulated by national legislation and therefore have legal authority — for example, to undertake collective bargaining and worker representation.

Value chain

The full range of activities by the company, and by upstream and downstream entities, to bring its products or services from conception to end use. The value chain includes the company's supply chain.

Entities upstream from the company (e.g. suppliers) provide products or services used to develop the company's own products or services.

Entities downstream from the company (e.g. distributors and customers) receive products or services from the company.

(Adapted from [G1 Foundation](#), 2021, Global Reporting Initiative)

Veterinary activities

Companies that provide veterinary medicine, dentistry, surgery, or testing services for animals.

(Adapted from [NAICS](#))

Wholesale/Retail



A company that earns over 10% of its revenue from selling physical products, but does not own or operate the manufacturing processes or facilities that produce them. This includes companies that design products but outsource their production.

Wholesale/retail companies include, for example:

- grocery stores
- consumer goods companies that do not manufacture their own products
- wholesalers of physical goods.

Worker

A person who works for the company as any of the following.

- An employee
- An independent contractor, if they work more than 20 hours per week indefinitely or for more than six months.
- An agency worker, if they work more than 20 hours per week indefinitely or for more than six months.

Interns and apprentices, as defined in the B Lab Standard, do not count as workers.

Working owner

Founders or partners who work at the company and have at least 10% ownership in the business. If a company's workers consist only of founders or partners with at least 10% ownership, they are considered a "company without workers".

If a working owner is payrolled and they have additional non-working owner employees, then the working owner is considered an "employee".

Notes

- This requirement inherently overlaps with the Purpose & Stakeholder Governance, Fair Work, and JEDI topics.
- JEDI and human rights have deep conceptual links with one another. Their intentions and eventual goals are the same - that all people are treated with respect and live with dignity. They remain distinct topics in these standards because at the moment they inhabit distinct spaces in sustainability and organizational change discourses. Frameworks, standards, tools and guidance often only concern one of the two. Human rights in the context of business ('Business & Human Rights') is usually framed in terms of human rights due diligence, focusing primarily on preventing harm to people. This stems from the UN Guiding Principles on Business & Human Rights. JEDI on the other hand, is not explicitly rooted in any such framework and (more explicitly) refers to both the prevention of harm and pursuit of positive impacts. Over time, they are likely to converge. Within these standards, they exist as distinct topics despite their deep conceptual links to recognize that currently they inhabit distinct spaces and in anticipation that distinct topics lead to accelerated progress within each topic.
- Grievance and remediation procedures are covered under PSG3.
- Reporting on human rights is covered under PSG6.1 and PSG6.2.
- HR4 should be implemented alongside ESC5, as procurement and supplier engagement have both social and environmental considerations



HR1 The company commits publicly to respecting human rights.

HR1.1 The company commits publicly to respecting human rights.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	Service with Minor Environmental Footprint	All
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR1.1	From Year 0	None	The company commits publicly to respecting human rights.



Compliance Criteria:

1.1.1 The company commits publicly to respect human rights and to each of the following:

- a) UN Guiding Principles on Business and Human Rights
- b) The International Bill of Rights or the rights under the Universal Declaration of Human Rights
- c) The International Labour Organization's (ILO) Declaration on Fundamental Principles and Rights at Work

Intent:

For the company to publicly commit to respecting human rights, which is an important building block of the UN Guiding Principles on Business and Human Rights.

Clarifying the Compliance Criteria:

[1.1.1] The company may adapt the language if it operates in a country where using the term “human rights” threatens the safety of its workers.

[1.1.1] The commitment does not need to be a standalone document or webpage. It may be included with other topics. For example, the company could include both human rights and environmental commitments in one sustainability policy, as long as it met the Compliance Criteria.

[1.1.1] The ILO Declaration on Fundamental Principles and Rights at Work consists of five obligations, such as “the elimination of all forms of forced or compulsory labour”. The company may commit to the five obligations individually instead of committing to the ILO Declaration. The company may refer to “modern slavery” instead of “forced labor” as they are similar in a business context.

[1.1.1] The following types of documents do not meet this sub-requirement, unless they fulfill the Compliance Criteria.

- Ethics codes of conduct
- Supplier codes of conduct
- Modern Slavery statements
- Zero-tolerance lists

[1.1.1] The following commitments do not meet this sub-requirement.

- Commitments to the UN Sustainable Development Goals
- Commitments to diversity and inclusion
- Commitments to single issues or rights, such as ‘no child labor’

Applying the Criteria to Independently Certifying Subsidiaries:

- The commitment is embedded, at minimum, at the highest level within the company. If the company references a commitment belonging to an out-of-scope parent, it records evidence of roll-out, enforcement, and accountability mechanisms to support the commitment.

Further Guidance:

- The company adapts the language if it operates in a country where using the term “human rights” threatens the safety of its workers. This may include, for example:

- Using alternative language, like respecting “people’s rights” or “worker welfare”, addressing “negative social impacts”, or practicing “social due diligence”
- Referring to “international frameworks” or “international standards”
- Describing more specific rights, such as labor rights
- Limits on human rights are sometimes needed to prevent harm. For example, people may use the rights to free speech or religious expression to justify treating someone differently — or even to spread hate. The consensus today is that limits apply to human rights where they harm other people. That is why free speech and religious expression, where they are used to discriminate against other people or spread hate, are limited. (See this interpretation guidance from the OHCHR for further detail [\[EN\]](#). The guidance is specific to the rights of LGBTQIA+ persons, but applies more broadly.)

Recommendations:

- Consider committing to other standards that may be relevant. For example, if the company’s operations impact Indigenous communities, it might commit to the UN Declaration on the Rights of Indigenous Peoples.

Implementation Resources:

Resources to learn about business and human rights:

- Introduction to business and human rights (The Danish Institute for Business & Human Rights) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Frequently Asked Questions About the Guiding Principles on Business and Human Rights (Office of the High Commissioner for Human Rights) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[PT\]](#) [\[RU\]](#)
- The Corporate Responsibility to Respect Human Rights: An interpretive guide (Office of the High Commissioner for Human Rights) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- Business and Human Rights in Asia (United Nations Development Program) [\[EN\]](#)
- Guiding Principles on Business & Human Rights (Office of the High Commissioner for Human Rights) 12, 15, 16 [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Examples of resources to draft a commitment statement:

- Doing Business with Respect for Human Rights - 3.1 Policy Commitment (UN Global Compact, Shift and Oxfam) [\[EN\]](#) [\[ES\]](#) [\[IN\]](#)



- People and planet in business: A simple guide to how small and micro companies can start or strengthen their due diligence, see Step 1 (Fairtrade International and B Lab) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 2: General Disclosures 2021 - Disclosure 2-23 Policy commitments
 - GRI 2: General Disclosures 2021 - Disclosure 2-25 Processes to remediate negative impacts (a)
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement S1-1 – Policies related to own workforce (22)
 - European Sustainability Reporting Standards S2 2023 - Disclosure Requirement S2-1 – Policies related to value chain workers (17)
 - European Sustainability Reporting Standards S3 2023 - Disclosure Requirement S3-1 – Policies related to affected communities (16)
 - European Sustainability Reporting Standards S4 2023 - Disclosure Requirement S4-1 – Policies related to consumers and end-users (16)
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) A01, A02, A03, A08
 - Communication on Progress Questionnaire 2023 (UN Global Compact) G2, HR2, HR2.1
 - Workforce Disclosure Initiative 2024 (ShareAction) 1.6, 1.7, 1.8
 - Fairtrade Trader Standard v2.2 (Fairtrade International) 3.1.1, 3.1.3
- Equivalency Data Point
 - [None]



HR1.2 The company has a public human rights policy.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Service with Minor Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Service with Minor Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Service with Minor Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All



Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR1.2	From Year 0	None	The company has a public human rights policy.



Compliance Criteria:

1.2.1 The company has a public human rights policy.

1.2.2 The policy includes commitments to:

- a) respect human rights.
- b) assess the company's potential negative human rights impacts (or human rights risks)
- c) remediate the negative impacts the company has caused or contributed to
- d) each of the following
 - i) UN Guiding Principles on Business and Human Rights;
 - ii) International Bill of Rights or the rights under the Universal Declaration of Human Rights;
 - iii) International Labour Organization's (ILO) Declaration on Fundamental Principles and Rights at Work.

1.2.3 The policy is approved by the highest governing body.

1.2.4 The policy's scope covers all individuals and communities affected by the company's own operations and its value chain.

Intent:

For the company to publicly commit to respecting human rights, which is an important building block of the UN Guiding Principles on Business and Human Rights.

Clarifying the Compliance Criteria:

[1.2.1] The company may adapt the language if it operates in a country where using the term “human rights” threatens the safety of its workers.

[1.2.1] The policy does not need to be a standalone document or webpage. It may be included with other topics. For example, the company could include both human rights and environmental commitments in one sustainability policy, as long as it met the Compliance Criteria.

[1.2.1] The following types of documents do not meet this sub-requirement, unless they fulfill the Compliance Criteria.

- Ethics codes of conduct
- Supplier codes of conduct
- Modern Slavery statements
- Zero-tolerance lists

[1.2.2] The following commitments do not meet this sub-requirement.

- Commitments to the UN Sustainable Development Goals
- Commitments to diversity and inclusion
- Commitments to single issues or rights, such as ‘no child labor’

Applying the Criteria to Independently Certifying Subsidiaries:

- The policy is embedded, at minimum, at the highest governance level within the company. If the company references a policy belonging to an out-of-scope parent, it records evidence of roll-out, enforcement, and accountability mechanisms to support the policy.
- References to the highest governing body or executive team mean those within the company’s scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body or executive team within its scope of certification.

Further Guidance:

- The company adapts the language if it operates in a country where using the term “human rights” threatens the safety of its workers. This may include, for example:
 - Using alternative language, like respecting “people’s rights” or “worker welfare”, addressing “negative social impacts”, or practicing “social due diligence”
 - Referring to “international frameworks” or “international standards”
 - Describing more specific rights, such as labor rights
- Limits on human rights are sometimes needed to prevent harm. For example, people may use the rights to free speech or religious expression to justify treating someone differently — or even to spread hate. The consensus today is that limits apply to human rights where they harm other people. That is why free speech and religious expression, where they are used to discriminate against other people or spread hate, are limited. (See this interpretation guidance from the OHCHR for further detail [\[EN\]](#). The guidance is specific to the rights of LGBTQIA+ persons, but applies more broadly.)

Recommendations:

- Consider committing to other standards that may be relevant. For example, if the company’s operations impact Indigenous communities, it might commit to the UN Declaration on the Rights of Indigenous Peoples.
- Include any salient human rights issues that the company has already identified in the human rights policy.
- Make the company’s human rights policy a standalone, dedicated document. This is considered best practice, particularly for larger and more complex companies. A dedicated human rights policy is easier for stakeholders to find, read, and understand. It may also be easier to revise over time.

Implementation Resources:

Resources to learn about business and human rights:

- Introduction to business and human rights (The Danish Institute for Business & Human Rights) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Frequently Asked Questions About the Guiding Principles on Business and Human Rights (Office of the High Commissioner for Human Rights) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[PT\]](#) [\[RU\]](#)

- The Corporate Responsibility to Respect Human Rights: An interpretive guide (Office of the High Commissioner for Human Rights) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- Business and Human Rights in Asia (United Nations Development Program) [\[EN\]](#)
- Guiding Principles on Business & Human Rights (Office of the High Commissioner for Human Rights) 12, 15, 16 [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Examples of resources to draft a human rights policy:

- Guide on How to Develop a Human Rights Policy (UN Global Compact) [\[EN\]](#) [\[ES\]](#)
- UNGP Reporting Framework - A1 Policy Commitment (Shift) [\[EN\]](#)
- Doing Business with Respect for Human Rights - 3.1 Policy Commitment (UN Global Compact, Shift and Oxfam) [\[EN\]](#) [\[ES\]](#)
- People and planet in business: A simple guide to how small and micro companies can start or strengthen their due diligence, see Step 1 (Fairtrade International and B Lab) [\[EN\]](#)
- SME Compass, see 1.4 and 1.5 (Agency for Business & Economic Development) [\[DE\]](#) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 2: General Disclosures 2021 - Disclosure 2-23 Policy commitments
 - GRI 2: General Disclosures 2021 - Disclosure 2-25 Processes to remediate negative impacts (a)
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement S1-1 – Policies related to own workforce (22)
 - European Sustainability Reporting Standards S2 2023 - Disclosure Requirement S2-1 – Policies related to value chain workers (17)
 - European Sustainability Reporting Standards S3 2023 - Disclosure Requirement S3-1 – Policies related to affected communities (16)
 - European Sustainability Reporting Standards S4 2023 - Disclosure Requirement S4-1 – Policies related to consumers and end-users (16)
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) A01, A02, A03, A08, B01, B02
 - Communication on Progress Questionnaire 2023 (UN Global Compact) G2, HR2, HR2.1



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- Workforce Disclosure Initiative 2024 (ShareAction) 1.6, 1.7, 1.8
 - Fairtrade Trader Standard v2.2 (Fairtrade International) 3.1.1, 3.1.3
 - Equivalency Data Point
 - [None]



HR2 The company knows its salient human rights issues and has a strategy to address them.

HR2.1 The company identifies its salient human rights issues.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Service with Minor Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Service with Minor Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Service with Minor Environmental Footprint	All
Large	Manufacturing	All



Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR2.1	From Year 0	None	The company identifies its salient human rights issues.

Compliance Criteria:

2.1.1 The company assesses human rights issues to identify which are salient to its operations and value chain. The assessment:

- a) is based on desk research and stakeholder engagement
- b) identifies risks to people (rather than risks to the company)
- c) identifies both actual and potential negative impacts (not positive impacts)
- d) identifies specific human rights issues
- e) specifies where the issues are most salient
- f) prioritizes issues based on their severity and likelihood.

2.1.2 The assessment scope covers all individuals and communities affected by the company's operations and value chain.

2.1.3 The assessment was completed or updated in the last 36 months.

2.1.4 The company considers any "potential impacts" from the Risk Tool (FR3.1) in its assessment.

Intent:

To help the company:

- know where to focus its resources
- manage potential negative human rights impacts proactively.

Clarifying the Compliance Criteria:

[2.1.1] The company may carry out its own assessment or use a third party, such as a consultancy.

[2.1.1] The company may adapt the language if it operates in a country where using the term “human rights” threatens the safety of its workers.

[2.1.1 e] To specify “where the issues are most salient”, the company outlines which parts of its operations or supply chain are most likely to be affected. Here are two examples.

- The company identifies low wages as a salient issue. It specifies whether the issue relates to its own workers or workers in its supply chain, and whether it affects specific geographic areas.
- The company identifies nutrition of consumer products as a salient issue. It specifies which types of products or ingredients pose a nutritional risk.

[2.1.1 f] The company prioritizes salient issues based on severity and likelihood. Severity should outweigh likelihood, so that highly severe impacts — even if they are unlikely — are still prioritized.

- Severity refers to one or more of the following.
 - Scale — how serious would the impact be? A bigger scale is more severe.
 - Scope — how many people would be impacted? A bigger scope is more severe.
 - Ease of remediation — how easy would it be to remediate the potential negative impact? A higher difficulty of remediation is more severe. For example, it is easier to remediate underpaid wages than someone contracting an incurable disease due to poor health and safety conditions at work. Note, this does not mean less severe human rights impacts should not be remedied.
- Likelihood considers how likely the impact is, and how frequently it might occur.

[2.1.4] FR3.1 only applies to the company if it is considered small or above. If a company is considered micro or a company without workers, then it is exempt from FR3.1 and this compliance criterion does not apply.

[2.1.4] "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.

Applying the Criteria to Independently Certifying Subsidiaries:

- The assessment covers the company. If the company references an out-of-scope corporate assessment, it records evidence of:
 - how the assessment considered its stakeholders and operational impacts
 - how the assessment outcome is relevant to its context.

Further Guidance:

- “Salient” is another word for “material”, meaning “important” or “relevant”. The term “material” is used less commonly in the human rights space, as it has historically referred to what was relevant to the company — not to people. Saliency is aligned with the more recently adopted concept of “impact materiality” (which is one aspect of “double materiality”, next to “financial materiality”) as it looks at the same criteria of severity and likelihood in relation to people.
- The rights in the Universal Declaration of Human Rights and International Labour Organization’s (ILO) Declaration on the Fundamental Principles and Rights at Work are a starting point. They can be used as a list of human rights issues to select from. Other standards may also be relevant, depending on the company’s profile. For example, if the company’s operations impact Indigenous communities, it might refer to the UN Declaration on the Rights of Indigenous Peoples.
- The outcome of this sub-requirement should be a list of the most salient human rights issues relative to the company’s operations and value chain. The list should be at a high level and updated occasionally, serving as a framework for assessing specific potential negative impacts on an ongoing basis. Assessing potential negative impacts is captured in HR3. Here is an example of how high-level issues and specific impacts might relate to one another.
 - Salient issue (high-level) — low wages in Southeast Asian source countries
 - Potential negative impact (specific) — low wages among female fruit pickers from a specific country or supplier
- The scope for the assessment is intentionally broad to avoid the company accidentally excluding salient issues. For example, a company manufacturing sweets may already know that forced labor is a salient issue because of their sugar and cacao sourcing. The broad scope has the company consider if health impacts on the end consumer should also be a salient issue. This broad scope is a starting point and does not mean the company prioritizes all parts of the scope equally. The company’s focus within the scope will vary (see below how the company prioritizes based on severity and likelihood). It is common for companies to reassess their salient issues as they receive stakeholder feedback and learn more about their value chain. The company is not expected to assess their salient issues based on full visibility of their value chain.
- The number of salient human rights issues for each company depends on the size and complexity of its operations and value chains, among other factors. Most companies identify five to ten salient human rights issues.
- Severity can be assessed using the following categories, as an example.

- High: The impact and its resulting effects are expected to cause major, irreparable, and long-lasting damage to people or their rights.
- Medium: The impact and its resulting effects are expected to cause significant and lasting damage to people or their rights.
- Low: The impact and its resulting effects are expected to cause minor, repairable, and temporary damage to people or their rights.
- Likelihood considers how likely the impact is, and how frequently it might occur. Likelihood can be assessed using the following categories, as an example.
 - High — the impact is expected to occur continuously.
 - Medium — the impact is expected to occur regularly (i.e. from several times per year to several times per month).
 - Low — the impact is expected to occur only occasionally (i.e. only during a specific phase of a project).
- Salient human rights issues may include, for example:
 - child labor
 - discrimination
 - poverty wages
 - land rights
 - occupational health and safety
 - excessive working hours
 - access to water
 - privacy
 - freedom of association
 - collective bargaining.
- The company adapts the language if it operates in a country where using the term “human rights” threatens the safety of its workers. This may include, for example:
 - Using alternative language, like respecting “people’s rights” or “worker welfare”, addressing “negative social impacts”, or practicing “social due diligence”

- Referring to “international frameworks” or “international standards”
- Describing more specific rights, such as labor rights
- This sub-requirement is still relevant if the company is a service company with a minor footprint and no significant supply chain. This type of company focuses on issues related to its services, clients, and workers.

Recommendations:

- If the company has migrant workers in its operations or supply chain, read the Dhaka Principles for Migration with Dignity [\[EN\]](#). Each principle can be considered a potential issue in the assessment.

Implementation Resources:

Resources to identify salient human rights issues:

- Business Model Red Flags (Shift) [\[EN\]](#)
- Doing Business with Respect for Human Rights - 3.3 Assessing Impacts (UN Global Compact, Shift and Oxfam) [\[EN\]](#) [\[ES\]](#)
- People and planet in business: A simple guide to how small and micro companies can start or strengthen their due diligence (Fairtrade International and B Lab) [\[EN\]](#)
- SME Compass, see 2 Perform a risk analysis (Agency for Business & Economic Development) [\[DE\]](#) [\[EN\]](#)
- UNGP Reporting Framework - Part B Defining a Focus of Reporting (Shift) [\[EN\]](#)
- Guiding Principles on Business & Human Rights (Office of the High Commissioner for Human Rights) 17, 18, 24 [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- Frequently Asked Questions About the Guiding Principles on Business and Human Rights (Office of the High Commissioner for Human Rights) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[PT\]](#) [\[RU\]](#)
- The Corporate Responsibility to Respect Human Rights: An interpretive guide (Office of the High Commissioner for Human Rights) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Resources to see examples of other companies’ salient human rights issues:

- UNGP Reporting Framework - View Disclosures (Shift) [\[EN\]](#)

Human rights conventions and declarations:

- Universal Declaration of Human Rights (United Nations) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[PT\]](#) [\[RU\]](#) [\[ZH\]](#)
- Declaration on Fundamental Principles and Rights at Work (International Labour Organization) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Declaration on the Rights of Indigenous Peoples (United Nations) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[PT\]](#) [\[RU\]](#) [\[ZH\]](#) [\[Other languages\]](#)
- A Business Reference Guide: United Nations Declaration on the Rights of Indigenous Peoples (UN Global Compact) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#)
- Convention on the Rights of Persons with Disabilities (United Nations) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)
- Convention on the Rights of the Child (United Nations) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)

Examples of resources on human rights risks in specific countries:

- Responsible Sourcing Tool (Verité and the U.S. Department of State's Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)
- Labor Rights Index (WageIndicator Foundation & Centre for Labour Research) [\[EN\]](#)
- Global Rights Index (International Trade Union Confederation) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Global Slavery Index (Walk Free Foundation) [\[EN\]](#)
- Risk Map (Fairtrade International) [\[EN\]](#)
- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)
- Country Reports on Human Rights Practices (Bureau of Democracy, Human Rights, and Labor, US Department of State) [\[EN\]](#)

Examples of resources on human rights risks for specific raw materials:

- Responsible Sourcing Tool (Verité and the U.S. Department of State's Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)

- Risk Map (Fairtrade International) [\[EN\]](#)
- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)

Minerals Due Diligence (Responsible Minerals Initiative) [\[Various languages\]](#), including AR, EN, ES, IT, FR, PT, RU, Simplified ZH]

Interoperability:

- Conceptual Alignment Data Point
 - GRI 3: Material Topics 2021 - Disclosure 3-1 Process to determine material topics
 - GRI 3: Material Topics 2021 - Disclosure 3-3 Management of material topics (a, b)
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement related to ESRS 2 SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model (13)
 - European Sustainability Reporting Standards S2 2023 - Disclosure Requirement related to Disclosure Requirement related to ESRS 2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model (10)
 - European Sustainability Reporting Standards S3 2023 - Disclosure Requirement related to ESRS 2 SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model (10)
 - European Sustainability Reporting Standards S4 2023 - Disclosure Requirement related to ESRS 2 SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model (10)
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) D01, D02
 - Communication on Progress Questionnaire 2023 (UN Global Compact) G6, HR1
 - Workforce Disclosure Initiative 2024 (ShareAction) 2.6, 2.7
 - Fairtrade Trader Standard v2.2 (Fairtrade International) 3.2.1
- Equivalency Data Point



☐ [None]



HR2.2 The company publicly shares its salient human rights issues.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Service with Minor Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Service with Minor Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Service with Minor Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All



Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR2.2	From Year 3	Medium / Large / X Large / XX Large	The company publicly shares its salient human rights issues.

Compliance Criteria:

2.2.1 The company publicly shares its salient human rights issues (HR2.1).

2.2.2 The company publicly shares the methodology it used in its assessment of salient human rights issues.

Intent:

To increase public accountability and enable companies to compare their salient human rights issues.

Applying the Criteria to Independently Certifying Subsidiaries:

- The reporting scope covers the company. If the company references a corporate group report that includes out-of-scope entities, either:
 - the performance of the company is clearly identifiable within the group report
 - the company publicly shares its own report on its webpage.

Further Guidance:

Recommendations:

Interoperability:

- Conceptual Alignment Data Point
 - GRI 3: Material Topics 2021 - Disclosure 3-1 Process to determine material topics
 - GRI 3: Material Topics 2021 - Disclosure 3-3 Management of material topics (a, b)
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement related to ESRS 2 SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model (13)

- European Sustainability Reporting Standards S2 2023 - Disclosure Requirement related to Disclosure Requirement related to ESRS 2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model (10)
- European Sustainability Reporting Standards S3 2023 - Disclosure Requirement related to ESRS 2 SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model (10)
- European Sustainability Reporting Standards S4 2023 - Disclosure Requirement related to ESRS 2 SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model (10)
- Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) D01, D02
- Communication on Progress Questionnaire 2023 (UN Global Compact) G6, HR1
- Workforce Disclosure Initiative 2024 (ShareAction) 2.6, 2.7
- Fairtrade Trader Standard v2.2 (Fairtrade International) 3.2.1
- Equivalency Data Point
 - [None]



HR2.3 The company has a strategy to address its salient human rights issues.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All



Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR2.3	From Year 3	None	The company has a strategy to address its salient human rights issues.

Compliance Criteria:

2.3.1 The company has a strategy to address its salient human rights issues.

2.3.2 The strategy was adopted or reviewed in the last twelve months.

2.3.3 The strategy is approved by the highest governing body.

2.3.4 The strategy accounts for the company's type of connection with each salient human rights issue.

2.3.5 The strategy, or a related implementation plan, includes:

- a) targets for the next three years at minimum
- b) indicators
- c) clearly defined roles and responsibilities
- d) engagement with stakeholders.

Intent:

For the company to create a strategy from its assessment of salient human rights issues.

Clarifying the Compliance Criteria:

[2.3.1] The strategy sets out how the company intends to address each of its salient human rights issues. More specifically, it describes how the company will:

- assess the potential negative human rights impacts of working with potential clients and projects, if applicable [link to HR3.3]
- assess the potential negative human rights impacts of investments, if applicable [link to HR3.4]
- collect, prioritize, and escalate information on actual and potential negative human rights impacts [links to HR3.1]
- use a Human Rights Impact Assessment, if applicable [links to HR3.5]
- use inputs from stakeholders [links to PSG2]
- prevent, mitigate, and remediate actual and potential negative human rights impacts [link to HR3.2]
- evaluate the effectiveness of the strategy [link to HR2.4]
- work with suppliers to achieve human rights objectives and trace raw materials in the supply chain to their origins [link to HR4].

[2.3.1] The company may adapt the language if it operates in a country where using the term “human rights” threatens the safety of its workers.

Applying the Criteria to Independently Certifying Subsidiaries:

- The strategy is embedded, at minimum, at the highest governance level within the company. If the company references a strategy belonging to an out-of-scope parent, it records evidence of roll-out, enforcement, and accountability mechanisms to support the strategy.
- References to the highest governing body or executive team mean those within the company’s scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body or executive team within its scope of certification.

Further Guidance:

- The company’s “type of connection” to a negative impact is also known as its “mode of involvement”. The three types, or modes, are: causing an impact, contributing to an impact, or having a linkage to an impact.

- Causing — the company has a direct and unique connection with the affected stakeholder. In response, the company takes steps to cease or prevent the impact and remediate it.
- Contributing — a third party sits between the company and the affected stakeholder, or the company is one of multiple companies with a direct connection to the affected stakeholder. In response, the company has a responsibility to work with others to remediate the impact.
- Linkage — an additional layer lies between the company and the affected stakeholder. The company has no responsibility to remediate past harm, but is responsible for preventing harm in the future.
- The company adapts the language if it operates in a country where using the term “human rights” threatens the safety of its workers. This may include, for example:
 - Using alternative language, like respecting “people’s rights” or “worker welfare”, addressing “negative social impacts”, or practicing “social due diligence”
 - Referring to “international frameworks” or “international standards”
 - Describing more specific rights, such as labor rights

Recommendations:

Implementation Resources:

Resources to understand the company’s “type of connection”:

- Doing Business with Respect for Human Rights - 3.4 Integrating and acting (UN Global Compact, Shift and Oxfam) [\[EN\]](#) [\[ES\]](#)
- The Corporate Responsibility to Respect Human Rights: An interpretive guide, see Q.10 What is meant by 'adverse human rights impact'? (Office of the High Commissioner for Human Rights) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Resources to draft a human rights strategy:

- Doing Business with Respect for Human Rights - 3.2 Embedding (UN Global Compact, Shift and Oxfam) [\[EN\]](#) [\[ES\]](#)

Resources to set targets and indicators:

- UNGP Reporting Framework - Part C5 Tracking Performance (Shift) [\[EN\]](#)



- Doing Business with Respect for Human Rights - 3.5 Tracking Performance (UN Global Compact, Shift and Oxfam) [\[EN\]](#) [\[ES\]](#)
- Indicator Design Tool (Shift) [\[EN\]](#)
- Guiding Principles on Business & Human Rights (Office of the High Commissioner for Human Rights) 20, 21 [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 2: General Disclosures 2021 - Disclosure 2-22 Statement on sustainable development strategy
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement S1-5 – Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities (44)
 - European Sustainability Reporting Standards S2 2023 - Disclosure Requirement S2-5 – Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities (39)
 - European Sustainability Reporting Standards S3 2023 - Disclosure Requirement S3-5 – Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities (39)
 - European Sustainability Reporting Standards S4 2023 - Disclosure Requirement S4-5 – Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities (38)
 - Fairtrade Trader Standard v2.2 (Fairtrade International) 3.1.2, 3.4.1
- Equivalency Data Point
 - [None]



HR2.4 The company makes progress on its human rights strategy and evaluates its effectiveness.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All



Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR2.4	From Year 5	Medium / Large / X Large / XX Large	The company makes progress on its human rights strategy and evaluates its effectiveness.

Compliance Criteria:

2.4.1 The company makes progress against its targets and indicators (measured at an interval of no more than three years), in line with its human rights strategy (HR2.3).

2.4.2 The company evaluates the effectiveness of its human rights strategy (HR2.3).

2.4.3 Where the strategy is ineffective, the company records:

- a) what lessons it has learned
- b) what it plans to do differently
- c) how it has updated the strategy.

2.4.4 The evaluation results are shared with the highest governing body or executive team.

Intent:

For the company to put its human rights strategy into practice and ensure it works as intended. The intent of the strategy is for the company to evaluate, learn, and continuously improve. Completely eliminating all actual and potential negative impacts is impossible and therefore not the intent.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.
- References to the highest governing body or executive team mean those within the certifying company's scope of certification. This means that sharing the results with an out-of-scope parent body does not meet the sub-requirement, unless the certifying company has also shared the results with the highest governing body or executive team within its scope of certification.



Further Guidance:

Recommendations:

- Measure outcomes for people, and use a combination of quantitative and qualitative data. This involves measuring the personal experiences or perceptions of affected stakeholders, such as workers.
- Publicly share information about the strategy's effectiveness and lessons learned.

Implementation Resources:

Resources to measure progress:

- UNGP Reporting Framework - Part C5 Tracking Performance (Shift) [\[EN\]](#)
- Doing Business with Respect for Human Rights - 3.5 Tracking Performance (UN Global Compact, Shift and Oxfam) [\[EN\]](#) [\[ES\]](#)
- Indicator Design Tool (Shift) [\[EN\]](#)
- Guiding Principles on Business & Human Rights (Office of the High Commissioner for Human Rights) 20, 21 [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 2: General Disclosures 2021 - Disclosure 2-22 Statement on sustainable development strategy
 - GRI 3: Material Topics 2021 - Disclosure 3-3 Management of material topics (e)
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) C06, D04
 - Communication on Progress Questionnaire 2023 (UN Global Compact) HR6, L5
 - Workforce Disclosure Initiative 2024 (ShareAction) 2.9



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- Fairtrade Trader Standard v2.2 (Fairtrade International) 3.4.1
 - Equivalency Data Point
 - [None]



HR2.5 The company publicly shares the effectiveness of its human rights strategy.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	None	None
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR2.5	From Year 5	None	The company publicly shares the effectiveness of its human rights strategy.



Compliance Criteria:

2.5.1 The company makes a report on its human rights strategy publicly available on its webpage.

2.5.2 The company made or updated its report in the last 36 months.

2.5.3 The company's report presents information on:

- a) progress on targets and indicators
- b) how it evaluated the effectiveness of its strategy

2.5.4 Where the strategy is ineffective, the company's report presents information on:

- a) what lessons it has learned
- b) what it plans to do differently
- c) how it has updated its strategy.

Intent:

To increase public accountability and make it easier for companies to learn from one another.



Clarifying the Compliance Criteria:

[2.5.1] The company may publish the information in an annual report or a standalone sustainability and impact report [link to PSG6.1, PSG6.2. ESC4.7].

Applying the Criteria to Independently Certifying Subsidiaries:

- The reporting scope covers the company. If the company references a corporate group report that includes out-of-scope entities, either:
 - the performance of the company is clearly identifiable within the group report
 - the company publicly shares its own report on its webpage.

Further Guidance:

Recommendations:

Implementation Resources:

Resources to measure progress:

- UNGP Reporting Framework - Part C5 Tracking Performance (Shift) [\[EN\]](#)
- Doing Business with Respect for Human Rights - 3.5 Tracking Performance (UN Global Compact, Shift and Oxfam) [\[EN\]](#) [\[ES\]](#)
- Indicator Design Tool (Shift) [\[EN\]](#)
- Guiding Principles on Business & Human Rights (Office of the High Commissioner for Human Rights) 20, 21 [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Interoperability:

- Conceptual Alignment Data Point



-
- GRI 2: General Disclosures 2021 - Disclosure 2-22 Statement on sustainable development strategy
 - GRI 3: Material Topics 2021 - Disclosure 3-3 Management of material topics (e)
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) C06, D04
 - Communication on Progress Questionnaire 2023 (UN Global Compact) HR6, L5
 - Workforce Disclosure Initiative 2024 (ShareAction) 2.9
 - Fairtrade Trader Standard v2.2 (Fairtrade International) 3.4.1
 - Equivalency Data Point
 - [None]



HR2.6 The company's policies and procedures address its salient human rights issues.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All



Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR2.6	From Year 3	Medium / Large / X Large / XX Large	The company's policies and procedures address its salient human rights issues.



Compliance Criteria:

2.6.1 The company explicitly addresses each salient human rights issue with a policy or procedure.

2.6.2 The scope of each policy and procedure matches the nature of the company's salient issues.

Intent:

To ensure the company's policies and procedures address all salient human rights issues. For example, if forced labor is a salient human rights issue, the company has a policy on forced labor.

Clarifying the Compliance Criteria:

[2.6.2] Matching the “scope” of policies and procedures to salient issues means ensuring they apply where the issues are relevant (e.g. to the company’s own workers versus workers in the supply chain, or to operations in one territory versus the company’s global operations). For example, a policy to close the gender pay gap among the company’s own workers would not address discrimination among workers in the supply chain, because the scope is different.

Applying the Criteria to Independently Certifying Subsidiaries:

- The policies and procedures are embedded, at minimum, at the highest level within the company. If the company references a policy or procedure belonging to an out-of-scope parent, it records evidence of roll-out, enforcement, and accountability mechanisms to support the policy or procedure.

Implementation Resources:

Resources to draft or align policies:

- Guide on How to Develop a Human Rights Policy, see section 6 Next Steps - path to implementation (UN Global Compact) [\[EN\]](#) [\[ES\]](#)
- Doing Business with Respect for Human Rights - 3.2 Embedding (UN Global Compact, Shift and Oxfam) [\[EN\]](#) [\[ES\]](#)
- UNGP Reporting Framework - Part C Management of Salient Human Rights Issues (Shift) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 2: General Disclosures 2021 - Disclosure 2-24 Embedding policy commitments (a) ii
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement S1-1 – Policies related to own workforce (17)
 - European Sustainability Reporting Standards S2 2023 - Disclosure Requirement S2-1 – Policies related to value chain workers (14)
 - European Sustainability Reporting Standards S3 2023 - Disclosure Requirement S3-1 – Policies related to affected communities (12)
 - European Sustainability Reporting Standards S4 2023 - Disclosure Requirement S4-1 – Policies related to consumers and end-users (13)



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- Fairtrade Trader Standard v2.2 (Fairtrade International) 3.1.2
 - Equivalency Data Point
 - [None]



HR2.7 Workers in relevant roles receive the guidance they need to implement the policies and procedures related to human rights.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Agriculture/Growers	All
X Large	Manufacturing	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All



Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR2.7	From Year 3	Medium / Large / X Large / XX Large	Workers in relevant roles receive the guidance they need to implement the policies and procedures related to human rights.



Compliance Criteria:

2.7.1 Workers in relevant roles receive training, guidance documents, or tools to help implement the policies and procedures related to human rights.

2.7.2 The guidance is tailored for the relevant role.

Intent:

To ensure the right people are prepared to implement the policies and procedures related to human rights.

Clarifying the Compliance Criteria:

[2.7.1] “The policies and procedures related to human rights” are those related to each salient human rights issue (HR2.6)

[2.7.1] Relevant roles can be at any level within a company. They may range from members of the highest governing body to workers who interact directly with vulnerable people.

[2.7.2] Workers in relevant roles are given information tailored to their role. Generic training about the company’s salient human rights issues is not sufficient.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

Implementation Resources:

Resources to train workers on business and human rights in general:

- Introduction to business and human rights (The Danish Institute for Business & Human Rights) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)

Resources to train workers on policies and procedures related to human rights:

- Doing Business with Respect for Human Rights - 3.2 Embedding, see Guidance Points 5-7 (UN Global Compact, Shift and Oxfam) [\[EN\]](#) [\[ES\]](#)
- UNGP Reporting Framework - Part C Management of Salient Human Rights Issues (Shift) [\[EN\]](#)

Interoperability:



- Conceptual Alignment Data Point
 - GRI 2: General Disclosures 2021 - Disclosure 2-24 Embedding policy commitments (a) iv
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) C05.B
 - Fairtrade Trader Standard v2.2 (Fairtrade International) 3.1.3
- Equivalency Data Point
 - [None]



HR3 The company prevents, mitigates, and remediates actual and potential negative human rights impacts.

HR3.1 The company has a process to collect, prioritize, and escalate information on actual and potential negative human rights impacts.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Service with Minor Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Service with Minor Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Service with Minor Environmental Footprint	All
Large	Manufacturing	All



Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR3.1	From Year 0	Medium / Large / X Large / XX Large	The company has a process to collect, prioritize, and escalate information on actual and potential negative human rights impacts.



Compliance Criteria:

3.1.1 The company has a process to collect, prioritize, and escalate information on actual and potential negative human rights impacts.

3.1.2 The company has clear roles and responsibilities related to this process.

3.1.3 In the process, impacts are prioritized and escalated based on their severity and likelihood.

3.1.4 The process also sets out:

- a) when and how to seek additional information about an actual or potential negative impact, and how to involve stakeholders, including affected stakeholders
- b) what kinds of internal changes at the company will prompt it to proactively assess potential negative impacts.

Intent:

To ensure the company adequately processes information about human rights issues so it can respond to them appropriately. Processing information internally is separate from the company's response to that information.

Clarifying the Compliance Criteria:

[3.1.1] “Escalate” refers to sharing information with relevant decision-makers or those with a responsibility over an issue. This may include sharing information upwards within the company hierarchy, such as to the executive team or highest governing body.

[3.1.3] The company prioritizes and escalates specific issues based on severity and likelihood. Severity should outweigh likelihood, so that highly severe impacts — even if they are unlikely — are still prioritized.

- Severity refers to one or more of the following.
 - Scale — how serious would the impact be? A bigger scale is more severe.
 - Scope — how many people would be impacted? A bigger scope is more severe.
 - Ease of remediation — how easy would it be to remediate the potential negative impact? A higher difficulty of remediation is more severe. For example, it is easier to remediate underpaid wages than someone contracting an incurable disease due to poor health and safety conditions at work. Note, this does not mean less severe human rights impacts should not be remedied.
- Likelihood considers how likely the impact is, and how frequently it might occur.

Applying the Criteria to Independently Certifying Subsidiaries:

- The process is embedded, at minimum, at the highest level within the company. If the company references a process belonging to an out-of-scope parent, it records evidence of roll-out, enforcement, and accountability mechanisms to support the procedure.

Further Guidance:

- This sub-requirement separates the company’s internal processing of information from its response to that information. Processing information (collecting, prioritizing and escalating) is covered under HR3.1. The response (preventing or mitigating actual and potential negative human rights impacts) is covered under HR3.2.
- In HR2, the company identifies and prioritizes salient human rights issues at a high level. HR3 is about assessing potential negative impacts at the specific level. A high-level assessment of salient issues is an occasional exercise, but assessing specific impacts happens regularly. Here is an example of how high-level issues and specific impacts might relate to one another.
 - Salient issue (high-level) — low wages in Southeast Asian source countries



- Potential negative impact (specific) — low wages among female fruit pickers from a specific country or supplier
- Severity can be assessed using the following categories, as an example.
 - High: The impact and its resulting effects are expected to cause major, irreparable, and long-lasting damage to people or their rights.
 - Medium: The impact and its resulting effects are expected to cause significant and lasting damage to people or their rights.
 - Low: The impact and its resulting effects are expected to cause minor, reparable, and temporary damage to people or their rights.
- Likelihood considers how likely the impact is, and how frequently it might occur. Likelihood can be assessed using the following categories, as an example.
 - High — the impact is expected to occur continuously.
 - Medium — the impact is expected to occur regularly (i.e. from several times per year to several times per month).
 - Low — the impact is expected to occur only occasionally (i.e. only during a specific phase of a project).
- Internal changes that prompt the company to proactively assess potential negative impacts may include, for example:
 - a new business relationship
 - a merger or acquisition
 - a business model change
 - a new product or service line
 - a new source country in the supply chain.
- The company's grievance procedure, which is a requirement under PSG3, is an important way to collect information on actual and potential negative human rights impacts.

Recommendations:

Implementation Resources:

Resources to assess and prioritize potential and actual human rights impacts:

- Doing Business with Respect for Human Rights - 3.3 Assessing Impacts (UN Global Compact, Shift und Oxfam) [\[EN\]](#) [\[ES\]](#)
- Guiding Principles on Business & Human Rights (Office of the High Commissioner for Human Rights) 17, 18, 19, 24 [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- Frequently Asked Questions About the Guiding Principles on Business and Human Rights (Office of the High Commissioner for Human Rights) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[PT\]](#) [\[RU\]](#)
- The Corporate Responsibility to Respect Human Rights: An interpretive guide (Office of the High Commissioner for Human Rights) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 2: General Disclosures 2021 - Disclosure 2-16 Communication of critical concerns
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement S1-4 – Taking action on material impacts on own workforce, and approaches to mitigating material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions
 - European Sustainability Reporting Standards S2 2023 - Disclosure Requirement S2-4 – Taking action on material impacts on value chain workers, and approaches to mitigating material risks and pursuing material opportunities related to value chain workers, and effectiveness of those actions
 - European Sustainability Reporting Standards S3 2023 - Disclosure Requirement S3-4 – Taking action on material impacts on affected communities, and approaches to mitigating material risks and pursuing material opportunities related to affected communities, and effectiveness of those actions
 - European Sustainability Reporting Standards S4 2023 - Disclosure Requirement S4-4 – Taking action on material impacts on consumers and end-users, and approaches to mitigating material risks and pursuing material opportunities related to consumers and end-users, and effectiveness of those actions
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) D01, D03, G02
 - Communication on Progress Questionnaire 2023 (UN Global Compact) G6
 - Workforce Disclosure Initiative 2024 (ShareAction) 2.2, 2.3



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- Fairtrade Trader Standard v2.2 (Fairtrade International) 3.3.1.
 - Equivalency Data Point
 - [None]



HR3.2 The company prevents, mitigates, and remediates actual and potential negative human rights impacts.

Track factors:

Size	Sector	Industry
XX Large	Service with Minor Environmental Footprint	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Wholesale/Retail	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Service with Minor Environmental Footprint	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Service with Minor Environmental Footprint	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All



Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR3.2	From Year 3	Medium / Large / X Large / XX Large	The company prevents, mitigates, and remediates actual and potential negative human rights impacts.



Compliance Criteria:

3.2.1 The company takes action to prevent and mitigate actual and potential negative human rights impacts.

3.2.2 The company takes action to remediate any actual negative human rights impacts.

3.2.3 The company considers:

- a) its type of connection to the impact
- b) the views of affected stakeholders.

Intent:

To ensure the company's awareness of potential negative impacts leads to prevention and mitigation actions. Prevention and mitigation is proactive, meaning it addresses a potential impact before it becomes an actual impact.

Clarifying the Compliance Criteria:

[3.2.3 b] The company may engage with stakeholder representatives — rather than directly to stakeholders — where it is needed or more appropriate, and supported by stakeholders. For example, the company may speak to a union or civil society organization that represents the interests of affected stakeholders.

Applying the Criteria to Independently Certifying Subsidiaries:

- The actions take place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- This sub-requirement separates the company's response to information from how it internally processes that information first. Processing information (collecting, prioritizing, and escalating) is covered under HR3.1. The response (preventing or mitigating actual and potential negative human rights impacts) is covered under HR3.2.
- The company's "type of connection" to a negative impact is also known as its "mode of involvement". The three types, or modes, are: causing an impact, contributing to an impact, or having a linkage to an impact.
 - Causing — the company has a direct and unique connection with the affected stakeholder. In response, the company takes steps to cease or prevent the impact and remediate it.
 - Contributing — a third party sits between the company and the affected stakeholder, or the company is one of multiple companies with a direct connection to the affected stakeholder. In response, the company has a responsibility to work with others to remediate the impact.
 - Linkage — an additional layer lies between the company and the affected stakeholder. The company has no responsibility to remediate past harm, but is responsible for preventing harm in the future.
- Prevent, mitigate and remediate exist in a hierarchy. Preventing a negative impact is always preferred. If an impact cannot be prevented, then the company tries to mitigate it. If the impact actually occurs, then the company remediates it.

Implementation Resources:

Resources to act on potential and actual human rights impacts:

- Doing Business with Respect for Human Rights - 3.4 Integrating and acting, see Guidance Point 2: Understanding how your company is connected to human rights impacts (UN Global Compact, Shift und Oxfam) [\[EN\]](#) [\[ES\]](#)
- Guiding Principles on Business & Human Rights (Office of the High Commissioner for Human Rights) 13, 19 [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- Frequently Asked Questions About the Guiding Principles on Business and Human Rights (Office of the High Commissioner for Human Rights) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[PT\]](#) [\[RU\]](#)
- The Corporate Responsibility to Respect Human Rights: An interpretive guide (Office of the High Commissioner for Human Rights) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 3: Material Topics 2021 - Disclosure 3-3 Management of material topics (d, f)
 - European Sustainability Reporting Standards S1 2023 - Disclosure Requirement S1-4 – Taking action on material impacts on own workforce, and approaches to mitigating material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions
 - European Sustainability Reporting Standards S2 2023 - Disclosure Requirement S2-4 – Taking action on material impacts on value chain workers, and approaches to mitigating material risks and pursuing material opportunities related to value chain workers, and effectiveness of those actions
 - European Sustainability Reporting Standards S3 2023 - Disclosure Requirement S3-4 – Taking action on material impacts on affected communities, and approaches to mitigating material risks and pursuing material opportunities related to affected communities, and effectiveness of those actions
 - European Sustainability Reporting Standards S4 2023 - Disclosure Requirement S4-4 – Taking action on material impacts on consumers and end-users, and approaches to mitigating material risks and pursuing material opportunities related to consumers and end-users, and effectiveness of those actions
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) C07



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- Communication on Progress Questionnaire 2023 (UN Global Compact) G7, HR4, L3
 - Workforce Disclosure Initiative 2024 (ShareAction) 2.1, 2.1a, 2.8
 - Fairtrade Trader Standard v2.2 (Fairtrade International) 3.3.1, 3.3.4
 - Equivalency Data Point
 - [None]

HR3.3 The company assesses the potential negative human rights impacts related to potential organizational clients and projects, and takes necessary mitigation actions.

Track factors:

Size	Sector	Industry
XX Large	Service with Minor Environmental Footprint	Security & investigation
XX Large	Service with Minor Environmental Footprint	Data processing & hosting
XX Large	Service with Minor Environmental Footprint	Mobile applications
XX Large	Service with Minor Environmental Footprint	Other info service activities
XX Large	Service with Minor Environmental Footprint	Social networks & info sharing
XX Large	Service with Minor Environmental Footprint	Software publishing and SaaS platforms
XX Large	Service with Minor Environmental Footprint	Telecommunications
XX Large	Service with Minor Environmental Footprint	Web portals
XX Large	Service with Minor Environmental Footprint	Computer programming services
XX Large	Service with Minor Environmental Footprint	Advertising & market research
XX Large	Service with Minor Environmental Footprint	Legal activities
XX Large	Service with Minor Environmental Footprint	Management consultant - for-profits
XX Large	Service with Minor Environmental Footprint	Book publishing
XX Large	Service with Minor Environmental Footprint	Publishing - newspapers & magazines
XX Large	Service with Minor Environmental Footprint	Architecture design & planning



XX Large	Service with Minor Environmental Footprint	Civil engineering
XX Large	Service with Minor Environmental Footprint	Contracting & building
XX Large	Service with Minor Environmental Footprint	Real estate- fee/contract
XX Large	Service with Minor Environmental Footprint	Design & building
XX Large	Service with Minor Environmental Footprint	Other install & construction
XX Large	Service with Minor Environmental Footprint	Real estate development
XX Large	Service with Minor Environmental Footprint	Real estate - leased property
XX Large	Service with Minor Environmental Footprint	Film, TV & music production
XX Large	Service with Minor Environmental Footprint	Programming & broadcasting
XX Large	Service with Minor Environmental Footprint	Engineering
XX Large	Service with Minor Environmental Footprint	Environmental consulting
X Large	Service with Minor Environmental Footprint	Security & investigation
X Large	Service with Minor Environmental Footprint	Advertising & market research
X Large	Service with Minor Environmental Footprint	Management consultant - for-profits
X Large	Service with Minor Environmental Footprint	Book publishing
X Large	Service with Minor Environmental Footprint	Publishing - newspapers & magazines
X Large	Service with Minor Environmental Footprint	Film, TV & music production
X Large	Service with Minor Environmental Footprint	Programming & broadcasting
X Large	Service with Minor Environmental Footprint	Engineering
X Large	Service with Minor Environmental Footprint	Environmental consulting



X Large	Service with Minor Environmental Footprint	Architecture design & planning
X Large	Service with Minor Environmental Footprint	Civil engineering
X Large	Service with Minor Environmental Footprint	Contracting & building
X Large	Service with Minor Environmental Footprint	Design & building
X Large	Service with Minor Environmental Footprint	Other install & construction
X Large	Service with Minor Environmental Footprint	Real estate development
X Large	Service with Minor Environmental Footprint	Real estate- fee/contract
X Large	Service with Minor Environmental Footprint	Real estate - leased property
X Large	Service with Minor Environmental Footprint	Computer programming services
X Large	Service with Minor Environmental Footprint	Data processing & hosting
X Large	Service with Minor Environmental Footprint	Mobile applications
X Large	Service with Minor Environmental Footprint	Other info service activities
X Large	Service with Minor Environmental Footprint	Social networks & info sharing
X Large	Service with Minor Environmental Footprint	Software publishing and SaaS platforms
X Large	Service with Minor Environmental Footprint	Telecommunications
X Large	Service with Minor Environmental Footprint	Web portals
X Large	Service with Minor Environmental Footprint	Legal activities
Large	Service with Minor Environmental Footprint	Advertising & market research
Large	Service with Minor Environmental Footprint	Book publishing



Large	Service with Minor Environmental Footprint	Engineering
Large	Service with Minor Environmental Footprint	Environmental consulting
Large	Service with Minor Environmental Footprint	Film, TV & music production
Large	Service with Minor Environmental Footprint	Legal activities
Large	Service with Minor Environmental Footprint	Management consultant - for-profits
Large	Service with Minor Environmental Footprint	Programming & broadcasting
Large	Service with Minor Environmental Footprint	Publishing - newspapers & magazines
Large	Service with Minor Environmental Footprint	Architecture design & planning
Large	Service with Minor Environmental Footprint	Civil engineering
Large	Service with Minor Environmental Footprint	Computer programming services
Large	Service with Minor Environmental Footprint	Contracting & building
Large	Service with Minor Environmental Footprint	Data processing & hosting
Large	Service with Minor Environmental Footprint	Design & building
Large	Service with Minor Environmental Footprint	Mobile applications
Large	Service with Minor Environmental Footprint	Other info service activities
Large	Service with Minor Environmental Footprint	Other install & construction
Large	Service with Minor Environmental Footprint	Real estate development
Large	Service with Minor Environmental Footprint	Real estate- fee/contract
Large	Service with Minor Environmental Footprint	Real estate - leased property
Large	Service with Minor Environmental Footprint	Security & investigation

Large	Service with Minor Environmental Footprint	Social networks & info sharing
Large	Service with Minor Environmental Footprint	Software publishing and SaaS platforms
Large	Service with Minor Environmental Footprint	Telecommunications
Large	Service with Minor Environmental Footprint	Web portals
Medium	Service with Minor Environmental Footprint	Advertising & market research
Medium	Service with Minor Environmental Footprint	Architecture design & planning
Medium	Service with Minor Environmental Footprint	Book publishing
Medium	Service with Minor Environmental Footprint	Civil engineering
Medium	Service with Minor Environmental Footprint	Computer programming services
Medium	Service with Minor Environmental Footprint	Contracting & building
Medium	Service with Minor Environmental Footprint	Data processing & hosting
Medium	Service with Minor Environmental Footprint	Design & building
Medium	Service with Minor Environmental Footprint	Engineering
Medium	Service with Minor Environmental Footprint	Environmental consulting
Medium	Service with Minor Environmental Footprint	Film, TV & music production
Medium	Service with Minor Environmental Footprint	Legal activities
Medium	Service with Minor Environmental Footprint	Management consultant - for-profits
Medium	Service with Minor Environmental Footprint	Mobile applications
Medium	Service with Minor Environmental Footprint	Other info service activities

Medium	Service with Minor Environmental Footprint	Other install & construction
Medium	Service with Minor Environmental Footprint	Programming & broadcasting
Medium	Service with Minor Environmental Footprint	Publishing - newspapers & magazines
Medium	Service with Minor Environmental Footprint	Real estate - leased property
Medium	Service with Minor Environmental Footprint	Real estate development
Medium	Service with Minor Environmental Footprint	Real estate- fee/contract
Medium	Service with Minor Environmental Footprint	Security & investigation
Medium	Service with Minor Environmental Footprint	Social networks & info sharing
Medium	Service with Minor Environmental Footprint	Software publishing and SaaS platforms
Medium	Service with Minor Environmental Footprint	Telecommunications
Medium	Service with Minor Environmental Footprint	Web portals
Small	Service with Minor Environmental Footprint	Advertising & market research
Small	Service with Minor Environmental Footprint	Book publishing
Small	Service with Minor Environmental Footprint	Civil engineering
Small	Service with Minor Environmental Footprint	Computer programming services
Small	Service with Minor Environmental Footprint	Contracting & building
Small	Service with Minor Environmental Footprint	Data processing & hosting
Small	Service with Minor Environmental Footprint	Design & building
Small	Service with Minor Environmental Footprint	Engineering



Small	Service with Minor Environmental Footprint	Environmental consulting
Small	Service with Minor Environmental Footprint	Film, TV & music production
Small	Service with Minor Environmental Footprint	Legal activities
Small	Service with Minor Environmental Footprint	Management consultant - for-profits
Small	Service with Minor Environmental Footprint	Mobile applications
Small	Service with Minor Environmental Footprint	Other info service activities
Small	Service with Minor Environmental Footprint	Other install & construction
Small	Service with Minor Environmental Footprint	Programming & broadcasting
Small	Service with Minor Environmental Footprint	Publishing - newspapers & magazines
Small	Service with Minor Environmental Footprint	Real estate - leased property
Small	Service with Minor Environmental Footprint	Real estate development
Small	Service with Minor Environmental Footprint	Real estate- fee/contract
Small	Service with Minor Environmental Footprint	Security & investigation
Small	Service with Minor Environmental Footprint	Social networks & info sharing
Small	Service with Minor Environmental Footprint	Software publishing and SaaS platforms
Small	Service with Minor Environmental Footprint	Telecommunications
Small	Service with Minor Environmental Footprint	Web portals
Small	Service with Minor Environmental Footprint	Architecture design & planning
Micro	Service with Minor Environmental Footprint	Advertising & market research



Micro	Service with Minor Environmental Footprint	Architecture design & planning
Micro	Service with Minor Environmental Footprint	Book publishing
Micro	Service with Minor Environmental Footprint	Civil engineering
Micro	Service with Minor Environmental Footprint	Computer programming services
Micro	Service with Minor Environmental Footprint	Contracting & building
Micro	Service with Minor Environmental Footprint	Data processing & hosting
Micro	Service with Minor Environmental Footprint	Design & building
Micro	Service with Minor Environmental Footprint	Engineering
Micro	Service with Minor Environmental Footprint	Environmental consulting
Micro	Service with Minor Environmental Footprint	Film, TV & music production
Micro	Service with Minor Environmental Footprint	Legal activities
Micro	Service with Minor Environmental Footprint	Management consultant - for-profits
Micro	Service with Minor Environmental Footprint	Mobile applications
Micro	Service with Minor Environmental Footprint	Other info service activities
Micro	Service with Minor Environmental Footprint	Other install & construction
Micro	Service with Minor Environmental Footprint	Programming & broadcasting
Micro	Service with Minor Environmental Footprint	Publishing - newspapers & magazines
Micro	Service with Minor Environmental Footprint	Real estate - leased property
Micro	Service with Minor Environmental Footprint	Real estate development
Micro	Service with Minor Environmental Footprint	Real estate- fee/contract



Micro	Service with Minor Environmental Footprint	Security & investigation
Micro	Service with Minor Environmental Footprint	Social networks & info sharing
Micro	Service with Minor Environmental Footprint	Software publishing and SaaS platforms
Micro	Service with Minor Environmental Footprint	Telecommunications
Micro	Service with Minor Environmental Footprint	Web portals
Company without workers	Service with Minor Environmental Footprint	Advertising & market research
Company without workers	Service with Minor Environmental Footprint	Architecture design & planning
Company without workers	Service with Minor Environmental Footprint	Book publishing
Company without workers	Service with Minor Environmental Footprint	Civil engineering
Company without workers	Service with Minor Environmental Footprint	Computer programming services
Company without workers	Service with Minor Environmental Footprint	Contracting & building
Company without workers	Service with Minor Environmental Footprint	Data processing & hosting
Company without workers	Service with Minor Environmental Footprint	Design & building
Company without workers	Service with Minor Environmental Footprint	Engineering
Company without workers	Service with Minor Environmental Footprint	Environmental consulting
Company without workers	Service with Minor Environmental Footprint	Film, TV & music production
Company without workers	Service with Minor Environmental Footprint	Legal activities
Company without workers	Service with Minor Environmental Footprint	Management consultant - for-profits
Company without workers	Service with Minor Environmental Footprint	Mobile applications



Company without workers	Service with Minor Environmental Footprint	Other info service activities
Company without workers	Service with Minor Environmental Footprint	Other install & construction
Company without workers	Service with Minor Environmental Footprint	Programming & broadcasting
Company without workers	Service with Minor Environmental Footprint	Publishing - newspapers & magazines
Company without workers	Service with Minor Environmental Footprint	Real estate - leased property
Company without workers	Service with Minor Environmental Footprint	Real estate development
Company without workers	Service with Minor Environmental Footprint	Real estate- fee/contract
Company without workers	Service with Minor Environmental Footprint	Security & investigation
Company without workers	Service with Minor Environmental Footprint	Social networks & info sharing
Company without workers	Service with Minor Environmental Footprint	Software publishing and SaaS platforms
Company without workers	Service with Minor Environmental Footprint	Telecommunications
Company without workers	Service with Minor Environmental Footprint	Web portals

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR3.3	From Year 0	Company without workers / Micro	The company assesses the potential negative human rights impacts related to potential organizational clients and projects, and takes necessary mitigation actions.



Compliance Criteria:

3.3.1 The company has a process in place to assess the potential negative human rights impacts of working with potential organizational clients and projects.

3.3.2 The process sets out mitigation actions.

3.3.3 The company records how it assessed the potential negative human rights impacts of its three most material potential clients or projects each year, and the outcomes of the process.

a) in the last fiscal year before Year 0

b) annually in each subsequent year.

3.3.4 For Years 3 and 5, the company:

a) records its mitigation action, if its assessments identified any potential or actual negative impacts

b) records the effectiveness of its mitigation actions.

Intent:

To ensure the company selects clients and projects with human rights impacts in mind. This also reduces the likelihood of contributing to greenwashing or other negative consequences. The intent is not to prohibit specific clients or projects.

Clarifying the Compliance Criteria:

[3.3.1] “Organizational client” means clients that are organizations, including businesses, public sector organizations and civil society organizations. It excludes individuals.

[3.3.1] If the company has multiple projects with one client, it does not need to reassess that client. The company may also assess related clients in groups — such as subsidiaries of the same corporate family, or bodies within the same government. However, it still needs to assess each project individually.

[3.3.3] The company determines its “most material” clients or projects using any of the following categories.

- Revenue from the project or client
- Number of hours involved
- Relation to one or more salient human rights issues
- Severity and likelihood of a potential negative human rights impact

[3.3.3] Severity should outweigh likelihood, so that highly severe impacts — even if they are unlikely — are still prioritized.

- Severity refers to one or more of the following.
 - Scale — how serious would the impact be? A bigger scale is more severe.
 - Scope — how many people would be impacted? A bigger scope is more severe.
 - Ease of remediation — how easy would it be to remediate the potential negative impact? A higher difficulty of remediation is more severe. For example, it is easier to remediate underpaid wages than someone contracting an incurable disease due to poor health and safety conditions at work. Note, this does not mean less severe human rights impacts should not be remedied.
- Likelihood considers how likely the impact is, and how frequently it might occur.

Applying the Criteria to Independently Certifying Subsidiaries:

- The process is embedded, at minimum, at the highest level within the company. If the company references a procedure belonging to an out-of-scope parent, it records evidence of roll-out, enforcement, and accountability mechanisms to support the procedure.

Further Guidance:

- Severity can be assessed using the following categories, as an example.
 - High: The impact and its resulting effects are expected to cause major, irreparable, and long-lasting damage to people or their rights.
 - Medium: The impact and its resulting effects are expected to cause significant and lasting damage to people or their rights.
 - Low: The impact and its resulting effects are expected to cause minor, repairable, and temporary damage to people or their rights.
- Likelihood considers how likely the impact is, and how frequently it might occur. Likelihood can be assessed using the following categories, as an example.
 - High — the impact is expected to occur continuously.
 - Medium — the impact is expected to occur regularly (i.e. from several times per year to several times per month).
 - Low — the impact is expected to occur only occasionally (i.e. only during a specific phase of a project).
- The company's process for assessing potential negative human rights impacts may include, for example:
 - conducting online research of potential clients, such as their:
 - participation in initiatives
 - scores in public benchmarks and rankings
 - certifications
 - approach to assessing and mitigating their own human rights impacts
 - having an internal committee that reviews clients and projects
 - gathering worker or peer feedback on a potential client or project
 - setting exclusion criteria — for example, not working with specific high-risk industries, countries, or clients
 - creating a risk matrix to evaluate industries or clients based on the severity of potential impacts and the client's mitigation measures.

- The company's mitigation actions may include, among others:
 - talking to the client and jointly adjusting the project to consider, prevent or mitigate potential negative human rights impacts
 - declining clients and projects with potential negative impacts, unless the company's project addresses the potential negative impacts.

Recommendations:

- Use multiple categories to determine the “most material” clients or projects, including the severity and likelihood of potential negative impacts.
- Consider the company's type of connection to the impact, also known as its “mode of involvement”. The three types, or modes, are: causing an impact, contributing to an impact, or having a linkage to an impact.
 - Causing — the company has a direct and unique connection with the affected stakeholder. In response, the company takes steps to cease or prevent the impact and remediate it.
 - Contributing — a third party sits between the company and the affected stakeholder, or the company is one of multiple companies with a direct connection to the affected stakeholder. In response, the company has a responsibility to work with others to remediate the impact.
 - Linkage — an additional layer lies between the company and the affected stakeholder. The company has no responsibility to remediate past harm, but is responsible for preventing harm in the future.

Implementation Resources:

Resources to act on potential and actual human rights impacts:

- Doing Business with Respect for Human Rights - 3.4 Integrating and acting, see Guidance Point 2: Understanding how your company is connected to human rights impacts (UN Global Compact, Shift and Oxfam) [\[EN\]](#) [\[ES\]](#)
- Guiding Principles on Business & Human Rights (Office of the High Commissioner for Human Rights) 24 [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- Frequently Asked Questions About the Guiding Principles on Business and Human Rights (Office of the High Commissioner for Human Rights) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[PT\]](#) [\[RU\]](#)
- The Corporate Responsibility to Respect Human Rights: An interpretive guide (Office of the High Commissioner for Human Rights) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)



Examples of resources on human rights risks for specific companies:

- Corporate Human Rights Benchmark (World Benchmarking Alliance) [\[EN\]](#)
- Know the Chain Benchmark [\[EN\]](#)
- Business & Human Rights Resource Centre [\[AR\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[KR\]](#) [\[PT\]](#) [\[RU\]](#) [\[Simplified ZH\]](#) [\[Traditional ZH\]](#)

Examples of resources on human rights risks in specific countries:

- Responsible Sourcing Tool (Verité and the U.S. Department of State's Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)
- Labor Rights Index (WageIndicator Foundation & Centre for Labour Research) [\[EN\]](#)
- Global Rights Index (International Trade Union Confederation) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Global Slavery Index (Walk Free Foundation) [\[EN\]](#)
- Risk Map (Fairtrade International) [\[EN\]](#)
- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)

Examples of resources on human rights risks for specific raw materials:

- Responsible Sourcing Tool (Verité and the U.S. Department of State's Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)
- Risk Map (Fairtrade International) [\[EN\]](#)
- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)
- Minerals Due Diligence (Responsible Minerals Initiative) [\[Various languages\]](#), including AR, EN, ES, IT, FR, PT, RU, Simplified ZH]

HR3.4 The company assesses the potential negative human rights impacts of investments, and takes necessary mitigation actions.

Track factors:

Size	Sector	Industry
XX Large	Service with Minor Environmental Footprint	Equity investing - Emerging Markets
XX Large	Service with Minor Environmental Footprint	Equity investing - Developed Markets
XX Large	Service with Minor Environmental Footprint	Investment advising
X Large	Service with Minor Environmental Footprint	Equity investing - Emerging Markets
X Large	Service with Minor Environmental Footprint	Equity investing - Developed Markets
X Large	Service with Minor Environmental Footprint	Investment advising
Large	Service with Minor Environmental Footprint	Equity investing - Emerging Markets
Large	Service with Minor Environmental Footprint	Equity investing - Developed Markets
Large	Service with Minor Environmental Footprint	Investment advising
Medium	Service with Minor Environmental Footprint	Equity investing - Emerging Markets
Medium	Service with Minor Environmental Footprint	Equity investing - Developed Markets
Medium	Service with Minor Environmental Footprint	Investment advising
Small	Service with Minor Environmental Footprint	Equity investing - Emerging Markets
Small	Service with Minor Environmental Footprint	Equity investing - Developed Markets
Small	Service with Minor Environmental Footprint	Investment advising
Micro	Service with Minor Environmental Footprint	Equity investing - Emerging Markets



Micro	Service with Minor Environmental Footprint	Equity investing - Developed Markets
Micro	Service with Minor Environmental Footprint	Investment advising
Company without workers	Service with Minor Environmental Footprint	Equity investing - Emerging Markets
Company without workers	Service with Minor Environmental Footprint	Equity investing - Developed Markets
Company without workers	Service with Minor Environmental Footprint	Investment advising

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR3.4	From Year 0	Company without workers / Micro	The company assesses the potential negative human rights impacts of investments, and takes necessary mitigation actions.



Compliance Criteria:

3.4.1 The company has a process in place to assess the potential negative human rights impacts of potential investments.

3.4.2 The process sets out mitigation actions.

3.4.3 The company records how it assessed the potential negative human rights impacts of its three most material potential investments each year, and the outcomes of the process

a) in the last fiscal year before Year 0

b) annually in each subsequent year.

3.4.4 For Years 3 and 5, the company:

a) records its mitigation action, if its assessments identified any potential or actual negative impacts

b) records the effectiveness of its mitigation actions.

Intent:

To ensure the company selects investment with human rights impacts in mind.

Clarifying the Compliance Criteria:

[3.4.1] If the company invests multiple times in one investment, it does not need to reassess that investment. The company may also assess related investments in groups — such as subsidiaries of the same corporate family, or bodies within the same government.

[3.4.3] The company determines its “most material” investment using any of the following categories.

- Value of the investment
- Severity and likelihood of a potential negative human rights impact

[3.4.3] Severity should outweigh likelihood, so that highly severe impacts — even if they are unlikely — are still prioritized.

- Severity refers to one or more of the following.
 - Scale — how serious would the impact be? A bigger scale is more severe.
 - Scope — how many people would be impacted? A bigger scope is more severe.
 - Ease of remediation — how easy would it be to remediate the potential negative impact? A higher difficulty of remediation is more severe. For example, it is easier to remediate underpaid wages than someone contracting an incurable disease due to poor health and safety conditions at work. Note, this does not mean less severe human rights impacts should not be remedied.
- Likelihood considers how likely the impact is, and how frequently it might occur.

Applying the Criteria to Independently Certifying Subsidiaries:

- The process is embedded, at minimum, at the highest level within the company. If the company references a procedure belonging to an out-of-scope parent, it records evidence of roll-out, enforcement, and accountability mechanisms to support the procedure.

Further Guidance:

- Severity can be assessed using the following categories, as an example.
 - High: The impact and its resulting effects are expected to cause major, irreparable, and long-lasting damage to people or their rights.

- Medium: The impact and its resulting effects are expected to cause significant and lasting damage to people or their rights.
- Low: The impact and its resulting effects are expected to cause minor, reparable, and temporary damage to people or their rights.
- Likelihood considers how likely the impact is, and how frequently it might occur. Likelihood can be assessed using the following categories, as an example.
 - High — the impact is expected to occur continuously.
 - Medium — the impact is expected to occur regularly (i.e. from several times per year to several times per month).
 - Low — the impact is expected to occur only occasionally (i.e. only during a specific phase of a project).
- The company's process for assessing potential negative human rights impacts may include, for example:
 - conducting online research of potential investments, including on the investment company or investment manager's:
 - participation in initiatives
 - scores in public benchmarks and rankings
 - certifications
 - approach to assessing and mitigating their own human rights impacts
 - having an internal committee reviews and advises on investment selection
 - gathering worker or peer feedback on a potential investment
 - setting exclusion criteria — for example, not investing in specific high-risk industries or countries
 - creating a risk matrix to evaluate investments based on the severity of potential impacts and the investment company or investment manager's mitigation measures.
- The company's mitigation actions may include, among others:
 - talking to the investment company or manager to ensure the investment considers their potential negative human rights impacts

Recommendations:

- Use multiple categories to determine the “most material” investments, including the severity and likelihood of potential negative impacts.

- Consider the company’s type of connection to the impact, also known as its “mode of involvement”. The three types, or modes, are: causing an impact, contributing to an impact, or having a linkage to an impact.
 - Causing — the company has a direct and unique connection with the affected stakeholder. In response, the company takes steps to cease or prevent the impact and remediate it.
 - Contributing — a third party sits between the company and the affected stakeholder, or the company is one of multiple companies with a direct connection to the affected stakeholder. In response, the company has a responsibility to work with others to remediate the impact.
 - Linkage — an additional layer lies between the company and the affected stakeholder. The company has no responsibility to remediate past harm, but is responsible for preventing harm in the future.

Implementation Resources:

Resources specifically for financial institutions on human rights:

- Human Rights Toolkit for Financial Institutions (United Nations Environment Programme) [\[EN\]](#)
- Dissecting Human Rights Disclosure: A tool for investors (Shift) [\[EN\]](#)
- Business Model Red Flags (Shift) [\[EN\]](#)

Resources to act on potential and actual human rights impacts:

- Taking action: investment and lending operations (United Nations Environment Programme) [\[EN\]](#)
- Doing Business with Respect for Human Rights - 3.4 Integrating and acting, see Guidance Point 2: Understanding how your company is connected to human rights impacts (UN Global Compact, Shift and Oxfam) [\[EN\]](#) [\[ES\]](#)
- Guiding Principles on Business & Human Rights (Office of the High Commissioner for Human Rights) 24 [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- Frequently Asked Questions About the Guiding Principles on Business and Human Rights (Office of the High Commissioner for Human Rights) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[PT\]](#) [\[RU\]](#)
- The Corporate Responsibility to Respect Human Rights: An interpretive guide (Office of the High Commissioner for Human Rights) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Examples of resources on human rights risks for specific companies:

- Corporate Human Rights Benchmark (World Benchmarking Alliance) [\[EN\]](#)
- Know the Chain Benchmark [\[EN\]](#)
- Business & Human Rights Resource Centre [\[AR\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[KR\]](#) [\[PT\]](#) [\[RU\]](#) [\[Simplified ZH\]](#) [\[Traditional ZH\]](#)

Examples of resources on human rights risks in specific countries:

- Responsible Sourcing Tool (Verité and the U.S. Department of State's Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)
- Labor Rights Index (WageIndicator Foundation & Centre for Labour Research) [\[EN\]](#)
- Global Rights Index (International Trade Union Confederation) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Global Slavery Index (Walk Free Foundation) [\[EN\]](#)
- Risk Map (Fairtrade International) [\[EN\]](#)
- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)

Examples of resources on human rights risks for specific raw materials:

- Responsible Sourcing Tool (Verité and the U.S. Department of State's Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)
- Risk Map (Fairtrade International) [\[EN\]](#)
- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)
- Minerals Due Diligence (Responsible Minerals Initiative) [\[Various languages\]](#), including AR, EN, ES, IT, FR, PT, RU, Simplified ZH]



Interoperability:



HR3.5 The company carries out a Human Rights Impact Assessment.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR3.5	From Year 5	X Large / XX Large	The company carries out a Human Rights Impact Assessment.



Compliance Criteria:

3.5.1 The company has carried out a Human Rights Impact Assessment in the last five years.

3.5.2 The assessment:

- a) focuses on a high-risk context
- b) is based on meaningful engagement with stakeholders, including affected stakeholders
- c) assesses actual and potential negative impacts
- d) reflects the company's type of connection
- e) is carried out by people or an organization with relevant expertise.

3.5.3 The company publicly shares a summary of the assessment results at minimum.

Intent:

To ensure the company assesses human rights impacts in the most high-risk contexts. The Human Rights Impact Assessment is intended to more closely examine a high-risk context than the assessment of salient human rights issues.

Clarifying the Compliance Criteria:

[3.5.1] A social compliance audit does not count as a Human Rights Impact Assessment.

[3.5.2 a] The assessment focuses on either:

- an existing salient issue
- a new issue that is likely to become salient.

[3.5.2 a] Focusing on a “high-risk context” means targeting the assessment at a specific issue, place, or practice — for example:

- poverty wages in Vietnam
- abuse and harassment by senior leadership
- multiple human rights impacts from a construction project displacing a community.

[3.5.2 b] “Meaningful engagement with stakeholders” involves open discussion.

[3.5.2 e] “Relevant expertise” means the people or organization have:

- experience carrying out Human Rights Impact Assessments
- expertise in the impact areas to be assessed (e.g. forced labor)
- expertise in the relevant geographical or cultural context.

Applying the Criteria to Independently Certifying Subsidiaries:

- The assessment covers the company. If the company references an out-of-scope corporate assessment, it records evidence of:
 - how the assessment considered its stakeholders and operational impacts
 - how the assessment outcome is relevant to its context.

Further Guidance:

- Meaningful engagement with stakeholders” may include, for example:
 - meetings
 - interviews
 - workshops
 - surveys (however, a survey does not meet the criteria if it is the only form of engagement across all stakeholders).
- The company’s “type of connection” to a negative impact is also known as its “mode of involvement”. The three types, or modes, are: causing an impact, contributing to an impact, or having a linkage to an impact.
 - Causing — the company has a direct and unique connection with the affected stakeholder. In response, the company takes steps to cease or prevent the impact and remediate it.
 - Contributing — a third party sits between the company and the affected stakeholder, or the company is one of multiple companies with a direct connection to the affected stakeholder. In response, the company has a responsibility to work with others to remediate the impact.
 - Linkage — an additional layer lies between the company and the affected stakeholder. The company has no responsibility to remediate past harm, but is responsible for preventing harm in the future.

Recommendations:

Implementation Resources:

Resources to design or commission a Human Rights Impact Assessment:

- Guide to Human Rights Impact Assessment and Management (UN Global Compact) [\[EN\]](#) [\[ES\]](#)
- Human Rights Impact Assessment Framework (Oxfam) [\[EN\]](#)
- Human rights impact assessment guidance and toolbox (The Danish Institute for Human Rights) [\[EN\]](#)
- Human Rights Impact Assessment (The Danish Institute for Human Rights) [\[EN\]](#)

Resources to understand the company’s “type of connection”:

- Doing Business with Respect for Human Rights - 3.4 Integrating and acting (UN Global Compact, Shift and Oxfam) [\[EN\]](#) [\[ES\]](#)
- The Corporate Responsibility to Respect Human Rights: An interpretive guide, see Q.10 What is meant by 'adverse human rights impact'? (Office of the High Commissioner for Human Rights) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) D03
- Equivalency Data Point
 - [None]



HR3.6 The company implements additional due diligence for any operations in conflict-affected situations.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR3.6	From Year 3	None	The company implements additional due diligence for any operations in conflict-affected situations.

Compliance Criteria:

3.6.1 The company identifies if it has any operations in conflict-affected situations.

3.6.2 If it does, the company:

- a) assesses its connection to the conflict-affected situation
- b) explains publicly its connection to the conflict-affected situation.

3.6.3 If the company's assessment finds that it may be negatively impacting the conflict-affected situation, it also:

- a) engages expert organizations or representatives of affected stakeholders to learn more about their connection to the conflict
- b) assesses whether stakeholders in the conflict-affected situation can raise grievances with the company
- c) identifies triggers for actions it will take if the conflict escalates
- d) assigns a contact person within the company
- e) identifies existing human rights due diligence gaps
- f) identifies how to prevent or mitigate potential negative impacts.

Intent:

For the company to apply additional due diligence focused on conflict-affected situations. In doing so, the company acknowledges that:

- it may have an impact on the conflict, and therefore a negative impact on people affected by the conflict.
- higher-risk situations require more intensive due diligence actions

Clarifying the Compliance Criteria:

[3.6.1] This sub-requirement does not apply if all entities within the scope of certification are based in a conflict-affected situation. For example, it would not apply to a corporate family whose company entities and subsidiaries were all located in a conflict-affected situation or situations. The intent is to require international companies that have a choice of where they operate to minimize harm by applying additional due diligence.

[3.6.1] The company checks if it has operations in any of the countries and territories listed under “conflict” in the most recently available World Bank Group’s List of Fragile and Conflict-affected Situations (the FCS List) [\[EN\]](#).

[3.6.1] “Operations” in this sub-requirement, refers to the company:

- having a physical presence in the conflict-affected situation (including shops, manufacturing sites, and offices)
- carrying out services with stakeholders in the conflict-affected situation (such as interviewing conflict victims)
- having investments in the conflict-affected situation, if the company is in the Equity Investors or Investment Advising industries.

[3.6.1] “Operations” in this sub-requirement does not include sourcing or procuring, or selling through third parties (e.g. retailers).

[3.6.1] A “conflict-affected situation” (also known as a “conflict-affected context”, or “conflict-affected and high-risk areas”) is a geographic area, region, or country experiencing armed conflict or widespread violence, including (from United Nations Development Program) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[UK\]](#) [\[RU\]](#):

- inter-state or civil war
- armed insurrections
- violent extremism
- other forms of organized violence.

[3.6.2 b] Explaining the company’s connection to any conflict-affected situations requires the company to share:

- the nature of its operations in the specific country or territory
- how those operations may or may not impact the conflict.

[3.6.2 b] The company is exempt from making its explanation public if doing so would put people at risk of harm.

[3.6.3 c] The company “identifies triggers for actions it will take if the conflict escalates” by agreeing in advance what it will do if the conflict worsens in certain ways. This involves identifying both escalation points in the conflict and the company’s corresponding actions, as in the following examples.

- If the conflict spreads to a specific region, the company will stop operating in that region.
- If a business partner becomes involved in the conflict, the company will end its relationship with that partner.

Applying the Criteria to Independently Certifying Subsidiaries:

- The actions take place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- The company negatively impacting a conflict-affected situation may include, for example:
 - paying protection money to an armed militia group
 - selling products that are used as weapons in conflict
 - creating a platform used to spread misinformation or hate (e.g. if the company runs a social media website).
- “Human rights due diligence gaps” may include, for example:
 - policy gaps — existing policies or procedures do not cover conflict-related risks (e.g. they fail to protect workers if the conflict escalates)
 - capability or capacity gaps — the person responsible for monitoring a conflict does not have the right skills to do so
 - monitoring and information gaps — awareness of what is happening in a conflict-affect situation is lacking, or information-gathering methods have not kept up with changes in the conflict.
- There is no universally-accepted list of conflict-affected situations. Conflict and violence are complex and dynamic, and the risks associated with them are often specific to individual companies. The FCS List is a starting point. The company may consider additional sources and perspectives for a more complete view, such as the following recommendations.

- Identify how the company may be interacting with “aggressors” — those responsible for conflict. These are not listed in the FCS List. Where armed conflict between two states (known as conventional armed conflict) is illegal, the company analyzes its relationship with the conflict-affected situation through its relationship with the aggressor state. Determining the legality of a conflict is often complex and not binary (meaning neither “legal” or “not legal”).
- Consider violence that does not result in death. The FCS List measures conflict using the conflict-related death rate. This means it is less effective at capturing widespread violence that does not result in death, but which the company should still consider, such as mass imprisonment, forced sterilization, removal of children from families, and psychological torture.
- Apply additional due diligence to “socially and institutionally fragile” countries and territories. The FCS List also identifies these countries and territories, which may be used in a similar way to its “conflict” list. Take note of situation-specific risk factors, such as limited rule of law and governance, and increased corruption.
- Consider sanction lists, such as:
 - European Union's Sanction Map [\[EN\]](#)
 - United Nations Security Council Sanctions [\[EN\]](#) [\[ES\]](#) [\[FR\]](#).
- Consider other country and territory classification lists, such as:
 - European Union’s Indicative, non-exhaustive list of Conflict-Affected and High-Risk Areas [\[EN\]](#).
- Consider reports and feedback from civil society organizations, such as:
 - ACLED - Armed Conflict Location and Event Data [\[EN\]](#)
 - Amnesty International’s A-Z of Countries and Regions [\[EN\]](#)
 - Crisis Group’s CrisisWatch - The Tracking Conflict Worldwide [\[EN\]](#)
 - Geneva Academy’s Rule of Law in Armed Conflicts [\[EN\]](#)
 - Human Rights Watch [\[EN\]](#).

Recommendations:

- Implement responsible security management practices when using private security. “Responsible security management practices” include effective training, screening, and monitoring of security personnel, to ensure they follow international humanitarian law and responsible security practices. This may include the following recommendations.
 - Include conflict sensitivity and knowledge of international humanitarian law in security-personnel training (see Implementation Resources).
 - Include other specific concerns in training that might be relevant in conflict-affected situations, such as sexual violence, rules of engagement for the use of force, and de-escalation.
 - Ensure security personnel have been screened and hold the appropriate qualifications defined by the company or sector’s context to minimize the risk of human rights violations.
 - Ensure training requirements also apply to third-party organizations providing security personnel, including public security forces and private contractors.

Implementation Resources:

Resources to identify relevant locations:

- World Bank Group’s List of Fragile and Conflict-affected Situations [\[EN\]](#)
- European Union’s Indicative, non-exhaustive list of Conflict-Affected and High-Risk Areas [\[EN\]](#)

Resources to working in a conflict-affected situation:

- Addressing Security and Human Rights Challenges in Complex Environments: A Practical Toolkit (Geneva Centre for Security Sector Governance and others) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[PT\]](#) [\[Simplified ZH\]](#)
- UN Framework of Analysis for Atrocity Crimes: A Tool for Prevention (United Nations) [\[EN\]](#) [\[FR\]](#)
- Doing Responsible Business in Armed, Conflict: Rights, Risks and Responsibilities (Australian Red Cross and RMIT University) [\[EN\]](#)
- A Guide for Local Working Groups on Business, Security and Human Rights (Geneva Centre for Security Sector Governance) [\[EN\]](#)

Other resources:

- Heightened Human Rights Due Diligence for Business in Conflict-Affected Contexts: A Guide (United Nations Development Program) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[UK\]](#) [\[RU\]](#)
- Guiding Principles on Business & Human Rights (Office of the High Commissioner for Human Rights) 7 [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)





HR4 The company works with suppliers to achieve its human rights objectives.

HR4.1 The company addresses limits on its ability to engage and monitor suppliers.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Manufacturing	All
X Large	Wholesale/Retail	All
X Large	Manufacturing	All
Large	Wholesale/Retail	All
Large	Manufacturing	All
Medium	Wholesale/Retail	All
Medium	Manufacturing	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR4.1	From Year 3	Medium / Large / X Large / XX Large	The company addresses limits on its ability to engage and monitor suppliers.

Compliance Criteria:

4.1.1 The company records information about potential negative human rights impacts related to:

- a) source countries
- b) specific raw materials.

4.1.2 The company:

- a) identifies limits on its ability to monitor suppliers in source countries
- b) has mitigation actions in place.

4.1.3 If the company uses social compliance audits or certifications to monitor suppliers, it:

- a) identifies any limits on its approach
- b) addresses any limits.

4.1.4 When selecting source countries and raw materials, the company:

- a) considers potential negative human rights impacts
- b) assesses and addresses limits on supplier monitoring.

Intent:

- For the company to consider the negative human rights impacts related to its source countries and raw materials. This helps prevent a situation where the company works with any source country or raw material by default, and treats human rights as an afterthought.
- To avoid companies basing their supplier engagement and monitoring solely on social compliance audits. Used in isolation, social compliance audits and certification can give a false sense of clarity and assurance. Through this and other sub-requirements in the B Lab Standard, companies will take an approach that goes beyond compliance. See Recommendations for more information about the shortcomings of social compliance audits.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:



- roll out, enforcement, and accountability mechanisms
- how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- “Limits” on the company’s ability to monitor its suppliers may include, for example:
 - countries with autocratic governments, and with restrictions on civil society organizations (CSOs) or free press
 - countries where conflicts are happening
 - countries where fraud and bribery are common
 - countries where there are known challenges with social compliance audits (see Recommendations).
- Mitigation actions the company may take if its monitoring is limited include, for example:
 - collaborating with peer companies, CSOs, or unions to establish other ways of monitoring suppliers
 - using worker voice technology, a phone- or app-based technology used to survey workers, as an alternative way to monitor suppliers
 - choosing a different source country or raw material
 - discontinuing a service or product.
- The company may address the limits of social compliance audits in the following ways, for example.
 - Use unannounced or “surprise” audits when suspecting serious issues, such as child labor.
 - Commission audits that go beyond the limited methodology of the social compliance audit scheme. For example:
 - increase the number of worker interviews
 - increase the number of interviews with supervisors and middle management
 - include interviews with workers outside the working facility
 - increase the total audit time
 - increase the size of the audit team

- integrate external sources of information, such as feedback from local CSOs and residents, or local news reports
- add worker interviews in additional languages, such as languages spoken by migrant workers
- add salient human rights issues that are not part of the social compliance audit standard — such as living wage
- choose audit partners based on quality and integrity criteria, and not on cost alone
- give workers a way to contact the auditor after the audit is complete.
- Include middle management and workers when drafting and reviewing corrective action plans.
- Provide enough time and create incentives for realistic corrective action plans.
- Questions to assess the standards and methodologies behind social compliance audits and certifications may include, for example:
 - Is there public criticism of the standard or methodology?
 - Does the methodology verify information in person or remotely?
 - Does the methodology involve speaking to affected stakeholders?
 - Does the audit give enough time for assessing and verifying?
 - What are the incentives for parties to cooperate? What are the disincentives? Are there any conflicts of interest?
 - Does the scope of the standard align with the company's salient human rights issues?
 - Is the audit company aware of its own gaps and weaknesses? Is the body responsible for the standards and methodology aware of its own gaps and weaknesses? To what extent do they acknowledge and discuss them?

Recommendations:

- Work with the company undertaking a social compliance audit to tailor its approach. In most cases, the audit company — usually a professional services company — can go beyond the limited methodology of the social compliance audit scheme. For example, ask the audit company to include additional worker interviews in its audit.

Implementation Resources:

Resources to learn about the shortcomings of social compliance and certifications:

- Fig Leaf for Fashion. How social auditing protects brands and fails workers (Clean Clothes Campaign) [\[EN\]](#)
- From Audit to Innovation: Advancing Human Rights in Global Supply Chains (Shift) [\[EN\]](#)
- Benefits and limitations of social audits, certifications and MSIs (The Danish Institute for Human Rights) [\[EN\]](#)
- “Obsessed with Audit Tools, Missing the Goal” (Human Rights Watch) [\[EN\]](#)
- Human rights fitness of the auditing and certification industry? (ECCHR, Brot für die Welt and MISEREOR) [\[EN\]](#)
- What Standards can achieve (SME Compass) [\[DE\]](#) [\[EN\]](#)

Resources to learn about alternative models of supplier monitoring and engagement:

- Technology-based approaches (The Danish Institute for Human Rights) [\[EN\]](#)
- Worker-driven social responsibility models (The Danish Institute for Human Rights) [\[EN\]](#)
- Worker Engagement Supported by Technology (WEST) Principles [\[EN\]](#)

Examples of resources on human rights risks in specific countries:

- Responsible Sourcing Tool (Verité and the U.S. Department of State’s Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)
- Labor Rights Index (WageIndicator Foundation & Centre for Labour Research) [\[EN\]](#)
- Global Rights Index (International Trade Union Confederation) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Global Slavery Index (Walk Free Foundation) [\[EN\]](#)
- Risk Map (Fairtrade International) [\[EN\]](#)
- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)

Examples of resources on human rights risks for specific raw materials:



- Responsible Sourcing Tool (Verité and the U.S. Department of State's Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)
- Risk Map (Fairtrade International) [\[EN\]](#)
- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)
- Minerals Due Diligence (Responsible Minerals Initiative) [\[Various languages\]](#), including AR, EN, ES, IT, FR, PT, RU, Simplified ZH]

Interoperability:

- Conceptual Alignment Data Point
 - GRI 414: Supplier Social Assessment 2016 - Topic management disclosures - Disclosure requirement 1.1
 - Workforce Disclosure Initiative 2024 (ShareAction) 12.4, 12.7
- Equivalency Data Point
 - [None]



HR4.2 The company considers actual and potential human rights impacts in its procurement decisions.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	Service with Significant Environmental Footprint	All
Medium	Service with Minor Environmental Footprint	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR4.2	From Year 0	None	The company considers actual and potential human rights impacts in its procurement decisions.



Compliance Criteria:

4.2.1 The company has considered the actual and potential human rights impacts of the three most material procurement decisions

a) in the last fiscal year or twelve months before Year 0

b) in each subsequent year.

Intent:

To ensure the company makes better procurement decisions in relation to human rights impacts.

Clarifying the Compliance Criteria:

[4.2.1] Actions the company takes to meet sub-requirements ESC5.1 and ESC5.2 — to consider actual and potential environmental impacts in procurement decisions — may count towards this sub-requirement. This means the company can use one combined process to consider both human rights and environmental impacts. However, to meet this sub-requirement, one of the five most material procurement decisions, at minimum shows how the company has considered human rights impacts.

[4.2.1] This sub-requirement applies to suppliers at all tiers.

[4.2.1] This sub-requirement covers all types of procurement, including of:

- raw materials
- finished and semi-finished goods
- services.

[4.2.1] The company determines its “most material” procurement decisions using any of the following categories.

- Spend
- Volume
- Relevance to one or more salient issues [link to HR2.1, which is not applicable to all companies]
- Severity and likelihood of a potential negative human rights impact

[4.2.1] Severity should outweigh likelihood, so that highly severe impacts — even if they are unlikely — are still prioritized.

- Severity refers to one or more of the following.
 - Scale — how serious would the impact be? A bigger scale is more severe.
 - Scope — how many people would be impacted? A bigger scope is more severe.
 - Ease of remediation — how easy would it be to remediate the potential negative impact? A higher difficulty of remediation is more severe. For example, it is easier to remediate underpaid wages than someone contracting an incurable disease due to poor health and safety conditions at work. Note, this does not mean less severe human rights impacts should not be remedied.
- Likelihood considers how likely the impact is, and how frequently it might occur.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Severity can be assessed using the following categories, as an example.
 - High: The impact and its resulting effects are expected to cause major, irreparable, and long-lasting damage to people or their rights.
 - Medium: The impact and its resulting effects are expected to cause significant and lasting damage to people or their rights.
 - Low: The impact and its resulting effects are expected to cause minor, repairable, and temporary damage to people or their rights.
- Likelihood considers how likely the impact is, and how frequently it might occur. Likelihood can be assessed using the following categories, as an example.
 - High — the impact is expected to occur continuously.
 - Medium — the impact is expected to occur regularly (i.e. from several times per year to several times per month).
 - Low — the impact is expected to occur only occasionally (i.e. only during a specific phase of a project).
- Procurement decisions applying to many companies in the service sector include, for example:
 - coffee, tea, and other beverages
 - pens, paper, and other stationary
 - computers and other equipment
 - chairs, desks, and other furniture
 - corporate gifts
 - cleaning services



- security services
- catering services.
- To consider the potential negative human rights impacts of procurement decisions, the company may, for example:
 - procure locally
 - procure second-hand
 - research risks linked to certain companies, products, source countries, and raw materials (see Implementation Resources for examples)
 - procure from companies with impactful alternative business models (e.g. social enterprises, worker cooperatives, and producer cooperatives)
 - procure from companies with sustainability certifications (e.g. Fairtrade [\[EN\]](#) and B Corp)
 - for any formal supplier relationships:
 - talk to suppliers to understand how they consider human rights
 - establish a responsible procurement policy with an emphasis on social impact
 - incentivize existing suppliers to improve their sustainability performance
 - prioritize social credentials in supplier selection (e.g. prefer suppliers that are aligned with the company's human rights strategy).

Recommendations:

- Create a sustainable procurement guideline with human rights criteria. Use the B Lab Standard as a starting point for deciding what to include (e.g. Fair Work and principles of Justice, Equity, Diversity, and Inclusion).
- Use multiple categories to determine the “most material” procurement decisions, including the severity and likelihood of potential negative impacts.

Implementation Resources:

Resources to learn about social procurement:

- Social Procurement Guide (International Labour Organization) [\[EN\]](#) [\[TR\]](#)



- The Social Procurement Manual (yunus social business) [\[EN\]](#)
- 3 Actionable Steps to Help Companies Get Started with Social Procurement (B The Change) [\[EN\]](#)
- Resource Library (SEWF) [\[EN\]](#) [For [AR](#), [FR](#), and [Traditional ZH](#) see options in the top-right of the webpage after clicking the link provided here]

Examples of resources on human rights risks for specific companies:

- Corporate Human Rights Benchmark (World Benchmarking Alliance) [\[EN\]](#)
- Know the Chain Benchmark [\[EN\]](#)
- Business & Human Rights Resource Centre [\[AR\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[KR\]](#) [\[PT\]](#) [\[RU\]](#) [\[Simplified ZH\]](#) [\[Traditional ZH\]](#)

Examples of resources on human rights risks in specific countries:

- Responsible Sourcing Tool (Verité and the U.S. Department of State's Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)
- Labor Rights Index (WageIndicator Foundation & Centre for Labour Research) [\[EN\]](#)
- Global Rights Index (International Trade Union Confederation) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Global Slavery Index (Walk Free Foundation) [\[EN\]](#)
- Risk Map (Fairtrade International) [\[EN\]](#)
- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)

Examples of resources on human rights risks for specific raw materials:

- Responsible Sourcing Tool (Verité and the U.S. Department of State's Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)
- Risk Map (Fairtrade International) [\[EN\]](#)
- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)



- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)
- Minerals Due Diligence (Responsible Minerals Initiative) [\[Various languages\]](#), including AR, EN, ES, IT, FR, PT, RU, Simplified ZH]

Other resources:

- Implementing Human Rights and Environmental Due Diligence: A Guide for Small- and Medium-sized “First-buyers (Fairtrade International) [\[EN\]](#)
- Guiding Principles on Business & Human Rights (Office of the High Commissioner for Human Rights) 24 [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 204: Procurement Practices 2016 - 1. Topic management disclosures 1.1
 - GRI 401: Employment 2016 - Management approach disclosures - Reporting recommendation 1.2.2-1.2.7
 - GRI 408: Child Labor 2016 - 1. Topic management disclosures 1.1
 - GRI 409: Forced or Compulsory Labor 2016 - 1. Topic management disclosures 1.1
 - GRI 411: Rights of Indigenous Peoples 2016 - 1. Topic management disclosures 1.1
 - GRI 413: Local Communities 2016 - 1. Topic management disclosures 1.1
 - GRI 414: Supplier Social Assessment 2016 - 1. Topic management disclosures 1.1
 - Communication on Progress Questionnaire 2023 (UN Global Compact) G7.1
 - Workforce Disclosure Initiative 2024 (ShareAction) 12.2, 12.2a
- Equivalency Data Point
 - [None]



HR4.3 The company considers actual and potential human rights impacts in its procurement decisions.

Track factors:

Size	Sector	Industry
XX Large	Service with Minor Environmental Footprint	All
X Large	Service with Minor Environmental Footprint	All
Large	Service with Minor Environmental Footprint	All
Medium	Wholesale/Retail	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR4.3	From Year 0	Medium / Large / X Large / XX Large	The company considers actual and potential human rights impacts in its procurement decisions.



Compliance Criteria:

4.3.1 The company has considered the actual and potential human rights impacts of the five most material procurement decisions

a) in the last fiscal year before Year 0

b) in each subsequent year.

Intent:

To ensure the company makes better procurement decisions in relation to human rights impacts.

Clarifying the Compliance Criteria:

[4.3.1] Actions the company takes to meet sub-requirements ESC5.1 and ESC5.2 — to consider actual and potential environmental impacts in procurement decisions — may count towards this sub-requirement. This means the company can use one combined process to consider both human rights and environmental impacts. However, to meet this sub-requirement, one of the five most material procurement decisions, at minimum shows how the company has considered human rights impacts.

[4.3.1] This sub-requirement applies to suppliers at all tiers.

[4.3.1] This sub-requirement covers all types of procurement, including of:

- raw materials
- finished and semi-finished goods
- services.

[4.3.1] The company determines its “most material” procurement decisions using any of the following categories.

- Spend
- Volume
- Relevance to one or more salient issues [link to HR2.1, which is not applicable to all companies]
- Severity and likelihood of a potential negative human rights impact

[4.3.1] Severity should outweigh likelihood, so that highly severe impacts — even if they are unlikely — are still prioritized.

- Severity refers to one or more of the following.
 - Scale — how serious would the impact be? A bigger scale is more severe.
 - Scope — how many people would be impacted? A bigger scope is more severe.
 - Ease of remediation — how easy would it be to remediate the potential negative impact? A higher difficulty of remediation is more severe. For example, it is easier to remediate underpaid wages than someone contracting an incurable disease due to poor health and safety conditions at work. Note, this does not mean less severe human rights impacts should not be remedied.
- Likelihood considers how likely the impact is, and how frequently it might occur.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Severity can be assessed using the following categories, as an example.
 - High: The impact and its resulting effects are expected to cause major, irreparable, and long-lasting damage to people or their rights.
 - Medium: The impact and its resulting effects are expected to cause significant and lasting damage to people or their rights.
 - Low: The impact and its resulting effects are expected to cause minor, repairable, and temporary damage to people or their rights.
- Likelihood considers how likely the impact is, and how frequently it might occur. Likelihood can be assessed using the following categories, as an example.
 - High — the impact is expected to occur continuously.
 - Medium — the impact is expected to occur regularly (i.e. from several times per year to several times per month).
 - Low — the impact is expected to occur only occasionally (i.e. only during a specific phase of a project).
- Procurement decisions applying to many companies in the service sector include, for example:
 - coffee, tea, and other beverages
 - pens, paper, and other stationary
 - computers and other equipment
 - chairs, desks, and other furniture
 - corporate gifts
 - cleaning services



- security services
- catering services.
- To consider the potential negative human rights impacts of procurement decisions, the company may, for example:
 - procure locally
 - procure second-hand
 - research risks linked to certain companies, products, source countries, and raw materials (see Implementation Resources for examples)
 - procure from companies with impactful alternative business models (e.g. social enterprises, worker cooperatives, and producer cooperatives)
 - procure from companies with sustainability certifications (e.g. Fairtrade [\[EN\]](#) and B Corp)
 - for any formal supplier relationships:
 - talk to suppliers to understand how they consider human rights
 - establish a responsible procurement policy with an emphasis on social impact
 - incentivize existing suppliers to improve their sustainability performance
 - prioritize social credentials in supplier selection (e.g. prefer suppliers that are aligned with the company's human rights strategy).

Recommendations:

- Create a sustainable procurement guideline with human rights criteria. Use the B Lab Standard as a starting point for deciding what to include (e.g. Fair Work and principles of Justice, Equity, Diversity, and Inclusion).
- Use multiple categories to determine the “most material” procurement decisions, including the severity and likelihood of potential negative impacts.

Implementation Resources:

Resources to learn about social procurement:



- Social Procurement Guide (International Labour Organization) [\[EN\]](#) [\[TR\]](#)
- The Social Procurement Manual (yunus social business) [\[EN\]](#)
- 3 Actionable Steps to Help Companies Get Started with Social Procurement (B The Change) [\[EN\]](#)

Resources to learn about responsible procurement:

- Recommendations on Responsible Purchasing Practices (RPPs) (GIZ, inclsvs, Fair & Sustainable Consulting) [\[EN\]](#)
- The Common Framework for Responsible Purchasing Practices (Fair Wear) [\[EN\]](#)
- Implementing Human Rights and Environmental Due Diligence: A Guide for Small- and Medium-sized “First-buyers (Fairtrade International) [\[EN\]](#)

Examples of resources on human rights risks for specific companies:

- Corporate Human Rights Benchmark (World Benchmarking Alliance) [\[EN\]](#)
- Know the Chain Benchmark [\[EN\]](#)
- Business & Human Rights Resource Centre [\[AR\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[KR\]](#) [\[PT\]](#) [\[RU\]](#) [\[Simplified ZH\]](#) [\[Traditional ZH\]](#)

Examples of resources on human rights risks in specific countries:

- Responsible Sourcing Tool (Verité and the U.S. Department of State’s Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)
- Labor Rights Index (WageIndicator Foundation & Centre for Labour Research) [\[EN\]](#)
- Global Rights Index (International Trade Union Confederation) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Global Slavery Index (Walk Free Foundation) [\[EN\]](#)
- Risk Map (Fairtrade International) [\[EN\]](#)
- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)

Examples of resources on human rights risks for specific raw materials:

- Responsible Sourcing Tool (Verité and the U.S. Department of State's Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)
- Risk Map (Fairtrade International) [\[EN\]](#)
- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)
- Minerals Due Diligence (Responsible Minerals Initiative) [\[Various languages\]](#), including AR, EN, ES, IT, FR, PT, RU, Simplified ZH]

Interoperability:

- Conceptual Alignment Data Point
 - GRI 204: Procurement Practices 2016 - 1. Topic management disclosures 1.1
 - GRI 401: Employment 2016 - Management approach disclosures - Reporting recommendation 1.2.2-1.2.7
 - GRI 408: Child Labor 2016 - 1. Topic management disclosures 1.1
 - GRI 409: Forced or Compulsory Labor 2016 - 1. Topic management disclosures 1.1
 - GRI 411: Rights of Indigenous Peoples 2016 - 1. Topic management disclosures 1.1
 - GRI 413: Local Communities 2016 - 1. Topic management disclosures 1.1
 - GRI 414: Supplier Social Assessment 2016 - 1. Topic management disclosures 1.1
 - Communication on Progress Questionnaire 2023 (UN Global Compact) G7.1
 - Workforce Disclosure Initiative 2024 (ShareAction) 12.2, 12.2a
- Equivalency Data Point
 - [None]





HR4.4 The company works with suppliers to prevent or mitigate the most salient human rights issues.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None



ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR4.4	From Year 0	Large / X Large / XX Large	The company works with suppliers to prevent or mitigate the most salient human rights issues.



Compliance Criteria:

4.4.1 The company:

- a) identifies prioritized suppliers related to its salient human rights issues (HR2.1)
- b) records the criteria it used to prioritize suppliers.

4.4.2 The company works with its prioritized suppliers to prevent or mitigate their most material human rights impacts by

- a) agreeing on targets with each prioritized supplier
- b) monitoring progress at least annually

4.4.3 For Years 3 and 5, the company records specific prevention and mitigation actions and their outcomes.

Intent:

To ensure the company's awareness of potential negative impacts in the supply chain leads to prevention and mitigation actions. Prevention and mitigation is proactive, meaning it addresses a potential impact before it becomes an actual impact.

Clarifying the Compliance Criteria:

[4.4.1] This sub-requirement applies to suppliers at all tiers.

[4.4.2] If the supplier is unwilling or unable to take meaningful prevention or mitigation action, the company considers:

- engaging in advocacy or other collective action to address systemic issues and enable the prevention or mitigation action [link to GACA2]
- choosing to responsibly exit its relationship with the supplier as a last resort.

[4.4.2] The following actions on their own do not meet this sub-requirement.

- Social compliance audits
- Sharing a human rights or labor code of conduct

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- In HR3.2, the company takes action to prevent or mitigate actual and potential negative human rights impacts in all contexts. This sub-requirement focuses on the company working with suppliers to address actual and potential impacts in the supply chain.
- Actions by the supplier to mitigate its actual and potential negative impacts may include, for example:
 - conducting a social assessment
 - obtaining a social certification
 - demonstrating that its human rights approach aligns with the company's human rights strategy
 - setting joint priorities and actions with the company with targets to mitigate negative human rights impacts, and measuring progress.

- To mitigate the supplier's negative human rights impacts, the company may, for example:
 - mentor or upskill suppliers
 - change its orders using supplier feedback to help meet human rights expectations (e.g. avoid last minute changes to orders, which can cause excessive working hours)
 - balance contractual terms to cover both buyer and supplier commitments [see HR4.5 and HR4.6]. Actions taken under HR4.5 and HR4.6 do not count towards this sub-requirement.
 - support suppliers through joint projects (e.g. training the supplier's workers or management, connecting suppliers to industry guides and tools, or providing expert implementation support)
 - fund or co-fund costs typically assigned to suppliers, such as getting social assessments and implementing workplace improvements.
- Criteria for prioritizing suppliers may include, for example:
 - supplier risk level
 - impact severity and likelihood
 - geographic location.

Recommendations:

- Consider the company's "type of connection" to the impact, also known as its "mode of involvement". The three types, or modes, are: causing an impact, contributing to an impact, or having a linkage to an impact.
 - Causing — the company has a direct and unique connection with the affected stakeholder. In response, the company takes steps to cease or prevent the impact and remediate it.
 - Contributing — a third party sits between the company and the affected stakeholder, or the company is one of multiple companies with a direct connection to the affected stakeholder. In response, the company has a responsibility to work with others to remediate the impact.
 - Linkage — an additional layer lies between the company and the affected stakeholder. The company has no responsibility to remediate past harm, but is responsible for preventing harm in the future.

Implementation Resources:

Resources to learn about responsible procurement:

- Recommendations on Responsible Purchasing Practices (RPPs) (GIZ, inclsvs, Fair & Sustainable Consulting) [\[EN\]](#)
- The Common Framework for Responsible Purchasing Practices (Fair Wear) [\[EN\]](#)
- Better Buying Institute [\[EN\]](#)
- Sustainable Procurement Pledge [\[EN\]](#)

Resources to understand the company's "type of connection":

- Doing Business with Respect for Human Rights - 3.4 Integrating and acting (UN Global Compact, Shift and Oxfam) [\[EN\]](#) [\[ES\]](#)
- The Corporate Responsibility to Respect Human Rights: An interpretive guide, see Q.10 What is meant by 'adverse human rights impact'? (Office of the High Commissioner for Human Rights) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- SME Compass, see 3.3 Determine the connection to risks (Agency for Business & Economic Development) [\[DE\]](#) [\[EN\]](#)

Resources to manage human rights issues in the supply chain:

- Supply Chain Sustainability: A Practical Guide for Continuous Improvement, Second Edition (UN Global Compact) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[JP\]](#) [\[TR\]](#) [\[PT\]](#) [\[ZH Mandarin\]](#)

Other resources:

- Guiding Principles on Business & Human Rights (Office of the High Commissioner for Human Rights) 13 [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 401: Employment 2016 - Management approach disclosures - Reporting recommendation 1.2.2-1.2.7
 - GRI 408: Child Labor 2016 - 1. Topic management disclosures 1.1
 - GRI 409: Forced or Compulsory Labor 2016 - 1. Topic management disclosures 1.1
 - GRI 411: Rights of Indigenous Peoples 2016 - 1. Topic management disclosures 1.1



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- GRI 413: Local Communities 2016 - 1. Topic management disclosures 1.1
 - GRI 414: Supplier Social Assessment 2016 - 1. Topic management disclosures 1.1
 - Workforce Disclosure Initiative 2024 (ShareAction) 13.1
 - Equivalency Data Point
 - [None]



HR4.5 The company increases its commitments across its sourcing documents.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR4.5	From Year 5	Large / X Large / XX Large	The company increases its commitments across its sourcing documents.

Compliance Criteria:

4.5.1 The company gets feedback from suppliers on the commitments and responsibilities in its sourcing documents.

4.5.2 The company adds buyer commitments and responsibilities to sourcing documents to achieve, at minimum, balance between buyer and supplier expectations.

4.5.3 The commitments and responsibilities relate to human rights.

4.5.4 The company updates its sourcing documents to include, at minimum:

- a) a joint commitment to human rights due diligence
- b) a joint commitment to prioritize remediation for victims of human rights violations
- c) a commitment from the buyer to the principle of responsible exit.

4.5.5 The company records changes to the sourcing documents.

Intent:

To rebalance expectations in buyer-supplier relations. Sourcing documents, such as supplier codes of conduct, often aim to manage the buyer's risks. This ignores the complexity of managing human rights risks in supply chains, and creates an imbalance of risk and responsibility between buyers and suppliers. This imbalance leads, for example, to:

- suppliers making unrealistic promises to fully comply with human rights standards, where even small deviations will constitute a breach
- a focus on supplier responsibilities that overlooks buyer responsibilities — especially buyers' purchasing practices
- contracts that prioritize the buyer and supplier if something goes wrong over negatively affected stakeholders, such as workers.



Clarifying the Compliance Criteria:

[4.5.1; 4.5.2, 4.5.3; 4.5.5] “Sourcing documents” are any documents shared publicly or with suppliers that describe the company’s expectations of suppliers.

[4.5.1; 4.5.2] This sub-requirement focuses on the company’s relationship with its external suppliers. The company is the “buyer”.

[4.5.1; 4.5.2, 4.5.3; 4.5.5] “Sourcing documents” are any documents shared publicly or with suppliers that describe the company’s expectations of suppliers.

[4.5.1; 4.5.2] This sub-requirement focuses on the company’s relationship with its external suppliers. The company is the “buyer”.

[4.5.2] Comparing buyer and supplier commitments may be done within each sourcing document or across them. For example, the company may have a Supplier Code of Conduct with supplier commitments and a Buyer Code of Conduct with buyer commitments.

[4.5.1; 4.5.2, 4.5.3; 4.5.5] “Sourcing documents” are any documents shared publicly or with suppliers that describe the company’s expectations of suppliers.

[4.5.4 a; 4.5.4 b] A “joint commitment” means the buyer and supplier both agree to the commitment.

[4.5.4 a; 4.5.4 b] A “joint commitment” means the buyer and supplier both agree to the commitment.

[4.5.1; 4.5.2, 4.5.3; 4.5.5] “Sourcing documents” are any documents shared publicly or with suppliers that describe the company’s expectations of suppliers.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:



- Relevant “sourcing documents” may include, for example:
 - a sourcing or procurement policy
 - a supplier code of conduct
 - supplier contracts
 - purchase orders.
- Relevant “commitments and responsibilities” to look at may include, for example, those related to:
 - payment and delivery terms
 - pricing
 - order cancellation and amendment terms
 - production forecasting and timelines
 - training and audit costs
 - prioritization for remediating negative human rights impacts
 - transparency with one another and the public.
- “Adding buyer commitments and responsibilities to sourcing documents” may include, for example:
 - ensuring the number of buyer commitments and responsibilities is similar to or exceeds the number of supplier commitments and responsibilities
 - making joint commitments instead of supplier-only commitments where appropriate
 - setting deadlines that apply equally, or that favor the supplier (e.g. for canceling or changing orders)
 - setting the same financial penalties for contract breaches, or penalties that are higher for the buyer
 - sharing risks evenly, or placing less risk on the supplier (e.g. risks of impacts from extreme weather or public health events)
 - sharing costs of actions that benefit both sides evenly, or the buyer paying a greater share (e.g. actions to assess working conditions).

Recommendations:

Implementation Resources:

Resources to assess and update sourcing documents:

- The Buyer Code (Responsible Contracting Project) [\[EN\]](#)
- Responsible Contracting in Sustainable Procurement (UN Global Compact) [\[EN\]](#)
- Buyer-Supplier Mutual Code of Conduct (Social Accountability International) [\[EN\]](#)
- Brand Guidance for Responsible Sourcing Dialogue (Fair Wear) [\[EN\]](#)
- Buyer Guidance for Responsible Contracting (Fair Wear) [\[EN\]](#)
- Tools for Responsible Sourcing Dialogue (Fair Wear) [\[EN\]](#)
- The Common Framework for Responsible Purchasing Practices [\[EN\]](#)

Resources to draft new legal text:

- Model Contract Clauses 2.0 (Responsible Contracting Project) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) C07, C08
- Equivalency Data Point
 - [None]

HR4.6 The company has a time-bound plan to trace the origin and potential human rights impacts of its high-risk raw materials.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR4.6	From Year 3	X Large / XX Large	The company has a time-bound plan to trace the origin and potential human rights impacts of its high-risk raw materials.



Compliance Criteria:

4.6.1 The company identifies its high-risk raw materials.

4.6.2 The company either:

- a) knows the origin country and potential human rights impacts of its high-risk raw materials
- b) has a time-bound plan to trace and fully map its supply chain across all supplier tiers and for all high-risk raw materials.

4.6.3 The company documents the proportion of high-risk raw materials that it can trace to their origin.

Intent:

For the company to map its supply chain and mitigate the actual and potential negative impacts of its high-risk raw materials.

Clarifying the Compliance Criteria:

[4.6.1] A “high-risk raw material” is any raw material that is known or suspected to involve severe negative human rights impacts.

[4.6.1] The company identifies which of its raw materials are “high-risk”.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- There is no universal list of “high-risk” raw materials. Raw materials to consider in combination with the company’s sourcing volume include, among others:
 - textiles, including cotton, rayon, leather and silk
 - agri- and aquacultural raw materials, including:
 - coffee, cocoa, and tea
 - fruit, honey, and nuts
 - oils, spices, and sugar
 - cereals, vegetables, and rice
 - fish, seafood, and cattle
 - flowers, plants and bamboo
 - metals and minerals, including beryllium, brass, calcium carbide, charcoal, coal, cobalt, coltan, copper, crushed stone, gold, diamonds, granite, gravel, jewels, lithium, polysilicon, tin, tungsten, salt, silver, steel, and zinc



- semi-finished products, including bricks and rubber.

Recommendations:

- Focus on origin countries to start with. Then, over time, move toward tracing raw materials with higher levels of detail (i.e. by region, supply shed, mill, cooperative, or farm).

Implementation Resources:

Examples of resources on human rights risks in specific countries:

- Responsible Sourcing Tool (Verité and the U.S. Department of State's Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)
- Labor Rights Index (WageIndicator Foundation & Centre for Labour Research) [\[EN\]](#)
- Global Rights Index (International Trade Union Confederation) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Global Slavery Index (Walk Free Foundation) [\[EN\]](#)
- Risk Map (Fairtrade International) [\[EN\]](#)
- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)

Examples of resources on human rights risks for specific raw materials:

- Responsible Sourcing Tool (Verité and the U.S. Department of State's Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)
- Risk Map (Fairtrade International) [\[EN\]](#)
- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)

- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)
- Minerals Due Diligence (Responsible Minerals Initiative) [\[Various languages\]](#), including AR, EN, ES, IT, FR, PT, RU, Simplified ZH]

Example of resources on supply chain traceability:

- The Traceability Playbook for Fashion Supply Chains (trustrace) [\[EN\]](#)
- A Step-by-Step Guide for Successful Implementation of Traceability Systems in Agricultural Supply Chains: Entry-Level Introduction to Traceability Systems (GIZ) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 408: Child Labor 2016 - 1. Topic management disclosures 1.1
 - GRI 409: Forced or Compulsory Labor 2016 - 1. Topic management disclosures 1.1
 - GRI 411: Rights of Indigenous Peoples 2016 - 1. Topic management disclosures 1.1
 - GRI 204: Procurement Practices 2016 - 1. Topic management disclosures 1.1
 - European Sustainability Reporting Standards G1 2023 - Disclosure Requirement G1-2 – Management of relationships with suppliers 15.
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) C10
 - Workforce Disclosure Initiative 2024 (ShareAction) 11.2, 11.3b, 11.9
- Equivalency Data Point
 - [None]



HR4.7 The company traces more high-risk raw materials to their origin.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR4.7	From Year 5	X Large / XX Large	The company traces more high-risk raw materials to their origin.



Compliance Criteria:

4.7.1 The company increases the proportion of high-risk raw materials that it ckritische Rohstoffan trace to their origin according to their plan (HR4.6).

Intent:

To ensure the company makes progress toward mapping the high-risk raw materials in its supply chain.

Clarifying the Compliance Criteria:

[4.7.1] A “high-risk raw material” is any raw material that is known or suspected to involve severe negative human rights impacts.

[4.7.1] The company identifies which of its raw materials are “high-risk”.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

Recommendations:

Implementation Resources:

Examples of resources on human rights risks in specific countries:

- Responsible Sourcing Tool (Verité and the U.S. Department of State’s Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)
- Labor Rights Index (WageIndicator Foundation & Centre for Labour Research) [\[EN\]](#)
- Global Rights Index (International Trade Union Confederation) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Global Slavery Index (Walk Free Foundation) [\[EN\]](#)
- Risk Map (Fairtrade International) [\[EN\]](#)

- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)

Examples of resources on human rights risks for specific raw materials:

- Responsible Sourcing Tool (Verité and the U.S. Department of State's Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)
- Risk Map (Fairtrade International) [\[EN\]](#)
- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)
- Minerals Due Diligence (Responsible Minerals Initiative) [\[Various languages\]](#), including AR, EN, ES, IT, FR, PT, RU, Simplified ZH]

Example of resources on supply chain traceability:

- The Traceability Playbook for Fashion Supply Chains (trustrace) [\[EN\]](#)
- A Step-by-Step Guide for Successful Implementation of Traceability Systems in Agricultural Supply Chains: Entry-Level Introduction to Traceability Systems (GIZ) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 408: Child Labor 2016 - 1. Topic management disclosures 1.1
 - GRI 409: Forced or Compulsory Labor 2016 - 1. Topic management disclosures 1.1
 - GRI 411: Rights of Indigenous Peoples 2016 - 1. Topic management disclosures 1.1
 - GRI 204: Procurement Practices 2016 - 1. Topic management disclosures 1.1



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- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement G1-2 – Management of relationships with suppliers 15.
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) C10
 - Workforce Disclosure Initiative 2024 (ShareAction) 11.2, 11.3b, 11.9
 - Equivalency Data Point
 - [None]



HR4.8 The company works with suppliers to address human rights impacts related to high-risk raw materials.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR4.8	From Year 5	X Large / XX Large	The company works with suppliers to address human rights impacts related to high-risk raw materials.

Compliance Criteria:

4.8.1 The company works with its prioritized suppliers to prevent and mitigate human rights impacts related to high-risk raw materials, in line with its plan (HR4.6) and its actions (HR4.7).

4.8.2 The company works with its prioritized suppliers to remediate any human rights impacts related to high-risk raw materials.

4.8.3 The engagement process includes:

- a) an action plan and targets
- b) monitoring progress at least annually
- c) recording specific prevention and mitigation actions and their outcomes.

Intent:

To ensure the company addresses the actual and potential negative impacts of its high-risk raw materials.

Clarifying the Compliance Criteria:

[4.8.1] A “high-risk raw material” is any raw material that is known or suspected to involve severe negative human rights impacts.

[4.8.2] If the supplier is unwilling or unable to take meaningful prevention or mitigation action, the company considers:

- engaging in advocacy or other collective action to address systemic issues and enable the prevention or mitigation action [link to GACA2]
- choosing to responsibly exit its relationship with the supplier as a last resort.

[4.8.2] The following actions on their own do not meet this sub-requirement.

- Social compliance audits
- Sharing a human rights or labor code of conduct

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Prevent, mitigate and remediate exist in a hierarchy. Preventing a negative impact is always preferred. If an impact cannot be prevented, then the company tries to mitigate it. If the impact actually occurs, then the company remediates it.
- Actions by the supplier to mitigate its actual and potential negative impacts may include, for example:
 - conducting a social assessment
 - obtaining a social certification
 - demonstrating that its human rights approach aligns with the company’s human rights strategy
 - setting joint priorities and actions with the company with targets to mitigate negative human rights impacts, and measuring progress.

- To mitigate the supplier's negative human rights impacts, the company may, for example:
 - mentor or upskill suppliers
 - change its orders using supplier feedback to help meet human rights expectations (e.g. avoid last minute changes to orders, which can cause excessive working hours)
 - balance contractual terms to cover both buyer and supplier commitments [see HR4.5 and HR4.6]. Actions taken under HR4.5 and HR4.6 do not count towards this sub-requirement.
 - support suppliers through joint projects (e.g. training the supplier's workers or management, connecting suppliers to industry guides and tools, or providing expert implementation support)
 - fund or co-fund costs typically assigned to suppliers, such as getting social assessments and implementing workplace improvements.

Recommendations:

Implementation Resources:

Examples of resources on human rights risks in specific countries:

- Responsible Sourcing Tool (Verité and the U.S. Department of State's Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)
- Labor Rights Index (WageIndicator Foundation & Centre for Labour Research) [\[EN\]](#)
- Global Rights Index (International Trade Union Confederation) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Global Slavery Index (Walk Free Foundation) [\[EN\]](#)
- Risk Map (Fairtrade International) [\[EN\]](#)
- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)

Examples of resources on human rights risks for specific raw materials:

- Responsible Sourcing Tool (Verité and the U.S. Department of State's Office to Monitor and Combat Trafficking in Persons) [\[EN\]](#)
- CSR Risk Check (MVO Netherlands) [\[DE\]](#) [\[EN\]](#)
- Risk Map (Fairtrade International) [\[EN\]](#)
- Social Risk Map (Rainforest International) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- List of Goods Produced by Child Labor or Forced Labor (US Department of Labor) [\[EN\]](#)
- Withhold Release Orders and Finding List (US Customs and Border Protection) [\[EN\]](#)
- Minerals Due Diligence (Responsible Minerals Initiative) [\[Various languages\]](#), including AR, EN, ES, IT, FR, PT, RU, Simplified ZH]

Example of resources on supply chain traceability:

- The Traceability Playbook for Fashion Supply Chains (trustrace) [\[EN\]](#)
- A Step-by-Step Guide for Successful Implementation of Traceability Systems in Agricultural Supply Chains: Entry-Level Introduction to Traceability Systems (GIZ) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 408: Child Labor 2016 - 1. Topic management disclosures 1.1
 - GRI 409: Forced or Compulsory Labor 2016 - 1. Topic management disclosures 1.1
 - GRI 411: Rights of Indigenous Peoples 2016 - 1. Topic management disclosures 1.1
 - GRI 204: Procurement Practices 2016 - 1. Topic management disclosures 1.1
 - European Sustainability Reporting Standards G1 2023 - Disclosure Requirement G1-2 – Management of relationships with suppliers 15.
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) C10
 - Workforce Disclosure Initiative 2024 (ShareAction) 11.2, 11.3b, 11.9



- Equivalency Data Point
 - [None]



HR4.9 The company looks for living wage gaps in its service contracts.

Track factors:

Size	Sector	Industry
XX Large	Service with Minor Environmental Footprint	All
X Large	Service with Minor Environmental Footprint	All
Large	Service with Minor Environmental Footprint	All
Medium	Service with Minor Environmental Footprint	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR4.9	From Year 0	Medium / Large / X Large / XX Large	The company looks for living wage gaps in its service contracts.



Compliance Criteria:

4.9.1 The company assesses its service contracts to see if service suppliers pay a living wage or collectively-bargained wage.

4.9.2 The company records any living wage gaps.

4.9.3 The company assesses contracts for services where no formal qualification is required.

Intent:

To ensure the company is aware of living wage gaps in its service contracts

Clarifying the Compliance Criteria:

[4.9.1] A “service contract” is any contract for a service provided to the company. Outsourced production is not a service.

[4.9.1] The company does not assess living wage gaps where there is:

- no free living wage estimate data
- a collective bargaining agreement.

[4.9.1] The company uses one or more of the three approaches below to assess if service suppliers pay a living wage or collectively-bargained wage. The best feasible approach will depend on the availability of living wage estimates and willingness of service providers to share information.

- Research whether the service workers might fall under a collective bargaining agreement.
- Compare the minimum wage to the living wage in the location where these jobs are contracted. A potential living wage gap exists where the minimum wage is below the living wage, and the service provider is likely to pay the minimum wage.
- Compare the rate the company pays to the service provider with the living wage in the provider’s country or region. If the rate for the service is below the living wage, the company can assume the service provider cannot pay a living wage. Use hourly rates to keep things simple and comparable.
- Ask the service provider what rate it pays workers, and compare it to the living wage in its location.

[4.9.1] Living wages are localized, meaning they differ by location. As a result, the company may need to evaluate one service in multiple locations.

[4.9.1] This sub-requirement does not restrict which living wage estimates can be used (unlike FW2.8).

[4.9.2] A “living wage gap” means that a worker is paid below a living wage. The gap is often expressed as a percentage, such as 10% below the living wage.

[4.9.3] Common services that often require a formal qualification are excluded.

Applying the Criteria to Independently Certifying Subsidiaries:

- The assessment covers the company. If the company references an out-of-scope corporate assessment, it records evidence of:
 - how the assessment considered its stakeholders and operational impacts



- how the assessment outcome is relevant to its context.

Further Guidance:

- Services where often no formal qualification is required and are therefore likely included:
 - cleaning
 - security
 - building maintenance
 - gardening
- Services where often a formal qualification is required and are therefore likely excluded:
 - legal services
 - specialist repair services
 - professional or management consultancy
 - human resources services
 - services related to computers or technology

Recommendations:

- Assess all service contracts.
- Use living wage estimates approved by B Lab (see List below)

Living wage estimates approved by B Lab

- Locations not listed below
 - Primary: [Global Living Wage Coalition](#)
 - Secondary

- [WageIndicator](#) - Use “typical family” and “lower bound”.
- Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Aotearoa New Zealand
 - Primary: [Living Wage Movement Aotearoa New Zealand](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Africa — various locations
 - Primary
 - [Global Living Wage Coalition](#)
 - [NewForesight](#) - Use the “gross living wage” figure based on a “typical family” and assuming multiple wage earners.
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Alberta
 - Primary: [Alberta Living Wage Network](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).

- Canada — British Columbia
 - Primary: [Living Wage for Families BC](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Ontario
 - Primary: [Ontario Living Wage Network](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Manitoba
 - Primary: [Canadian Centre for Policy Alternatives](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Newfoundland and Labrador
 - Primary: [Canadian Centre for Policy Alternatives](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.

- Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Nova Scotia
 - Primary: [Canadian Centre for Policy Alternatives](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — New Brunswick
 - Primary: [Human Development Council](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Quebec
 - Primary: [Institut de recherche et d'informations socio-économiques \(IRIS\)](#) - Use “ménage composé de deux adultes et de deux enfants”
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Hong Kong
 - Primary: [Oxfam Hong Kong](#)
 - Secondary

- [WageIndicator](#) - Use “typical family” and “lower bound”.
- Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Ireland
 - Primary: [Living Wage Ireland](#) - Use two, three or four children, and two adults.
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Latin America — various locations
 - Primary
 - [Global Living Wage Coalition](#)
 - [NewForesight](#) - Use the “gross living wage” figure based on a “typical family” and assuming multiple wage earners.
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Spain — Barcelona Metropolitan Area
 - Primary: [Àrea Metropolitana de Barcelona \(AMB\)](#) - Use “Parella amb 2 o més fills/es”
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).



- Singapore
 - Primary: [MIS Singapore](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- South Korea — Gyeonggi
 - Primary: [Gyeonggi Provincial Government](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- South Korea — Seoul
 - Primary: [Seoul Metropolitan Council](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- United Kingdom
 - Primary: [Living Wage Foundation](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.



- Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- United States
 - Primary
 - [Living Wage for US](#) - Use “Monthly Living Wage (lowest cost County in commuting zone for tier II certification)”
 - [MIT Living Wage Calculator](#) - Use two or three children, and use “two adults (both working)” or “two adults (one working)”
 - Secondary: Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Locations not listed above
 - Primary: [Global Living Wage Coalition](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).

Implementation Resources:

Resources to define a living wage:

- Global Living Wage Coalition [\[EN\]](#)
- Anker Methodology (see chapter 2, section 1) [\[EN\]](#)
- WageIndicator’s visual explanation [\[EN\]](#)
- Universal Declaration of Human Rights (Article 25.1) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- International Covenant on Economic, Social and Cultural Rights (Article 7.a.ii) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

- Report of the Meeting of Experts on wage policies, including living wages (International Labour Organization) Conclusion 5 [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Resources to calculate total wages:

- Anker methodology (see chapter 15) [\[EN\]](#)
- Salary Matrix (IDH) [\[EN\]](#)

Resources to implement living wage in the supply chain:

- Living Wage Analysis Tool (UN Global Compact) [\[EN\]](#)
- Align: Guidance tool on living wages and living income (Fairfood) [\[EN\]](#)
- Living Wage Playbook for the Fast-Moving Consumer Goods Sector (AIM-PROGRESS) [\[EN\]](#)
- [Living Wage Action Guide](#) (IDH) [\[EN\]](#) [\[ES\]](#)
- Living wage case study examples (IDH) [\[EN\]](#)
- Living Wage Benchmark Reference Sheet Achieving the Living Wage Ambition: Reference Sheet and Implementation Guidance (UN Global Compact) [\[EN\]](#) [\[ES\]](#)
- GIZ Living Wage Costing Tool [\[DE\]](#) [\[EN\]](#)
- Handbook on due diligence for enabling living incomes and living wages in agriculture, garment and footwear supply chains (OECD) [\[EN\]](#)

Global membership initiatives working on living wage:

- ACT [\[EN\]](#)
- AIM-Progress [\[EN\]](#)
- Fair Labor Association [\[EN\]](#)
- IDH [\[EN\]](#)
- Global Living Wage Coalition [\[EN\]](#)
- UN Global Compact [\[EN\]](#)



- Wage Map [\[EN\]](#)

Other resources:

- Living Wage Playbook (AIM-Progress) [\[EN\]](#)
- WageIndicator's FAQ [\[EN\]](#)
- The International Labour Organization and the Living Wage: A Historical Perspective (ILO) [\[EN\]](#)
- The Case for Living Wages (Business Fights Poverty) [\[EN\]](#)
- Living Wage Forward Faster Target 2 (UN Global Compact) [\[Various languages\]](#), including AR, EN, ES, IT, FR, PT, RU, Simplified ZH]

Interoperability:

- Conceptual Alignment Data Point
 - Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.B.4 Living wage gap
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) F02
- Equivalency Data Point
 - Recognised Service Provider (UK Living Wage Foundation)



HR4.10 The company refers to living wage in its service procurement processes.

Track factors:

Size	Sector	Industry
XX Large	Service with Minor Environmental Footprint	All
X Large	Service with Minor Environmental Footprint	All
Large	Service with Minor Environmental Footprint	All
Medium	Service with Minor Environmental Footprint	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR4.10	From Year 3	Medium / Large / X Large / XX Large	The company refers to living wage in its service procurement processes.



Compliance Criteria:

4.10.1 The company refers to living wages in its service procurement documents, process, or conversations for any service with a potential living wage gap.

Intent:

To ensure the company considers living wages or collective bargaining when procuring services.

Clarifying the Compliance Criteria:

[4.10.1] The “potential living wage gaps” are those identified in the assessment (HR4.9).

[4.10.1] The company does not need to refer to living wage where there is:

- no potential living wage gap
- no free living wage estimate data
- a collective bargaining agreement.

[4.10.1] This sub-requirement does not restrict which living wage estimates can be used (unlike FW2.8).

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it records evidence of:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- To “refer to living wage” in its service procurement documents, process, and conversations, the company may, for example:
 - make paying a living wage a requirement when choosing potential service providers
 - add the company’s commitment to a living wage to tender or procurement documents
 - advise service providers of the living wage rate that their contracts should cover
 - speak to the service provider about paying living wage rates
 - set a joint commitment to work towards paying a living wage.

Recommendations:



- Use living wage estimates approved by B Lab (see List below)

Living wage estimates approved by B Lab

- Locations not listed below
 - Primary: [Global Living Wage Coalition](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Aotearoa New Zealand
 - Primary: [Living Wage Movement Aotearoa New Zealand](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Africa — various locations
 - Primary
 - [Global Living Wage Coalition](#)
 - [NewForesight](#) - Use the “gross living wage” figure based on a “typical family” and assuming multiple wage earners.
 - Secondary
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 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Alberta

- Primary: [Alberta Living Wage Network](#)
- Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
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- Canada — British Columbia
 - Primary: [Living Wage for Families BC](#)
 - Secondary
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 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Ontario
 - Primary: [Ontario Living Wage Network](#)
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- Canada — Manitoba
 - Primary: [Canadian Centre for Policy Alternatives](#)
 - Secondary
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 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).

- Canada — Newfoundland and Labrador
 - Primary: [Canadian Centre for Policy Alternatives](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Nova Scotia
 - Primary: [Canadian Centre for Policy Alternatives](#)
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- Canada — New Brunswick
 - Primary: [Human Development Council](#)
 - Secondary
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- Canada — Quebec
 - Primary: [Institut de recherche et d'informations socio-économiques \(IRIS\)](#) - Use “ménage composé de deux adultes et de deux enfants”
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 - Primary: [Living Wage Foundation](#)
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Implementation Resources:

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- Report of the Meeting of Experts on wage policies, including living wages (International Labour Organization) Conclusion 5 [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Resources to calculate total wages:

- Anker methodology (see chapter 15) [\[EN\]](#)
- Salary Matrix (IDH) [\[EN\]](#)

Resources to implement living wage in the supply chain:

- Living Wage Analysis Tool (UN Global Compact) [\[EN\]](#)
- Align: Guidance tool on living wages and living income (Fairfood) [\[EN\]](#)
- Living Wage Playbook for the Fast-Moving Consumer Goods supply chains (AIM-PROGRESS) [\[EN\]](#)
- [Living Wage Action Guide](#) (IDH) [\[EN\]](#) [\[ES\]](#)
- Living wage case study examples (IDH) [\[EN\]](#)
- Living Wage Benchmark Reference Sheet Achieving the Living Wage Ambition: Reference Sheet and Implementation Guidance (UN Global Compact) [\[EN\]](#) [\[ES\]](#)
- GIZ Living Wage Costing Tool [\[DE\]](#) [\[EN\]](#)
- Handbook on due diligence for enabling living incomes and living wages in agriculture, garment and footwear supply chains (OECD) [\[EN\]](#)

Global membership initiatives working on living wage:

- ACT [\[EN\]](#)
- AIM-Progress [\[EN\]](#)
- Fair Labor Association [\[EN\]](#)

- IDH [\[EN\]](#)
- Global Living Wage Coalition [\[EN\]](#)
- UN Global Compact [\[EN\]](#)
- Wage Map [\[EN\]](#)

Other resources:

- Living Wage Playbook (AIM-Progress) [\[EN\]](#)
- WageIndicator's FAQ [\[EN\]](#)
- The International Labour Organization and the Living Wage: A Historical Perspective (ILO) [\[EN\]](#)
- The Case for Living Wages (Business Fights Poverty) [\[EN\]](#)
- Living Wage Forward Faster Target 2 (UN Global Compact) [\[Various languages\]](#), including AR, EN, ES, IT, FR, PT, RU, Simplified ZH]

Interoperability:

- Conceptual Alignment Data Point
 - Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.B.4 Living wage gap
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) F02
- Equivalency Data Point
 - Recognised Service Provider (UK Living Wage Foundation)



HR4.11 The company has a plan to address living wage, living income or collective bargaining in its supply chain.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Agriculture/Growers	All
XX Large	Manufacturing	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All



Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
HR4.11	From Year 3	Medium / Large / X Large / XX Large	The company has a plan to address living wage, living income or collective bargaining in its supply chain.

Compliance Criteria:

4.11.1 The company's plan relates to one or more of the following:

- a) living wage
- b) living income
- c) collective bargaining

4.11.2 The company's plan includes, at minimum:

- a) an overview of known and unknown living wage or living income gaps
- b) an overview of priority area
- c) targets for the next three years
- d) engagement with stakeholders, including suppliers.

4.11.3 The plan was reviewed or updated in the last twelve months.

4.11.4 The plan is approved by the company's executive team or highest governing body.

4.11.5 The company has publicly shared an update.

4.11.6 The public update includes, at minimum:

- a) actions the company has taken in priority areas
- b) achievements and challenges.

Intent:

To increase visibility of potential living wage and living income gaps in the company's supply chain.

Clarifying the Compliance Criteria:

[4.11.1] The company's plan may refer to "freedom of association" or "social dialogue" instead of "collective bargaining".

[4.11.2 b] The company can identify its "priority areas" by country, supplier, material, or product group.

Applying the Criteria to Independently Certifying Subsidiaries:

- The plan is embedded, at minimum, at the highest level within the company. If the company references a plan belonging to an out-of-scope parent, it records evidence of roll-out, enforcement, and accountability mechanisms to support the plan.
- References to the highest governing body or executive team mean those within the company's scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body or executive team within its scope of certification.

Further Guidance:

- The company may gather information about wages and income in the following ways, among others.
 - Stakeholder approach — the company speaks to expert stakeholders, such as civil society organizations or unions, about wage and income issues.
 - Supplier approach — the company speaks to its suppliers about their wage and income levels.
 - Union approach — the company consults a union representing workers for feedback on wages.
 - Country poverty approach — the company researches the levels of poverty and in-work poverty in the countries it sources from.
 - Minimum wage approach — the company maps the countries it sources from, and identifies where workers have low-skill jobs (which likely pay the minimum wage). It also identifies the relevant minimum wages and living wage estimates. Using this information, the company maps which countries have the largest gaps between the minimum wage and living wage estimate. Note, this approach is not suitable for analyzing living income gaps.
 - Peer approach — the company consults other companies with similar supply chains that have carried out this analysis.
 - Measurement approach — the company, supplier, or a third party measures the actual living wage or living income gap.



- Affected stakeholder approach — the company, supplier, or a third party asks workers or smallholders for feedback about their wages or income.
- While a living wage is for a worker, a living income is for someone who is self-employed, such as a smallholder farmer or artisanal miner. Living wage estimates can apply to nearly any job, but a living income estimate is tied to a specific raw material in a specific location (e.g. vanilla in Madagascar). This is because living income calculations involve elements specific to the production of a raw material — such as land size and target yield. A “living income reference price” means a price for raw materials that accounts for the supplier’s living income.

Recommendations:

- Use living wage estimates approved by B Lab (see List below)

Living wage estimates approved by B Lab

- Locations not listed below
 - Primary: [Global Living Wage Coalition](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Aotearoa New Zealand
 - Primary: [Living Wage Movement Aotearoa New Zealand](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Africa — various locations
 - Primary

- [Global Living Wage Coalition](#)
- [NewForesight](#) - Use the “gross living wage” figure based on a “typical family” and assuming multiple wage earners.
- Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Alberta
 - Primary: [Alberta Living Wage Network](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — British Columbia
 - Primary: [Living Wage for Families BC](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Ontario
 - Primary: [Ontario Living Wage Network](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.

- Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Manitoba
 - Primary: [Canadian Centre for Policy Alternatives](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Newfoundland and Labrador
 - Primary: [Canadian Centre for Policy Alternatives](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Nova Scotia
 - Primary: [Canadian Centre for Policy Alternatives](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — New Brunswick
 - Primary: [Human Development Council](#)
 - Secondary

- [WageIndicator](#) - Use “typical family” and “lower bound”.
- Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Canada — Quebec
 - Primary: [Institut de recherche et d'informations socio-économiques \(IRIS\)](#) - Use “ménage composé de deux adultes et de deux enfants”
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Hong Kong
 - Primary: [Oxfam Hong Kong](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
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 - Primary: [Living Wage Ireland](#) - Use two, three or four children, and two adults.
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 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Latin America — various locations
 - Primary

- [Global Living Wage Coalition](#)
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 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- South Korea — Gyeonggi
 - Primary: [Gyeonggi Provincial Government](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.

- Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- South Korea — Seoul
 - Primary: [Seoul Metropolitan Council](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- United Kingdom
 - Primary: [Living Wage Foundation](#)
 - Secondary
 - [WageIndicator](#) - Use “typical family” and “lower bound”.
 - Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- United States
 - Primary
 - [Living Wage for US](#) - Use “Monthly Living Wage (lowest cost County in commuting zone for tier II certification)”
 - [MIT Living Wage Calculator](#) - Use two or three children, and use “two adults (both working)” or “two adults (one working)”
 - Secondary: Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).
- Locations not listed above
 - Primary: [Global Living Wage Coalition](#)
 - Secondary

- [WageIndicator](#) - Use “typical family” and “lower bound”.
- Fair Wage Network (locations searchable via [IDH Living Wage Identifier Tool](#)) - Use the estimate adjusted for “FR” (fertility rate) and “IE” (income earners).

Implementation Resources:

Resources to define a living wage:

- Global Living Wage Coalition [\[EN\]](#)
- Anker Methodology (see chapter 2, section 1) [\[EN\]](#)
- WageIndicator’s visual explanation [\[EN\]](#)
- Universal Declaration of Human Rights (Article 25.1) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- International Covenant on Economic, Social and Cultural Rights (Article 7.a.ii) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)
- Report of the Meeting of Experts on wage policies, including living wages (International Labour Organization) Conclusion 5 [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[Simplified ZH\]](#)

Resources to calculate total wages:

- Anker methodology (see chapter 15) [\[EN\]](#)
- Salary Matrix (IDH) [\[EN\]](#)

Resources to implement living wage in the supply chain:

- Living Wage Analysis Tool (UN Global Compact) [\[EN\]](#)
- Align: Guidance tool on living wages and living income (Fairfood) [\[EN\]](#)
- Living Wage Playbook for the Fast-Moving Consumer Goods Sector supply chains (AIM-PROGRESS) [\[EN\]](#)
- [Living Wage Action Guide](#) (IDH) [\[EN\]](#) [\[ES\]](#)
- Living wage case study examples (IDH) [\[EN\]](#)

- Living Wage Benchmark Reference Sheet Achieving the Living Wage Ambition: Reference Sheet and Implementation Guidance (UN Global Compact) [\[EN\]](#) [\[ES\]](#)
- GIZ Living Wage Costing Tool [\[DE\]](#) [\[EN\]](#)
- Handbook on due diligence for enabling living incomes and living wages in agriculture, garment and footwear supply chains (OECD) [\[EN\]](#)

Resources to implement living income in the supply chain:

- Align: Guidance tool on living wages and living income (Fairfood) [\[EN\]](#)
- [Living Wage Action Guide](#) (IDH) [\[EN\]](#) [\[ES\]](#)
- Living wage case study examples (IDH) [\[EN\]](#)
- Fairtrade Living Income Reference Prices [\[EN\]](#)
- Guiding steps towards living income in the supply chain: How to mainstream living income in your company's activities (The Living Income Community of Practice) [\[EN\]](#)
- GIZ Living Income Reference Price Estimator [\[DE\]](#) [\[EN\]](#)
- GIZ Living Income Gap Estimator [\[DE\]](#) [\[EN\]](#)
- Handbook on due diligence for enabling living incomes and living wages in agriculture, garment and footwear supply chains (OECD) [\[EN\]](#)

Resources to convert living wage or living income gaps into prices changes:

- Living Wage Guide (Fairphone) [\[EN\]](#)
- Investment Calculator (Fairphone) [\[EN\]](#)
- Legal Template (Fairphone) [\[EN\]](#)
- Labour Minute Costing methodology (Fair Wear) [\[EN\]](#)
- Fair Price app (Fair Wear) [\[EN\]](#)
- Principles for True Pricing (True Price) [\[EN\]](#)

Global membership initiatives working on living wage:



- ACT [\[EN\]](#)
- AIM-Progress [\[EN\]](#)
- Fair Labor Association [\[EN\]](#)
- IDH [\[EN\]](#)
- Global Living Wage Coalition [\[EN\]](#)
- UN Global Compact [\[EN\]](#)
- Wage Map [\[EN\]](#)

Other resources:

- Living Wage Playbook (AIM-Progress) [\[EN\]](#)
- WageIndicator's FAQ [\[EN\]](#)
- The International Labour Organization and the Living Wage: A Historical Perspective (ILO) [\[EN\]](#)
- The Case for Living Wages (Business Fights Poverty) [\[EN\]](#)
- Living Wage Forward Faster Target 2 (UN Global Compact) [\[Various languages\]](#), including AR, EN, ES, IT, FR, PT, RU, Simplified ZH]

Interoperability:

- Conceptual Alignment Data Point
 - Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.B.4 Living wage gap
 - Corporate Human Rights Benchmark 2025-2026 (World Benchmarking Alliance) F02, F08
- Equivalency Data Point
 - [None]



Climate Action (CA)

Body of Knowledge (BoK) for the CA
Impact Topic

Intent

The Climate Action Impact Topic requires companies to:

- measure their emissions
- set targets to reduce their emissions
- implement climate transition plans and contribute to the global goal of net zero emissions by 2050.

Recent years have been the warmest on record. According to the latest scientific data, global warming will go beyond 1.5°C to exceed 2°C during the 21st century — unless emissions of carbon dioxide (CO₂) and other greenhouse gasses are deeply reduced in the coming decades (IPCC Sixth Assessment Report [\[EN\]](#)).

To limit global warming to 1.5°C above pre-industrial levels, nations, companies, and individuals must cut their global emissions by 45% by 2030 (compared to 2010 levels), and achieve net zero CO₂ emissions by 2050 (UN SDGs [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)). The scope and scale of current efforts are not enough, and the window of opportunity to limit global warming is closing. Communities and nature are already experiencing widespread adverse impacts from climate change, extreme weather events, and sea level rise, and vulnerable communities are disproportionately affected. The planet cannot afford delays and greenwashing. Climate action efforts must accelerate.

Outcome

Companies take action to combat the climate crisis and its impacts.

Requirements Summary

CA1 The company has a process to measure its greenhouse gas emissions annually.

CA2 The company is committed to contribute to help keep global warming below 1.5 °C.

CA3 The company implements and makes progress on its climate action plan.



Scope

Individuals, communities, organisms, and aspects of the environment affected by the company's own operations and value chain.

Terms and Definitions

Absolute emissions-reduction target

The company's goal for reducing its total emissions over time(e.g. by 2025, reduce CO2 emissions by 25% below 2015 levels). The focus is on cutting the actual volume of emissions, as opposed to relative emission reductions that only reduce emissions per unit of output (e.g., per product or per dollar of revenue).

(Adapted from [GHG Protocol](#)).

Adaptation

Adjustments in ecological, social, or economic systems that respond to actual or expected effects and impacts of climate change.

(Adapted from [Net Zero Guidelines](#), ISO)

Advocacy

The same as lobbying, which includes the following, by or on behalf of an organized group:

- Communicating directly or indirectly with public officials, political decision-makers, or representatives to influence public decision-making.
- Attempting directly or indirectly to influence public opinion (beyond normal advertising and marketing) with the aim of impacting public decision-making.

(Adapted from [Corporate Political Engagement Index](#), 2018, Transparency International)

Agriculture

A company that either:



- earns over 10% of its revenue from products grown on its farm or agro-processing facility, from managing land to grow and harvest crops, or from raising and managing livestock
- sources the majority of its raw materials directly from growers or livestock producers.

Companies in the agriculture sector include, for example:

- vegetable farms
- coffee plantations or roasters
- tree planting companies
- livestock farms or ranches.

Assurance

Evidence that specified requirements relating to a product, process, system, person, or entity are fulfilled.

(Adapted from [Codes of Good Practice for Sustainability Systems](#), ISEAL)

Baseline year

A historic starting point (either a specific year or an average over multiple years) against which the company tracks its emissions over time.

(Adapted from [GHG Protocol](#))

Beyond value chain mitigation

All the company's actions and investments that go beyond its science-based target to mitigate emissions outside its value chain.

(Adapted from [Science Based Targets initiative](#))

Carbon credit



A tradeable certificate representing the mitigation of a specific amount of greenhouse gas emissions.

Carbon credits do not contribute to the company's progress against its science-based targets. However, they may serve as a type of mitigation mechanism beyond the company's value chain.

(Adapted from [Net Zero Guidelines](#), ISO)

Civil Society Organization (CSO)

Non-State, not-for-profit, voluntary entities formed by people in the social sphere that are separate from the State and the market. CSOs represent a wide range of interests and ties. They can include community-based organizations as well as non-governmental organizations (NGOs).

([UNGP Reporting Framework](#))

Climate action

Urgent action to combat climate change and its impacts, as called for in [Goal 13 of the United Nations Sustainable Development Goals](#).

Climate action that companies can take includes, for example:

- reducing their carbon footprint
- investing in climate-friendly solutions
- improving their energy efficiency.

Climate change mitigation

A human intervention to reduce greenhouse gas emissions or enhance greenhouse gas sinks (such as forests and soils). Climate change mitigation also includes carbon dioxide removal options.

(Adapted from [IPCC](#))

Climate Justice



A concept recognizing that those who are the least responsible for climate change are more likely to suffer its most devastating effects, now and in the future.

Enacting climate justice means prioritizing the needs, voices, and leadership of those who are most impacted by climate change.

(Adapted from [Climate Justice Toolkit](#), B Lab US & Canada)

Climate transition plan

An action plan in which the company describes its strategy to transition all its processes, operations, and business models to meet its climate commitments within a certain timeframe.

(Adapted from [US Environmental Protection Agency](#))

Collective Action

A collaborative, sustained process of cooperation between stakeholders to bring about systemic change. Collective action increases the impact and credibility of individual actions. Examples include multi-stakeholder collaboration, public policy advocacy, mentoring, and thought leadership. Mentoring and thought leadership contribute to systemic change by enhancing the skills, knowledge, or capacity of other stakeholders.

Company

A legal entity (or group of related legal entities) formed to engage in and operate a business (meaning a commercial or industrial enterprise). A company may be organized in various ways depending on the corporate law in its jurisdiction.

Company without workers

A company owned and run by one person. A company without workers may also be known as a sole proprietor, sole trader, individual entrepreneur, or individual proprietor.

Employee

Person who has a direct employment relationship with the company. This includes permanent, temporary, full-time, part-time, seasonal, and casual employees. This includes when, for administrative reasons, there is a different employer on record, but practically the person works as



an employee and the company is responsible for their recruitment, performance evaluation, and disciplinary management.

Working owners may also count as employees, depending on certain conditions (see working owner).

Executive team

People with delegated authority from the highest governing body to implement strategies and policies that fulfill the company's purpose.

(Adapted from PAS 808 — [Purpose-driven organizations](#), British Standards Institution)

Frontline community

People who are experiencing or will experience the consequences of climate change "first and worst", in ways that will cause:

- significant damage
- upheaval
- loss of life.

Frontline communities experience outsized impacts of climate change due to overlapping inequalities. They often also experience harmful corporate and industry activity that jeopardizes their health and well-being and their local environment.

(Adapted from [Climate Reality Project](#))

GHG mitigation

See climate change mitigation.

Greenhouse gas emissions (GHG)

Natural and human-made gases in the atmosphere that absorb and emit radiation that cause the greenhouse effect.

(Adapted from [UNFCCC](#))

Gross

Total emissions, when describing greenhouse gas (GHG) emissions, not including any:

- GHG removals
- purchased, sold, or transferred carbon credits or GHG allowances.

(Adapted from [European Sustainability Reporting Standards E1](#), 2023)

High-integrity carbon credits and offsets

Carbon credits and offsets that:

- use quality standards that independent third parties can verify
- make requirements and project reports publicly available.

At minimum, high-integrity carbon credits and offsets also:

- ensure additionality and permanence
- avoid double-counting
- provide rules for calculating, monitoring, and verifying the project's greenhouse gas emissions and removals.

(Adapted from [European Sustainability Reporting Standards](#), 2023)

Highest governing body

The person or group of people who have ultimate accountability for the whole company. Every organizational entity has one highest governing body, even if it is not explicitly established.

A highest governing body can be explicitly established in a number of formats, such as:

- a board of directors



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- a supervisory board
 - a sole director
 - joint and several directors
 - trustees.

For larger companies, a board subcommittee may be considered the highest governing body — as long as the full board is regularly updated on progress and performance.

(Adapted from [Governance of organizations](#) — Guidance, ISO Standard)

Impact

An effect the company has, or could have, on:

- the economy
- the environment
- people, including on their human rights.

Impacts can be actual or potential, negative or positive.

(Adapted from [GRI 3](#), 2021, Global Reporting Initiative)

Independent third party

A person or organization not connected to the company.

Indicator

In the context of Human Rights, Climate Action, and Environmental Stewardship and Circularity: measurable aspects of the company's progress and results. Indicators identify what to measure to create a clear picture of the company's current status.



Indicators can be qualitative or quantitative. Quantitative indicators can be precise, and enable comparison between measures. Qualitative information is often needed to:

- put quantitative information in context
- enable it to be interpreted and understood
- determine which comparisons and conclusions are most valid.

Indigenous Peoples

Groups of people who meet one of the following definitions.

- Tribal peoples in independent countries whose social, cultural, and economic conditions are different from other sections of the national community. Their tribal status is regulated wholly or partially by either their own customs or traditions, or special laws or regulations.
- Peoples in independent countries who descend from the people who lived in the country, or a region of it, during its conquest or colonization, or the establishment of modern state boundaries. Regardless of their legal status, they retain some or all of their own social, economic, cultural, and political institutions.

(Adapted from [Indigenous and Tribal Peoples Convention](#), 1989, International Labour Organization)

Indigenous Peoples' local knowledge

The understandings, skills, and philosophies developed by societies with long histories with their natural surroundings.

For many Indigenous Peoples, Indigenous knowledge informs decision-making about fundamental aspects of life — from day-to-day activities to longer-term actions. Their knowledge is integral to cultural complexes, which also encompass:

- language
- systems of classification
- resource use practices
- social interactions



- values, rituals, and spirituality.

Indigenous Peoples' distinctive ways of knowing are important facets of the world's cultural diversity.

(Adapted from [IPCC](#))

Investment

Any of four types of investment.

- Equity investments
- Debt investments
- Project finance
- Managed investments and client services

This definition applies for investors (i.e. companies who aim to profit from their investment) and companies that provide financial services.

(Adapted from [GHG Protocol](#))

Just Transition

Efforts to create greener, more resilient, and climate-neutral economies and societies in ways that:

- are fair and inclusive to everyone concerned
- create decent work opportunities
- leave no one behind.

Companies should take their fair share into account when making decisions that contribute to a just transition.

(Adapted from [International Labour Organization](#) and [Net Zero Guidelines](#), ISO)

Location-based method

One of two methods for quantifying scope 2 greenhouse gas emissions (see also market-based method).

The location-based method uses average emissions from energy generation in a defined geographic area. The defined area may be based on local, subnational, or national boundaries.

(Adapted from [GHG Protocol Scope 2 Guidance](#))

Market-based method

One of two methods for quantifying scope 2 greenhouse gas emissions (see also location-based method).

The market-based method refers to calculating a company's electricity emissions based on the specific energy sources it has chosen through contracts or instruments, such as renewable energy certificates (RECs) or power purchase agreements (PPAs).

(Adapted from [GHG Protocol Scope 2 Guidance](#))

Manufacturing

A company that earns over 10% of its revenue from products it makes, either for direct sale or for sale by another company or brand.

Manufacturing involves transforming input materials into a new product. The manufactured product may not be the final product.

Companies in the manufacturing sector include, for example:

- food and beverage producers
- assembly lines
- apparel manufacturers.

Nature-based solution



Solutions that use the power of nature and healthy ecosystems to:

- protect people
- optimize infrastructure
- safeguard a stable, biodiverse future.

(Adapted from [International Union for Conservation of Nature](#))

Net Zero emissions

The emissions status achieved when the amount of greenhouse gas emissions emitted by human activities is balanced globally with an equivalent amount of greenhouse gas emissions removed over a specified period.

(Adapted from [IPCC](#))

Net zero target

A greenhouse gas mitigation target aligned with meeting societal climate goals by both:

- reducing the company's value chain emissions on a scale consistent with global net-zero 1.5°C pathways latest by 2050
- permanently removing an amount of CO₂ equivalent to the company's residual emissions.

(Adapted from [SBTi Glossary](#), Science Based Targets initiative)

Offset

A representation, usually in the form of a retired or canceled credit, of a reduction or removal of emissions outside the company's boundaries. Offset credits are tracked, managed, and traded in a registry.

The company can:

- invest in offsets as a beyond value chain mitigation action (while also making direct GHG reductions)
- use them to counterbalance their residual emissions.



The company can only counterbalance its residual emissions and achieve net zero emissions using offsets that are removals.

(Adapted from [Net Zero Guidelines](#), ISO)

Outcome

A change resulting from the company's activities and outputs. An outcome has a direct link between the activities and outputs, and their impact on people and the environment.

Output

The direct result of an activity. Outputs may include, for example:

- training materials
- policies
- reports
- impact-related programs or projects.

Paris Agreement

The first ever universal, legally binding global climate change agreement, adopted by 196 Parties at the Paris climate conference (COP21) in December 2015.

(Adapted from [UNFCCC](#))

Removals

Withdrawals of a greenhouse gas through deliberate human activities.

Different types of removals include, for example:

- afforestation (planting trees)

- building with biomass (using plant-based material in construction)
- direct air carbon capture and storage
- habitat restoration
- soil carbon capture
- enhanced weathering (mixing soil with crushed rock)
- bioenergy with carbon capture and storage.

(Adapted from [Net Zero Guidelines](#), ISO)

Renewable energy

Energy from renewable non-fossil sources, including:

- wind
- solar (thermal and photovoltaic) and geothermal energy
- ambient energy
- tide, wave, and other ocean energy
- hydropower
- biomass
- landfill gas, sewage treatment plant gas, and biogas.

(Adapted from [European Sustainability Reporting Standards E1](#), 2023)

Residual emissions

Greenhouse gas emissions that remain after the company has reduced its emissions using all technically and scientifically feasible actions.



Residual emissions are estimated for each year from the net zero target date (e.g. 2050) — not for interim target dates — using a science-based pathway aligned to the global 1.5°C target.

(Adapted from [Net Zero Guidelines](#), ISO)

Scenario analysis

A process for identifying and assessing a range of possible outcomes in uncertain future conditions.

(Adapted from [European Sustainability Reporting Standards E1](#), 2023)

Science-based target

A greenhouse gas emissions reduction target:

- set using scientific evidence
- aligned with an independent, science-based pathway to achieve global net zero greenhouse gas emissions and limit global warming to 1.5 °C.

"Scientific evidence" means evidence that has been confirmed through peer review.

(Adapted from [Net Zero Guidelines](#), ISO)

Scope 1 emissions

Direct emissions from sources the company owns or controls.

Scope 1 emissions include the combustion of fuels (such as natural gas, diesel fuel, and gasoline) in:

- factories
- fleets
- office buildings.



(Adapted from [GHG Protocol Corporate Standard](#))

Scope 2 emissions

Indirect emissions from the generation of energy the company purchases (including electricity, heat, and steam).

(Adapted from [GHG Protocol Corporate Standard](#))

Scope 3 emissions

All indirect emissions (except those in scope 2) that occur in the company's value chain, both upstream and downstream.

Fifteen types of scope 3 emissions are detailed in the [GHG Protocol Corporate Value Chain \(Scope 3\) Accounting and Reporting Standard](#).

These include, among others:

- the extraction and production of materials and fuels the company purchases
- transport-related activities in vehicles the company does not own or control (including distribution and employee travel)
- outsourced activities
- waste disposal
- downstream use of the company's products by its customers.

(Adapted from [GHG Protocol Corporate Standard](#))

Services with minor footprint

A company that earns 90% or more of its revenue from services that do not involve selling physical products or require a physical location for their delivery.

Services with minor footprints include, for example:

- law firms

- marketing and communications agencies
- software companies.

This was previously named "Services with Minor Environmental footprint". The definition and its application remain the same.

Services with significant footprint

A company that earns 90% or more of its revenue from services that involve significant machinery or equipment, or require a specific operational location (often key to delivering the service).

Services with significant footprint include, for example:

- hotels
- restaurants
- landscaping companies
- universities.

This was previously named "Services with Significant Environmental footprint". The definition and its application remain the same.

Stakeholder

A person, group, or entity who may, positively or negatively:

- affect the company
- be affected by the company's activities
- have an interest that is affected by the company's activities.

Relevant stakeholders may include, for example:

- business partners
- civil society organizations



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- consumers
 - customers
 - employees and other workers
 - governments
 - local communities
 - non-governmental organizations
 - shareholders and other investors
 - suppliers
 - trade unions
 - vulnerable groups (including future generations)
 - the environment (including species).

(Adapted from [GRI 3: Material Topics](#), 2021.)

Supply chain

The range of activities by companies and organizations "upstream" from the company, which provide products, raw materials, and services that the company uses in its own products or services.

([GRI 3](#), 2021, Global Reporting Initiative)

Value chain

The full range of activities by the company, and by upstream and downstream entities, to bring its products or services from conception to end use. The value chain includes the company's supply chain.

Entities upstream from the company (e.g. suppliers) provide products or services used to develop the company's own products or services.



Entities downstream from the company (e.g. distributors and customers) receive products or services from the company.

(Adapted from [G1 Foundation](#), 2021, Global Reporting Initiative)

Wholesale/Retail

A company that earns over 10% of its revenue from selling physical products, but does not own or operate the manufacturing processes or facilities that produce them. This includes companies that design products but outsource their production.

Wholesale/retail companies include, for example:

- grocery stores
- consumer goods companies that do not manufacture their own products
- wholesalers of physical goods.

Worker

A person who works for the company as any of the following.

- An employee
- An independent contractor, if they work more than 20 hours per week indefinitely or for more than six months.
- An agency worker, if they work more than 20 hours per week indefinitely or for more than six months.

Interns and apprentices, as defined in the B Lab Standard, do not count as workers.

Notes

- None



CA1 The company has a process to measure its greenhouse gas emissions annually.

CA1.1 The company has a documented process to measure its scope 1, 2 and 3 greenhouse gas emissions annually and discloses the results publicly.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
CA1.1	From Year 0	None	The company has a documented process to measure its scope 1, 2 and 3 greenhouse gas emissions annually and discloses the results publicly.

Compliance Criteria:

1.1.1 The company's greenhouse gas (GHG) emissions inventory is publicly available:

- a) in the fiscal year before Year 0
- b) in each subsequent year.

1.1.2 The company's process includes the measurement of GHG the following.

- a) Gross scope 1 GHGs (in metric tonnes of CO2 equivalent)
- b) Gross location-based scope 2 GHGs (in metric tonnes of CO2 equivalent)
- c) Gross market-based scope 2 GHGs (in metric tonnes of CO2 equivalent)
- d) Gross scope 3 GHGs (in metric tonnes of CO2 equivalent) from all relevant scope 3 categories
- e) GHG emissions in each relevant scope 3 category
- f) Total GHG emissions (in metric tonnes of CO2 equivalent), including both:
 - i) the total GHG emissions calculated using a location-based method for scope 2 GHGs
 - ii) the total GHG emissions calculated using a market-based method for scope 2 GHGs.

1.1.3 The company records a list of Scope 3 GHG emissions categories included in and excluded from the GHG inventory with a justification for excluded Scope 3 categories.

1.1.4 The company details the use of accounting principles and tools that it follows to measure its emissions and any associated assumptions.

- a) The company uses accounting principles and tools that follow the methodology of the GHG Protocol or ISO 14064-1:2018 to measure emissions.
- b) Equity investors and investment advisors follow the methodology of the Global GHG Accounting and Reporting Standard for the Financial Industry (Partnership for Carbon Accounting Financials).

Intent:



For companies to take the first step towards managing the GHG emissions of their operations and value chain by measuring them. This foundation helps the company set science-based targets and identify the most meaningful opportunities to reduce its emissions. The goal is to make a good start and improve over time — not to get everything right from the beginning.

Clarifying the Compliance Criteria:

[1.1.1] The company makes its greenhouse gas emissions inventory publicly available in one of the following.

- Its annual report
- An annual sustainability report
- An integrated annual report and sustainability report
- Another public report available on its webpage

[1.1.2 b] The company's "location-based" scope 2 emissions mean its indirect emissions from the energy it purchases, calculated using the average emissions intensity of the energy grid in its location.

[1.1.2 b; 1.1.2 c; 1.1.2 f] The company records its total GHG emissions in both the following ways.

- Location-based — the sum of its gross scope 1, location-based gross scope 2, and gross scope 3 emissions.
- Market-based — the sum of its gross scope 1, market-based gross scope 2, and gross scope 3 emissions.

[1.1.2 b; 1.1.2 c; 1.1.2 f] The company records its total GHG emissions in both the following ways.

- Location-based — the sum of its gross scope 1, location-based gross scope 2, and gross scope 3 emissions.
- Market-based — the sum of its gross scope 1, market-based gross scope 2, and gross scope 3 emissions.

[1.1.2 c] A "market-based" method identifies emissions from the specific energy generators the company uses bundled with contractual instruments, rather than an average for the company's location.

[1.1.2 d; 1.1.2 e] Scope 3 categories include activities "upstream" and "downstream" from the company:

- Upstream categories:
 - Category 1 - Purchased goods and services
 - Category 2 - Capital goods
 - Category 3 - Energy

- Category 4 - Upstream transport
- Category 5 - Waste
- Category 6 - Business travel
- Category 7 - Employee commuting
- Category 8 - Upstream land assets
- Downstream categories
 - Category 9 - Downstream transport
 - Category 10 - Processing of sold products
 - Category 11 - Use of sold products
 - Category 12 - End-of-life of sold products
 - Category 13 - Downstream leased assets
 - Category 14 - Franchises
 - Category 15 - Investments

[1.1.2 d; 1.1.2 e] The GHG Protocol’s “Technical Guidance for Calculating Scope 3 Emissions” provides four ways to estimate a company’s GHG emissions for Category 1 - Purchased goods and services and Category 2 - Capital goods [\[EN\]](#). The four methods, in order from most to least robust, are below.

- Supplier-specific method — the company collects cradle-to-gate GHG inventory data from goods or services suppliers at the level of the individual product. “Cradle-to-gate” emissions include all emissions throughout the lifecycle of purchased products, up until the company receives them (excluding emissions from sources the company owns or controls).
- Hybrid method — the company uses supplier-specific activity data (where available) and fills the gaps with secondary data. This method involves:
 - collecting data directly from suppliers on their scope 1 and scope 2 emissions allocated to the company
 - calculating upstream emissions from suppliers’ activity data
 - using secondary data to estimate upstream emissions wherever supplier-specific data is unavailable.

- Average-data method — the company identifies its average emissions per unit of goods or services by multiplying the mass (or another relevant metric) of its purchased goods and services by the relevant secondary emission factors (such as industry averages).
- Spend-based method — the company identifies its average emissions per monetary value of goods by multiplying the economic value of its purchased goods and services by relevant secondary emission factors (such as industry averages).

[1.1.2 d; 1.1.2 e] The company may choose to use spend-based calculations for certain scope 3 categories. For others, an average-data or distance-based method is needed at minimum. To check which calculation methods are allowed for each scope 3 category, refer to Annex D of the GHG Protocol Scope 3 Calculation Guidance [\[EN\]](#).

[1.1.2 d; 1.1.2 e] The company includes all relevant scope 3 categories following the GHG Protocol.

[1.1.2 d; 1.1.2 e] Scope 3 categories include activities “upstream” and “downstream” from the company:

- Upstream categories:
 - Category 1 - Purchased goods and services
 - Category 2 - Capital goods
 - Category 3 - Energy
 - Category 4 - Upstream transport
 - Category 5 - Waste
 - Category 6 - Business travel
 - Category 7 - Employee commuting
 - Category 8 - Upstream land assets
- Downstream categories
 - Category 9 - Downstream transport
 - Category 10 - Processing of sold products
 - Category 11 - Use of sold products
 - Category 12 - End-of-life of sold products

- o Category 13 - Downstream leased assets
- o Category 14 - Franchises
- o Category 15 - Investments

[1.1.2 d; 1.1.2 e] The GHG Protocol’s “Technical Guidance for Calculating Scope 3 Emissions” provides four ways to estimate a company’s GHG emissions for Category 1 - Purchased goods and services and Category 2 - Capital goods [\[EN\]](#). The four methods, in order from most to least robust, are below.

- Supplier-specific method — the company collects cradle-to-gate GHG inventory data from goods or services suppliers at the level of the individual product. “Cradle-to-gate” emissions include all emissions throughout the lifecycle of purchased products, up until the company receives them (excluding emissions from sources the company owns or controls).
- Hybrid method — the company uses supplier-specific activity data (where available) and fills the gaps with secondary data. This method involves:
 - o collecting data directly from suppliers on their scope 1 and scope 2 emissions allocated to the company
 - o calculating upstream emissions from suppliers’ activity data
 - o using secondary data to estimate upstream emissions wherever supplier-specific data is unavailable.
- Average-data method — the company identifies its average emissions per unit of goods or services by multiplying the mass (or another relevant metric) of its purchased goods and services by the relevant secondary emission factors (such as industry averages).
- Spend-based method — the company identifies its average emissions per monetary value of goods by multiplying the economic value of its purchased goods and services by relevant secondary emission factors (such as industry averages).

[1.1.2 d; 1.1.2 e] The company may choose to use spend-based calculations for certain scope 3 categories. For others, an average-data or distance-based method is needed at minimum. To check which calculation methods are allowed for each scope 3 category, refer to Annex D of the GHG Protocol Scope 3 Calculation Guidance [\[EN\]](#).

[1.1.2 d; 1.1.2 e] The company includes all relevant scope 3 categories following the GHG Protocol.

[1.1.2 b; 1.1.2 c; 1.1.2 f] The company records its total GHG emissions in both the following ways.

- Location-based — the sum of its gross scope 1, location-based gross scope 2, and gross scope 3 emissions.
- Market-based — the sum of its gross scope 1, market-based gross scope 2, and gross scope 3 emissions.

Applying the Criteria to Independently Certifying Subsidiaries:

- The measurement covers the company. If the company references an out-of-scope measurement, it records:
 - the data and mechanism for measuring its own operations ;
 - how data is consolidated in the out-of-scope parent's reporting.

Further Guidance:

- Examples of GHG measurement tools are listed under the Implementation Resources.

Implementation Resources:

Resources on standards for greenhouse gas accounting

- Corporate Standard (GHG Protocol) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[PT\]](#) [\[ZH\]](#)
- Corporate Value Chain (Scope 3) Standard [\[EN\]](#)
- The Global GHG Accounting and Reporting Standard for the Financial Industry (Partnership for Carbon Accounting Financials) [\[EN\]](#)
- ISO 14064-1:2018 - Greenhouse gasses Part 1: Specification with guidance at the organization level for quantification and reporting of greenhouse gas emissions and removals (note, this resource is not free of charge) [\[EN\]](#)

Resources on Life Cycle Databases / Emission Factor Databases

- International emissions factor databases
 - GHG Protocol Emission Factors [\[EN\]](#)
 - GHG Protocol Life Cycle Databases [\[EN\]](#)
 - OpenLCA [\[EN\]](#)
- National emissions factor databases
 - United States Environmental Protection Agency [\[EN\]](#)

- o The UK Government Conversion Factors for greenhouse gasses [\[EN\]](#)
- o Australian Government's National Greenhouse Accounts Factors: 2023 [\[EN\]](#)

Examples of Carbon calculator tools:

- The SME Climate Hub [\[AR\]](#) [\[EN\]](#) [\[ES\]](#)
- GHG Protocol - GHG Emissions Calculation Tools - Various [\[EN\]](#)
- For agriculture: Cool Farm Tool [\[Various languages\]](#), including DE, EN, ES, IT, FR, PT]
- The Carbon Sink [\[ES\]](#)
- GZA Scope 3 calculator [\[EN\]](#) - Applicable mainly for the US companies

Resources on global warming potential values

- International Panel on Climate change [\[EN\]](#)
- GHG Protocol [\[EN\]](#)

Resources on sector-specific guidance for climate action

- Corporate Net-Zero Standard, March 2024 (Science Based Targets initiative) - Chapter 6: Sector-specific requirements [\[EN\]](#)
- CDP Technical Note: Relevance of Scope 3 Categories by Sector [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point:
 - o European Sustainability Reporting Standards E1 2023 - Disclosure Requirement E1-6 – Gross Scopes 1, 2, 3 and Total GHG emissions 51.
 - o European Sustainability Reporting Standards E1 2023 - Disclosure Requirement E1-6 – Gross Scopes 1, 2, 3 and Total GHG emissions - GHG Intensity based on net revenue 53.
 - o GRI 305: Emissions 2016 - 305-4 GHG emissions intensity (a)
 - o GRI 305: Emissions 2016 - 305-1 Direct (Scope 1) GHG emissions (g)

- GRI 305: Emissions 2016 - 305-2 Energy indirect (Scope 2) GHG emissions (g)
- GRI 305: Emissions 2016 - 305-3 Other indirect (Scope 3) GHG emissions (g)
- Sustainable Development Performance Indicators (United Nations Research Institute for Social Development) 2022 II.A1 GHG emissions (Scope 1 and 2)
- Sustainable Development Performance Indicators (United Nations Research Institute for Social Development) 2022 II.A2 GHG emissions (Scope 3)
- Equivalency Data Point:
 - European Sustainability Reporting Standards E1 2023 - Disclosure Requirement E1-6 – Gross Scopes 1, 2, 3 and Total GHG emissions 44. a, b, c, d
 - IFRS S2 Climate-related disclosures 2023 - Climate-related metrics 29 a, (i), (ii), (iii), (vi)
 - GRI 305: Emissions 2016 - 305-1 Direct (Scope 1) GHG emissions (a)
 - GRI 305: Emissions 2016 - 305-2 Energy indirect (Scope 2) GHG emissions (a)
 - GRI 305: Emissions 2016 - 305-3 305-3 Other indirect (Scope 3) GHG emissions (a)
 - Recommendations of the Task Force on Climate-related Financial Disclosures (TCFD), 2017: Recommended Disclosure Metrics & Targets b)
 - CDP 2024 Questionnaire - 7.6
 - CDP 2024 Questionnaire - 7.7
 - CDP 2024 Questionnaire - 7.8

*Note the marked equivalencies are not a full equivalency with the entire sub-requirement, but with the respective metrics.



CA1.2 The company gets an independent third party to verify its annual greenhouse gas emissions inventory.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
XX Large	Service with Minor Environmental Footprint	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
X Large	Service with Minor Environmental Footprint	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Large	Service with Minor Environmental Footprint	All
Medium	None	None



Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
CA1.2	From Year 0	None	The company gets an independent third party to verify its annual greenhouse gas emissions inventory.



Compliance Criteria:

1.2.1 The company's annual greenhouse gas (GHG) emissions inventory is verified by an accredited and independent third party:

- a) in the fiscal year before Year 0
- b) in each subsequent year.

1.2.2. The independent third party verifies that the company's GHG emissions inventory:

- a) covers scope 1 and 2 emissions and all relevant categories of scope 3 emissions
- b) follows the methodology outlined under CA1.1.4.

Intent:

To ensure the company:

- builds stakeholder trust and confidence in its measurement of GHG emissions
- takes climate action informed by reliable data.

Clarifying the Compliance Criteria:

[1.2.1; 1.2.2] “Verification” is defined as confirmation of a claim, through the provision of objective evidence, that specified requirements have been fulfilled. Verification is considered to be a process for evaluating a claim based on historical data and information to determine whether the claim is materially correct and conforms with specified requirements. Verification is applied to claims regarding events that have already occurred or results that have already been obtained (confirmation of truthfulness) (Net Zero Guidelines, ISO) [\[EN\]](#).

[1.2.1] The independent third party is a Certification Body accredited under a relevant valid verification standard by a National Accreditation Body who is a member of the International Accreditation Forum, such as UKAS, DAkkS, COFRAC, ENAC, or RvA. Relevant verification standards include, for example:

- ISO 14064-3:2019
- ISAE 3410
- ISO 14065:2020
- ISO/IEC 17029:2019, dass
- ISO 14067:2018.

[1.2.1; 1.2.2] “Verification” is defined as confirmation of a claim, through the provision of objective evidence, that specified requirements have been fulfilled. Verification is considered to be a process for evaluating a claim based on historical data and information to determine whether the claim is materially correct and conforms with specified requirements. Verification is applied to claims regarding events that have already occurred or results that have already been obtained (confirmation of truthfulness) (Net Zero Guidelines, ISO) [\[EN\]](#).

Applying the Criteria to Independently Certifying Subsidiaries:

- The measurement covers the company. If the company references an out-of-scope measurement, it records:
 - the data and mechanism for measuring its own operations
 - how data is consolidated in the out-of-scope parent’s reporting.

Interoperability:

- Conceptual Alignment Data Point:



- o CDP 2024 Questionnaire - 7.9
- o CDP 2024 Questionnaire - 7.9.1
- o CDP 2024 Questionnaire - 7.9.2
- o CDP 2024 Questionnaire - 7.9.3



CA2 The company is committed to contribute to help keep global warming below 1.5 °C.

CA2.1 The company has a publicly available climate action plan.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
CA2.1	From Year 0	None	The company has a publicly available climate action plan.



Compliance Criteria:

2.1.1 The company publishes its climate action plan on its webpage or has another way for stakeholders to easily access it.

2.1.2 The company's action plan:

- a) commits to supporting the global ambition to limit global warming to 1.5°C
- b) includes specific, measurable, achievable, relevant, and time-bound (SMART) targets for performance and impact
- c) specifies how the company will allocate human, technical, and material resources for implementation
- d) outlines how the company will engage and work with stakeholders
- e) is approved by the highest governing body.

2.1.3 The company updates its action plan every 36 months.

Intent:

For the company to identify the actions it will take to address its GHG emissions and to contribute to global ambition to limit global warming to 1.5°C.

Clarifying the Compliance Criteria:

[2.1.1] The company's climate action plan is publicly available in one of the following.

- Its annual report
- An annual sustainability report
- An integrated annual report and sustainability report
- Another public report available on its webpage

[2.1.1] If the company has no website, it may make its plan publicly available in other forms, as long as it is accessible to stakeholders. For example, it may:

- use digital or printed brochures
- make information sheets available at physical locations
- share the update through its local partner organizations.

[2.1.2 b] Targets refer to non-emissions targets. The company's targets may be qualitative or quantitative, and its actions may impact different areas of its business, operations, or value chain. The company chooses actions and targets that allow it to collect and analyse performance data and measure progress. The company is not expected to set specific GHG reduction targets in its climate action plan.

[2.1.2 d] Actions in the company's climate transition plan:

- involve stakeholders
- reflect stakeholder input where necessary.

Applying the Criteria to Independently Certifying Subsidiaries:

- The climate action plan is embedded, at minimum, at the highest level within the company. If the company references a climate action plan belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the climate action plan.

- References to the highest governing body or executive team mean those within the company's scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body within its scope of certification.

Further Guidance:

- Potential actions include the following examples (for a more extensive list, see pages 110–111 of the GHG protocol's Corporate Value Chain (Scope 3) Accounting and Reporting Standard [\[EN\]](#) or the ISO Net Zero Guidelines [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[RU\]](#)).
- Energy
 - Reduce energy consumption
 - Replace high-GHG-emitting raw materials and capital goods with low-GHG-emitting ones
 - Change to lower-emitting fuels or energy sources
 - Generate energy on-site using renewable sources
 - Minimize waste and reduce consumption of raw materials and energy
- Suppliers
 - Source materials locally if doing so reduces net GHG emissions
 - Choose suppliers, including service providers, that have a climate strategy and are transparent about their emissions
- Transport and operations
 - Optimize the efficiency of transportation and distribution
 - Implement recycling measures with net GHG reductions
 - Reduce the quantity of waste generated in the company's operations
 - Replace higher-emitting modes of transport (e.g. planes) with lower-emitting modes (e.g. cargo ships)
- Ways of working
 - Reduce commuting distance (e.g. locate offices and facilities near urban centers and public transit)

- Incentivise workers to use public transit, bicycling, carpooling, etc.
- Implement remote working programs
- Reduce the company's business travel (e.g. use video conferencing and online meetings instead of traveling to meet in person) and encourage lower-emitting modes of travel (e.g. rail instead of plane)
- Reduce the number of days worked per week (e.g. use a schedule of four ten-hour days per week, instead of five eight-hour days)
- Business models
 - Develop new low- or zero-emitting products
 - Decrease the use-phase GHG intensity (emissions once a product is in a customer's hands) of the reporting company's entire product portfolio
 - Invest in lower-emitting investments, technologies, and projects
- Products
 - Develop products and services that contribute to the emergence of alternative value chains (e.g. increase quality and decrease cost of plant-based protein)
 - Redesigning and develop products and services to reduce their life cycle emissions
 - Promote, support and facilitate the circular economy (e.g. reuse, repair, refurbishment, repurposing, recycling)
- Finance
 - Ensure financial investments, including assets and pension funds, are aligned with climate action plan
 - Invest in GHG emissions reduction and removals projects
- The company's stakeholders include, for example:
 - stakeholders in the value chain (e.g. suppliers, distributors, and customers)
 - peers
 - industry alliances
 - governments

- local communities
- trade associations
- Civil Society Organizations (CSOs).

Recommendations:

- Outline the company's plan to measure its scope 1, 2, and 3 emissions.
- Set a science-based target to reduce the company's GHG emissions. Suggested target-setting tools are included under the Implementation Resources.
- Acknowledge in the climate action plan that focusing exclusively on carbon can have harmful unintended impacts on nature. For example, electric vehicle batteries require raw materials that can be extracted from high-conservation-value forest ecosystems in Central Africa. This can also have negative knock-on effects for communities if the environment is not safeguarded. (For more information, see Nature in transition plans: Why and how? from the World Wildlife Fund [\[EN\]](#)).
- Take a holistic view of how the climate action plan may also impact:
 - biodiversity, the integrity of ecosystems, and related critical services (e.g. food and water)
 - Indigenous Peoples, local communities, and minority and vulnerable groups (e.g. women, children, elderly people, and people with disabilities), as well as other stakeholders.
- Whenever relevant and possible, incorporate local and traditional knowledge from local communities and Indigenous Peoples into the climate action plan, building on their existing environmental stewardship and nature-based solutions.
- Compensate Indigenous Peoples appropriately when integrating their views or knowledge, and acknowledge their time and efforts.
- Reflect on whether the company's business model supports its climate targets. For example, the company may ask the following questions as part of its planning.
 - If a company without workers' business model depends on a lot of air travel (e.g. to participate in conferences or visit clients), how can it shift to a more sustainable model? Could the company participate in events only remotely, make onsite visits only for local clients, or move to a different type of client or industry?
 - If the company's current business model depends on putting more and more products on the market, is that approach aligned with reducing its GHG emissions? Could the company take on a more novel circular business model by providing its products as a service instead?

- If the company's products use ingredients from all over the world, how can it lower the impact of transporting those raw materials? Could the company source more ingredients locally, or diversify to other products or revenue streams?
- Consider including the following climate change mitigation actions as part of the company's climate transition plan.
 - Support GHG emission removals within or outside the company's value chain.
 - Support other climate change mitigation projects outside of the company's value chain.
 - Purchase high-integrity carbon credits. These mechanisms can provide financial support to help decarbonize economies in the Global South (see also "Beyond value chain mitigation" in the Implementation Resources). Note, carbon credits and offsets are not substitutes for reducing the company's GHG emissions, but they may be used to remove its residual emissions.
 - Pay special attention to respecting Indigenous Peoples' rights as part of any climate change mitigation projects.
 - Fund CSOs and grassroots organizations working on climate change mitigations, and support research and development of new carbon removal methods.
- Engage in climate advocacy, and review the company's membership with trade associations to stay engaged in climate advocacy that aligns with the goals of the Paris Agreement [Link to GACA2].
- Conduct a scenario analysis under a high-emissions scenario to ensure the company's climate action plan accounts for its climate-related risks and opportunities. Conducting a scenario analysis helps the company understand the cascading impacts of climate change on its business, its stakeholders, and society. It helps companies plan effective actions to prevent or mitigate potential negative impacts on the economy, environment, and people.

Implementation Resources:

Resources on action plans

- SME Climate Hub - various tools and a free training course [\[AR\]](#) [\[EN\]](#) [\[ES\]](#)
- Climate Transition Action Plans, 2022 - Guidance (We Mean Business Coalition) [\[EN\]](#)
- Assessing low carbon transition - Methodologies for various industries (ACT) [\[EN\]](#) [\[FR\]](#)
- Climate Transition Action Plans, 2022 (Transform to Net Zero) [\[EN\]](#)
- Nature in transition plans: Why and how?, 2023 (WWF) [\[EN\]](#)



- Climate Tools Base (B Corp Climate Collective) [\[EN\]](#)
- Disclosure Framework (Transition Plan Taskforce) [\[EN\]](#)

Resources on supplier engagement

- Engaging Supply Chains on the Decarbonization Journey, 2023 (Science Based Targets initiative) [\[EN\]](#)
- Supplier Engagement Guide (Exponential Roadmap initiative) [\[EN\]](#)
- 1.5°C Business Playbook, 2023 (Exponential Roadmap Initiative) [\[EN\]](#)
- Supplier Transformation Framework, 2023 (Transform to Net Zero) [\[EN\]](#)
- Net-Zero Ambition Assessment Tool (Sustainability Advantage) [\[EN\]](#)
- Net Zero Procurement Toolkit (Sustainability Advantage) [\[EN\]](#)

Examples of resources to set targets and take collective action (not exhaustive):

- SME Climate Hub - focuses on companies with less than 500 workers [\[AR\]](#) [\[EN\]](#) [\[ES\]](#)
- Science Based Targets initiative - includes SME track and large enterprise track [\[EN\]](#)
 - Science Based Targets initiative - Corporate Net-Zero tool [\[EN\]](#)
- United Nations Race to Zero Campaign (includes several initiatives/platforms companies can join) [\[EN\]](#)

Resources on contributing to the global ambition of 1.5°C (Net Zero)

- Net Zero Guidelines, 2022 (ISO) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[RU\]](#)
- Integrity matters: Net zero commitments by business, financial institutions, cities and regions, 2022 (United Nations High-level expert group on the net zero emissions commitments of non-state entities) [\[EN\]](#)
- Fairly contributing to global net zero - Initial framework for organizational climate mitigation strategies, 2023 (Gold Standard) [\[EN\]](#)
- 10 principles for an ambitious corporate climate strategy, 2022 (Net Zero Initiative) [\[EN\]](#)

Resources for financial institutions

- Glasgow Financial Alliance for Net Zero [\[EN\]](#)

- UN-convened Net Zero Asset Owner Alliance [\[EN\]](#)

Resources on climate education

- Climate Fresk [\[ES\]](#) [\[FR\]](#) [\[PT\]](#) [\[FR-CH\]](#) [\[DE-CH\]](#)

Resources on local action groups

- Alliances for Climate Action [\[Various languages\]](#), including AR, EN, ES FR, IT, PT, RU, ZH]
- United States: America is all in [\[EN\]](#)
- Alianza para la Acción Climática Argentina (ACAA) [\[ES\]](#)
- Better Futures Australia [\[EN\]](#)
- Alianza para la Acción Climática Chile (ACA-Chile) [\[ES\]](#)
- Japan Climate Initiative (JCI) [\[EN\]](#) [\[JP\]](#)

Resources on GHG mitigation for home office

- Homeworking emissions Whitepaper, 2020 (Ecoact) [\[EN\]](#)

Resources on energy-related measures

- Better Business Guide to Energy Saving (Carbon Trust) [\[EN\]](#)
- Climate Group RE100 [\[EN\]](#)

Resources on sustainable banks

- Bank.green [\[EN\]](#)
- Global Alliance for Banking on Values [\[EN\]](#)
- European Federation of Ethical and Alternative Banks and Financiers [\[EN\]](#)

Resources on scenario analysis

- The Use of Scenario Analysis in Disclosure of Climate-Related Risks and Opportunities (Task Force on Climate-related Financial Disclosures, 2017) [\[EN\]](#)

- Climate Scenario Analysis tool (World Business Council For Sustainable Development) [\[EN\]](#)
- Climate Scenarios (Business for Social Responsibility) [\[EN\]](#)

Resources on lobbying & advocacy

- AAA Framework for Climate Policy Leadership (Environmental Defense Fund) [\[EN\]](#)
- The 4 A's of Climate Leadership - Policy (We Mean Business Coalition) [\[EN\]](#)
- Influence Map - Reports on Climate Policy Engagement [\[EN\]](#)
- Climate Policy Engagement Guide (Transform to Net Zero) [\[EN\]](#)

Resources on high-integrity carbon credits and offsets

- The Core Carbon Principles (ICVCM) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[PT\]](#) [\[ZH\]](#)

Resources on beyond value chain mitigation

- Above and Beyond: An SBTi report on the design and implementation of beyond value chain mitigation (Science Based Targets initiative) [\[EN\]](#)
- Raising the Bar: An SBTi report on accelerating corporate adoption of BVCM (Science Based Targets initiative) [\[EN\]](#)



CA2.2 The company has science-based targets, validated by the Science Based Targets initiative or verified by an independent third party, to make a just contribution to the global goal of net zero greenhouse gas emissions by 2050.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
CA2.2	From Year 3	None	The company has science-based targets, validated by the Science Based Targets initiative or verified by an independent third party, to make a just contribution to the global goal of net zero greenhouse gas emissions by 2050.

Compliance Criteria:

2.2.1 The company's science-based targets are either:

- a) validated by the Science-Based Targets initiative
- b) verified by an independent and accredited third party.

2.2.2 The science-based targets include:

- a) net zero targets for scope 1, scope 2, and scope 3 greenhouse gas (GHG) emissions aligned with the 1.5°C trajectory, as recommended by the Paris Agreement
- b) near-term targets for scope 1, scope 2, and scope 3 GHG emissions.

2.2.3 The company records its:

- a) baseline year
- b) gross scope 1 GHGs in the baseline year (in metric tonnes of CO2 equivalent)
- c) gross scope 2 GHGs in the baseline year (in metric tonnes of CO2 equivalent)
- d) gross scope 3 GHGs in the baseline year (in metric tonnes of CO2 equivalent) from relevant categories.

Intent:

- For companies to set climate targets based on scientific evidence. Setting targets lets companies see how much they must decarbonize to align with the goals of the Paris Agreement, and how quickly.

Clarifying the Compliance Criteria:

[2.2.1] The third party is independent of:

- the organization that has gathered or provided the data
- any organizations that will use the data
- the recognized standard it is using for third-party verification.

[2.2.1] The independent third party is an accredited certification body under a valid verification standard. It is a member of an International Accreditation Forum or European Union Emissions Trading Scheme, such as UKAS, DAkkS, COFRAC, ENAC, or RvA. Valid certification standards include, for example:

- ISO 14064-3:2019
- ISAE 3410
- ISO 14065:2020
- ISO/IEC 17029:2019
- ISO 14067:2018.

[2.2.1, 2.2.2] For most companies, reaching their net zero target means a radical reduction in their scope 1, scope 2, and scope 3 emissions, according to the Net Zero Standard of the Science Based Target initiative (Version 1.2, March 2024) [\[EN\]](#). The company ensures the permanent high-quality removal of any residual emissions. The timeline and level of emissions reduction required may vary depending on the company's sector.

[2.2.2] "Near-term" and "net zero" targets are defined as follows, adapted from the Science Based Targets initiative (SBTi) [\[EN\]](#).

- Near-term science-based targets are 5–10-year GHG mitigation targets aligning with the Paris Agreement's 1.5°C trajectory. They serve as milestones on the company's path to their net zero science-based target. Setting near-term targets galvanizes the company to take the immediate action necessary.
- Net zero science-based targets set how much the company must reduce its emissions by to support the global goal of reaching net-zero by 2050 (or sooner). They drive long-term planning and enable the economy-wide alignment needed to make global emissions reductions.

[2.2.1, 2.2.2] For most companies, reaching their net zero target means a radical reduction in their scope 1, scope 2, and scope 3 emissions, according to the Net Zero Standard of the Science Based Target initiative (Version 1.2, March 2024) [\[EN\]](#). The company ensures the permanent



high-quality removal of any residual emissions. The timeline and level of emissions reduction required may vary depending on the company's sector.

[2.2.2] The company sets all its emission reduction targets in absolute emissions (metric tonnes of CO2 equivalent) — unless it uses an approved sector-specific physical intensity pathway, in accordance with the Science Based Targets initiative.

[2.2.2] The company sets a net zero target of 2050 or sooner, unless it is in the power or maritime transport sector. Companies in these high-emitting sectors target net zero by 2040 instead. These targets are from the Net Zero Standard of the Science Based Target initiative (Version 1.2, March 2024) [\[EN\]](#).

[2.2.2] Carbon credits and offsets do not count toward the company's emissions reductions but high-integrity carbon credits and offsets may be used to remove its residual emissions. Suggested resources to evaluate the credibility of carbon credits and offsets are included under the Implementation Resources.

Applying the Criteria to Independently Certifying Subsidiaries:

- The target is embedded, at minimum, at the highest level within the company. If the company references a target belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the target.

Further Guidance:

- The requirement to make a “just contribution” reflects the reality that not all companies have the same size or ability to contribute to global emissions reductions. Smaller companies, or those that are located in certain parts of the world may face greater hurdles to reducing their emissions.
- The company measures progress against its GHG reduction targets under CA3.7.

Recommendations:

- Set more ambitious near-term or net zero targets. For example, set a net zero target for 2040, ahead of 2050. Companies whose sector, size, or location cause significant GHG emissions should aim to decarbonize faster. To better understand a company or sector's historical emissions, use methods such as the Context-based carbon metric (for businesses) [\[EN\]](#).
- Invest in emissions reductions beyond the company's value chain to accelerate global progress towards net zero, and help others achieve their targets as quickly as possible (see Beyond Value Chain Mitigation under the Implementation Resources).

- Ensure the company's communications around progressing and achieving its net zero target align with the responsible marketing and communication policy sub-requirement [Link to PSG4.2]. This means centering communications on transparently contributing — at a fair scale — to global net zero efforts, rather than making inward-focused claims, such as carbon neutrality or a company-level net zero. This framing better reflects how companies become positive contributors to global efforts. The reality today is that global emissions are exceeding sustainable planetary thresholds by a large amount. Communications that suggest the company has no negative impact once it achieves net zero would be ignoring this reality.

Implementation Resources:

Examples of resources to set targets and take collective action (not exhaustive):

- Science Based Targets initiative - includes SME track and large enterprise track [\[EN\]](#)
- Science Based Targets initiative - Corporate Net-Zero tool [\[EN\]](#)
- SME Climate Hub - focuses on companies with less than 500 workers [\[AR\]](#) [\[EN\]](#) [\[ES\]](#)
- United Nations Race to Zero Campaign (includes several initiatives/platforms companies can join) [\[EN\]](#)

Resources for financial institutions:

- Glasgow Financial Alliance for Net Zero [\[EN\]](#)
- UN-convened Net Zero Asset Owner Alliance [\[EN\]](#)
- Resources for Financial Institutions (Science Based Targets initiative) [\[EN\]](#)

Resources on guidance for target-setting:

- Corporate Net-Zero Standard, March 2024 (Science Based Targets initiative) [\[EN\]](#)
- Net Zero Guidelines, 2022 (ISO) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[RU\]](#)
- Integrity matters: Net zero commitments by business, financial institutions, cities and regions, 2022 (United Nations High-level expert group on the net zero emissions commitments of non-state entities) [\[EN\]](#)
- Mission Possible: Reaching net-zero carbon emissions from harder-to-abate sectors (Energy Transitions Commission) [\[DE\]](#) [\[EN\]](#) [\[FR\]](#) [\[ZH\]](#)

Resources on climate education

- Climate Fresk [\[ES\]](#) [\[FR\]](#) [\[PT\]](#) [\[FR-CH\]](#) [\[DE-CH\]](#)

Resources on beyond value chain mitigation

- Above and Beyond: An SBTi report on the design and implementation of beyond value chain mitigation (Science Based Targets initiative) [\[EN\]](#)
- Raising the Bar: An SBTi report on accelerating corporate adoption of BVCM (Science Based Targets initiative) [\[EN\]](#)

Resources on high-integrity carbon credits and offsets

- The Core Carbon Principles (ICVCM) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[PT\]](#) [\[ZH\]](#)
- ICVCM's Carbon Credit Program and Category Assessment [\[EN\]](#)
- Carbon Credit Quality Initiative's Scoring Tool [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point:
 - European Sustainability Reporting Standards E1 2023 - Metrics and targets - Disclosure Requirement E1-4 – Targets related to climate change mitigation and adaptation 30, 34
 - IFRS S2 Climate-related disclosures 2023 - Climate-related targets 33, 34, 36
 - GRI 305: Emissions 2016 - 305-1 Direct (Scope 1) GHG emissions (d) (contingent on third-party assurance)
 - GRI 305: Emissions 2016 - 305-2 Energy indirect (Scope 2) GHG emissions (d) (contingent on third-party assurance)
 - GRI 305: Emissions 2016 - 305-3 305-3 Other indirect (Scope 3) GHG emissions (e) (contingent on third-party assurance)
 - Recommendations of the Task Force on Climate-related Financial Disclosures (TCFD), 2017: Recommended Disclosure Metrics & Targets c)
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Atmosphere - B06 Greenhouse gas emissions - b, d
 - CDP 2024 Questionnaire - 7.53
 - CDP 2024 Questionnaire - 7.53.1
 - CDP 2024 Questionnaire - 7.54.3



- Equivalency Data Point:
 - Near-term and Net Zero commitment made and target validated via the Science Based Targets initiative



CA2.3 The company has a climate transition plan to make a just contribution to the global goal of net zero emissions by 2050.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
CA2.3	From Year 3	None	The company has a climate transition plan to make a just contribution to the global goal of net zero emissions by 2050.

Compliance Criteria:

2.3.1 The company's climate transition plan:

- a) includes GHG mitigation actions to reach its net-zero and near-term science-based targets set under CA2.2
- b) clearly defines roles and responsibilities
- c) outlines how the company will engage and work with relevant stakeholders
- d) includes a viable resourcing plan to achieve the company's targets
- e) includes the investment allocated to implementing the transition plan in the last fiscal year, as both:
 - i) the total amount
 - ii) a percentage of the total investment in the fiscal year
- f) details how the company's current or future business model supports achieving its net zero target
- g) is approved by the highest governing body.

2.3.2 If the company has already reached its net zero target, it records:

- a) evidence that it used credible removals of its residual emissions
- b) the amount of GHG emissions removals or storage in its operations or value chain (in metric tonnes of CO2 equivalent)

Intent:

For the company to identify the actions it will take to address its GHG emissions. By doing so, the company makes its near-term and net zero targets meaningful and practical.

Clarifying the Compliance Criteria:

[2.3.1 a] If infrastructure challenges (e.g. lack of renewable energy) pose a risk to the company reaching its target, the company includes stakeholder engagement or collective action in its climate transition plan [Link to GACA2].

[2.3.1 a] The climate transition plan may have more detail about reaching the company's near-term targets. The company updates its transition plan when it sets a new near-term target (every 60 months at minimum).

[2.3.1 c] Actions in the company's climate transition plan:

- involve stakeholders
- reflect stakeholder input where necessary.

[2.3.1 d] Having a “viable resourcing plan” means the company does not allocate more resources than it is actually capable of generating and allocating. The company may use estimates when deciding how it will resource the plan over the longer term.

[2.3.1 e] The company may record “the investment allocated to the transition plan, using metrics such as capital expenditure (CapEx), operational expenditure (OpEx), or other relevant indicators.

Applying the Criteria to Independently Certifying Subsidiaries:

- The climate transition plan is embedded, at minimum, at the highest level within the company. If the company references a climate transition plan belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the climate transition plan.
- References to the highest governing body or executive team mean those within the company's scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body within its scope of certification.

Further Guidance:

- The company's relevant stakeholders include, for example:
 - stakeholders in the value chain (e.g. suppliers, distributors, and customers)
 - peers

- industry alliances
- governments
- local communities
- trade associations
- Civil Society Organizations (CSOs)
- The climate transition plan describes how the company's business model supports its climate targets. For example, the company may ask the following questions as part of its planning.
 - If the company's business model depends on a lot of air travel (e.g. to participate in conferences or visit clients), how can it shift to a more sustainable model? Could the company participate in events only remotely, make onsite visits only for local clients, or move to a different type of client or industry?
 - If the company's current business model depends on putting more and more products on the market, is that approach aligned with reducing its GHG emissions? Could the company take on a more novel circular business model by providing its products as a service instead?
 - If the company's products use ingredients from all over the world, how can it lower the impact of transporting those raw materials? Could the company source more ingredients locally, or diversify to other products or revenue streams?
- Purchasing high-integrity carbon credits is one example of acceptable GHG emissions removal or storage.
- The next sub-requirement (CA2.4) has additional criteria and guidance to ensure a just transition in the company's climate transition plan [Link to CA2.4].

Recommendations:

- Acknowledge in the climate transition plan that focusing exclusively on carbon can have harmful unintended impacts on nature. For example, electric vehicle batteries require raw materials that can be extracted from high-conservation-value forest ecosystems in Central Africa. This can also have negative knock-on effects for communities if the environment is not safeguarded. (For more information, see Nature in transition plans: Why and how? from the World Wildlife Fund [\[EN\]](#)).
- Take a holistic view of how the climate transition plan may also impact:
 - biodiversity, the integrity of ecosystems, and related critical services (e.g. food and water)

- Indigenous Peoples, local communities, and minority and vulnerable groups (e.g. women, children, elderly people, and people with disabilities), as well as other stakeholders.
- Whenever possible, incorporate local and traditional knowledge from local communities and Indigenous Peoples into the climate transition plan, building on their existing environmental stewardship and nature-based solutions.
- Compensate Indigenous Peoples appropriately when integrating their views or knowledge, and acknowledge their time and efforts.
- Consider including the following climate change mitigation actions as part of the company's climate transition plan.
 - Support GHG emission removals within or outside the company's value chain.
 - Support other climate change mitigation projects outside of the company's value chain.
 - Purchase high-integrity carbon credits. These mechanisms can provide financial support to help decarbonize economies in the Global South (see also "Beyond value chain mitigation" in the Implementation Resources). Note, carbon credits and offsets are not substitutes for reducing the company's GHG emissions, but they may be used to remove its residual emissions.
 - Pay special attention to respecting Indigenous Peoples' rights as part of any climate change mitigation projects.
 - Fund CSOs and grassroots organizations working on climate change mitigations, and support research and development of new carbon removal methods.
- Engage in climate advocacy, and review the company's membership with trade associations to stay engaged in climate advocacy that aligns with the goals of the Paris Agreement [Link to GACA2].
- Conduct a scenario analysis under a high-emissions scenario to ensure the company's climate transition plan accounts for its climate-related risks and opportunities. Conducting a scenario analysis helps the company understand the cascading impacts of climate change on its business, its stakeholders, and society. It helps companies plan effective actions to prevent or mitigate potential negative impacts on the economy, environment, and people.

Implementation Resources:

Resources on transition plan

- SME Climate Hub - various tools and a free training course [\[AR\]](#) [\[EN\]](#) [\[ES\]](#)
- Climate Transition Action Plans, 2022 - Guidance (We Mean Business Coalition) [\[EN\]](#)

- Assessing low carbon transition - Methodologies for various industries (ACT) [\[EN\]](#) [\[FR\]](#)
- Climate Transition Action Plans, 2022 (Transform to Net Zero) [\[EN\]](#)
- Nature in transition plans: Why and how?, 2023 (WWF) [\[EN\]](#)
- Climate Tools Base (B Corp Climate Collective) [\[EN\]](#)
- Disclosure Framework (Transition Plan Taskforce) [\[EN\]](#)

Resources on supplier engagement

- Engaging Supply Chains on the Decarbonization Journey, 2023 (Science Based Targets initiative) [\[EN\]](#)
- Supplier Engagement Guide (Exponential Roadmap initiative) [\[EN\]](#)
- 1.5°C Business Playbook, 2023 (Exponential Roadmap Initiative) [\[EN\]](#)
- Supplier Transformation Framework, 2023 (Transform to Net Zero) [\[EN\]](#)
- Net-Zero Ambition Assessment Tool (Sustainability Advantage) [\[EN\]](#)
- Net Zero Procurement Toolkit (Sustainability Advantage) [\[EN\]](#)

Resources on Net Zero guidance

- Net Zero Guidelines, 2022 (ISO) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[RU\]](#)
- Integrity matters: Net zero commitments by business, financial institutions, cities and regions, 2022 (United Nations High-level expert group on the net zero emissions commitments of non-state entities) [\[EN\]](#)
- Fairly contributing to global net zero - Initial framework for organisational climate mitigation strategies, 2023 (Gold Standard) [\[EN\]](#)
- 10 principles for an ambitious corporate climate strategy, 2022 (Net Zero Initiative) [\[EN\]](#)

Resources for financial institutions

- Glasgow Financial Alliance for Net Zero [\[EN\]](#)
- UN-convened Net Zero Asset Owner Alliance [\[EN\]](#)

Resources on climate education

- Climate Fresk [[ES](#)] [[FR](#)] [[PT](#)] [[FR-CH](#)] [[DE-CH](#)]

Resources on local action groups

- Alliances for Climate Action [[Various languages](#), including AR, EN, ES FR, IT, PT, RU, ZH]
- United States: America is all in [[EN](#)]
- Alianza para la Acción Climática Argentina (ACAA) [[ES](#)]
- Better Futures Australia [[EN](#)]
- Alianza para la Acción Climática Chile (ACA-Chile) [[ES](#)]
- Japan Climate Initiative (JCI) [[EN](#)] [[JP](#)]

Resources on GHG mitigation for home office

- Homeworking emissions Whitepaper, 2020 (Ecoact) [[EN](#)]

Resources on energy-related measures

- Better Business Guide to Energy Saving (Carbon Trust) [[EN](#)]
- Climate Group RE100 [[EN](#)]

Resources on sustainable banks:

- Bank.green [[EN](#)]
- Global Alliance for Banking on Values [[EN](#)]
- European Federation of Ethical and Alternative Banks and Financiers [[EN](#)]

Resources on scenario analysis

- The Use of Scenario Analysis in Disclosure of Climate-Related Risks and Opportunities (Task Force on Climate-related Financial Disclosures, 2017) [[EN](#)]
- Climate Scenario Analysis tool (World Business Council For Sustainable Development) [[EN](#)]
- Climate Scenarios (Business for Social Responsibility) [[EN](#)]

Resources on lobbying & advocacy

- AAA Framework for Climate Policy Leadership (Environmental Defense Fund) [\[EN\]](#)
- The 4 A's of Climate Leadership - Policy (We Mean Business Coalition) [\[EN\]](#)
- Influence Map - Reports on Climate Policy Engagement [\[EN\]](#)
- Climate Policy Engagement Guide (Transform to Net Zero) [\[EN\]](#)

Resources on high-integrity carbon credits and offsets

- The Core Carbon Principles (ICVCM) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[PT\]](#) [\[ZH\]](#)

Resources on beyond value chain mitigation

- Above and Beyond: An SBTi report on the design and implementation of beyond value chain mitigation (Science Based Targets initiative) [\[EN\]](#)
- Raising the Bar: An SBTi report on accelerating corporate adoption of BVCM (Science Based Targets initiative) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point:
 - European Sustainability Reporting Standards E1 2023 - Disclosure Requirement E1-1 – Transition plan for climate change mitigation 14, 16 a, b, i
 - European Sustainability Reporting Standards E1 2023 - Disclosure Requirement E1-3 – Actions and resources in relation to climate change policies 26
 - European Sustainability Reporting Standards E1 2023 - Disclosure Requirement E1-7 – GHG removals and GHG mitigation projects financed through carbon credits 56 a
 - IFRS S2 Climate-related disclosures 2023 - Governance 6 i, v.
 - IFRS S2 Climate-related disclosures 2023 - Strategy and decision making 14.
 - GRI 305: Emissions 2016 - 305-5 Reduction of GHG emissions (a)
 - Recommendations of the Task Force on Climate-related Financial Disclosures (TCFD), 2017: Recommended Disclosure Governance b)



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- o CDP 2024 Questionnaire - 7.55.3



CA2.4 The company consults workers and stakeholders to ensure a just transition in its climate transition plan.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
CA2.4	From Year 3	None	The company consults workers and stakeholders to ensure a just transition in its climate transition plan.

Compliance Criteria:

2.4.1 The company reviews its climate transition plan to identify which stakeholders

- a) it may affect, and to what extent the stakeholders could be positively or negatively affected.
- b) are most vulnerable to the effects of climate change.

2.4.2 The company engages with stakeholders in its value chain on its climate transition plan (including its suppliers or supply chain stakeholders at minimum).

2.4.3 The company engages with its workers on its climate transition plan.

2.4.4 To engage workers and stakeholders on its climate transition plan, the company:

- a) informs them about the climate transition plan
- b) gives them the opportunity to provide feedback on the climate transition plan
- c) outlines how it will work with them to implement the plan.

2.4.5 The company integrates feedback and adds any just transition actions that emerge from engagement with its workers and stakeholders into its climate action plan.

2.4.6 The company's climate transition plan includes dedicated resources (financial and staff time) and defined targets for its just transition actions.

Intent:

To ensure the company's climate transition plan is holistic and just. This means the company both:

- embraces opportunities its plan may provide for stakeholders (including those who are affected by the company's transition plan)
- carefully evaluates any unintended consequences of its climate change mitigation actions.

Clarifying the Compliance Criteria:

[2.4.1, 2.4.2] A just transition is a continuous process. As the company reviews and updates its climate transition plan, it may need to consider new and emerging impacts on stakeholders. The company integrates new insights and the results of its consultation with affected stakeholders into its climate transition plan [link to CA2.3].

[2.4.2] When engaging with stakeholders in its value chain, the company prioritizes either (or both) the groups who:

- face the highest risks of negative transition impacts
- are most vulnerable to the effects of climate change.

[2.4.1, 2.4.2] A just transition is a continuous process. As the company reviews and updates its climate transition plan, it may need to consider new and emerging impacts on stakeholders. The company integrates new insights and the results of its consultation with affected stakeholders into its climate transition plan [link to CA2.3].

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- As well as suppliers and supply chain stakeholders, stakeholders in the company's value chain may include:
 - customers and clients
 - local communities - i.e. where offices or facilities of the company, its subsidiaries, its suppliers, or its investments are located.
- Ensuring a just transition is a continuous process [Link to CA3.5]. The company reflects this continuous effort in the reviews and updates of its climate transition plan [Link to CA3.4].

Recommendations:



- Consider additional just transition indicators, as described in the GRI Climate Standard. These include:
 - the total number of jobs created as a result of the company's transition plan, and actions it takes to ensure they are paid enough
 - the total number of jobs lost as a result of the company's transition plan
 - the ratio of jobs that have been redeployed to jobs lost as a result of the company's transition plan
 - the number of employees who received training to implement the transition plan
 - the locations where the company's transition plan impacts local communities and Indigenous Peoples, and the percentage of locations where the company has reached an agreement with local communities and Indigenous Peoples to safeguard their interests.
- Make efforts to further advance climate justice. "Climate justice" overlaps with the concept of just transition, but there are some differences. While a "just transition" is about ensuring the move to a low-emissions economy is fair and inclusive, climate justice focuses on frontline communities who experience disproportionate impacts of the climate crisis. To advance climate justice, the company may support or take action with frontline communities in its value chain (workers, customers, suppliers, community) or other stakeholders who are being severely impacted by climate change.
- Identify and work with a wide range of different stakeholders to advance climate justice, such as:
 - workers and their families
 - policymakers
 - climate justice activists
 - suppliers and supply chain stakeholders
 - aligned businesses
 - local communities
 - customers and clients
 - colleges and universities.
- When engaging with workers on the company's climate transition plan, find out how workers are impacted by climate change issues in their personal and professional lives. This information may also help to inform the climate transition plan.

- Consider creating formal or informal partnerships with stakeholders to advance climate justice. These partnerships might range from one-off engagements to longer-term projects.
- Read B Lab's Climate Justice Playbook on page 20 and 21 for suggestions on how to get started [\[EN\]](#).
- Undertake additional climate justice actions, such as:
 - supporting the resilience of workers in locations most impacted by climate change
 - engaging workers, customers, and stakeholders in climate education and awareness campaigns
 - investing in renewable energy and climate-friendly technologies in locations lacking infrastructure
 - supporting suppliers who are affected by climate change (i.e. funding climate justice projects in farming and agricultural communities, or providing training and building capacity)
 - investing in climate change mitigation, adaptation, and resiliency measures for frontline communities
 - making basic products and social services more accessible for people and communities most impacted by climate change.

Implementation Resources:

Resources on just transition

- Just Transition Resource Platform (We Mean Business Coalition) [\[EN\]](#)
- Climate Transition Action Plans, 2022 - Guidance (We Mean Business Coalition) [\[EN\]](#)
- Just transition: A Business Guide (The B team) [\[EN\]](#)
- A Framework for Just Transitions (Just Transition Initiative) - The framework illustrates how achieving just transition ambitions will require actions across two critical dimensions: social inclusion and distributional impacts. [\[EN\]](#)
- Introduction to a Just Transition – A business brief, 2022 (United Nations Global Compact Think Lab) [\[EN\]](#)
- Just Transition and Just Resilience: How the UN Guiding Principles can help companies to respect human rights when taking climate action, 2023 (Shift Project) [\[EN\]](#)
- Assessing a just transition: measuring the decarbonisation and energy transformation that leaves no one behind, 2021 (World Benchmarking Alliance) [\[EN\]](#)



- Net Zero Guidelines, ISO [\[EN\]](#)

Resources on climate Justice

- The Climate Justice Playbook for Business, 2021 (B Lab) [\[EN\]](#)
- Climate Justice Toolkit, 2023 (B Lab US & Canada) [\[EN\]](#)
- Business and Climate Justice, 2022 (Business Fights Poverty) [\[EN\]](#)

CA3 The company implements and makes progress on its climate action plan.

CA3.1 If the company has an existing incentive remuneration scheme for the executive team, it integrates climate targets.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	None	None
Small	None	None



Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
CA3.1	From Year 3	Large / X Large / XX Large	If the company has an existing incentive remuneration scheme for the executive team, it integrates climate targets.



Compliance Criteria:

3.1.1 The incentive scheme is determined either by an annual performance evaluation or during the company's annual fiscal review.

3.1.2 The company records annual data on the value of monetary rewards tied to achieving climate-related performance targets for the executive team (or part of it) as a percentage of the executive's salary.

Intent:

To ensure the company's overall commitment to climate action filters into its executive team's incentives and actions.

Clarifying the Compliance Criteria:

[3.1.1; 3.1.2] In some companies, the executive team is the highest governing body; in others, the executive team implements the strategy set by the highest governing body. The two groups may or may not overlap. This sub-requirement applies to the executive team if the company does not have a separate highest governing body.

[3.1.1] Either of the following incentive schemes is acceptable:

- a scheme that rewards different members of the executive team for achieving individual targets
- a group or company objective with one scheme applied to all executives.

[3.1.1] Incentives are monetary.

[3.1.1] An incentive remuneration scheme is considered to exist when executive management compensation includes variable components tied to performance. For example, if a company distributes executive compensation based solely on a fixed percentage of profit, without tying it to individual performance goals, it is not considered a formal incentive scheme.

[3.1.1; 3.1.2] In some companies, the executive team is the highest governing body; in others, the executive team implements the strategy set by the highest governing body. The two groups may or may not overlap. This sub-requirement applies to the executive team if the company does not have a separate highest governing body.

[3.1.2] “Climate-related performance targets” in incentive schemes refers to:

- scope 1, scope 2, and scope 3 greenhouse gas (GHG) emissions reduction targets
- related energy efficiency targets.

[3.1.2] Climate-related performance targets may be integrated in short-term or long-term incentive schemes, or both.

Applying the Criteria to Independently Certifying Subsidiaries:

- References to the executive team are within the scope of certification of the certifying company. This means the company may refer to an incentive scheme belonging to an out-of-scope parent or create its own incentive scheme, as long as it applies to the executive team within the scope of certification.
- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms

- o how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Examples of monetary incentives include:
 - o bonuses (as a set figure or percentage of salary)
 - o promotion
 - o salary increase
 - o shares
 - o profit sharing
 - o retirement plan.
- This sub-requirement intersects with PSG5.4. Fulfilling this sub-requirement can partially meet the “environmental performance targets” aspect of PSG5.4.

Interoperability:

- Conceptual Alignment Data Point:
 - o European Sustainability Reporting Standards E1 2023 - Disclosure requirement related to ESRS 2 GOV-3 Integration of sustainability-related performance in incentive schemes 13.
 - o IFRS S2 Climate-related disclosures 2023 - Climate-related metrics 29 g
 - o Recommendations of the Task Force on Climate-related Financial Disclosures (TCFD), 2017: Recommended Disclosure Metrics and Targets a)
 - o CDP 2024 Questionnaire - 4.5
 - o CDP 2024 Questionnaire - 4.5.1



CA3.2 The company uses advocacy to support the global goal of net zero emissions by 2050.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	None	None
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
CA3.2	From Year 3	None	The company uses advocacy to support the global goal of net zero emissions by 2050.



Compliance Criteria:

3.2.1 The company makes a demonstrable contribution to climate advocacy to support the global goal of net zero emissions by 2050, through either or both:

- a) public policy engagement
- b) its trade associations, alliances, or coalitions.

3.2.2 The company has engaged in advocacy at least once between Year 0 and Year 3, and at least once between Year 3 and Year 5.

3.2.3 The company's advocacy work promotes science-based climate policies that align with the global goal of net zero emissions by 2050.

3.2.4 The company identifies the specific outcomes it aims to achieve through its climate advocacy.

3.2.5 The company has one or more resources to support its public policy advocacy work:

- a) financial contributions
- b) in-kind contribution
- c) active staff time

Intent:

To ensure the company uses its influence beyond its own operations and value chain. Climate advocacy is critical to supporting and accelerating climate transition plans, and to achieving the global goal of net zero by 2050.

Clarifying the Compliance Criteria:

[3.2.1; 3.2.2; 3.2.3; 3.2.4; 3.2.5] The company's actions under this sub-requirement do not count toward the Government Affairs and Collective Action Impact Topic [link to GACA2.3c and GACA2.3d].

[3.2.1] Advocacy may involve either:

- publicly advocating for science-based climate policies aligned with the global net zero target
- actively working to align the company's trade associations, alliances, and coalitions with the goal of net zero by 2050.

[3.2.1] Although the company's advocacy may not necessarily lead to a positive outcome, it makes a clear contribution.

[3.2.1] When engaging in advocacy at the industry level the company follows any applicable local and national antitrust laws.

[3.2.1; 4.2.2; 3.2.3; 3.2.4; 3.2.5] The company's actions under this sub-requirement do not count toward the Government Affairs and Collective Action Impact Topic [link to GACA2.3c and GACA2.3d].

[3.2.1; 3.2.2; 3.2.3; 3.2.4; 3.2.5] The company's actions under this sub-requirement do not count toward the Government Affairs and Collective Action Impact Topic [link to GACA2.3c and GACA2.3d].

[3.2.1; 3.2.2; 3.2.3; 3.2.4; 3.2.5] The company's actions under this sub-requirement do not count toward the Government Affairs and Collective Action Impact Topic [link to GACA2.3c and GACA2.3d].

[3.2.1; 3.2.2; 3.2.3; 3.2.4; 3.2.5] The company's actions under this sub-requirement do not count toward the Government Affairs and Collective Action Impact Topic [link to GACA2.3c and GACA2.3d].

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- The company discloses any financial or in-kind political contributions it makes under GACA1.2.

- The company's advocacy efforts for a positive outcome may involve, among other actions:
 - supporting or endorsing a public policy advocacy or lobby campaign to enable effective climate action
 - raising awareness of a petition using the company's communication channels or other stakeholder engagement (simply signing a petition does not meet the sub-requirement)
 - taking a visible and public stand, led by a member of the executive team, to influence public policy lobbying and strengthen climate action
 - contributing to a government consultation on science-based climate policies
 - participating in a government working group or collaboration to enhance climate action (e.g. by testifying, making recommendations, or providing expertise)
 - engaging an industry or professional association to advocate for bold climate policies or industry-wide climate action, or to align their position with the goal of net zero by 2050
 - advocating for appropriate regulation and supporting measures that help achieve net zero across all organizations by 2050, and halve global GHG emissions by 2030
 - contributing to national and international events that demonstrate practical ways to apply climate solutions on a large scale
 - advocating for industry bodies to take clearer and stronger positions on climate policy.
- The company may consider advocating for:
 - setting targets to reduce emissions and disclose emissions transparently, aligned with the goal of net zero emissions by 2050
 - enabling the transition to renewable energy
 - eliminating deforestation in supply chains and commodities
 - protecting biodiversity and ecosystem services
 - introducing circular economy practices that reduce overall emissions.

Implementation Resources:

Resources on lobbying & advocacy



-
- AAA Framework for Climate Policy Leadership (Environmental Defense Fund) [\[EN\]](#)
 - The 4 A's of Climate Leadership - Policy (We Mean Business Coalition) [\[EN\]](#)
 - Influence Map - Reports on Climate Policy Engagement [\[EN\]](#)
 - Climate Policy Engagement Guide (Transform to Net Zero) [\[EN\]](#)
 - Responsible Lobbying Framework [\[EN\]](#)
 - Towards Responsible Lobbying (United Nations Global Compact) [\[EN\]](#)



CA3.3 The company makes progress on its climate action plan and evaluates its effectiveness.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
CA3.3	From Year 3	Micro / Company without workers / Small / Medium	The company makes progress on its climate action plan and evaluates its effectiveness.

Compliance Criteria:

3.3.1 The company records its progress against its climate action plan.

3.3.2 The company:

- a) takes actions aligned with the latest version of its climate action plan
- b) reviews and updates its targets where necessary.

3.3.3 Where the climate action plan was ineffective, the company evaluates the plan and records:

- a) what lessons it has learned
- b) what it plans to do differently
- c) how it has updated its action plan.

Intent:

For the company to make progress on its climate action plan, and ensure its actions lead to the intended results. The intent of the plan is for the company to evaluate, learn, and continuously improve.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - o roll out, enforcement, and accountability mechanisms
 - o how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Recommendations:

- Ensure the company's communications around progressing on its climate action plan aligns with the responsible marketing and communication policy sub-requirement [link to PSG4.1 & 4.2].
- When evaluating the effectiveness of the strategy, the company also considers other sources of information, such as emerging guidance and expert advice.

Implementation Resources:

Resources on action plans

- SME Climate Hub - various tools and a free training course [\[AR\]](#) [\[EN\]](#) [\[ES\]](#)
- Climate Transition Action Plans, 2022 - Guidance (We Mean Business Coalition) [\[EN\]](#)
- Assessing low carbon transition - Methodologies for various industries (ACT) [\[EN\]](#) [\[FR\]](#)
- Climate Transition Action Plans, 2022 (Transform to Net Zero) [\[EN\]](#)
- Nature in transition plans: Why and how?, 2023 (WWF) [\[EN\]](#)
- Climate Tools Base (B Corp Climate Collective) [\[EN\]](#)
- Disclosure Framework (Transition Plan Taskforce) [\[EN\]](#)

Resources on supplier engagement

- Engaging Supply Chains on the Decarbonization Journey, 2023 (Science Based Targets initiative) [\[EN\]](#)
- Supplier Engagement Guide (Exponential Roadmap initiative) [\[EN\]](#)
- 1.5°C Business Playbook, 2023 (Exponential Roadmap Initiative) [\[EN\]](#)
- Supplier Transformation Framework, 2023 (Transform to Net Zero) [\[EN\]](#)
- Net-Zero Ambition Assessment Tool (Sustainability Advantage) [\[EN\]](#)
- Net Zero Procurement Toolkit (Sustainability Advantage) [\[EN\]](#)

Examples of resources to set targets and take collective action (not exhaustive):

- SME Climate Hub - focuses on companies with less than 500 workers [\[AR\]](#) [\[EN\]](#) [\[ES\]](#)
- Science Based Targets initiative - includes SME track and large enterprise track [\[EN\]](#)
- Science Based Targets initiative - Corporate Net-Zero tool [\[EN\]](#)
- United Nations Race to Zero Campaign (includes several initiatives/platforms companies can join) [\[EN\]](#)

Resources on contributing to the global ambition of 1.5°C (Net Zero)

- Net Zero Guidelines, 2022 (ISO) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[RU\]](#)
- Integrity matters: Net zero commitments by business, financial institutions, cities and regions, 2022 (United Nations High-level expert group on the net zero emissions commitments of non-state entities) [\[EN\]](#)
- Fairly contributing to global net zero - Initial framework for organizational climate mitigation strategies, 2023 (Gold Standard) [\[EN\]](#)
- 10 principles for an ambitious corporate climate strategy, 2022 (Net Zero Initiative) [\[EN\]](#)

Resources for financial institutions

- Glasgow Financial Alliance for Net Zero [\[EN\]](#)
- UN-convened Net Zero Asset Owner Alliance [\[EN\]](#)

Resources on climate education

- Climate Fresk [\[ES\]](#) [\[FR\]](#) [\[PT\]](#) [\[Brazil PT\]](#) [\[FR-CH\]](#) [\[DE-CH\]](#)

Resources on local action groups

- Alliances for Climate Action [\[Various languages\]](#), including AR, EN, ES FR, IT, PT, RU, ZH]
- United States: America is all in [\[EN\]](#)
- Alianza para la Acción Climática Argentina (ACAA) [\[ES\]](#)
- Better Futures Australia [\[EN\]](#)
- Alianza para la Acción Climática Chile (ACA-Chile) [\[ES\]](#)
- Japan Climate Initiative (JCI) [\[EN\]](#) [\[JP\]](#)

Resources on GHG mitigation for home office

- Homeworking emissions Whitepaper, 2020 (Ecoact) [\[EN\]](#)

Resources on energy-related measures

- Better Business Guide to Energy Saving (Carbon Trust) [\[EN\]](#)

- Climate Group RE100 [\[EN\]](#)

Resources on sustainable banks

- Bank.green [\[EN\]](#)
- Global Alliance for Banking on Values [\[EN\]](#)
- European Federation of Ethical and Alternative Banks and Financiers [\[EN\]](#)

Resources on scenario analysis

- The Use of Scenario Analysis in Disclosure of Climate-Related Risks and Opportunities (Task Force on Climate-related Financial Disclosures, 2017) [\[EN\]](#)
- Climate Scenario Analysis tool (World Business Council For Sustainable Development) [\[EN\]](#)
- Climate Scenarios (Business for Social Responsibility) [\[EN\]](#)

Resources on lobbying & advocacy

- AAA Framework for Climate Policy Leadership (Environmental Defense Fund) [\[EN\]](#)
- The 4 A's of Climate Leadership - Policy (We Mean Business Coalition) [\[EN\]](#)
- Influence Map - Reports on Climate Policy Engagement [\[EN\]](#)
- Climate Policy Engagement Guide (Transform to Net Zero) [\[EN\]](#)

Resources on high-integrity carbon credits and offsets

- The Core Carbon Principles (ICVCM) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[PT\]](#) [\[ZH\]](#)

Resources on beyond value chain mitigation

- Above and Beyond: An SBTi report on the design and implementation of beyond value chain mitigation (Science Based Targets initiative) [\[EN\]](#)
- Raising the Bar: An SBTi report on accelerating corporate adoption of BVCM (Science Based Targets initiative) [\[EN\]](#)



CA3.4 The company makes progress on its climate transition plan and evaluates its effectiveness.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
CA3.4	From Year 5	None	The company makes progress on its climate transition plan and evaluates its effectiveness.



Compliance Criteria:

3.4.1 The company records its progress toward its near-term and net zero targets, both:

- a) in metric tonnes of CO2 equivalent
- b) as a percentage of the emissions in its baseline year.

3.4.2 The company:

- a) takes actions aligned with the latest version of its climate action plan
- b) continues to set near-term targets every 60 months.

3.4.3 Where the climate transition plan was ineffective, the company evaluates the plan and records:

- a) what lessons it has learned
- b) what it plans to do differently
- c) how it has updated the transition plan.

3.4.4 If the company has reached its net zero target, it:

- a) ensures permanent removals of any residual emissions
- b) maintains the removals and emissions reductions it has achieved
- c) records the amount of greenhouse gas (GHG) emissions removals or storage in its operations or value chain (in metric tonnes of CO2 equivalent).

Intent:

For the company to make progress on its climate action plan, and ensure its actions lead to the intended results.

Clarifying the Compliance Criteria:

[3.4.1] When recording its progress in metric tons of CO₂ equivalent, the company identifies the change in emissions by subtracting its baseline year emissions from the emissions in the reporting year.

[3.4.1] When recording its progress as a percentage of the emissions in its baseline year, the company applies the following formula.

- $\text{Progress (\%)} = (\text{change in emissions} / \text{baseline year emissions}) \times 100$.

[3.4.1] Evaluating the effectiveness of the company's climate transition plan goes beyond assessing its targets and key indicators.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Purchasing high-integrity carbon credits is one example of acceptable GHG emissions removal or storage.
- When evaluating the effectiveness of the strategy, the company also considers other sources of information, such as emerging guidance and expert advice (e.g. from the Intergovernmental Panel on Climate Change or Science Based Targets initiative).



Recommendations:

- Ensure the company's communications around progressing and achieving its net zero target align with the responsible marketing and communication policy sub-requirement [link to PSG4.1 & 4.2]. This means centering communications on transparently contributing — at a fair scale — to global net zero efforts, rather than making inward-focused claims, such as carbon neutrality or a company-level net zero. This framing better reflects how companies become positive contributors to global efforts. The reality today is that global emissions are exceeding sustainable planetary thresholds by a large amount. Communications that suggest the company has no negative impact once it achieves net zero would be ignoring this reality.

Implementation Resources:

Resources on transition plans

- SME Climate Hub - various tools and a free training course [\[AR\]](#) [\[EN\]](#) [\[ES\]](#)
- Climate Transition Action Plans, 2022 - Guidance (We Mean Business Coalition) [\[EN\]](#)
- Assessing low carbon transition - Methodologies for various industries (ACT) [\[EN\]](#) [\[FR\]](#)
- Climate Transition Action Plans, 2022 (Transform to Net Zero) [\[EN\]](#)
- Nature in transition plans: Why and how?, 2023 (WWF) [\[EN\]](#)
- Climate Tools Base (B Corp Climate Collective) [\[EN\]](#)
- Disclosure Framework (Transition Plan Taskforce) [\[EN\]](#)

Resources on supplier engagement

- Engaging Supply Chains on the Decarbonization Journey, 2023 (Science Based Targets initiative) [\[EN\]](#)
- Supplier Engagement Guide (Exponential Roadmap initiative) [\[EN\]](#)
- 1.5°C Business Playbook, 2023 (Exponential Roadmap Initiative) [\[EN\]](#)
- Supplier Transformation Framework, 2023 (Transform to Net Zero) [\[EN\]](#)
- Net Zero Procurement Toolkit (Sustainability Advantage) [\[EN\]](#)

Resources on Net Zero guidance

- Net Zero Guidelines, 2022 (ISO) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[RU\]](#)
- Integrity matters: Net zero commitments by business, financial institutions, cities and regions, 2022 (United Nations High-level expert group on the net zero emissions commitments of non-state entities) [\[EN\]](#)
- Fairly contributing to global net zero - Initial framework for organizational climate mitigation strategies, 2023 (Gold Standard) [\[EN\]](#)
- 10 principles for an ambitious corporate climate strategy, 2022 (Net Zero Initiative) [\[EN\]](#)

Resources for financial institutions

- Glasgow Financial Alliance for Net Zero [\[EN\]](#)
- UN-convened Net Zero Asset Owner Alliance [\[EN\]](#)

Resources on climate education

- Climate Fresk [\[ES\]](#) [\[FR\]](#) [\[PT\]](#) [\[Brazil PT\]](#) [\[FR-CH\]](#) [\[DE-CH\]](#)

Resources on local action groups

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- Alianza para la Acción Climática Argentina (ACAA) [\[ES\]](#)
- Better Futures Australia [\[EN\]](#)
- Alianza para la Acción Climática Chile (ACA-Chile) [\[ES\]](#)
- Japan Climate Initiative (JCI) [\[EN\]](#) [\[JP\]](#)

Resources on GHG mitigation for home office

- Homeworking emissions Whitepaper, 2020 (Ecoact) [\[EN\]](#)

Resources on energy-related measures

- Better Business Guide to Energy Saving (Carbon Trust) [\[EN\]](#)



- Climate Group RE100 [\[EN\]](#)

Resources on sustainable banks

- Bank.green [\[EN\]](#)
- Global Alliance for Banking on Values [\[EN\]](#)
- European Federation of Ethical and Alternative Banks and Financiers [\[EN\]](#)

Resources on scenario analysis

- The Use of Scenario Analysis in Disclosure of Climate-Related Risks and Opportunities (Task Force on Climate-related Financial Disclosures, 2017) [\[EN\]](#)
- Climate Scenario Analysis tool (World Business Council For Sustainable Development) [\[EN\]](#)
- Climate Scenarios (Business for Social Responsibility) [\[EN\]](#)

Resources on lobbying & advocacy

- AAA Framework for Climate Policy Leadership (Environmental Defense Fund) [\[EN\]](#)
- The 4 A's of Climate Leadership - Policy (We Mean Business Coalition) [\[EN\]](#)
- Influence Map - Reports on Climate Policy Engagement [\[EN\]](#)
- Climate Policy Engagement Guide (Transform to Net Zero) [\[EN\]](#)

Resources on high-integrity carbon credits and offsets

- The Core Carbon Principles (ICVCM) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[PT\]](#) [\[ZH\]](#)

Resources on beyond value chain mitigation

- Above and Beyond: An SBTi report on the design and implementation of beyond value chain mitigation (Science Based Targets initiative) [\[EN\]](#)
- Raising the Bar: An SBTi report on accelerating corporate adoption of BVCM (Science Based Targets initiative) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point:
 - European Sustainability Reporting Standards E1 2023 - Disclosure Requirement E1-1 – Transition plan for climate change mitigation 16 j
 - European Sustainability Reporting Standards E1 2023 - Disclosure Requirement E1-3 – Actions and resources in relation to climate change policies 26
 - European Sustainability Reporting Standards E1 2023 - Disclosure Requirement E1-7 – GHG removals and GHG mitigation projects financed through carbon credits 56 a
 - IFRS S2 Climate-related disclosures 2023 - Strategy and decision making 14.
 - IFRS S2 Climate-related disclosures 2023 - Climate-related targets 35.
 - GRI 305: Emissions 2016 - 305-5 Reduction of GHG emissions (a)
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Atmosphere - B06 Greenhouse gas emissions - c
 - CDP 2024 Questionnaire - 7.53.1
 - CDP 2024 Questionnaire - 7.55.2
 - Fairtrade Trader Standard v2.2, 2024 (Fairtrade International) 4.2.6



CA3.5 The company takes action for a just transition.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None



ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
CA3.5	From Year 5	None	The company takes action for a just transition.



Compliance Criteria:

3.5.1 Following consultation with workers and stakeholders on its climate transition plan (in CA2.4), the company records its actions to support a just transition.

Intent:

For the company to take action toward a just transition, and monitor its progress to ensure its efforts have been effective.

Clarifying the Compliance Criteria:

[3.5.1] A just transition is a continuous process. As the company engages with stakeholders on its climate transition plan, it ensures the outcomes of these discussions lead to practical steps, and tracks progress toward them. [\[link to CA2.4\]](#).

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Implementation Resources:

Resources on just transition

- Just Transition Resource Platform (We Mean Business Coalition) [\[EN\]](#)
- Climate Transition Action Plans, 2022 - Guidance (We Mean Business Coalition) [\[EN\]](#)
- Just transition: A Business Guide (The B team) [\[EN\]](#)
- A Framework for Just Transitions (Just Transition Initiative) - The framework illustrates how achieving just transition ambitions will require actions across two critical dimensions: social inclusion and distributional impacts. [\[EN\]](#)
- Introduction to a Just Transition – A business brief, 2022 (United Nations Global Compact Think Lab) [\[EN\]](#)
- Just Transition and Just Resilience: How the UN Guiding Principles can help companies to respect human rights when taking climate action, 2023 (Shift Project) [\[EN\]](#)
- Assessing a just transition: measuring the decarbonisation and energy transformation that leaves no one behind, 2021 (World Benchmarking Alliance) [\[EN\]](#)
- Net Zero Guidelines, ISO [\[EN\]](#)

Resources on climate Justice

- The Climate Justice Playbook for Business, 2021 (B Lab) [\[EN\]](#)



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- Climate Justice Toolkit, 2023 (B Lab US & Canada) [\[EN\]](#)
 - Business and Climate Justice, 2022 (Business Fights Poverty) [\[EN\]](#)



CA3.6 The company publicly discloses its progress on its climate action plan.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All
Medium	Service with Minor Environmental Footprint	All
Small	Wholesale/Retail	All
Small	Service with Significant Environmental Footprint	All
Small	Manufacturing	All
Small	Agriculture/Growers	All
Small	Service with Minor Environmental Footprint	All
Micro	Wholesale/Retail	All
Micro	Service with Significant Environmental Footprint	All
Micro	Manufacturing	All



Micro	Agriculture/Growers	All
Micro	Service with Minor Environmental Footprint	All
Company without workers	Wholesale/Retail	All
Company without workers	Service with Significant Environmental Footprint	All
Company without workers	Manufacturing	All
Company without workers	Agriculture/Growers	All
Company without workers	Service with Minor Environmental Footprint	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
CA3.6	From Year 3	None	The company publicly discloses its progress on its climate action plan.



Compliance Criteria:

3.6.1 The company reports progress against its climate action plan on its webpage or has another way for stakeholders to easily access it.

3.6.2 In its reporting, the company discloses:

- a) its performance
- b) actions implemented to achieve its targets.

Intent:

To ensure the company transparently reports its climate performance to its stakeholders, and is accountable for its commitments and plans. Communicating the company's climate successes and failures honestly helps foster trust with its stakeholders.

Clarifying the Compliance Criteria:

[3.6.1] The company makes its progress publicly available in one of the following.

- Its annual report
- An annual sustainability report
- An integrated annual report and sustainability report
- Another public report available on its webpage

[3.6.1] If the company has no website, it may make its plan publicly available in other forms, as long as it is accessible to stakeholders. For example, it may:

- use digital or printed brochures
- make information sheets available at physical locations
- share the update through its local partner organizations.

Applying the Criteria to Independently Certifying Subsidiaries:

- The reporting scope covers the company. If the company references a corporate group report that includes out-of-scope entities, either:
 - the performance of the company is clearly identifiable within the group report
 - the company publicly shares its own report on its webpage.

Recommendations:

- Ensure the company's communications around progressing on its climate action plan aligns with the responsible marketing and communication policy sub-requirement [link to PSG4.2].
- The company follows a credible third-party standard in its disclosure reporting framework. This includes, for example:
 - Global Reporting Initiative (GRI)



-
- o Carbon Disclosure Project (CDP)
 - o European Sustainability Reporting Standards — E1.



CA3.7 The company publicly discloses its progress on its climate transition plan annually.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
XX Large	Service with Minor Environmental Footprint	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
X Large	Service with Minor Environmental Footprint	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Large	Service with Minor Environmental Footprint	All
Medium	None	None



Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
CA3.7	From Year 5	None	The company publicly discloses its progress on its climate transition plan annually.



Compliance Criteria:

3.7.1 The company's progress against its climate transition plan is publicly available, including its:

- a) GHG inventory including the following.
 - i) Gross scope 1 GHGs (in metric tonnes of CO2 equivalent)
 - ii) Gross location-based scope 2 GHGs (in metric tonnes of CO2 equivalent)
 - iii) Gross market-based scope 2 GHGs (in metric tonnes of CO2 equivalent)
 - iv) Gross scope 3 GHGs (in metric tonnes of CO2 equivalent)
 - v) GHG emissions in each relevant scope 3 category
 - vi) Total GHG emissions (in metric tonnes of CO2 equivalent) calculated using a location-based method for scope 2 GHGs
 - vii) Total GHG emissions (in metric tonnes of CO2 equivalent) calculated using a market-based method for scope 2 GHGs.
- b) near-term and net zero targets for scope 1, scope 2 and scope 3 emissions reduction
- c) its progress toward its near-term and net zero targets, both:
 - i) in metric tonnes of CO2 equivalent
 - ii) as a percentage of the emissions in its baseline year.
- d) actions implemented to achieve its targets.

Intent:

To ensure the company transparently reports its climate performance to its stakeholders, and is accountable for its commitments and plans. Communicating the company's climate successes and failures honestly helps foster trust with its stakeholders.



Clarifying the Compliance Criteria:

[3.7.1] The company makes its progress publicly available as part of one of the following.

- Its annual report
- An annual sustainability report
- An integrated annual report and sustainability report
- Another public report available on its webpage

Applying the Criteria to Independently Certifying Subsidiaries:

- The reporting scope covers the company. If the company references a corporate group report that includes out-of-scope entities, either:
 - the performance of the company is clearly identifiable within the group report
 - the company publicly shares its own report on its webpage.

Recommendations:

- Ensure the company's communications around progressing and achieving its net zero target align with the responsible marketing and communication policy sub-requirement [link to PSG4.2]. This means centering communications on transparently contributing — at a fair scale — to global net zero efforts, rather than making inward-focused claims, such as carbon neutrality or a company-level net zero. This framing better reflects how companies become positive contributors to global efforts. The reality today is that global emissions are exceeding sustainable planetary thresholds by a large amount. Communications that suggest the company has no negative impact once it achieves net zero would be ignoring this reality.
- The company follows a credible third-party standard in its disclosure reporting framework. This includes, for example:
 - Global Reporting Initiative (GRI)
 - Carbon Disclosure Project (CDP)
 - European Sustainability Reporting Standards — E1.

Interoperability:

- Conceptual Alignment Data Point:
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Atmosphere - B06 Greenhouse gas emissions - c

Environmental Stewardship & Circularity (ESC)

Body of Knowledge (BoK) for the ESC
Impact Topic

Intent

The ESC Impact Topic asks companies to take a conscientious and sustainable approach in their business, and to become environmental stewards, demonstrating accountability, and leadership in their sectors. It sets requirements for companies to:

- understand and address their environmental impacts
- operate sustainably as part of a circular economy
- minimize negative environmental impacts in their supply chains.

The world today faces environmental crises on several fronts — from climate change, to water scarcity, to biodiversity loss. Companies need to act urgently to adopt circular business models and contribute to a nature-positive future. Only through profound change can biodiversity be stabilized by 2030 to enable the full recovery of natural ecosystems by 2050 — the target agreed by world leaders under the Convention on Biological Diversity. Environmental stewardship among companies is also critical to meeting the goals of the Paris Climate Agreement.

Companies can demonstrate environmental stewardship in two key ways. First, they can ensure their impact on the environment stays within the thresholds that our planet can sustain and regenerate. Second, they can promote resilient natural systems that circulate resources and reduce extraction of virgin resources to an absolute minimum. This is particularly crucial given humanity's worldwide dependence on finite, non-renewable resources. Embracing environmental stewardship means contributing to a future where businesses, people, and the environment can thrive — without exploiting natural ecosystems and marginalized communities.

Outcome

Companies demonstrate environmental stewardship and contribute to the circular economy in their operations and value chain. They both minimize negative impacts, to help stay within ecological thresholds, and pursue positive impacts.

Requirements Summary

ESC1 The company knows its actual and potential impacts on the environment.

ESC2 The company has a strategy to address its actual and potential negative environmental impacts, and to support staying within ecological thresholds.

ESC3 The company implements circularity principles to reduce waste and its impact on natural resources.

ESC4 The company takes action to prevent and mitigate its actual and potential negative environmental impacts.

ESC5 The company works with suppliers to achieve its environmental objectives.

Scope

Individuals, communities, organisms and aspects of the environment affected by the company's own operations and value chain.



Terms and Definitions

Agriculture

A company that either:

- earns over 10% of its revenue from products grown on its farm or agro-processing facility, from managing land to grow and harvest crops, or from raising and managing livestock
- sources the majority of its raw materials directly from growers or livestock producers.

Companies in the agriculture sector include, for example:

- vegetable farms
- coffee plantations or roasters
- tree planting companies
- livestock farms or ranches.

Advertising & market research

Companies that provide advertising, marketing, or public relations services.

These services include:

- digital advertising
- marketing consulting
- market research
- reward program management.

(Adapted from [GICS](#))

Anaerobic digestion

A method for breaking down organic matter using microbes in an environment with no oxygen.

In a circular economy, anaerobic digestion can be used to create 'digestates' (or 'biosolids') for use as soil enhances and biogas from:

- food by-products
- sewage sludge
- other biodegradable materials.

(Adapted from [Circular Economy Introduction — Glossary](#), Ellen MacArthur Foundation)

Animal welfare

An animal's physical and mental state in relation to the conditions in which it lives and dies.

An animal experiences good welfare if it is:

- healthy, comfortable, well-nourished, and safe
- not suffering from unpleasant states, such as pain, fear, and distress
- able to engage in behaviours that are important for its physical and mental state.

(Adapted from [Terrestrial Animal Health Code](#), World Organisation for Animal Health)

Areas at water risk

Covers several physical aspects related to water, including water availability, quality, quantity (including areas at high water-stress), accessibility of water, regulatory or reputational issues (including the shared use of water with communities and affordability of water) for its facilities and for the facilities of key suppliers.



([European Sustainability Reporting Standards E2](#), 2023)

Biodiversity

The variability among living organisms from all sources, including, inter alia, terrestrial, marine and other aquatic ecosystems and the ecological complexes of which they are part; this includes diversity within species, between species and of ecosystems.

([Convention on Biological Diversity - Article 2](#), 1992)

Biological cycle

The processes - such as composting and anaerobic digestion - that together help to regenerate natural capital. The only materials suitable for these processes are those that can be safely returned to the biosphere.

([Circular Economy Introduction - Glossary](#) - Ellen MacArthur Foundation)

Book publishing

Companies that provide services related to producing or distributing books in print or electronic formats.

These services include:

- design
- editing
- marketing.

(Adapted from [NAICS](#))

Circular water management

In order of priority:

- a) Reduce: reduce water losses and boost water efficiency
- b) Reuse: reuse water, with minimal or no treatment, within and outside the fence for the same or different processes
- c) Recycle: recycle resources and wastewater (treated by membrane or reverse osmosis to a very high quality) within and outside the fence



- d) Restore: return water of a specific quality to where it was taken from
- e) Recover: take resources (other than water) out of wastewater and put them to use. ([Business Guide to Circular Water Management - World Business Council for Sustainable Development](#))

Circularity

A system centered on reducing pressure on natural resources to a level that:

- respects ecological thresholds
- does not compromise the well-being of other stakeholders who rely on those resources.

Circularity, or a circular economy, involves industrial processes and economic activities that:

- are restorative or regenerative by design
- enable resources to maintain their highest value for as long as possible
- aim to eliminate waste through the superior design of materials, products, and systems (including business models).

(Adapted from [EPA](#), [Ellen MacArthur Foundation](#))

Collective Action

A collaborative, sustained process of cooperation between stakeholders to bring about systemic change. Collective action increases the impact and credibility of individual actions. Examples include multi-stakeholder collaboration, public policy advocacy, mentoring, and thought leadership. Mentoring and thought leadership contribute to systemic change by enhancing the skills, knowledge, or capacity of other stakeholders.

Company

A legal entity (or group of related legal entities) formed to engage in and operate a business (meaning a commercial or industrial enterprise). A company may be organized in various ways depending on the corporate law in its jurisdiction.

Company without workers



A company owned and run by one person. A company without workers may also be known as a sole proprietor, sole trader, individual entrepreneur, or individual proprietor.

Deforestation-free

Products made from (or fed, or containing) commodities produced on land that has not been subject to deforestation after 31 December, 2020.

For products made from or containing wood, the wood has been harvested without causing forest degradation after 31 December, 2020.

(Adapted from [Deforestation Regulation 2023/1115](#), European Union)

Dependencies

Ecosystem services (benefits of nature) that the company relies on to function, such as:

- regulation of water flow and quality
- regulation of hazards, like fires and floods
- pollination
- carbon sequestration.

(Adapted from [Science-based targets for nature: Initial Guidance for Business](#), 2020, Science Based Targets Network)

Designed for disassembly

A characteristic of a product's design that enables it to be taken apart at the end of its useful life so its components and parts can be:

- reused
- recycled
- recovered for energy
- diverted in any other way from waste.



(Adapted from [Designed for disassembly](#), ISO Standard)

Designed for recycling

See recyclable

Double materiality

An approach to identifying material impacts that considers both:

- impact materiality (company's impacts on the environment)
- financial materiality (impacts on the company's finances).

A sustainability issue has double materiality if it is material from either perspective or both.

(Adapted from [European Sustainability Reporting Standards](#), 2023)

Durability

A characteristic of a product that is designed for maintenance, longevity and durability in a way that both:

- encourages longer use than the industry standard, in practice and at scale (e.g. marketing repair rather than replacement, timeless design with durable material choices)
- does not compromise circular treatment at the end of the product's functional life.

(Adapted from [Circulytics](#), Ellen MacArthur Foundation)

Ecological thresholds

Scientific benchmarks or boundaries within Earth's ecological systems that define the safe operating space for human activities (also known as "sustainability limits" or "planetary boundaries").

These scientific thresholds are intended to guide decision-making, and ensure human activities do not exceed the planet's capacity to sustainably

support life. They identify critical limits beyond which some activities may lead to irreversible negative impacts on the environment or society.

(Adapted from [Stockholm Resilience Centre](#))

Ecologically sensitive area(s)

Areas with any of the following.

- Biodiversity importance
- High ecosystem integrity
- Rapid decline in ecosystem integrity
- High physical water risks
- Importance for delivering ecosystem service benefits to Indigenous Peoples, local communities, and other stakeholders

(Adapted from Glossary of Key Terms, [Taskforce on Nature-related Financial Disclosures](#))

Ecosystem

A dynamic complex of plant, animal, and microorganism communities and the non-living environment, interacting as a functional unit.

([Convention on Biological Diversity](#), 2011)

Ecosystem conversion

Includes both of the following, caused by severe degradation or management practices (such as deforestation).

- Loss of a natural ecosystem to another land use
- Profound change in a natural ecosystem's species, composition, structure, or function

Any change to natural ecosystems that meets this definition is considered to be conversion, whether or not it is legal.

(Adapted from [Accountability Framework initiative](#))



End-of-life

When products or assets are no longer fit for purpose, and require either:

- manufacturing or refurbishment to remain in use
- recycling in order to recirculate materials.

(Adapted from [Circulytics Definitions](#), Ellen MacArthur Foundation)

Engineering

Companies that provide engineering services to help design, develop, or use:

- machines
- materials
- instruments
- structures
- processes.

These services include:

- providing advice
- running feasibility studies
- creating preliminary and final plans and designs
- providing technical services during construction or installation
- inspecting and evaluating engineering projects.

(Adapted from [NAICS](#))

Environmental consulting

Companies that provide consulting services to businesses or other organizations to measure and manage their environmental impact.

Environmental stewardship

Responsibly using and protecting the natural environment through conservation and sustainable practices to enhance ecosystem resilience and stay within ecological thresholds.

(Adapted from [National Oceanic and Atmospheric Administration](#)).

Equity investors

Companies that buy, manage, and sell a portfolio of companies. Equity investment is also called "private equity."

Generally, equity investors are companies who:

- buy a majority stake in a company
- manage and operate the company
- increase the profitability of the company
- sell the company after 3–7 years.

Executive team

People with delegated authority from the highest governing body to implement strategies and policies that fulfill the company's purpose.

(Adapted from PAS 808 — [Purpose-driven organizations](#), British Standards Institution)

Exploitation of natural resources



Any use of natural resources that consumes those resources.

Exploitation becomes overexploitation when species, plants, and other natural resources are harvested faster than they can recover. This includes:

- overfishing
- overgrazing
- consumption of finite resources.

(Adapted from [Intergovernmental Science-Policy Platform on Biodiversity and Ecosystem Services](#))

Film, TV & music production

Companies that produce or sell entertainment products and services.

This includes:

- producing, distributing, and screening movies and television shows
- producing and distributing music.

(Adapted from [GICS](#))

Five freedoms of animal welfare

The following five conditions that animals should experience while under human control.

- Freedom from hunger and thirst
- Freedom from discomfort
- Freedom from pain, injury, and disease
- Freedom to express normal behavior

- Freedom from fear and distress

(Adapted from [Animal Welfare](#), World Organisation for Animal Health)

Food waste hierarchy

A ranked list of preferred strategies for minimizing food waste.

The food waste hierarchy includes, in order:

- preventing food waste at source
- redistributing surplus food for human consumption
- reusing food waste as animal feed
- recycling non-waste material into high added-value products
- recycling food waste into low added-value products
- recovering energy from food waste
- disposing of food waste.

(Adapted from [Food waste measurement](#), European Commission)

Hazardous chemicals

Any substance or mixture that poses a physical, health, or environmental hazard.

(Adapted from [UNECE](#) and [EC No 1272/2008](#)).

Hazardous substances

See hazardous chemicals

High Conservation Values

Biological, ecological, social, or cultural values of outstanding significance or critical importance across six categories:

HCV 1: Species Diversity — Concentrations of biological diversity (including endemic and rare, threatened, or endangered species) that are nationally, regionally, or globally significant.

HCV 2: Landscape-level Ecosystems & Mosaics — Large landscape-level ecosystems, intact forest landscapes, and ecosystem mosaics that are nationally, regionally, or globally significant, and contain viable populations of most naturally occurring species.

HCV 3: Ecosystems & Habitats — Rare, threatened, or endangered ecosystems, habitats, and refugia.

HCV 4: Ecosystem Services — Basic ecosystem services in critical situations (such as threatened water catchments and eroding soils and slopes).

HCV 5: Community Needs — Sites and resources that are fundamental for meeting the basic needs of local communities and Indigenous Peoples, identified through engagement with them. Basic needs include, for example, health, water, nutrition, and livelihoods.

HCV 6: Cultural Values — Sites, resources, habitats, and landscapes that hold critical cultural, ecological, economic, or religious importance for local communities or Indigenous Peoples, identified through engagement with them, or that have national or global cultural, archaeological, or historical significance.

(Adapted from [HCV Network](#))

Highest governing body

The person or group of people who have ultimate accountability for the whole company. Every organizational entity has one highest governing body, even if it is not explicitly established.

A highest governing body can be explicitly established in a number of formats, such as:

- a board of directors
- a supervisory board
- a sole director
- joint and several directors

- trustees.

For larger companies, a board subcommittee may be considered the highest governing body — as long as the full board is regularly updated on progress and performance.

(Adapted from [Governance of organizations](#) — Guidance, ISO Standard)

Impact

An effect the company has, or could have, on:

- the economy
- the environment
- people, including on their human rights.

Impacts can be actual or potential, negative or positive.

(Adapted from [GRI 3](#), 2021, Global Reporting Initiative)

Impact materiality

The company's most significant effects on the economy, environment, and people (including their human rights).

Impact materiality encompasses impacts directly linked to the company's operations, products, services, and value chain, whether they:

- are actual or potential
- are positive or negative
- take place over the short-, medium-, or long-term.

Indicator



In the context of Human Rights, Climate Action, and Environmental Stewardship and Circularity: measurable aspects of the company's progress and results. Indicators identify what to measure to create a clear picture of the company's current status.

Indicators can be qualitative or quantitative. Quantitative indicators can be precise, and enable comparison between measures. Qualitative information is often needed to:

- put quantitative information in context
- enable it to be interpreted and understood
- determine which comparisons and conclusions are most valid.

Indigenous Peoples

Groups of people who meet one of the following definitions.

- Tribal peoples in independent countries whose social, cultural, and economic conditions are different from other sections of the national community. Their tribal status is regulated wholly or partially by either their own customs or traditions, or special laws or regulations.
- Peoples in independent countries who descend from the people who lived in the country, or a region of it, during its conquest or colonization, or the establishment of modern state boundaries. Regardless of their legal status, they retain some or all of their own social, economic, cultural, and political institutions.

(Adapted from [Indigenous and Tribal Peoples Convention](#), 1989, International Labour Organization)

Indigenous Peoples' local knowledge

The understandings, skills, and philosophies developed by societies with long histories with their natural surroundings.

For many Indigenous Peoples, Indigenous knowledge informs decision-making about fundamental aspects of life — from day-to-day activities to longer-term actions. Their knowledge is integral to cultural complexes, which also encompass:

- language
- systems of classification
- resource use practices

- social interactions
- values, rituals, and spirituality.

Indigenous Peoples' distinctive ways of knowing are important facets of the world's cultural diversity.

(Adapted from [IPCC](#))

Invasive or alien (non-native) species

Species introduced or spread by human action outside their natural distribution, which threaten:

- biological diversity
- food security
- human health and well-being.

“Alien” refers to species being introduced outside their natural distribution (they may also be called “exotic”, “non-native”, or “non-indigenous”).

“Invasive” means the species tend to expand into and modify ecosystems where they are introduced.

This means a species may be alien without being invasive, and a native species may expand and become invasive without being alien.

(Adapted from [European Sustainability Reporting Standards](#), 2023)

Information, communication & technology

All companies in the Information Technology and Communications sectors.

The Information Technology sector includes

- companies that offer software and information technology services,
- companies that manufacture and distribute technology hardware and equipment.



Technology hardware and equipment includes, for example:

- communications equipment
- cellular phones
- computers and peripherals
- electronic equipment and related instruments
- semiconductors and related equipment and materials.

The Communication Services sector includes companies that enable communication and offer content and information through various mediums.

It also includes telecom and media & entertainment companies, which covers:

- producers of interactive gaming products
- companies that create or distribute content and information through proprietary platforms.

(Adapted from [GICS](#))

Investment

Any of four types of investment.

- Equity investments
- Debt investments
- Project finance
- Managed investments and client services

This definition applies for investors (i.e. companies who aim to profit from their investment) and companies that provide financial services.

(Adapted from [GHG Protocol](#))



Investment advisors

Companies that buy and sell investments, including equity, debt, and real assets. Investment advisors are also called "asset management".

Investment advisors include:

- fund managers
- fund of funds
- hedge funds
- wealth management.

Landscape services

Companies that provide landscape or maintenance services.

These services include:

- installing trees, shrubs, plants, lawns, or gardens
- designing landscape plans
- installing walkways, retaining walls, decks, fences, ponds, or similar structures.

(Adapted from [NAICS](#))

Legal activities

Companies that provide legal counsel or legal services.

(Adapted from [NAICS](#))

Life cycle

The full set of stages a product goes through, including:

- design
- acquisition of raw materials
- production
- transport and delivery
- use by consumers
- end-of-life treatment
- final disposal.

(Adapted from [Environmental management — Life cycle assessment](#), ISO Standard)

Life Cycle Assessment (LCA)

The evaluation of a product's environmental aspects and potential impacts through its life cycle, from the acquisition of raw materials to use and disposal.

An LCA considers environmental impacts in the general categories of:

- resource use
- human health
- ecological consequences.

See also life cycle.

(Adapted from [Environmental management — Life cycle assessment](#), ISO Standard)

Management consultant



Companies that provide one or more management consulting services to businesses or other organizations.

These services include:

- financial planning and budgeting
- records management
- office planning
- strategic and organizational planning
- site selection
- business process improvement.

(Adapted from [NAICS](#))

Manufacturing

A company that earns over 10% of its revenue from products it makes, either for direct sale or for sale by another company or brand.

Manufacturing involves transforming input materials into a new product. The manufactured product may not be the final product.

Companies in the manufacturing sector include, for example:

- food and beverage producers
- assembly lines
- apparel manufacturers.

Material

See material topic.



Material inflow

Raw materials, products, and components the company procures to produce its products or services.

Material topic

The organization's most significant impacts on the economy, environment, and people, including impacts on their human rights. ([GRI 3: Material Topics](#) 2021)

See also impact materiality. Impact materiality is one half of "double materiality", alongside "financial materiality".

Mining

Companies involved in exploring, extracting, mining, or producing:

- iron, aluminum, or other metals
- non-metallic minerals
- rare mineral, precious metals, and gems.

Mining of "iron, aluminum, or other metals" covers the following companies.

- Producers of iron ore mining and steel and related products
- Producers of aluminum and related products, including companies that mine or process bauxite and companies that recycle aluminum to produce finished or semi-finished products (excluding companies that primarily produce aluminum building materials)
- Companies engaged in the diversified production or extraction of materials, including nonferrous metals, salt and borate, and phosphate rock
- Companies engaged in the diversified production or extraction of metals and minerals not classified elsewhere

Mining of "non-metallic minerals" covers companies engaged in exploring, extracting, and processing minerals, such as:

- sand
- gravel
- clay

- stone.

Mining of "rare minerals, precious metal, and gems" covers companies that:

- explore and produce gold and related products
- mine precious metals and minerals (e.g. platinum, silver, and other precious metals)
- explore and produce rare minerals (e.g. uranium).

See also fossil fuel producers.

(Adapted from [SBTi](#) and [NAICS](#))

Mitigate

Action associated with mitigation (see mitigation)

Mitigation

Actions taken to reduce either:

- the extent of an actual impact
- the likelihood of a potential negative impact.

(Adapted from [GRI 1](#), 2021, Global Reporting Initiative)

Mitigation hierarchy for biodiversity

A ranked framework for actions to mitigate negative impacts on biodiversity.

The mitigation hierarchy for biodiversity includes, in order:

1. Avoidance — efforts to avoid creating impacts in the first place, such as careful placement of infrastructure. Avoidance changes the company's "business as usual" approach.



2. Minimization — efforts to reduce by as much as possible the duration, intensity, or extent of impacts that cannot be completely avoided.
3. Regeneration / restoration — efforts to regenerate degraded ecosystems or restore cleared ecosystems after impacts that cannot be completely avoided or minimized.
4. Transform — efforts to transform the systems in which companies are embedded.

(Adapted from [European Sustainability Reporting Standards E4](#), 2023, and Science Based Targets Network, 2023)

Nature-based solution

Solutions that use the power of nature and healthy ecosystems to:

- protect people
- optimize infrastructure
- safeguard a stable, biodiverse future.

(Adapted from [International Union for Conservation of Nature](#))

Non-renewable material

Resources that cannot be regenerated or replenished in a timescale relevant to the economy, such as:

- minerals
- metals
- oil, gas, or coal.

(Adapted from [European Sustainability Reporting Standards E5](#), 2023)

Operational control

Full authority of the company (or a subsidiary) to introduce and implement operating policies at a facility.

The company is expected to have operational control over a facility that it (or a subsidiary) operates, except in very rare circumstances.



(Adapted from [GHG Protocol Corporate Standard](#))

Outcome

A change resulting from the company's activities and outputs. An outcome has a direct link between the activities and outputs, and their impact on people and the environment.

Output

The direct result of an activity. Outputs may include, for example:

- training materials
- policies
- reports
- impact-related programs or projects.

Pollution

The introduction of pollution from human activity, directly or indirectly, into air, water, or soil, which may:

- be harmful to human health, the environment, or both
- cause damage to material property
- impair or interfere with amenities and other legitimate uses of the environment.

(Adapted from [European Sustainability Reporting Standards E2](#), 2023)

Pollution of air

Direct emissions of any of the following.

- Sulfur dioxides (SO₂)

- Nitrogen oxides (NO_x)
- Non-methane volatile organic compounds (NMVOC)
- Particulate matter (PM_{2.5} and PM₁₀)
- Ammonia (NH₃)
- Heavy metals (HM)

(Adapted from [European Sustainability Reporting Standards E2](#), 2023)

Pollution of soil

The introduction of substances, vibrations, heat, or noise into soil as a result of human activity, which may:

- be harmful to human health, the environment, or both
- cause damage to material property
- impair or interfere with amenities and other legitimate uses of the environment.

This definition applies whether or not it happens at the company's production site or outside it, or through the use of its products or services.

(Adapted from [European Sustainability Reporting Standards E2](#), 2023)

Programming & broadcasting

Companies that own or operate television or radio broadcasting systems, including programming.

This includes:

- radio and television broadcasting
- radio networks



- radio stations.

(Adapted from [GICS](#))

Publishing - newspapers & magazines

Companies that provide services related to producing or distributing newspapers or magazines in print or electronic formats.

These services include:

- design
- editing
- marketing.

(Adapted from [NAICS](#))

Raw material

A material or resource used to create a product.

Real estate, design & building

Companies that provide products or services related to designing, building, buying, or selling real estate.

Products or services include:

- architecture design and planning
- civil engineering
- contracting and building
- design and building

- property leasing
- real estate development.

Real estate includes:

- land
- residential buildings
- commercial buildings.

Recovery

Any operation that, as its main result, either in the company's facility or the wider economy:

- uses waste to fulfill a particular function, instead of other materials
- prepares waste to fulfill that function.

This includes:

- recycling
- recovering energy
- other operations listed in [Annex II of the EU Waste Framework Directive](#).

(Adapted from [European Sustainability Reporting Standards E5](#), 2023)

Recovery cycles

Refer to processes in the circular economy where products, components, and materials are cycled through various stages of use, repair, recycling, and regeneration. The aim is to keep materials and products in use for as long as possible, minimizing waste and reducing the extraction of raw materials.

(Adapted from [Ellen MacArthur Foundation](#))

Recyclable

Products designed to use existing recycling systems that operate in practice and at scale.

For example, recyclable products may have:

- low materials complexity
- low toxicity
- easily separable materials.

(Adapted from [Circulytics](#), Ellen MacArthur Foundation)

Recycle

Any recovery operation that reprocesses waste materials into products, materials, or substances — either for their original purpose or other purposes.

Recycling includes reprocessing organic material, but does not include:

- energy recovery
- reprocessing into materials to be used as fuels or for backfilling operations.

(Adapted from [European Sustainability Reporting Standards E5](#), 2023)

Refurbishment

Returning a product to good working order by, for example:

- repairing or replacing components
- updating specifications

- improving cosmetic appearance.

(Adapted from [Circular Economy Introduction — Glossary](#), Ellen MacArthur Foundation)

Regenerative production

A range of approaches for managing agroecosystems that provide food and materials (e.g. agriculture, aquaculture, and forestry) in ways that positively impact the environment. Regenerative production may include a variety of context-dependent practices, which together help regenerate degraded ecosystems and build resilience.

Positive outcomes include, for example:

- healthy soils
- improved air and water quality
- higher levels of carbon sequestration.

To apply the most appropriate practices for their managed agroecosystem, farmers may draw on several different schools of thought, such as:

- regenerative agriculture
- restorative aquaculture
- agroecology
- organic agriculture
- permaculture
- agroforestry
- conservation agriculture.

(Adapted from [Circular Economy Introduction — Glossary](#), Ellen MacArthur Foundation)

Remanufacturing



Re-engineering products and components to as-new condition with the same level of performance as a newly manufactured one or better.

Remanufactured products or components are typically provided with a warranty that is equivalent to that of the newly manufactured product or better.

(Adapted from [Circular Economy Introduction — Glossary](#), Ellen MacArthur Foundation)

Renewable (input) material

Raw materials from resources that are replenished quickly, either by natural ecological cycles or agricultural processes. This means using these resources does not endanger the natural services they and other linked resources provide, so they remain available for future use.

Renewable materials include, for example:

- cotton
- hemp
- maize
- wood
- wool
- leather
- agricultural by-products
- nitrogen
- carbon dioxide
- sea salt.

(Adapted from [European Sustainability Reporting Standards E5](#), 2023 and [Circulytics - Definitions List](#), Ellen MacArthur Foundation)

Renewable electricity



A form of renewable energy (see also renewable energy).

Renewable electricity can be:

- produced on-site
- purchased from a utility or other provider (including green tariffs and power purchase agreements)
- purchased through unbundled renewable energy attribute certificates (RECs in North America, Guarantees of Origin in Europe, and I-RECs in some other regions).

(Adapted from [RE100](#))

Renewable energy

Energy from renewable non-fossil sources, including:

- wind
- solar (thermal and photovoltaic) and geothermal energy
- ambient energy
- tide, wave, and other ocean energy
- hydropower
- biomass
- landfill gas, sewage treatment plant gas, and biogas.

(Adapted from [European Sustainability Reporting Standards E1](#), 2023)

Repairability

The ease with which a product or component can be repaired.

Products designed to be repaired using existing systems that operate in practice and at scale (e.g. a network of repair shops, or the company's



own repair service).

For example, repairable products may:

- have a modular design
- use built-in predictive maintenance sensors and repair diagnostics
- be designed with the right to repair by a third party in mind.

(Adapted from [Glossary](#) - Ellen MacArthur Foundation)

Restoration

The process of supporting the recovery of ecosystems, ecosystem services, and associated conservation values that have been degraded, damaged, or destroyed.

Restoration can happen in many ways – for example through actively planting or by removing pressures so that nature can recover on its own.

(Adapted from the [Accountability Framework](#) and the [UN Environment Programme](#))

Restore

Action associated with restoration (see restoration)

Reusability

Products designed for multiple uses in a way that ensures reuse in practice and at scale, for example, through:

- secondary markets
- packaging reuse systems
- standardized design.

(Adapted from [Circulytics – Definitions List](#), Ellen MacArthur Foundation)

Reuse

Any operation to use products and components again for their original purpose, including refurbished products.

Reuse may require cleaning or making small adjustments to ensure the product ready for its next use.

(Adapted from [European Sustainability Reporting Standards E5](#), 2023)

Reused

See reuse.

Scientific R&D

Companies that provide research and development services related to, among others:

- physical sciences
- engineering sciences
- life sciences.

(Adapted from [NAICS](#))

Services with minor footprint

A company that earns 90% or more of its revenue from services that do not involve selling physical products or require a physical location for their delivery.

Services with minor footprints include, for example:

- law firms
- marketing and communications agencies



- software companies.

This was previously named "Services with Minor Environmental footprint". The definition and its application remain the same.

Services with significant footprint

A company that earns 90% or more of its revenue from services that involve significant machinery or equipment, or require a specific operational location (often key to delivering the service).

Services with significant footprint include, for example:

- hotels
- restaurants
- landscaping companies
- universities.

This was previously named "Services with Significant Environmental footprint". The definition and its application remain the same.

Single-use products and packaging

Products and packaging that are used once, or only for a short period, before being thrown away.

Single-use products and packaging can have drastic, global impacts on the environment and human health, and are more likely to end up in the sea than reusable options.

(Adapted from [Single-use plastics](#), European Commission)

Stakeholder

A person, group, or entity who may, positively or negatively:

- affect the company

- be affected by the company's activities
- have an interest that is affected by the company's activities.

Relevant stakeholders may include, for example:

- business partners
- civil society organizations
- consumers
- customers
- employees and other workers
- governments
- local communities
- non-governmental organizations
- shareholders and other investors
- suppliers
- trade unions
- vulnerable groups (including future generations)
- the environment (including species).

(Adapted from [GRI 3: Material Topics](#), 2021.)

Strategy

A kind of plan that outlines the specific ways in which the company will position itself, and the actions it will take to achieve its short- and long-term goals. A strategy draws on other important business resources, such as the company's purpose, mission, vision, and values to set a direction and deliver on objectives.



Under the B Lab Standard, the company uses specific strategies to plan measurable actions over a period of time, related to specific social, environmental, or governance targets.

(Adapted from University of York)

Supply chain

The range of activities by companies and organizations "upstream" from the company, which provide products, raw materials, and services that the company uses in its own products or services.

([GRI 3](#), 2021, Global Reporting Initiative)

Sustainable sources

Materials grown in a way that preserves the ecosystem without degrading it further.

([Circulytics — Definitions List](#), Ellen MacArthur Foundation)

Tier one supplier

External suppliers that the company (or its subsidiaries) directly purchase products or services from.

Tier one suppliers contrast to tier two suppliers, who supply products or services to the company's tier one suppliers.

Value chain

The full range of activities by the company, and by upstream and downstream entities, to bring its products or services from conception to end use. The value chain includes the company's supply chain.

Entities upstream from the company (e.g. suppliers) provide products or services used to develop the company's own products or services.

Entities downstream from the company (e.g. distributors and customers) receive products or services from the company.

(Adapted from [G1 Foundation](#), 2021, Global Reporting Initiative)

Veterinary activities

Companies that provide veterinary medicine, dentistry, surgery, or testing services for animals.

(Adapted from [NAICS](#))

Waste diversion

The prevention and reduction of waste through

- reducing waste at its source
- recycling
- reusing
- other recovery methods.

Waste diversion aims to avoid sending waste to landfill and other forms of disposal that prevent recovery.

Waste hierarchy

A ranked list of methods for preventing and managing waste.

The waste hierarchy includes, in order:

- prevention
- preparing for re-use
- recycling
- other recovery (e.g. energy recovery)
- disposal.

(Adapted from [European Sustainability Reporting Standards E5](#), 2023)



Water consumption

The amount of water the company draws into its boundaries or facilities in a specific period that it does not discharge either:

- back to the water environment
- to a third party.

(Adapted from [Taskforce on Nature-related Financial Disclosures](#), 2023)

Water stewardship

Use of water that is:

- socially and culturally equitable
- environmentally sustainable
- economically beneficial.

Water stewardship is achieved through a process that includes stakeholders and involves actions at both the site and watershed level.

(Adapted from [Alliance for Water Stewardship](#))

Water withdrawal

The total amount of all water the company draws into its boundaries from all sources in a specific period.

(Adapted from [Taskforce on Nature-related Financial Disclosures](#), 2023)

Watershed

An area of land that drains rainfall and snowmelt into a river system of streams and tributaries.

(Adapted from [Watershed](#), National Geographic)



Wholesale/Retail

A company that earns over 10% of its revenue from selling physical products, but does not own or operate the manufacturing processes or facilities that produce them. This includes companies that design products but outsource their production.

Wholesale/retail companies include, for example:

- grocery stores
- consumer goods companies that do not manufacture their own products
- wholesalers of physical goods.

Worker

A person who works for the company as any of the following.

- An employee
- An independent contractor, if they work more than 20 hours per week indefinitely or for more than six months.
- An agency worker, if they work more than 20 hours per week indefinitely or for more than six months.

Interns and apprentices, as defined in the B Lab Standard, do not count as workers.

Zero waste to landfill

A waste mitigation state, whereby no waste from the company's operations (related to its products or services), goes to landfill or is incinerated without energy recovery. To achieve this state, at least 90% of waste from the company's operations (related to its product or service) is diverted from landfill or incineration, and no more than 10% is sent for incineration with energy recovery.

Methods of diverting waste from landfill or incineration may include, for example:

- reuse
- recycle



- composting
- anaerobic digestion
- animal feeding
- biodigestion.

See also Waste hierarchy and Food waste hierarchy.

Notes

- Accountability for and reporting on this topic are covered in the Purpose & Stakeholder Governance topic, and any stakeholder engagement related criteria in this topic may overlap with the stakeholder governance requirements of the Purpose & Stakeholder Governance topic.
- This topic is strongly connected to the Climate Action (CA) topic. For instance enhancing biodiversity is also a critical action towards limiting global warming. In general, most actions under the topic Environmental Stewardship & Circularity could support the company's climate transition plan. Some of the connections are also denoted in square brackets to the specific sub-requirement action.
- ESC5 should be implemented alongside Human Rights (HR4), as procurement and supplier engagement have both social and environmental considerations.



ESC1 The company knows its actual and potential impacts on the environment.

ESC1.1 The company monitors waste production from its operations and where it ends up.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All



Medium	Manufacturing	All
Medium	Agriculture/Growers	All
Small	Wholesale/Retail	All
Small	Service with Significant Environmental Footprint	All
Small	Manufacturing	All
Small	Agriculture/Growers	All
Micro	Wholesale/Retail	All
Micro	Service with Significant Environmental Footprint	All
Micro	Manufacturing	All
Micro	Agriculture/Growers	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC1.1	From Year 0	Micro / Small	The company monitors waste production from its operations and where it ends up.

Compliance Criteria:

1.1.1 The company measures and records its annual hazardous and non-hazardous waste production:

- a) in the last fiscal year
- b) in each subsequent year.

1.1.2 The company's non-hazardous waste is measured in tonnes and recorded as:

- a) the total amount of waste generated
- b) the amount of non-hazardous waste diverted from disposal, and how much is:
 - i) prepared for reuse
 - ii) recycled
 - iii) recovered in another way.
- c) the amount of non-hazardous waste disposed of, including by:
 - i) incineration (without energy recovery)
 - ii) landfilling
 - iii) other disposal methods.

1.1.3 The company's hazardous waste is measured in tonnes and recorded as:

- a) the total amount of hazardous waste generated
- b) the amount of hazardous waste diverted from disposal, and how much is:
 - i) recycled
 - ii) recovered in another way
- c) the amount of hazardous waste disposed of, including by:
 - i) incineration (without energy recovery)

ii) landfilling

iii) other disposal methods.

1.1.4 If the company produces or trades food products it also measures (in tonnes):

a) the total amount of food waste generated

b) the amount of food waste diverted from disposal, and how much is:

i) re-used for human consumption or animal feed

ii) recycled or reused by-products

iii) used in energy recovery;

iv) recovered in another way

c) the amount of food waste disposed of, including by:

i) incineration (without energy recovery)

ii) landfilling

iii) other disposal methods.

1.1.5 If the company cannot confirm where its waste goes, it assumes the waste goes to landfill.

1.1.6 Before Year 0, the company:

a) tracks and records waste generation for all of its facilities identified as material in accordance with ESC1.7

b) has a plan to extend the tracking and recording of waste generation to all remaining facilities.

1.1.7 For Year 5, the company has completed the tracking and recording of waste generation for all facilities.

Intent:

For the company to measure how much waste it creates and diverts. Monitoring waste enables the company to take actions that follow the waste hierarchy and food waste hierarchy.

Clarifying the Compliance Criteria:

[1.1.2, 1.1.3, 1.1.4] The measurement refers to metric tonnes. One metric tonne is 1000 kilograms.

[1.1.2 b, 1.1.3 b, 1.1.4 b] “Waste diversion” means the prevention and reduction of waste through

- reducing waste at its source
- recycling
- reusing
- other recovery methods.

[1.1.2 b, 1.1.3 b, 1.1.4 b] “Waste diversion” aims to avoid sending waste to landfill and other forms of disposal that prevent recovery.

[1.1.2 c.i, 1.1.3 c.i, 1.1.4 c.i] Incineration with (or without) energy recovery is defined as the controlled burning of waste at high temperature. It is with energy recovery when the energy created in the combustion process is harnessed for re-use, for example for power generation. It is without energy recovery when the heat generated by combustion is dissipated in the environment (European Sustainability Reporting Standards - E5) [\[EN\]](#).

[1.1.2, 1.1.3, 1.1.4] The measurement refers to metric tonnes. One metric tonne is 1000 kilograms.

[1.1.3] “Hazardous waste” means wastes that because of their chemical reactivity, toxic, explosive, corrosive, radioactive or other characteristics, cause danger, or are likely to cause danger, to health or the environment. (adapted from the European Commission) [\[EN\]](#).

[1.1.2 b, 1.1.3 b, 1.1.4 b] “Waste diversion” means the prevention and reduction of waste through

- reducing waste at its source
- recycling
- reusing
- other recovery methods.

[1.1.2 b, 1.1.3 b, 1.1.4 b] “Waste diversion” aims to avoid sending waste to landfill and other forms of disposal that prevent recovery.

[1.1.2 c.i, 1.1.3 c.i, 1.1.4 c.i] Incineration with (or without) energy recovery is defined as the controlled burning of waste at high temperature. It is with energy recovery when the energy created in the combustion process is harnessed for re-use, for example for power generation. It is without energy recovery when the heat generated by combustion is dissipated in the environment (European Sustainability Reporting Standards - E5) [\[EN\]](#).

[1.1.2, 1.1.3, 1.1.4] The measurement refers to metric tonnes. One metric tonne is 1000 kilograms.

[1.1.4] For Agriculture/Growers food waste includes organic waste, excluding what is left on the field.

[1.1.2 b, 1.1.3 b, 1.1.4 b] “Waste diversion” means the prevention and reduction of waste through

- reducing waste at its source
- recycling
- reusing
- other recovery methods.

[1.1.2 b, 1.1.3 b, 1.1.4 b] “Waste diversion” aims to avoid sending waste to landfill and other forms of disposal that prevent recovery.

[1.1.2 c.i, 1.1.3 c.i, 1.1.4 c.i] Incineration with (or without) energy recovery is defined as the controlled burning of waste at high temperature. It is with energy recovery when the energy created in the combustion process is harnessed for re-use, for example for power generation. It is without energy recovery when the heat generated by combustion is dissipated in the environment (European Sustainability Reporting Standards - E5) [\[EN\]](#).

[1.1.6] This sub-requirement applies to facilities the company has operational control over.

[1.1.6] This sub-requirement addresses the company’s own facilities, while waste in their supply chains is captured in ESC5.

Applying the Criteria to Independently Certifying Subsidiaries:

- The measurement covers the company. If the company references an out-of-scope measurement, it records:
 - the data and mechanism for measuring its own facilities
 - how data is consolidated in the out-of-scope parent’s reporting.

Further Guidance:

- Examples of “other disposal methods” are dumping, open burning, deep well injection, etc.

Recommendations:

- Achieve a zero waste certification for the company’s facilities, whereby the company:
 - diverts at least 90% of its general waste from landfills or incineration without energy recovery, using methods like reuse, recycling, composting, anaerobic digestion, animal feeding, etc.
 - recovers no more than 10% of its waste using incineration with energy recovery.

Implementation Resources:

Resources on zero waste certifications and guidance

- Certification Standard for Zero Waste Facilities SCS-110 Zero Waste Standard, 2023 (SCS Standards) [\[EN\]](#)
- True - Zero Waste certification program and its resources (True) [\[EN\]](#)
- LEED certification [\[AR\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[IT\]](#) [\[JP\]](#) [\[KO\]](#) [\[PT\]](#) [\[ZH\]](#)
- BREEAM (BRE) [\[EN\]](#)
- Cradle to Cradle Certified® Product Standard, 2024 (Cradle to Cradle Products Innovation Institute) [\[EN\]](#)
- Food Waste and Loss Protocol, 2016 (World Resources Institute) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[PT\]](#) [\[ZH\]](#)

Interoperability:

- Conceptual Alignment Data Point:
 - GRI 306: Waste 2020 - 306-3 Waste generated (a)
 - GRI 306: Waste 2020 - 306-4 Waste diverted from disposal (a) (b) iii, (c) iii
 - GRI 306: Waste 2020 - 306-5 Waste directed to disposal (b) i, (c) i.



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- Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) I.B.2 Reduction of waste generation by reused, re-manufactured and recycled
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Circularity - B12 Waste - a, d
 - Equivalency Data Point
 - European Sustainability Reporting Standards - E5 2023 - Disclosure Requirement E5-5 – Resource outflows 37 a, b, c, d; 39
 - GRI 306: Waste 2020 - 306-4 Waste diverted from disposal (b) ii., (c) i., ii.
 - GRI 306: Waste 2020 - 306-5 Waste directed to disposal (b) ii., iii., iv, (c) ii., iii., iv.



ESC1.2 The company monitors its energy use.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All



Small	Wholesale/Retail	All
Small	Service with Significant Environmental Footprint	All
Small	Manufacturing	All
Small	Agriculture/Growers	All
Micro	Wholesale/Retail	All
Micro	Service with Significant Environmental Footprint	All
Micro	Manufacturing	All
Micro	Agriculture/Growers	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC1.2	From Year 0	Micro / Small	The company monitors its energy use.



Compliance Criteria:

1.2.1 The company measures and records its annual energy use:

- a) in the last fiscal year
- b) in each subsequent year.

1.2.2 The company's energy use is measured by:

- a) total energy in giga-joules, watt-hours or multiples
- b) total renewable energy in giga-joules, watt-hours or multiples
- c) percentage of self-generated renewable energy
- d) percentage of renewable electricity
- e) energy intensity, as either:
 - i) total energy use per \$million of revenue
 - ii) total energy use per unit of product or service.

1.2.3 Before Year 0, the company:

- a) tracks and records energy use for all of its facilities identified as material in accordance with ESC1.7
- b) has a plan to extend the tracking and recording of energy use to all remaining facilities.

1.2.4 For Year 5, the company completes the tracking and recording of energy use for all facilities.

Intent:

For the company to measure its energy efficiency and track the increase in its use of renewable energy.

Clarifying the Compliance Criteria:

[1.2.1] The company's energy use (including renewable energy) includes fuel use and its consumption of purchased or acquired:

- electricity
- heat
- steam
- cooling.

[1.2.2c] "Self-generated renewable energy" means energy that is generated on-site by or for the company.

[1.2.3] This sub-requirement applies to facilities the company has operational control over.

[1.2.3] This sub-requirement addresses the company's own facilities, while energy use in their supply chains is captured in ESC5.

Applying the Criteria to Independently Certifying Subsidiaries:

The measurement covers the company. If the company references an out-of-scope measurement, it records:

- the data and mechanism for measuring its own facilities
- how data is consolidated in the out-of-scope parent's reporting.

Further Guidance:

- The evidence of the origin of purchased energy may take the form of, for example:
 - renewable power purchasing agreements
 - standardized green electricity tariffs
 - market instruments like Guarantee of Origin from renewable sources in Europe, or similar instruments like Renewable Energy Certificates in the US and Canada
 - International Renewable Energy Certificates available in many countries.

- To calculate energy intensity per unit of product or service, the company may measure its energy use per, for example:
 - tonne of product (for the food, steel, or cement industry)
 - liter of beverage (for the beverage industry)
 - vehicle (for the automobile industry)
 - unit of area.

Recommendations:

- The company procures low impact renewable energy.
- “Low impact renewable energy” means energy sourced from natural processes that:
 - are replenished constantly
 - do not have a material environmental impact.
- The concept of “low impact renewable” energy is especially relevant for companies that source their energy from hydropower and biomass.

Implementation Resources:

Resources on low-impact renewable energy

- The Green-e® Renewable Energy Standard, 2017 [\[EN\]](#) [\[ES\]](#) [\[AR\]](#) [\[ZH\]](#) [simplified [ZH](#)] for Canada and the United States
- The Low Impact Hydropower Institute (LIHI) [\[EN\]](#)
- Hydropower Sustainability Standard, 2022 (Hydropower Sustainability Alliance) [\[EN\]](#)
- San José Declaration on Sustainable Hydropower, 2021 (International Hydropower Association) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)
- ISO 13065:2015 - specifies principles, criteria, and indicators for the bioenergy supply chain to facilitate assessment of environmental, social and economic aspects of sustainability (note, this resource is not free of charge) [\[EN\]](#)

Examples of resources on reducing the impact of energy consumption



- Cradle to Cradle Certified® Product Standard, 2024 (Cradle to Cradle Products Innovation Institute) [\[EN\]](#)
- RE100 [\[EN\]](#)

Example of resource to convert units of energy

- Inch Calculator [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 302: Energy 2016 - 302-1 Energy consumption within the organization (b) (e)
 - GRI 302: Energy 2016 - 302-3 Energy intensity (a)
 - European Sustainability Reporting Standards E1 2023 - Disclosure Requirement E1-5 – Energy consumption and mix 37
 - European Sustainability Reporting Standards E1 2023- Disclosure Requirement E1-5 – Energy consumption and mix - Energy intensity based on net revenue 40
 - Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.A.5 Renewable energy
 - CDP 2024 Questionnaire - 7.30.1
- Equivalency Data Point
 - European Sustainability Reporting Standards E1 2023 - Disclosure Requirement E1-5 – Energy consumption and mix 37 c ii., iii.



ESC1.3 The company monitors its water consumption or withdrawal.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All



Small	Wholesale/Retail	All
Small	Service with Significant Environmental Footprint	All
Small	Manufacturing	All
Small	Agriculture/Growers	All
Micro	Wholesale/Retail	All
Micro	Service with Significant Environmental Footprint	All
Micro	Manufacturing	All
Micro	Agriculture/Growers	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC1.3	From Year 0	Micro / Small	The company monitors its water consumption or withdrawal.



Compliance Criteria:

1.3.1 The company measures and records its annual water consumption or withdrawal:

- a) in the last fiscal year
- b) in each subsequent year.

1.3.2 The company's water consumption or withdrawal is measured by:

- a) total water consumption or withdrawal in cubic meters (m3)
- b) total water recycled and reused in m3
- c) water intensity, as either:
 - i) total water consumption or withdrawal in its own facilities in m3 per \$million of revenue
 - ii) total water consumption or withdrawal in its facilities in m3 per unit of product.

1.3.3 The company explains why it chose to measure either water consumption or withdrawal.

1.3.4 Before Year 0, the company:

- a) tracks and records water consumption or withdrawal for all of its facilities identified as material in accordance with ESC1.7
- b) has a plan to extend the tracking and recording of water consumption or withdrawal to all remaining facilities.

1.3.5 For Year 5, the company completes the tracking and recording of water consumption or withdrawal for all facilities.

Intent:

For the company to measure its water efficiency, and track the results from circular water management approaches.

Clarifying the Compliance Criteria:

[1.3.2; 1.3.3] The company may choose to measure either water consumption or water withdrawal, or both, depending on what is suitable for its context. Water withdrawal may be more relevant for companies in industries like power generation, while water consumption may be more relevant for companies in industries like agriculture, food & beverage, etc. In either of the cases the company records a rationale for its choice of indicator.

[1.3.2 b] “Water recycled and reused” means water and wastewater (treated or untreated) that has been used more than once before being discharged from the company’s boundary, so that water demand is reduced. This may be in the same process (recycled) or in a different process within the same facility or another of the company’s facilities (reused). (European Sustainability Reporting Standards - E3, 2023) [\[EN\]](#)

[1.3.2; 1.3.3] The company may choose to measure either water consumption or water withdrawal, or both, depending on what is suitable for its context. Water withdrawal may be more relevant for companies in industries like power generation, while water consumption may be more relevant for companies in industries like agriculture, food & beverage, etc. In either of the cases the company records a rationale for its choice of indicator.

[1.3.4] This sub-requirement applies to facilities the company has operational control over.

[1.3.4] This sub-requirement addresses the company’s own facilities, while water use in their supply chains is captured in ESC5.

Applying the Criteria to Independently Certifying Subsidiaries:

- The measurement covers the company. If the company references an out-of-scope measurement, it records:
 - the data and mechanism for measuring its own facilities
 - how data is consolidated in the out-of-scope parent’s reporting.

Further Guidance:

- To calculate water intensity per unit of product or service, the company may measure its water consumption or withdrawal per, for example:
 - ton of product (for the food, steel, or cement industry)
 - piece of garment (for the apparel industry)
 - liter of beverage (for the beverage industry)



- vehicle (for the automobile industry).

Implementation Resources:

Example of resource on indicators for sustainable water management

- Authentic Sustainability Assessment A User Manual for the Sustainable Development Performance Indicators, 2022 (United Nations Research Institute for Social Development) [\[EN\]](#)

Example of resource to convert units of water volume

- Inch Calculator [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 303: Water and Effluents 2018 - 303-5 Water consumption (a)
 - Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) I.B.1 Water recycling and reuse
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Freshwater - B08 Water use - a
 - CDP 2024 Questionnaire - 9.2.2
- Equivalency Data Point
 - European Sustainability Reporting Standards E3 - Disclosure Requirement E3-4 – Water consumption 28 a, c; 29 (if the company measures water consumption)



ESC1.4 The company identifies its facilities in areas at water risk and monitors their water consumption or withdrawal.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All



Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC1.4	From Year 0	Medium / Large / X Large / XX Large	The company identifies its facilities in areas at water risk and monitors their water consumption or withdrawal.



Compliance Criteria:

1.4.1 The company identifies any of its facilities in areas at physical water risk.

1.4.2 Before Year 0, the company:

- a) tracks and records water consumption or withdrawal for any of its facilities in areas at physical water risk identified as material in accordance with ESC1.7
- b) has a plan to extend the tracking and recording of water consumption or withdrawal to all remaining facilities in areas at physical water risk.

1.4.3 For Year 5, the company has completed the tracking and recording of water consumption or withdrawal for all facilities in areas of physical water risk.

1.4.4 The company has measured and recorded its annual water consumption or withdrawal in cubic meters (m3) in areas at physical water risk:

- a) in the last fiscal year
- b) in each subsequent year.

Intent:

To ensure the company develops an understanding of the material environmental impacts related to its direct operations.

Clarifying the Compliance Criteria:

[1.4.1] This sub-requirement applies to facilities the company has operational control over.

[1.4.1] The company considers different types of physical water risk to assess which of its facilities are relevant to this sub-requirement.

[1.4.1] To identify if a facility is in an area at water risk, the company may, for example:

- contact the local authority that controls (or has an overview of) the watershed to understand the pressure on it, combined with an analysis of water risk.
- use any of the tools in the Implementation Resources.

Applying the Criteria to Independently Certifying Subsidiaries:

- The assessment covers the company. If the company references an out-of-scope corporate assessment, it demonstrates:
 - how the assessment considered its stakeholders and operational impacts
 - how the assessment outcome is relevant to its context.

Further Guidance:

- Physical water risks may include, for example:
 - physical quantity risk, related to too little or too much water (e.g. drought risk, water stress, water depletion, flood)
 - physical quality risk, related to water that is unfit for use (e.g. water contamination, untreated connected wastewater)
 - water accessibility (i.e. whether people are able to use physically-available water supplies).

Implementation Resources:

Resources on water risk assessment

- Water risk filter (World Wildlife Fund) [\[EN\]](#)

- Aqueduct Water Risk Atlas (World Resources Institute) [\[EN\]](#)
- Authentic Sustainability Assessment A User Manual for the Sustainable Development Performance Indicators, 2022 (United Nations Research Institute for Social Development) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point
 - GRI 303: Water and Effluents 2018 - 303-3 Water withdrawal (b)
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - B. Ecosystems and biodiversity - B9. Water withdrawal c)
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Freshwater - B08 Water use - d
 - CDP 2024 Questionnaire - 9.2.4
- Equivalency Data Point
 - European Sustainability Reporting Standards E3 2023 - Disclosure Requirement E3-4 – Water consumption 28 b



ESC1.5 The company identifies its facilities in or near ecologically sensitive areas, and whether they are negatively affecting these areas.

Track factors:

Size	Sector	Industry
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC1.5	From Year 0	Medium / Large / X Large / XX Large	The company identifies its facilities in or near ecologically sensitive areas, and whether they are negatively affecting these areas.



Compliance Criteria:

1.5.1 The company assesses its facilities to understand if any are negatively affecting ecologically sensitive areas they are in or near, and records:

- a) the location and size (in hectares) of the facilities
- b) their impacts on biodiversity prioritized by severity and likelihood.

1.5.2 The assessment includes all of its manufacturing and production facilities.

1.5.3 The company has conducted its assessment to understand if its facilities are in or near ecologically sensitive areas within the past 36 months.

Intent:

To ensure the company develops an understanding of the material environmental impacts related to its direct operations.

Clarifying the Compliance Criteria:

[1.5.1] A facility is considered to be “in an ecologically sensitive area” when it is completely or partially located in the ecologically sensitive area.

[1.5.1] A facility is considered to be “near an ecologically sensitive area” when the ecologically sensitive area falls either:

- within the area affected or potentially affected by the company’s operations (sometimes referred to as the area of influence)
- within the radius set by the company (with the facility at its center).

[1.5.1] The company may carry out its assessment in any of the following ways:

- An independent third party carries out the assessment using credible tools or national and regional data available from local authorities or non-governmental organizations.
- The company conducts an assessment designed with credible tools. The tools were developed by reputable organizations in a multi-stakeholder process.
- The company conducts an assessment using the tools in the Implementation Resources.
- The company relies on national and regional data available from local authorities or non-governmental organizations.

[1.5.1] For actual negative impacts, materiality is based on the severity of the impact, while for potential negative impacts it is based on the severity and likelihood of the impact.

[1.5.2] This sub-requirement applies to all facilities the company owns, leases, or manages. The assessment covers all manufacturing and production facilities (including farms). It may exclude offices not involved in manufacturing or production.

Applying the Criteria to Independently Certifying Subsidiaries:

- The assessment covers the company. If the company references an out-of-scope corporate assessment, it demonstrates:
 - how the assessment considered its stakeholders and operational impacts,
 - how the assessment outcome is relevant to its context.

Further Guidance:

- Ecologically sensitive areas may include, for example:

- Protected areas on national, regional, and international lists
- UNESCO Heritage sites (natural criteria)[\[EN\]](#)
- Ramsar Convention sites [\[EN\]](#)
- Ecologically or Biologically Significant Marine Areas (EBSAs) [\[EN\]](#)
- Important Marine Mammal Areas [\[EN\]](#)
- Biodiversity hotspots (Key Biodiversity Areas)[\[EN\]](#)
- Areas important for ecosystems, for example, coastal upwellings and seamounts
- Areas important for ecological connectivity, including, for instant important ecological corridors, areas and routes important for seasonal migratory patterns
- Critical areas for vulnerable, migratory, or endangered species
- Areas of importance to ethnic groups and Indigenous Peoples (Indigenous Peoples and Community Conserved Territories and Areas [\[EN\]](#) ,
FAO Globally Important Agricultural Heritage Systems [\[EN\]](#))
- International Union for Conservation of Nature (IUCN) protected area management categories
- Areas with High Conservation Values

Implementation Resources:

Resources to assess biodiversity risk and risk related to ecologically sensitive areas

- Biodiversity risk filter (World Wildlife Fund) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Integrated Biodiversity Assessment Tool (IBAT Alliance) [\[EN\]](#)
- Global Forest Watch [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#) [\[ZH\]](#)
- Living Planet Report, 2024 [\[EN\]](#) [\[ES\]](#) [\[HR\]](#) [\[SR\]](#) [\[PT\]](#)

- ENCORE - allows exploration of future scenarios in terms of the potential impacts and dependencies of activities on biodiversity (available for some sectors, e.g., agriculture and mining) [\[EN\]](#) [\[ES\]](#)
- Science Based Targets Network - Various resources (Science Based Targets Network) [\[EN\]](#)
- High Conservation Value Network Approach [\[EN\]](#)
- High Carbon Stock Approach [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#)
- Biodiversity performance indicator, 2021 (CSO & Manomet) [\[EN\]](#)
- Key Biodiversity Areas [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point:
 - GRI 101: Biodiversity 2024 - 101-5 Locations with biodiversity impacts (a)
 - European Sustainability Reporting Standards E4 2023 - Disclosure Requirement related to ESRS 2 IRO-1 Description of processes to identify and assess material biodiversity and ecosystem-related impacts, risks, dependencies and opportunities 19 a
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Biodiversity - B01 Impacts on nature - a
 - CDP 2024 Questionnaire - 11.4



ESC1.6 The company monitors the animal welfare conditions in its operations.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC1.6	From Year 0	Micro / Small	The company monitors the animal welfare conditions in its operations.



Compliance Criteria:

1.6.1 The company defines indicators to monitor animal welfare conditions. The indicators in its monitoring process relate to how the animals are:

- a) raised
- b) transported
- c) slaughtered.

1.6.2 The company monitors the five freedoms of animal welfare.

1.6.3 The company creates an annual aggregate summary of animal welfare conditions:

- a) in the fiscal year before Year 0
- b) in each subsequent year.

1.6.4 The company meets any applicable laws regarding animal welfare (both general and species-specific).

Intent:

To ensure the company develops an understanding of the animal welfare impacts related to its direct management of animals.

Clarifying the Compliance Criteria:

[1.6.1; 1.6.2; 1.6.3] This sub-requirement applies only to cases where the company is directly involved in the raising, transportation, and slaughtering of animals and does not include the purchase of animal products from third parties. The assessment of animal welfare impacts in the value chain is addressed under ESC1.7.

[1.6.1; 1.6.2; 1.6.3] This sub-requirement applies to all operations where the company does all of the following:

- Owns or controls the facility
- Has operational control over the facility
- Is involved in handling, transporting, or slaughtering animals.

[1.6.1; 1.6.2; 1.6.3] If the company has a third-party certification demonstrating that it respects the five freedoms of animal welfare in the handling, transportation, and slaughter of animals related to its products or services, it can apply the method, tool, or data used to help meet this sub-requirement.

[1.6.1; 1.6.2; 1.6.3] This sub-requirement applies only to cases where the company is directly involved in the raising, transportation, and slaughtering of animals and does not include the purchase of animal products from third parties. The assessment of animal welfare impacts in the value chain is addressed under ESC1.7.

[1.6.1; 1.6.2; 1.6.3] This sub-requirement applies to all operations where the company does all of the following:

- Owns or controls the facility
- Has operational control over the facility
- Is involved in handling, transporting, or slaughtering animals.

[1.6.1; 1.6.2; 1.6.3] If the company has a third-party certification demonstrating that it respects the five freedoms of animal welfare in the handling, transportation, and slaughter of animals related to its products or services, it can apply the method, tool, or data used to help meet this sub-requirement.

[1.6.2] The five freedoms of animal welfare are as follows.

- Freedom from hunger and thirst — ready access to fresh water and a diet to maintain full health and vigor.
- Freedom from discomfort — an appropriate environment, including shelter and a comfortable resting area.

- Freedom from pain, injury, or disease — prevention through rapid diagnosis and treatment.
- Freedom to express normal behavior — sufficient space, proper facilities, and company of the animal's own kind.
- Freedom from fear and distress — conditions and treatment which avoid mental suffering.

[1.6.1; 1.6.2; 1.6.3] This sub-requirement applies only to cases where the company is directly involved in the raising, transportation, and slaughtering of animals and does not include the purchase of animal products from third parties. The assessment of animal welfare impacts in the value chain is addressed under ESC1.7.

[1.6.1; 1.6.2; 1.6.3] This sub-requirement applies to all operations where the company does all of the following:

- Owns or controls the facility
- Has operational control over the facility
- Is involved in handling, transporting, or slaughtering animals.

[1.6.1; 1.6.2; 1.6.3] If the company has a third-party certification demonstrating that it respects the five freedoms of animal welfare in the handling, transportation, and slaughter of animals related to its products or services, it can apply the method, tool, or data used to help meet this sub-requirement.

Applying the Criteria to Independently Certifying Subsidiaries:

- The process is embedded, at minimum, at the highest level within the company. If the company references a process belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the process.

Implementation Resources:

Examples of resources to assess animal welfare practices

- Terrestrial and Aquatic Animal Health Codes (World Organisation for Animal Health) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Responsible Wool Standard [\[EN\]](#)
- Krav [\[EN\]](#) [\[SV\]](#)
- Best Aquaculture Practices [\[EN\]](#) [\[ES\]](#)



- Global Animal Partnership [\[EN\]](#)
- RSCPA Approved Farming Scheme [\[EN\]](#)
- Animal Welfare Approved by AGW (A Greener World) [\[EN\]](#)
- American Humane Certificated [\[EN\]](#)
- The Good Cashmere Standard [\[EN\]](#)
- Certified Humane [\[EN\]](#)
- Responsible Down Standard [\[EN\]](#)
- Regenerative Organic Certification Framework (Standard) (Regenerative Organic Alliance) [\[EN\]](#)
- Compassion in World Farming [\[CS\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[NL\]](#) [\[PL\]](#) [\[SV\]](#) [\[ZH\]](#)
- Accreditation by the Association of Zoos and Aquariums [\[EN\]](#)

Interoperability:

- Equivalency Data Point (not exhaustive):
 - Responsible Wool Standard [\[EN\]](#)
 - Krav [\[EN\]](#) [\[SV\]](#)
 - Best Aquaculture Practices [\[EN\]](#) [\[ES\]](#)
 - Global Animal Partnership [\[EN\]](#)
 - RSCPA Approved Farming Scheme [\[EN\]](#)
 - Animal Welfare Approved by AGW (A Greener World) [\[EN\]](#)
 - American Humane Certificated [\[EN\]](#)
 - The Good Cashmere Standard [\[EN\]](#)
 - Certified Humane [\[EN\]](#)



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- o Responsible Down Standard [\[EN\]](#)
 - o Regenerative Organic Certification Framework (Standard) (Regenerative Organic Alliance) [\[EN\]](#)



ESC1.7 The company conducts an assessment to identify actual and potential environmental impacts connected to its operations and value chain.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All



Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC1.7	From Year 0	None	The company conducts an assessment to identify actual and potential environmental impacts connected to its operations and value chain.

Compliance Criteria:

1.7.1 The company's assessment:

- a) covers the company's operations and value chain
- b) identifies any actual or potential negative impacts of the company's operations and value chain that may contribute to the five drivers of nature change
- c) identifies any actual or potential negative impacts of the company's operations and value chain on animal welfare
- d) is based on internal and external research, and engagement with stakeholders
- e) prioritizes issues based on severity and likelihood.

1.7.2 The assessment includes:

- a) a high level overview of the company's value chain indicating where actual or potential negative impacts on nature and animal welfare have been identified
- b) a list of prioritized value chain activities and company operations that contribute to negative impacts on nature
- c) a list of high impact commodities or products in the supply chain, and an explanation of how they were identified
- d) a list of prioritized material environmental impact areas.

1.7.3 The assessment was completed or updated in the last 36 months.

1.7.4 If water, biodiversity, and waste were not deemed material, the company records a written explanation why. The written explanation:

- a) includes credible scientific evidence
- b) is approved by the highest governing body or executive team.

1.7.5 The company considers any "potential impacts" from the Risk Tool (FR3.1) in its assessment.



Intent:

To identify actual and potential environmental impacts linked to different parts of the company's value chain, including its operations, supply chain, product usage, and product end-of-life.

Clarifying the Compliance Criteria:

[1.7.1] The assessment under this sub-requirement is connected to the impact or double materiality assessment [PSG2.3]. However, this assessment includes more specific details than a materiality assessment, in the form of impact areas, commodities, and certain operations. The assessment conducted under this requirement is a demonstration of due diligence, and provides a good base to inform the strategies and actions the company develops under this Impact Topic.

[1.7.1] A company includes the environmental impacts linked to the usage of their products or services if:

- There's a clear cause-and-effect link between the product or service and the environmental impact. For instance, a company that sells chainsaws directly to a logging company has a direct connection to deforestation. But a retailer selling chainsaws to individual customers doesn't have the same direct link since it's harder to predict or measure the impact.
- It is reasonable to expect the company to have sufficient knowledge about the environmental impacts linked to the use of their product or service and mitigate them. For example, a retailer selling chainsaws to the general public likely wouldn't know how each chainsaw will be used or the environmental consequences. However, a wholesaler supplying chainsaws to a logging company can reasonably predict that their product will contribute to environmental damage and should take steps to address or mitigate this.

[1.7.1] The scope for the assessment is intentionally broad to avoid the company accidentally excluding its most material environmental impacts. For example, an electronics manufacturer may already know that high water usage during manufacturing is a material impact. The broad scope of the assessment helps the company consider the impacts related to mining its raw materials too.

[1.7.1] The assessment's broad scope is a starting point — it does not mean the company prioritizes all parts of its direct operations and value chain equally. The company's focus within the scope will vary, based on the severity and likelihood of negative impacts. Companies often reassess their material impacts as they receive stakeholder feedback and learn more about their value chain. The company is not expected to have full visibility of its supply chain to assess its material impacts.

[1.7.1] The company is likely to identify potential negative environmental impacts beyond its tier one suppliers (e.g. if a tier one supplier receives raw materials from a farm in an area at water risk). In these cases, the company may prioritize the relevant tier one supplier and include a plan in its strategy [Link to ESC2.1] to increase the scope of its assessment to tier two or beyond. Increasing the scope over time enables the company to assess impacts further upstream or downstream in its value chain, to identify further potential impacts and mitigations [Link to ESC5].

[1.7.1 b; 1.7.1 c] To assess its value chain, the company may prioritize impacts in phases:

- using a high-level screening and investigating a small number of highly material issues deeply
- improving the assessment when it is reviewed and updated, every 36 months at minimum.

[1.7.1 b] The five drivers of nature change are the following.

- Land- and sea-use change
- Climate change
- Pollution (air, water, soil, plastic, and noise pollution)
- Resource use and overexploitation
- Invasive alien species

[1.7.1 b] The company follows the steps below (or equivalent) to identify its nature-related impacts. (The first two phases are adapted from the Taskforce on Nature-related Financial Disclosures — LEAP Approach [\[EN\]](#).)

- Phase 1: Locate — Determine the scope of the assessment of environmental impacts by locating where the company interacts with nature. To do this, map the company's operations and value chain, including its downstream products or services, to the ecosystem they operate in. Determine whether those locations are ecologically sensitive.
- Phase 2: Evaluate — Identify and list all of the company's potential environmental impacts. This helps understand how the company's operations and value chain (up- and downstream) may interact with ecosystems, what natural resources are used, and how they are exploited. The evaluation may be based on:
 - available environmental performance data
 - internal and external research
 - sector or industry tools to identify sector risk or high-risk materials (e.g. raw materials commonly linked to deforestation)
 - stakeholder engagement with suppliers, local communities, non-governmental organizations (NGOs), or government agencies.
- Phase 3: Assess — Prioritize impacts by assessing their severity and likelihood.

[1.7.1 b] For actual negative impacts, materiality is based on the severity of the impact, while for potential negative impacts it is based on the severity and likelihood of the impact.

[1.7.1 b] Where applicable, the company may use the metrics under ESC1.1–ESC1.6, among others, to help quantify the impacts of its own facilities.

[1.7.1 b; 1.7.1 c] To assess its value chain, the company may prioritize impacts in two phases:

- using a high level screening and investigating a small number of highly material issues deeply

- improving the assessment when it is reviewed and updated, every 36 months at minimum.

[1.7.1 c] The company treats animal welfare as a material impact if it has no information on the animal welfare conditions in its operations and value chain (the five freedoms of animal welfare). Animal welfare may also be impacted if animals are used in the production or harvesting of raw materials in the company's supply chain.

[1.7.1 e] The company prioritizes environmental impacts based on severity and likelihood. Severity should outweigh likelihood, so that highly severe impacts — even if they are unlikely — are still prioritized.

- Severity refers to one or more of the following.
 - Scale — how serious would the impact be? A bigger scale is more severe.
 - Scope — how widespread is the impact? A bigger scope is more severe.
 - Ease of remediation — how easy would it be to remediate the potential negative impact? A higher difficulty of remediation is more severe. An impact has a low ease of remediation when it is very difficult to restore the environment to its prior state. Note, this does not mean less severe environmental impacts should not be remedied.
- Likelihood considers how likely the impact is, and how frequently it might occur.

[1.7.1 e] The scale of a negative impact may depend on whether it violates regulations or authoritative intergovernmental instruments. For example, a negative impact can be considered greater if it risks noncompliance with the reductions in greenhouse gas (GHG) emissions in line with the 1.5°C goal of the Paris Agreement.

[1.7.1 e] The scale of a negative impact often depends on its context. For example, if the company withdraws water from an area affected by water risk, the scale of the impact is greater than if it takes from an area with abundant water resources.

[1.7.2 b] The company's "prioritized value chain activities and operations" are those that it identifies as contributing the most material negative impacts. These may be, for example:

- specific operations (e.g. factories, offices)
- suppliers
- customers
- projects the company is undertaking.

[1.7.2 d] The company may use tools listed under Implementation Resources (or other external sources) for identifying industry-specific information on which environmental impacts are material.

[1.7.2 d] Climate change is a material impact for all companies. It is addressed in more detail under the Climate Action topic.

[1.7.5] FR3.1 only applies to the company if it is considered small or above. If a company is considered micro or a company without workers, then it is exempt from FR3.1 and this compliance criterion does not apply.

[1.7.5] "Considers" means to understand how the potential impact relates to the company and decide whether it is prioritized for further action.

Applying the Criteria to Independently Certifying Subsidiaries:

- The assessment covers the company. If the company references an out-of-scope corporate assessment, it demonstrates:
 - how the assessment considered its stakeholders and operational impacts
 - how the assessment outcome is relevant to its context.
- References to the highest governing body or executive team mean those within the company's scope of certification. This means that a written explanation by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body or executive team within its scope of certification.

Further Guidance:

- Severity can be assessed using the following categories, as an example.
 - High — the impact and its resulting effects are expected to cause major, irreparable, and long-lasting damage to the environment.
 - Medium — the impact is expected to cause significant and lasting damage to the environment.
 - Low — the impact is expected to cause minor, reparable, and temporary damage to the environment.
- Likelihood can be assessed using the following categories, as an example.
 - High — the impact is expected to occur continuously.
 - Medium — the impact is expected to occur regularly (i.e. from several times per year to several times per month).
 - Low — the impact is expected to occur only occasionally (i.e. only during a specific phase of a project).

- “Prioritized value chain activities” that contribute to the most material negative impacts may be, for example:
 - specific operations (e.g. factories, offices)
 - suppliers
 - customers
 - projects the company is undertaking.
- Examples of “credible scientific evidence” include:
 - Peer reviewed and credible scientific journal articles
 - Recent credible reports related to water availability, biodiversity, and ecosystem status (e.g. no red listed species in the areas of operation and value chain).

Recommendations:

- If the company cannot quantify its impacts before Year 0, it develops an action plan for how it will quantify its impacts within the coming years. In these cases, the company includes an action point in its environmental strategy [Link to ESC2.1] to further quantify its environmental impacts within the coming years.
- When evaluating pollution, the company also evaluates if its products or packaging contain hazardous substances, including substances of very high concern (SVHC). SVHCs are substances that may have serious and often irreversible effects on human health and the environment. These can be found in the EU REACH Candidate List [[Various languages](#), including BG, CS, DA, DE, EL, EN, ES, ET, FI, FR, HR, HU, IT, LT, LV, MT, NL, PL, PT, RO, SK, SL, SV] or ChemSec SIN List [[EN](#)].
- Use a third-party standard for the company’s assessment of environmental impacts. Examples include:
 - step 1 and 2 from the Science Based Targets Network (2020) [[EN](#)]
 - the Taskforce on Nature-related Financial Disclosures’ LEAP Approach [[EN](#)].
- Use a comprehensive Life Cycle Assessment (LCA) methodology to help identify material environmental impacts.
- Evaluate the company’s impacts according to both their quantifiable effects and to the state of nature where they are occurring. (See Technical guidance materials for Step 1 of the Science Based Targets Network, under Implementation Resources [[EN](#)].)

- Include in the assessment not only the actual and potential negative impacts the company may have on nature, but also the company's dependencies on nature. This enables a holistic understanding of the interactions between the company and natural world.
- Consider an environmental impact area material if it is likely to cause severe impact on society as a whole — even if the company's contribution to the impact is small.

Implementation Resources:

Examples of resources to assess a company's environmental impacts

- Guidance on the identification and assessment of nature-related issues: the LEAP approach, 2024 (Taskforce on Nature-related Financial Disclosures) [\[EN\]](#)
- Initial Guidance for Business by the Science-Based Targets for Nature (Science Based Targets Network, 2020) [\[EN\]](#)
- Onboarding support and target setting for companies (Science Based Targets Network) - Technical guidance materials for Step 1 - Assess [\[EN\]](#)
- Onboarding support and target setting for companies (Science Based Targets Network) - Technical guidance materials for Step 2 - Prioritize [\[EN\]](#)
- People and planet in business - A simple guide to how small and micro companies can start or strengthen their due diligence, 2023 (B Lab, Fairtrade International) [\[EN\]](#)
- Science-Based Targets for Nature: Initial Guidance for Business, 2020 (Science Based Targets Network) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[PT\]](#) [\[ZH\]](#)
- Nature Strategy Handbook - A practical guide for businesses, 2023 (Business for Nature) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[PT\]](#) [\[ZH\]](#)
- Natural Capital Protocol, 2021 (Capitals Coalition) [\[AR\]](#) [\[EN\]](#) [\[JP\]](#) [\[ZH\]](#)
- Nature-Related Risk & Opportunity Management and Disclosure Framework (Taskforce on Nature-related Financial Disclosures) [\[Various languages\]](#), including AR, EN, ES FR, IT, PT, RU, ZH]
- Authentic Sustainability Assessment - A User Manual for the Sustainable Development Performance Indicators, 2022 (United Nations Research Institute for Social Development) [\[EN\]](#)
- Cradle to Cradle Certified® Product Standard, 2024 (Cradle to Cradle Products Innovation Institute) [\[EN\]](#)
- High-level Business Actions on Nature (Business for Nature) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#) [\[ZH\]](#)

- Knowledge Hub - Various tools (Taskforce on Nature-related Financial Disclosures) [\[EN\]](#)

Examples of resources to obtain information on potential negative environmental impact of specific sectors or industries

- Materiality Screening Tool – Tool to aid in initial corporate sector-level screening of environmental impacts (Science Based Targets Network) [\[EN\]](#)
- ENCORE [\[EN\]](#) [\[ES\]](#)
- The Global Assessment of Private Sector Impacts on Water, 2022 (CERES) [\[EN\]](#)
- Biodiversity risk filter (World Wildlife Fund) [\[EN\]](#)
- Prioritising Nature-related Disclosures, 2022 (UN Environment Programme) [\[EN\]](#)
- CDP (covering water, forests and climate) [\[EN\]](#) [\[ES\]](#) [\[JA\]](#) [\[PT\]](#) [\[ZH\]](#)
- GRI Sector Standards [\[EN\]](#)

Example of resource on stakeholder engagement

- Guidance on engagement with Indigenous Peoples, Local Communities and affected stakeholders, 2023 (Taskforce on Nature-related Financial Disclosures) [\[EN\]](#)

Examples of resources to assess biodiversity impacts

- Biodiversity risk filter (World Wildlife Fund) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Integrated Biodiversity Assessment Tool (IBAT Alliance) [\[EN\]](#)
- Global Forest Watch [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#) [\[ZH\]](#)
- Living Planet Report, 2024 [\[EN\]](#) [\[ES\]](#) [\[HR\]](#) [\[SR\]](#) [\[PT\]](#)
- ENCORE - allows exploration of future scenarios in terms of the potential impacts and dependencies of activities on biodiversity (available for some sectors, e.g., agriculture and mining) [\[EN\]](#) [\[ES\]](#)
- Science Based Targets Network - Various resources (Science Based Targets Network) [\[EN\]](#)
- High Conservation Value Network Approach [\[EN\]](#)

- High Carbon Stock Approach [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#)
- Biodiversity performance indicator, 2021 (CSO & Manomet) [\[EN\]](#)
- Key Biodiversity Areas [\[EN\]](#)

Examples of resources to obtain information on potential water impact based on geographic location

- Water risk filter (World Wildlife Fund) [\[EN\]](#)
- Aquaduct Water Risk Atlas (World Resources Institute) [\[EN\]](#)
- Ocean+ [\[EN\]](#)

Examples of resources to assess animal welfare practices

- Terrestrial and Aquatic Animal Health Codes (World Organisation for Animal Health) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Responsible Wool Standard [\[EN\]](#)
- Krav [\[EN\]](#) [\[SV\]](#)
- Best Aquaculture Practices [\[EN\]](#) [\[ES\]](#)
- Global Animal Partnership [\[EN\]](#)
- RSCPA Approved Farming Scheme [\[EN\]](#)
- Animal Welfare Approved by AGW (A Greener World) [\[EN\]](#)
- American Humane Certificated [\[EN\]](#)
- The Good Cashmere Standard [\[EN\]](#)
- Certified Humane [\[EN\]](#)
- Responsible Down Standard [\[EN\]](#)
- Regenerative Organic Certification Framework (Standard) (Regenerative Organic Alliance) [\[EN\]](#)
- Compassion in World Farming [\[CS\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[NL\]](#) [\[PL\]](#) [\[SV\]](#) [\[ZH\]](#)
- Accreditation by the Association of Zoos and Aquariums [\[EN\]](#)

Examples of resources on environmental risks for specific raw materials (high-risk materials)

- High impact commodity list (Science Based Targets Network) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Regulation on Deforestation-free Products - will develop a classification of high and low risk countries, 2023 (European Commission) [\[BG\]](#) [\[CS\]](#) [\[EL\]](#) [\[EN\]](#) [\[ES\]](#) [\[ET\]](#) [\[DA\]](#) [\[DE\]](#) [\[FR\]](#) [\[GA\]](#) [\[HR\]](#) [\[HU\]](#) [\[IT\]](#) [\[LT\]](#) [\[LV\]](#) [\[MT\]](#) [\[NL\]](#) [\[PL\]](#) [\[PT\]](#) [\[RO\]](#) [\[SL\]](#) [\[SK\]](#)
- Responsible Minerals Initiative for minerals, gold, silver [\[Various languages\]](#), including AR, EN, ES FR, IT, PT, RU, ZH]

Examples of resources to conduct a Life Cycle Assessment

- General Guide for Life Cycle Assessment - ILCD Handbook (European Commission) [\[EN\]](#)
- Overview of life cycle inventory databases by GHG Protocol [\[EN\]](#)
- PEF (Product Environmental Footprint) and OEF (Organisation Environmental Footprint): PEF and OEF are currently under development. With PEF and OEF, the European Commission aims to harmonize methodology for the calculation of the environmental footprint of products and organizations. The system has been under development for several years now, and will in the end provide a standardized impact assessment method, a database with background LCA data and calculation rules for different industrial sectors (PEFCRs). [\[BG\]](#) [\[CS\]](#) [\[DA\]](#) [\[DE\]](#) [\[EL\]](#) [\[EN\]](#) [\[ES\]](#) [\[ET\]](#) [\[FI\]](#) [\[FR\]](#) [\[GA\]](#) [\[HR\]](#) [\[HU\]](#) [\[IT\]](#) [\[LV\]](#) [\[LT\]](#) [\[MT\]](#) [\[NL\]](#) [\[PL\]](#) [\[PT\]](#) [\[RO\]](#) [\[SL\]](#) [\[SK\]](#) [\[SV\]](#)
- Recommendations for Life Cycle Impact Assessment in the European context - based on existing environmental impact assessment models and factors (International Reference Life Cycle Data System - ILCD handbook) (European Commission) [\[EN\]](#)
- ISO 14040:2006 & ISO 14044: Life Cycle Assessment Framework (note, this resource is not free of charge) [\[EN\]](#) [\[FR\]](#) [\[RU\]](#)

Interoperability:

- Conceptual Alignment Data Point:
 - GRI 3 Material Topics 2021 - 3-1 Process to determine material topics
 - GRI 3 Material Topics 2021 - Disclosure 3-2 List of material topics
 - GRI 13: Agriculture, Aquaculture and Fishing Sectors 2022 - 13.11.1
 - GRI 303: Water and Effluents 2018 - 303-1 Interactions with water as a shared resource (a, b)

- o GRI 101: Biodiversity 2024 - 101-6 Direct drivers of biodiversity loss (a, b, c, d, e)
- o GRI 308: Supplier Environmental Assessment 2016 - Disclosure 308-2 Negative environmental impacts in the supply chain and actions taken (c)
- o European Sustainability Reporting Standards E1 2023 - Disclosure Requirement related to ESRS 2 SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model
- o European Sustainability Reporting Standards E1 2023 - Disclosure requirement related to ESRS 2 IRO-1 – Description of the processes to identify and assess material climate-related impacts, risks and opportunities
- o European Sustainability Reporting Standards E2 2023 - Disclosure Requirement related to ESRS 2 IRO-1 – Description of the processes to identify and assess material pollution-related impacts, risks and opportunities
- o European Sustainability Reporting Standards E2 2023 - Disclosure Requirement E2-4 – Pollution of air, water and soil
- o European Sustainability Reporting Standards E2 2023 - Disclosure Requirement E2-5 – Substances of concern and substances of very high concern
- o European Sustainability Reporting Standards E3 2023 - Disclosure Requirement related to ESRS 2 IRO-1 – Description of the processes to identify and assess material water and marine resources-related impacts, risks and opportunities 8 a, b
- o European Sustainability Reporting Standards E4 2023 - Disclosure Requirement SBM 3 – Material impacts, risks and opportunities and their interaction with strategy and business model 16.
- o European Sustainability Reporting Standards E4 2023 - Disclosure Requirement related to ESRS 2 IRO-1 Description of processes to identify and assess material biodiversity and ecosystem-related impacts, risks, dependencies and opportunities 17, 18, 19
- o European Sustainability Reporting Standards E5 2023 - Disclosure Requirement related to ESRS 2 IRO-1 – Description of the processes to identify and assess material resource use and circular economy-related impacts, risks and opportunities 11 a, b
- o European Sustainability Reporting Standards 2 - Disclosure Requirement SBM-3 - Material impacts, risks and opportunities and their interaction with strategy and business model 46, 48 a, c
- o European Sustainability Reporting Standards 2 - Disclosure Requirement IRO-1 - Description of the process to identify and assess material impacts, risks and opportunities 51, 53
- o DIRECTIVE OF THE EUROPEAN PARLIAMENT AND OF THE COUNCIL on Corporate Sustainability Due Diligence and amending Directive (EU) 2019/1937 (proposal) - Article 6

- The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - A. Governance - A01 Impact materiality and sustainability strategy - a, b, c
- The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Biodiversity - B02 Nature-related dependencies, risks and opportunities a, b, c, d
- The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Biodiversity - B01 Impacts on nature - a, b, c
- Recommendations of the Taskforce on Nature-related Financial Disclosures, 2023 - Strategy - A. Describe the nature-related dependencies, impacts, risks and opportunities the organisation has identified over the short, medium and long term
- Recommendations of the Taskforce on Nature-related Financial Disclosures, 2023 - Strategy - D. Disclose the locations of assets and/or activities in the organisation's direct operations and, where possible, upstream and downstream value chain(s) that meet the criteria for priority locations.
- Recommendations of the Taskforce on Nature-related Financial Disclosures, 2023 - Risk and Impact Management
- CDP 2024 Questionnaire - 7.5
- CDP 2024 Questionnaire - 9.4
- Fairtrade Trader Standard v2.2, 2024 (Fairtrade International) 3.2.1



ESC1.8 The company publicly shares its material environmental issues.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All



Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC1.8	From Year 3	None	The company publicly shares its material environmental issues.



Compliance Criteria:

1.8.1 The company's material environmental issues (ESC1.7) are available on its webpage or the company has another way for stakeholders to easily access it.

1.8.2 The company publicly shares the methodology it used in its assessment of material environmental issues.

Intent:

To increase public accountability and enable companies to compare their material environmental issues.

Clarifying the Compliance Criteria:

[1.8.1, 1.8.2] The company's material environmental issues are available in one of the following.

- Its annual report
- An annual sustainability report
- An integrated annual report and sustainability report
- Another public report available on its webpage

[1.8.1, 1.8.2] The company's material environmental issues are available in one of the following.

- Its annual report
- An annual sustainability report
- An integrated annual report and sustainability report
- Another public report available on its webpage

Applying the Criteria to Independently Certifying Subsidiaries:

- The reporting scope covers the company. If the company references a corporate group report that includes out-of-scope entities, either:
 - the performance of the company is clearly identifiable within the group report
 - the company publicly shares its own report on its webpage.



ESC2 The company has a strategy to address its actual and potential negative environmental impacts, and to support staying within ecological thresholds.

ESC2.1 The company has a strategy to address its actual and potential negative environmental impacts.

Track factors:

Size	Sector	Industry
XX Large	Service with Significant Environmental Footprint	All
XX Large	Wholesale/Retail	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Service with Significant Environmental Footprint	All
X Large	Wholesale/Retail	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Service with Significant Environmental Footprint	All
Large	Wholesale/Retail	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Service with Significant Environmental Footprint	All
Medium	Wholesale/Retail	All



Medium	Manufacturing	All
Medium	Agriculture/Growers	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC2.1	From Year 3	None	The company has a strategy to address its actual and potential negative environmental impacts.

Compliance Criteria:

2.1.1 The company's strategy addresses the material negative environmental impacts in its direct operations and value chain identified in ESC1.7.

2.1.2 The strategy, or a related implementation plan, includes:

- a) quantified targets for the next 36 months at minimum
- b) indicators
- c) clearly defined roles and responsibilities
- d) a plan to engage and work with stakeholders
- e) how the company prioritizes avoidance and reduction of negative environmental impacts
- f) how the company uses its water and biodiversity assessments (where applicable) and:
 - i) protects ecologically sensitive areas or areas at water risk that its facilities are in or near
 - ii) sets objectives to avoid and reduce negative impacts on those areas
- g) how the company's business model aligns with this strategy, or how it plans to align it.

2.1.3 The strategy is approved by the highest governing body or executive team.

2.1.4 The strategy was adopted or reviewed in the last twelve months.

Intent:

For the company to create an environmental strategy informed by its assessment of actual and potential material environmental impacts.

Clarifying the Compliance Criteria:

[2.1.1] The strategy sets out how the company intends to address each of its material environmental issues. More specifically, it describes how the company will:

- assess the potential negative environmental impacts of working with potential clients and projects, and on investments if applicable [link to ESC2.6; ESC2.7]
- use inputs from stakeholders [links to PSG2]
- prevent and mitigate actual and potential negative environmental impacts [links to ESC4]
- evaluate the effectiveness of the strategy and update it as required [link to ESC4.2]
- work with suppliers to achieve environmental objectives and trace raw materials in the supply chain to their origins [link to ESC5].

[2.1.2] The company may include collective action or other forms of collaboration in its strategy [Link to GACA2].

Applying the Criteria to Independently Certifying Subsidiaries:

- The strategy is embedded, at minimum, at the highest governance level within the company. If the company references a strategy belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the strategy.
- References to the highest governing body or executive team mean those within the company's scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body or executive team within its scope of certification.

Further Guidance:

- The company's strategy, depending on material issues, may include the following actions (among others).
 - Implementing practices that help to maintain and enhance biodiversity (in line with the mitigation hierarchy for biodiversity)
 - Implementing a circular water management approach and water stewardship to address any water risks
 - Implementing practices in line with the waste hierarchy and food waste hierarchy
 - Implementing practices to avoid or reduce pollution (of air, water, soil, and noise)

- Following animal welfare regulations and standards that are generally consistent with the World Organisation for Animal Health (WOAH) Terrestrial Code or Aquatic Code
- Implementing energy efficiency practices and switching to renewable electricity
- Reducing intense use of natural resources and reducing overconsumption in general
- Collective action may be especially impactful where limited local infrastructure hinders the company's ability to directly mitigate its environmental impact. For example, if no local infrastructure for recycling is available, the company may not be able to increase the amount of waste it recovers. In these cases, the company collaborates with others to improve the infrastructure while also working to reduce its waste.
- Stakeholders the company engages or works with could include, for example:
 - stakeholders in the value chain (e.g. suppliers, buyers)
 - peers
 - industry alliances
 - governments
 - trade associations
 - Civil Society Organizations (CSOs)
 - Indigenous Peoples.
- To address its material environmental impacts, the company may first focus on the drivers it is responsible for, and follow a hierarchy of actions: avoid, reduce, restore & regenerate, and transform. For example, if the company is responsible for pollution, it:
 - avoids — first, it works on avoiding pollution by addressing the cause directly (e.g. eliminating water discharge)
 - reduce — then it aims to reduce pollution by adopting best practice processes (e.g. replacing water-intensive systems)
 - restore & regenerate — next, the company works on addressing the negative impact it has already caused (e.g. remediating contaminated water)
 - transform — finally, the company transforms the way it works to address the drivers of pollution (e.g. advocating for industry-wide adoption of regenerative practices, influencing policy and supplier standards).

- To determine how the company's business model aligns with its strategy (or identify how it plans to align its business model if it is misaligned) the company may reflect on its inherent environmental impacts, as in the following examples.
 - If a company's business model depends on a lot of air travel (e.g. to participate in conferences or visit clients), how can it shift to a more sustainable model? Could the company participate in events only remotely, make onsite visits only for local clients, or move to a different type of client or industry?
 - If the company's current business model depends on putting more and more products on the market, is that approach aligned with reducing its negative environmental impact? Could the company take on a more novel business model by providing its products as a service instead?
 - If the company's products use ingredients from all over the world, how can it lower the impact of transporting those raw materials? Could the company source more ingredients locally, or diversify to other products or revenue streams?
 - If the company is in a water scarce area and it uses a lot of water in manufacturing, how can it shift its business model to mitigate the stress on water sources? Could the company diversify its portfolio to produce less water-intensive products?
- Examples of quantifiable objectives that the company may consider incorporating in its strategy:
 - Biodiversity outcomes
 - Measurable maintenance or improvement of biodiversity, carbon storage or sequestration, soil health, or the health of other ecosystems
 - A reduction of invasive alien species
 - An increase in the stock and diversity of native species
 - Water outcomes
 - Reduced water consumption
 - Improved water quality
 - Water consumption reduced to within proportionate allocations of available water supplies.
 - Waste outcomes
 - Reduced waste
 - Increased waste recovery
 - Zero waste to landfill for all operations

- Energy outcomes
 - Reduced energy consumption
 - Increased procurement of renewable electricity
 - Achieved 100% renewable electricity
- Pollution outcomes
 - Reduced pollution (of soil, water, noise, and air)
 - Elimination of intentionally added substances from the EU REACH Candidate List and ChemSec SIN List from all products and packaging at any concentration
 - Reduction of substances from the EU REACH Candidate List and ChemSec SIN List in any material outflows to under 0.1% w/w (1,000 ppm).
 - Elimination of substances from the Cradle to Cradle Certified Products Program Restricted Substances List (RSL) above the RSL's maximum allowable concentration.
- Animal welfare
 - Improved animal welfare conditions in line with the five freedoms of animal welfare

Recommendations:

- Set specific commitments as part of the strategy. Depending on the material environmental impacts identified in the company's own operations and value chain under ESC1.7, these commitments may help the company to align its operations more closely with certain ecological thresholds. For example, depending on the company's context, consider adding:
 - a commitment to send zero waste to landfill from the company's operations within a certain timeframe
 - a commitment to use 100% renewable electricity at the company's owned operations within a certain timeframe.
- Consider ecological thresholds when setting targets (e.g. by setting science-based targets for nature).
- Whenever possible, incorporate local and traditional knowledge from local communities and Indigenous Peoples into the strategy, building on their existing environmental stewardship and nature-based solutions.

- Compensate Indigenous Peoples appropriately when integrating their views or knowledge, and acknowledge their time and efforts.
- Ultimately, the company reduces its impact to within ecological thresholds and fully respects animal welfare. This may involve, among other outcomes:
 - prioritizing avoidance and minimization of negative impacts on biodiversity (in line with the mitigation hierarchy for biodiversity)
 - reducing its water consumption to within proportionate allocations of available water supplies
 - reducing its waste to the minimum, and sending zero waste to landfill
 - reducing its energy consumption to the minimum, and procuring 100% renewable electricity
 - reducing pollution to within safe, legal limits.

Implementation Resources:

Examples of resources to develop an environmental strategy, targets and indicators

- People and planet in business - A simple guide to how small and micro companies can start or strengthen their due diligence, 2023 (B Lab, Fairtrade International) [\[EN\]](#)
- Nature Strategy Handbook - A practical guide for businesses, 2023 (Business for Nature) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JA\]](#) [\[PT\]](#) [\[ZH\]](#)
- Nature Benchmark Methodology, 2024 (World Benchmarking Alliance) [\[EN\]](#)
- Science-Based Targets for Nature: Initial Guidance for Business (Science Based Targets Network) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[PT\]](#) [\[ZH\]](#)
- Step 4 - ACT - Action Framework (AR3T) (Science Based Targets Network) [\[EN\]](#)
- Onboarding support and target setting for companies (Science Based Targets Network) - Step 3 [\[EN\]](#)
- Authentic Sustainability Assessment - A User Manual for the Sustainable Development Performance Indicators, 2022 (United Nations Research Institute for Social Development) [\[EN\]](#)
- Cradle to Cradle Certified® Product Standard, 2024 (Cradle to Cradle Products Innovation Institute) [\[EN\]](#)
- Nature Positive Strategy: Practical Guidance for Corporates, 2024, Pollination Group [\[EN\]](#)

Examples of resources on developing a water strategy

- Putting Water Strategy Into Context, 2021 (World Wildlife Fund) [\[EN\]](#)
- AWS International Water Stewardship Standard, 2019 [\[Various languages\]](#) including AR, BN, EN, ES, FR, JP, PT, TR, VI, ZH]

Examples of resources on developing a biodiversity transition plan

- High-level Business Actions on Nature (Business for Nature) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#) [\[ZH\]](#)
- Guidance for using the IUCN Global Standard for Nature-based Solutions, 2021 (International Union for Conservation of Nature) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[KO\]](#) [\[JA\]](#) [\[SQ\]](#) [\[SR\]](#) [\[MK\]](#) [\[ZH\]](#)
- Nature in transition plans: Why and how?, 2023 (World Wildlife Fund) [\[EN\]](#)
- Various guidance on how to eliminate deforestation, ecosystem conversion (Accountability Framework Initiative) [\[EN\]](#)
- High Carbon Stock and High Conservation Value assessment [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[ID\]](#) [\[PT\]](#) - to consider if operating or sourcing in the humid tropics and for all other ecosystems: High Conservation Value assessment [\[EN\]](#)
- Agricultura Regenerativa - Minimum and desirable criteria for a regenerative farm [\[EN\]](#) [\[ES\]](#)
- Bioprotection Portal [\[AR\]](#) [\[BN\]](#) [\[DE\]](#) [\[ES\]](#) [\[EN\]](#) [\[PT\]](#) [\[FR\]](#) [\[HU\]](#) [\[IN\]](#) [\[MS\]](#) [\[NE\]](#) [\[SI\]](#)
- The Four Labours of Regenerative Agriculture - Paving the way towards meaningful commitments, 2023 (FAIRR) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point:
 - GRI 3: Material Topics 2021 - Disclosure 3-3 Management of material topics (c, d, e, f)
 - GRI 303: Water and Effluents 2018 - 303-1 Interactions with water as a shared resource (c, d)
 - European Sustainability Reporting Standards E2 2023 - Disclosure Requirement E2-3 – Targets related to pollution
 - European Sustainability Reporting Standards E2 2023 - Disclosure Requirement E2-2 – Actions and resources related to pollution 16.
 - European Sustainability Reporting Standards E3 2023 - Disclosure Requirement E3-3 – Targets related to water and marine resources
 - European Sustainability Reporting Standards E3 2023 - Disclosure Requirement E3-2 – Actions and resources related to water and marine resources 15.

- o European Sustainability Reporting Standards E4 2023 - Disclosure Requirement E4-4 – Targets related to biodiversity and ecosystems
- o European Sustainability Reporting Standards E4 2023 - Disclosure Requirement E4-5 – Impact metrics related to biodiversity and ecosystems change
- o European Sustainability Reporting Standards E4 2023 - Disclosure Requirement E4-3 – Actions and resources related to biodiversity and ecosystems 25, 28 a, c
- o European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-3 – Targets related to resource use and circular economy
- o DIRECTIVE OF THE EUROPEAN PARLIAMENT AND OF THE COUNCIL on Corporate Sustainability Due Diligence and amending Directive (EU) 2019/1937 (proposal) - Article 7, 8
- o The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - A. Governance - A01 Impact materiality and sustainability strategy - d
- o The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - A. Governance - A02 Sustainability targets and plans - a, c, d
- o The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Atmosphere - B07 Air pollution - b
- o The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Freshwater - B08 Water use - b
- o The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - A. Governance - A03 Accountability for sustainability performance - a, b
- o The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Circularity - B12 Waste - b
- o Recommendations of the Taskforce on Nature-related Financial Disclosures, 2023 - Strategy - B. Describe the effect nature-related dependencies, impacts, risks and opportunities have had on the organisation's business model, value chain, strategy and financial planning, as well as any transition plans or analysis in place
- o Recommendations of the Taskforce on Nature-related Financial Disclosures, 2023 - Strategy - C. Describe the resilience of the organisation's strategy to nature-related risks and opportunities, taking into consideration different scenarios.
- o Recommendations of the Taskforce on Nature-related Financial Disclosures, 2023 - Metrics and Targets
- o CDP 2024 Questionnaire - 9.15
- o Fairtrade Trader Standard v2.2, 2024 (Fairtrade International) 3.1.2, 3.1.4, 4.2.4



ESC2.2 The company has a biodiversity transition plan to halt and reverse biodiversity loss caused by its operations and value chain.

Track factors:

Size	Sector	Industry
XX Large	Service with Significant Environmental Footprint	All
XX Large	Wholesale/Retail	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Service with Significant Environmental Footprint	All
X Large	Wholesale/Retail	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Manufacturing	Mining
Large	Agriculture/Growers	All
Medium	Manufacturing	Mining
Medium	Agriculture/Growers	All
Small	None	None
Micro	None	None
Company without workers	None	None



ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC2.2	From Year 3	None	The company has a biodiversity transition plan to halt and reverse biodiversity loss caused by its operations and value chain.

Compliance Criteria:

2.2.1 If the company identified biodiversity-related impacts as material in its assessment of environmental impacts, then the company's biodiversity transition plan includes:

- a) a commitment to contribute to the global goal of halting and reversing biodiversity loss by 2030
- b) quantified targets for its own facilities
- c) a plan to engage its material suppliers (by impact) to understand:
 - i) whether they are located in or near areas important for biodiversity.
 - ii) what actions they take to manage their biodiversity impacts
- d) how the company integrates Indigenous Peoples' local knowledge or traditional ecological knowledge and nature-based solutions.

2.2.2 The plan includes actions to:

- a) support aspects such as:
 - i) maintenance and enhancement of biodiversity
 - ii) carbon storage or sequestration
 - iii) soil health
 - iv) the health of other ecosystems
- b) measure positive conservation and regenerative outcomes, such as:
 - i) healthy and stable soils
 - ii) improved local biodiversity
 - iii) improved air and water quality
- c) prevent potential negative impacts associated with the company's facilities located in or near ecologically sensitive areas.

2.2.3 The plan is approved by the highest governing body or executive team.

2.2.4 The plan follows the mitigation hierarchy for biodiversity.



2.2.5 The plan was adopted or reviewed in the last twelve months.

Intent:

For companies to contribute to the global goal of halting and reversing biodiversity loss by 2030, in line with the Kunming-Montreal Global Biodiversity Framework, 2022 (Convention on Biological Diversity) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#). Investing in nature's protection and restoration is critical to this effort. This includes halting the loss of priority ecosystems, protecting land and seas, and mitigating negative impacts by, for example, reducing pollutants and eliminating plastic waste.

Clarifying the Compliance Criteria:

[2.2.1, 2.2.2; 2.2.3; 2.2.4; 2.2.5] This sub-requirement only applies if the company identifies biodiversity-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[2.2.1; 2.2.2] The biodiversity transition plan addresses the priority operations, high impact commodities, and value chain activities identified as material in ESC1.7.

[2.2.1 b; 2.2.2 c] The company's biodiversity transition plan is expected to set quantified targets, as signaled under ESC2.1. Before Year 3, the company does both of the following.

- Sets targets for its own facilities.
- Has an action plan to engage its value chain to gather data and measure progress over time. The company may prioritize its material suppliers (by impact) and other material members of its value chain (by impact). These foundational steps enable the company to set concrete targets for its value chain in the future.

[2.2.1 c] The company's "material suppliers" are those it identifies as having the most actual and potential negative environmental impacts.

[2.2.1 d] Whenever possible, the company co-creates with Indigenous Peoples, incorporating their local or traditional knowledge into the plan, and building on their good stewardship and nature-based solutions.

[2.2.1 d] The company compensates Indigenous Peoples appropriately when integrating their views or knowledge, and acknowledges their time and efforts.

[2.2.1, 2.2.2; 2.2.3; 2.2.4; 2.2.5] This sub-requirement only applies if the company identifies biodiversity-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[2.2.1; 2.2.2] The biodiversity transition plan addresses the priority operations, high impact commodities, and value chain activities identified as material in ESC1.7.

[2.2.2 a.iv] The health of "other ecosystems", besides terrestrial ecosystems, refers to:

- freshwater bodies
- marine and coastal ecosystems (including oceans).

[2.2.1 b; 2.2.2 c] The company's biodiversity transition plan is expected to set quantified targets, as signaled under ESC2.1. Before Year 3, the company does both of the following.

- Sets targets for its own facilities.
- Has an action plan to engage its value chain to gather data and measure progress over time. The company may prioritize its material suppliers (by impact) and other material members of its value chain (by impact). These foundational steps enable the company to set concrete targets for its value chain in the future.

[2.2.1, 2.2.2; 2.2.3; 2.2.4; 2.2.5] This sub-requirement only applies if the company identifies biodiversity-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[2.2.1, 2.2.2; 2.2.3; 2.2.4; 2.2.5] This sub-requirement only applies if the company identifies biodiversity-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[2.2.4] Following the “mitigation hierarchy for biodiversity” means the company's plan prioritizes avoidance, mitigation, restoration, or rehabilitation of biodiversity onsite, and only uses offsetting and compensation as a last resort.

[2.2.4] Under the mitigation hierarchy, the company prefers restoration over offsetting and compensation. However, if restoration cannot be done onsite (in the area directly affected by the company's operations), the company may compensate through restoration of an equivalent ecosystem offsite as part of its plan. The compensation should also aim for equivalent ecosystem types and ecological values.

[2.2.1, 2.2.2; 2.2.3; 2.2.4; 2.2.5] This sub-requirement only applies if the company identifies biodiversity-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

Applying the Criteria to Independently Certifying Subsidiaries:

- The biodiversity transition plan is embedded, at minimum, at the highest level within the company. If the company references a biodiversity transition plan belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the biodiversity transition plan.
- References to the highest governing body or executive team mean those within the company's scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body or executive team within its scope of certification.

Further Guidance:



- Nature-based solutions may include, for example:
 - halting deforestation and ecosystem conversion, and reversing course toward conservation
 - expanding regenerative agriculture
 - halting and reversing mangrove and coastal wetland conversion.
- If the company is directly involved in agriculture through growing, or indirectly involved by sourcing raw materials, the company may promote regenerative farming practices in its plan. These include, among others:
 - Fertilizer and pesticide use
 - introducing nitrogen fixing plants
 - reducing or removing synthetic inputs, including by eliminating agricultural inputs containing substances of concern
 - Soil health and agrobiodiversity
 - minimizing or removing tillage
 - prioritizing perennial plants
 - cover cropping
 - rotating crops
 - controlling invasive species
 - planting forage and biomass
 - maintaining grassed waterways
 - establishing herbaceous wind barriers and field borders
 - creating vegetative barriers
 - establishing trees or shrubs
 - Forest management
 - protecting High Conservation Values and natural forests, including High Carbon Stock forests

- undertaking forest stand improvement and managing forest slash
- Water conservation
 - mulching soil
 - improving irrigation efficiency with moisture-sensing technologies
- Livestock management
 - using rotational grazing
 - using anaerobic digestion
- Integrated systems
 - practicing agroforestry
 - using an integrated crop-livestock system (ICLS)
 - establishing silvopasture (integrating trees, forage, and grazing livestock).

Recommendations:

- Set a science-based target for nature to respect ecological thresholds in the company's operations and value chain.
- If the company is involved in construction, strive for a holistic understanding of its project's impacts — both during construction and throughout the building's lifespan. This may involve, for example, understanding how a project has an influence on its surroundings, and how changing surroundings can impact the project (e.g. through climate change).

Implementation Resources:

Resources on international frameworks and reports

- COP15: Kunming-Montreal Global Biodiversity Framework, 2022 (Convention on Biological Diversity) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)
- Global Assessment Report on Biodiversity and Ecosystem Services - Summary for policymakers, 2022 (Intergovernmental Science-Policy Platform on Biodiversity and Ecosystem Services) [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)

Resource on target setting

- Onboarding support and target setting for companies (Science Based Targets Network) - Step 3 [\[EN\]](#)

Other resources to develop a biodiversity transition plan

- Nature Strategy Handbook - A practical guide for businesses, 2023 (Business for Nature) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[PT\]](#) [\[ZH\]](#)
- Nature in transition plans: Why and how? (World Wildlife Fund) [\[EN\]](#)
- Nature-based solutions - various resources (International Union for Conservation of Nature) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Various guidance on how to eliminate deforestation, ecosystem conversion (Accountability Framework Initiative) [\[EN\]](#)
- High Carbon Stock and High Conservation Value assessment [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[ID\]](#) [\[PT\]](#) - to consider if operating or sourcing in the humid tropics and for all other ecosystems: High Conservation Value assessment [\[EN\]](#)
- Agricultura Regenerativa - Minimum and desirable criteria for a regenerative farm [\[EN\]](#) [\[ES\]](#)
- Bioprotection Portal [\[AR\]](#) [\[BN\]](#) [\[DE\]](#) [\[ES\]](#) [\[EN\]](#) [\[PT\]](#) [\[FR\]](#) [\[HU\]](#) [\[IN\]](#) [\[MS\]](#) [\[NE\]](#) [\[SI\]](#)
- The Four Labours of Regenerative Agriculture - Paving the way towards meaningful commitments, 2023 (FAIRR) [\[EN\]](#)

Resources on benchmarks and standards

- Nature Benchmark Methodology, 2024 (World Benchmarking Alliance) [\[EN\]](#)
- Methodology for the 2023 Food and Agriculture Benchmark, 2022 (World Benchmarking Alliance) [\[EN\]](#)
- European Sustainability Reporting Standards - E4 Biodiversity and Ecosystems, 2023 (EFRAG) [\[BG\]](#) [\[CS\]](#) [\[DA\]](#) [\[DE\]](#) [\[EL\]](#) [\[EN\]](#) [\[ES\]](#) [\[ET\]](#) [\[FI\]](#) [\[FR\]](#) [\[GA\]](#) [\[HR\]](#) [\[HU\]](#) [\[IT\]](#) [\[LT\]](#) [\[LV\]](#) [\[MT\]](#) [\[NL\]](#) [\[PL\]](#) [\[PT\]](#) [\[RO\]](#) [\[SL\]](#) [\[SK\]](#) [\[SV\]](#)

Example of resource on stakeholder engagement

Guidance on engagement with Indigenous Peoples, Local Communities and affected stakeholders, 2023 (Taskforce on Nature-related Financial Disclosures) [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point:
 - European Sustainability Reporting Standards E2 2023 - Disclosure Requirement E2-3 – Targets related to pollution

- o European Sustainability Reporting Standards E2 2023 - Disclosure Requirement E2-2 – Actions and resources related to pollution 16.
- o European Sustainability Reporting Standards E4 2023 - Disclosure Requirement E4-1 – Transition plan and consideration of biodiversity and ecosystems in strategy and business model
- o European Sustainability Reporting Standards E4 2023 - Disclosure Requirement E4-3 – Actions and resources related to biodiversity and ecosystems 25, 28 a, c
- o European Sustainability Reporting Standards E4 2023 - Disclosure Requirement E4-4 – Targets related to biodiversity and ecosystems
- o European Sustainability Reporting Standards E4 2023 - Disclosure Requirement E4-5 – Impact metrics related to biodiversity and ecosystems change
- o The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Biodiversity - B03 Ecosystem protection and restoration - b
- o The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Biodiversity - B04 Halting biodiversity loss - a, b, d
- o The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Freshwater - B09 Water pollution - b
- o CDP 2024 Questionnaire - 11.3



ESC2.3 The company has a water stewardship strategy that limits water use in its operations and value chain to within sustainable thresholds.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Agriculture/Growers	All
Medium	Manufacturing	Mining
Small	None	None
Micro	None	None



Company without workers	None	None
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ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC2.3	From Year 3	None	The company has a water stewardship strategy that limits water use in its operations and value chain to within sustainable thresholds.

Compliance Criteria:

2.3.1 If the company identified water-related impacts as material in its assessment of environmental impacts then the company's water stewardship strategy includes:

- a) an emphasis on a circular water management approach
- b) quantified targets for its own facilities
- c) a plan to engage its material suppliers (by impact) to understand:
 - i) what actions they take to manage their water-related impact
 - ii) whether they are located in areas at water risk
- d) actions to reduce water use and minimize water pollution, especially in areas at water risk
- e) how the company integrates Indigenous Peoples' local knowledge or traditional ecological knowledge and nature-based solutions.

2.3.2 The company identifies if contextual data exists for the watershed or basin in which the company has its facilities. If data is available, the company's strategy:

- a) describes how it ensures to stay within its proportionate allocation of local renewable water supplies.

2.3.3 The strategy is approved by the highest governing body or executive team.

2.3.4 The strategy was adopted or reviewed in the last twelve months.

Intent:

For companies to:

- address their water-related impacts and contribute to the responsible, sustainable management of freshwater resources
- go beyond water efficiency practices and lead collective action in the watersheds of their value chain.

Clarifying the Compliance Criteria:

[2.3.1; 2.3.2.; 2.3.3; 2.3.4] This sub-requirement only applies if the company identifies water-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[2.3.1 a] Implementing a circular water management approach may help the company reduce its water-related environmental impact to within ecological thresholds.

[2.3.1 b; 2.3.2] The company's water stewardship strategy is expected to set quantitative targets, as signaled under ESC2.1. Before Year 3, the company does both of the following.

- Sets targets for its own operations (facilities).
- Has an action plan to engage its value chain to gather data and measure progress over time. The company may prioritize its material suppliers (by impact) and other material members of its value chain (by impact). These foundational steps enable the company to set concrete targets for its value chain in the future.

[2.3.1 c] The company's "material suppliers" are those it identifies as having the most actual and potential negative environmental impacts.

[2.3.1 c] Actions the company's suppliers take to manage their water-related impacts may relate to water quantity or quality (with a preference for both).

[2.3.1 e] Whenever relevant and possible, the company co-creates with Indigenous Peoples, incorporating their local or traditional knowledge into the plan, and building on their good stewardship and nature-based solutions.

[2.3.1 e] The company compensates Indigenous Peoples appropriately when integrating their views or knowledge, and acknowledges their time and efforts.

[2.3.1; 2.3.2.; 2.3.3; 2.3.4] This sub-requirement only applies if the company identifies water-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[2.3.1 b; 2.3.2] The company's water stewardship strategy is expected to set quantitative targets, as signaled under ESC2.1. Before Year 3, the company does both of the following.

- Sets targets for its own operations (facilities).

- Has an action plan to engage its value chain to gather data and measure progress over time. The company may prioritize its material suppliers (by impact) and other material members of its value chain (by impact). These foundational steps enable the company to set concrete targets for its value chain in the future.

[2.3.2] The company's water stewardship plan prioritizes its facilities located in regions with physical water risk, as identified in ESC1.4.

[2.3.1; 2.3.2.; 2.3.3; 2.3.4] This sub-requirement only applies if the company identifies water-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[2.3.1; 2.3.2.; 2.3.3; 2.3.4] This sub-requirement only applies if the company identifies water-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

Applying the Criteria to Independently Certifying Subsidiaries:

- The strategy is embedded, at minimum, at the highest governance level within the company. If the company references a strategy belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the strategy.
- References to the highest governing body or executive team mean those within the company's scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body or executive team within its scope of certification.

Further Guidance:

- To define a "proportionate allocation of available renewable supplies of the local watershed", the company may, for example:
 - use any of the tools under the Implementation Resources
 - contact the local authority that controls (or has an overview of) the watershed to understand the pressure on it, combined with an analysis of water risk
 - rely on other scientific resources or expert advice.

Recommendations:

- Set a science-based target for nature to respect ecological thresholds in the company's operations and value chain.

- If no contextual data is available for the watershed or basin in which the company operates, engage in collective action to make it possible to collect this data.
- Partner with other stakeholders (including local government, non-governmental organizations (NGOs), or other businesses) to protect or restore local watersheds to sustainable levels.

Implementation Resources:

Examples of resources to develop an environmental strategy, targets and indicators

- Putting Water Strategy Into Context, 2021 (World Wildlife Fund) [\[EN\]](#)
- Nature Strategy Handbook - A practical guide for businesses, 2023 (Business for Nature) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[PT\]](#) [\[ZH\]](#)
- Onboarding support and target setting for companies (Science Based Targets Network) - Step 3 [\[EN\]](#)
- Authentic Sustainability Assessment A User Manual for the Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) [\[EN\]](#)

Resources on standards

- AWS International Water Stewardship Standard [\[Various languages\]](#) including AR, BN, EN, ES, FR, JP, PT, TR, VI, ZH]
- European Sustainability Reporting Standards - E3 Water and marine resources, 2023 (EFRAG) [\[BG\]](#) [\[CS\]](#) [\[DA\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[EL\]](#) [\[ET\]](#) [\[FI\]](#) [\[FR\]](#) [\[GA\]](#) [\[HR\]](#) [\[HU\]](#) [\[IT\]](#) [\[LV\]](#) [\[LT\]](#) [\[MT\]](#) [\[NL\]](#) [\[PL\]](#) [\[PT\]](#) [\[RO\]](#) [\[SL\]](#) [\[SK\]](#) [\[SV\]](#)

Interoperability:

- Conceptual Alignment Data Point:
 - GRI 303: Water and Effluents 2018 - 303-1 Interactions with water as a shared resource (c, d)
 - European Sustainability Reporting Standards E2 2023 - Disclosure Requirement E2-4 – Pollution of air, water and soil 26.
 - European Sustainability Reporting Standards E2 2023 - Disclosure Requirement E2-2 – Actions and resources related to pollution 16.
 - European Sustainability Reporting Standards E2 2023 - Disclosure Requirement E2-3 – Targets related to pollution

- o European Sustainability Reporting Standards E3 2023 - Disclosure Requirement E3-2 – Actions and resources related to water and marine resources 15.
- o European Sustainability Reporting Standards E3 2023 - Disclosure Requirement E3-3 – Targets related to water and marine resources 20., 23., 24.
- o The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Freshwater - B08 Water use - b
- o The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Freshwater - B09 Water pollution - b
- o CDP 2024 Questionnaire - 9.15



ESC2.4 The company's policies and procedures address its material environmental impact areas.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All



Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC2.4	From Year 3	Medium / Large / X Large / XX Large	The company's policies and procedures address its material environmental impact areas.



Compliance Criteria:

2.4.1 The company explicitly addresses each material environmental impact area with a policy or procedure.

2.4.2 The scope of each policy and procedure matches the nature of the material environmental impact area.

Intent:

To ensure the company's policies and procedures address all material environmental impact areas.

Clarifying the Compliance Criteria:

[2.4.1; 2.4.2] The company determines its material environmental impacts under ESC1.7.

[2.4.1; 2.4.2] The company uses policies and procedures to prevent or mitigate its potential negative environmental impacts.

[2.4.1; 2.4.2] The company determines its material environmental impacts under ESC1.7.

[2.4.1; 2.4.2] The company uses policies and procedures to prevent or mitigate its potential negative environmental impacts.

[2.4.2] Matching the “scope” of policies and procedures to material environmental impact areas means ensuring they apply where the impacts are relevant (e.g. for the company’s own operations or the supply chain). For example, if waste management is a material impact in the company’s supply chain, a policy to address waste management in the company’s own operations would not be sufficient, because the scope is different.

Applying the Criteria to Independently Certifying Subsidiaries:

- The policies and procedures are embedded, at minimum, at the highest level within the company. If the company references policies and procedures belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the policies and procedures.

Further Guidance:

- Using policies and procedures to prevent or mitigate its potential negative environmental impacts may include, for example:
 - If the company contributes to ecosystem conversion (such as deforestation), it has a policy for zero conversion of natural habitats.
 - If the company has potential impacts related to animal welfare, it has an animal welfare policy, or explicitly covers animal welfare in relevant policies and procedures.

Interoperability:

- Conceptual Alignment Data Point:
 - European Sustainability Reporting Standards E1 2023 - Disclosure Requirement E1-2 – Policies related to climate change mitigation and adaptation
 - European Sustainability Reporting Standards E2 2023 - Disclosure Requirement E2-1 – Policies related to pollution

- o European Sustainability Reporting Standards E3 2023 - Disclosure Requirement E3-1 – Policies related to water and marine resources
- o European Sustainability Reporting Standards E4 2023 - Disclosure Requirement E4-2 – Policies related to biodiversity and ecosystems
- o European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-1 – Policies related to resource use and circular economy
- o European Sustainability Reporting Standards G1 2023 - Disclosure Requirement G1-1– Business conduct policies and corporate culture 10 f
- o European Sustainability Reporting Standards 2 - Minimum Disclosure Requirement – Policies MDR-P – Policies adopted to manage material sustainability matters 63, 65
- o DIRECTIVE OF THE EUROPEAN PARLIAMENT AND OF THE COUNCIL on Corporate Sustainability Due Diligence and amending Directive (EU) 2019/1937 (proposal) - Article 5
- o CDP 2024 Questionnaire - 4.6
- o Fairtrade Trader Standard v2.2, 2024 (Fairtrade International) 3.1.2



ESC2.5 Workers in relevant roles receive the guidance they need to implement the environmental policies and procedures.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All



Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC2.5	From Year 3	Medium / Large / X Large / XX Large	Workers in relevant roles receive the guidance they need to implement the environmental policies and procedures.

Compliance Criteria:

2.5.1 Workers in relevant roles receive training, guidance documents, or tools to help implement the environmental policies and procedures.

2.5.2 The guidance is tailored for the relevant role or department.

Intent:

To ensure the right people are prepared to implement the environmental policies and procedures.

Clarifying the Compliance Criteria:

[2.5.1; 2.5.2] Relevant roles can be at any level within a company. They may range from members of the highest governing body to workers who work on environmental issues.

[2.5.1] “The environmental policies and procedures” are those related to each material environmental impact area (ESC1.7)

[2.5.1] Workers in relevant roles are given information tailored to their role. Generic training about the company’s material environmental issues is not sufficient.

[2.5.1; 2.5.2] Relevant roles can be at any level within a company. They may range from members of the highest governing body to workers who work on environmental issues.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Interoperability:

- Conceptual Alignment Data Point:
 - Fairtrade Trader Standard v2.2, 2024 (Fairtrade International) 3.1.3

ESC2.6 The company assesses the potential negative environmental impacts related to potential organizational clients and projects, and takes necessary mitigation actions.

Track factors:

Size	Sector	Industry
XX Large	Service with Minor Environmental Footprint	Landscape services
XX Large	Service with Minor Environmental Footprint	Advertising & market research
XX Large	Service with Minor Environmental Footprint	Environmental consulting
XX Large	Service with Minor Environmental Footprint	Engineering
XX Large	Service with Minor Environmental Footprint	Scientific R&D
XX Large	Service with Minor Environmental Footprint	Veterinary activities
XX Large	Service with Minor Environmental Footprint	Legal activities
XX Large	Service with Minor Environmental Footprint	Management consultant - for-profits
XX Large	Service with Minor Environmental Footprint	Book publishing
XX Large	Service with Minor Environmental Footprint	Publishing - newspapers & magazines
XX Large	Service with Minor Environmental Footprint	Film, TV & music production
XX Large	Service with Minor Environmental Footprint	Programming & broadcasting
XX Large	Service with Minor Environmental Footprint	Computer programming services
XX Large	Service with Minor Environmental Footprint	Data processing & hosting
XX Large	Service with Minor Environmental Footprint	Mobile applications
XX Large	Service with Minor Environmental Footprint	Social networks & info sharing



XX Large	Service with Minor Environmental Footprint	Software publishing and SaaS platforms
XX Large	Service with Minor Environmental Footprint	Telecommunications
XX Large	Service with Minor Environmental Footprint	Web portals
XX Large	Service with Minor Environmental Footprint	Other info service activities
XX Large	Service with Minor Environmental Footprint	Architecture design & planning
XX Large	Service with Minor Environmental Footprint	Civil engineering
XX Large	Service with Minor Environmental Footprint	Contracting & building
XX Large	Service with Minor Environmental Footprint	Design & building
XX Large	Service with Minor Environmental Footprint	Other install & construction
XX Large	Service with Minor Environmental Footprint	Real estate development
XX Large	Service with Minor Environmental Footprint	Real estate- fee/contract
XX Large	Service with Minor Environmental Footprint	Real estate - leased property
X Large	Service with Minor Environmental Footprint	Advertising & market research
X Large	Service with Minor Environmental Footprint	Architecture design & planning
X Large	Service with Minor Environmental Footprint	Book publishing
X Large	Service with Minor Environmental Footprint	Civil engineering
X Large	Service with Minor Environmental Footprint	Computer programming services
X Large	Service with Minor Environmental Footprint	Contracting & building
X Large	Service with Minor Environmental Footprint	Data processing & hosting

X Large	Service with Minor Environmental Footprint	Design & building
X Large	Service with Minor Environmental Footprint	Engineering
X Large	Service with Minor Environmental Footprint	Environmental consulting
X Large	Service with Minor Environmental Footprint	Film, TV & music production
X Large	Service with Minor Environmental Footprint	Landscape services
X Large	Service with Minor Environmental Footprint	Legal activities
X Large	Service with Minor Environmental Footprint	Management consultant - for-profits
X Large	Service with Minor Environmental Footprint	Mobile applications
X Large	Service with Minor Environmental Footprint	Other info service activities
X Large	Service with Minor Environmental Footprint	Other install & construction
X Large	Service with Minor Environmental Footprint	Programming & broadcasting
X Large	Service with Minor Environmental Footprint	Publishing - newspapers & magazines
X Large	Service with Minor Environmental Footprint	Real estate - leased property
X Large	Service with Minor Environmental Footprint	Real estate development
X Large	Service with Minor Environmental Footprint	Real estate- fee/contract
X Large	Service with Minor Environmental Footprint	Scientific R&D
X Large	Service with Minor Environmental Footprint	Social networks & info sharing
X Large	Service with Minor Environmental Footprint	Software publishing and SaaS platforms
X Large	Service with Minor Environmental Footprint	Telecommunications



X Large	Service with Minor Environmental Footprint	Veterinary activities
X Large	Service with Minor Environmental Footprint	Web portals
Large	Service with Minor Environmental Footprint	Advertising & market research
Large	Service with Minor Environmental Footprint	Architecture design & planning
Large	Service with Minor Environmental Footprint	Book publishing
Large	Service with Minor Environmental Footprint	Civil engineering
Large	Service with Minor Environmental Footprint	Computer programming services
Large	Service with Minor Environmental Footprint	Contracting & building
Large	Service with Minor Environmental Footprint	Data processing & hosting
Large	Service with Minor Environmental Footprint	Design & building
Large	Service with Minor Environmental Footprint	Engineering
Large	Service with Minor Environmental Footprint	Environmental consulting
Large	Service with Minor Environmental Footprint	Film, TV & music production
Large	Service with Minor Environmental Footprint	Landscape services
Large	Service with Minor Environmental Footprint	Legal activities
Large	Service with Minor Environmental Footprint	Management consultant - for-profits
Large	Service with Minor Environmental Footprint	Mobile applications
Large	Service with Minor Environmental Footprint	Other info service activities
Large	Service with Minor Environmental Footprint	Other install & construction
Large	Service with Minor Environmental Footprint	Programming & broadcasting



Large	Service with Minor Environmental Footprint	Publishing - newspapers & magazines
Large	Service with Minor Environmental Footprint	Real estate - leased property
Large	Service with Minor Environmental Footprint	Real estate development
Large	Service with Minor Environmental Footprint	Real estate- fee/contract
Large	Service with Minor Environmental Footprint	Scientific R&D
Large	Service with Minor Environmental Footprint	Social networks & info sharing
Large	Service with Minor Environmental Footprint	Software publishing and SaaS platforms
Large	Service with Minor Environmental Footprint	Telecommunications
Large	Service with Minor Environmental Footprint	Veterinary activities
Large	Service with Minor Environmental Footprint	Web portals
Medium	Service with Minor Environmental Footprint	Advertising & market research
Medium	Service with Minor Environmental Footprint	Architecture design & planning
Medium	Service with Minor Environmental Footprint	Book publishing
Medium	Service with Minor Environmental Footprint	Civil engineering
Medium	Service with Minor Environmental Footprint	Computer programming services
Medium	Service with Minor Environmental Footprint	Contracting & building
Medium	Service with Minor Environmental Footprint	Data processing & hosting
Medium	Service with Minor Environmental Footprint	Design & building
Medium	Service with Minor Environmental Footprint	Engineering



Medium	Service with Minor Environmental Footprint	Environmental consulting
Medium	Service with Minor Environmental Footprint	Film, TV & music production
Medium	Service with Minor Environmental Footprint	Landscape services
Medium	Service with Minor Environmental Footprint	Legal activities
Medium	Service with Minor Environmental Footprint	Management consultant - for-profits
Medium	Service with Minor Environmental Footprint	Mobile applications
Medium	Service with Minor Environmental Footprint	Other info service activities
Medium	Service with Minor Environmental Footprint	Other install & construction
Medium	Service with Minor Environmental Footprint	Programming & broadcasting
Medium	Service with Minor Environmental Footprint	Publishing - newspapers & magazines
Medium	Service with Minor Environmental Footprint	Real estate - leased property
Medium	Service with Minor Environmental Footprint	Real estate development
Medium	Service with Minor Environmental Footprint	Real estate- fee/contract
Medium	Service with Minor Environmental Footprint	Scientific R&D
Medium	Service with Minor Environmental Footprint	Social networks & info sharing
Medium	Service with Minor Environmental Footprint	Software publishing and SaaS platforms
Medium	Service with Minor Environmental Footprint	Telecommunications
Medium	Service with Minor Environmental Footprint	Veterinary activities
Medium	Service with Minor Environmental Footprint	Web portals



Small	Service with Minor Environmental Footprint	Architecture design & planning
Small	Service with Minor Environmental Footprint	Book publishing
Small	Service with Minor Environmental Footprint	Civil engineering
Small	Service with Minor Environmental Footprint	Computer programming services
Small	Service with Minor Environmental Footprint	Contracting & building
Small	Service with Minor Environmental Footprint	Data processing & hosting
Small	Service with Minor Environmental Footprint	Design & building
Small	Service with Minor Environmental Footprint	Engineering
Small	Service with Minor Environmental Footprint	Environmental consulting
Small	Service with Minor Environmental Footprint	Film, TV & music production
Small	Service with Minor Environmental Footprint	Landscape services
Small	Service with Minor Environmental Footprint	Legal activities
Small	Service with Minor Environmental Footprint	Management consultant - for-profits
Small	Service with Minor Environmental Footprint	Mobile applications
Small	Service with Minor Environmental Footprint	Other info service activities
Small	Service with Minor Environmental Footprint	Other install & construction
Small	Service with Minor Environmental Footprint	Programming & broadcasting
Small	Service with Minor Environmental Footprint	Publishing - newspapers & magazines
Small	Service with Minor Environmental Footprint	Real estate - leased property
Small	Service with Minor Environmental Footprint	Real estate development



Small	Service with Minor Environmental Footprint	Real estate- fee/contract
Small	Service with Minor Environmental Footprint	Scientific R&D
Small	Service with Minor Environmental Footprint	Social networks & info sharing
Small	Service with Minor Environmental Footprint	Software publishing and SaaS platforms
Small	Service with Minor Environmental Footprint	Telecommunications
Small	Service with Minor Environmental Footprint	Veterinary activities
Small	Service with Minor Environmental Footprint	Web portals
Small	Service with Minor Environmental Footprint	Advertising & market research
Micro	Service with Minor Environmental Footprint	Advertising & market research
Micro	Service with Minor Environmental Footprint	Architecture design & planning
Micro	Service with Minor Environmental Footprint	Book publishing
Micro	Service with Minor Environmental Footprint	Civil engineering
Micro	Service with Minor Environmental Footprint	Computer programming services
Micro	Service with Minor Environmental Footprint	Contracting & building
Micro	Service with Minor Environmental Footprint	Data processing & hosting
Micro	Service with Minor Environmental Footprint	Design & building
Micro	Service with Minor Environmental Footprint	Engineering
Micro	Service with Minor Environmental Footprint	Environmental consulting
Micro	Service with Minor Environmental Footprint	Film, TV & music production



Micro	Service with Minor Environmental Footprint	Landscape services
Micro	Service with Minor Environmental Footprint	Legal activities
Micro	Service with Minor Environmental Footprint	Management consultant - for-profits
Micro	Service with Minor Environmental Footprint	Mobile applications
Micro	Service with Minor Environmental Footprint	Other info service activities
Micro	Service with Minor Environmental Footprint	Other install & construction
Micro	Service with Minor Environmental Footprint	Programming & broadcasting
Micro	Service with Minor Environmental Footprint	Publishing - newspapers & magazines
Micro	Service with Minor Environmental Footprint	Real estate - leased property
Micro	Service with Minor Environmental Footprint	Real estate development
Micro	Service with Minor Environmental Footprint	Real estate- fee/contract
Micro	Service with Minor Environmental Footprint	Scientific R&D
Micro	Service with Minor Environmental Footprint	Social networks & info sharing
Micro	Service with Minor Environmental Footprint	Software publishing and SaaS platforms
Micro	Service with Minor Environmental Footprint	Telecommunications
Micro	Service with Minor Environmental Footprint	Veterinary activities
Micro	Service with Minor Environmental Footprint	Web portals
Company without workers	Service with Minor Environmental Footprint	Advertising & market research
Company without workers	Service with Minor Environmental Footprint	Architecture design & planning



Company without workers	Service with Minor Environmental Footprint	Book publishing
Company without workers	Service with Minor Environmental Footprint	Civil engineering
Company without workers	Service with Minor Environmental Footprint	Computer programming services
Company without workers	Service with Minor Environmental Footprint	Contracting & building
Company without workers	Service with Minor Environmental Footprint	Data processing & hosting
Company without workers	Service with Minor Environmental Footprint	Design & building
Company without workers	Service with Minor Environmental Footprint	Engineering
Company without workers	Service with Minor Environmental Footprint	Environmental consulting
Company without workers	Service with Minor Environmental Footprint	Film, TV & music production
Company without workers	Service with Minor Environmental Footprint	Landscape services
Company without workers	Service with Minor Environmental Footprint	Legal activities
Company without workers	Service with Minor Environmental Footprint	Mobile applications
Company without workers	Service with Minor Environmental Footprint	Other info service activities
Company without workers	Service with Minor Environmental Footprint	Other install & construction
Company without workers	Service with Minor Environmental Footprint	Programming & broadcasting
Company without workers	Service with Minor Environmental Footprint	Publishing - newspapers & magazines
Company without workers	Service with Minor Environmental Footprint	Real estate - leased property
Company without workers	Service with Minor Environmental Footprint	Real estate development
Company without workers	Service with Minor Environmental Footprint	Real estate- fee/contract
Company without workers	Service with Minor Environmental Footprint	Scientific R&D



Company without workers	Service with Minor Environmental Footprint	Social networks & info sharing
Company without workers	Service with Minor Environmental Footprint	Software publishing and SaaS platforms
Company without workers	Service with Minor Environmental Footprint	Telecommunications
Company without workers	Service with Minor Environmental Footprint	Veterinary activities
Company without workers	Service with Minor Environmental Footprint	Web portals
Company without workers	Service with Minor Environmental Footprint	Management consultant - for-profits

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC2.6	From Year 0	Company without workers / Micro	The company assesses the potential negative environmental impacts related to potential organizational clients and projects, and takes necessary mitigation actions.



Compliance Criteria:

2.6.1 The company has a process in place to assess the potential negative environmental impacts of working with potential organizational clients and projects.

2.6.2 The process sets out mitigation actions.

2.6.3 The company records how it assessed the potential negative environmental impacts of its three most material potential clients, and the outcomes of the process:

- a) in the fiscal year before Year 0
- b) annually in each subsequent year.

2.6.4 For Years 3 and 5 the company:

- a) records the mitigation action it took, if its assessments identified any potential or actual negative impacts
- b) records the effectiveness of its mitigation actions

Intent:

To ensure the company selects clients and projects with environmental impacts in mind. Companies in the service sector with a minor footprint may have indirect environmental impacts through their choice of clients and projects (e.g. an advertising firm may contribute to potential impacts by marketing products that encourage overconsumption and exacerbate climate change). This also reduces the likelihood of contributing to greenwashing or other negative consequences. The intent is not to prohibit specific clients or projects.

Clarifying the Compliance Criteria:

[2.6.1] “Organizational client” means clients that are organizations, including businesses, public sector organizations and civil society organizations. It excludes individuals.

[2.6.1] If the company has multiple projects with one client, it does not need to reassess that client. The company may also assess related clients in groups — such as subsidiaries of the same corporate family. However, it still needs to assess each project individually.

[2.6.3] The company determines its “most material” clients or projects using any of the following categories.

- Revenue from the project or client
- Number of hours involved
- Importance of a potential negative environmental impact

[2.6.3] To assess the importance (or “materiality”) of a potential negative environmental impact, the company considers its likelihood and severity. Severity should outweigh likelihood, so that highly severe impacts — even if they are unlikely — are still prioritized.

- Severity refers to one or more of the following.
 - Scale — how serious would the impact be? A bigger scale is more severe.
 - Scope — how widespread is the impact? A bigger scope is more severe.
 - Ease of remediation — how easy would it be to remediate the potential negative impact? A higher difficulty of remediation is more severe. An impact has a low ease of remediation when it is very difficult to restore the environment to its prior state. Note, this does not mean less severe environmental impacts should not be remedied.
- Likelihood considers how likely the impact is, and how frequently it might occur.

Applying the Criteria to Independently Certifying Subsidiaries:

- The process is embedded, at minimum, at the highest level within the company. If the company references a procedure belonging to an out-of-scope parent, it records evidence of roll-out, enforcement, and accountability mechanisms to support the procedure.

Further Guidance:

- The potential negative environmental impacts may include, among others, contributing to:
 - climate change
 - pollution of water, soil, air, or noise
 - loss of biodiversity or other environmental degradation
 - exploitation of natural resources
 - waste.
- The company's process for assessing potential negative environmental impacts may include, for example:
 - conducting online research of potential clients, such as their:
 - participation in initiatives
 - scores in public benchmarks and rankings
 - certifications
 - approach to assessing and mitigating their own environmental impacts
 - having an internal committee that reviews clients and projects
 - gathering worker or peer feedback on a potential client or project
 - setting exclusion criteria — for example, not working with specific high-risk industries, countries, or clients
 - creating a risk matrix to evaluate industries or clients based on the severity and likelihood of potential impacts and the client's mitigation measures.

- The company's mitigation actions may include, among others:
 - talking to the client and jointly adjusting the project to consider environmental criteria and prevent or mitigate environmental impacts
 - declining clients and projects with potential negative impacts, unless the company's project addresses the potential negative impacts.
- Severity can be assessed using the following categories, as an example.
 - High — the impact and its resulting effects are expected to cause major, irreparable, and long-lasting damage to the environment.
 - Medium — the impact is expected to cause significant and lasting damage to the environment.
 - Low — the impact is expected to cause minor, reparable, and temporary damage to the environment.
- Likelihood can be assessed using the following categories, as an example.
 - High — the impact and its resulting effects on the environment are expected to occur continuously.
 - Medium — the impact and its resulting effects on the environment are expected to occur regularly (i.e. from several times per year to several times per month).
 - Low — the impact and its resulting effects on the environment are expected to occur only occasionally (i.e. only during a specific phase of a project).
- The scale of a negative impact depends on the context in which it happens. For example, if the company withdraws water from an area at water risk, it has a larger-scale impact than if it withdraws from an area with abundant water resources.

Recommendations:

- If the company is in public relations or advertising, publicly disclose its revenue by client industry through a Client Disclosure Report. See the Implementation Resources for further guidance.
- Use multiple categories to determine the “most material” clients or projects, including the importance of potential negative impacts.

Implementation Resources:

Resources on impacts of clients of creative agencies

- Clean Creatives [\[EN\]](#)



- Race to Zero Interpretation Guide, 2022 (United Nations Race to Zero) - for creative agencies on client disclosure [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point:
 - CDP 2024 Questionnaire - 5.11.9



ESC2.7 The company assesses the potential negative environmental impacts of investments, and takes necessary mitigation actions.

Track factors:

Size	Sector	Industry
XX Large	Service with Minor Environmental Footprint	Investment advising
XX Large	Service with Minor Environmental Footprint	Equity investing - Emerging Markets
XX Large	Service with Minor Environmental Footprint	Equity investing - Developed Markets
X Large	Service with Minor Environmental Footprint	Equity investing - Emerging Markets
X Large	Service with Minor Environmental Footprint	Equity investing - Developed Markets
X Large	Service with Minor Environmental Footprint	Investment advising
Large	Service with Minor Environmental Footprint	Investment advising
Large	Service with Minor Environmental Footprint	Equity investing - Emerging Markets
Large	Service with Minor Environmental Footprint	Equity investing - Developed Markets
Medium	Service with Minor Environmental Footprint	Investment advising
Medium	Service with Minor Environmental Footprint	Equity investing - Emerging Markets
Medium	Service with Minor Environmental Footprint	Equity investing - Developed Markets
Small	Service with Minor Environmental Footprint	Equity investing - Emerging Markets
Small	Service with Minor Environmental Footprint	Equity investing - Developed Markets
Small	Service with Minor Environmental Footprint	Investment advising
Micro	Service with Minor Environmental Footprint	Investment advising



Micro	Service with Minor Environmental Footprint	Equity investing - Emerging Markets
Micro	Service with Minor Environmental Footprint	Equity investing - Developed Markets
Company without workers	Service with Minor Environmental Footprint	Equity investing - Developed Markets
Company without workers	Service with Minor Environmental Footprint	Equity investing - Emerging Markets
Company without workers	Service with Minor Environmental Footprint	Investment advising

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC2.7	From Year 0	Company without workers / Micro	The company assesses the potential negative environmental impacts of investments, and takes necessary mitigation actions.



Compliance Criteria:

2.7.1 The company has a process in place to assess the potential negative environmental impacts of potential investments.

2.7.2 The process sets out mitigation actions.

2.7.3 The company records how it assessed the potential negative environmental impacts of its three most material potential investments, and the outcomes of the process:

a) in the fiscal year before Year 0

b) annually in each subsequent year.

2.7.4 For Years 3 and 5, the company:

a) records the mitigation action it took, if its assessments identified any potential or actual negative impacts

b) records the effectiveness of its mitigation actions

Intent:

To ensure the company selects investment with environmental impacts in mind.

Clarifying the Compliance Criteria:

[2.7.1] If the company invests multiple times in one investment, it does not need to reassess that investment. The company may also assess related investments in groups — such as subsidiaries of the same corporate family, or bodies within the same government.

[2.7.3] The company determines its “most material” investment using any of the following categories.

- Value of the investment
- Importance of a potential negative environmental impact

[2.7.3] To assess the importance (or “materiality”) of a potential negative environmental impact, the company considers its likelihood and severity. Severity should outweigh likelihood, so that highly severe impacts — even if they are unlikely — are still prioritized.

- Severity refers to one or more of the following.
 - Scale — how serious would the impact be? A bigger scale is more severe.
 - Scope — how widespread is the impact? A bigger scope is more severe.
 - Ease of remediation — how easy would it be to remediate the potential negative impact? A higher difficulty of remediation is more severe. An impact has a low ease of remediation when it is very difficult to restore the environment to its prior state. Note, this does not mean less severe environmental impacts should not be remedied.
- Likelihood considers how likely the impact is, and how frequently it might occur.

Applying the Criteria to Independently Certifying Subsidiaries:

- The process is embedded, at minimum, at the highest level within the company. If the company references a procedure belonging to an out-of-scope parent, it records evidence of roll-out, enforcement, and accountability mechanisms to support the procedure.

Further Guidance:

- The potential negative environmental impacts may include, among others, contributing to:
 - climate change
 - pollution of water, soil, air, or noise



- loss of biodiversity or other environmental degradation
- exploitation of natural resources
- waste.
- The company's process for assessing potential negative environmental impacts may include, for example:
 - conducting online research of potential investments, including on the investment company or investment manager's:
 - participation in initiatives
 - scores in public benchmarks and rankings
 - certifications
 - approach to assessing and mitigating their own environmental impacts
 - having an internal committee reviews and advises on investment selection
 - gathering worker or peer feedback on a potential investment
 - setting exclusion criteria — for example, not investing in specific high-risk industries or countries
 - creating a risk matrix to evaluate investments based on the severity of potential impacts and the investment company or investment manager's mitigation measures.
- The company's mitigation actions may include, among others:
 - talking to the investment company or manager to ensure the investment considers their potential negative environmental impacts
- Severity can be assessed using the following categories, as an example.
 - High — the impact and its resulting effects are expected to cause major, irreparable, and long-lasting damage to the environment.
 - Medium — the impact is expected to cause significant and lasting damage to the environment.
 - Low — the impact is expected to cause minor, reparable, and temporary damage to the environment.
- Likelihood can be assessed using the following categories, as an example.
 - High — the impact and its resulting effects on the environment are expected to occur continuously.



- Medium — the impact and its resulting effects on the environment are expected to occur regularly (i.e. from several times per year to several times per month).
- Low — the impact and its resulting effects on the environment are expected to occur only occasionally (i.e. only during a specific phase of a project).
- The scale of a negative impact depends on the context in which it happens. For example, if the company withdraws water from an area at water risk, it has a larger-scale impact than if it withdraws from an area with abundant water resources.

Recommendations:

- Use multiple categories to determine the “most material” investments, including the importance of potential negative impacts.

Interoperability:

- Conceptual Alignment Data Point:
 - CDP 2024 Questionnaire - 5.11.9



ESC3 The company implements circularity principles to reduce waste and its impact on natural resources.

ESC3.1 The company monitors its material inflow.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	None	None
Small	None	None



Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC3.1	From Year 0	Large / X Large / XX Large	The company monitors its material inflow.

Compliance Criteria:

3.1.1 The company has an overview of its material inflow indicators (see Compliance Criteria 3.1.2 & 3.1.3), separated by products and packaging, for:

- a) the fiscal year before Year 0
- b) each subsequent year.

3.1.2 The company's overview includes the following information about its products (in tonnes).

- a) The total weight of input materials used to manufacture the company's products (excluding packaging)
- b) The amount of renewable input materials from third-party verified, sustainable sources used to manufacture the company's products (excluding packaging), by weight and as a percentage of total input materials
- c) The amount of reused or recycled products and materials (non-virgin) used to manufacture the company's products (excluding packaging), by weight and as a percentage of total input materials

3.1.3 The company's overview includes the following information about its packaging (in tonnes).

- a) The total weight of input materials used to manufacture packaging for the company's products
- b) The amount of renewable input materials from third-party verified, sustainable sources used to manufacture packaging for the company's products, by weight and as a percentage of total input materials used to manufacture packaging for the company's products
- c) The amount of reused or recycled products and materials (non-virgin) used to manufacture packaging for the company's products, by weight and as a percentage of total input materials used to manufacture packaging for the company's products

Intent:

For the company to understand its dependence on natural resources, and its impacts on their sustainability. Using renewable materials from sustainable sources gives the company an opportunity to reduce its impact on natural resources.

Clarifying the Compliance Criteria:

[3.1.1; 3.1.2; 3.1.3] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.1.1; 3.1.2; 3.1.3] The company includes the following material types in its overview.

- Raw materials — natural resources converted into products or services, such as ores, minerals, and wood. Raw materials excludes water, which is captured under ESC1.3.
- Associated process materials — materials that are used in the manufacturing process but not part of the final product, such as lubricants and coolants.
- Semi-manufactured goods or parts — all forms of materials and components other than raw materials that are part of the final product.
- Packaging materials — including paper, cardboard, and plastics.

[3.1.1; 3.1.2; 3.1.3] If the company faces challenges calculating the weight of its raw materials or components, it may use estimates at its first step. However, by Year 3, the company has the actual weight of its raw materials or components.

[3.1.1; 3.1.2; 3.1.3] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.1.1; 3.1.2; 3.1.3] The company includes the following material types in its overview.

- Raw materials — natural resources converted into products or services, such as ores, minerals, and wood. Raw materials excludes water, which is captured under ESC1.3.
- Associated process materials — materials that are used in the manufacturing process but not part of the final product, such as lubricants and coolants.
- Semi-manufactured goods or parts — all forms of materials and components other than raw materials that are part of the final product.
- Packaging materials — including paper, cardboard, and plastics.

[3.1.1; 3.1.2; 3.1.3] If the company faces challenges calculating the weight of its raw materials or components, it may use estimates at its first step. However, by Year 3, the company has the actual weight of its raw materials or components.

[3.1.2 b; 3.1.3 b] If the company sources renewable input materials from sustainable sources, it has a third-party assessment or certification confirming the materials were sustainably produced.

[3.1.2 b; 3.1.3 b] The company may evaluate “renewable inputs from sustainable sources” using criteria such as the following (adapted from “responsibly sourced renewable content” in the Cradle to Cradle Certified® Product Standard, Version 4.1 [\[EN\]](#)).

- Compliance with all applicable laws and regulations in the country where farming or harvesting happens
- Operations that respect land rights and land use rights, and are unlikely to displace food production
- Planning, monitoring, management, and continuous impact assessment of farming and harvesting practices
- Maintenance, conservation, or enhancement of biodiversity in the forest and vegetation, or other ecosystems
- Maintenance or enhancement of the productive function of the forest and vegetation or other ecosystem area, and efficient use of harvested materials (e.g. the rate of harvest does not exceed the long-term rate of regrowth)
- Maintenance or enhancement of the health and vitality of the forest and vegetation, or other ecosystem, and its protective systems like soil and water (e.g. controlling erosion of vulnerable soils and slopes)
- Maintenance or enhancement of the High Conservation Values in the forest, vegetation, or other ecosystems (Note: this overlaps with the previous three bullet points)

[3.1.1; 3.1.2; 3.1.3] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.1.1; 3.1.2; 3.1.3] The company includes the following material types in its overview.

- Raw materials — natural resources converted into products or services, such as ores, minerals, and wood. Raw materials excludes water, which is captured under ESC1.3.
- Associated process materials — materials that are used in the manufacturing process but not part of the final product, such as lubricants and coolants.
- Semi-manufactured goods or parts — all forms of materials and components other than raw materials that are part of the final product.
- Packaging materials — including paper, cardboard, and plastics.



[3.1.1; 3.1.2; 3.1.3] If the company faces challenges calculating the weight of its raw materials or components, it may use estimates at its first step. However, by Year 3, the company has the actual weight of its raw materials or components.

[3.1.2 b; 3.1.3 b] If the company sources renewable input materials from sustainable sources, it has a third-party assessment or certification confirming the materials were sustainably produced.

[3.1.2 b; 3.1.3 b] The company may evaluate “renewable inputs from sustainable sources” using criteria such as the following (adapted from “responsibly sourced renewable content” in the Cradle to Cradle Certified® Product Standard, Version 4.1 [\[EN\]](#)).

- Compliance with all applicable laws and regulations in the country where farming or harvesting happens
- Operations that respect land rights and land use rights, and are unlikely to displace food production
- Planning, monitoring, management, and continuous impact assessment of farming and harvesting practices
- Maintenance, conservation, or enhancement of biodiversity in the forest and vegetation, or other ecosystems
- Maintenance or enhancement of the productive function of the forest and vegetation or other ecosystem area, and efficient use of harvested materials (e.g. the rate of harvest does not exceed the long-term rate of regrowth)
- Maintenance or enhancement of the health and vitality of the forest and vegetation, or other ecosystem, and its protective systems like soil and water (e.g. controlling erosion of vulnerable soils and slopes)
- Maintenance or enhancement of the High Conservation Values in the forest, vegetation, or other ecosystems (Note: this overlaps with the previous three bullet points)

Applying the Criteria to Independently Certifying Subsidiaries:

- The measurement covers the company. If the company references an out-of-scope measurement, it records:
 - the data and mechanism for measuring its own operations
 - how data is consolidated in the out-of-scope parent’s reporting.

Recommendations:

- Source materials that were produced in a regenerative way (e.g. crops from regenerative agriculture, wood from agroforestry, or fish from restorative aquaculture).



Implementation Resources:

Resources on sustainability certifications

- Commodity certification schemes that are members of the ISEAL Alliance [\[EN\]](#)

Interoperability:

- Equivalency Data Point:
 - Cradle to Cradle Certified® Product Standard (Cradle to Cradle Products Innovation Institute) 5 // Product Circularity Requirements - level Gold or Platinum covering all the company's products
- Conceptual Alignment Data Point:
 - GRI 301: Materials 2016 - 301-1 Materials used by weight or volume (a)
 - GRI 301: Materials 2016 - 301-2 Recycled input materials used (a)
 - European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-4 – Resource inflows 28, 31 a, b, c
 - European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-2 – Actions and resources related to resource use and circular economy 17.
 - Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.A.6 Life cycle assessment and circularity indicators
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Circularity - B10 Resource use - a, d



ESC3.2 The company reduces its use of virgin non-renewable materials.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None



ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC3.2	From Year 3	Large / X Large / XX Large	The company reduces its use of virgin non-renewable materials.



Compliance Criteria:

3.2.1 The company's material inflow indicators confirm that, over the previous 36 months, the company has:

- a) reduced its total use of virgin non-renewable materials
- b) increased the percentage of renewable materials from sustainable sources, or reused or recycled input materials in its products and packaging.

Intent:

To ensure the company reduces its reliance on virgin non-renewable materials, and to avoid the unsustainable depletion of natural resources.

Clarifying the Compliance Criteria:

[3.2.1] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.2.1] The company automatically meets this sub-requirement if the amount of recycled or renewable materials from sustainable sources it uses, as a percentage of total input materials, meets the values achieved by industry leaders for the product type.

[3.2.1] If legal barriers prevent the company from reducing its use of virgin non-renewable materials in its product, or in its primary or secondary packaging, the company is only required to meet this sub-requirement to the extent legally permissible.

[3.2.1 a] “Virgin non-renewable” materials are finite materials that have not yet been used in the economy, and do not renew in short time periods (adapted from Ellen McArthur Foundation [\[EN\]](#) and European Sustainability Reporting Standards, 2023 [\[EN\]](#)). Examples include iron ore mined from the ground, and plastics made without recycled content.

[3.2.1 a] The company may calculate the amount of virgin non-renewable materials using the inputs from ESC3.1.

[3.2.1 a] The company may reduce its use of virgin non-renewable materials in its products, packaging, or both.

[3.2.1 a] The company may calculate the reduction in its total use of virgin non-renewable materials as an average over the last 36 months.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Implementation Resources:

Examples of resources on implementing circularity

- Circulytics: measuring circular economy performance (Ellen MacArthur Foundation) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- Circular Economy Introduction (Ellen MacArthur Foundation) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)



- Circular Transition Indicators v3.0 – Metrics for business, by business, 2022 (World Business Council for Sustainable Development) [\[EN\]](#)
- Corporate circular target-setting guidance, 2023 (Circular Economy Indicators Coalition) [\[EN\]](#)
- Nature Benchmark, 2024 (World Benchmarking Alliance) [\[EN\]](#)
- Cradle to Cradle Certified® Product Standard, 2024 (Cradle to Cradle Products Innovation Institute) [\[EN\]](#)
- Various Resources/Knowledge Hub (Circle Economy) [\[EN\]](#)

Interoperability:

- Equivalency Data Point:
 - Cradle to Cradle Certified® Product Standard (Cradle to Cradle Products Innovation Institute) 5 // Product Circularity Requirements - level Gold or Platinum covering all the company's products
- Conceptual Alignment Data Point:
 - European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-2 – Actions and resources related to resource use and circular economy 20. b
 - European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-3 – Targets related to resource use and circular economy 24 c, d
 - Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.A.6 Life cycle assessment and circularity indicators
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Circularity - B10 Resource use - c
 - Fairtrade Trader Standard v2.2, 2024 (Fairtrade International) 4.2.5



ESC3.3 The company's product development incorporates circularity principles.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All



Small	Wholesale/Retail	All
Small	Service with Significant Environmental Footprint	All
Small	Manufacturing	All
Small	Agriculture/Growers	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC3.3	From Year 3	Small / Medium / Large / X Large / XX Large	The company's product development incorporates circularity principles.



Compliance Criteria:

3.3.1 The company chooses one or more of the following four options.

- a) ESC3.3a The company avoids and reduces single-use products and packaging in its portfolio
- b) ESC3.3b The company designs its products for long-term use.
- c) GAC3.3c The company's products are able to recirculate after use.
- d) ESC3.3d The company's products are able to recirculate at their end-of-life.

3.3.2 The company can explain how its product design follows the priority order established in the waste hierarchy.

3.3.3 For Year 5 the company either or both:

- a) increases the percentage of the indicators used in the sub-requirement option
- b) adds an option that is higher in the hierarchy of options.

3.3.4 If the company chose ESC3.3d previously, for Year 5 it chooses one of:

- a) ESC3.3a The company avoids and reduces single-use products and packaging in its portfolio.
- b) ESC3.3b The company designs its products for long-term use.
- c) ESC3.3c The company's products are able to recirculate after use.

3.3.5 If the company has multiple products in its portfolio, it measures its entire portfolio along the four options in ESC3.3.1.

Intent:

For the company to reduce waste and minimize pressure on natural resources — and enhance recovery through the best available recovery cycle — by implementing circularity principles in its product development.

Clarifying the Compliance Criteria:

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] Circularity principles do not replace other environmental factors (e.g. water use, greenhouse gasses, etc.) in product development, but are an additional consideration. Incorporating circularity requires the company to carefully consider its product and packaging choices, preferring options that help reduce the pressure on natural resources. This means that the company also follows the waste hierarchy — meaning, it avoids unnecessary packaging, or moves to reusable packaging, before considering recyclability.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] If legal barriers prevent the company from adopting circularity principles in its product, or in its primary or secondary packaging, the company is only required to meet this sub-requirement to the extent legally permissible.

[3.3.1; 3.3.2] When considering circular design principles, the company examines the recycling infrastructure in locations where its products are sold. If recycling infrastructure is scarce, the company may instead focus on durability and material choice.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] Circularity principles do not replace other environmental factors (e.g. water use, greenhouse gasses, etc.) in product development, but are an additional consideration. Incorporating circularity requires the company to carefully consider its product and packaging choices, preferring options that help reduce the pressure on natural resources. This means that the company also follows the waste hierarchy — meaning, it avoids unnecessary packaging, or moves to reusable packaging, before considering recyclability.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] If legal barriers prevent the company from adopting circularity principles in its product, or in its primary or secondary packaging, the company is only required to meet this sub-requirement to the extent legally permissible.

[3.3.1; 3.3.2] When considering circular design principles, the company examines the recycling infrastructure in locations where its products are sold. If recycling infrastructure is scarce, the company may instead focus on durability and material choice.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] Circularity principles do not replace other environmental factors (e.g. water use, greenhouse gasses, etc.) in product development, but are an additional consideration. Incorporating circularity requires the company to carefully consider its product and packaging choices, preferring options that help reduce the pressure on natural resources. This means that the company also follows the waste hierarchy — meaning, it avoids unnecessary packaging, or moves to reusable packaging, before considering recyclability.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] If legal barriers prevent the company from adopting circularity principles in its product, or in its primary or secondary packaging, the company is only required to meet this sub-requirement to the extent legally permissible.

[3.3.3] The hierarchy of options (in terms of preference from highest to lowest):

- ESC3.3a The company avoids and reduces single-use products and packaging in its portfolio.
- ESC3.3b The company designs its products for long-term use.
- ESC3.3c The company's products are able to recirculate after use.
- ESC3.3d The company's products are able to recirculate at their end-of-life.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] Circularity principles do not replace other environmental factors (e.g. water use, greenhouse gasses, etc.) in product development, but are an additional consideration. Incorporating circularity requires the company to carefully consider its product and packaging choices, preferring options that help reduce the pressure on natural resources. This means that the company also follows the waste hierarchy — meaning, it avoids unnecessary packaging, or moves to reusable packaging, before considering recyclability.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] If legal barriers prevent the company from adopting circularity principles in its product, or in its primary or secondary packaging, the company is only required to meet this sub-requirement to the extent legally permissible.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] Circularity principles do not replace other environmental factors (e.g. water use, greenhouse gasses, etc.) in product development, but are an additional consideration. Incorporating circularity requires the company to carefully consider its product and packaging choices, preferring options that help reduce the pressure on natural resources. This means that the company also follows the waste hierarchy — meaning, it avoids unnecessary packaging, or moves to reusable packaging, before considering recyclability.

[3.3.1; 3.3.2; 3.3.3; 3.3.4; 3.3.5] If legal barriers prevent the company from adopting circularity principles in its product, or in its primary or secondary packaging, the company is only required to meet this sub-requirement to the extent legally permissible.

[3.3.5] If the company has multiple products in its portfolio, it applies this sub-requirement to its entire portfolio of products and their packaging. This means the company:

- evaluates which product fits under which of the four options in ESC3.3.1
- calculates the required indicators based on its entire portfolio.

[3.3.5] The company demonstrates improvement in line with 3.3.3 and 3.3.4. However, if one or more of the company's products and their packaging do not yet fit into any of the four options in ESC3.3.1, the company may reselect option ESC3.3d for Year 5.

[3.3.5] If some of the company's portfolio does not yet fit into any of the four options in ESC3.3.1, the company:

- provides an overview of the percentage, by weight, of products and packaging separately that do not fit any of the four options
- decreases this percentage for Year 5.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms

- o how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Primary packaging materials include: The materials that physically contain, envelop, or hold the certified product, and typically come into direct contact with the product.
- Secondary packaging materials include: Any other packaging materials contained in one sales unit as it is offered to the end user or consumer at the point of purchase and not added exclusively for shipping (e.g., a toothpaste box, outer box containing individually wrapped product units)
- Tertiary packaging materials include: Materials used exclusively for shipping the product, such as a box, pallet, or shrink or plastic wrap. (adapted from Cradle to Cradle Certified® Product Standard, Version 4.1 [\[EN\]](#))

Recommendations:

- Incorporate the selected circularity principle from ESC3.3a–d in the design principles of the company’s products and packaging.
- Look at the whole picture in terms of the waste hierarchy and incorporate circularity principles that reflect the higher rungs of the waste hierarchy (such as ESC3.3a–c) into the company’s product design.
- Conduct a study on behavior and disposal to understand the impacts of product usage and support product development.

Implementation Resources:

Examples of resources on implementing circularity

- Circulytics: measuring circular economy performance (Ellen MacArthur Foundation) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- Circular Economy Introduction (Ellen MacArthur Foundation) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- Circular Transition Indicators v3.0 – Metrics for business, by business, 2022 (World Business Council for Sustainable Development) [\[EN\]](#)
- Corporate circular target-setting guidance, 2023 (Circular Economy Indicators Coalition) [\[EN\]](#)
- Nature Benchmark, 2024 (World Benchmarking Alliance) [\[EN\]](#)



- Cradle to Cradle Certified® Product Standard, 2024 (Cradle to Cradle Products Innovation Institute) [\[EN\]](#)
- Various Resources/Knowledge Hub (Circle Economy) [\[EN\]](#)

Examples of networks on circular economy

- Ellen MacArthur Foundation Business Network [\[EN\]](#) [\[ES\]](#) [\[PT\]](#) [\[ZH\]](#)
- B Corp Beauty Coalition [\[EN\]](#)
- Platform for Accelerating the Circular Economy (PACE) [\[EN\]](#)
- The African Circular Economy Network (ACEN) [\[EN\]](#)
- The African Circular Economy Alliance (ACEA) [\[EN\]](#) [\[FR\]](#) [\[PT\]](#)
- European Remanufacturing Council [\[EN\]](#)
- Coalición de Economía Circular para América Latina y el Caribe [\[EN\]](#) [\[ES\]](#)

Interoperability:

- Equivalency Data Point:
 - Cradle to Cradle Certified® Product Standard (Cradle to Cradle Products Innovation Institute) 5 // Product Circularity Requirements - level Gold or Platinum covering all the company's products
- Conceptual Alignment Data Point:
 - European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-2 – Actions and resources related to resource use and circular economy 20 c, d
 - European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-5 – Resource outflows 33, 35
 - Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.A.6 Life cycle assessment and circularity indicators



ESC3.3a The company avoids and reduces single-use products and packaging in its portfolio.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All



Small	Wholesale/Retail	All
Small	Service with Significant Environmental Footprint	All
Small	Manufacturing	All
Small	Agriculture/Growers	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC3.3a	From Year 3	None	The company avoids and reduces single-use products and packaging in its portfolio.



Compliance Criteria:

3.3a.1 The company knows the following for its portfolio.

- a) The amount of single-use products, as a percentage of the total weight of its products (excluding packaging)
- b) The amount of single-use packaging, as a percentage of the total weight of its packaging

3.3.a.2 The company records the reduction in percentage of single-use products or packaging in its portfolio resulting from the actions it took.

Intent:

For the company to avoid depleting natural resources and avoid generating waste by eliminating single-use products and packaging from its portfolio.

Clarifying the Compliance Criteria:

[3.3a.1; 3.3a.2] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.3a.1; 3.3a.2] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.

[3.3a.1; 3.3a.2] The company automatically meets this sub-requirement if it has avoided single-use products and packaging in more than 50% of its portfolio, in industries where single-use products and packaging are the norm.

[3.3a.1] If the company has multiple product lines, it calculates the percentage indicators across its entire portfolio to establish the baseline.

[3.3a.1; 3.3a.2] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.3a.1; 3.3a.2] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.

[3.3a.1; 3.3a.2] The company automatically meets this sub-requirement if it has avoided single-use products and packaging in more than 50% of its portfolio, in industries where single-use products and packaging are the norm.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Single-use products and packaging include, for example:



- cotton bud sticks
- disposable cutlery, plates, straws, and stirrers
- balloons and sticks for balloons
- disposable food containers
- disposable cups for drinks
- drink containers
- plastic bags
- packets and wrappers
- wet wipes and sanitary items (e.g. diapers).
- Actions to eliminate single-use products and packaging may include, for example:
 - reducing product or packaging components
 - switching to sustainable materials
 - eliminating packaging
 - switching to product as a service.

Recommendations:

- Take other actions to eliminate single-use products and packaging through:
 - Investment in collective action to support eliminating single-use products and packaging, in terms of the percentage of revenue invested [Link to GACA2.1b; GACA2.1c; GACA2.1d; GACA2.3b; GACA2.3c; GACA2.3d].
 - Initiatives to fight overconsumption, such as capping the company's annual production.

- o Investment in efforts to ensure that consumers use the company's products and packaging consciously, in terms of the percentage of revenue invested. The company's efforts should have a demonstrable reduction in waste (e.g. reusable products are used multiple times, preventing overconsumption of single-use products). Successful examples include the National Health Service's "Gloves Off" campaign [\[EN\]](#) and Médecins Sans Frontières' "Wear with Care" campaign [\[EN\]](#) for reducing overconsumption of medical gloves.

Implementation Resources:

Examples of resources on implementing circularity

- Circulytics: measuring circular economy performance (Ellen MacArthur Foundation) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- Circular Economy Introduction (Ellen MacArthur Foundation) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- Circular Transition Indicators v3.0 – Metrics for business, by business, 2022 (World Business Council for Sustainable Development) [\[EN\]](#)
- Corporate circular target-setting guidance, 2023 (Circular Economy Indicators Coalition) [\[EN\]](#)
- Nature Benchmark, 2024 (World Benchmarking Alliance) [\[EN\]](#)
- Cradle to Cradle Certified® Product Standard, 2024 (Cradle to Cradle Products Innovation Institute) [\[EN\]](#)
- Various Resources/Knowledge Hub (Circle Economy) [\[EN\]](#)

Examples of networks on circular economy

- Ellen MacArthur Foundation Business Network [\[EN\]](#) [\[ES\]](#) [\[PT\]](#) [\[ZH\]](#)
- B Corp Beauty Coalition [\[EN\]](#)
- Platform for Accelerating the Circular Economy (PACE) [\[EN\]](#)
- The African Circular Economy Network (ACEN) [\[EN\]](#)
- The African Circular Economy Alliance (ACEA) [\[EN\]](#) [\[FR\]](#) [\[PT\]](#)
- European Remanufacturing Council [\[EN\]](#)
- Coalición de Economía Circular para América Latina y el Caribe [\[EN\]](#) [\[ES\]](#)

Interoperability:

- Equivalency Data Point:
 - Cradle to Cradle Certified® Product Standard (Cradle to Cradle Products Innovation Institute) 5 // Product Circularity Requirements - level Gold or Platinum covering all the company's products



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- The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Circularity - B11 Plastic use - d
 - Conceptual Alignment Data Point:
 - European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-2 – Actions and resources related to resource use and circular economy 20 c, d
 - European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-5 – Resource outflows 33, 35
 - Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.A.6 Life cycle assessment and circularity indicators



ESC3.3b The company designs its products for long-term use.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All



Small	Wholesale/Retail	All
Small	Service with Significant Environmental Footprint	All
Small	Manufacturing	All
Small	Agriculture/Growers	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC3.3b	From Year 3	None	The company designs its products for long-term use.



Compliance Criteria:

3.3b.1 The company records:

- a) the amount of its products, as a percentage of the total weight of its products (excluding packaging) that were designed for:
 - i) durability during use
 - ii) repairability during use
 - iii) reusability.
- b) the amount of its packaging, as a percentage of the total weight of its packaging, that was designed for:
 - i) durability during use
 - ii) repairability during use
 - iii) reusability.

Intent:

For the company to circulate its products and materials at their highest value, by designing for durability, repairability, and re-use.

Clarifying the Compliance Criteria:

[3.3b.1] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.3b.1] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.

[3.3b.1] If a product or packaging meets multiple criteria (e.g. it is designed for both durability and repairability), the company counts it only once in its calculations.

[3.3b.1] If the company has multiple product lines, it calculates the percentage indicators across its entire portfolio to establish the baseline.

[3.3b.1a.i; 3.3b1b.i] If the company designs its products for durability, it has information on any testing it has conducted (in-house or with external bodies). The testing confirms that the product is designed for maintenance, longevity and durability in such a way that encourages longer use than what is typical for the type of product. For products that are inherently long-lasting (e.g. timeless design with durable material choices), the company may prioritize other principles and explain why.

[3.3b.1a.i; 3.3b1b.i] If the company designs its products for reusability, it has information on how their designs enable reuse. The company may evaluate “reusability” using the following criteria (adapted from Cradle to Cradle Certified® Product Standard, Version 4.1 [\[EN\]](#) and Glossary - Ellen MacArthur Foundation [\[EN\]](#)).

- The product has at least one design feature that enables it to be used for its original purpose more than once. This may require users or the company to make small adjustments or clean the component or product, depending on the type of product.
- The packaging is part of a refill system (e.g. refill pouches), or the company has a product-specific take-back program for users to return used packaging packaging, or both.

[3.3b.1a.ii; 3.3b1b.ii] If the company designs its products for repairability during use, it has information on how their designs enable repair. The company may evaluate “repairability during use” using the following criteria (adapted from Glossary - Ellen MacArthur Foundation [\[EN\]](#)).

- The product has at least one design feature that enables it to be repaired using existing systems that operate in practice and at scale (e.g. a network of repair shops or the company's own repair service) or enables users to repair the product themselves.
- For example, repairable products may:
 - have a modular design

- use built-in predictive maintenance sensors and repair diagnostics
- be designed with the right to repair.
- designed for remanufacturing
- designed using standardised components across a sector.
- include repair manuals
- make spare parts or software available at reasonable prices.

[3.3b.1a.i; 3.3b1b.i] If the company designs its products for durability, it has information on any testing it has conducted (in-house or with external bodies). The testing confirms that the product is designed for maintenance, longevity and durability in such a way that encourages longer use than what is typical for the type of product. For products that are inherently long-lasting (e.g. timeless design with durable material choices), the company may prioritize other principles and explain why.

[3.3b.1a.i; 3.3b1bii] If the company designs its products for reusability, it has information on how their designs enable reuse. The company may evaluate “reusability” using the following criteria (adapted from Cradle to Cradle Certified® Product Standard, Version 4.1 [\[EN\]](#) and Glossary - Ellen MacArthur Foundation [\[EN\]](#)).

- The product has at least one design feature that enables it to be used for its original purpose more than once. This may require users or the company to make small adjustments or clean the component or product, depending on the type of product.
- The packaging is part of a refill system (e.g. refill pouches), or the company has a product-specific take-back program for users to return used packaging packaging, or both.

[3.3b.1a.ii; 3.3b1bii] If the company designs its products for repairability during use, it has information on how their designs enable repair. The company may evaluate “repairability during use” using the following criteria (adapted from Glossary - Ellen MacArthur Foundation [\[EN\]](#)).

- The product has at least one design feature that enables it to be repaired using existing systems that operate in practice and at scale (e.g. a network of repair shops or the company's own repair service) or enables users to repair the product themselves.
- For example, repairable products may:
 - have a modular design
 - use built-in predictive maintenance sensors and repair diagnostics
 - be designed with the right to repair.



- o designed for remanufacturing
- o designed using standardised components across a sector.
- o include repair manuals
- o make spare parts or software available at reasonable prices.

Applying the Criteria to Independently Certifying Subsidiaries:

- The measurement covers the company. If the company references an out-of-scope measurement, it records:
 - o the data and mechanism for measuring its own operations
 - o how data is consolidated in the out-of-scope parent's reporting.

Implementation Resources:

Examples of resources on implementing circularity

- Circulytics: measuring circular economy performance (Ellen MacArthur Foundation) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- Circular Economy Introduction (Ellen MacArthur Foundation) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- Circular Transition Indicators v3.0 – Metrics for business, by business, 2022 (World Business Council for Sustainable Development) [\[EN\]](#)
- Corporate circular target-setting guidance, 2023 (Circular Economy Indicators Coalition) [\[EN\]](#)
- Nature Benchmark, 2024 (World Benchmarking Alliance) [\[EN\]](#)
- Cradle to Cradle Certified® Product Standard, 2024 (Cradle to Cradle Products Innovation Institute) [\[EN\]](#)
- Various Resources/Knowledge Hub (Circle Economy) [\[EN\]](#)

Examples of networks on circular economy

- Ellen MacArthur Foundation Business Network [\[EN\]](#) [\[ES\]](#) [\[PT\]](#) [\[ZH\]](#)
- B Corp Beauty Coalition [\[EN\]](#)



- Platform for Accelerating the Circular Economy (PACE) [\[EN\]](#)
- The African Circular Economy Network (ACEN) [\[EN\]](#)
- The African Circular Economy Alliance (ACEA) [\[EN\]](#) [\[FR\]](#) [\[PT\]](#)
- European Remanufacturing Council [\[EN\]](#)
- Coalición de Economía Circular para América Latina y el Caribe [\[EN\]](#) [\[ES\]](#)

Interoperability:

- Equivalency Data Point:
 - Cradle to Cradle Certified® Product Standard (Cradle to Cradle Products Innovation Institute) 5 // Product Circularity Requirements - level Gold or Platinum covering all the company's products
- Conceptual Alignment Data Point:
 - European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-2 – Actions and resources related to resource use and circular economy 20 c, d
 - European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-5 – Resource outflows 33, 35
 - Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.A.6 Life cycle assessment and circularity indicators



ESC3.3c The company's products are able to recirculate after use.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Agriculture/Growers	All
Large	Manufacturing	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All



Small	Wholesale/Retail	All
Small	Service with Significant Environmental Footprint	All
Small	Manufacturing	All
Small	Agriculture/Growers	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC3.3c	From Year 3	None	The company's products are able to recirculate after use.



Compliance Criteria:

3.3c.1 The company records:

- a) the amount of its products, as a percentage of the total weight of its products (excluding packaging) that were designed for:
 - i) disassembly
 - ii) remanufacturing or refurbishment
- b) the amount of its packaging, as a percentage of the total weight its packaging, that was designed for:
 - i) disassembly
 - ii) remanufacturing or refurbishment.

Intent:

For the company to enable recirculation of its products and materials after they are used, by designing for disassembly, remanufacturing, and refurbishment.

Clarifying the Compliance Criteria:

[3.3c.1] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.3c.1] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.

[3.3c.1] If a product or packaging meets multiple criteria (e.g. it is designed for both disassembly and refurbishment), the company counts it only once in its calculations.

[3.3c.1] If the company designs its products for disassembly, it has information on how their designs improve the ease of disassembly. The company may evaluate “ease of disassembly” using criteria such as the following (adapted from Cradle to Cradle Certified® Product Standard, Version 4.1 [\[EN\]](#)).

- The product has at least one design feature that improves its ease of disassembly compared to an alternative product.
- The design avoids processes that involve the loss of specific materials in the product to recover other materials (e.g. burning plastics to recover metals).
- Disassembly instructions are publicly available, and third parties can follow a standardized disassembly process, including the general public using common tools (e.g. hammers, screwdrivers, or pliers).

[3.3c.1] A product is "designed for remanufacturing" if it has the following design elements (adapted from Cradle to Cradle Certified® Product Standard, Version 4.1 [\[EN\]](#)).

- The product includes at least one design feature that lets users:
 - Disassemble it
 - Remove functioning, reusable parts
 - Use those parts to be rebuilt into a new product.
- Products rebuilt using old product parts can perform at the same level as a newly manufactured product (or better).

[3.3c.1] A product is "designed for refurbishment" if it has the following design elements (adapted from Cradle to Cradle Certified® Product Standard, Version 4.1 [\[EN\]](#)).



- The product includes at least one design feature that lets users return a product to good working condition, without changing its functionality, by
 - replacing or repairing major components that are faulty or close to failure
 - making cosmetic changes to update its appearance, such as cleaning, changing fabric, painting, or refinishing
 - updating its specifications.

Applying the Criteria to Independently Certifying Subsidiaries:

- The measurement covers the company. If the company references an out-of-scope measurement, it records:
 - the data and mechanism for measuring its own operations
 - how data is consolidated in the out-of-scope parent's reporting.

Further Guidance:

- Products and packaging designed for disassembly include, for example:
 - product-component passports
 - modular design
 - reversible connections.
- Products and packaging designed for remanufacturing or refurbishment include, for example:
 - modular design
 - engine blocks with a removable sleeve in the cylinder bore.

Implementation Resources:

Examples of resources on implementing circularity

- Circulytics: measuring circular economy performance (Ellen MacArthur Foundation) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)

- Circular Economy Introduction (Ellen MacArthur Foundation) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- Circular Transition Indicators v3.0 – Metrics for business, by business, 2022 (World Business Council for Sustainable Development) [\[EN\]](#)
- Corporate circular target-setting guidance, 2023 (Circular Economy Indicators Coalition) [\[EN\]](#)
- Nature Benchmark, 2024 (World Benchmarking Alliance) [\[EN\]](#)
- Cradle to Cradle Certified® Product Standard, 2024 (Cradle to Cradle Products Innovation Institute) [\[EN\]](#)
- Various Resources/Knowledge Hub (Circle Economy) [\[EN\]](#)

Examples of networks on circular economy

- Ellen MacArthur Foundation Business Network [\[EN\]](#) [\[ES\]](#) [\[PT\]](#) [\[ZH\]](#)
- B Corp Beauty Coalition [\[EN\]](#)
- Platform for Accelerating the Circular Economy (PACE) [\[EN\]](#)
- The African Circular Economy Network (ACEN) [\[EN\]](#)
- The African Circular Economy Alliance (ACEA) [\[EN\]](#) [\[FR\]](#) [\[PT\]](#)
- European Remanufacturing Council [\[EN\]](#)
- Coalición de Economía Circular para América Latina y el Caribe [\[EN\]](#) [\[ES\]](#)

Interoperability:

- Equivalency Data Point:
 - Cradle to Cradle Certified® Product Standard (Cradle to Cradle Products Innovation Institute) 5 // Product Circularity Requirements - level Gold or Platinum covering all the company's products
- Conceptual Alignment Data Point:
 - European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-2 – Actions and resources related to resource use and circular economy 20 c, d
 - European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-5 – Resource outflows 33, 35



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- o Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.A.6 Life cycle assessment and circularity indicators



ESC3.3d The company's products are able to recirculate at their end-of-life

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Agriculture/Growers	All
Medium	Wholesale/Retail	Fabricated metal products



Small	Wholesale/Retail	All
Small	Service with Significant Environmental Footprint	All
Small	Manufacturing	All
Small	Agriculture/Growers	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC3.3d	From Year 3	None	The company's products are able to recirculate at their end-of-life



Compliance Criteria:

3.3d.1 The company records:

- a) the amount of its products, as a percentage of the total weight of its products (excluding packaging) that were designed for:
 - i) recycling
 - ii) recirculation by the biological cycle
- b) the amount of packaging, as a percentage of the total weight of its packaging, that was designed for:
 - i) recycling
 - ii) recirculation by the biological cycle.

3.3d.2 The company's products or packaging have been designed for recycling or recirculation by the biological cycle in a way that exceeds standard practice.

Intent:

For the company to enable recirculation of its products and materials at their end of life, by designing for recycling and recirculation by the biological cycle.

Clarifying the Compliance Criteria:

[3.3d.1; 3.3d.2] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.3d.1; 3.3d.2] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.

[3.3d.1; 3.3d.2] The company follows the hierarchy of recovery cycles, and considers the available infrastructure in locations where its products are sold.

[3.3d.1] If the company has multiple product lines, it calculates the percentage indicators across its entire portfolio to establish the baseline.

[3.3d.1a.i; 3.3d.1b.i] When evaluating its products and packaging that are “designed for recycling”, the company considers whether they are compatible with existing recycling systems that currently operate at scale.

[3.3d.1a.ii; 3.3d.1b.ii] Recirculation by the biological cycle includes, for example:

- composting;
- anaerobic digestion.

[3.3d.1a.i; 3.3d.1b.i] When evaluating its products and packaging that are “designed for recycling”, the company considers whether they are compatible with existing recycling systems that currently operate at scale.

[3.3d.1a.ii; 3.3d.1b.ii] Recirculation by the biological cycle includes, for example:

- composting;
- anaerobic digestion.

[3.3d.1; 3.3d.2] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.3d.1; 3.3d.2] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.



[3.3d.1; 3.3d.2] The company follows the hierarchy of recovery cycles, and considers the available infrastructure in locations where its products are sold.

[3.3d.2] The company explains how it defines “standard practice”, and how its design exceeds it. The explanation can use quantitative or qualitative measures.

Applying the Criteria to Independently Certifying Subsidiaries:

- The measurement covers the company. If the company references an out-of-scope measurement, it records:
 - the data and mechanism for measuring its own operations
 - how data is consolidated in the out-of-scope parent’s reporting.

Further Guidance:

- To explain how the design exceeds standard practice, the company may include:
 - comparisons with industry peers
 - data from third parties, such as recycling facilities, research organizations, or academic institutions
 - results from a Life Cycle Assessment (LCA) showing better performance in recycling or recirculation.

Recommendations:

- Conduct a study on behavior and disposal to understand the impacts of product usage and support product development.
- When considering circular design principles, the company examines the recycling infrastructure in locations where its products are sold. If recycling infrastructure is scarce, the company may instead focus on durability and material choice.

Implementation Resources:

Examples of resources on implementing circularity

- Circulytics: measuring circular economy performance (Ellen MacArthur Foundation) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)

- Circular Economy Introduction (Ellen MacArthur Foundation) [\[EN\]](#) [\[ES\]](#) [\[PT\]](#)
- Circular Transition Indicators v3.0 – Metrics for business, by business, 2022 (World Business Council for Sustainable Development) [\[EN\]](#)
- Corporate circular target-setting guidance, 2023 (Circular Economy Indicators Coalition) [\[EN\]](#)
- Nature Benchmark, 2024 (World Benchmarking Alliance) [\[EN\]](#)
- Cradle to Cradle Certified® Product Standard, 2024 (Cradle to Cradle Products Innovation Institute) [\[EN\]](#)
- Various Resources/Knowledge Hub (Circle Economy) [\[EN\]](#)

Examples of networks on circular economy

- Ellen MacArthur Foundation Business Network [\[EN\]](#) [\[ES\]](#) [\[PT\]](#) [\[ZH\]](#)
- B Corp Beauty Coalition [\[EN\]](#)
- Platform for Accelerating the Circular Economy (PACE) [\[EN\]](#)
- The African Circular Economy Network (ACEN) [\[EN\]](#)
- The African Circular Economy Alliance (ACEA) [\[EN\]](#) [\[FR\]](#) [\[PT\]](#)
- European Remanufacturing Council [\[EN\]](#)
- Coalición de Economía Circular para América Latina y el Caribe [\[EN\]](#) [\[ES\]](#)

Interoperability:

- Equivalency Data Point:
 - Cradle to Cradle Certified® Product Standard (Cradle to Cradle Products Innovation Institute) 5 // Product Circularity Requirements - level Gold or Platinum covering all the company's products
- Conceptual Alignment Data Point:
 - European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-2 – Actions and resources related to resource use and circular economy 20 c, d
 - European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-5 – Resource outflows 33, 35



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- o Sustainable Development Performance Indicators 2022 (United Nations Research Institute for Social Development) II.A.6 Life cycle assessment and circularity indicators



ESC3.4 The company understands the recovery infrastructure available where it sells its products.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC3.4	From Year 0	None	The company understands the recovery infrastructure available where it sells its products.



Compliance Criteria:

3.4.1 The company conducts and records an analysis of available recovery infrastructure for its products and packaging after their end-of-life. The analysis:

- a) covers all the company's material products and packaging
- b) includes 25% of countries where the company's products are sold at minimum
- c) is based on desk research or stakeholder engagement
- d) identifies the recovery infrastructure challenges for each included country.

3.4.2 The analysis produces a document that summarizes the company's methodology.

3.4.3 The analysis was either completed or updated in the last 36 months.

3.4.4 For each update, the company increases the extent of coverage of the analysis (measured as a percentage of aggregate production and number of countries) as compared to the previous analysis.

Intent:

To create a foundation for the company to increase the recovery of its products and packaging under ESC3.5. This analysis helps the company identify hotspots for recovery infrastructure challenges, and tailor its actions toward the areas of highest need.

Clarifying the Compliance Criteria:

[3.4.1; 3.4.2; 3.4.3; 3.4.4] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.4.1; 3.4.2; 3.4.3; 3.4.4] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.

[3.4.1a] The company's "material products and packaging" are determined as a combination of those that (1) have the highest environmental impacts, as assessed in ESC1.7, and (2) the aggregate volume of products sold.

[3.4.1; 3.4.2; 3.4.3; 3.4.4] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.4.1; 3.4.2; 3.4.3; 3.4.4] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.

[3.4.1; 3.4.2; 3.4.3; 3.4.4] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.4.1; 3.4.2; 3.4.3; 3.4.4] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.

[3.4.1; 3.4.2; 3.4.3; 3.4.4] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.4.1; 3.4.2; 3.4.3; 3.4.4] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.

[3.4.4] The company may determine the pace at which it increases the coverage of the analysis. The ultimate objective is 100% coverage of all countries where the company's products are sold.



Applying the Criteria to Independently Certifying Subsidiaries:

- The analysis and methodology covers the company. If the company references an out-of-scope corporate assessment, it demonstrates:
 - how the analysis and methodology outcome is relevant to its context.



ESC3.5 The company takes steps to increase the recovery of its products and packaging after their end-of-life.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC3.5	From Year 3	None	The company takes steps to increase the recovery of its products and packaging after their end-of-life.



Compliance Criteria:

3.5.1 The company records its actions or programs to improve the infrastructure for the intended recovery option of its material products or packaging.

3.5.2 Before Year 3, the company has introduced these actions or programs in the two countries that represent the largest end-user sales of its material products or packaging.

3.5.4 For Year 5, the company either:

- a) increases the scale of existing programs
- b) introduces additional actions or programs.

Intent:

For the company, using its analysis from ESC3.4, to focus its efforts on:

- improving the recovery infrastructure for its products and packaging
- preventing its products and packaging from entering landfills.

Clarifying the Compliance Criteria:

[3.5.1; 3.5.2; 3.5.3] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.5.1; 3.5.2; 3.5.3] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.

[3.5.1] The “intended recovery option” for each product and packaging refers to the circularity principle from ESC3.3a–d used in its design to reduce waste.

[3.5.1; 3.5.2; 3.5.3] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.

[3.5.1; 3.5.2; 3.5.3] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.

[3.5.2, 3.5.3] The company bases its actions or programs on the findings of its analysis under ESC3.4.

[3.5.2, 3.5.3] The company may engage in collective action to improve the available recovery infrastructure [Link to GACA2].

[3.5.2, 3.5.3] Company contributions towards Extended Producer Responsibility (EPR) schemes can be considered actions to improve the available infrastructure for recovery, as long as they are:

- linked to the company’s material products and packaging
- contributed in countries with recovery infrastructure barriers.

[3.5.2] The company’s “material products and packaging” are determined as a combination of those that (1) have the highest environmental impacts, as assessed in ESC1.7, and (2) the aggregate volume of products sold.

[3.5.1; 3.5.2; 3.5.3] This sub-requirement applies to products the company produces or has produced on its behalf. Products the company resells may be exempted (e.g. in the case of wholesale/retail). For companies in the Service with Significant Footprint and Agriculture/Growers sectors, this sub-requirement only applies if the company sells a physical product and has control over their production.



[3.5.1; 3.5.2; 3.5.3] If the product is a fast moving consumer good, this sub-requirement applies to its packaging. Fast moving consumer goods include food products, beverages, toiletries, cleaning supplies, medicines, and other products.

[3.5.2, 3.5.3] The company bases its actions or programs on the findings of its analysis under ESC3.4.

[3.5.2, 3.5.3] The company may engage in collective action to improve the available recovery infrastructure [Link to GACA2].

[3.5.2, 3.5.3] Company contributions towards Extended Producer Responsibility (EPR) schemes can be considered actions to improve the available infrastructure for recovery, as long as they are:

- linked to the company's material products and packaging
- contributed in countries with recovery infrastructure barriers.

[3.5.3b] The company may introduce additional actions or programs in either:

- the same countries as under 3.5.3
- other countries with recovery infrastructure barriers, based on its analysis under ESC3.4.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Recommendations:

- Address historic pollution, including plastic pollution, that the company has contributed to through its products and packaging. This may include, for example, removing plastics from the ocean, or investing in ways to upcycle existing plastic pollution.

Interoperability:

- Equivalency Data Point:



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- Cradle to Cradle Certified® Product Standard (Cradle to Cradle Products Innovation Institute) 5 // Product Circularity Requirements - level Gold or Platinum covering all the company's products
 - Conceptual Alignment Data Point:
 - European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-2 – Actions and resources related to resource use and circular economy 17.



ESC4 The company takes action to prevent and mitigate its actual and potential negative environmental impacts.

ESC4.1 The company implements actions to prevent or mitigate its actual and potential negative environmental impacts.

Track factors:

Size	Sector	Industry
XX Large	Service with Minor Environmental Footprint	All
X Large	Service with Minor Environmental Footprint	All
Large	Service with Minor Environmental Footprint	All
Medium	None	None
Small	Wholesale/Retail	All
Small	Service with Significant Environmental Footprint	All
Small	Manufacturing	All
Small	Agriculture/Growers	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC4.1	From Year 3	Large / XX Large / X Large / Small	The company implements actions to prevent or mitigate its actual and potential negative environmental impacts.



Compliance Criteria:

4.1.1 The company takes action to prevent or mitigate its actual and potential negative environmental impacts:

a) in the twelve months before Year 3

b) in each subsequent year.

4.1.2 The company records the action and any demonstrable output.

4.1.3 The action is related to the company's operations or value chain.

Intent:

To ensure the company's awareness of potential negative environmental impacts leads to prevention and mitigation actions. Prevention and mitigation is proactive, meaning it addresses a potential impact before it becomes an actual impact.



Clarifying the Compliance Criteria:

[4.1.1; 4.1.2; 4.1.3] The company automatically meets this sub-requirement if it improved its environmental impact, as measured under the following (where applicable):

- ESC1.1
- ESC1.2
- ESC1.3
- ESC1.6.

[4.1.1; 4.1.2; 4.1.3] The company automatically meets this sub-requirement if it improved its environmental impact, as measured under the following (where applicable):

- ESC1.1
- ESC1.2
- ESC1.3
- ESC1.6.

[4.1.2] The company's action has a "demonstrable output" (if not yet a measurable positive outcome). Demonstrable outputs may include the company implementing the following, among other actions:

- Biodiversity outputs
 - Practices that help to maintain or enhance biodiversity, carbon storage or sequestration, soil health, or the health of other ecosystems, and increase the stock of native species
- Water outputs
 - Measures to optimize water use
 - Measures to improve water quality
 - Ways to reuse and recover water (or other circular water management approaches)



- Waste outputs
 - Actions that follow the waste hierarchy and food waste hierarchy (e.g. reducing waste or increasing waste recovery)
- Energy outputs
 - Measures to improve energy efficiency
 - Moving to renewable electricity or energy
- Pollution outputs
 - Measures to minimize pollution (of soil, water, and air)
 - Measures to identify and reduce potential hazardous substances and substances of concern in products and packaging
- Animal welfare outputs
 - Measures to improve animal welfare conditions in line with the five freedoms of animal welfare

[4.1.2] The intent is only for the company to take action, not necessarily to achieve positive outcomes. This acknowledges that measurable reductions in negative impacts may take longer time to manifest or measure. In any case, the company records impact data or metrics to measure the outputs and any positive outcomes of its actions.

[4.1.1; 4.1.2; 4.1.3] The company automatically meets this sub-requirement if it improved its environmental impact, as measured under the following (where applicable):

- ESC1.1
- ESC1.2
- ESC1.3
- ESC1.6.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms



- how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Taking collective action on any of the above environmental impact areas may also be an acceptable output or outcome [Link to GACA2].

Recommendations:

- Take a holistic approach to preventing or mitigating the company's negative environmental impact, and consider any unintended consequences from its actions. For example, the creation of renewable energy farms in some locations can lead to deforestation, disruption of wildlife habitats, displacement of communities, and biodiversity loss.
- Address historic impacts that the company has contributed to through its products, packaging, and services. For example, if it has contributed to plastic pollution, this may include removing plastics from the ocean, or investing in ways to upcycle existing plastic pollution.
- The company conducts an assessment to identify its material environmental impacts and use the outcome of the assessment to determine which environmental impacts to prioritize.
 - For actual negative impacts, materiality is based on the severity of the impact, while for potential negative impacts it is based on the severity and likelihood of the impact.
 - The company prioritizes environmental impacts based on severity and likelihood. Severity should outweigh likelihood, so that highly severe impacts — even if they are unlikely — are still prioritized.
 - Severity refers to one or more of the following.
 - Scale — how serious would the impact be? A bigger scale is more severe.
 - Scope — how widespread is the impact? A bigger scope is more severe.
 - Ease of remediation — how easy would it be to remediate the potential negative impact? A higher difficulty of remediation is more severe. An impact has a low ease of remediation when it is very difficult to restore the environment to its prior state. Note, this does not mean less severe environmental impacts should not be remedied.
 - Likelihood considers how likely the impact is, and how frequently it might occur.
- Severity can be assessed using the following categories, as an example.

- High — the impact and its resulting effects are expected to cause major, irreparable, and long-lasting damage to the environment.
- Medium — the impact is expected to cause significant and lasting damage to the environment.
- Low — the impact is expected to cause minor, reparable, and temporary damage to the environment.
- Likelihood can be assessed using the following categories, as an example.
 - High — the impact and its resulting effects on the environment are expected to occur continuously.
 - Medium — the impact and its resulting effects on the environment are expected to occur regularly (i.e. from several times per year to several times per month).
 - Low — the impact and its resulting effects on the environment are expected to occur only occasionally (i.e. only during a specific phase of a project).
- The company works towards a demonstrable outcome, supported with impact data. Demonstrable outcomes may include the company achieving the following, among other outcomes:
 - Biodiversity outcomes
 - Measurable maintenance or improvement of biodiversity, carbon storage or sequestration, soil health, or the health of other ecosystems
 - A reduction of invasive alien species
 - An increase in the stock and diversity of native species
 - Water outcomes
 - Reduced water consumption
 - Improved water quality
 - Water consumption reduced to within proportionate allocations of available water supplies.
 - Waste outcomes
 - Reduced waste
 - Increased waste recovery
 - Zero waste to landfill for all operations



- Energy outcomes
 - Reduced energy consumption
 - Increased procurement of renewable electricity
 - Achieved 100% renewable electricity
- Pollution outcomes
 - Reduced pollution (of soil, water, and air)
 - Elimination of intentionally added substances from the EU REACH Candidate List and ChemSec SIN List from all products and packaging at any concentration
 - Reduction of substances from the EU REACH Candidate List and ChemSec SIN List in any material outflows to under 0.1% w/w (1,000 ppm).
 - Elimination of substances from the Cradle to Cradle Certified Products Program Restricted Substances List (RSL) above the RSL's maximum allowable concentration.
- Animal welfare
 - Improved animal welfare conditions in line with the five freedoms of animal welfare
- Ultimately, the company reduces its impact to within ecological thresholds and fully respects animal welfare. This may involve, among other outcomes:
 - prioritizing avoidance and minimization of negative impacts on biodiversity (in line with the mitigation hierarchy for biodiversity)
 - reducing its water consumption to within proportionate allocations of available water supplies
 - reducing its waste to the minimum, and sending zero waste to landfill
 - reducing its energy consumption to the minimum, and procuring 100% renewable electricity
 - reducing pollution to within safe, legal limits.

Implementation Resources:



Examples of resources to assess a company's environmental impacts

- Guidance on the identification and assessment of nature-related issues: the LEAP approach, 2024 (Taskforce on Nature-related Financial Disclosures) [\[EN\]](#)
- Initial Guidance for Business by the Science-Based Targets for Nature (Science Based Targets Network, 2020) [\[EN\]](#)
- Onboarding support and target setting for companies (Science Based Targets Network) - Technical guidance materials for Step 1 - Assess [\[EN\]](#)
- Onboarding support and target setting for companies (Science Based Targets Network) - Technical guidance materials for Step 2 - Prioritize [\[EN\]](#)
- People and planet in business - A simple guide to how small and micro companies can start or strengthen their due diligence, 2023 (B Lab, Fairtrade International) [\[EN\]](#)
- Science-Based Targets for Nature: Initial Guidance for Business, 2020 (Science Based Targets Network) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[PT\]](#) [\[ZH\]](#)
- Nature Strategy Handbook - A practical guide for businesses, 2023 (Business for Nature) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[PT\]](#) [\[ZH\]](#)
- Natural Capital Protocol, 2021 (Capitals Coalition) [\[AR\]](#) [\[EN\]](#) [\[JP\]](#) [\[ZH\]](#)
- Nature-Related Risk & Opportunity Management and Disclosure Framework (Taskforce on Nature-related Financial Disclosures) [\[Various languages\]](#), including AR, EN, ES FR, IT, PT, RU, ZH]
- Authentic Sustainability Assessment - A User Manual for the Sustainable Development Performance Indicators, 2022 (United Nations Research Institute for Social Development) [\[EN\]](#)
- Cradle to Cradle Certified® Product Standard, 2024 (Cradle to Cradle Products Innovation Institute) [\[EN\]](#)
- High-level Business Actions on Nature (Business for Nature) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#) [\[ZH\]](#)
- Knowledge Hub - Various tools (Taskforce on Nature-related Financial Disclosures) [\[EN\]](#)

Examples of resources to obtain information on potential negative environmental impact of specific sectors or industries

- Materiality Screening Tool – Tool to aid in initial corporate sector-level screening of environmental impacts (Science Based Targets Network) [\[EN\]](#)
- ENCORE [\[EN\]](#) [\[ES\]](#)
- The Global Assessment of Private Sector Impacts on Water, 2022 (CERES) [\[EN\]](#)

- Biodiversity risk filter (World Wildlife Fund) [\[EN\]](#)
- Prioritising Nature-related Disclosures, 2022 (UN Environment Programme) [\[EN\]](#)
- CDP (covering water, forests and climate) [\[EN\]](#) [\[ES\]](#) [\[JA\]](#) [\[PT\]](#) [\[ZH\]](#)
- GRI Sector Standards [\[EN\]](#)

Example of resource on stakeholder engagement

- Guidance on engagement with Indigenous Peoples, Local Communities and affected stakeholders, 2023 (Taskforce on Nature-related Financial Disclosures) [\[EN\]](#)

Examples of resources to assess biodiversity impacts

- Biodiversity risk filter (World Wildlife Fund) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Integrated Biodiversity Assessment Tool (IBAT Alliance) [\[EN\]](#)
- Global Forest Watch [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#) [\[ZH\]](#)
- Living Planet Report, 2024 [\[EN\]](#) [\[ES\]](#) [\[HR\]](#) [\[SR\]](#) [\[PT\]](#)
- ENCORE - allows exploration of future scenarios in terms of the potential impacts and dependencies of activities on biodiversity (available for some sectors, e.g., agriculture and mining) [\[EN\]](#) [\[ES\]](#)
- Science Based Targets Network - Various resources (Science Based Targets Network) [\[EN\]](#)
- High Conservation Value Network Approach [\[EN\]](#)
- High Carbon Stock Approach [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#)
- Biodiversity performance indicator, 2021 (CSO & Manomet) [\[EN\]](#)
- Key Biodiversity Areas [\[EN\]](#)

Examples of resources to obtain information on potential water impact based on geographic location

- Water risk filter (World Wildlife Fund) [\[EN\]](#)

- Aquaduct Water Risk Atlas (World Resources Institute) [\[EN\]](#)
- Ocean+ [\[EN\]](#)

Examples of resources to assess animal welfare practices

- Terrestrial and Aquatic Animal Health Codes (World Organisation for Animal Health) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Responsible Wool Standard [\[EN\]](#)
- Krav [\[EN\]](#) [\[SV\]](#)
- Best Aquaculture Practices [\[EN\]](#) [\[ES\]](#)
- Global Animal Partnership [\[EN\]](#)
- RSCPA Approved Farming Scheme [\[EN\]](#)
- Animal Welfare Approved by AGW (A Greener World) [\[EN\]](#)
- American Humane Certificated [\[EN\]](#)
- The Good Cashmere Standard [\[EN\]](#)
- Certified Humane [\[EN\]](#)
- Responsible Down Standard [\[EN\]](#)
- Regenerative Organic Certification Framework (Standard) (Regenerative Organic Alliance) [\[EN\]](#)
- Compassion in World Farming [\[CS\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[NL\]](#) [\[PL\]](#) [\[SV\]](#) [\[ZH\]](#)
- Accreditation by the Association of Zoos and Aquariums [\[EN\]](#)

Examples of resources on environmental risks for specific raw materials (high-risk materials)

- High impact commodity list (Science Based Targets Network) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Regulation on Deforestation-free Products - will develop a classification of high and low risk countries, 2023 (European Commission) [\[BG\]](#) [\[CS\]](#) [\[EL\]](#) [\[EN\]](#) [\[ES\]](#) [\[ET\]](#) [\[DA\]](#) [\[DE\]](#) [\[FR\]](#) [\[GA\]](#) [\[HR\]](#) [\[HU\]](#) [\[IT\]](#) [\[LT\]](#) [\[LV\]](#) [\[MT\]](#) [\[NL\]](#) [\[PL\]](#) [\[PT\]](#) [\[RO\]](#) [\[SL\]](#) [\[SK\]](#)

- Responsible Minerals Initiative for minerals, gold, silver [[Various languages](#), including AR, EN, ES FR, IT, PT, RU, ZH]

Examples of resources to conduct a Life Cycle Assessment

- General Guide for Life Cycle Assessment - ILCD Handbook (European Commission) [[EN](#)]
- Overview of life cycle inventory databases by GHG Protocol [[EN](#)]
- PEF (Product Environmental Footprint) and OEF (Organisation Environmental Footprint): PEF and OEF are currently under development. With PEF and OEF, the European Commission aims to harmonize methodology for the calculation of the environmental footprint of products and organizations. The system has been under development for several years now, and will in the end provide a standardized impact assessment method, a database with background LCA data and calculation rules for different industrial sectors (PEFCRs). [[BG](#)] [[CS](#)] [[DA](#)] [[DE](#)] [[EL](#)] [[EN](#)] [[ES](#)] [[ET](#)] [[FI](#)] [[FR](#)] [[GA](#)] [[HR](#)] [[HU](#)] [[IT](#)] [[LV](#)] [[LT](#)] [[MT](#)] [[NL](#)] [[PL](#)] [[PT](#)] [[RO](#)] [[SL](#)] [[SK](#)] [[SV](#)]
- Recommendations for Life Cycle Impact Assessment in the European context - based on existing environmental impact assessment models and factors (International Reference Life Cycle Data System - ILCD handbook) (European Commission) [[EN](#)]
- ISO 14040:2006 & ISO 14044: Life Cycle Assessment Framework (note, this resource is not free of charge) [[EN](#)] [[FR](#)] [[RU](#)]

Examples of resources to identify hazardous substances and substances of concern

- EU REACH Candidate List [[Various languages](#), including BG, CS, DA, DE, EL, EN, ES, ET, FI, FR, HR, HU, IT, LT, LV, MT, NL, PL, PT, RO, SK, SL, SV]
- ChemSec SIN List [[EN](#)]

Interoperability:

- Conceptual Alignment Data Point:
 - GRI 3: Material Topics 2021 - Disclosure 3-3 Management of material topics (c, d, e, f)
 - European Sustainability Reporting Standards E2 2023 - Disclosure Requirement E2-2 – Actions and resources related to pollution 16.
 - European Sustainability Reporting Standards E3 2023 - Disclosure Requirement E3-2 – Actions and resources related to water and marine resources 15.
 - European Sustainability Reporting Standards E4 2023 - Disclosure Requirement E4-3 – Actions and resources related to biodiversity and ecosystems 25, 28



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- o European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-2 – Actions and resources related to resource use and circular economy 20 e, f
 - o DIRECTIVE OF THE EUROPEAN PARLIAMENT AND OF THE COUNCIL on Corporate Sustainability Due Diligence and amending Directive (EU) 2019/1937 (proposal) - Article 8
 - o Fairtrade Trader Standard v2.2, 2024 (Fairtrade International) 3.3.1., 4.2.4



ESC4.2 The company makes progress on its environmental strategy and evaluates its effectiveness.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Wholesale/Retail	All
Medium	Service with Significant Environmental Footprint	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All



Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC4.2	From Year 5	Medium / Large	The company makes progress on its environmental strategy and evaluates its effectiveness.



Compliance Criteria:

- 4.2.1 The company makes progress against its targets and indicators (measured at an interval of no more than 36 months), in line with its environmental strategy defined under ESC2.1.
- 4.2.2 The company evaluates the effectiveness of its environmental strategy.
- 4.2.3 The evaluation results are shared with the highest governing body or executive team.
- 4.2.4 Where the strategy is ineffective, the company records:
 - a) what lessons it has learned
 - b) what it plans to do differently
 - c) how it has updated the strategy.
- 4.2.5 The company's environmental strategy has targets and indicators to prevent or mitigate negative environmental impacts for its value chain.

Intent:

For the company to put its environmental strategy into practice and ensure it works as intended. Environmental stewardship is an area of constant development, and companies can better understand the outcome of their interventions over time. The intent of the environmental strategy is to evaluate, learn, and continuously improve. Completely eliminating all actual and potential negative impacts is impossible and therefore not the intent.

Clarifying the Compliance Criteria:

[4.2.1, 4.2.2] If the company has third-party assurance that its operations and value chain respect animal welfare and stay within ecological thresholds, it can apply the method, tool, or data used to help meet this sub-requirement.

[4.2.1; 4.2.4] The company updates its strategy as new information emerges (for example on its potential environmental impact).

[4..1] The “environmental strategy” refers to the output of ESC2.1, which sets baselines for improvement.

[4.2.1, 4.2.2] If the company has third-party assurance that its operations and value chain respect animal welfare and stay within ecological thresholds, it can apply the method, tool, or data used to help meet this sub-requirement.

[4.2.2] The company records how it prioritized avoiding and reducing negative environmental impacts while progressing its environmental strategy, in line with ESC2.1.

[4.2.1; 4.2.4] The company updates its strategy as new information emerges (for example on its potential environmental impact).

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.
- References to the highest governing body or executive team mean those within the company’s scope of certification. This means that sharing the results with an out-of-scope parent body does not meet the sub-requirement, unless the company has also shared the results with the highest governing body or executive team within its scope of certification.

Further Guidance:

- Respecting animal welfare and staying within ecological thresholds may include the company achieving the following, among other outcomes:
 - Biodiversity outcomes
 - Measurable maintenance or improvement of biodiversity, carbon storage or sequestration, soil health, or the health of other ecosystems
 - A reduction of invasive alien species



- An increase in the stock and diversity of native species
- Water outcomes
 - Reduced water consumption
 - Improved water quality
 - Water consumption reduced to within proportionate allocations of available water supplies.
- Waste outcomes
 - Reduced waste
 - Increased waste recovery
 - Zero waste to landfill for all operations
- Energy outcomes
 - Reduced energy consumption
 - Increased procurement of renewable electricity
 - Achieved 100% renewable electricity
- Pollution outcomes
 - Reduced pollution (of soil, water, noise, and air)
 - Elimination of intentionally added substances from the EU REACH Candidate List and ChemSec SIN List from all products and packaging at any concentration
 - Reduction of substances from the EU REACH Candidate List and ChemSec SIN List in any material outflows to under 0.1% w/w (1,000 ppm).
 - Elimination of substances from the Cradle to Cradle Certified Products Program Restricted Substances List (RSL) above the RSL's maximum allowable concentration.
- Animal welfare
 - Improved animal welfare conditions in line with the five freedoms of animal welfare

Recommendations:

- Publicly share information about the strategy's effectiveness and lessons learned.

Implementation Resources:

Examples of resources to assess a company's environmental impacts

- Guidance on the identification and assessment of nature-related issues: the LEAP approach, 2024 (Taskforce on Nature-related Financial Disclosures) [\[EN\]](#)
- Initial Guidance for Business by the Science-Based Targets for Nature (Science Based Targets Network, 2020) [\[EN\]](#)
- Onboarding support and target setting for companies (Science Based Targets Network) - Technical guidance materials for Step 1 - Assess [\[EN\]](#)
- Onboarding support and target setting for companies (Science Based Targets Network) - Technical guidance materials for Step 2 - Prioritize [\[EN\]](#)
- People and planet in business - A simple guide to how small and micro companies can start or strengthen their due diligence, 2023 (B Lab, Fairtrade International) [\[EN\]](#)
- Science-Based Targets for Nature: Initial Guidance for Business, 2020 (Science Based Targets Network) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[PT\]](#) [\[ZH\]](#)
- Nature Strategy Handbook - A practical guide for businesses, 2023 (Business for Nature) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JP\]](#) [\[PT\]](#) [\[ZH\]](#)
- Natural Capital Protocol, 2021 (Capitals Coalition) [\[AR\]](#) [\[EN\]](#) [\[JP\]](#) [\[ZH\]](#)
- Nature-Related Risk & Opportunity Management and Disclosure Framework (Taskforce on Nature-related Financial Disclosures) [\[Various languages\]](#), including AR, EN, ES FR, IT, PT, RU, ZH]
- Authentic Sustainability Assessment - A User Manual for the Sustainable Development Performance Indicators, 2022 (United Nations Research Institute for Social Development) [\[EN\]](#)
- Cradle to Cradle Certified® Product Standard, 2024 (Cradle to Cradle Products Innovation Institute) [\[EN\]](#)
- High-level Business Actions on Nature (Business for Nature) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#) [\[ZH\]](#)

- Knowledge Hub - Various tools (Taskforce on Nature-related Financial Disclosures) [\[EN\]](#)

Examples of resources to obtain information on potential negative environmental impact of specific sectors or industries

- Materiality Screening Tool – Tool to aid in initial corporate sector-level screening of environmental impacts (Science Based Targets Network) [\[EN\]](#)
- ENCORE [\[EN\]](#) [\[ES\]](#)
- The Global Assessment of Private Sector Impacts on Water, 2022 (CERES) [\[EN\]](#)
- Biodiversity risk filter (World Wildlife Fund) [\[EN\]](#)
- Prioritising Nature-related Disclosures, 2022 (UN Environment Programme) [\[EN\]](#)
- CDP (covering water, forests and climate) [\[EN\]](#) [\[ES\]](#) [\[JA\]](#) [\[PT\]](#) [\[ZH\]](#)
- GRI Sector Standards [\[EN\]](#)

Example of resource on stakeholder engagement

- Guidance on engagement with Indigenous Peoples, Local Communities and affected stakeholders, 2023 (Taskforce on Nature-related Financial Disclosures) [\[EN\]](#)

Examples of resources to assess biodiversity impacts

- Biodiversity risk filter (World Wildlife Fund) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Integrated Biodiversity Assessment Tool (IBAT Alliance) [\[EN\]](#)
- Global Forest Watch [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#) [\[ZH\]](#)
- Living Planet Report, 2024 [\[EN\]](#) [\[ES\]](#) [\[HR\]](#) [\[SR\]](#) [\[PT\]](#)
- ENCORE - allows exploration of future scenarios in terms of the potential impacts and dependencies of activities on biodiversity (available for some sectors, e.g., agriculture and mining) [\[EN\]](#) [\[ES\]](#)
- Science Based Targets Network - Various resources (Science Based Targets Network) [\[EN\]](#)
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- Krav [\[EN\]](#) [\[SV\]](#)
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- Global Animal Partnership [\[EN\]](#)
- RSCPA Approved Farming Scheme [\[EN\]](#)
- Animal Welfare Approved by AGW (A Greener World) [\[EN\]](#)
- American Humane Certificated [\[EN\]](#)
- The Good Cashmere Standard [\[EN\]](#)
- Certified Humane [\[EN\]](#)
- Responsible Down Standard [\[EN\]](#)
- Regenerative Organic Certification Framework (Standard) (Regenerative Organic Alliance) [\[EN\]](#)
- Compassion in World Farming [\[CS\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[NL\]](#) [\[PL\]](#) [\[SV\]](#) [\[ZH\]](#)
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- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Regulation on Deforestation-free Products - will develop a classification of high and low risk countries, 2023 (European Commission) [\[BG\]](#) [\[CS\]](#) [\[EL\]](#) [\[EN\]](#) [\[ES\]](#) [\[ET\]](#) [\[DA\]](#) [\[DE\]](#) [\[FR\]](#) [\[GA\]](#) [\[HR\]](#) [\[HU\]](#) [\[IT\]](#) [\[LT\]](#) [\[LV\]](#) [\[MT\]](#) [\[NL\]](#) [\[PL\]](#) [\[PT\]](#) [\[RO\]](#) [\[SL\]](#) [\[SK\]](#)
- Responsible Minerals Initiative for minerals, gold, silver [\[Various languages\]](#), including AR, EN, ES FR, IT, PT, RU, ZH]

Examples of resources to conduct a Life Cycle Assessment

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- Overview of life cycle inventory databases by GHG Protocol [\[EN\]](#)
- PEF (Product Environmental Footprint) and OEF (Organisation Environmental Footprint): PEF and OEF are currently under development. With PEF and OEF, the European Commission aims to harmonize methodology for the calculation of the environmental footprint of products and organizations. The system has been under development for several years now, and will in the end provide a standardized impact assessment method, a database with background LCA data and calculation rules for different industrial sectors (PEFCRs). [\[BG\]](#) [\[CS\]](#) [\[DA\]](#) [\[DE\]](#) [\[EL\]](#) [\[EN\]](#) [\[ES\]](#) [\[ET\]](#) [\[FI\]](#) [\[FR\]](#) [\[GA\]](#) [\[HR\]](#) [\[HU\]](#) [\[IT\]](#) [\[LV\]](#) [\[LT\]](#) [\[MT\]](#) [\[NL\]](#) [\[PL\]](#) [\[PT\]](#) [\[RO\]](#) [\[SL\]](#) [\[SK\]](#) [\[SV\]](#)
- Recommendations for Life Cycle Impact Assessment in the European context - based on existing environmental impact assessment models and factors (International Reference Life Cycle Data System - ILCD handbook) (European Commission) [\[EN\]](#)
- ISO 14040:2006 & ISO 14044: Life Cycle Assessment Framework (note, this resource is not free of charge) [\[EN\]](#) [\[FR\]](#) [\[RU\]](#)

Examples of resources to identify hazardous substances and substances of concern

- EU REACH Candidate List [\[Various languages\]](#), including BG, CS, DA, DE, EL, EN, ES, ET, FI, FR, HR, HU, IT, LT, LV, MT, NL, PL, PT, RO, SK, SL, SV]
- ChemSec SIN List [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point:
 - GRI 3: Material Topics 2021 - Disclosure 3-3 Management of material topics (c, d, e, f)

- GRI 303: Water and Effluents 2018 - 303-1 Interactions with water as a shared resource (c, d)
- European Sustainability Reporting Standards E2 2023 - Disclosure Requirement E2-2 – Actions and resources related to pollution 16.
- European Sustainability Reporting Standards E3 2023 - ESRS E3 - Disclosure Requirement E3-2 – Actions and resources related to water and marine resources 15.
- European Sustainability Reporting Standards E4 2023 - Disclosure Requirement E4-3 – Actions and resources related to biodiversity and ecosystems 25, 28
- European Sustainability Reporting Standards E5 2023 - Disclosure Requirement E5-2 – Actions and resources related to resource use and circular economy 20 e, f
- DIRECTIVE OF THE EUROPEAN PARLIAMENT AND OF THE COUNCIL on Corporate Sustainability Due Diligence and amending Directive (EU) 2019/1937 (proposal) - Article 8
- DIRECTIVE OF THE EUROPEAN PARLIAMENT AND OF THE COUNCIL on Corporate Sustainability Due Diligence and amending Directive (EU) 2019/1937 (proposal) - Article 10
- The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - A. Governance - A02 Sustainability targets and plans - b
- The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Circularity - B12 Waste - c
- The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Biodiversity - B03 Ecosystem protection and restoration - a, c
- The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Biodiversity - B04 Halting biodiversity loss - c, d
- The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Freshwater - B08 Water use - c
- The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Freshwater - B09 Water pollution - c
- CDP 2024 Questionnaire - 9.15.2
- Fairtrade Trader Standard v2.2, 2024 (Fairtrade International) 3.4.1, 4.2.4



ESC4.3 The company makes progress on its biodiversity transition plan and evaluates its effectiveness.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Agriculture/Growers	All
Large	Manufacturing	Mining
Medium	Agriculture/Growers	All
Medium	Manufacturing	Mining
Small	None	None
Micro	None	None
Company without workers	None	None



ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC4.3	From Year 5	Medium / Large / X Large / XX Large	The company makes progress on its biodiversity transition plan and evaluates its effectiveness.

Compliance Criteria:

4.3.1 The company makes progress against its targets and indicators (measured at an interval of no more than 36 months), in line with its biodiversity transition plan defined under ESC2.2.

4.3.2 The plan's actions align to the mitigation hierarchy for biodiversity.

4.3.3 The company evaluates the effectiveness of its biodiversity transition plan.

4.3.4 The evaluation results are shared with the highest governing body or executive team.

4.3.5 Where the plan is ineffective, the company records:

- a) what lessons it has learned
- b) what it plans to do differently
- c) how it has updated the plan.

4.3.6 The company updates its biodiversity transition plan to add targets and indicators for its value chain.

Intent:

For the company to put its biodiversity transition plan into practice and ensure it works as intended. Biodiversity impact is an area of constant development, and companies can better understand the outcome of their interventions over time. The intent of the biodiversity transition plan is to evaluate, learn, and continuously improve.

Clarifying the Compliance Criteria:

[4.3.1; 4.3.2; 4.3.3; 4.3.4; 4.3.5; 4.3.6] This sub-requirement only applies if the company identifies biodiversity-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[4.3.1; 4.3.6] Because the company is only required to set targets for its value chain by Year 3, it is not expected to make progress against those targets or evaluate their effectiveness until after Year 3.

[4.3.1] The “biodiversity transition plan” refers to the output of ESC2.2, which sets baselines for improvement.

[4.3.1; 4.3.2; 4.3.3; 4.3.4; 4.3.5; 4.3.6] This sub-requirement only applies if the company identifies biodiversity-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[4.3.1; 4.3.2; 4.3.3; 4.3.4; 4.3.5; 4.3.6] This sub-requirement only applies if the company identifies biodiversity-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[4.3.3; 4.3.5] The company considers other sources of information — such as expert advice, or emerging guidance on a particular environmental area — to understand if its strategy still sets the right approach to manage its material environmental impacts.

[4.3.3] Evaluating the effectiveness of the company’s strategy goes beyond assessing its targets and indicators.

[4.3.1; 4.3.2; 4.3.3; 4.3.4; 4.3.5; 4.3.6] This sub-requirement only applies if the company identifies biodiversity-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[4.3.1; 4.3.2; 4.3.3; 4.3.4; 4.3.5; 4.3.6] This sub-requirement only applies if the company identifies biodiversity-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[4.3.3; 4.3.5] The company considers other sources of information — such as expert advice, or emerging guidance on a particular environmental area — to understand if its strategy still sets the right approach to manage its material environmental impacts.

[4.3.5c] The company updates its strategy as new information emerges (for example on its potential environmental impact).

[4.3.1; 4.3.2; 4.3.3; 4.3.4; 4.3.5; 4.3.6] This sub-requirement only applies if the company identifies biodiversity-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[4.3.1; 4.3.6] Because the company is only required to set targets for its value chain by Year 3, it is not expected to make progress against those targets or evaluate their effectiveness until after Year 3.

Applying the Criteria to Independently Certifying Subsidiaries:



- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.
- References to the highest governing body or executive team mean those within the company's scope of certification. This means that sharing the results with an out-of-scope parent body does not meet the sub-requirement, unless the company has also shared the results with the highest governing body or executive team within its scope of certification.

Interoperability:

- Conceptual Alignment Data Point:
 - GRI 3: Material Topics 2021 - Disclosure 3-3 Management of material topics (c, d, e, f)
 - European Sustainability Reporting Standards E2 2023 - Disclosure Requirement E2-2 – Actions and resources related to pollution 16.
 - European Sustainability Reporting Standards E4 2023 - Disclosure Requirement E4-3 – Actions and resources related to biodiversity and ecosystems 25, 28
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Biodiversity - B03 Ecosystem protection and restoration - a, c
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Biodiversity - B04 Halting biodiversity loss - c, d
 - CDP 2024 Questionnaire - 11.2
 - CDP 2024 Questionnaire - 11.3
 - Fairtrade Trader Standard v2.2, 2024 (Fairtrade International) 3.4.1, 4.2.4



ESC4.4 The company makes progress on its water stewardship strategy and evaluates its effectiveness.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	Agriculture/Growers	All
Medium	Manufacturing	Mining
Small	None	None
Micro	None	None



Company without workers	None	None
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ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC4.4	From Year 5	Medium / Large / X Large / XX Large	The company makes progress on its water stewardship strategy and evaluates its effectiveness.

Compliance Criteria:

4.4.1 The company makes progress against its targets and indicators (measured at an interval of no more than 36 months), in line with its water stewardship strategy defined under ESC2.3.

4.4.2 The company evaluates the effectiveness of its water stewardship strategy.

4.4.3 The evaluation results are shared with the highest governing body or executive team.

4.4.4 Where the strategy is ineffective, the company records:

- a) what lessons it has learned
- b) what it plans to do differently
- c) how it has updated the strategy.

4.4.5 The company updates its water stewardship strategy to add targets and indicators for its value chain.

Intent:

For the company to put its water stewardship strategy into practice and ensure it works as intended. Water stewardship is an area of constant development, and companies can better understand the outcome of their interventions over time. The intent of the strategy is to evaluate, learn, and continuously improve.

Clarifying the Compliance Criteria:

[4.4.1; 4.4.2; 4.4.3; 4.4.4; 4.4.5] This sub-requirement only applies if the company identifies water-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[4.4.1; 4.4.5] Because the company is only required to set targets for its value chain by Year 3, it is not expected to make progress against those targets or evaluate their effectiveness until after Year 3.

[4.4.1] The “water stewardship strategy” refers to the output of ESC2.3, which sets baselines for improvement.

[4.4.1] Companies are primarily accountable to the internal targets and indicators in their water stewardship strategy — they are not expected to single-handedly improve the state of a watershed that may have many other users.

[4.4.1; 4.4.2; 4.4.3; 4.4.4; 4.4.5] This sub-requirement only applies if the company identifies water-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[4.4.2] Evaluating the effectiveness of the company’s strategy goes beyond assessing its targets and indicators. The company considers other sources of information — such as expert advice, or emerging guidance on a particular environmental area — to understand if its strategy still sets the right approach to manage its material environmental impacts.

[4.4.1; 4.4.2; 4.4.3; 4.4.4; 4.4.5] This sub-requirement only applies if the company identifies water-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[4.4.1; 4.4.2; 4.4.3; 4.4.4; 4.4.5] This sub-requirement only applies if the company identifies water-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[4.4.4 c] The company updates its strategy as new information emerges (for example on its potential environmental impact).

[4.4.1; 4.4.2; 4.4.3; 4.4.4; 4.4.5] This sub-requirement only applies if the company identifies water-related impacts as material in its assessment of environmental impacts [link to ESC1.7].

[4.4.1; 4.4.5] Because the company is only required to set targets for its value chain by Year 3, it is not expected to make progress against those targets or evaluate their effectiveness until after Year 3.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms

- how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.
- References to the highest governing body or executive team mean those within the company's scope of certification. This means that sharing the results with an out-of-scope parent body does not meet the sub-requirement, unless the company has also shared the results with the highest governing body or executive team within its scope of certification.

Interoperability:

- Conceptual Alignment Data Point:
 - GRI 3: Material Topics 2021 - Disclosure 3-3 Management of material topics (c, d, e, f)
 - GRI 303: Water and Effluents 2018 - 303-1 Interactions with water as a shared resource (c, d)
 - European Sustainability Reporting Standards E3 2023 - Disclosure Requirement E3-2 – Actions and resources related to water and marine resources 15.
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Freshwater - B08 Water use - c
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Freshwater - B09 Water pollution - c
 - CDP 2024 Questionnaire - 9.15.2
 - Fairtrade Trader Standard v2.2, 2024 (Fairtrade International) 3.4.1, 4.2.4



ESC4.5 The company publicly shares the effectiveness of its environmental strategy.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	None	None
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC4.5	From Year 5	None	The company publicly shares the effectiveness of its environmental strategy.



Compliance Criteria:

4.5.1 The company makes a report on its environmental strategies, including its biodiversity and water stewardship strategies, publicly available on its webpage.

4.5.2 The company made or updated its report in the last 36 months.

4.5.3 The company's report includes:

- a) progress on targets and indicators
- b) how it evaluated the effectiveness of its strategies.

4.5.4 Where the strategies are ineffective, the company's report sets out:

- a) what lessons it has learned
- b) what it plans to do differently
- c) how it has updated its strategies.

Intent:

To increase public accountability and make it easier for companies to learn from one another.

Clarifying the Compliance Criteria:

[4.5.1] Where applicable, this sub-requirement refers to the company's progress against its:

- overall environmental strategy, under ESC4.2
- biodiversity transition plan, under ESC4.3
- water stewardship strategy, under ESC4.4.

[4.5.1] The company may publish the information in an annual report or a standalone sustainability and impact report [Link to PSG6.2, HR2.5].

[4.5.3 b] The company reports its evaluation of the strategies' effectiveness every 36 months at minimum (aligned with when the evaluation happens).

Applying the Criteria to Independently Certifying Subsidiaries:

- The reporting scope covers the company. If the company references a corporate group report that includes out-of-scope entities, either:
 - the performance of the company is clearly identifiable within the group report
 - the company publicly shares its own report on its webpage.



ESC5 The company works with suppliers to achieve its environmental objectives.

ESC5.1 The company considers actual and potential environmental impacts in its procurement decisions.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	Service with Significant Environmental Footprint	All
Medium	Service with Minor Environmental Footprint	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC5.1	From Year 0	None	The company considers actual and potential environmental impacts in its procurement decisions.



Compliance Criteria:

5.1.1 The company has considered the actual and potential environmental impacts for the three most material procurement decisions:

- a) in the fiscal year or twelve months before Year 0
- b) in each subsequent year.

Intent:

To ensure the company makes better procurement decisions in relation to environmental impacts.

Clarifying the Compliance Criteria:

[5.1.1] Actions the company takes to meet sub-requirements HR4.2 and HR4.3 — to consider actual and potential human rights impacts in procurement decisions — may count towards this sub-requirement. This means the company can use one combined process to consider both social and environmental impacts. However, to meet this sub-requirement, one of the five most material procurement decisions, at minimum shows how the company has considered environmental impacts.

[5.1.1] This sub-requirement applies to suppliers at all tiers.

[5.1.1] This sub-requirement covers all types of procurement, including of:

- raw materials
- finished and semi-finished goods
- services.

[5.1.1] The company determines its “most material” procurement decisions using any of the following categories.

- Spend
- Volume
- Importance of a potential negative environmental impact

[5.1.1] The potential negative impact may be related to animal welfare, as well.

[5.1.1] To assess the importance (or materiality) of a potential negative environmental impact, the company considers its likelihood and severity. Severity should outweigh likelihood, so that highly severe impacts — even if they are unlikely — are still prioritized.

- Severity refers to one or more of the following.
 - Scale — how serious would the impact be? A bigger scale is more severe.
 - Scope — how widespread is the impact? A bigger scope is more severe.
 - Ease of remediation — how easy would it be to remediate the potential negative impact? A higher difficulty of remediation is more severe. An impact has a low ease of remediation when it is very difficult to restore the environment to its prior state. Note, this does not mean less severe environmental impacts should not be remedied.
- Likelihood considers how likely the impact is, and how frequently it might occur.



Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Procurement decisions applying to many companies in the service sector include, for example:
 - coffee, tea, and other beverages
 - pens, paper, and other stationary
 - computers and other equipment
 - chairs, desks, and other furniture
 - corporate gifts
 - cleaning services
 - catering services.
- Severity can be assessed using the following categories, as an example.
 - High — the impact and its resulting effects are expected to cause major, irreparable, and long-lasting damage to the environment.
 - Medium — the impact is expected to cause significant and lasting damage to the environment.
 - Low — the impact is expected to cause minor, reparable, and temporary damage to the environment.
- Likelihood can be assessed using the following categories, as an example.
 - High — the impact and its resulting effects on the environment are expected to occur continuously.



- Medium — the impact and its resulting effects on the environment are expected to occur regularly (i.e. from several times per year to several times per month).
- Low — the impact and its resulting effects on the environment are expected to occur only occasionally (i.e. only during a specific phase of a project).
- The scale of a negative impact depends on the context in which it happens. For example, if the company withdraws water from an area at water risk, it has a larger-scale impact than if it withdraws from an area with abundant water resources.
- To consider the potential negative environmental impacts of procurement decisions, the company may, for example:
 - procure locally
 - procure second-hand
 - opt for renewable materials from sustainable sources, or reused or recycled materials for products and packaging (and avoid virgin non-renewable materials and single-use products and packaging)
 - research risks linked to certain companies, products, source countries, and raw materials (e.g. through sustainability benchmarks like the World Benchmarking Alliance’s Climate and Energy Benchmark [\[EN\]](#), and in the Implementation Resources)
 - procure from companies with impactful alternative business models (e.g. with environmental steward-ownership)
 - procure from companies with sustainability and environmental certifications (e.g. Fairtrade [\[EN\]](#), B Corp, energy efficiency labels, animal welfare certifications)
 - for any formal supplier relationships:
 - talk to suppliers to understand how they consider environmental impacts
 - establish a responsible procurement policy with an emphasis on environmental impact
 - incentivize existing suppliers to improve their sustainability performance
 - prioritize environmental credentials in supplier selection (e.g. prefer suppliers that are aligned with the company’s environmental strategy, or that have strong environmental policies and targets).

Recommendations:

- Create a sustainable procurement guideline with environmental criteria. Use the B Lab Standard as a starting point for deciding what to include (e.g. Environmental Stewardship & Circularity and Climate Action).
- Use multiple categories to determine the “most material” procurement decisions, including the importance of potential negative impacts.
- If the company sells a physical product that it either produces or has produced on its behalf, it considers how the raw materials it procures support the incorporation of circularity principles in product development by reducing its use of virgin non-renewable materials.

Implementation Resources:

Example of resources on supply chain traceability

- Traceability Roadmap (Trustrace) [\[EN\]](#)
- The Traceability Playbook for Fashion Supply Chains, 2023 (trustrace) [\[EN\]](#)
- A Step-by-Step Guide for Successful Implementation of Traceability Systems in Agricultural Supply Chains: Entry-Level Introduction to Traceability Systems, 2022 (GIZ) [\[EN\]](#)

Examples of resources to assess biodiversity impacts

- Biodiversity risk filter (World Wildlife Fund) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Integrated Biodiversity Assessment Tool (IBAT Alliance) [\[EN\]](#)
- Global Forest Watch [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#) [\[ZH\]](#)
- Living Planet Report, 2024 [\[EN\]](#) [\[ES\]](#) [\[HR\]](#) [\[SR\]](#) [\[PT\]](#)
- ENCORE - allows exploration of future scenarios in terms of the potential impacts and dependencies of activities on biodiversity (available for some sectors, e.g., agriculture and mining) [\[EN\]](#) [\[ES\]](#)
- Science Based Targets Network - Various resources (Science Based Targets Network) [\[EN\]](#)
- High Conservation Value Network Approach [\[EN\]](#)
- High Carbon Stock Approach [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#)

- Biodiversity performance indicator, 2021 (CSO & Manomet) [\[EN\]](#)
- Key Biodiversity Areas [\[EN\]](#)

Examples of resources to obtain information on potential water impact based on geographic location

- Water risk filter (World Wildlife Fund) [\[EN\]](#)
- Aquaduct Water Risk Atlas (World Resources Institute) [\[EN\]](#)
- Ocean+ [\[EN\]](#)

Examples of resources to assess animal welfare practices

- Terrestrial and Aquatic Animal Health Codes (World Organisation for Animal Health) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Responsible Wool Standard [\[EN\]](#)
- Krav [\[EN\]](#) [\[SV\]](#)
- Best Aquaculture Practices [\[EN\]](#) [\[ES\]](#)
- Global Animal Partnership [\[EN\]](#)
- RSCPA Approved Farming Scheme [\[EN\]](#)
- Animal Welfare Approved by AGW (A Greener World) [\[EN\]](#)
- American Humane Certificated [\[EN\]](#)
- The Good Cashmere Standard [\[EN\]](#)
- Certified Humane [\[EN\]](#)
- Responsible Down Standard [\[EN\]](#)
- Regenerative Organic Certification Framework (Standard) (Regenerative Organic Alliance) [\[EN\]](#)
- Compassion in World Farming [\[CS\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[NL\]](#) [\[PL\]](#) [\[SV\]](#) [\[ZH\]](#)
- Accreditation by the Association of Zoos and Aquariums [\[EN\]](#)

Examples of resources on environmental risks for specific raw materials (high-risk materials)



- High impact commodity list (Science Based Targets Network) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Regulation on Deforestation-free Products - will develop a classification of high and low risk countries, 2023 (European Commission) [\[BG\]](#) [\[CS\]](#) [\[EL\]](#) [\[EN\]](#) [\[ES\]](#) [\[ET\]](#) [\[DA\]](#) [\[DE\]](#) [\[FR\]](#) [\[GA\]](#) [\[HR\]](#) [\[HU\]](#) [\[IT\]](#) [\[LT\]](#) [\[LV\]](#) [\[MT\]](#) [\[NL\]](#) [\[PL\]](#) [\[PT\]](#) [\[RO\]](#) [\[SL\]](#) [\[SK\]](#)
- Responsible Minerals Initiative for minerals, gold, silver [\[Various languages\]](#), including AR, EN, ES, FR, IT, PT, RU, ZH]

Interoperability:

- Conceptual Alignment Data Point:
 - GRI 308: Supplier Environmental Assessment 2016 - 1. Topic management disclosures 1.1
 - GRI 204: Procurement Practices 2016 - 1. Topic management disclosures 1.1
 - GRI 308: Supplier Environmental Assessment 2016 - Disclosure 308-1 New suppliers that were screened using environmental criteria (a)
 - GRI 308: Supplier Environmental Assessment 2016 - Disclosure 308-2 Negative environmental impacts in the supply chain and actions taken (a)
 - European Sustainability Reporting Standards G1 2023 - Disclosure Requirement G1-2 – Management of relationships with suppliers 15.
 - CDP 2024 Questionnaire - 5.11.2



ESC5.2 The company considers actual and potential environmental impacts in its procurement decisions.

Track factors:

Size	Sector	Industry
XX Large	Service with Minor Environmental Footprint	All
X Large	Service with Minor Environmental Footprint	All
Large	Service with Minor Environmental Footprint	All
Medium	Wholesale/Retail	All
Medium	Manufacturing	All
Medium	Agriculture/Growers	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC5.2	From Year 0	None	The company considers actual and potential environmental impacts in its procurement decisions.



Compliance Criteria:

5.2.1 The company has considered the actual and potential environmental impacts for the five most material procurement decisions:

- a) in the last fiscal year or last twelve months before Year 0
- b) in each subsequent year.

Intent:

To ensure the company makes better procurement decisions in relation to environmental impacts.

Clarifying the Compliance Criteria:

[5.2.1] Actions the company takes to meet sub-requirements HR4.2 and HR4.3 — to consider actual and potential human rights impacts in procurement decisions — may count towards this sub-requirement. This means the company can use one combined process to consider both social and environmental impacts. However, to meet this sub-requirement, one of the five examples at minimum shows how the company has considered environmental impacts.

[5.2.1] This sub-requirement applies to suppliers at all tiers.

[5.2.1] This sub-requirement covers all types of procurement, including of:

- raw materials
- finished and semi-finished goods
- services.

[5.2.1] The company determines its “most material” procurement decisions using any of the following categories.

- Spend
- Volume
- Importance of a potential negative environmental impact

[5.2.1] The potential negative impact may be related to animal welfare, as well.

[5.2.1] To assess the importance (or materiality) of a potential negative environmental impact, the company considers its likelihood and severity. Severity should outweigh likelihood, so that highly severe impacts — even if they are unlikely — are still prioritized.

- Severity refers to one or more of the following.
 - Scale — how serious would the impact be? A bigger scale is more severe.
 - Scope — how widespread is the impact? A bigger scope is more severe.
 - Ease of remediation — how easy would it be to remediate the potential negative impact? A higher difficulty of remediation is more severe. An impact has a low ease of remediation when it is very difficult to restore the environment to its prior state. Note, this does not mean less severe environmental impacts should not be remediated.
- Likelihood considers how likely the impact is, and how frequently it might occur.



Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Severity can be assessed using the following categories, as an example.
 - High — the impact and its resulting effects are expected to cause major, irreparable, and long-lasting damage to the environment.
 - Medium — the impact is expected to cause significant and lasting damage to the environment.
 - Low — the impact is expected to cause minor, reparable, and temporary damage to the environment.
- Likelihood can be assessed using the following categories, as an example.
 - High — the impact and its resulting effects on the environment are expected to occur continuously.
 - Medium — the impact and its resulting effects on the environment are expected to occur regularly (i.e. from several times per year to several times per month).
 - Low — the impact and its resulting effects on the environment are expected to occur only occasionally (i.e. only during a specific phase of a project).
- The scale of a negative impact depends on the context in which it happens. For example, if the company withdraws water from an area at water risk, it has a larger-scale impact than if it withdraws from an area with abundant water resources.
- To consider the potential negative environmental impacts of procurement decisions, the company may, for example:
 - procure locally
 - procure second-hand
 - opt for renewable materials from sustainable sources, or reused or recycled materials for products and packaging (and avoid virgin non-renewable materials and single-use products and packaging)

- research risks linked to certain companies, products, source countries, and raw materials (e.g. through sustainability benchmarks like the World Benchmarking Alliance's Climate and Energy Benchmark [\[EN\]](#), and in the Implementation Resources)
- procure from companies with impactful alternative business models (e.g. with environmental steward-ownership)
- procure from companies with sustainability and environmental certifications (e.g. Fairtrade [\[EN\]](#), B Corp, energy efficiency labels, animal welfare certifications)
- for any formal supplier relationships:
 - talk to suppliers to understand how they consider environmental impacts
 - establish a responsible procurement policy with an emphasis on environmental impact
 - incentivize existing suppliers to improve their sustainability performance
 - prioritize environmental credentials in supplier selection (e.g. prefer suppliers that are aligned with the company's environmental strategy, or that have strong environmental policies and targets).

Recommendations:

- Create a sustainable procurement guideline with environmental criteria. Use the B Lab Standard as a starting point for deciding what to include (e.g. Environmental Stewardship & Circularity and Climate Action).
- If the company sells a physical product that it either produces or has produced on its behalf, it considers how the raw materials it procures support the incorporation of circularity principles in product development by reducing its use of virgin non-renewable materials.

Implementation Resources:

Example of resources on supply chain traceability

- Traceability Roadmap (Trustrace) [\[EN\]](#)
- The Traceability Playbook for Fashion Supply Chains, 2023 (trustrace) [\[EN\]](#)
- A Step-by-Step Guide for Successful Implementation of Traceability Systems in Agricultural Supply Chains: Entry-Level Introduction to Traceability Systems, 2022 (GIZ) [\[EN\]](#)

Examples of resources to assess biodiversity impacts

- Biodiversity risk filter (World Wildlife Fund) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Integrated Biodiversity Assessment Tool (IBAT Alliance) [\[EN\]](#)
- Global Forest Watch [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#) [\[ZH\]](#)
- Living Planet Report, 2024 [\[EN\]](#) [\[ES\]](#) [\[HR\]](#) [\[SR\]](#) [\[PT\]](#)
- ENCORE - allows exploration of future scenarios in terms of the potential impacts and dependencies of activities on biodiversity (available for some sectors, e.g., agriculture and mining) [\[EN\]](#) [\[ES\]](#)
- Science Based Targets Network - Various resources (Science Based Targets Network) [\[EN\]](#)
- High Conservation Value Network Approach [\[EN\]](#)
- High Carbon Stock Approach [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#)
- Biodiversity performance indicator, 2021 (CSO & Manomet) [\[EN\]](#)
- Key Biodiversity Areas [\[EN\]](#)

Examples of resources to obtain information on potential water impact based on geographic location

- Water risk filter (World Wildlife Fund) [\[EN\]](#)
- Aquaduct Water Risk Atlas (World Resources Institute) [\[EN\]](#)
- Ocean+ [\[EN\]](#)

Examples of resources to assess animal welfare practices

- Terrestrial and Aquatic Animal Health Codes (World Organisation for Animal Health) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Responsible Wool Standard [\[EN\]](#)
- Krav [\[EN\]](#) [\[SV\]](#)
- Best Aquaculture Practices [\[EN\]](#) [\[ES\]](#)

- Global Animal Partnership [\[EN\]](#)
- RSCPA Approved Farming Scheme [\[EN\]](#)
- Animal Welfare Approved by AGW (A Greener World) [\[EN\]](#)
- American Humane Certificated [\[EN\]](#)
- The Good Cashmere Standard [\[EN\]](#)
- Certified Humane [\[EN\]](#)
- Responsible Down Standard [\[EN\]](#)
- Regenerative Organic Certification Framework (Standard) (Regenerative Organic Alliance) [\[EN\]](#)
- Compassion in World Farming [\[CS\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[NL\]](#) [\[PL\]](#) [\[SV\]](#) [\[ZH\]](#)
- Accreditation by the Association of Zoos and Aquariums [\[EN\]](#)

Examples of resources on environmental risks for specific raw materials (high-risk materials)

- High impact commodity list (Science Based Targets Network) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Regulation on Deforestation-free Products - will develop a classification of high and low risk countries, 2023 (European Commission) [\[BG\]](#) [\[CS\]](#) [\[EL\]](#) [\[EN\]](#) [\[ES\]](#) [\[ET\]](#) [\[DA\]](#) [\[DE\]](#) [\[FR\]](#) [\[GA\]](#) [\[HR\]](#) [\[HU\]](#) [\[IT\]](#) [\[LT\]](#) [\[LV\]](#) [\[MT\]](#) [\[NL\]](#) [\[PL\]](#) [\[PT\]](#) [\[RO\]](#) [\[SL\]](#) [\[SK\]](#)
- Responsible Minerals Initiative for minerals, gold, silver [\[Various languages\]](#), including AR, EN, ES FR, IT, PT, RU, ZH]

Interoperability:

- Conceptual Alignment Data Point:
 - GRI 308: Supplier Environmental Assessment 2016 - 1. Topic management disclosures 1.1
 - GRI 204: Procurement Practices 2016 - 1. Topic management disclosures 1.1
 - GRI 308: Supplier Environmental Assessment 2016 - Disclosure 308-1 New suppliers that were screened using environmental criteria (a)



- GRI 308: Supplier Environmental Assessment 2016 - Disclosure 308-2 Negative environmental impacts in the supply chain and actions taken (a)
- European Sustainability Reporting Standards G1 2023 - Disclosure Requirement G1-2 – Management of relationships with suppliers 15.
- CDP 2024 Questionnaire - 5.11.5



ESC5.3 The company works with suppliers to prevent or mitigate their most material environmental impacts.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Service with Significant Environmental Footprint	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Service with Significant Environmental Footprint	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	Wholesale/Retail	All
Large	Service with Significant Environmental Footprint	All
Large	Manufacturing	All
Large	Agriculture/Growers	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None



ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC5.3	From Year 0	Large / X Large / XX Large	The company works with suppliers to prevent or mitigate their most material environmental impacts.



Compliance Criteria:

5.3.1 The company:

- a) identifies prioritized suppliers related to its most material environmental impacts (ESC1.7)
- b) records the criteria it used to prioritize suppliers.

5.3.2 The company works with its prioritized suppliers to prevent or mitigate their most material environmental impacts by

- a) agreeing on targets with each prioritized supplier
- b) monitoring progress at least annually

5.3.3 For Years 3 and 5, the company records specific prevention and mitigation actions and their outcomes.

Intent:

To ensure the company's awareness of potential negative impacts in the supply chain leads to prevention and mitigation actions.

Clarifying the Compliance Criteria:

[5.3.1] This sub-requirement applies to suppliers at all tiers.

[5.3.1] The company's actions are linked to the material impact. Material environmental impacts are determined under ESC1.7. For example, if a supplier operates in an area at water risk, the company works with the supplier to reduce the amount of water it uses.

[5.3.1] The most material environmental impact may include animal welfare, as well.

[5.3.2] If the supplier is unwilling or unable to take meaningful prevention or mitigation action, the company considers:

- engaging in advocacy or other collective action to address systemic issues and enable the prevention or mitigation action [link to GACA2].
- choosing to responsibly exit its relationship with the supplier as a last resort.

[5.3.2] Simply integrating environmental criteria into a supplier code of conduct is not a sufficient example of action under this sub-requirement.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Actions by the supplier to mitigate its actual and potential negative impacts may include, for example:
 - conducting an assessment of actual and potential environmental impacts
 - obtaining an environmental certification
 - demonstrating that its environmental strategy aligns with the company's own environmental strategy
 - demonstrating progress against its environmental strategy
 - setting joint priorities and actions with the company with targets to mitigate negative environmental impacts, and measuring progress.



- If the supplier is unwilling or unable to take meaningful prevention or mitigation action, the company considers:
 - engaging in advocacy or other collective action to address systemic issues and enable the prevention or mitigation action [link to GACA2].
 - choosing to responsibly exit its relationship with the supplier as a last resort.
- To mitigate the supplier's negative environmental impacts, the company may, for example:
 - mentor suppliers on reducing the materials (or inputs) that go into their products
 - upskill suppliers on greenhouse gas measurement and reduction
 - balance contractual terms to cover both buyer and supplier commitments
 - support suppliers through joint projects, such as:
 - providing training on land use and sustainable agriculture practices for their workers or management
 - connecting suppliers to industry guides and tools
 - providing expert implementation support for accessing renewable energy
 - implementing a zero-waste to landfill policy
 - fund or co-fund costs typically assigned to suppliers, such as assessments of actual and potential environmental impact and implementing operational improvements
 - work with suppliers to substitute or eliminate substances of concern from its products and processes.
- Criteria for prioritizing suppliers may include, for example:
 - supplier risk level
 - impact severity and likelihood
 - geographic location.

Implementation Resources:

Example of resources on supply chain traceability

- Traceability Roadmap (Trustrace) [\[EN\]](#)
- The Traceability Playbook for Fashion Supply Chains, 2023 (trustrace) [\[EN\]](#)
- A Step-by-Step Guide for Successful Implementation of Traceability Systems in Agricultural Supply Chains: Entry-Level Introduction to Traceability Systems, 2022 (GIZ) [\[EN\]](#)

Examples of resources to assess biodiversity impacts

- Biodiversity risk filter (World Wildlife Fund) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Integrated Biodiversity Assessment Tool (IBAT Alliance) [\[EN\]](#)
- Global Forest Watch [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#) [\[ZH\]](#)
- Living Planet Report, 2024 [\[EN\]](#) [\[ES\]](#) [\[HR\]](#) [\[SR\]](#) [\[PT\]](#)
- ENCORE - allows exploration of future scenarios in terms of the potential impacts and dependencies of activities on biodiversity (available for some sectors, e.g., agriculture and mining) [\[EN\]](#) [\[ES\]](#)
- Science Based Targets Network - Various resources (Science Based Targets Network) [\[EN\]](#)
- High Conservation Value Network Approach [\[EN\]](#)
- High Carbon Stock Approach [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#)
- Biodiversity performance indicator, 2021 (CSO & Manomet) [\[EN\]](#)
- Key Biodiversity Areas [\[EN\]](#)

Examples of resources to obtain information on potential water impact based on geographic location

- Water risk filter (World Wildlife Fund) [\[EN\]](#)
- Aquaduct Water Risk Atlas (World Resources Institute) [\[EN\]](#)
- Ocean+ [\[EN\]](#)

Examples of resources to assess animal welfare practices

- Terrestrial and Aquatic Animal Health Codes (World Organisation for Animal Health) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Responsible Wool Standard [\[EN\]](#)
- Krav [\[EN\]](#) [\[SV\]](#)
- Best Aquaculture Practices [\[EN\]](#) [\[ES\]](#)
- Global Animal Partnership [\[EN\]](#)
- RSCPA Approved Farming Scheme [\[EN\]](#)
- Animal Welfare Approved by AGW (A Greener World) [\[EN\]](#)
- American Humane Certificated [\[EN\]](#)
- The Good Cashmere Standard [\[EN\]](#)
- Certified Humane [\[EN\]](#)
- Responsible Down Standard [\[EN\]](#)
- Regenerative Organic Certification Framework (Standard) (Regenerative Organic Alliance) [\[EN\]](#)
- Compassion in World Farming [\[CS\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[NL\]](#) [\[PL\]](#) [\[SV\]](#) [\[ZH\]](#)
- Accreditation by the Association of Zoos and Aquariums [\[EN\]](#)

Examples of resources on environmental risks for specific raw materials (high-risk materials)

- High impact commodity list (Science Based Targets Network) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Regulation on Deforestation-free Products - will develop a classification of high and low risk countries, 2023 (European Commission) [\[BG\]](#) [\[CS\]](#) [\[EL\]](#) [\[EN\]](#) [\[ES\]](#) [\[ET\]](#) [\[DA\]](#) [\[DE\]](#) [\[FR\]](#) [\[GA\]](#) [\[HR\]](#) [\[HU\]](#) [\[IT\]](#) [\[LT\]](#) [\[LV\]](#) [\[MT\]](#) [\[NL\]](#) [\[PL\]](#) [\[PT\]](#) [\[RO\]](#) [\[SL\]](#) [\[SK\]](#)
- Responsible Minerals Initiative for minerals, gold, silver [\[Various languages\]](#), including AR, EN, ES FR, IT, PT, RU, ZH]

Interoperability:



- Conceptual Alignment Data Point:
 - GRI 308: Supplier Environmental Assessment 2016 - 1. Topic management disclosures 1.1
 - GRI 204: Procurement Practices 2016 - 1. Topic management disclosures 1.1
 - GRI 308: Supplier Environmental Assessment 2016 - Disclosure 308-2 Negative environmental impacts in the supply chain and actions taken (d, e)
 - European Sustainability Reporting Standards G1 2023 - Disclosure Requirement G1-2 – Management of relationships with suppliers 15.
 - CDP 2024 Questionnaire - 5.11
 - CDP 2024 Questionnaire - 5.11.1
 - CDP 2024 Questionnaire - 5.11.2
 - CDP 2024 Questionnaire - 5.11.7



ESC5.4 The company has a time-bound plan to trace the origin and potential environmental impacts of its high-risk raw materials.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC5.4	From Year 3	X Large / XX Large	The company has a time-bound plan to trace the origin and potential environmental impacts of its high-risk raw materials.



Compliance Criteria:

5.4.1 The company either:

- a) knows the origin and potential environmental impacts of its high-risk raw materials (as determined under ESC1.7)
- b) has a time-bound plan to trace and fully map its supply chain across all supplier tiers and for all high-risk raw materials.

5.4.2 The company documents the proportion of high-risk raw materials that it can trace to their origin.

Intent:

For the company to fully map its supply chain and mitigate the actual and potential negative environmental impacts of its high-risk raw materials.

Clarifying the Compliance Criteria:

[5.4.1] If the company knows the origin of its high-risk raw materials and has mitigated their environmental impacts, it continues to improve its ability to trace raw-materials and mitigate impacts in its supply chain.

[5.4.1; 5.4.2] A “high-risk raw material” is any relevant input material that is known or suspected to cause severe negative environmental impacts (as identified under ESC1.7).

[5.4.1 a] The “origin” means the location where the commodity or raw material was produced or harvested, including if it was in a high-risk country or region. A “high-risk country or region” is a country or a region within a country with a high rate of deforestation and at higher risk of deforestation.

[5.4.1; 5.4.2] A “high-risk raw material” is any relevant input material that is known or suspected to cause severe negative environmental impacts (as identified under ESC1.7).

[5.4.2] The company calculates the proportion of its high-risk raw materials that it can trace to their known origin using the following formula.

- Volume of high-risk raw materials with known origins / total volume of high-risk raw materials sourced.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations.

Further Guidance:

- Severe negative environmental impacts may include, for example:
 - excessive water use
 - toxic pollution
 - deforestation (e.g. from harvesting palm oil)
 - other ecosystem conversion.

Recommendations:

- Focus on origin countries to start with. Then, over time, move toward:
 - tracing raw materials with higher levels of detail (i.e. by region, supply shed, mill, cooperative, or farm)
 - understanding the practices of the supply chain actors.

Implementation Resources:

Example of resources on supply chain traceability

- Traceability Roadmap (Trustrace) [\[EN\]](#)
- The Traceability Playbook for Fashion Supply Chains, 2023 (trustrace) [\[EN\]](#)
- A Step-by-Step Guide for Successful Implementation of Traceability Systems in Agricultural Supply Chains: Entry-Level Introduction to Traceability Systems, 2022 (GIZ) [\[EN\]](#)

Examples of resources to assess biodiversity impacts

- Biodiversity risk filter (World Wildlife Fund) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Integrated Biodiversity Assessment Tool (IBAT Alliance) [\[EN\]](#)
- Global Forest Watch [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#) [\[ZH\]](#)
- Living Planet Report, 2024 [\[EN\]](#) [\[ES\]](#) [\[HR\]](#) [\[SR\]](#) [\[PT\]](#)
- ENCORE - allows exploration of future scenarios in terms of the potential impacts and dependencies of activities on biodiversity (available for some sectors, e.g., agriculture and mining) [\[EN\]](#) [\[ES\]](#)
- Science Based Targets Network - Various resources (Science Based Targets Network) [\[EN\]](#)
- High Conservation Value Network Approach [\[EN\]](#)
- High Carbon Stock Approach [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#)

- Biodiversity performance indicator, 2021 (CSO & Manomet) [\[EN\]](#)
- Key Biodiversity Areas [\[EN\]](#)

Examples of resources to obtain information on potential water impact based on geographic location

- Water risk filter (World Wildlife Fund) [\[EN\]](#)
- Aquaduct Water Risk Atlas (World Resources Institute) [\[EN\]](#)
- Ocean+ [\[EN\]](#)

Examples of resources to assess animal welfare practices

- Terrestrial and Aquatic Animal Health Codes (World Organisation for Animal Health) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- Responsible Wool Standard [\[EN\]](#)
- Krav [\[EN\]](#) [\[SV\]](#)
- Best Aquaculture Practices [\[EN\]](#) [\[ES\]](#)
- Global Animal Partnership [\[EN\]](#)
- RSCPA Approved Farming Scheme [\[EN\]](#)
- Animal Welfare Approved by AGW (A Greener World) [\[EN\]](#)
- American Humane Certificated [\[EN\]](#)
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- Responsible Down Standard [\[EN\]](#)
- Regenerative Organic Certification Framework (Standard) (Regenerative Organic Alliance) [\[EN\]](#)
- Compassion in World Farming [\[CS\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[NL\]](#) [\[PL\]](#) [\[SV\]](#) [\[ZH\]](#)
- Accreditation by the Association of Zoos and Aquariums [\[EN\]](#)

Examples of resources on environmental risks for specific raw materials (high-risk materials)



- High impact commodity list (Science Based Targets Network) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Regulation on Deforestation-free Products - will develop a classification of high and low risk countries, 2023 (European Commission) [\[BG\]](#) [\[CS\]](#) [\[EL\]](#) [\[EN\]](#) [\[ES\]](#) [\[ET\]](#) [\[DA\]](#) [\[DE\]](#) [\[FR\]](#) [\[GA\]](#) [\[HR\]](#) [\[HU\]](#) [\[IT\]](#) [\[LT\]](#) [\[LV\]](#) [\[MT\]](#) [\[NL\]](#) [\[PL\]](#) [\[PT\]](#) [\[RO\]](#) [\[SL\]](#) [\[SK\]](#)
- Responsible Minerals Initiative for minerals, gold, silver [\[Various languages\]](#), including AR, EN, ES FR, IT, PT, RU, ZH]

Interoperability:

- Conceptual Alignment Data Point:
 - GRI 308: Supplier Environmental Assessment 2016 - 1. Topic management disclosures 1.1
 - GRI 204: Procurement Practices 2016 - 1. Topic management disclosures 1.1
 - European Sustainability Reporting Standards G1 2023 - Disclosure Requirement G1-2 – Management of relationships with suppliers 15.
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Biodiversity - B03 Ecosystem protection and restoration - d



ESC5.5 The company sources deforestation-free raw materials.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC5.5	From Year 3	X Large / XX Large	The company sources deforestation-free raw materials.



Compliance Criteria:

5.5.1 If the company sources raw materials from a high-risk country, it has evidence that they:

- a) are deforestation-free
- b) were produced in accordance with the relevant legislation of the country of production.

5.5.2 The company evaluates the following priority raw materials potentially linked to deforestation at minimum.

- a) Cattle
- b) Cocoa
- c) Coffee
- d) Oil palm
- e) Rubber
- f) Soya
- g) Wood

Intent:

For the company to confirm that its supply chain for high-risk raw materials is deforestation-free.

Clarifying the Compliance Criteria:

[5.5.1] A “high-risk country” is a country with a high rate of deforestation and at higher risk of deforestation. “High-risk” may also relate to a particular region within a country.

[5.5.1 a] Evidence that raw materials are deforestation-free may include any of the following.

- Geolocation of where raw materials were produced with verifiable information confirming they are deforestation-free
- Sustainability certifications that include provisions to ensure producers meet local legislation, and cover deforestation-free production and sourcing of raw materials. The traceability type must offer geolocation data (i.e. Mass Balance is not accepted). Acceptable certifications may include, for example:
 - RSPO (palm oil)
 - UTZ/Rainforest Alliance (cocoa, coffee)
 - Fairtrade International (cocoa, coffee)
 - ProTerra Standard (soy)
 - FSC certification (timber and other wood products and derivatives)
- Approved lists of low-risk countries for deforestation

[5.5.2] The company may expand its evaluation beyond the priority raw materials in the Compliance Criteria to include other high-risk raw materials, depending on its context.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Implementation Resources:

Examples of resources on deforestation risk in specific countries

- Global Forest Watch [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#) [\[ZH\]](#)
- Regulation on Deforestation-free Products - will develop a classification of high and low risk countries, 2023 (European Commission) [\[BG\]](#) [\[CS\]](#) [\[EL\]](#) [\[EN\]](#) [\[ES\]](#) [\[ET\]](#) [\[DA\]](#) [\[DE\]](#) [\[FR\]](#) [\[GA\]](#)
- Deforestation Fronts: Drivers and responses in a changing world, 2020 (World Wildlife Fund) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)
- CDP Forests 2023 Question-level Guidance (“forest risk country”) [\[EN\]](#)
- Imported Deforestation, 2022 (World Wildlife Fund) [\[EN\]](#)
- The impact of Dutch imports on nature loss, 2022 (World Wildlife Fund) [\[EN\]](#)
- Risky Business, 2017 (World Wildlife Fund) [\[EN\]](#)

Examples of resources to obtain information on commodities (and their derivatives) linked to deforestation

- High impact commodity list (Science Based Targets Network) [\[EN\]](#)
- Regulation on Deforestation-free Products - will develop a classification of high and low risk countries - Annex I, 2023 (European Commission) [\[BG\]](#) [\[CS\]](#) [\[EL\]](#) [\[EN\]](#) [\[ES\]](#) [\[ET\]](#) [\[DA\]](#) [\[DE\]](#) [\[FR\]](#) [\[GA\]](#) [\[HR\]](#) [\[HU\]](#) [\[IT\]](#) [\[LT\]](#) [\[LV\]](#) [\[MT\]](#) [\[NL\]](#) [\[PL\]](#) [\[PT\]](#) [\[RO\]](#) [\[SL\]](#) [\[SK\]](#)

Interoperability:

- Conceptual Alignment Data Point:
 - CDP 2024 Questionnaire - 8.5
 - CDP 2024 Questionnaire - 8.8
 - CDP 2024 Questionnaire - 8.9
- Equivalency Data Point:
 - Certifications for deforestation/ecosystem conversion-free commodities (not exclusive):
 - RSPO Identity Preserved’ and ‘Segregated’ (palm oil) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[JA\]](#) [\[PT\]](#) [Traditional [ZH](#)][Simplified [ZH](#)]
 - Rainforest Alliance (cocoa, coffee) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[JA\]](#) [\[PT\]](#)

- Fairtrade International (cocoa, coffee) [\[EN\]](#)
- ProTerra Standard (soy) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[PT\]](#)
- FSC Forest Management certification (timber) [\[EN\]](#) [\[ES\]](#)
- HCV assessment or Integrated HCV-HCSA assessments [\[EN\]](#)



ESC5.6 The company traces more high-risk raw materials to their origin.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC5.6	From Year 5	X Large / XX Large	The company traces more high-risk raw materials to their origin.



Compliance Criteria:

5.6.1 The company increases the proportion of high-risk raw materials that it can trace to their origin, in line with its plan under ESC5.4.

Intent:

To ensure the company makes progress toward mapping the high-risk raw materials in its supply chain.

Clarifying the Compliance Criteria:

[5.6.1] The “origin” means the location where the commodity or raw material was produced or harvested, including if it was in a high-risk country. A “high-risk country” is a country with a high rate of deforestation and at higher risk of deforestation.

[5.6.1] A “high-risk raw material” is any relevant input material that is known or suspected to cause severe negative environmental impacts (as identified under ESC1.7).

[5.6.1] If the company knows the origin of its high-risk raw materials and has mitigated their environmental impacts, it continues to improve its ability to trace raw-materials and mitigate impacts in its supply chain.

[5.6.1] The company calculates the proportion of its high-risk raw materials that it can trace to their known origin using the following formula.

- Volume of high-risk raw materials with known origins / total volume of high-risk raw materials sourced.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Recommendations:

- Focus on origin countries to start with. Then, over time, move toward:
 - tracing raw materials with higher levels of detail (i.e. by region, supply shed, mill, cooperative, or farm)
 - understanding the practices of the supply chain actors.

Implementation Resources:

Example of resources on supply chain traceability

- Traceability Roadmap (Trustrace) [\[EN\]](#)

- The Traceability Playbook for Fashion Supply Chains, 2023 (trustrace) [\[EN\]](#)
- A Step-by-Step Guide for Successful Implementation of Traceability Systems in Agricultural Supply Chains: Entry-Level Introduction to Traceability Systems, 2022 (GIZ) [\[EN\]](#)

Examples of resources to assess biodiversity impacts

- Biodiversity risk filter (World Wildlife Fund) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Integrated Biodiversity Assessment Tool (IBAT Alliance) [\[EN\]](#)
- Global Forest Watch [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#) [\[ZH\]](#)
- Living Planet Report, 2024 [\[EN\]](#) [\[ES\]](#) [\[HR\]](#) [\[SR\]](#) [\[PT\]](#)
- ENCORE - allows exploration of future scenarios in terms of the potential impacts and dependencies of activities on biodiversity (available for some sectors, e.g., agriculture and mining) [\[EN\]](#) [\[ES\]](#)
- Science Based Targets Network - Various resources (Science Based Targets Network) [\[EN\]](#)
- High Conservation Value Network Approach [\[EN\]](#)
- High Carbon Stock Approach [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#)
- Biodiversity performance indicator, 2021 (CSO & Manomet) [\[EN\]](#)
- Key Biodiversity Areas [\[EN\]](#)

Examples of resources to obtain information on potential water impact based on geographic location

- Water risk filter (World Wildlife Fund) [\[EN\]](#)
- Aquaduct Water Risk Atlas (World Resources Institute) [\[EN\]](#)
- Ocean+ [\[EN\]](#)

Examples of resources to assess animal welfare practices

- Terrestrial and Aquatic Animal Health Codes (World Organisation for Animal Health) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)

- Responsible Wool Standard [\[EN\]](#)
- Krav [\[EN\]](#) [\[SV\]](#)
- Best Aquaculture Practices [\[EN\]](#) [\[ES\]](#)
- Global Animal Partnership [\[EN\]](#)
- RSCPA Approved Farming Scheme [\[EN\]](#)
- Animal Welfare Approved by AGW (A Greener World) [\[EN\]](#)
- American Humane Certificated [\[EN\]](#)
- The Good Cashmere Standard [\[EN\]](#)
- Certified Humane [\[EN\]](#)
- Responsible Down Standard [\[EN\]](#)
- Regenerative Organic Certification Framework (Standard) (Regenerative Organic Alliance) [\[EN\]](#)
- Compassion in World Farming [\[CS\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[NL\]](#) [\[PL\]](#) [\[SV\]](#) [\[ZH\]](#)
- Accreditation by the Association of Zoos and Aquariums [\[EN\]](#)

Examples of resources on environmental risks for specific raw materials (high-risk materials)

- High impact commodity list (Science Based Targets Network) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Regulation on Deforestation-free Products - will develop a classification of high and low risk countries, 2023 (European Commission) [\[BG\]](#) [\[CS\]](#) [\[EL\]](#) [\[EN\]](#) [\[ES\]](#) [\[ET\]](#) [\[DA\]](#) [\[DE\]](#) [\[FR\]](#) [\[GA\]](#) [\[HR\]](#) [\[HU\]](#) [\[IT\]](#) [\[LT\]](#) [\[LV\]](#) [\[MT\]](#) [\[NL\]](#) [\[PL\]](#) [\[PT\]](#) [\[RO\]](#) [\[SL\]](#) [\[SK\]](#)
- Responsible Minerals Initiative for minerals, gold, silver [\[Various languages\]](#), including AR, EN, ES FR, IT, PT, RU, ZH]

Interoperability:

- Conceptual Alignment Data Point:



-
- o GRI 308: Supplier Environmental Assessment 2016 - 1. Topic management disclosures 1.1
 - o GRI 204: Procurement Practices 2016 - 1. Topic management disclosures 1.1
 - o The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) - Biodiversity - B03 Ecosystem protection and restoration - d



ESC5.7 The company works with suppliers to address environmental impacts related to high-risk raw materials.

Track factors:

Size	Sector	Industry
XX Large	Wholesale/Retail	All
XX Large	Manufacturing	All
XX Large	Agriculture/Growers	All
X Large	Wholesale/Retail	All
X Large	Manufacturing	All
X Large	Agriculture/Growers	All
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
ESC5.7	From Year 5	X Large / XX Large	The company works with suppliers to address environmental impacts related to high-risk raw materials.



Compliance Criteria:

5.7.1 The company works with its prioritized suppliers to prevent and mitigate environmental impacts related to high-risk raw materials, in line with its plan (ESC5.4) and its actions (ESC5.6).

5.7.2 The engagement process includes:

- a) an action plan and targets
- b) monitoring progress at least annually
- c) recording specific prevention and mitigation actions and their outcomes.

Intent:

To ensure the company makes progress toward mapping its supply chain and addressing the actual and potential negative environmental impacts of its high-risk raw materials.

Clarifying the Compliance Criteria:

[5.7.1] A “high-risk raw material” is any relevant input material that is known or suspected to cause severe negative environmental impacts (as identified under ESC1.7).

[5.7.2] If the supplier is unwilling or unable to take meaningful prevention or mitigation action, the company considers:

- engaging in advocacy or other collective action to address systemic issues and enable the prevention or mitigation action [link to GACA2 The company works collaboratively to advance collective social or environmental impacts]
- choosing to responsibly exit its relationship with the supplier as a last resort.

[5.7.2] Simply integrating environmental criteria into a supplier code of conduct is not a sufficient example of action under this sub-requirement.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Mitigation actions may include restoration or regeneration. Mitigation actions exist in a hierarchy. Preventing a negative impact is always preferred. If an impact cannot be prevented, then the company tries to mitigate it. If the impact cannot be prevented or minimized, then the company works on regeneration and restoration.
- Severe negative environmental impacts may include, for example:
 - excessive water use
 - toxic pollution
 - deforestation (e.g. from harvesting palm oil)
 - other ecosystem conversion.
- Actions by the supplier to mitigate its actual and potential negative impacts may include, for example:

-
- conducting an assessment of actual and potential environmental impacts
 - obtaining an environmental certification
 - demonstrating that its environmental strategy aligns with the company's own environmental strategy
 - demonstrating progress against its environmental strategy
 - setting joint priorities and actions with the company with targets to mitigate negative environmental impacts, and measuring progress.
 - If the supplier is unwilling or unable to take meaningful prevention or mitigation action, the company considers:
 - engaging in advocacy or other collective action to address systemic issues and enable the prevention or mitigation action [link to GACA2].
 - choosing to responsibly exit its relationship with the supplier as a last resort.
 - To mitigate the supplier's negative environmental impacts, the company may, for example:
 - mentor suppliers on reducing the materials (or inputs) that go into their products
 - upskill suppliers on greenhouse gas measurement and reduction
 - balance contractual terms to cover both buyer and supplier commitments
 - support suppliers through joint projects, such as:
 - providing training on land use and sustainable agriculture practices for their workers or management
 - connecting suppliers to industry guides and tools
 - providing expert implementation support for accessing renewable energy
 - implementing a zero-waste to landfill policy
 - fund or co-fund costs typically assigned to suppliers, such as assessments of actual and potential environmental impact and implementing operational improvements
 - work with suppliers to substitute or eliminate substances of concern from its products and processes.

Recommendations:

- Focus on origin countries to start with. Then, over time, move toward:
 - tracing raw materials with higher levels of detail (i.e. by region, supply shed, mill, cooperative, or farm)
 - understanding the practices of the supply chain actors.

Implementation Resources:

Example of resources on supply chain traceability

- Traceability Roadmap (Trustrace) [\[EN\]](#)
- The Traceability Playbook for Fashion Supply Chains, 2023 (trustrace) [\[EN\]](#)
- A Step-by-Step Guide for Successful Implementation of Traceability Systems in Agricultural Supply Chains: Entry-Level Introduction to Traceability Systems, 2022 (GIZ) [\[EN\]](#)

Examples of resources to assess biodiversity impacts

- Biodiversity risk filter (World Wildlife Fund) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)
- Integrated Biodiversity Assessment Tool (IBAT Alliance) [\[EN\]](#)
- Global Forest Watch [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#) [\[ZH\]](#)
- Living Planet Report, 2024 [\[EN\]](#) [\[ES\]](#) [\[HR\]](#) [\[SR\]](#) [\[PT\]](#)
- ENCORE - allows exploration of future scenarios in terms of the potential impacts and dependencies of activities on biodiversity (available for some sectors, e.g., agriculture and mining) [\[EN\]](#) [\[ES\]](#)
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- High Conservation Value Network Approach [\[EN\]](#)
- High Carbon Stock Approach [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IN\]](#) [\[PT\]](#)
- Biodiversity performance indicator, 2021 (CSO & Manomet) [\[EN\]](#)
- Key Biodiversity Areas [\[EN\]](#)

Examples of resources to obtain information on potential water impact based on geographic location

- Water risk filter (World Wildlife Fund) [\[EN\]](#)
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- Ocean+ [\[EN\]](#)

Examples of resources to assess animal welfare practices

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- Responsible Wool Standard [\[EN\]](#)
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- Global Animal Partnership [\[EN\]](#)
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- Animal Welfare Approved by AGW (A Greener World) [\[EN\]](#)
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- Certified Humane [\[EN\]](#)
- Responsible Down Standard [\[EN\]](#)
- Regenerative Organic Certification Framework (Standard) (Regenerative Organic Alliance) [\[EN\]](#)
- Compassion in World Farming [\[CS\]](#) [\[DE\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[IT\]](#) [\[NL\]](#) [\[PL\]](#) [\[SV\]](#) [\[ZH\]](#)
- Accreditation by the Association of Zoos and Aquariums [\[EN\]](#)

Examples of resources on environmental risks for specific raw materials (high-risk materials)

- High impact commodity list (Science Based Targets Network) [\[EN\]](#)
- Fairtrade Risk Map (Fairtrade International) [\[EN\]](#)



- Regulation on Deforestation-free Products - will develop a classification of high and low risk countries, 2023 (European Commission) [[BG](#)] [[CS](#)] [[EL](#)] [[EN](#)] [[ES](#)] [[ET](#)] [[DA](#)] [[DE](#)] [[FR](#)] [[GA](#)] [[HR](#)] [[HU](#)] [[IT](#)] [[LT](#)] [[LV](#)] [[MT](#)] [[NL](#)] [[PL](#)] [[PT](#)] [[RO](#)] [[SL](#)] [[SK](#)]
- Responsible Minerals Initiative for minerals, gold, silver [[Various languages](#)], including AR, EN, ES FR, IT, PT, RU, ZH]

Interoperability:

- Conceptual Alignment Data Point:
 - GRI 308: Supplier Environmental Assessment 2016 - 1. Topic management disclosures 1.1
 - GRI 204: Procurement Practices 2016 - 1. Topic management disclosures 1.1
 - European Sustainability Reporting Standards G1 2023 - Disclosure Requirement G1-2 – Management of relationships with suppliers 15.
 - GRI 308: Supplier Environmental Assessment 2016 - Disclosure 308-2 Negative environmental impacts in the supply chain and actions taken (a)
 - CDP 2024 Questionnaire - 5.11
 - CDP 2024 Questionnaire - 5.11.1
 - CDP 2024 Questionnaire - 5.11.2
 - CDP 2024 Questionnaire - 5.11.7

Government Affairs & Collective Action (GACA)

Body of Knowledge (BoK) for the
GACA Impact Topic



Intent

This Impact Topic sets requirements for B Corps to support collective social and environmental movements, and to contribute fairly and transparently to the countries where they operate.

Companies must act beyond their own interest and have a broader systemic impact. These efforts start from within, taking credibility from the leadership a company shows in its own sphere of influence. But meeting the B Lab Standard also requires companies to embrace their role in collective solutions that address social and environmental challenges more systemically.

Taxes are vital in achieving the U.N. Sustainable Development Goals, and a key way for companies to contribute to their local economies. Companies who transparently report their taxes also benefit, because it reinforces their community contribution as a part of their sustainability strategy and impact.

Outcome

Companies play a leadership role in fostering shared understanding and implementing solutions toward an equitable, inclusive, and regenerative economy. This role includes a fair and responsible contribution to their operating countries' economies and infrastructure.

Requirements Summary

GACA1 The company takes a responsible and transparent approach to lobbying.

GACA2 The company works collaboratively to advance collective social or environmental impacts.

GACA3 The company takes a responsible and transparent approach to taxes.

Scope

The company's value chain and beyond, including policy, industry, and business community.

Terms and Definitions

Advocacy

The same as lobbying, which includes the following, by or on behalf of an organized group:

- Communicating directly or indirectly with public officials, political decision-makers, or representatives to influence public decision-making.
- Attempting directly or indirectly to influence public opinion (beyond normal advertising and marketing) with the aim of impacting public decision-making.

(Adapted from [Corporate Political Engagement Index](#), 2018, Transparency International)

Agriculture

A company that either:

- earns over 10% of its revenue from products grown on its farm or agro-processing facility, from managing land to grow and harvest crops, or from raising and managing livestock
- sources the majority of its raw materials directly from growers or livestock producers.

Companies in the agriculture sector include, for example:

- vegetable farms
- coffee plantations or roasters
- tree planting companies
- livestock farms or ranches.

Bribery



The act of offering, promising, giving, accepting, or soliciting an advantage in exchange for an action that is illegal, ethical, or a breach of trust.

Bribes can include:

- money
- gifts
- loans
- fees
- rewards
- other advantages (e.g. taxes, services, donations, or favors).

(Adapted from [Global Anti-Bribery Guidance](#))

Collective Action

A collaborative, sustained process of cooperation between stakeholders to bring about systemic change. Collective action increases the impact and credibility of individual actions. Examples include multi-stakeholder collaboration, public policy advocacy, mentoring, and thought leadership. Mentoring and thought leadership contribute to systemic change by enhancing the skills, knowledge, or capacity of other stakeholders.

Company without workers

A company owned and run by one person. A company without workers may also be known as a sole proprietor, sole trader, individual entrepreneur, or individual proprietor.

Company

A legal entity (or group of related legal entities) formed to engage in and operate a business (meaning a commercial or industrial enterprise). A company may be organized in various ways depending on the corporate law in its jurisdiction.

Corruption



The abuse of entrusted power for private gain.

([Glossary](#) - Transparency International)

Employee

Person who has a direct employment relationship with the company. This includes permanent, temporary, full-time, part-time, seasonal, and casual employees. This includes when, for administrative reasons, there is a different employer on record, but practically the person works as an employee and the company is responsible for their recruitment, performance evaluation, and disciplinary management.

Working owners may also count as employees, depending on certain conditions (see working owner).

Executive team

People with delegated authority from the highest governing body to implement strategies and policies that fulfill the company's purpose.

(Adapted from PAS 808 — [Purpose-driven organizations](#), British Standards Institution)

Financial contributions

Monetary support, which may take the form of:

- donations
- loans
- sponsorships
- retainers
- purchase of tickets for fundraisers.

(Adapted from [GRI 415](#), 2016, Global Reporting Initiative)

Impact

An effect the company has, or could have, on:

- the economy
- the environment
- people, including on their human rights.

Impacts can be actual or potential, negative or positive.

(Adapted from [GRI 3](#), 2021, Global Reporting Initiative)

In-kind contribution

Non-monetary support that may take the form, for example, of:

- advertising
- sharing facilities
- designing and printing
- donating equipment
- providing board membership, employment, or consultancy work.

(Adapted from [GRI 415](#), 2016, Global Reporting Initiative)

Independent contractor

A person who is self-employed, or works freelance. They are a “worker” if they work more than 20 hours per week indefinitely or for more than six months. This may include the following examples.

- A self-employed construction worker who works full-time for the company on a construction project for one year.
- A freelance physiotherapist who works 25 hours per week at a clinic for two years.



Intermediary organizations

An organization or entity linked to or supporting particular political parties or causes, which interacts with other organizations and governments.

In the context of Government Affairs and Collective Action, intermediary organizations include:

- lobbyists
- charities
- think tanks
- trade associations.

(Adapted from [ESRS G1: Business Conduct](#))

Lobbying

See advocacy

Manufacturing

A company that earns over 10% of its revenue from products it makes, either for direct sale or for sale by another company or brand.

Manufacturing involves transforming input materials into a new product. The manufactured product may not be the final product.

Companies in the manufacturing sector include, for example:

- food and beverage producers
- assembly lines
- apparel manufacturers.



Material topic

The organization's most significant impacts on the economy, environment, and people, including impacts on their human rights. ([GRI 3: Material Topics](#) 2021)

See also impact materiality. Impact materiality is one half of "double materiality", alongside "financial materiality".

Outcome

A change resulting from the company's activities and outputs. An outcome has a direct link between the activities and outputs, and their impact on people and the environment.

Output

The direct result of an activity. Outputs may include, for example:

- training materials
- policies
- reports
- impact-related programs or projects.

Political contribution

Financial contributions or in-kind contributions given directly or indirectly to:

- political parties
- elected representatives
- people seeking political office.

(Adapted from [GRI415](#), 2016, Global Reporting Initiative)



Services with significant footprint

A company that earns 90% or more of its revenue from services that involve significant machinery or equipment, or require a specific operational location (often key to delivering the service).

Services with significant footprint include, for example:

- hotels
- restaurants
- landscaping companies
- universities.

This was previously named "Services with Significant Environmental footprint". The definition and its application remain the same.

Services with minor footprint

A company that earns 90% or more of its revenue from services that do not involve selling physical products or require a physical location for their delivery.

Services with minor footprints include, for example:

- law firms
- marketing and communications agencies
- software companies.

This was previously named "Services with Minor Environmental footprint". The definition and its application remain the same.

Stakeholder

A person, group, or entity who may, positively or negatively:

- affect the company

- be affected by the company's activities
- have an interest that is affected by the company's activities.

Relevant stakeholders may include, for example:

- business partners
- civil society organizations
- consumers
- customers
- employees and other workers
- governments
- local communities
- non-governmental organizations
- shareholders and other investors
- suppliers
- trade unions
- vulnerable groups (including future generations)
- the environment (including species).

(Adapted from [GRI 3: Material Topics](#), 2021.)

Thought leadership

The expression of ideas, insights, and knowledge that demonstrate expertise in a particular field or area, and that others recognize.

Value chain



The full range of activities by the company, and by upstream and downstream entities, to bring its products or services from conception to end use. The value chain includes the company's supply chain.

Entities upstream from the company (e.g. suppliers) provide products or services used to develop the company's own products or services.

Entities downstream from the company (e.g. distributors and customers) receive products or services from the company.

(Adapted from [G1 Foundation](#), 2021, Global Reporting Initiative)

Wholesale/Retail

A company that earns over 10% of its revenue from selling physical products, but does not own or operate the manufacturing processes or facilities that produce them. This includes companies that design products but outsource their production.

Wholesale/retail companies include, for example:

- grocery stores
- consumer goods companies that do not manufacture their own products
- wholesalers of physical goods.

Worker

A person who works for the company as any of the following.

- An employee
- An independent contractor, if they work more than 20 hours per week indefinitely or for more than six months.
- An agency worker, if they work more than 20 hours per week indefinitely or for more than six months.

Interns and apprentices, as defined in the B Lab Standard, do not count as workers.



Notes

None



GACA1 The company takes a responsible and transparent approach to lobbying.

GACA1.1 The company has a public policy on responsible lobbying.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA1.1	From Year 0	None	The company has a public policy on responsible lobbying.



Compliance Criteria:

1.1.1 If the company is not engaged in lobbying, then it meets this sub-requirement by declaring this publicly.

1.1.2 The company's lobbying policy states its approach to responsible lobbying, including:

- a) a statement that the company will lobby only to contribute to a positive impact on society or the environment
- b) a statement that its lobbying approach is based on either reliable or scientific data (or both)
- c) its approach to financial and in-kind political contributions
- d) its approach to anti-corruption and bribery
- e) its approach to responsible lobbying with intermediary organizations, including controls that ensure consistency with the lobbying policy
- f) which governance body within the company will formally review and approve the policy, and how frequently.

1.1.3 The company's lobbying policy states its governance, control, and risk management practices, including:

- a) which governance body or executive-level position within the company is accountable for enforcing the policy
- b) how the policy is embedded within the company, including how the company puts it into practice
- c) how the company identifies, manages, and monitors risks of non-compliance
- d) how the company evaluates compliance with the governance and control framework
- e) how stakeholders can raise concerns about the company's business conduct and lobbying practices, including reference to the company's grievance procedure [link to PSG3].

1.1.4 The company's lobbying policy is:

- a) approved by the highest governing body
- b) published on the company's webpage and accessible to all stakeholders.

Intent:



To ensure the company takes a transparent, consistent, and responsible approach to its involvement in government affairs. Lobbying can sometimes be at odds with companies' sustainability strategies and the wider public interest. By publicly sharing their lobbying policies, companies commit to lobbying for the public good, and demonstrate responsible business leadership.



Clarifying the Compliance Criteria:

[1.1.2.a] The company cannot achieve or maintain B Corp certification if it directly lobbies against its purpose of contributing to a positive impact on society or the environment. The company becomes eligible again once B Lab confirms it has either:

- stopped lobbying
- changed its lobbying approach to align with its purpose.

[1.1.2.a] In its lobbying policy, on contributing to a positive impact on society or the environment, the company consults either:

- the outcome sections of the B Lab Standard
- the U.N. Sustainable Development Goals or similar frameworks.

[1.1.2.b] In its lobbying policy, on its approach to responsible lobbying, the company includes:

- Reliable data (means it is evidence-based and replicable, and uses insights from independent market research)
- Scientific data (means it is based on research by scientists which has been published in a reputable peer-reviewed journal).

[1.1.2.e] If the company works with an intermediary organization with lobbying positions that undermine the company's lobbying policy, then its approach states it will publicly report:

- the company's position compared to the intermediary organization's position
- an explanation of how the company is positively influencing the intermediary organization's position
- an explanation of the company's "red lines" — meaning the circumstances that would cause the company to stop engaging with the intermediary organization.

[1.1.3.d] The governance and control framework is described in Compliance Criteria 1.1.3.a-1.1.3.c.

[1.1.4] The lobbying policy can be a standalone document, or integrated into another document. Either form is acceptable, as long as the policy meets GACA1.1.

Applying the Criteria to Independently Certifying Subsidiaries:

- The policy is embedded, at minimum, at the highest governance level within the company. If the company references a policy belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the policy.
- References to the highest governing body or executive team mean those within the company's scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body or executive team within its scope of certification.

Further Guidance:

- For intermediary organizations, controls that ensure consistency with the company's lobbying policy may include codes of conduct, training, and performance assessments.

Recommendations:

- If the company is not currently engaged in lobbying but plans to lobby in the future, draft a lobbying policy before engaging in lobbying.
- Incorporate actions to advance the company's purpose into the lobbying policy.
- Determine whether the company is working with any intermediary organizations with lobbying positions in breach of its lobbying policy by creating:
 - a list of all its intermediary organizations and their stated objectives and positions relating to social and environmental topics
 - a statement from the company on how the positions of its intermediary organizations contribute to a positive impact on society or the environment
 - a document or process map that shows the lobbying activities of all the company's intermediary organizations.

Implementation Resources:

Resources on responsible lobbying

- Responsible Lobbying Framework [\[EN\]](#)
- Towards Responsible Lobbying (U.N. Global Compact) [\[EN\]](#)



- OECD Recommendation of the Council on Transparency and Integrity in Lobbying and Influence [\[EN\]](#) [\[FR\]](#)
- Mobilizing Trade Associations as a Force for Good (Volans, World Business Council for Sustainable Development) [\[EN\]](#)

Resources on anti-corruption

- U.N. Convention against Corruption [\[EN\]](#) [\[ES\]](#) [\[FR\]](#)

Resources on positive impact on society or the environment

- U.N. Sustainable Development Goals [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)

Interoperability:

- Conceptual Alignment Data Point:
 - European Sustainability Reporting Standards G1 2023 – Disclosure Requirement G1-5 – Political influence and lobbying activities 29 (a)
 - GRI 415 Public Policy 2016 – 1.1 Topic management disclosures
 - GRI 2 General Disclosures 2021 – 2-28 Membership associations (a)
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) – Acting ethically – CSI18 Responsible lobbying and political engagement fundamentals – a



GACA1.2 The company publicly shares its lobbying positions and political contributions each fiscal year.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA1.2	From Year 0	None	The company publicly shares its lobbying positions and political contributions each fiscal year.



Compliance Criteria:

1.2.1 If the company is not engaged in lobbying, then it meets this sub-requirement by publicly sharing that it is not engaged in lobbying.

1.2.2 The public report includes:

- a) the value and recipient of financial and in-kind political contributions
- b) a summary of the company's material lobbying positions and the relevant recipients or intermediary organizations.

1.2.3 The public report is:

- a) overseen by the highest governing body or a committee of the highest governing body
- b) published on the company's webpage and accessible to all stakeholders.

1.2.4 The company publicly shares its lobbying positions and political contributions:

- a) in the fiscal year before Year 0
- b) annually in each subsequent year.

Intent:

To ensure the company is transparent, consistent, and responsible for its lobbying practices. By making their lobbying positions and political contributions public — with oversight from their highest governing bodies — companies demonstrate accountability for their commitments to positive social and environmental impacts.

Clarifying the Compliance Criteria:

[1.2.2.b] The company assesses its material lobbying positions and includes all lobbying that meets any of the following criteria.

- It relates to the B Lab Standard.
- It relates to material topics in the company's materiality assessment [link to PSG2.3].
- It involves intermediary organizations in which the company has a significant role. The company may have a "significant role" in an intermediary organization if it either:
 - holds a position in the governance body, participates in projects or committees, or provides major funding beyond membership dues
 - views its membership strategically as a way to influence an intermediary organization's objectives related to its own activities (for further information, see GRI 2: General Disclosures [\[EN\]](#)).

[1.2.2.b] If the company works with an intermediary organization with lobbying positions that undermine the company's lobbying policy, then the public report includes:

- the company's position compared to the intermediary organization's position
- an explanation of how the company is positively influencing the intermediary organization's position
- an explanation of the company's "red lines" — meaning the circumstances that would cause the company to stop engaging with the intermediary organization.

[1.2.3] The public report can be a standalone document, or integrated into another report. Either form is acceptable, as long as it meets the Compliance Criteria.

Applying the Criteria to Independently Certifying Subsidiaries:

- If the company has an out-of-scope parent company with lobbying positions that undermine the company's lobbying policy, then the public report includes:
 - the company's position compared to the parent company's position
 - an explanation of how the company is positively influencing the parent company's position or an explanation of how the parent company's position does not affect the company's social or environmental impacts.

- The reporting scope covers the company. If the company references a corporate group report that includes out-of-scope entities, either:
 - the performance of the company is clearly identifiable within the group report
 - the company publicly shares its own report on its webpage.
- References to the highest governing body mean those within the company's scope of certification. This means that oversight by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional oversight at the highest governing body within its scope of certification.

Recommendations:

- Determine whether the company is working with any intermediary organizations with lobbying positions in breach of its lobbying policy by creating:
 - a list of all its intermediary organizations and their stated objectives and positions relating to social and environmental topics
 - a statement from the company on how the positions of its intermediary organizations contribute to a positive impact on society or the environment
 - a document or process map that shows the lobbying activities of all the company's intermediary organizations.
- Publicly report on financial and in-kind contributions to non-campaign activities. This is in addition to Compliance Criteria 1.2.2.a on political contributions.

Implementation Resources:

Resources on public reporting of lobbying positions and political contributions

- Responsible Lobbying Framework [\[EN\]](#)
- Towards Responsible Lobbying (U.N. Global Compact) [\[EN\]](#)
- OECD Recommendation of the Council on Transparency and Integrity in Lobbying and Influence [\[EN\]](#) [\[FR\]](#)
- The Good Lobby Tracker [\[EN\]](#)

Interoperability:

- Conceptual Alignment Data Point:
 - European Sustainability Reporting Standards G1 2023 – Disclosure Requirement G1-5 – Political influence and lobbying activities 29 (b), (c)
 - GRI 415 Public Policy 2016 – 415-1 Political contributions (a)
 - GRI 2 General Disclosures 2021 – 2-28 Membership associations (a)
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) – Acting ethically – CSI18 Responsible lobbying and political engagement fundamentals – b, c
 - CDP 2024 Questionnaire - 4.11



GACA1.3 The company publicly shares its lobbying positions and political contributions each fiscal year.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	All	All
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA1.3	From Year 3	Company without workers / Micro / Small / Medium	The company publicly shares its lobbying positions and political contributions each fiscal year.



Compliance Criteria:

1.3.1 If the company is not engaged in lobbying, then it meets this sub-requirement by publicly sharing that it is not engaged in lobbying.

1.3.2 The public report includes:

- a) the value and recipient of financial and in-kind political contributions
- b) a summary of the company's material lobbying positions and the relevant recipients or intermediary organizations.

1.3.3 The public report is:

- a) overseen by the highest governing body or a committee of the highest governing body
- b) published on the company's webpage and accessible to all stakeholders.

1.3.4 The company publicly shares its lobbying positions and political contributions:

- a) in the fiscal year before Year 3
- b) annually in each subsequent year.

Intent:

To ensure the company is transparent, consistent, and responsible for its lobbying practices. By making their lobbying positions and political contributions public — with oversight from their highest governing bodies — companies demonstrate accountability for their commitments to positive social and environmental impacts.



Clarifying the Compliance Criteria:

[1.3.2.b] The company assesses its material lobbying positions and includes all lobbying that meets any of the following criteria.

- It relates to the B Lab Standard.
- It relates to material topics in the company's materiality assessment [link to PSG2.3].
- It involves intermediary organizations in which the company has a significant role. The company may have a "significant role" in an intermediary organization if it either:
 - holds a position in the governance body, participates in projects or committees, or provides major funding beyond membership dues
 - views its membership strategically as a way to influence an intermediary organization's objectives related to its own activities (for further information, see GRI 2: General Disclosures [\[EN\]](#)).

[1.3.2.b] If the company works with an intermediary organization with lobbying positions that undermine the company's lobbying policy, then the public report includes:

- the company's position compared to the intermediary organization's position
- an explanation of how the company is positively influencing the intermediary organization's position
- an explanation of the company's "red lines" — meaning the circumstances that would cause the company to stop engaging with the intermediary organization.

[1.3.3] The public report can be a standalone document, or integrated into another report. Either form is acceptable, as long as it meets the Compliance Criteria.

Applying the Criteria to Independently Certifying Subsidiaries:

- If the company has an out-of-scope parent company with lobbying positions that undermine the company's lobbying policy, then the public report includes:
 - the company's position compared to the parent company's position
 - an explanation of how the company is positively influencing the parent company's position or an explanation of how the parent company's position does not affect the company's social or environmental impacts.



- The reporting scope covers the company. If the company references a corporate group report that includes out-of-scope entities, either:
 - the performance of the company is clearly identifiable within the group report
 - the company publicly shares its own report on its webpage.
- References to the highest governing body mean those within the company's scope of certification. This means that oversight by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional oversight at the highest governing body within its scope of certification.

Recommendations:

- Determine whether the company is working with any intermediary organizations with lobbying positions in breach of its lobbying policy by creating:
 - a list of all its intermediary organizations and their stated objectives and positions relating to social and environmental topics
 - a statement from the company on how the positions of its intermediary organizations contribute to a positive impact on society or the environment
 - a document or process map that shows the lobbying activities of all the company's intermediary organizations.
- Publicly report on financial and in-kind contributions to non-campaign activities. This is in addition to Compliance Criteria 1.3.2.a on political contributions.



Implementation Resources:

Resources on public reporting of lobbying positions and political contributions

- Responsible Lobbying Framework [\[EN\]](#)
- Towards Responsible Lobbying (U.N. Global Compact) [\[EN\]](#)
- OECD Recommendation of the Council on Transparency and Integrity in Lobbying and Influence [\[EN\]](#) [\[FR\]](#)
- The Good Lobby Tracker [\[EN\]](#)

Interoperability:

Conceptual Alignment Data Point:

- European Sustainability Reporting Standards G1 2023 – Disclosure Requirement G1-5 – Political influence and lobbying activities 29 (b), (c)
- GRI 415 Public Policy 2016 – 415-1 Political contributions (a)
- GRI 2 General Disclosures 2021 – 2-28 Membership associations (a)
- The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) – Acting ethically – CSI18 Responsible lobbying and political engagement fundamentals – b, c
- CDP 2024 Questionnaire - 4.11



GACA2 The company works collaboratively to advance collective social or environmental impacts.

GACA2.1 The company takes part in collective action to advance social or environmental impacts.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	None	None
Small	None	None
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA2.1	From Year 0	Company without workers / Micro	The company takes part in collective action to advance social or environmental impacts.



Compliance Criteria:

2.1.1 The company takes part in collective action from the five options in this Impact Topic.

- a) GACA2.1a The company mentors others in its industry, profession, or value chain to advance their social or environmental impacts.
- b) GACA2.1b The company contributes to external research to advance social or environmental impacts.
- c) GACA2.1c The company collaborates with multiple stakeholders to advance social or environmental impacts.
- d) GACA2.1d The company promotes public policy to advance social or environmental impacts
- e) GACA2.1e The company uses thought leadership to drive systemic change towards an equitable, inclusive, and regenerative economy.

2.1.2 The company takes part in at least one collective action.

Intent:

To encourage companies to have positive social and environmental impacts and act beyond their own interests. Companies have a key role to play in collective solutions to systemic social and environmental challenges. Embracing collective action is an essential part of being a B Corp.



Clarifying the Compliance Criteria:

[2.1.1] Any collective action initiative the company takes to comply with the B Lab Standard may count toward meeting this sub-requirement.

[2.1.1] See the Compliance Criteria under the collective action sub-requirements for details.

Applying the Criteria to Independently Certifying Subsidiaries:

- This sub-requirement applies equally, whether the company is:
 - a parent company
 - an independent company.
- Companies that are part of a corporate family in a group certification may meet this sub-requirement through actions at the level of:
 - the parent or group
 - a global industry business unit
 - a geographic market or local subsidiary
 - a combination of the above.

Further Guidance:

See the collective action sub-requirements: GACA2.1a-GACA2.1e.

Recommendations:

See the collective action sub-requirements: GACA2.1a-GACA2.1e.

Implementation Resources:

See the collective action sub-requirements: GACA2.1a-GACA2.1e.



GACA2.2 The company takes part in collective action to advance social or environmental impacts.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	None	None
Small	All	All
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA2.2	From Year 0	Small	The company takes part in collective action to advance social or environmental impacts.



Compliance Criteria:

2.2.1 The company takes part in collective action from the five options in this Impact Topic.

- a) GACA2.1a The company mentors others in its industry, profession, or value chain to advance their social or environmental impacts.
- b) GACA2.1b The company contributes to external research to advance social or environmental impacts.
- c) GACA2.1c The company collaborates with multiple stakeholders to advance social or environmental impacts.
- d) GACA2.1d The company promotes public policy to advance social or environmental impacts.
- e) GACA2.1e The company uses thought leadership to drive systemic change towards an equitable, inclusive, and regenerative economy.

2.2.2 The company takes part in at least:

- a) one collective action before Year 0
- b) two of the five collective action options for Years 3 and 5.

Intent:

To encourage companies to have positive social and environmental impacts and act beyond their own interests. Companies have a key role to play in collective solutions to systemic social and environmental challenges. Embracing collective action is an essential part of being a B Corp.



Clarifying the Compliance Criteria:

[2.2.1] Any collective action initiative the company takes to comply with the B Lab Standard may count toward meeting this sub-requirement.

[2.2.1] See the Compliance Criteria under the collective action sub-requirements for details.

Applying the Criteria to Independently Certifying Subsidiaries:

- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

See the collective action sub-requirements: GACA2.1a-GACA2.1e.

Recommendations:

See the collective action sub-requirements: GACA2.1a-GACA2.1e.

Implementation Resources:

See the collective action sub-requirements: GACA2.1a-GACA2.1e.



GACA2.1a The company mentors others in its industry, profession, or value chain to advance their social or environmental impacts.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	None	None
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA2.1a	From Year 0	N/A	The company mentors others in its industry, profession, or value chain to advance their social or environmental impacts.



Compliance Criteria:

2.1a.1 The company's mentoring has:

- a) a clear objective aligned with advancing the mentee's social or environmental impact
- b) a clear positive outcome that the mentee confirms.

Intent:

None

Clarifying the Compliance Criteria:

[2.1a.1] The mentee is a stakeholder from outside of the company with relevance to the company's industry, profession, or value chain.

[2.1a.1] The company's mentoring suits the needs of the mentee.

[2.1a.1] The company does not receive financial compensation for the mentoring.

[2.1a.1.a] To determine whether the mentoring contributes to a positive impact on society or the environment, the company consults either:

- the outcome sections of the B Lab Standard
- the U.N. Sustainable Development Goals or similar frameworks.

Applying the Criteria to Independently Certifying Subsidiaries:

The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:

- roll out, enforcement, and accountability mechanisms
- how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Examples of mentoring include:
 - training
 - sharing knowledge
 - providing feedback
 - sharing expertise.
- Examples of mentees include:
 - employees from other companies in the industry or value chain

- stakeholders in Civil Society Organizations or academic institutions relevant to the company's industry or value chain.
- Examples of a “clear positive outcome” include:
 - a measurable improvement of the mentee's social or environmental impact (confirmed by the mentee)
 - an increase in the mentee's knowledge, leading to an action plan between the company and the mentee to improve their social or environmental impact
 - general satisfaction from the mentee, even if the support they received has not yet led to improved social or environmental impacts.

Recommendations:

- Work with mentees including:
 - suppliers or stakeholders in vulnerable situations (e.g. with limited resources or impacted by climate change)
 - suppliers connected to the company's environmental issues or salient human rights issues.
- Appoint a company employee at the manager level or higher to undertake mentoring activities.

Implementation Resources:

Resources on positive impact on society or the environment

- U.N. Sustainable Development Goals [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)



GACA2.1b The company contributes to external research to advance social or environmental impacts.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	None	None
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA2.1b	From Year 0	N/A	The company contributes to external research to advance social or environmental impacts.



Compliance Criteria:

2.1b.1 The external research aims to create a positive impact on society or the environment.

Intent:

None



Clarifying the Compliance Criteria:

[2.1b.1] To determine whether the research contributes to a positive impact on society or the environment, the company consults either:

- the outcome sections of the B Lab Standard
- the U.N. Sustainable Development Goals or similar frameworks.

[2.1b.1] “External research” means the research is not driven by the company’s own research and development team.

Applying the Criteria to Independently Certifying Subsidiaries:

The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:

- roll out, enforcement, and accountability mechanisms
- how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

Recommendations:

- Contribute to research through:
 - financial contributions
 - in-kind contributions
 - data sharing.
- Conduct research relevant to the company’s industry or value chain.

Implementation Resources:

Resources on positive impact on society or the environment



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- U.N. Sustainable Development Goals [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)



GACA2.1c The company collaborates with multiple stakeholders to advance social or environmental impacts.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	None	None
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA2.1c	From Year 0	N/A	The company collaborates with multiple stakeholders to advance social or environmental impacts.



Compliance Criteria:

2.1c.1 The multi-stakeholder collaboration:

- a) has a clear purpose and aims to deliver specific, measurable impacts collaboratively.
- b) aims to create a positive impact on society or the environment.

Clarifying the Compliance Criteria:

[2.1c.1] The multi-stakeholder collaboration includes stakeholder(s) that are external to the company.

[2.1c.1] When engaging in multi-stakeholder collaboration, particularly at the industry level, the company follows any applicable local and national antitrust laws.

[2.1c.1.a] If the company is an observer (meaning it attends sessions without contributing) or a signatory of the project, it meets this Compliance Criteria by integrating the outputs or learnings of the project into its operations.

[2.1c.1.b] To determine whether the multi-stakeholder collaboration contributes to a positive impact on society or the environment, the company consults either:

- the outcome sections of the B Lab Standard
- the U.N. Sustainable Development Goals or similar frameworks.

Applying the Criteria to Independently Certifying Subsidiaries:

The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:

- roll out, enforcement, and accountability mechanisms
- how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Examples of multi-stakeholder collaboration include:
 - developing sector- or profession-specific guides
 - promoting sustainable innovation
 - developing solutions for sustainability challenges (e.g. recycling infrastructure)
 - investing jointly in community projects



- standardizing materials or technology
- building shared infrastructure
- restoring local landscapes with impacted organizations
- involvement in an industry working group or project related to advancing social or environmental impact.
- Examples of stakeholders include:
 - sector, industry, or professional associations
 - other businesses (e.g. collective action groups organized by B Corps or other companies)
 - Civil Society Organizations
 - academic institutions.

Recommendations:

Demonstrate a “clear contribution” to the multi-stakeholder collaboration by:

- providing input or resources
- taking a leadership position in the project (e.g. a chair or project lead)
- being active in working groups
- setting and achieving internal targets related to the project
- integrating the output of the project into the company’s strategy.

Implementation Resources:

Resources on multi-stakeholder collaboration

- We go beyond – Impact Improvement Through Collaboration (B Lab US & Canada) [\[EN\]](#)



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- Scaling Up Sustainability Collaboration: Contributions of Business Associations and Sector Initiatives to Sustainable Development (UN Global Compact) [\[EN\]](#)
 - B Corp Beauty Coalition [\[EN\]](#)
 - Private sector collaboration for sustainable development (Business for Social Responsibility) [\[EN\]](#)
 - Business-Led ESG Collaboration: How-to Guide for Business (MaRS) [\[EN\]](#)
 - Environmental, Social and Governance and Sustainable Development Goals Guidance for Associations (Canadian Standards Association) [\[EN\]](#) [\[FR\]](#)
 - Intersectoral Collaboration Assessment Tool (Township of Langley) [\[EN\]](#)

Resources on positive impact on society or the environment

- U.N. Sustainable Development Goals [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)



GACA2.1d The company promotes public policy to advance social or environmental impacts.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	None	None
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA2.1d	From Year 0	N/A	The company promotes public policy to advance social or environmental impacts.



Compliance Criteria:

2.1d.1 The advocacy work aims to create a positive impact on society or the environment.

Intent:

None



Clarifying the Compliance Criteria:

[2.1d.1] To determine whether its advocacy contributes to a positive impact on society or the environment, the company consults either:

- the outcome sections of the B Lab Standard
- the U.N. Sustainable Development Goals or similar frameworks.

Applying the Criteria to Independently Certifying Subsidiaries:

The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:

- roll out, enforcement, and accountability mechanisms
- how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Recommendations:

- Demonstrate a “clear contribution” to public advocacy by:
 - supporting or endorsing a public policy advocacy or lobby campaign
 - raising awareness of a petition using the company’s communication channels or other stakeholder engagement (simply signing a petition does not meet the sub-requirement)
 - taking a visible and public stand, led by a member of the executive team, to influence public policy lobbying
 - contributing to a government consultation to make a positive impact
 - participating in a government working group or collaboration (e.g. by testifying, making recommendations, or providing expertise).
- Achieve specific advocacy outcomes by:
 - getting science-based climate legislation passed that aligns with the global goal of net zero emissions by 2050
 - putting a social or environmental topic on the local government agenda.

Implementation Resources:

Resources on responsible lobbying

- Responsible Lobbying Framework [\[EN\]](#)
- Towards Responsible Lobbying (U.N. Global Compact) [\[EN\]](#)
- OECD Recommendation of the Council on Transparency and Integrity in Lobbying and Influence [\[EN\]](#) [\[FR\]](#)
- Mobilizing Trade Associations as a Force for Good (Volans, World Business Council for Sustainable Development) [\[EN\]](#)

Resources on specific advocacy outcomes

- AAA Framework for Climate Policy Leadership (Environmental Defense Fund) [\[EN\]](#)
- The 4 A's of Climate Leadership - Policy (We Mean Business Coalition) [\[EN\]](#)
- Influence Map - Reports on Climate Policy Engagement [\[EN\]](#)



Resources on positive impact on society or the environment

- U.N. Sustainable Development Goals [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)

Interoperability:

Conceptual Alignment Data Point:

- CDP 2024 Questionnaire - 4.11



GACA2.1e The company uses thought leadership to drive systemic change towards an equitable, inclusive, and regenerative economy.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	None	None
Small	All	All
Micro	All	All
Company without workers	All	All

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA2.1e	From Year 0	N/A	The company uses thought leadership to drive systemic change towards an equitable, inclusive, and regenerative economy.



Compliance Criteria:

2.1e.1 The thought leadership aims to create a positive impact on society or the environment.

Intent:

None



Clarifying the Compliance Criteria:

[2.1e.1] To determine whether the thought leadership contributes to a positive impact on society or the environment, the company consults either:

- the outcome sections of the B Lab Standard
- the U.N. Sustainable Development Goals or similar frameworks.

Applying the Criteria to Independently Certifying Subsidiaries:

The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:

- roll out, enforcement, and accountability mechanisms
- how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

Examples of thought leadership include:

- speaking at public forums, e.g. teaching or giving guest lectures at educational institutions
- creating blog posts or articles on an external webpage, in collaboration with stakeholders
- publishing research papers on a social or environmental topic
- enabling open-source access to technical knowledge for others to use

Recommendations:

Demonstrate a “clear positive outcome” through:

- an increase in the knowledge of recipients or audiences
- others downloading and referencing reports and papers
- a positive reception to a speaking engagement, blog post, or web article



-
- increased engagement with the company's content
 - increased access to information and technical knowledge related to environmental and social impacts.

Implementation Resources:

Resources on positive impact on society or the environment

- U.N. Sustainable Development Goals [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)



GACA2.3 The company takes part in collective action to advance social or environmental impacts.

Track factors:

Size	Sector	Industry
XX Large	None	None
X Large	None	None
Large	None	None
Medium	All	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA2.3	From Year 0	Medium	The company takes part in collective action to advance social or environmental impacts.



Compliance Criteria:

2.3.1 The company takes part in collective action from the five options in this Impact Topic.

- a) GACA2.3a The company mentors others in its industry, profession, or value chain to advance their social or environmental impacts.
- b) GACA2.3b The company contributes to external research to advance social or environmental impacts.
- c) GACA2.3c The company collaborates with multiple stakeholders to advance social or environmental impacts with clear contribution.
- d) GACA2.3d The company promotes public policy to advance social or environmental impacts with clear contribution.
- e) GACA2.3e The company uses thought leadership to drive systemic change towards an equitable, inclusive, and regenerative economy, and has a clear outcome.

2.3.2 The company takes part in at least:

- a) one collective action before Year 0
- b) two of the five collective action options for Years 3 and 5.

Intent:

To encourage companies to have positive social and environmental impacts and act beyond their own interests. Companies have a key role to play in collective solutions to systemic social and environmental challenges. Embracing collective action is an essential part of being a B Corp.



Clarifying the Compliance Criteria:

[2.3.1] Any collective action initiative the company takes to comply with the B Lab Standard may count toward meeting this sub-requirement.

[2.3.1] See the Compliance Criteria under the collective action sub-requirements for details.

Applying the Criteria to Independently Certifying Subsidiaries:

- This sub-requirement applies equally, whether the company is:
 - a parent company
 - an independent company.
- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

See the collective action sub-requirements: GACA2.3a-GACA2.3e.

Recommendations:

See the collective action sub-requirements: GACA2.3a-GACA2.3e.

Implementation Resources:

See the collective action sub-requirements: GACA2.3a-GACA2.3e.



GACA2.4 The company takes part in collective action to advance social or environmental impacts.

Track factors:

Size	Sector	Industry
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA2.4	From Year 0	Large / X Large	The company takes part in collective action to advance social or environmental impacts.



Compliance Criteria:

2.4.1 The company takes part in collective action from the five options in this Impact Topic.

- a) GACA2.3a The company mentors others in its industry, profession, or value chain to advance their social or environmental impacts.
- b) GACA2.3b The company contributes to external research to advance social or environmental impacts.
- c) GACA2.3c The company collaborates with multiple stakeholders to advance social or environmental impacts with clear contribution.
- d) GACA2.3d The company promotes public policy to advance social or environmental impacts with clear contribution.
- e) GACA2.3e The company uses thought leadership to drive systemic change towards an equitable, inclusive, and regenerative economy, and has a clear outcome.

2.4.2 The company takes part in at least two of the five collective action options.

Intent:

To encourage companies to have positive social and environmental impacts and act beyond their own interests. Companies have a key role to play in collective solutions to systemic social and environmental challenges. Embracing collective action is an essential part of being a B Corp.



Clarifying the Compliance Criteria:

[2.4.1] Any collective action initiative the company takes to comply with the B Lab Standard may count toward meeting this sub-requirement.

[2.4.1] See the Compliance Criteria under the collective action sub-requirements for details.

Applying the Criteria to Independently Certifying Subsidiaries:

- This sub-requirement applies equally, whether the company is:
 - a parent company
 - an independent company.
- The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:
 - roll out, enforcement, and accountability mechanisms
 - how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

See the collective action sub-requirements: GACA2.3a-GACA2.3e.

Recommendations:

See the collective action sub-requirements: GACA2.3a-GACA2.3e.

Implementation Resources:

See the collective action sub-requirements: GACA2.3a-GACA2.3e.



GACA2.5 The company takes part in collective action to advance social or environmental impacts.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	None	None
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA2.5	From Year 0	None	The company takes part in collective action to advance social or environmental impacts.



Compliance Criteria:

2.5.1 The company takes part in collective action from the five options in this Impact Topic.

- a) GACA2.3a The company mentors others in its industry, profession, or value chain to advance their social or environmental impacts.
- b) GACA2.3b The company contributes to external research to advance social or environmental impacts.
- c) GACA2.3c The company collaborates with multiple stakeholders to advance social or environmental impacts with clear contribution.
- d) GACA2.3d The company promotes public policy to advance social or environmental impacts with clear contribution.
- e) GACA2.3e The company uses thought leadership to drive systemic change towards an equitable, inclusive, and regenerative economy, and has a clear outcome.

2.5.2 The company takes part in at least:

- a) two of the five collective actions before Year 0
- b) four collective actions for Years 3 and 5.

Intent:

To encourage companies to have positive social and environmental impacts and act beyond their own interests. Companies have a key role to play in collective solutions to systemic social and environmental challenges. Embracing collective action is an essential part of being a B Corp.



Clarifying the Compliance Criteria:

[2.5.1] The company cannot meet this sub-requirement with collective action it uses to meet other sub-requirements in the B Lab Standard. The actions for this sub-requirement are in addition to any collective action used to meet other sub-requirements.

[2.5.1] See the Compliance Criteria under the respective collective action sub-requirements for details.

Applying the Criteria to Independently Certifying Subsidiaries:

The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:

- roll out, enforcement, and accountability mechanisms
- how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

See the collective action sub-requirements: GACA2.3a-GACA2.3e.

Recommendations:

See the collective action sub-requirements: GACA2.3a-GACA2.3e

Implementation Resources:

See the collective action sub-requirements: GACA2.3a-GACA2.3e.



GACA2.3a The company mentors others in its industry, profession, or value chain to advance their social or environmental impacts.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA2.3a	From Year 0	N/A	The company mentors others in its industry, profession, or value chain to advance their social or environmental impacts.



Compliance Criteria:

2.3a.1 The company's mentoring has:

- a) a clear objective aligned with advancing the mentee's social or environmental impact
- b) a clear positive outcome that the mentee confirms
- c) a systematic approach targeting a specific group of mentees.

Intent:

None



Clarifying the Compliance Criteria:

[2.3a.1] The mentee is a stakeholder from outside the company with relevance to the company's industry, profession, or value chain.

[2.3a.1] The mentoring suits the needs of the mentee.

[2.3a.1] The company does not receive financial compensation for the mentoring.

[2.3a.1.a] To determine whether the mentoring contributes to a positive impact on society or the environment, the company consults either:

- the outcome sections of the B Lab Standard
- the U.N. Sustainable Development Goals or similar frameworks.

[2.3a.1.c] A “systematic approach” to mentoring means having a defined program with a timeline, milestones, and deliverables.

Applying the Criteria to Independently Certifying Subsidiaries:

The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:

- roll out, enforcement, and accountability mechanisms
- how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Examples of mentoring include:
 - training
 - sharing knowledge
 - providing feedback
 - sharing expertise.
- Examples of mentees include:

- employees from other companies in the industry or value chain
- stakeholders in Civil Society Organizations or academic institutions relevant to the company's industry or value chain.
- Examples of a “clear positive outcome” include:
 - a measurable improvement of the mentee's social or environmental impact (confirmed by the mentee)
 - an increase in the mentee's knowledge, leading to an action plan between the company and the mentee to improve their social or environmental impact
 - general satisfaction from the mentee, even if the support they received has not yet led to improved social or environmental impacts.

Recommendations:

- Work with mentees including:
 - suppliers or stakeholders in vulnerable situations (e.g. with limited resources or impacted by climate change)
 - suppliers connected to the company's environmental issues or salient human rights issues.
- Appoint a company employee at the manager level or higher to undertake mentoring activities.

Implementation Resources:

Resources on positive impact on society or the environment

- U.N. Sustainable Development Goals [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)



GACA2.3b The company contributes to external research to advance social or environmental impacts.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA2.3b	From Year 0	N/A	The company contributes to external research to advance social or environmental impacts.



Compliance Criteria:

2.3b.1 The external research aims to create a positive impact on society or the environment.

2.3b.2 The company contributes to research through:

- a) financial contributions
- b) in-kind contributions
- c) data sharing.

2.3b.3 The company follows up on the output of the research within twelve months.

Intent:

None



Clarifying the Compliance Criteria:

[2.3b.1] To determine whether the research contributes to a positive impact on society or the environment, the company consults either:

- the outcome sections of the B Lab Standard
- the U.N. Sustainable Development Goals or similar frameworks.

[2.3b.1] “External research” means the research is not driven by the company’s own research and development team.

[2.3b.1] The research relates to the company’s sector or industry.

[2.3b.2.a] If the company makes financial or in-kind contributions, their value is at least 0.2% of the company’s revenue in a fiscal year.

[2.3b.2.c] If the company shares data, the data:

- is comprehensive (meaning it covers the full scope of the company or an issue)
- is not freely available
- meets the specific needs of the research project.

[2.3b.3] The company follows up on the output of the research to ensure the researcher is working toward the intended outcome. It is acceptable for a research output to be unavailable in time for Year 0, as long as the company follows up for Years 3 and 5.

Applying the Criteria to Independently Certifying Subsidiaries:

The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:

- roll out, enforcement, and accountability mechanisms
- how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Implementation Resources:

Resources on positive impact on society or the environment



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- U.N. Sustainable Development Goals [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)



GACA2.3c The company collaborates with multiple stakeholders to advance social or environmental impacts with clear contribution.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA2.3c	From Year 0	N/A	The company collaborates with multiple stakeholders to advance social or environmental impacts with clear contribution.



Compliance Criteria:

2.3c.1 The multi-stakeholder collaboration:

- a) has a clear purpose and aims to deliver specific, measurable impacts collaboratively.
- b) aims to create a positive impact on society or the environment.

2.3c.2 The company makes a clear contribution to the multi-stakeholder collaboration.



Clarifying the Compliance Criteria:

[2.3c.1] The multi-stakeholder collaboration includes stakeholder(s) that are external to the company.

[2.3c.1] When engaging in multi-stakeholder collaboration, particularly at the industry level, the company follows any applicable local and national antitrust laws.

[2.3c.1.b] To determine whether the multi-stakeholder collaboration contributes to a positive impact on society or the environment, the company consults either:

- the outcome sections of the B Lab Standard
- the U.N. Sustainable Development Goals or similar frameworks.

[2.3c.2] Examples of a “clear contribution” to the multi-stakeholder collaboration include:

- providing input or resources
- taking a leadership position in the project (e.g. a chair or project lead)
- being active in working groups
- setting and achieving internal targets related to the project
- integrating the output of the project into the company’s strategy.

[2.3c.2] The company does not meet the sub-requirement if it is either:

- an observer (meaning it attends sessions without contributing)
- a non-contributing signatory of the project.

Applying the Criteria to Independently Certifying Subsidiaries:

The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:

- roll out, enforcement, and accountability mechanisms



- how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

- Examples of multi-stakeholder collaboration include:
 - developing sector- or profession-specific guides
 - promoting sustainable innovation
 - developing solutions for sustainability challenges (e.g. recycling infrastructure)
 - investing jointly in community projects
 - standardizing materials or technology
 - building shared infrastructure
 - restoring local landscapes with impacted organizations
 - involvement in an industry working group or project related to advancing social or environmental impact.
- Examples of stakeholders include:
 - sector, industry, or professional associations
 - other businesses (e.g. collective action groups organized by B Corps or other companies)
 - Civil Society Organizations
 - academic institutions.

Implementation Resources:

Resources on multi-stakeholder collaboration

- We go beyond - Impact Improvement Through Collaboration (B Lab US & Canada) [\[EN\]](#)



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- Scaling Up Sustainability Collaboration: Contributions of Business Associations and Sector Initiatives to Sustainable Development (UN Global Compact) [\[EN\]](#)
 - B Corp Beauty Coalition [\[EN\]](#)
 - Private sector collaboration for sustainable development (Business for Social Responsibility) [\[EN\]](#)
 - Business-Led ESG Collaboration: How-to Guide for Business (MaRS) [\[EN\]](#)
 - Environmental, Social and Governance and Sustainable Development Goals Guidance for Associations (Canadian Standards Association) [\[EN\]](#) [\[FR\]](#)
 - Intersectoral Collaboration Assessment Tool (Township of Langley) [\[EN\]](#)

Resources on positive impact on society or the environment

- U.N. Sustainable Development Goals [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)



GACA2.3d The company promotes public policy to advance social or environmental impacts with clear contribution.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA2.3d	From Year 0	N/A	The company promotes public policy to advance social or environmental impacts with clear contribution.



Compliance Criteria:

2.3d.1 The advocacy work aims to create a positive impact on society or the environment.

2.3d.2 The company has one or more resources to support its public policy advocacy work:

- a) financial contributions
- b) in-kind contribution
- c) active staff time.

2.3d.3 The company makes a clear contribution to public policy advocacy.



Clarifying the Compliance Criteria:

[2.3d.1] To determine whether its advocacy contributes to a positive impact on society or the environment, the company consults either:

- the outcome sections of the B Lab Standard
- the U.N. Sustainable Development Goals or similar frameworks.

Applying the Criteria to Independently Certifying Subsidiaries:

The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:

- roll out, enforcement, and accountability mechanisms
- how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

Examples of a “clear contribution” to public advocacy include:

- supporting or endorsing a public policy advocacy or lobby campaign
- raising awareness of a petition using the company’s communication channels or other stakeholder engagement (simply signing a petition does not meet the sub-requirement)
- taking a visible and public stand, led by a member of the executive team, to influence public policy lobbying
- contributing to a government consultation to make a positive impact
- participating in a government working group or collaboration (e.g. by testifying, making recommendations, or providing expertise).

Recommendations:

Achieve specific advocacy outcomes by:

- getting science-based climate legislation passed that aligns with the global goal of net zero emissions by 2050



- putting a social or environmental topic on the local government agenda.

Implementation Resources:

Resources on responsible lobbying

- Responsible Lobbying Framework [\[EN\]](#)
- Towards Responsible Lobbying (U.N. Global Compact) [\[EN\]](#)
- OECD Recommendation of the Council on Transparency and Integrity in Lobbying and Influence [\[EN\]](#) [\[FR\]](#)
- Mobilizing Trade Associations as a Force for Good (Volans, World Business Council for Sustainable Development) [\[EN\]](#)

Resources on specific advocacy outcomes

- AAA Framework for Climate Policy Leadership (Environmental Defense Fund) [\[EN\]](#)
- The 4 A's of Climate Leadership - Policy (We Mean Business Coalition) [\[EN\]](#)
- Influence Map - Reports on Climate Policy Engagement [\[EN\]](#)

Resources on positive impact on society or the environment

- U.N. Sustainable Development Goals [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)

Interoperability:

Conceptual Alignment Data Point:

- CDP 2024 Questionnaire - 4.11



GACA2.3e The company uses thought leadership to drive systemic change towards an equitable, inclusive, and regenerative economy, and has a clear outcome.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	All	All
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA2.3e	From Year 0	N/A	The company uses thought leadership to drive systemic change towards an equitable, inclusive, and regenerative economy, and has a clear outcome.



Compliance Criteria:

2.3e.1 The thought leadership:

- a) has a clear positive outcome
- b) aims to create a positive impact on society or the environment.

2.3e.2 The company is involved in at least:

- a) two thought leadership practices before Year 0
- b) three thought leadership practices for Years 3 and 5.

Intent:

None



Clarifying the Compliance Criteria:

[2.3e.1] The company's thought leadership activities relate to either:

- to the company's work and expertise
- if done by senior leaders, directly to their role at the company.

[2.3e.1] Thought leadership activities by senior leaders that do not relate to their role at the company do not meet this sub-requirement.

[2.3e.1.b] To determine whether the thought leadership contributes to a positive impact on society or the environment, the company consults either:

- the outcome sections of the B Lab Standard
- the U.N. Sustainable Development Goals or similar frameworks.

Applying the Criteria to Independently Certifying Subsidiaries:

The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:

- roll out, enforcement, and accountability mechanisms
- how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

Examples of thought leadership include:

- speaking at public forums, e.g. teaching or giving guest lectures at educational institutions
- creating blog posts or articles on an external webpage, in collaboration with stakeholders
- publishing research papers on a social or environmental topic
- enabling open-source access to technical knowledge for others to use

Examples of a "clear positive outcome" include:



- an increase in the knowledge of recipients or audiences
- others downloading and referencing reports and papers
- a positive reception to a speaking engagement, blog post, or web article
- increased engagement with the company's content
- increased access to information and technical knowledge related to environmental and social impacts.

Implementation Resources:

Resources on positive impact on society or the environment

- U.N. Sustainable Development Goals [\[AR\]](#) [\[EN\]](#) [\[ES\]](#) [\[FR\]](#) [\[RU\]](#) [\[ZH\]](#)



GACA2.6 The company includes multi-stakeholder collaboration or public policy advocacy as one of its collective actions.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	All	All
Large	All	All
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA2.6	From Year 3	Large / X Large / XX Large	The company includes multi-stakeholder collaboration or public policy advocacy as one of its collective actions.



Compliance Criteria:

2.6.1 The company includes one of the following in its collective actions.

- a) GACA2.3c The company collaborates with multiple stakeholders to advance social or environmental impacts with clear contribution.
- b) GACA2.3d The company promotes public policy to advance social or environmental impacts with clear contribution.

Intent:

To require large companies to engage in collective actions with the biggest impact. Larger companies are better-resourced to support multi-stakeholder collaboration, and they often have greater ability to advocate for systemic social and environmental change. This sub-requirement ensures that the biggest B Corps use their size and power effectively.



Clarifying the Compliance Criteria:

[2.6.1] See the compliance criteria under GACA2.3c and GACA2.3d for details.

Applying the Criteria to Independently Certifying Subsidiaries:

The action takes place within the company. If the company references an out-of-scope corporate group action, it demonstrates:

- roll out, enforcement, and accountability mechanisms
- how the outcomes impact its operations. For any outcomes that are not impactful, the company creates its own actions.

Further Guidance:

See the collective action sub-requirements: GACA2.3c, GACA2.3d.

Recommendations:

See the collective action sub-requirements: GACA2.3c, GACA2.3d.

Implementation Resources:

See the collective action sub-requirements: GACA2.3c, GACA2.3d



GACA3 The company takes a responsible and transparent approach to taxes.

GACA3.1 The company has a public policy on responsible taxes.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	None	None
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA3.1	From Year 0	None	The company has a public policy on responsible taxes.

Compliance Criteria:

3.1.1 The company's tax policy states its approach to responsible taxes, including:

- a) how its approach to tax is linked to the company's business and sustainable development strategies
- b) its approach to regulatory compliance
- c) which governance body or executive-level position within the company will formally review and approve the policy, and how frequently.

3.1.2 The company's tax policy states its governance, control, and risk management practices, including:

- a) which governance body or executive-level position within the company is accountable for enforcing the policy
- b) how the policy is embedded within the company, including how the company puts it into practice
- c) how the company identifies, manages, and monitors risks of non-compliance
- d) how the company evaluates compliance with the governance and control framework
- e) how stakeholders can raise concerns about the company's business conduct and tax practices, including reference to the company's grievance procedure [link to PSG3]
- f) a description of the company's assurance process for public tax reporting, including, if applicable, a link or reference to any external assurance reports or statements.

3.1.3 The company's tax policy states how it engages with stakeholders and manages tax-related concerns, including:

- a) its approach to engaging with tax authorities
- b) its approach to public policy advocacy related to tax
- c) how it collects and considers stakeholders' views and concerns, including from external stakeholders.

3.1.4 The company's tax policy is:

- a) approved by the highest governing body
- b) published on the company's webpage and made accessible to all stakeholders.

Intent:



To ensure companies are responsible and transparent about the taxes they pay. Taxes are vital in achieving the U.N. Sustainable Development Goals, and a key way for companies to contribute to their local economies. By committing to a responsible tax policy, and publicly reporting their tax payments, companies reinforce their contribution to tackling social and environmental challenges.

Clarifying the Compliance Criteria:

[3.1.1] The following do not count towards meeting this Compliance Criteria.

- Company documents that only focus on legal or regulatory compliance
- Tax references in a broader company policy that does not directly address responsible taxes (e.g. a Code of Ethics that references bribery and corruption)

[3.1.2.d] The governance and control framework is described in Compliance Criteria 3.1.2.a-3.1.2.c.

[3.1.4] The tax policy can be a standalone document, or integrated into another document. Either form is acceptable, as long as the policy meets the Compliance Criteria.

Applying the Criteria to Independently Certifying Subsidiaries:

- The policy is embedded, at minimum, at the highest governance level within the company. If the company references a policy belonging to an out-of-scope parent, it records evidence of roll-out, enforcement and accountability mechanisms to support the policy.
- References to the highest governing body or executive team mean those within the company's scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body or executive team within its scope of certification.

Implementation Resources:

Resources on responsible taxes

- The B Team Responsible Tax Principles [\[EN\]](#)

Interoperability:

Conceptual Alignment Data Point:

- GRI 207: Tax 2019 – 207-1 Approach to tax



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- GRI 207: Tax 2019 – 207-2 Tax governance, control, and risk management
 - GRI 207: Tax 2019 – 207-3 Stakeholder engagement and management of concerns related to tax
 - The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) – Acting ethically – CSI16 Responsible tax fundamentals – a, b



GACA3.2 The company publicly shares its country-by-country reporting each fiscal year.

Track factors:

Size	Sector	Industry
XX Large	All	All
X Large	None	None
Large	None	None
Medium	None	None
Small	None	None
Micro	None	None
Company without workers	None	None

ID:	Year	Eligible for equity mechanisms?	Sub-requirement text:
GACA3.2	From Year 3	None	The company publicly shares its country-by-country reporting each fiscal year.



Compliance Criteria:

3.2.1 The public report includes:

- a) all tax jurisdictions where the company is resident for tax purposes
- b) relevant financial information for each tax jurisdiction
- c) the time period the information covers.

3.2.2 The public report is:

- a) overseen by the highest governing body or a committee of the highest governing body
- b) published on the company's webpage and accessible to all stakeholders.

3.2.3 The company publicly shares its country-by-country reporting:

- a) in the fiscal year before Year 3
- b) annually in each subsequent year.

Intent:

To ensure companies are responsible and transparent about the taxes they pay. Taxes are vital in achieving the U.N. Sustainable Development Goals, and a key way for companies to contribute to their local economies. By committing to a responsible tax policy, and publicly reporting their tax payments, companies reinforce their contribution to tackling social and environmental challenges.



Clarifying the Compliance Criteria:

[3.2.1.a] All tax jurisdictions where the company is resident for tax purposes includes all entities in the company's audited consolidated financial statements, or in the financial information filed on public record.

[3.2.1.b] For each tax jurisdiction, the company includes:

- the names of the resident entities
- the company's primary activities
- the number of employees, and how it was calculated
- revenue from third-party sales
- revenue from intra-group transactions with other tax jurisdictions
- profit or loss before tax
- tangible assets, other than cash and cash equivalents
- the amount of corporate income tax paid on a cash basis
- the amount of corporate income tax accrued on profit or loss
- the reasons for any difference between corporate income tax accrued on profit or loss and the tax due, if the statutory tax rate is applied to profit or loss before tax

[3.2.1.c] The company reports information for the time period covered by the most recent audited consolidated financial statements or financial information filed on public record. If information is not available for this time period, the organization may report information for the time period covered by the audited consolidated financial statements, or the financial information filed on public record, immediately preceding the most recent ones.



Applying the Criteria to Independently Certifying Subsidiaries:

References to the highest governing body or executive team mean those within the company's scope of certification. This means that approval by an out-of-scope parent body does not meet the sub-requirement, unless the company has additional approval at the highest governing body or executive team within its scope of certification.

Implementation Resources:

Resources on responsible taxes

- The B Team Responsible Tax Principles [\[EN\]](#)

Interoperability:

Conceptual Alignment Data Point:

- GRI 207: Tax 2019 – 207-4 Country by country reporting
- The 2024 Nature Benchmark Methodology (World Benchmarking Alliance) – Acting ethically – CSI16 Responsible tax fundamentals – c